

## 23 Folders Suitability

### Borderline Suitability Hypotheticals

250 scenarios | Gray-zone scenarios grounded in 23 source folders

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#### Borderline Scenario 1

Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and qu

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##### Fact Pattern

Margaret Ellison, age 74, retired school principal, visited her financial advisor Derek Huang in March 2023 after her husband passed away, leaving her with a \$1.2 million rollover IRA and \$180,000 in bank CDs. Her monthly pension and Social Security together provided \$4,800/month, covering her basic living expenses. She told Derek she wanted to 'make the money last and maybe leave something for her grandchildren,' but also mentioned she was worried about inflation eating away at her savings because she'd read several alarming articles. She described herself as someone who 'doesn't like taking big risks but can't just sit in cash.' Derek documented her risk tolerance as 'moderate' on the new account form. Over the next two months, Derek moved approximately \$840,000 of the IRA - 70% of the account - into a diversified portfolio of equity mutual funds and equity ETFs, including a 15% allocation to an international equity fund and a 10% allocation to a real estate investment trust fund. The remaining 30% went into intermediate-term bond funds and a stable value fund. The equity funds carried average expense ratios of 0.45%, which were competitive but not the cheapest available on his firm's platform (index alternatives averaged 0.08%). Derek also recommended she break her \$180,000 in CDs into a CD ladder rather than invest them, to preserve her liquidity cushion. Margaret's account gained approximately 11% over the following 14 months. In May 2024, Margaret's daughter, a CPA, reviewed the portfolio and filed a complaint with Derek's firm, arguing that a 70% equity allocation was far too aggressive for a 74-year-old recent widow with no earned income. She pointed out that Margaret had been on mild anti-anxiety medication since her husband's death and questioned whether her mother fully understood the risk she was taking. Derek's notes from the meetings showed Margaret had asked several clarifying questions about market downturns and had signed a written acknowledgment that she understood the portfolio could decline 20-25% in a severe downturn. Derek had also offered a more conservative 50/50 allocation initially, but Margaret had pushed back, saying she didn't want 'too much sitting in bonds earning nothing' given her inflation fears.

##### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

##### Analysis

Arguments that Derek violated his obligations: Margaret was a 74-year-old recently widowed retiree, a classic vulnerable investor profile. A 70% equity allocation is aggressive by most age-based heuristic standards and conventional retirement planning guidelines, which often suggest equity allocations closer to 30-40% for someone in her mid-70s. The fact that she was recently bereaved and on anti-anxiety

medication raises questions about whether she was in an optimal state to make major financial decisions, potentially implicating concerns about diminished capacity or undue emotional influence. The choice of actively managed funds with 0.45% expense ratios when cheaper index options were available on the same platform suggests Derek may not have prioritized cost efficiency. Her stated goal of making money last is fundamentally a capital preservation and income objective, which arguably calls for a more conservative posture. Arguments that Derek acted appropriately: Margaret had guaranteed income from pension and Social Security that covered her living expenses, meaning the \$1.2 million IRA was essentially surplus capital with a long potential time horizon - she could live another 15-20 years, and she explicitly wanted to leave money to grandchildren, introducing a multi-generational planning element. Her inflation concern was economically rational given the 2022-2023 inflation environment, and a 70% equity allocation for money she didn't need for daily expenses is defensible under a goals-based planning framework. Derek documented her risk tolerance as moderate, offered a more conservative alternative first, obtained written acknowledgment of downside risk, and preserved her CD liquidity cushion separately. The 0.45% expense ratio, while not the cheapest, was reasonable and the funds were diversified. Margaret asked informed questions and actively pushed for more equity exposure. The portfolio's actual positive performance, while not dispositive, suggests the allocation was not reckless. Under FINRA Rule 2111 and its three suitability obligations (reasonable-basis, customer-specific, and quantitative), the recommendation must be suitable given the customer's investment profile. Under Regulation Best Interest, a broker-dealer must act in the retail customer's best interest and consider reasonably available alternatives. The Care Obligation requires consideration of costs, but does not mandate the cheapest option if a more expensive one is otherwise appropriate.

### Why Borderline

This case sits in genuine gray territory because the traditional age-based suitability framework conflicts with a more modern goals-based planning approach. Under a simplistic age-based analysis, 70% equity for a 74-year-old looks aggressive. But under a goals-based framework that segments assets by purpose - where guaranteed income covers expenses and the IRA serves long-term growth and legacy goals - the allocation is defensible. The recent bereavement adds complexity but is countered by documented informed consent and the client's own initiative in pushing for more equity. The expense ratio differential is real but modest. Reasonable practitioners and regulators genuinely split on how much weight to give age versus total financial picture.

### Borderline Factors

- Client's age (74) and recent widowhood suggest vulnerability, but her guaranteed income covering expenses reduces dependence on the invested assets
- 70% equity allocation appears aggressive by age-based heuristics but is defensible under goals-based planning given her surplus asset position and 15-20 year potential horizon
- Client was on anti-anxiety medication, raising capacity concerns, but she asked informed questions and actively requested more equity over the advisor's initial conservative proposal
- Expense ratios were reasonable but not the cheapest available on the platform, creating a cost optimization question without clear overpayment
- Written risk acknowledgment and documented alternative offer suggest good process, but process alone doesn't guarantee suitability
- Legacy goal introduces a longer effective time horizon that complicates traditional retiree allocation frameworks

- The complaint was filed by the daughter, not the client, and came after positive performance, suggesting possible family dynamics rather than actual harm

### Likely Outcome

A regulator would most likely investigate but decline to pursue a formal enforcement action, instead possibly issuing supervisory guidance to the firm about enhanced documentation protocols for senior investors. The combination of Margaret's guaranteed income covering expenses, her documented initiative in requesting higher equity allocation, the written risk acknowledgment, the preservation of her CD liquidity cushion, and positive account performance would likely be viewed as sufficient - though just barely - to meet suitability and best interest standards. However, a regulator might note the absence of any documented assessment of Margaret's cognitive or emotional capacity given her recent bereavement, and could require the firm to implement protocols for recognizing life events that may temporarily affect decision-making in senior clients. The expense ratio issue would likely be addressed as a supervision matter rather than a standalone violation.

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## Borderline Scenario 2

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)*, particularly customer-specific suitability given the product

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### Fact Pattern

Carlos Medina, age 52, was a mechanical engineer earning \$145,000 per year with a net worth of approximately \$900,000, including his home equity. He maintained a \$310,000 brokerage account with advisor Lisa Cheng and had a separate 401(k) worth \$420,000 that Lisa did not manage. Carlos had been investing for about 18 years, had traded individual stocks on his own through a separate online account, and described himself as 'comfortable with volatility.' His stated investment objective for the brokerage account was 'growth,' and his time horizon was 10-13 years to retirement. In September 2023, during a meeting where Carlos expressed strong conviction that the semiconductor sector would outperform over the next several years due to AI demand, Lisa recommended he allocate \$46,500 - 15% of his brokerage account - to a 2x leveraged semiconductor ETF. Lisa explained verbally that the product used daily leverage, meaning it reset daily and could diverge significantly from 2x the sector's return over longer holding periods due to compounding effects, a phenomenon sometimes called 'volatility decay.' She noted the product had an expense ratio of 0.94%, significantly higher than a standard semiconductor ETF at 0.35%. Lisa documented in her notes that she told Carlos this position should be monitored actively and that she recommended a trailing stop-loss at 25% to manage downside risk. Carlos signed a leveraged and inverse ETF acknowledgment form provided by the firm. Over the next seven months, the leveraged ETF gained approximately 58%, and Carlos's overall portfolio was up 14%. In April 2024, the semiconductor sector experienced a sharp two-week correction, and the leveraged ETF dropped 37% from its peak before Lisa contacted Carlos and they agreed to sell. Even after the decline, the position was still up approximately 3% from the original purchase price. Lisa did not execute the 25% trailing stop-loss automatically - the firm's systems did not support automatic stop-losses on ETFs - and she had been traveling during the first four days of the correction. Carlos did not complain, but the firm's compliance surveillance system flagged the leveraged ETF position because it had been held for more than 60 days, triggering an internal review. The compliance team noted that while Carlos had acknowledged the product's risks, the seven-month holding period appeared inconsistent with the daily-reset nature of the product.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated her obligations: Leveraged ETFs are designed for short-term or daily trading strategies, and virtually all product sponsors and most compliance frameworks explicitly warn that holding them for extended periods can lead to returns that deviate substantially from the expected leveraged return of the underlying index. A seven-month hold is materially inconsistent with the product's intended use. The failure to implement the recommended stop-loss - regardless of the reason - represents a gap between the stated risk management plan and actual execution. An advisor recommending a product with a specific risk mitigation strategy has an implicit obligation to execute that strategy or ensure it is executed. The 0.94% expense ratio is nearly triple the unleveraged alternative, and if the holding period was going to be multi-month, a leveraged strategy using margin on a standard ETF might have achieved a similar result at lower cost. Under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives, including lower-cost ways to achieve the same exposure. Some regulators have taken the position that leveraged ETFs are per se unsuitable for buy-and-hold in non-institutional accounts. Arguments that Lisa acted appropriately: The 15% position size was measured and did not create dangerous concentration - 85% of the account remained in other holdings. Carlos was an experienced investor with 18 years of experience, a self-described comfort with volatility, and a growth objective. Lisa thoroughly explained the daily reset mechanism and compounding effects, documented her explanation, and obtained signed acknowledgment. The position was profitable even after the sharp correction, and the overall portfolio outperformed. The holding period, while long for a leveraged ETF, was accompanied by a stated intent to monitor actively, and the leveraged ETF actually performed well precisely because the semiconductor sector trended strongly upward with relatively low day-to-day volatility during most of the holding period - conditions under which leveraged ETFs can approximate or exceed their expected leveraged returns. The stop-loss failure was a systems/operational issue, not a suitability issue, and Lisa acted promptly once she became aware of the correction. Carlos himself expressed no dissatisfaction. Notably, the flagging was automatic and compliance-driven, not complaint-driven.

### Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of product-level suitability and actual client outcomes. The conventional wisdom - and many firms' internal policies - hold that leveraged ETFs should not be held beyond a single trading session or at most a few days. But this bright-line rule is a simplification: in trending markets with low volatility, longer holds can work as intended, and some sophisticated commentators argue the daily-reset concern is overstated for strong directional bets over moderate time periods. The client profile is neither clearly unsuitable (he's experienced and growth-oriented) nor clearly suitable (leveraged ETFs are complex derivatives products). The position sizing was reasonable, the disclosure was thorough, but the recommended risk management mechanism failed in execution. Whether the holding period itself constitutes a violation depends heavily on whether regulators apply a strict product-design standard or a more holistic outcomes-and-context approach.

### Borderline Factors

- Seven-month holding period for a daily-reset leveraged ETF conflicts with product design and issuer guidance, but the position was profitable and the sector exhibited favorable trending conditions
- 15% allocation is a moderate position size - not trivial but not recklessly concentrated

- Client had 18 years of investing experience and traded individual stocks independently, suggesting sophistication, but leveraged ETFs involve derivative-based compounding mechanics distinct from stock-picking experience
  - Thorough verbal and written disclosure of daily-reset risk and volatility decay, with signed acknowledgment form
  - Recommended stop-loss was not executed due to platform limitations and advisor travel - raising questions about whether the risk management plan was genuine or aspirational
  - Expense ratio nearly 3x the unleveraged alternative, but leverage exposure itself has value and margin-based alternatives carry their own costs and risks
  - No client complaint - the flag was generated by compliance surveillance, and the client remained satisfied
  - The position was still profitable at exit even after a sharp correction, complicating any harm-based analysis

### Likely Outcome

A regulator would most likely treat this as a supervisory and compliance deficiency matter rather than pursue it as a standalone suitability violation against the advisor. The firm would likely receive a deficiency letter or examination finding focused on (1) the absence of automated systems to enforce stated risk management strategies like stop-losses for complex products, (2) the lack of a firm-level policy limiting holding periods for leveraged ETFs or requiring periodic re-affirmation by clients, and (3) inadequate supervision during the advisor's travel. Lisa herself would likely receive a cautionary letter or heightened supervision requirement rather than a formal disciplinary action, given the thorough disclosure, reasonable position sizing, client sophistication, and absence of actual financial harm. However, if the position had resulted in a significant loss, the outcome would likely be different - regulators tend to scrutinize losing leveraged ETF positions far more aggressively than profitable ones, even though the suitability analysis should be identical at the point of recommendation.

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## Borderline Scenario 3

*Topic: mutual\_fund\_switching\_churning | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and*

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### Fact Pattern

Gloria Whitfield, age 58, has been a client of financial advisor Derek Haines for seven years. She has a moderate risk tolerance, a stated goal of retirement at age 65, and a portfolio valued at approximately \$410,000, almost entirely in mutual funds. Over a 26-month period from January 2022 through February 2024, Haines recommended that Whitfield switch between equity mutual funds on six separate occasions. Each switch involved selling one fund family's large-cap growth fund and purchasing another fund family's large-cap growth fund. The funds had broadly similar investment objectives, overlapping top-ten holdings, comparable Morningstar ratings (all rated 4 stars), and similar expense ratios ranging from 0.68% to 0.82%. However, each switch moved Whitfield into a fund with a slightly lower expense ratio than the one she left - the cumulative reduction over all six switches brought her annual expense ratio down from 0.82% to 0.68%, saving her roughly \$574 per year in ongoing fees. The problem: each switch triggered a front-end sales load of approximately 5.25%, and Whitfield paid a total of approximately \$107,000 in front-end loads across the six transactions over the 26-month period (she was investing the full proceeds each time, and her

portfolio fluctuated but generally remained in the \$390,000-\$430,000 range). Haines earned roughly \$53,500 in commissions from these transactions. Haines documented in his notes each time that the new fund had a lower expense ratio and, in two cases, had slightly outperformed the prior fund over the trailing three-year period by 40-60 basis points annually. Whitfield signed switch letters each time acknowledging the new load charges. She never complained during the period and in fact emailed Haines in March 2023 thanking him for 'always looking out for her fees.' The switches did not change her overall asset allocation, which remained roughly 70% equity and 30% fixed income throughout. Whitfield's daughter, a CPA, reviewed the account in early 2024 and raised concerns about the total load charges paid relative to the minimal expense ratio savings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Haines violated applicable standards: The total front-end loads of approximately \$107,000 over 26 months vastly exceeded the annual expense ratio savings of \$574 per year. At that savings rate, it would take Whitfield over 186 years to recoup the switching costs - an absurd breakeven horizon for a 58-year-old client. The six switches involved funds with substantially similar investment objectives, holdings, and ratings, meaning there was no material qualitative improvement to justify the costs. The turnover rate and commission-to-equity ratio, while not astronomical on a per-transaction annualized basis, are elevated when the switches produce no meaningful change in portfolio positioning. Under FINRA Rule 2111 and its supplementary material on quantitative suitability, a pattern of switching that generates commissions without corresponding customer benefit is a hallmark of churning or excessive trading. Under Regulation Best Interest's care obligation, the advisor must consider reasonably available alternatives; here, simply holding the original fund or using a no-load share class would have been far superior. The fact that Haines earned \$53,500 in commissions while saving the client \$574/year suggests the transactions primarily benefited the advisor. Arguments that Haines did not violate applicable standards: Each individual switch had a documented, facially reasonable rationale - lower ongoing expenses and, in some cases, marginally better trailing performance. Haines kept notes and obtained signed switch letters. The client was informed, consented, and even expressed gratitude. The overall asset allocation was maintained consistently, so there was no drift from the client's risk profile. The switches occurred over 26 months (roughly one every 4.3 months), which is not an unusually high frequency. Each transaction viewed in isolation might appear reasonable. Whitfield had the capacity to understand the charges, and her moderate risk tolerance was never exceeded. Additionally, FINRA's mutual fund switch guidance focuses on whether there's a 'reasonable basis' for each switch, and Haines can point to incremental cost improvement each time.

### Why Borderline

This case is genuinely ambiguous because each individual switch had a facially legitimate rationale (lower expense ratio, slightly better performance), the client was informed and consented, and the frequency was not extreme on a per-transaction basis. However, when viewed in the aggregate, the math overwhelmingly shows that the total switching costs dwarfed any possible benefit. The tension between evaluating each transaction independently (where each looks marginally defensible) versus evaluating the pattern holistically (where the cumulative harm is obvious) is the core of the gray area. Reasonable practitioners could disagree about whether an advisor who genuinely believed each incremental improvement justified



the load should be held liable, especially given client consent and documentation.

### Borderline Factors

- Each individual switch had a documented, facially reasonable rationale (lower expense ratio)
- Cumulative front-end loads of \$107,000 vastly exceeded the \$574/year expense ratio savings, creating a 186-year breakeven period
- Client signed switch letters and expressed satisfaction during the period
- Funds were substantially similar in objective, holdings, and ratings, raising the question of whether any switch was truly necessary
- Advisor earned \$53,500 in commissions, creating a significant conflict of interest
- Switching frequency of once every 4.3 months is not extreme in isolation but is notable for lateral moves between similar funds
- No change to overall asset allocation or risk profile occurred
- Client's daughter (a CPA) identified the cost disparity only after external review, suggesting the harm was not self-evident to the client

### Likely Outcome

A regulator would most likely find a violation. While each individual switch might survive isolated scrutiny, regulators evaluating mutual fund switches routinely look at the aggregate pattern, and the cost-benefit analysis here is overwhelmingly negative for the client. The 186-year breakeven period is indefensible for a 58-year-old nearing retirement. FINRA has historically sanctioned advisors for mutual fund switching even where individual rationales existed, when the cumulative costs were grossly disproportionate to any benefit. However, any sanction might be mitigated by the advisor's documentation, the client's informed consent, and the absence of complaints during the period. The likely result would be a finding of violation with moderate sanctions - perhaps a fine and suspension rather than a bar - and possible restitution of a significant portion of the loads paid.

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## Borderline Scenario 4

Topic: *market\_timing\_unsuitable* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, particular*

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### Fact Pattern

Raymond Acosta, age 44, is an emergency room physician earning approximately \$480,000 per year. He has \$1.2 million in investable assets, no debt other than a mortgage with 12 years remaining, and two children ages 10 and 13 with fully funded 529 plans. His investment profile questionnaire, completed in September 2022, indicates an 'aggressive' risk tolerance, a time horizon of 20+ years, and an investment objective of 'growth.' Acosta told his financial advisor, Sheila Pratt, that he followed financial markets closely, subscribed to two investment research newsletters, and had previously managed a self-directed brokerage account for five years before hiring Pratt. In October 2023, with equity markets experiencing heightened volatility amid rising interest rates and geopolitical uncertainty, Pratt recommended that Acosta move 60% of his equity portfolio (approximately \$620,000) into money market funds and short-term Treasury bills. She told Acosta this was a 'tactical de-risking' move and that she would recommend re-entering equities 'when conditions stabilized.' Pratt documented in her notes that she was concerned about a potential 15-25% market correction based on elevated price-to-earnings ratios, inverted yield curve

signals, and escalating geopolitical tensions. Acosta agreed to the move. Over the following four months (November 2023 through February 2024), the S&P 500 rallied approximately 20%. Pratt did not recommend re-entering equities during this period. In March 2024, Pratt recommended moving back into equities, and Acosta agreed. By this point, the missed rally had cost Acosta an estimated \$124,000 in foregone gains relative to staying invested. Acosta's overall portfolio was still up slightly for the period due to Treasury bill yields of approximately 5.3%, but significantly underperformed a static aggressive allocation. Pratt did not charge any transaction fees for the moves (the account was fee-based at 1.1% of assets under management), so she did not profit additionally from the trades. However, Acosta's fee-based compensation meant Pratt had a slight disincentive to reduce assets under active equity management. Acosta filed a complaint in April 2024, arguing that moving an aggressive-growth investor to 60% cash was fundamentally inconsistent with his profile and time horizon, and that the failure to re-enter the market compounded the harm.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Pratt violated applicable standards: Acosta's completed investment profile clearly indicated aggressive risk tolerance, a 20+ year time horizon, and a growth objective. Moving 60% of his equity allocation to cash instruments represented a dramatic departure from this stated profile. Under both traditional suitability analysis and the Reg BI care obligation, recommendations must be consistent with the customer's investment profile. A 44-year-old high-income physician with no liquidity needs, a long time horizon, and aggressive risk tolerance is the textbook candidate for staying fully invested through volatility. Market timing - attempting to predict short-term market movements - is widely regarded as inconsistent with long-term growth objectives and has been identified by regulators as potentially unsuitable when it contradicts a client's stated goals. Furthermore, Pratt's failure to recommend re-entering the market for four months, during which the market rallied 20%, suggests the tactical move lacked a coherent execution plan or exit strategy. The \$124,000 in foregone gains represents real economic harm. Arguments that Pratt did not violate applicable standards: Pratt had a documented, reasoned basis for her recommendation - specific market indicators (elevated P/E ratios, yield curve inversion, geopolitical risks) that are legitimate analytical tools used by professional money managers. Tactical asset allocation is a recognized investment strategy, and many advisory firms employ it. Acosta was an informed, sophisticated investor who agreed to the move. An aggressive risk tolerance does not obligate an advisor to recommend staying 100% invested at all times; prudent risk management sometimes involves temporary defensive positioning even for aggressive investors. The recommendation did not eliminate equity exposure entirely - Acosta retained 40% in equities. Pratt had no financial incentive to make the switch (fee-based account, no transaction charges), which undermines any suggestion of self-dealing. The fact that the market subsequently rallied does not retroactively make the recommendation unsuitable - suitability is judged at the time of the recommendation, not with hindsight. Finally, the portfolio still generated positive returns due to the elevated Treasury yields, so the client was not harmed in absolute terms.

### Why Borderline

This scenario sits in a genuine gray area because it pits two legitimate principles against each other: (1) recommendations should be consistent with a client's stated investment profile, and moving an aggressive investor to 60% cash facially contradicts that profile; versus (2) tactical asset allocation is a recognized



strategy, and advisors arguably have a duty to exercise professional judgment to protect clients from perceived risks, even if it means temporary deviation from a long-term target allocation. The hindsight problem is acute - had the market dropped 20% instead of rallying, the same recommendation would be hailed as prudent risk management. Additionally, the client's sophistication and informed consent complicate the analysis. The four-month delay in re-entering the market adds another layer: was this continued professional judgment or negligent inaction?

### Borderline Factors

- Client's investment profile (aggressive, 20+ year horizon, growth objective) facially conflicts with a move to 60% cash
- Advisor had documented, specific market-based rationale for the tactical move (elevated P/E, yield curve, geopolitical risk)
- Tactical asset allocation is a widely used professional strategy, not inherently unsuitable
- Client was sophisticated (physician, self-directed investing experience, market newsletter subscriber) and consented to the move
- No financial incentive for the advisor to make the switch (fee-based account, no transaction fees)
- Market subsequently rallied 20%, creating \$124,000 in foregone gains - but suitability is judged at time of recommendation
- Portfolio still generated positive absolute returns during the period
- Four-month delay in recommending re-entry raises questions about whether the tactical plan had a coherent execution framework
- 60% cash is a dramatic shift - a more moderate 20-30% reduction might be viewed differently

### Likely Outcome

This is a close case, and the outcome would likely depend on the specific forum and the quality of Pratt's documentation of her ongoing monitoring. A regulator or arbitration panel would probably focus on two key issues: (1) the magnitude of the tactical shift (60% to cash is extreme for an aggressive investor, even tactically), and (2) the four-month delay in re-entering the market without documented, evolving analysis justifying the continued defensive posture. If Pratt can produce contemporaneous notes showing she actively monitored conditions and had specific, evolving reasons for the delayed re-entry, she has a stronger defense. If the notes are sparse after the initial move, the case tips toward a violation. The most likely outcome is a finding of partial liability - the initial tactical recommendation might survive scrutiny given the documented rationale and client consent, but the prolonged failure to re-enter during a sustained rally without adequate justification would likely be found to violate the ongoing duty to monitor and act in the client's interest. Damages would likely be reduced from the full \$124,000 to account for the reasonable initial defensive period.

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## Borderline Scenario 5

*Topic: illiquid\_investments | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis to believe the*

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### Fact Pattern

Margaret Holloway, age 58, is a recently retired school principal with a \$1.4 million portfolio, a state pension paying \$62,000 annually, and Social Security benefits she plans to claim at age 62 (estimated

\$1,800/month). She has no mortgage, \$18,000 in credit card debt, and monthly living expenses of approximately \$4,200. When she opened her account with advisor Derek Simmons in March 2021, she completed a new account form indicating a 'moderate' risk tolerance, a 10-year investment time horizon, and an income need described as 'supplemental - pension covers most expenses.' She also checked a box indicating she had 'limited' experience with alternative investments. During their second meeting in May 2021, Simmons recommended she allocate \$280,000 - 20% of her portfolio - into a non-traded real estate investment trust (REIT) focused on commercial medical office buildings. The product carried a 7% annualized distribution yield, a front-end sales charge of 5.75%, an annual management fee of 1.25%, and a minimum hold period of approximately 5 to 7 years before any potential liquidity event. Simmons explained the illiquidity features and distribution structure during the meeting, and Margaret signed an acknowledgment form stating she understood the product had no guaranteed secondary market. Internal notes from Simmons indicate that Margaret expressed enthusiasm about the 'steady income stream' and specifically asked about investments that would 'keep paying me without me having to watch the stock market every day.' She also mentioned she was considering helping her daughter with a \$40,000 down payment on a house 'sometime in the next couple of years,' though she described this as uncertain. The remaining 80% of her portfolio was allocated to a diversified mix of intermediate-term bond funds (40%), large-cap equity index funds (25%), and a money market fund (15%). Fourteen months later, in July 2022, Margaret contacted Simmons requesting early redemption of her REIT position to help her daughter with the down payment and to pay off her credit card debt. She was told no redemption program was currently available and that attempting to sell on a limited secondary market would likely result in a 12-18% discount to her original investment. Margaret filed a complaint stating Simmons should never have put a retiree into a product she couldn't access.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated his obligations: Margaret was a recent retiree with limited alternative investment experience, and the non-traded REIT locked up 20% of her portfolio for 5-7 years. She mentioned a potential near-term liquidity need (the \$40,000 for her daughter's down payment) that should have prompted Simmons to either reduce the illiquid allocation or ensure more liquid reserves. The 5.75% front-end load significantly reduced her invested capital from the outset, and for a client in the distribution phase of her financial life, tying up \$280,000 in an illiquid vehicle presents meaningful risk. Her self-described 'limited' experience with alternatives suggests she may not have fully appreciated the implications of illiquidity despite signing the acknowledgment form. A signed disclosure form does not, by itself, establish that a recommendation was in the client's interest.

Arguments that Simmons acted appropriately: The 20% allocation to the non-traded REIT left 80% of Margaret's portfolio in liquid investments, including a substantial 15% money market position (\$210,000) that could easily cover the potential \$40,000 down payment and credit card payoff. Her pension and forthcoming Social Security substantially covered her living expenses, meaning she did not depend heavily on portfolio liquidity for day-to-day needs. The daughter's down payment was described as uncertain and aspirational, not a firm commitment. The 7% distribution yield aligned with Margaret's stated desire for steady, passive income, and the medical office REIT sector is generally considered defensive within real estate. The 10-year investment horizon she stated was consistent with the product's 5-7 year illiquidity

window. Simmons documented the disclosure of illiquidity features and Margaret's affirmative interest in the income characteristics. The overall portfolio construction was diversified and conservative, with the REIT serving as one component rather than a dominant position.

### Why Borderline

This case sits in a gray zone because the allocation percentage (20%) is at the upper boundary of what many firms consider acceptable for illiquid alternatives, but it is not egregiously high given the client's overall financial picture. The client had genuine liquidity buffers - a \$210,000 money market position and a pension - that arguably made the illiquid allocation tolerable. However, the client's limited alternatives experience and the ambiguous near-term liquidity need (the daughter's down payment) create tension. The advisor documented the disclosures and the client's expressed preferences, but documentation alone does not resolve whether the recommendation itself was appropriate. Reasonable practitioners could disagree about whether a 58-year-old retiree with limited alternatives experience and a possible near-term cash need should have had any illiquid allocation, or whether 20% was acceptable given the overall portfolio design.

### Borderline Factors

- 20% illiquid allocation is at the high end of common thresholds but not clearly excessive
- Client's pension and liquid reserves arguably provided sufficient liquidity cushion
- Client mentioned a potential near-term liquidity need but described it as uncertain
- Client had 'limited' alternative investment experience but signed illiquidity acknowledgment
- Product's income characteristics aligned with client's stated preference for passive income
- 10-year stated horizon was consistent with the product's lock-up period
- 5.75% front-end load raises cost concerns but is standard for the product category
- Complaint was triggered by a change in circumstances (daughter's down payment becoming concrete) rather than an inherent portfolio flaw

### Likely Outcome

A regulator would likely scrutinize this case closely but might not find a clear-cut violation. The allocation was at the upper boundary of acceptable practice, but the overall portfolio construction was reasonable and the client's liquidity needs were substantially covered by other holdings. However, the advisor's failure to more carefully probe and document the potential near-term liquidity need - and potentially reduce the illiquid allocation or establish a dedicated reserve - could be viewed as a deficiency. The most likely outcome is a cautionary finding or a negotiated settlement at a modest level, rather than a definitive suitability violation. If the firm had internal guidelines capping illiquid alternative allocations for retirees at a lower percentage (such as 10-15%), that would significantly strengthen the case against the advisor.

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## Borderline Scenario 6

Topic: *leveraged\_etf\_unsuitable* | Standard: FINRA Rule 2111 (Suitability) requires that a recommended investment be suitable base

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### Fact Pattern

Paul Nakamura, age 44, is a software engineering manager earning \$195,000 annually with a net worth of approximately \$1.1 million, including \$420,000 in a brokerage account managed by advisor Christine

Reeves. Paul has been investing for 18 years, actively trades options in a separate self-directed account, and described himself on his account application as having 'extensive' investment knowledge and 'aggressive' risk tolerance. His stated investment objective was 'growth' with a time horizon of 15+ years. In January 2023, Paul told Reeves he was very bullish on the semiconductor sector due to what he described as a 'multi-year AI infrastructure buildout.' He asked Reeves about ways to gain amplified exposure. After discussion, Reeves recommended a 3x leveraged daily-reset ETF tracking a semiconductor index, suggesting Paul allocate \$63,000 (15% of the managed account) to the position. Reeves sent Paul an email before the purchase explaining that the product resets daily, that compounding effects over time mean returns can deviate substantially from 3x the index's cumulative return, and that the product could lose significant value even if the underlying index is flat over extended periods due to volatility decay. Paul responded by email: 'Understood. I've used leveraged products before in my other account. Let's do it.' Reeves placed the trade on January 23, 2023. Over the following seven months, the semiconductor index rallied approximately 38%, and Paul's leveraged ETF position gained roughly 94%, growing to approximately \$122,000. However, Reeves did not proactively contact Paul to discuss rebalancing, taking profits, or exiting the position during this period. In August 2023, the sector experienced a sharp 22% correction over three weeks, and the leveraged ETF dropped approximately 51% from its peak, falling to about \$60,000 - slightly below Paul's original investment. Paul did not contact Reeves during the drawdown. In September 2023, Paul requested the position be liquidated at approximately \$60,000, realizing a net loss of roughly \$3,000 after the round trip. He subsequently complained that Reeves should not have recommended a daily-reset leveraged product as a multi-month holding, and that she had a responsibility to monitor the position and recommend an exit during the profitable period. Reeves' firm had no written policy specifically prohibiting advisors from recommending leveraged ETFs, but its internal training materials from 2022 stated that 'leveraged and inverse ETFs are generally designed for short-term trading and may not be appropriate for buy-and-hold strategies.' The firm did not have automated alerts or position-level monitoring triggers for leveraged ETF holdings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reeves violated her obligations: Daily-reset leveraged ETFs are widely understood in the industry to be designed for short-term, tactical use - typically intraday or over very short holding periods. Holding a 3x leveraged product for seven months exposes the client to significant volatility decay and path-dependency risk that can cause the product to dramatically underperform 3x the index return over time, or even lose money when the index is up. The firm's own training materials acknowledged these products are 'generally designed for short-term trading,' and Reeves' failure to establish a monitoring framework, set target exit prices, or proactively contact Paul during the seven-month holding period suggests she recommended the product without a plan for managing its unique risks. The ongoing duty to monitor a recommended position is particularly critical for complex products whose risk characteristics change materially over time. The fact that the client ultimately lost money despite the underlying index gaining 38% over the period illustrates exactly the compounding risk that makes long-term holds of leveraged ETFs problematic.

Arguments that Reeves acted appropriately: Paul was a 44-year-old sophisticated investor with 18 years of experience, an aggressive risk tolerance, active options trading experience in a separate account, and

self-described familiarity with leveraged products. The \$63,000 allocation represented only 15% of his managed account and roughly 6% of his total net worth - a position size that would not jeopardize his financial stability even in a worst-case scenario. Reeves provided a written explanation of daily-reset mechanics, volatility decay, and the risk of deviation from the index's cumulative return, and Paul acknowledged understanding these features in writing. Paul himself initiated the sector thesis and requested amplified exposure; Reeves was responding to an informed client's stated investment view rather than pushing an unsuitable product. Furthermore, Paul had access to his account and could have exited the position or contacted Reeves at any time during the drawdown - he chose not to. The net loss of \$3,000 on a \$63,000 position is modest, and the complaint appears driven by regret over not capturing gains at the peak rather than a fundamental unsuitability of the product. Regarding monitoring, the account was not a discretionary account, meaning Paul retained decision-making authority and Reeves could not sell the position without his instruction.

### Why Borderline

This scenario is genuinely ambiguous because it involves a sophisticated, aggressive investor who understood the product's mechanics and specifically requested amplified sector exposure, but was recommended a product whose structural characteristics (daily reset, volatility decay) are widely regarded as unsuitable for multi-month holding periods. The tension between client sophistication and product design creates a legitimate gray area. Additionally, the monitoring question is complex: in a non-discretionary account, the advisor cannot unilaterally sell positions, but many practitioners and regulators believe there is still an obligation to proactively reach out and recommend adjustments, particularly for complex products with time-sensitive risk profiles. The client's actual loss was minimal (\$3,000), making it harder to argue material harm, but regulatory standards focus on the quality of the recommendation at the time it was made, not solely on outcomes.

### Borderline Factors

- Client was highly sophisticated with 18 years of experience and active options trading background
- Client initiated the investment thesis and specifically requested amplified exposure
- Advisor provided detailed written disclosure of daily-reset mechanics and compounding risk, and client acknowledged in writing
- 15% of managed account (6% of net worth) was a meaningful but not outsized position
- Product was held for 7 months despite being designed for short-term trading per firm training materials
- Advisor did not establish exit criteria, monitoring triggers, or proactive check-ins during the holding period
- Account was non-discretionary, limiting advisor's ability to act unilaterally
- Actual financial harm was minimal (\$3,000 loss) despite dramatic peak-to-trough volatility
- Firm had no explicit prohibition on recommending leveraged ETFs but training materials flagged holding period concerns
- Client did not contact advisor during the drawdown, suggesting shared responsibility for inaction

### Likely Outcome

A regulator would likely focus less on the initial recommendation - which was made to a sophisticated, aggressive client who requested the exposure and received detailed disclosures - and more on the lack of ongoing monitoring and failure to proactively recommend an exit strategy for a product with well-known time-decay characteristics. The most probable outcome is a finding of a supervisory deficiency at the firm level for lacking automated monitoring or holding-period alerts for leveraged ETF positions, potentially

accompanied by a minor suitability concern against the advisor for failing to establish and communicate an exit plan. However, given the client's sophistication, written acknowledgment, modest actual loss, and the non-discretionary nature of the account, an outright suitability violation finding against the advisor alone is uncertain. A regulator might issue a cautionary action or require enhanced supervisory procedures rather than impose significant sanctions.

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### Borderline Scenario 7

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative*

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#### Fact Pattern

Margaret Ellison, age 71, retired schoolteacher, met with her financial advisor Daniel Krauss in March 2021 to discuss reinvesting \$340,000 from a maturing 5-year CD. Margaret told Daniel she needed the money to fund her living expenses over the next 8 to 10 years, supplementing her pension of \$2,800/month and Social Security of \$1,950/month. Her total monthly expenses were approximately \$5,200, leaving a shortfall of roughly \$450/month that needed to come from her investment portfolio. She had an additional \$120,000 in a money market account as an emergency fund. Margaret described herself as conservative, stating she 'couldn't afford to lose this money' but also expressed frustration with how little her CD had earned and said she wanted 'something that pays better than what the bank offers.' Daniel recommended placing the full \$340,000 into a portfolio of investment-grade corporate bonds with an average duration of 14.2 years and an average yield of 3.6%. The portfolio included bonds from well-known issuers like AT&T, Johnson & Johnson, and Bank of America, all rated A- or higher. Daniel explained that longer-duration bonds paid higher yields and that if she held them to maturity, she would receive her principal back. He showed her a projected income stream of approximately \$12,240 per year, which more than covered her \$5,400 annual shortfall. Margaret signed the paperwork after a single 45-minute meeting. By December 2022, as interest rates rose sharply, the portfolio's market value had declined to approximately \$248,000 - a paper loss of roughly 27%. In February 2023, Margaret's roof needed emergency replacement costing \$18,000. Because her money market fund had been partially depleted by a prior medical expense, she was forced to sell some of the bonds at a significant realized loss of \$14,600 to cover the repair. Margaret filed a complaint alleging Daniel put her in bonds that were far too long-dated for her age and needs. Daniel responded that the bonds were all investment-grade, the income met her stated needs, and that she had a separate emergency fund, and that the paper losses were temporary for a hold-to-maturity investor.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

The case turns on whether a 14.2-year average duration was unreasonable for a 71-year-old retiree with an 8-to-10-year stated time horizon and a conservative risk profile. Arguments that Daniel violated his obligations: (1) The duration of 14.2 years significantly exceeded Margaret's stated 8-to-10-year spending horizon, creating substantial interest rate risk that was inconsistent with her conservative profile. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation, an advisor must have a reasonable basis to believe that a recommendation is suitable based on the customer's investment profile, including time horizon and risk tolerance. A 14.2-year duration exposes the portfolio to meaningful



mark-to-market volatility, and the mismatch between duration and time horizon is a well-recognized risk factor. (2) Margaret explicitly said she 'couldn't afford to lose this money,' signaling low risk tolerance. The advisor should have recognized that even hold-to-maturity strategies carry reinvestment risk and the risk of forced liquidation. (3) The recommendation was made in a single 45-minute meeting with no documentation of duration risk discussion, suggesting inadequate due diligence. (4) A laddered bond portfolio with maturities aligned to her 8-to-10-year horizon could have provided reasonable income with far less interest rate risk, and the failure to consider or present this alternative weighs against the advisor. Arguments that Daniel acted appropriately: (1) All bonds were investment-grade (A- or higher) from blue-chip issuers, presenting minimal credit risk. (2) The income generated (\$12,240/year) exceeded her actual annual shortfall, directly addressing her stated need. (3) Margaret had a \$120,000 emergency fund in money market, which should have insulated her from needing to liquidate bonds. The forced sale only occurred because of an unanticipated prior medical expense that depleted the emergency fund - an intervening event outside Daniel's control. (4) Margaret herself expressed frustration with low CD yields and wanted better income, and longer-duration bonds were a reasonable way to achieve that within the investment-grade universe. (5) If held to maturity, Margaret would receive full par value - the paper loss was a function of rate movements, not credit deterioration. (6) Duration mismatch per se is not a per se violation; many conservative portfolios include bonds with durations longer than the investor's time horizon when there is adequate liquidity elsewhere.

### Why Borderline

This scenario sits in a genuine gray area because the advisor selected high-quality bonds that met the client's income need, and the client had a separate liquidity buffer that should have prevented forced sales. The duration mismatch (14.2 years vs. 8-10 year horizon) is meaningful but not extreme, and the losses only materialized in a historically unusual rate-hiking cycle. Reasonable practitioners could disagree about whether the 4-to-6-year overshoot in duration was imprudent or simply a reasonable yield-enhancement strategy for a hold-to-maturity investor with adequate reserves.

### Borderline Factors

- Duration of 14.2 years exceeded the client's 8-to-10-year horizon by 4-6 years - material but not extreme
- Client had a separate \$120,000 emergency fund that was designed to prevent forced bond liquidation
- Forced sale was triggered by an unanticipated prior medical expense depleting the emergency fund - an intervening event
- All bonds were investment-grade (A- or higher) with minimal credit risk
- Client expressed desire for higher income than CDs, which longer duration delivered
- Client's statement that she 'couldn't afford to lose this money' cuts toward lower duration tolerance
- Single 45-minute meeting with no documented discussion of duration risk or alternatives like laddering
- The 2022 rate-hiking cycle was historically unusual in speed and magnitude

### Likely Outcome

A regulator would likely find a moderate violation with mitigating circumstances. The duration overshoot relative to the client's stated horizon and conservative profile, combined with the lack of documented risk discussion and failure to consider a laddered alternative, would probably be viewed as falling short of the care obligation. However, the presence of the emergency fund, the investment-grade quality of the bonds, and the intervening event that caused the forced liquidation would likely result in a reduced sanction - perhaps a letter of caution or a modest fine rather than a severe disciplinary action. A panel might also find

shared responsibility, noting that Margaret's emergency fund depletion from an unrelated event was a significant contributing factor to her realized loss.

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## Borderline Scenario 8

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended investment strategy have a*

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### Fact Pattern

Robert and Linda Chen, both age 58 and still working, met with their financial advisor Patricia Voss in September 2020 to discuss repositioning \$780,000 in retirement savings held in a joint brokerage account. The Chens told Patricia they planned to retire at age 65 and would begin drawing from the portfolio at that point to supplement Robert's expected pension of \$4,100/month. They described their risk tolerance as 'moderate' and said they wanted 'steady income with some growth' during the pre-retirement phase. Their combined household income was \$195,000/year, they had \$85,000 in a savings account, and they had no significant debts other than a mortgage with \$110,000 remaining. Patricia recommended allocating \$520,000 (approximately 67% of the portfolio) to a bond allocation with an average effective duration of 11.8 years, consisting of a mix of U.S. Treasury bonds (40%), investment-grade corporates (35%), and agency mortgage-backed securities (25%). The remaining \$260,000 was placed in a diversified equity index fund. Patricia's rationale, documented in her notes, was that the Chens' 7-year pre-retirement horizon and likely 25+ year retirement meant they were effectively long-term investors with a 30+ year total time horizon, and that longer-duration bonds would provide higher yields (averaging 2.9% at the time) to build the income base they would eventually need. She also noted in her file that longer-duration Treasuries could serve as a hedge against equity drawdowns. Over the next two years, as rates surged, the bond portfolio lost approximately 19% of its value on paper, declining from \$520,000 to roughly \$421,000. Meanwhile, the equity portion grew modestly to \$278,000. The Chens' total portfolio went from \$780,000 to approximately \$699,000. In early 2023, Robert was unexpectedly laid off at age 60 and the Chens decided to accelerate their retirement. When they sought to rebalance and begin taking distributions, they realized the bond losses and filed a complaint. Patricia pointed to her documented rationale, the Chens' long total time horizon, the diversification benefit of long-duration Treasuries, and the fact that the bonds would fully mature well within the Chens' expected lifetime.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This case presents a tension between two defensible approaches to duration management for pre-retirees. Arguments that Patricia violated her obligations: (1) The Chens' stated retirement date was 7 years away, and they described wanting 'steady income with some growth' - a profile that suggests moderate risk, not aggressive duration bets. An 11.8-year average duration in the fixed-income allocation significantly exceeded the 7-year pre-retirement horizon, exposing the portfolio to substantial interest rate risk during the accumulation phase when capital preservation becomes increasingly important. (2) Under the customer-specific suitability analysis, an advisor should match fixed-income duration more closely to the client's near-term spending horizon, particularly as clients approach retirement. Industry best practices and fiduciary standards generally favor shortening duration as retirement approaches to reduce

sequence-of-returns risk. (3) The 67% allocation to bonds suggests the Chens wanted stability from that portion of the portfolio, yet the long duration undermined that stability. (4) The \$85,000 savings account was relatively modest relative to their \$780,000 portfolio and their expenses, providing limited cushion. (5) Patricia's rationale of a '30+ year total time horizon' conflates the accumulation and distribution phases, which have fundamentally different risk characteristics. Arguments that Patricia acted appropriately: (1) Patricia documented her rationale contemporaneously, demonstrating a reasonable analytical process. Her reasoning - that the total investment horizon including retirement was 30+ years - is consistent with approaches advocated by many financial planning professionals and academic research on asset-liability matching for long retirements. (2) The portfolio was diversified across asset classes (bonds and equities) and within the bond allocation across Treasuries, corporates, and agency MBS. (3) The Chens were still 7 years from their planned retirement, had stable employment income of \$195,000, had no immediate liquidity needs from the portfolio, and had an \$85,000 cash reserve. (4) Long-duration Treasuries have historically served as effective equity hedges during market downturns, adding portfolio-level diversification benefits even if they carry standalone duration risk. (5) Robert's layoff was an unforeseeable event that accelerated the timeline; had they retired at 65 as planned, they would have had 5 more years for rates to potentially normalize and for the bonds to accrete toward par. (6) The 2.9% yield was actually competitive in the September 2020 environment, and shorter-duration bonds were yielding near zero, which would have failed to meet the Chens' income-building objective.

### Why Borderline

This is genuinely ambiguous because Patricia's documented rationale reflects a legitimate - if aggressive - investment philosophy about total time horizon that many respected practitioners endorse. The 11.8-year duration, while long relative to the 7-year pre-retirement period, is not unreasonable if one views the Chens as having a 30+ year total horizon. The clients' own description of wanting 'steady income with some growth' could support either a shorter or longer duration approach depending on interpretation. The losses were driven by an extraordinary rate-hiking cycle, and the forced early retirement was unforeseeable. Yet the core tension - that the conservative portion of a near-retiree's portfolio experienced a 19% drawdown - is exactly the kind of outcome that duration matching is designed to prevent.

### Borderline Factors

- The 11.8-year duration exceeded the 7-year pre-retirement horizon but was arguably appropriate for a 30+ year total investment horizon
- Patricia documented a coherent rationale referencing total time horizon and equity hedging benefits
- The Chens described themselves as 'moderate' risk - a term that is inherently ambiguous and could support multiple duration approaches
- Near-zero short-term rates in September 2020 meant shorter-duration alternatives would have produced negligible income
- The portfolio included both bonds and equities, and long-duration Treasuries did serve a diversification role
- Robert's unexpected layoff at age 60 accelerated the retirement timeline by 5 years - an unforeseeable event
- The 67% bond allocation signals that the clients wanted stability from the fixed-income portion, which the long duration undermined
- Industry opinion is genuinely divided on whether pre-retirees should match duration to the near-term spending horizon or the total investment horizon

### Likely Outcome

This case would likely result in a close call with regulators potentially declining to bring a formal action but issuing supervisory guidance. Patricia's documented rationale, the diversified portfolio construction, the Chens' still-distant original retirement date, and the intervening layoff all provide substantial defenses. However, a FINRA arbitration panel might split the difference and find partial liability, reasoning that while the overall strategy had a reasonable basis, the degree of duration risk was somewhat excessive for clients approaching retirement within a decade, and that Patricia should have discussed the tradeoffs of duration mismatch more explicitly or offered a barbell or laddered approach as an alternative. A likely outcome in arbitration would be a partial award - perhaps 30-40% of the realized and unrealized losses attributed to the duration mismatch, with the remainder attributed to market conditions and the Chens' accelerated timeline.

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### Borderline Scenario 9

*Topic: overconcentration\_single\_stock | Standard: FINRA Rule 2111 (Suitability) requires that a recommended investment strategy b*

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### Fact Pattern

Margaret Chen, age 58, had a \$1.2 million portfolio managed by advisor David Kowalski at a mid-sized wealth management firm. Margaret retired two years ago from Apex Therapeutics, a publicly traded pharmaceutical company, where she had worked for 27 years. Upon retirement, she received a lump-sum distribution of \$480,000 in Apex Therapeutics stock, which she transferred into her brokerage account. At the time of transfer, Apex stock represented approximately 40% of her total portfolio. Margaret's investment profile questionnaire indicated a moderate risk tolerance, a primary goal of generating income to supplement a modest pension of \$2,800 per month, and a secondary goal of preserving capital to cover potential long-term care expenses. She noted a time horizon of 15-20 years. During their initial meeting, David recommended that Margaret diversify by selling at least half of the Apex position and reallocating into a mix of dividend-paying blue-chip stocks, investment-grade bonds, and a small allocation to REITs. Margaret expressed strong reluctance, telling David she had 'deep faith in Apex' and that the company was about to enter Phase III trials for a promising cancer drug, which she believed would double the stock price within 18 months. She also mentioned that selling would trigger approximately \$65,000 in capital gains taxes, which she wanted to avoid. David documented this conversation and the client's pushback. Over the next six months, David raised the diversification issue twice more during quarterly review calls. Each time, Margaret declined to sell, and David documented her refusal. He did, however, invest her remaining \$720,000 across a diversified mix of ETFs and individual bonds consistent with her moderate risk profile. Fourteen months later, Apex Therapeutics announced that its Phase III trial had failed, and the stock dropped 62% in three weeks. Margaret's Apex position fell from \$480,000 to approximately \$182,000, reducing her total portfolio to roughly \$902,000. Margaret filed a complaint alleging that David should have been more forceful in urging her to diversify, should have refused to hold such a concentrated position, and that maintaining 40% of a retiree's portfolio in a single biotech stock was inherently unsuitable regardless of her wishes.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that David violated his obligations: A 40% concentration in a single pharmaceutical stock is objectively high for a 58-year-old retiree with moderate risk tolerance whose primary goals are income generation and capital preservation. The inherent volatility of a biotech company in clinical trials makes this concentration particularly risky. A reasonably prudent advisor could be expected to do more than simply document client pushback - some practitioners argue that when a client's stated preferences directly contradict their stated goals and risk profile, the advisor has an obligation to resolve that conflict more aggressively, potentially including refusing to maintain the position or escalating to a supervisor. The fact that Margaret's pension was only \$2,800/month made this portfolio critical to her retirement security, heightening the duty of care. Some regulators have taken the position that documentation of client refusal alone is insufficient when the concentration poses a genuine threat to the client's financial wellbeing.

Arguments that David acted appropriately: David identified the concentration risk immediately and recommended diversification at the very first meeting. He repeated this recommendation at least twice more over six months, and he documented every instance of Margaret's informed refusal. The remaining 60% of the portfolio was managed prudently and consistently with her stated objectives. Margaret was not an unsophisticated investor - she had 27 years of experience at the company and specific knowledge about its drug pipeline. Her tax concern was legitimate, as a \$65,000 tax bill is material. David did not recommend the concentrated position; it was a legacy holding the client brought to the relationship and actively chose to maintain. Forcing a client to sell holdings against their explicit, informed wishes raises its own set of concerns about client autonomy. David could also have recommended a collar strategy or other hedging mechanism, but the client's resistance to any action regarding the Apex shares may have made such suggestions futile.

### Why Borderline

This case sits in a genuine gray zone because the advisor did identify and repeatedly flag the risk, documented the client's informed refusal, and managed the rest of the portfolio prudently - yet the resulting concentration was objectively dangerous for a client with this profile. The tension between respecting client autonomy (especially regarding legacy holdings with tax implications and emotional attachment) and the advisor's independent obligation to ensure portfolio-level suitability is a real and unresolved friction in the industry. Reasonable professionals disagree about whether documentation of client pushback is a sufficient defense or whether the advisor must take more affirmative steps such as refusing to hold the position, requiring a signed waiver, or escalating internally.

### Borderline Factors

- Advisor proactively recommended diversification three separate times and documented each refusal
- 40% single-stock concentration is objectively high for a moderate-risk retiree but originated as a legacy holding, not an advisor recommendation
- Client had insider-level familiarity with the company and articulated specific reasons for holding
- Legitimate tax consequences (\$65,000 in capital gains) supported the client's reluctance to sell
- The remaining 60% of the portfolio was managed appropriately and consistently with stated objectives
- Client's stated goals (income and capital preservation) directly conflicted with her desire to hold a volatile biotech position
- Advisor did not explore or recommend hedging strategies such as protective puts or collars as a middle ground
- The stock's decline was driven by a clinical trial outcome - a binary event risk that is particularly

dangerous in concentrated positions

### Likely Outcome

A regulator would likely find this to be a close call but would probably not sustain a full suitability violation, provided David's documentation is thorough and contemporaneous. The three documented instances of recommending diversification, combined with the client's informed and specific refusal, create a meaningful defense. However, the advisor may face criticism - and potentially a reduced but non-zero finding - for failing to explore intermediate solutions such as hedging strategies, systematic partial sales, or exchange funds, and for not escalating the matter to his compliance department given the severity of the concentration risk relative to the client's retirement needs. A likely resolution would be a cautionary finding or a modest settlement, with the firm potentially bearing supervisory responsibility for not having a policy requiring escalation when concentration exceeds a threshold in retirement accounts.

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## Borderline Scenario 10

Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations - reasonable-basis su

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### Fact Pattern

Robert Tran, age 44, is a software engineer earning \$195,000 per year with a net worth of approximately \$1.1 million, including a \$640,000 home with \$310,000 in remaining mortgage debt. He maintained a \$340,000 brokerage account with advisor Lisa Brennan at a regional broker-dealer. Robert's investment profile indicated an aggressive risk tolerance, a growth-oriented objective, and a 20+ year time horizon. He had been investing actively for 12 years, had experience trading options and small-cap growth stocks, and described himself as someone who 'enjoys researching emerging companies and can stomach volatility.' In January, Robert told Lisa he had been reading about three micro-cap companies - two traded on the OTC Pink Sheets and one on the OTCQB marketplace - that he believed were undervalued. The companies were: (1) GreenHydra Energy Corp., trading at \$0.38/share with a \$14 million market cap, involved in early-stage hydrogen fuel cell technology; (2) NeuroPath Diagnostics Inc., trading at \$1.15/share with a \$22 million market cap, developing a novel brain imaging diagnostic tool; and (3) TerraMin Resources Ltd., trading at \$0.72/share with a \$9 million market cap, a junior mining company with exploration-stage lithium claims in Nevada. Robert asked Lisa to invest \$45,000 total - \$15,000 in each company - representing approximately 13.2% of his brokerage portfolio. Lisa conducted her own research on each company. GreenHydra had no revenue and had received a going-concern opinion from its auditor. NeuroPath had \$1.8 million in annual revenue but was burning cash at \$4.2 million per year with 14 months of runway. TerraMin had minimal revenue but held potentially valuable mineral rights and had recently signed an exploration agreement with a mid-tier mining company. Lisa discussed the risks with Robert, including low liquidity, lack of financial transparency, potential for total loss, and wide bid-ask spreads. She noted that GreenHydra in particular concerned her due to the going-concern opinion. Robert acknowledged the risks and said he viewed this as 'speculative money I can afford to lose.' Lisa ultimately executed all three purchases but added a note in the account file expressing reservations about GreenHydra specifically. She also confirmed that Robert's remaining \$295,000 was invested in a diversified portfolio of large-cap growth ETFs and investment-grade corporate bonds. Over the following 10 months, GreenHydra's stock was halted by the exchange operator after questions arose about the accuracy of its press releases and the stock ultimately fell to \$0.02/share. NeuroPath declined 40% to \$0.69/share following a disappointing FDA



pre-submission meeting. TerraMin rose 85% to \$1.33/share on positive drill results. Robert's net loss across the three positions was approximately \$12,800. Robert did not complain, but during a routine branch examination, a compliance examiner flagged the three penny stock purchases and questioned whether they were suitable for the account.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated her obligations: Penny stocks and OTC-traded micro-cap securities carry extreme risks including illiquidity, limited disclosure, susceptibility to manipulation, and high failure rates. GreenHydra in particular had a going-concern audit opinion, meaning its own auditor questioned whether it would survive - yet Lisa still executed the purchase despite her own documented reservations. An advisor who identifies a specific security as problematic but executes the trade anyway may be viewed as prioritizing client accommodation over professional judgment. The penny stock disclosure framework exists precisely because these securities are considered categorically more dangerous, and some regulators take the position that aggressive risk tolerance alone does not make speculative micro-cap investments suitable. Additionally, all three companies had characteristics - no or minimal revenue, early-stage business models, micro-cap valuations - that placed them at the extreme end of the risk spectrum even for an aggressive investor.

Arguments that Lisa acted appropriately: Robert was a high-income, experienced investor with 12 years of active trading history, including options and small-cap stocks. He specifically identified these companies through his own research and brought them to his advisor - these were not unsolicited recommendations pushed by Lisa. The \$45,000 allocation represented only 13.2% of his brokerage account and roughly 4% of his total net worth, which is a modest speculative allocation for someone with his profile. His remaining portfolio was conservatively positioned in diversified, high-quality holdings. Lisa conducted independent research on each company, discussed specific risks including liquidity and potential total loss, and documented both the conversation and her specific concern about GreenHydra. Robert explicitly acknowledged the speculative nature and indicated he could afford to lose the money. The actual loss of \$12,800 represented approximately 1.2% of his net worth. Lisa could have refused the GreenHydra trade specifically, but executing a client-directed trade after full risk disclosure to a sophisticated, aggressive investor is within the bounds of reasonable practice.

### Why Borderline

The scenario is genuinely ambiguous because it involves a sophisticated, aggressive investor making informed decisions about a modest portfolio allocation to speculative securities, but the securities themselves - particularly OTC Pink Sheets stocks with going-concern opinions - sit at the extreme edge of what is considered appropriate even for aggressive accounts. The advisor's decision to execute the trades despite her own documented misgivings about one specific security creates tension: the documentation simultaneously serves as evidence of diligence and as evidence that the advisor knew the investment was problematic. The distinction between client-directed trades and advisor-recommended trades, and how much independent judgment an advisor must exercise even when accommodating a knowledgeable client's wishes, remains a genuinely contested issue in the industry.

### Borderline Factors

- Client was experienced (12 years), high-income (\$195K), and specifically requested these investments based on his own research
- Allocation of 13.2% of brokerage assets to speculative positions is meaningful but not extreme for an aggressive investor
- Advisor conducted independent research and provided detailed risk disclosure before execution
- One of the three stocks (GreenHydra) had a going-concern audit opinion that the advisor specifically flagged as concerning yet still purchased
- The remaining 87% of the portfolio was prudently diversified in high-quality holdings
- Two of the three stocks were traded on OTC Pink Sheets, which have minimal listing standards and disclosure requirements
- Client explicitly characterized the allocation as speculative money he could afford to lose
- The trades were client-directed rather than advisor-recommended, which shifts but does not eliminate the advisor's obligations
- Actual losses were modest relative to total net worth (approximately 1.2%)
- The compliance flag arose from a routine exam, not a client complaint, suggesting potential regulatory overreach vs. legitimate supervisory concern

### Likely Outcome

A regulator would likely focus most heavily on the GreenHydra purchase, where the advisor's own documented reservations combined with the going-concern opinion create the strongest case for a violation. For NeuroPath and TerraMin, the case is weaker given the client's profile and the modest allocation. The most probable outcome is that the examiner would issue a cautionary action or deficiency finding focused on the firm's supervisory procedures around penny stock transactions rather than a formal action against Lisa personally. If the firm had a heightened supervision or pre-approval requirement for OTC Pink Sheet securities that was not followed, the finding would be more significant. Lisa's thorough documentation helps her defense substantially, but her decision to execute the GreenHydra trade despite her own reservations may be characterized as a failure to exercise independent professional judgment. A settlement or letter of caution - rather than a formal disciplinary action - is the most likely resolution.

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## Borderline Scenario 11

Topic: *alternative\_investments\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations - reasonable*

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### Fact Pattern

In March 2021, financial advisor Kevin Orbach recommended that his client, Dr. Priya Chandrasekaran, age 52, invest \$175,000 into a non-traded real estate investment trust (REIT) focused on commercial office and mixed-use properties across secondary U.S. markets. Dr. Chandrasekaran is a practicing cardiologist earning approximately \$485,000 per year with a net worth of roughly \$2.8 million, excluding her primary residence. Her investment portfolio at the time totaled approximately \$1.4 million, consisting of a mix of index funds, individual equities, and municipal bonds. She had \$320,000 in liquid savings across checking, savings, and money market accounts. The \$175,000 investment represented approximately 12.5% of her total investment portfolio and about 6.25% of her total net worth. Dr. Chandrasekaran's account paperwork listed her investment objective as 'growth with income,' her risk tolerance as 'moderate,' and her time horizon as '10-15 years' given her goal of retiring around age 65. She had no prior experience with

alternative investments. Orbach explained during two meetings that the non-traded REIT offered a projected annual distribution yield of 6.5%, which was materially higher than comparable publicly traded REITs yielding approximately 3.2% at the time. He disclosed that the product carried a 7-year lockup period with limited early redemption provisions - specifically, investors could request quarterly redemptions after year two, but the fund reserved the right to limit total quarterly redemptions to 5% of net asset value, and early redemptions within the first three years carried a 3% penalty. He also disclosed the total upfront costs, which included a 5.75% sales load and approximately 1.8% in annual management and operating fees. Dr. Chandrasekaran signed an alternative investment acknowledgment form indicating she understood the illiquidity, risk of loss, and fee structure. Orbach earned a \$10,062 commission on the transaction, which was approximately three times what he would have earned recommending a comparable publicly traded REIT fund. By late 2022, the non-traded REIT suspended its redemption program entirely due to a surge in redemption requests driven by declining commercial office valuations in the post-pandemic environment. Dr. Chandrasekaran filed a complaint in early 2023, stating she did not fully appreciate how illiquid the investment would become and that she was not told the redemption program could be completely suspended. Orbach's notes from the meetings reference discussing 'limited liquidity' and 'redemption restrictions' but do not specifically document a discussion about the possibility of a full redemption suspension. The fund's prospectus, which was provided to Dr. Chandrasekaran, does contain language on page 47 noting that the board of directors retains discretion to suspend the redemption program at any time.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Orbach violated his obligations: The client had no prior experience with alternative investments, which raises questions about whether a complex, illiquid product was appropriate regardless of her income and net worth. The 7-year lockup with only conditional redemption rights created significant liquidity risk that may not align with a 'moderate' risk tolerance designation. The upfront cost structure - 5.75% load plus 1.8% annual fees - was significantly more expensive than publicly traded alternatives, and Orbach's commission was roughly triple what he would have earned on a comparable liquid product, creating a material conflict of interest. Critically, Orbach's notes do not reflect a specific discussion about the possibility of a full redemption suspension, even though this was a known risk embedded in the product structure. The fact that the client signed an acknowledgment form is helpful but not dispositive, as regulators have consistently held that form-signing alone does not establish adequate disclosure. A 12.5% portfolio allocation to a single illiquid alternative investment for a first-time alternative investor may be considered excessive by some standards.

Arguments that Orbach acted appropriately: Dr. Chandrasekaran is a high-income, high-net-worth individual with substantial liquid reserves (\$320,000) outside of this investment, and the \$175,000 represented only 6.25% of her total net worth. Her 10-15 year time horizon to retirement comfortably exceeded the product's 7-year lockup, meaning she did not need this capital in the near term. Her stated objective of 'growth with income' aligns well with a product offering a 6.5% projected distribution yield, which served a legitimate portfolio function of income generation that her existing holdings (index funds, equities, munis) did not fully address. Orbach held two meetings to discuss the product and documented discussing limited liquidity and redemption restrictions. The full prospectus was provided, and it contained

the redemption suspension language. A 12.5% allocation to alternatives is within the range that many practitioners consider reasonable for an investor of this profile. The product's subsequent poor performance due to pandemic-driven office market declines was not reasonably foreseeable in March 2021 and should not be used to retroactively judge the recommendation.

### Why Borderline

This case sits in a genuine gray area because the client's financial profile - high income, high net worth, long time horizon, substantial outside liquidity - objectively supports the ability to bear the risks of a non-traded REIT, and the allocation percentage is within a defensible range. However, the client's complete lack of alternative investment experience, the significantly higher compensation to the advisor, the incomplete documentation regarding redemption suspension risk, and the inherent complexity of the product's liquidity terms create legitimate concerns. The key tension is between the client's objective financial capacity to absorb this risk and the question of whether the advisor adequately ensured the client genuinely understood the worst-case liquidity scenario. Reasonable practitioners disagree about how much weight to give a sophisticated client's financial profile versus the advisor's obligation to ensure granular understanding of complex risk features.

### Borderline Factors

- Client had zero prior alternative investment experience despite high income and net worth
- 12.5% portfolio allocation is within commonly accepted ranges but aggressive for a first alternative investment
- Advisor's commission was approximately 3x what a comparable liquid product would have generated
- Advisor documented discussing 'limited liquidity' but not specifically the possibility of full redemption suspension
- Client had \$320,000 in liquid reserves outside the investment, suggesting she did not need this capital short-term
- 10-15 year time horizon exceeded the 7-year lockup period
- Client signed an alternative investment acknowledgment form
- Full prospectus containing redemption suspension language was provided but the critical disclosure was on page 47
- Product's income-generating characteristics aligned with client's stated growth-with-income objective
- Subsequent market dislocation in commercial office space was arguably unforeseeable at time of recommendation

### Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary action or modest sanctions rather than a finding of a clear-cut violation. The strongest regulatory concern would center on the inadequate documentation of the redemption suspension risk discussion and the material compensation differential. However, the client's overall financial profile, the reasonable allocation size, the alignment with stated objectives, and the provision of the prospectus would serve as meaningful mitigating factors. A likely resolution would be a settlement involving partial restitution of the excess commission earned and enhanced supervisory requirements, rather than a finding of outright unsuitability. Some arbitration panels might find for the advisor entirely, emphasizing the client's sophistication and financial capacity.

## Borderline Scenario 12

Topic: *margin\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended strategy, including the use of margin*

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### Fact Pattern

In January 2022, financial advisor Sandra Yuen approved a margin agreement and subsequently facilitated margin borrowing for her client, Thomas Reilly, age 61, a recently retired middle school principal with a state pension providing \$62,000 per year and Social Security benefits of \$24,000 per year beginning at age 62. Reilly's total investment portfolio at the firm was valued at approximately \$410,000, consisting primarily of blue-chip dividend-paying stocks (approximately \$290,000), a diversified bond fund (\$70,000), and a money market position (\$50,000). His net worth outside the brokerage account included his primary residence valued at \$380,000 with no mortgage and approximately \$35,000 in bank savings. His account documents listed his investment objective as 'income with moderate growth,' risk tolerance as 'moderate,' and investment experience as 'good' - he had been self-directing stock investments for approximately 20 years before working with Yuen starting in 2019. Reilly approached Yuen in January 2022 and asked about using margin to purchase an additional \$80,000 in dividend-paying stocks, explaining that he wanted to increase his income stream and believed interest rates would remain low enough that the margin interest cost (then approximately 4.25% at the firm) would be comfortably covered by the dividend yields of his target stocks, which were yielding between 3.5% and 5.8%. Yuen discussed the mechanics of margin with Reilly over two phone calls, explaining margin interest charges, maintenance margin requirements, and the possibility of a margin call requiring him to deposit additional funds or have positions liquidated. She noted in her records that Reilly 'understands margin mechanics and has researched this strategy' and that he was 'aware of margin call risk.' She did not specifically discuss the risk that rising interest rates could simultaneously increase his borrowing costs while depressing the value of his dividend stocks, creating a compounding adverse scenario. Yuen facilitated the margin purchase of approximately \$80,000 in four dividend-paying stocks in late January 2022, bringing Reilly's total portfolio to approximately \$490,000 with \$80,000 in margin debt - a margin-to-equity ratio of approximately 19.5%. Over the course of 2022, the Federal Reserve raised interest rates aggressively. By October 2022, Reilly's margin interest rate had climbed to 7.75%, his dividend stocks had declined in value by approximately 18%, and he received a margin call requiring him to deposit \$22,000 or face liquidation. Unable to meet the call from his \$35,000 in bank savings without severely depleting his emergency reserves, Reilly authorized the liquidation of approximately \$28,000 in holdings at depressed prices, locking in losses. He filed a complaint in December 2022, alleging that Yuen should never have approved margin for a 61-year-old retiree on a fixed income. Yuen contends the strategy was initiated by the client, that Reilly was an experienced investor who understood margin, and that the margin-to-equity ratio was conservative by industry standards.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Yuen violated her obligations: Reilly was a 61-year-old recent retiree whose primary income consisted of a fixed pension and imminent Social Security - classic fixed-income sources with no ability to increase earnings to cover potential margin losses. Using margin to pursue a dividend-capture strategy inherently introduces forced-liquidation risk, which is particularly dangerous for retirees who depend on their portfolio for supplemental income and cannot recover from capital losses through future earnings. The fact

that Yuen did not specifically discuss the compounding risk of rising rates - simultaneously increasing margin costs while depressing dividend stock valuations - represents an arguably material gap in disclosure, especially given that the Federal Reserve had already begun signaling tighter monetary policy by late 2021. A 'moderate' risk tolerance designation is difficult to reconcile with the use of leveraged investing, which amplifies both gains and losses. Furthermore, even though Reilly initiated the idea, Yuen as the advisor had a gatekeeping responsibility to evaluate whether the strategy was appropriate and to push back if it was not.

Arguments that Yuen acted appropriately: Reilly was an experienced investor with 20 years of self-directed stock investing experience - he was not a novice being introduced to a complex strategy. He specifically initiated the margin request and had researched the dividend-capture approach himself. The margin-to-equity ratio of approximately 19.5% was conservative by industry norms, well below the 50% initial margin limit and far from aggressive leveraging. Reilly had \$86,000 in annual guaranteed income from his pension and forthcoming Social Security, meaning he was not dependent on his investment portfolio for basic living expenses. The \$80,000 in margin debt represented a modest enhancement of an already substantial portfolio. Yuen documented two phone conversations in which she discussed margin mechanics, interest charges, maintenance requirements, and margin call risk. The subsequent interest rate environment of 2022 was historically unusual in its speed and magnitude and was not a certainty in January 2022 - many market participants at that time expected a more gradual tightening cycle. The losses Reilly suffered were a function of market conditions, not of an inherently unsuitable strategy.

### Why Borderline

This scenario is genuinely ambiguous because the client's profile sends mixed signals about margin appropriateness. On one hand, he was a recent retiree on fixed income with a 'moderate' risk tolerance - characteristics that typically counsel against leverage. On the other hand, he had guaranteed income covering basic expenses, 20 years of investing experience, personally initiated the margin request after research, and the leverage ratio was conservative. The central tension is between the advisor's obligation to serve as a check on client-initiated requests that may not serve the client's best interest versus the principle that experienced clients have autonomy to pursue strategies they understand and can financially tolerate. The failure to discuss the specific compounding risk of rising rates is concerning but falls into a gray area - advisors cannot be expected to discuss every possible adverse scenario, yet this particular risk was arguably foreseeable and directly relevant to the strategy's viability.

### Borderline Factors

- Client was 61-year-old recent retiree living on fixed pension and approaching Social Security - classic profile counseling against margin use
- Client had 20 years of self-directed investing experience and independently initiated the margin strategy
- Margin-to-equity ratio of approximately 19.5% was conservative by industry standards
- Client had \$86,000 in annual guaranteed income not dependent on the investment portfolio
- Advisor documented two discussions covering margin mechanics, interest charges, and margin call risk
  - Advisor did not specifically discuss the compounding risk of rising rates increasing costs while depressing collateral values
- Account documents listed 'moderate' risk tolerance, which is arguably inconsistent with leveraged investing
- Investment objective of 'income with moderate growth' could arguably support or undermine a



dividend-capture margin strategy

- The rapid rate-tightening cycle of 2022 was historically unusual though directionally foreseeable
- Client had only \$35,000 in liquid reserves outside the portfolio, limiting ability to meet margin calls without forced liquidation

### Likely Outcome

This is a case that could go either way depending on the adjudicator. A FINRA arbitration panel would likely focus heavily on the client's experience, the fact that the client initiated the strategy, and the conservative leverage ratio as factors favoring the advisor. However, the panel would also weigh the client's age, retirement status, fixed income, moderate risk tolerance, and the omission of a discussion about rate-risk compounding. The most probable outcome is a compromise - either a finding of shared responsibility with reduced damages or a narrow finding that the advisor failed to adequately evaluate whether the strategy was suitable for this specific client despite the client's initiation. A regulatory examiner might issue a deficiency finding focused on the supervisory process for approving margin in retirement accounts rather than pursuing formal disciplinary action against the advisor individually. Full exoneration and a full finding of violation are both plausible outcomes, which is the hallmark of a true borderline case.

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## Borderline Scenario 13

*Topic: inappropriate\_risk\_profile | Standard: Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing*

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### Fact Pattern

Margaret Holloway, age 58, is a senior project manager at an engineering firm earning \$145,000 annually. She has a net worth of approximately \$1.2 million, including \$780,000 in retirement accounts and \$190,000 in a brokerage account. She told her financial advisor, Derek Simmons, that she planned to retire at 63 and wanted to 'grow her portfolio as much as possible in these last few working years' while also noting she 'couldn't afford a major loss this close to retirement.' During the new account opening process in March 2022, Simmons categorized her risk profile as 'moderately aggressive' based on a risk tolerance questionnaire she completed, on which she selected answers indicating comfort with short-term losses of up to 20% and a primary goal of 'growth.' However, in handwritten notes from their initial meeting, Simmons also recorded Margaret saying she was 'nervous about market downturns' and that she had 'panicked and sold everything in 2008, locking in a \$95,000 loss.' Over the following 14 months, Simmons allocated 68% of her brokerage account into a mix of mid-cap growth funds, a small-cap ETF, and two individual technology stocks. The remaining 32% was split between an investment-grade bond fund and a money market account. During the 2022 market downturn, Margaret's brokerage account declined by approximately 24%, losing roughly \$45,600 in value. She called Simmons in October 2022, distressed, and he advised her to stay the course, reminding her of the long-term growth horizon. Margaret held through the downturn, and by May 2023 the account had recovered to within \$8,000 of its original value. Margaret subsequently filed a complaint alleging that Simmons ignored clear signals about her true risk tolerance and placed her in investments that were too aggressive for someone five years from retirement. Simmons counters that Margaret's questionnaire answers supported the moderately aggressive designation, that the allocation was consistent with someone who had a five-year-plus time horizon remaining, and that the portfolio ultimately performed as expected through a volatile cycle.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated his obligations: First, there is a meaningful tension between Margaret's questionnaire responses and her actual behavioral history. The fact that she panic-sold in 2008 and locked in a \$95,000 loss is strong evidence that her lived risk tolerance is significantly lower than what her questionnaire answers suggested. An experienced advisor should recognize that questionnaires are imperfect tools and that a client's actual behavior during past downturns is a more reliable indicator of risk tolerance than hypothetical answers on a form. Second, Margaret's verbal statements about being 'nervous about market downturns' and not being able to 'afford a major loss this close to retirement' should have triggered further inquiry or, at minimum, a more cautious allocation. Third, a 68% equity allocation heavily weighted toward mid-cap growth, small-cap, and individual tech stocks is aggressive even for a moderately aggressive profile, particularly for someone five years from retirement. Industry conventions for someone in this age range and timeline often suggest equity allocations closer to 50-60%, with less concentration in volatile sectors. Fourth, the 24% drawdown exceeded the 20% loss tolerance Margaret indicated on her questionnaire, suggesting the portfolio was constructed beyond even the stated risk parameters.

Arguments that Simmons acted appropriately: First, the risk tolerance questionnaire is a standard, documented tool for assessing client risk preferences, and Margaret's answers genuinely supported a moderately aggressive classification. Advisors are entitled to rely on client-completed forms, and second-guessing every answer undermines the purpose of the documentation process. Second, Margaret explicitly stated she wanted to 'grow her portfolio as much as possible' during her remaining working years, which reasonably supports a growth-oriented allocation. Third, a five-year time horizon is generally sufficient to weather equity market volatility, and the portfolio's near-full recovery by May 2023 validates the investment thesis. Fourth, Simmons did maintain a 32% allocation in bonds and cash, providing meaningful ballast. Fifth, the 24% loss was a temporary mark-to-market decline during a broad market downturn that affected virtually all equity portfolios, not a result of speculative or inappropriate security selection. Sixth, the individual holdings were not exotic, illiquid, or speculative - they were mainstream growth-oriented funds and established technology companies. Finally, Margaret did not ultimately suffer a permanent loss, which, while not dispositive, suggests the strategy was fundamentally sound.

### Why Borderline

This case sits in a genuine gray area because it involves a direct conflict between documented risk tolerance (the questionnaire) and behavioral risk tolerance (2008 panic selling, verbal anxiety). Reasonable professionals disagree about how much weight to give questionnaire results versus qualitative behavioral signals. Additionally, the portfolio allocation, while aggressive, is not wildly outside the range for a moderately aggressive investor with a five-year horizon. The near-full recovery complicates the harm analysis. The case essentially asks whether an advisor must override a client's own stated preferences when behavioral evidence suggests the client may not truly understand their own risk tolerance.

### Borderline Factors

- Documented questionnaire supported moderately aggressive classification, but behavioral history (2008 panic selling) strongly contradicted it
- Client gave contradictory verbal signals - wanting maximum growth while also expressing fear of losses

- 68% equity allocation with growth/tech tilt is aggressive but not extreme for a moderately aggressive profile
- Five-year time horizon is arguably sufficient for equity recovery but is also a period where sequence-of-returns risk becomes material
- The 24% drawdown slightly exceeded the client's stated 20% loss tolerance on the questionnaire
- Portfolio nearly fully recovered within 14 months, limiting demonstrable permanent harm
- Advisor's contemporaneous notes documented the conflicting client statements, showing awareness but arguably insufficient response

### Likely Outcome

A regulator would likely issue a cautionary letter or pursue a modest settlement rather than a full enforcement action. The documented questionnaire provides Simmons with a meaningful defense, but the handwritten notes recording Margaret's anxiety and 2008 behavior create a paper trail suggesting he was aware of red flags and chose to rely on the more aggressive data point. A regulator would likely focus on whether Simmons made a reasonable effort to reconcile the conflicting signals and whether the allocation was within the band of reasonableness for the stated profile. The near-complete recovery weakens the damages case significantly. Most likely, this results in enhanced supervision requirements and possibly a small monetary settlement in the range of \$10,000-\$25,000, with the advisor being directed to implement more robust processes for reconciling conflicting risk tolerance indicators.

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## Borderline Scenario 14

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: Under FINRA Rule 2111 (Suitability), the recommendation must be suitable ba*

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### Fact Pattern

Robert and Linda Chen, both 61 years old, met with financial advisor Patricia Nguyen in January 2023 to discuss consolidating their retirement savings. Between them, they had approximately \$620,000 in traditional IRAs, \$85,000 in a Roth IRA belonging to Linda, and \$40,000 in a joint taxable brokerage account. Robert had recently taken early retirement from a manufacturing company, and Linda was still working part-time as a dental hygienist earning \$38,000 per year. They told Nguyen they wanted 'guaranteed income they couldn't outlive' starting around age 67 and expressed significant anxiety about market volatility after watching friends lose substantial retirement savings in prior downturns. In March 2023, Nguyen recommended they move \$310,000 from their traditional IRAs into a fixed indexed annuity with a guaranteed lifetime withdrawal benefit rider. The annuity had a 7-year surrender period with declining surrender charges starting at 7% in year one, an annual rider fee of 1.10%, an annual spread/margin of 2.25% on the index-linked crediting, and a participation rate of 55% on the S&P 500 annual point-to-point crediting method. The guaranteed withdrawal benefit offered a 5.5% annual payout rate if withdrawals began at age 67. Nguyen earned a 5.2% commission (\$16,120) on the sale. The Chens' remaining \$310,000 in traditional IRAs stayed invested in a diversified portfolio of low-cost index funds with an average expense ratio of 0.08%. The \$85,000 Roth IRA was similarly invested in index funds. A competing advisor later reviewed the account and told the Chens they had been sold an 'unnecessary annuity inside an already tax-deferred account,' arguing the tax-deferral benefit of the annuity was redundant since the IRA was already tax-deferred, the fees were excessive, and a systematic withdrawal plan from a balanced index fund portfolio could have achieved similar income at far lower cost. The Chens filed a complaint.

Nguyen responds that the annuity was not recommended for its tax-deferral feature but for its guaranteed lifetime income and downside protection features, which cannot be replicated by a mutual fund portfolio, and that the Chens specifically requested protection from market risk and income they couldn't outlive - exactly what the product provides.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Nguyen violated her obligations: First, the classic criticism of placing an annuity inside an IRA is well-founded - one of the primary economic benefits of a variable or fixed indexed annuity is tax-deferred growth, which is redundant when the annuity is held inside an account that already provides tax deferral. This means the client is paying annuity-layer fees (the 1.10% rider fee, the 2.25% spread, and the reduced participation rate) without receiving the tax-deferral benefit that normally helps justify those costs. Second, the total drag on the indexed crediting - a 2.25% spread plus a 55% participation rate - means the Chens will capture only a fraction of index returns. In many market environments, a low-cost balanced index fund portfolio (which Nguyen herself used for the other half of their IRAs) would likely produce superior net returns. Third, the 7-year surrender period with a 7% initial charge significantly restricts the Chens' access to \$310,000 of their retirement savings during a critical pre-retirement and early-retirement window (ages 61-68). Fourth, the \$16,120 commission creates an obvious conflict of interest that a regulator would scrutinize, particularly when the lower-cost alternative - keeping the funds in index funds and implementing a systematic withdrawal plan - would have generated minimal compensation for Nguyen. Fifth, the Chens only allocated half their IRA assets to the annuity; the other half remained in index funds. This split allocation arguably undermines the necessity argument - if downside protection and guaranteed income were truly paramount, why not protect more of the portfolio?

Arguments that Nguyen acted appropriately: First, the 'annuity inside an IRA is always wrong' argument oversimplifies the analysis. Annuities offer features beyond tax deferral - specifically, guaranteed lifetime income riders and downside protection that no mutual fund or ETF can contractually guarantee. The Chens explicitly said they wanted income they 'couldn't outlive' and expressed 'significant anxiety about market volatility.' A systematic withdrawal plan from a balanced fund portfolio carries sequence-of-returns risk and longevity risk that an annuity with a guaranteed withdrawal benefit directly addresses. Second, the 5.5% guaranteed withdrawal rate at age 67 provides a contractual floor of approximately \$17,050 per year for life from the annuity, regardless of market performance. No investment portfolio can offer this guarantee. Third, allocating only 50% of IRA assets to the annuity and keeping the rest in low-cost index funds demonstrates a balanced approach - the annuity provides a guaranteed income floor while the index fund portfolio provides growth potential and liquidity. This is consistent with a 'flooring' approach to retirement income planning that many practitioners consider best practice. Fourth, the Chens are 61 years old with a 6-year time horizon before planned withdrawals, which aligns reasonably with the 7-year surrender period - by the time they reach their target income date, most surrender charges will have expired or significantly declined. Fifth, the 1.10% rider fee is within the competitive range for guaranteed lifetime withdrawal benefits. Sixth, Nguyen's recommendation was not to annuitize all assets but to create a balanced strategy, suggesting thoughtful planning rather than a commission-driven sale.

### Why Borderline

This scenario is genuinely ambiguous because it pits two legitimate analytical frameworks against each other. The 'cost-efficiency' framework correctly identifies that annuity fees inside an IRA create layered costs without the offsetting tax benefit, and that probabilistic modeling would show a low-cost portfolio outperforming the annuity in most scenarios. The 'behavioral and guarantee' framework correctly identifies that the Chens' expressed preferences for guaranteed income and downside protection are real financial planning needs that cannot be met by a portfolio alone, and that the psychological value of contractual guarantees for anxiety-prone retirees is legitimate. The 50/50 split between the annuity and index funds adds further ambiguity - it suggests moderation rather than a product dump. Reasonable advisors genuinely disagree about whether guaranteed income products are appropriate inside IRAs when the client has explicitly requested certainty.

### Borderline Factors

- Tax-deferral redundancy is real but may be offset by the insurance guarantees the annuity uniquely provides
- Client explicitly requested guaranteed lifetime income and expressed strong market anxiety - the annuity directly addresses both stated needs
- Total annuity cost drag (1.10% rider + 2.25% spread + reduced participation) is significant but within industry norms for this product type
- 50/50 allocation between annuity and low-cost index funds suggests a balanced strategy rather than a commission-driven sale
- 7-year surrender period is long but roughly aligns with the 6-year pre-income timeline
  - \$16,120 commission creates a conflict of interest, but commission alone doesn't make a recommendation inappropriate
- Systematic withdrawal plans are cheaper but carry longevity and sequence-of-returns risks the annuity eliminates
- The competing advisor's criticism reflects a legitimate but not universally held view among financial planning professionals

### Likely Outcome

This is a close case that could go either way depending on the regulatory body and the specific examiner. A regulator would likely focus on whether Nguyen adequately considered and documented reasonably available alternatives, particularly whether she analyzed the cost differential between the annuity strategy and a systematic withdrawal plan from the existing index fund portfolio. If Nguyen can produce documentation showing she considered alternatives, explained the trade-offs (including the fee layering issue), and the Chens made an informed decision prioritizing guarantees over cost efficiency, the recommendation would likely survive scrutiny. If no such documentation exists and the recommendation appears to have been made without comparative analysis, a regulator would be more inclined to find a violation, focusing on the conflict created by the commission differential. Most likely outcome: if well-documented, a finding of no violation with possible informal guidance about improving disclosure practices around annuity costs inside tax-deferred accounts; if poorly documented, a potential moderate fine in the \$15,000-\$30,000 range and disgorgement of the commission, with restitution to the clients for surrender charges if they choose to exit the product.

## Borderline Scenario 15

Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the

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### Fact Pattern

Margaret Ellison, age 78, had been a client of financial advisor David Huang for eleven years. She had a brokerage account valued at approximately \$1.4 million, which represented roughly 85% of her total liquid net worth. Her stated investment objectives on file were 'income and capital preservation,' and her risk tolerance was documented as 'moderate.' Mrs. Ellison was a retired school principal with a master's degree, lived independently, managed her own household finances, and had no diagnosed cognitive impairments. She regularly read financial news and occasionally emailed David with questions about market events.

In March 2023, Mrs. Ellison's 38-year-old grandson, Tyler, moved back in with her after a divorce. Over the following months, Mrs. Ellison called David three times asking to liquidate portions of her portfolio to give Tyler cash gifts - \$15,000 in April, \$20,000 in June, and \$25,000 in August. David processed all three requests without objection.

In October 2023, Mrs. Ellison told David she wanted to restructure her portfolio more aggressively, shifting approximately \$400,000 from investment-grade bond funds and CDs into a combination of dividend-paying equity ETFs and a high-yield bond fund. She explained that she wanted higher income to help support Tyler while he got back on his feet, and that she believed she had 'plenty of money to last.' David discussed the increased volatility and credit risk but noted that the high-yield bond fund had a 5.8% yield compared to her existing bonds averaging 3.2%, and that the dividend ETFs had a strong historical track record. He updated her risk tolerance to 'moderate-aggressive' after a conversation and executed the trades.

Mrs. Ellison's daughter, Patricia, discovered the portfolio changes in January 2024 and filed a complaint, alleging that David had failed to protect her elderly mother from financial exploitation by a family member and had made unsuitable changes to facilitate the grandson's influence. Patricia noted that the \$60,000 in gifts plus the portfolio restructuring put her mother at greater financial risk during her remaining years. David countered that Mrs. Ellison was mentally competent, that she had initiated every request, that she understood the changes, and that the new portfolio - while more aggressive - still held 55% in fixed income instruments and was not unreasonable for someone with her asset level and a 15-20 year actuarial life expectancy for financial planning purposes. He also noted that he had flagged the account internally after the second gift request and had a brief conversation with his branch manager, who advised monitoring but not refusing the client's instructions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that David violated his obligations: The pattern of escalating cash withdrawals followed by a significant portfolio restructuring toward riskier assets raises red flags consistent with third-party financial exploitation of a senior investor. A 78-year-old client with 'income and capital preservation' objectives shifting \$400,000 into higher-risk products shortly after a family member moved in represents a material



change in investment profile that arguably warranted more scrutiny than a single conversation and a risk tolerance update. The gifts totaling \$60,000 plus the shift to more volatile assets could meaningfully impair Mrs. Ellison's financial security over a 15-20 year horizon, particularly if she faces health-care costs. Under FINRA Rule 2165, firms have the ability to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior, and David's failure to utilize this mechanism - or at least to escalate more aggressively - could be seen as a failure of care. Under Regulation Best Interest's Care Obligation, David needed to exercise reasonable diligence, care, and skill in making the recommendation to restructure, and arguably the totality of the circumstances (senior client, sudden behavioral change coinciding with a dependent family member's arrival, deviation from longstanding objectives) required more than a conversation before proceeding.

Arguments that David acted appropriately: Mrs. Ellison was by all accounts mentally competent, educated, financially engaged, and had initiated every single transaction herself. There is no evidence that Tyler was present during any conversations with David or that Tyler directly pressured David. Advisors cannot refuse to follow the lawful instructions of competent adult clients based solely on suspicion about family dynamics - doing so would be paternalistic and potentially a breach of the advisor's duty to act on client instructions. The restructured portfolio was not wildly aggressive: 55% remained in fixed income, and the shift from 3.2% to 5.8% yield on a portion of assets is a reasonable income-enhancement strategy. With \$1.4 million in assets, Mrs. Ellison had substantial resources even after the gifts. David did flag the situation internally and consulted his branch manager, demonstrating some level of heightened attention. Under FINRA Rule 2111, the recommendation must be suitable based on the customer's investment profile, and Mrs. Ellison's profile - as updated through legitimate client communication - supported the recommendation. The risk tolerance change was client-driven, not advisor-driven.

### Why Borderline

This scenario sits at the intersection of client autonomy and advisor protective duties toward senior investors. Mrs. Ellison displayed no signs of cognitive decline, was educated and engaged, and initiated all transactions - facts that strongly support the advisor's position. However, the pattern of escalating withdrawals coinciding with a dependent family member's arrival, followed by a meaningful shift in a longstanding conservative investment strategy, presents exactly the kind of circumstantial red-flag pattern that senior investor protection frameworks are designed to address. Reasonable practitioners disagree about how aggressively an advisor should intervene when the client appears competent but the surrounding circumstances suggest possible undue influence. The advisor took some protective steps (internal flagging, manager consultation) but did not take the more aggressive step of placing a temporary hold or refusing to execute.

### Borderline Factors

- Client was mentally competent with no diagnosed cognitive impairments and initiated all transactions herself
- Escalating pattern of cash gifts (\$15K, \$20K, \$25K) coinciding with a dependent family member moving in
- Portfolio restructuring deviated from eleven years of consistent conservative objectives
- Restructured portfolio was still majority fixed income (55%) and not wildly aggressive given asset level
- Advisor flagged the account internally and consulted management, but did not place a temporary hold on disbursements

- Client was educated, financially literate, and regularly engaged with market news
- No direct evidence of third-party presence during advisor conversations or overt coercion
- The higher-yield strategy was facially reasonable as an income-enhancement approach

### Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary letter or minor sanctions rather than a full enforcement action. The advisor's documentation of internal escalation and the client's clear competency weigh in his favor. However, regulators have increasingly emphasized that advisors bear heightened responsibilities toward senior clients, and the failure to use available tools like temporary holds under FINRA Rule 2165 when multiple red flags were present could be viewed as a failure to adequately protect the client. The most likely outcome is a supervisory deficiency finding against the firm for not having more robust escalation procedures, with the individual advisor receiving a letter of caution or, at most, a fine in the lower range, rather than a suspension or bar.

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## Borderline Scenario 16

*Topic: complex\_products\_unsophisticated\_investor | Standard: Regulation Best Interest (Reg BI) under the Securities Exchange Act*

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### Fact Pattern

Roberto Garza, age 44, worked as a long-haul truck driver earning approximately \$72,000 per year. He had a high school diploma and no formal financial education. His total investable assets were approximately \$210,000, accumulated over fifteen years in a rollover IRA from a previous employer's 401(k) plan. He told his financial advisor, Christine Park, that he wanted 'steady growth for retirement' and described himself as someone who 'doesn't really understand Wall Street stuff but trusts you to do the right thing.' His documented risk tolerance was 'moderate,' and his investment time horizon was 20+ years until retirement at age 65.

In February 2023, Christine recommended that Roberto allocate \$50,000 (approximately 24% of his portfolio) into a structured note linked to the S&P 500 index. The note had a 6-year maturity, offered a 10% annual coupon contingent on the S&P 500 not falling below 70% of its initial level on any observation date (a 'knock-in' barrier), and provided no principal protection if the barrier was breached - meaning Roberto could lose a significant portion of his investment if the index fell more than 30% at any point during the 6-year term. The note was issued by a major investment bank with a strong credit rating. If the barrier was never breached, Roberto would receive his full principal back plus the accumulated coupons at maturity.

Christine presented the product in a 45-minute meeting, using the issuer's marketing materials and a simplified one-page summary she had created that showed three scenarios: a 'good' outcome (full coupon payments plus principal return), a 'moderate' outcome (some coupon payments with early call), and a 'bad' outcome (principal loss if barrier breached). Roberto signed the structured product risk disclosure form and a new account agreement acknowledging the product's complexity. Christine's notes from the meeting indicated that Roberto asked two questions: 'So I get 10% a year as long as the market doesn't crash?' and 'What are the chances of that happening?' Christine responded that a 30% decline was 'relatively rare but not impossible' and referenced the 2020 COVID crash as an example of a rapid decline that briefly breached similar levels.

The remaining \$160,000 of Roberto's IRA was invested in a diversified mix of low-cost index funds and target-date funds. Roberto filed a complaint in November 2023 after reading an online article about structured notes that described them as 'complex derivatives unsuitable for average investors.' He said he did not fully understand the barrier knock-in feature, the credit risk of the issuer, or the illiquidity of the note (which could only be sold on a secondary market at a potential discount before maturity). He also said he felt rushed during the meeting and did not realize the product was fundamentally different from his other investments. Christine maintained that Roberto had a long time horizon, that the 24% allocation was reasonable, that the conditional coupon offered attractive income potential in a moderate-risk framework, and that Roberto had signed all required disclosures and asked intelligent questions during the meeting.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Christine violated her obligations: Structured notes with knock-in barriers are complex derivative products that embed multiple layers of risk - market risk, credit risk, liquidity risk, and the optionality embedded in the barrier feature. Roberto had no formal financial education, described himself as someone who 'doesn't really understand Wall Street stuff,' and relied heavily on his advisor's judgment. Under the Care Obligation of Regulation Best Interest, the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile, and must understand the risks and rewards of the recommendation. The complexity of a contingent coupon barrier note arguably exceeds the reasonable comprehension level of an unsophisticated investor, raising questions about whether meaningful informed consent was possible in a 45-minute meeting. The illiquidity of the note (6-year maturity with limited secondary market) in an IRA for a client whose entire retirement savings totaled \$210,000 is concerning. Additionally, the 24% concentration in a single complex instrument is a meaningful allocation for someone with limited financial sophistication. The advisor's simplified one-page summary, while well-intentioned, may have oversimplified the product and obscured key risks like issuer credit risk and secondary market illiquidity.

Arguments that Christine acted appropriately: The structured note represented 24% of the portfolio, leaving 76% in diversified, low-cost, straightforward investments - a reasonable allocation that does not represent excessive concentration. Roberto's 20+ year time horizon means the 6-year note maturity is well within his investment horizon. The 70% barrier (a 30% decline) provides a meaningful buffer, and the 10% conditional coupon offers an attractive risk-adjusted return for a moderate-risk investor. Roberto asked pertinent questions during the meeting, suggesting he understood the basic mechanics. He signed disclosure forms acknowledging the product's complexity. Christine used visual aids and a simplified summary to enhance comprehension, demonstrating she made efforts to ensure understanding. The fact that the note issuer was a major bank with a strong credit rating mitigated issuer credit risk. The product's conditional return profile - high income with downside protection above the barrier - aligns with a 'moderate' risk tolerance and 'steady growth' objective. Advisors are not prohibited from recommending complex products to less sophisticated clients if adequate disclosure and explanation are provided and the product fits the client's profile. Roberto's complaint was triggered by reading a general article rather than any actual adverse investment outcome.

### Why Borderline

This scenario highlights the tension between product complexity and client sophistication. There is no bright-line rule prohibiting the recommendation of structured notes to clients without advanced financial education, and the product's risk-return profile arguably matched Roberto's stated objectives and risk tolerance. However, the client's self-described lack of financial knowledge, his heavy reliance on the advisor's judgment, and the embedded complexity of the barrier knock-in feature create genuine doubt about whether meaningful informed consent was achieved. The 24% allocation is not extreme but is significant for a client with limited total assets and no other investment accounts. Reasonable regulators could disagree about whether the advisor's 45-minute explanation and one-page summary were sufficient to bridge the knowledge gap, or whether the product was simply too complex for this client regardless of the explanation provided.

### Borderline Factors

- Client had no formal financial education and explicitly stated he did not understand financial markets
- Client asked two relevant questions suggesting at least basic comprehension of the core risk
- 24% allocation is meaningful but not extreme concentration for a single product
- Product risk-return profile (high conditional income with downside buffer) facially aligns with 'moderate' risk tolerance and 'steady growth' objective
- 6-year illiquid maturity in an IRA account representing the client's entire retirement savings
- Advisor used simplified materials and conducted a 45-minute meeting, but structured notes typically require deeper financial literacy to fully understand
  - Client signed all risk disclosures, though the meaningfulness of signature-based consent for unsophisticated investors is debatable
    - 76% of portfolio remained in low-cost diversified funds, demonstrating overall portfolio-level reasonableness
- Complaint was triggered by a media article rather than actual investment losses
- Issuer credit risk was mitigated by a strong credit-rated major bank

### Likely Outcome

A regulator would likely view this as a borderline case and the outcome would depend heavily on the specific facts developed during examination. If the regulator focuses on the portfolio-level suitability, the signed disclosures, the advisor's efforts to explain the product, and the reasonable alignment with the client's profile, the advisor could avoid sanctions. However, if the regulator applies a more rigorous analysis of whether the client could meaningfully understand the product's embedded risks - particularly the knock-in barrier mechanics, credit risk, and illiquidity - they may find that the recommendation failed the Care Obligation under Reg BI. The most likely outcome is that the regulator would issue findings of a deficiency with a moderate fine (\$5,000-\$15,000) and require enhanced supervisory procedures for complex product recommendations to unsophisticated clients, rather than imposing severe sanctions like suspension. The absence of actual client harm at the time of complaint would likely temper the enforcement response.

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## Borderline Scenario 17

Topic: *excessive\_load\_funds* | Standard: Under FINRA Rule 2111 (Suitability), the recommendation must be suitable based on the c

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### Fact Pattern

Patricia Kowalski, age 58, is a recently retired school administrator with a pension providing \$4,200 per month and a lump-sum retirement payout of \$410,000 that she wanted to invest for supplemental income and moderate growth over the next 15-20 years. She had a moderate risk tolerance and indicated she did not want to actively manage her investments or make frequent changes. She told her advisor, Greg Dawson, that she wanted 'something I can set and forget, with good professional management.' Dawson recommended allocating \$280,000 across four Class A share mutual funds - a large-cap value fund (5.25% front-end load, 0.82% expense ratio), a balanced fund (4.50% front-end load, 0.74% expense ratio), an international equity fund (5.50% front-end load, 1.08% expense ratio), and a short-term bond fund (2.25% front-end load, 0.55% expense ratio). The remaining \$130,000 was placed in a no-load intermediate-term bond ETF with a 0.06% expense ratio. Dawson's firm offered no-load and low-load alternatives in each asset class with comparable historical performance and Morningstar ratings, including institutional share classes available at lower minimums through the firm's advisory platform. The no-load large-cap value fund had a 0.45% expense ratio; the no-load balanced fund had a 0.38% expense ratio; the no-load international fund had a 0.52% expense ratio. However, the Class A share funds Dawson recommended all had breakpoint discounts applied - Patricia received the \$250,000 breakpoint tier by signing a letter of intent, reducing the effective weighted front-end load to approximately 4.6% on the \$280,000 allocation. Dawson also noted in his file that the Class A funds had lower ongoing expense ratios than their Class C share equivalents, that Patricia explicitly said she did not want an advisory fee-based account (which would have charged 1.0% annually), and that over her stated 15-20 year time horizon, the total cost of Class A shares with breakpoints would likely be lower than Class C shares or even the 1.0% annual advisory fee. Patricia's total upfront load charges were approximately \$12,880. Dawson earned approximately \$5,400 in commissions. The firm's compliance department had approved all four funds for the firm's recommended list. Six months later, Patricia's daughter, a CPA, reviewed the portfolio and noted that comparable no-load index funds were available through the same firm and would have saved her mother the entire front-end load while delivering similar category performance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dawson violated his obligations: The firm had readily available no-load alternatives in each asset class with comparable or identical Morningstar ratings and similar historical performance. The \$12,880 in upfront loads represents a meaningful drag on Patricia's retirement assets - approximately 3.1% of her total investable assets - that was avoidable. A reasonable analysis would show that no-load index funds, even inside a fee-based advisory account at 1.0% annually, would have broken even with the Class A load structure within roughly 3-5 years, and Patricia's 15-20 year horizon means the cheaper ongoing costs of the no-load options would have compounded significantly in her favor. The existence of lower-cost reasonably comparable alternatives at the same firm raises the question of whether the recommendation was influenced by the commission incentive. Arguments that Dawson acted appropriately: Patricia explicitly rejected a fee-based advisory account, which would have been the typical vehicle for accessing no-load institutional shares. The Class A shares with breakpoints applied are a well-recognized cost-efficient structure for long-term buy-and-hold investors - industry cost analyses have frequently shown that Class A shares with breakpoints outperform Class C shares and sometimes even fee-based arrangements over holding periods exceeding 7-10 years. Dawson documented his rationale, ensured breakpoints were properly applied via the letter of intent, and placed 32% of the portfolio (\$130,000) in a low-cost no-load

ETF, suggesting he was not indiscriminately loading the portfolio. The funds were all on the firm's approved list and were suitable for Patricia's risk tolerance, time horizon, and income needs. The active management component was consistent with Patricia's stated desire for professional management in a 'set and forget' structure. Additionally, the total cost comparison is not straightforward: if Patricia held for 15 years, the annualized impact of the front-end load is approximately 0.31% per year, and combined with the Class A expense ratios, the all-in cost may be competitive with alternatives depending on assumptions about advisory fees, rebalancing costs, and share class availability outside fee-based platforms.

### Why Borderline

This case sits in the gray zone because while cheaper alternatives existed at the same firm, the advisor made a defensible cost-structure argument for Class A shares with breakpoints for a long-term holder who rejected fee-based pricing. The load funds were not exotic or unsuitable products - they were mainstream, approved funds in appropriate asset classes. The core tension is between 'suitable and defensible' versus 'not the lowest-cost option available,' and reasonable practitioners disagree about whether an advisor must recommend the cheapest available option when a more expensive but still cost-rational alternative exists, particularly when the client's own stated preferences (rejecting fee-based accounts, wanting professional active management) point toward the recommended structure.

### Borderline Factors

- No-load alternatives with comparable ratings and performance existed at the same firm
- Client explicitly rejected fee-based advisory account, limiting access to institutional no-load share classes
- Breakpoints were properly applied via letter of intent, reducing load costs
- Class A shares with breakpoints are a recognized cost-efficient structure for 15-20 year holding periods
- Advisor documented rationale and placed a meaningful portion in low-cost ETF
- \$12,880 in loads is material but annualizes to roughly 0.31% over stated time horizon
- Advisor earned \$5,400 in commissions creating a conflict of interest
- Client's stated preference for professional management and 'set and forget' approach arguably supports actively managed funds
- Total cost comparison depends heavily on assumptions about holding period, fee-based account costs, and rebalancing

### Likely Outcome

A regulator would likely not bring a formal enforcement action but might issue a cautionary letter or require enhanced documentation standards. The breakpoint application, documented rationale, client's rejection of fee-based pricing, and use of approved funds all provide significant defensive weight. However, a regulator applying a best interest framework might require the advisor to demonstrate that he considered and presented the no-load alternatives to the client and explained the cost differential, rather than simply defaulting to load funds. If the advisor failed to disclose the availability of comparable no-load options, the case becomes stronger for a violation. If he discussed them and Patricia still preferred the recommended structure, the case is likely compliant.

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## Borderline Scenario 18

Topic: *illiquid\_real\_estate\_investment* | Standard: *FINRA Rule 2111 (Suitability)* requires that a recommended investment be suitable

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**Fact Pattern**

Dr. Raymond Chen, age 47, is a radiologist earning approximately \$620,000 annually with a net worth of approximately \$3.8 million, including \$1.4 million in retirement accounts, a \$1.1 million home (with \$380,000 remaining on the mortgage), \$740,000 in taxable brokerage accounts, and \$560,000 in cash and money market funds. He told his advisor, Sandra Fielding, that he was interested in diversifying beyond stocks and bonds and wanted exposure to real estate without the hassle of being a landlord. He mentioned that two colleagues had invested in private real estate funds and were pleased with the tax-advantaged income. Fielding recommended that Dr. Chen invest \$200,000 in a non-traded real estate investment trust focused on medical office buildings and senior living facilities. The investment had a minimum seven-year holding period with no guaranteed liquidity before maturity, distributions projected at 5.5-6.5% annually (partially tax-sheltered through depreciation), total upfront costs of approximately 12% (including selling commissions, dealer manager fees, and organizational expenses), and a prior program track record showing average annualized returns of 7.8% net of fees over completed program lifecycles. Fielding disclosed the fees and illiquidity restrictions both verbally and in writing, and Dr. Chen signed an acknowledgment form. Dr. Chen indicated on his account documentation that his investment time horizon was 10-15 years, his risk tolerance was 'moderate to aggressive,' and he had no anticipated major liquidity needs in the next five years beyond normal living expenses and his existing mortgage payments. His wife, Dr. Lisa Chen, also a physician earning \$410,000, was aware of and supported the investment. However, three complicating factors emerged: (1) Dr. Chen mentioned during the meeting that he and his wife were 'thinking about' buying a vacation property in the next 2-3 years in the \$500,000-\$700,000 range but hadn't made any firm plans; (2) Dr. Chen's taxable brokerage account was already 22% concentrated in publicly traded REITs; and (3) eighteen months after the investment, Dr. Chen's practice group lost a major hospital contract, reducing his income by approximately 35%, and he attempted to redeem his non-traded REIT position but was told redemptions were suspended due to the fund's quarterly redemption cap being exceeded. He filed a complaint alleging the investment was inappropriate given his real estate concentration and potential liquidity needs.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Fielding violated her obligations: At the time of the recommendation, Dr. Chen's overall real estate exposure would have been substantial - his \$1.1 million home, \$163,000 in publicly traded REITs (22% of his \$740,000 brokerage account), and the proposed \$200,000 non-traded REIT would total approximately \$1.46 million, or roughly 38% of his gross net worth concentrated in real estate and real estate-related investments. This concentration risk is notable even for a high-income investor. Additionally, Dr. Chen mentioned a potential vacation property purchase of \$500,000-\$700,000 in 2-3 years, which - if pursued - would require significant liquidity. Tying up \$200,000 in a seven-year illiquid vehicle while contemplating a major discretionary purchase raises questions about whether the advisor adequately accounted for potential liquidity needs. The 12% upfront cost is significantly higher than publicly traded REIT alternatives or even private real estate funds with lower fee structures, meaning Dr. Chen's investment was immediately worth approximately \$176,000 upon purchase. Arguments that Fielding acted appropriately: Dr. Chen's household income exceeded \$1 million, his liquid assets (brokerage plus cash) totaled approximately \$1.3 million, and the \$200,000 investment represented only about 5.3% of his total net worth and approximately 15% of his liquid, non-retirement assets. Even if the Chens purchased a

vacation property, they would still have over \$1 million in liquid assets plus substantial retirement accounts. The vacation property discussion was explicitly described as tentative ('thinking about'), with no firm timeline or commitment. Fielding properly disclosed all fees and illiquidity restrictions, and Dr. Chen signed an acknowledgment. The non-traded REIT's focus on medical office buildings and senior living facilities offered genuine diversification benefit - different underlying real estate sectors than a home or broad publicly traded REITs - and the tax-sheltered income component was specifically aligned with Dr. Chen's stated interest. The subsequent income loss was an unforeseeable event that does not retroactively make the recommendation unsuitable at the time it was made. Non-traded REITs are specifically designed for accredited, high-net-worth investors with long time horizons, and Dr. Chen met all of those criteria comfortably.

### Why Borderline

This case is genuinely ambiguous because it involves competing legitimate considerations. The investment was appropriate for Dr. Chen's income level, net worth, time horizon, and stated objectives when viewed in isolation. However, the cumulative real estate concentration, the tentative but real possibility of a major near-term liquidity need, and the high upfront costs of the non-traded REIT create reasonable grounds for questioning whether the advisor fully considered the client's complete financial picture. The subsequent adverse event - while not directly relevant to suitability at the time of recommendation - illustrates the very liquidity risk that arguably should have been weighed more carefully. Reasonable regulators could disagree about whether the vacation property discussion constituted a sufficiently concrete liquidity need to affect the suitability analysis, and whether 38% real estate concentration for a high-income physician represents imprudent concentration or reasonable diversification into a favored asset class.

### Borderline Factors

- Overall real estate concentration of approximately 38% of net worth including home, public REITs, and the non-traded REIT
- Client's tentative but stated interest in a \$500,000-\$700,000 vacation property purchase within 2-3 years
- Vacation property plans were described as 'thinking about' with no firm commitment
- 12% upfront costs significantly higher than publicly traded REIT alternatives
- Investment represented only 5.3% of total net worth and 15% of liquid non-retirement assets
- Household income exceeded \$1 million at time of recommendation with over \$1.3 million in liquid assets
- Full written disclosure of illiquidity and fees with signed client acknowledgment
- Non-traded REIT sector focus (medical office/senior living) offered genuine diversification from existing REIT holdings
- Subsequent income reduction was unforeseeable but highlighted the liquidity risk
- Client specifically sought tax-advantaged real estate exposure without landlord responsibilities

### Likely Outcome

A regulator would likely view this as a close case that turns on the adequacy of the advisor's concentration analysis and documentation of the vacation property discussion. If Fielding documented that she considered the total real estate exposure, analyzed the vacation property plans as tentative, and determined that Dr. Chen's remaining liquidity was sufficient even if the property was purchased, the case would likely be resolved without a finding of violation, possibly with a cautionary reminder about concentration documentation. If Fielding failed to document any consideration of these factors, a regulator might find a process deficiency constituting a violation, likely resulting in a modest fine and enhanced

supervision rather than severe sanctions. The fact that the income loss was unforeseeable weighs heavily in Fielding's favor, as suitability is assessed at the time of recommendation.

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## Borderline Scenario 19

Topic: *alternative\_investments\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) governs this transaction as it occurred in a brok*

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### Fact Pattern

Marcus Webb, age 58, is a semi-retired real estate developer with a net worth of approximately \$4.2 million, of which \$2.8 million is in liquid investable assets held at a full-service brokerage. His annual income from consulting work and rental properties is approximately \$185,000. Webb described his investment objective as 'growth with some income' and indicated a moderate risk tolerance on his new account form. He told his advisor, Diane Petrakis, that he wanted to 'do better than bonds' and was frustrated with low yields in his fixed income portfolio. He mentioned he was comfortable with real estate-like investments since that was his professional background. In March 2022, Petrakis recommended Webb allocate \$420,000 (15% of his liquid portfolio) to a non-traded real estate investment trust (REIT) focused on commercial office and mixed-use properties, with a 7-year lockup period and a stated target return of 7-9% annually. The product charged a 5.75% upfront sales load, a 1.5% annual management fee, and carried a 1% early redemption fee applicable during the first five years. Petrakis earned a 7% commission on the sale. She provided Webb with the offering memorandum, which was 247 pages long, and discussed the key terms over a 45-minute meeting. Webb signed all disclosure documents, including a page acknowledging the illiquid nature of the investment and the lockup period. Petrakis did not present alternative options such as publicly traded REITs, interval funds, or high-yield bond funds. By late 2023, the non-traded REIT suspended its share repurchase program due to heavy redemption requests across the commercial real estate market, and its estimated net asset value had declined by approximately 18%. Webb complained that he was not adequately informed about the risks and that the product was unsuitable given his age and approaching full retirement, which he planned for age 62. Petrakis contends that Webb's real estate background made him uniquely well-suited to understand commercial property risk, that a 15% allocation was conservative for an alternative investment, and that the 7-year lockup aligns with his stated 4-year-plus horizon to full retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Webb was 58 at the time of purchase and planning to fully retire at 62, creating a 4-year timeline that is shorter than the 7-year lockup period. This mismatch between the client's anticipated liquidity needs and the product's illiquidity is a significant concern. The high upfront commission (7% to the advisor, 5.75% load to the client) raises questions about whether cost considerations were adequately weighed. Petrakis did not present reasonably available alternatives such as publicly traded REITs, which offer similar real estate exposure with daily liquidity, or interval funds that provide periodic redemption windows. The 247-page offering memorandum, reviewed in a 45-minute meeting, raises questions about whether the client could meaningfully understand all material risks. The subsequent suspension of the share repurchase program illustrates exactly the type of liquidity risk that was

foreseeable in the commercial real estate market.

Arguments against a violation: A 15% allocation to alternatives is within commonly accepted thresholds for a client with \$2.8 million in liquid assets, \$185,000 in annual income, and moderate risk tolerance. Webb's decades of professional experience as a real estate developer gave him genuine, sophisticated understanding of commercial property risk that most retail investors lack - he was not a typical client being sold an opaque product. Webb affirmatively expressed frustration with bond yields and specifically requested exposure to real estate-like investments, effectively driving the recommendation. The remaining 85% of his portfolio (\$2.38 million) provides substantial liquidity for his retirement transition at 62. Webb signed all disclosure documents including specific acknowledgment of illiquidity. The NAV decline was driven by a broad market downturn in commercial real estate that was not clearly foreseeable at purchase. The 7-9% target return was reasonable for the risk taken and aligned with Webb's growth-with-income objective.

### Why Borderline

This case sits in a genuine gray area because the client's professional background in real estate meaningfully distinguishes him from a typical retail investor being sold a complex alternative product, yet the temporal mismatch between the lockup period and his retirement timeline is a legitimate structural concern. The 15% allocation is at the boundary of what many firms consider acceptable for illiquid alternatives. The advisor's failure to present liquid alternatives is problematic, but the client's expressed preference for real estate exposure and dissatisfaction with traditional fixed income arguably narrowed the reasonable recommendation set. The high commission creates an appearance of conflict but does not by itself establish unsuitability if the product otherwise fits.

### Borderline Factors

- Client's professional real estate development background provides genuine sophistication that mitigates typical alternative investment suitability concerns
- 7-year lockup period exceeds the client's 4-year timeline to full retirement, but remaining liquid assets are substantial enough to fund retirement without this allocation
- 15% allocation to a single illiquid alternative is at the boundary of commonly accepted concentration limits
- High upfront load (5.75%) and advisor commission (7%) raise cost concerns but are standard for non-traded REIT products
- Advisor did not present publicly traded REITs or other liquid alternatives, but client specifically requested real estate exposure with returns exceeding bonds
- Client signed all disclosure documents including illiquidity acknowledgment, but the offering memorandum's length relative to review time raises informed consent questions
- NAV decline was market-driven rather than product-specific, complicating the causation analysis

### Likely Outcome

A regulator would likely issue a cautionary finding or modest sanctions rather than a severe enforcement action. The temporal mismatch between the lockup and retirement timeline, combined with the failure to discuss lower-cost liquid alternatives and the high commission, would likely tip the balance toward finding some deficiency in the recommendation process. However, the client's professional background, the reasonable allocation size, and the signed disclosures would significantly mitigate the severity. A panel

might find a technical suitability issue with reduced damages, potentially offset by the client's contributory sophistication. Settlement in the range of partial commission disgorgement and reduced losses is most probable.

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## Borderline Scenario 20

Topic: *margin\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) applies, including its three components: reasonable-basis suitability*

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### Fact Pattern

Carla Dominguez, age 44, is a software engineering manager earning \$210,000 annually with a net worth of approximately \$1.1 million, including \$680,000 in a brokerage account, \$290,000 in retirement accounts, and approximately \$140,000 in home equity. She has been a client of advisor Ryan Hurst for three years and has traded individual stocks actively during that period, executing approximately 40-50 trades per year. Her account documents indicate 'aggressive' risk tolerance and 'speculation' as a secondary investment objective alongside 'growth.' In January 2023, Dominguez told Hurst she wanted to increase her market exposure because she believed the technology sector was poised for a strong recovery. Hurst suggested she could use margin to amplify her positions, and after a detailed conversation, a margin agreement was executed. Over the following four months, Dominguez gradually increased her margin usage, ultimately borrowing approximately \$310,000 against her \$680,000 portfolio - a margin-to-equity ratio of roughly 46%. The margin was used to purchase additional shares of five large-cap technology stocks (Apple, Microsoft, Nvidia, Alphabet, and Amazon), creating a portfolio that was approximately 78% concentrated in the technology sector. Hurst monitored the account and sent Dominguez monthly portfolio summaries showing the margin balance and sector concentration. In two emails, Hurst noted that the margin usage was 'getting up there' and suggested she 'might want to think about taking some off the table,' but he did not formally recommend reducing positions or set any internal limits. Dominguez responded to one email stating, 'I'm comfortable, I know tech, let it ride.' In August 2023, a sharp two-week selloff in technology stocks triggered a margin call of \$87,000. Dominguez deposited \$40,000 and liquidated approximately \$65,000 in positions at a loss to meet the call. Her total realized and unrealized losses attributable to the margin positions were approximately \$124,000. Dominguez subsequently filed a complaint alleging that Hurst should never have recommended margin for her account and that the resulting concentration was excessive. Hurst maintains that Dominguez was a knowledgeable, experienced trader who understood margin mechanics, drove the strategy herself, and was kept fully informed throughout.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The 46% margin-to-equity ratio, combined with 78% technology sector concentration, created compounding risks that significantly amplified the client's exposure to a sector-specific downturn. While Dominguez had aggressive risk tolerance, the combination of leverage and concentration arguably exceeded what even an aggressive profile warrants. Hurst's informal cautions ('getting up there,' 'think about taking some off the table') suggest he recognized the risk was elevated but failed to take meaningful steps to manage it. An advisor has an obligation to do more than passively observe escalating risk - the informal warnings without follow-through could be viewed as the advisor

acknowledging the problem but failing to act. The \$124,000 loss represents approximately 11% of Dominguez's total net worth and 18% of her brokerage portfolio, which is significant. The margin recommendation itself may have been the catalyst that enabled a concentration level Dominguez could not have achieved with cash alone.

Arguments against a violation: Dominguez's account profile - aggressive risk tolerance, speculation as a stated objective, \$210,000 income, three years of active trading with 40-50 trades annually - places her squarely in the category of clients for whom margin is a reasonable tool. She initiated the desire to increase technology exposure; Hurst facilitated but did not originate the concentrated bet. Large-cap technology stocks (Apple, Microsoft, Nvidia, Alphabet, Amazon) are among the most liquid, widely followed securities in the world - this is not margin used to buy speculative penny stocks. The margin-to-equity ratio of 46% is below the 50% initial margin requirement and does not represent an extreme use of leverage. Hurst provided ongoing disclosure through monthly summaries and proactively flagged concerns twice in writing, and Dominguez explicitly acknowledged the risk and directed him to maintain positions. Her written response ('I'm comfortable, I know tech, let it ride') constitutes informed consent from a sophisticated client. The \$124,000 loss, while painful, did not jeopardize her financial stability given her \$210,000 income and remaining assets of approximately \$976,000.

### Why Borderline

This case is genuinely ambiguous because it involves the intersection of an aggressive, experienced client who drove the strategy and an advisor who recognized escalating risk but chose soft warnings over firm action. The margin usage was within standard limits and involved high-quality securities, but the sector concentration it enabled created a correlated risk that amplified losses beyond what diversified margin usage would have produced. The advisor's documented cautions cut both ways: they show awareness and some effort at guidance, but they also demonstrate he identified the risk and did not adequately address it. Reasonable practitioners disagree about where an advisor's duty to protect a client from herself begins when the client is sophisticated, informed, and insistent.

### Borderline Factors

- Client had aggressive risk tolerance, speculation as a stated objective, and three years of active trading experience with 40-50 annual trades
- 46% margin-to-equity ratio is within standard initial margin limits but creates meaningful amplified downside risk
- Concentration of 78% in technology sector compounded the leverage risk, but all five positions were large-cap, highly liquid stocks
- Advisor provided informal warnings about elevated margin usage but did not formally recommend reducing positions or set internal risk limits
- Client explicitly acknowledged the risk in writing and directed the advisor to maintain positions
- The strategy was client-driven rather than advisor-originated, but the advisor facilitated it by initially suggesting margin as a tool
- Losses of \$124,000 were significant but did not threaten the client's overall financial stability given her income and remaining net worth
- Monthly portfolio summaries with margin balances were provided, demonstrating ongoing transparency

### Likely Outcome



A regulator or arbitration panel would likely find this to be a close case that could go either way depending on the panel's view of the advisor's duty to a sophisticated, self-directed aggressive client. The most probable outcome is a finding of partial responsibility - the advisor's initial margin recommendation and subsequent passive monitoring despite recognized escalating risk constitute a deficiency, but the client's sophistication, explicit written direction, and aggressive profile significantly reduce damages. An arbitration panel might award 25-40% of claimed losses, reflecting shared responsibility. A regulator might issue a cautionary letter or require enhanced supervision procedures rather than impose significant sanctions, particularly given the documented client communications.

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### Borderline Scenario 21

*Topic: illiquid\_real\_estate\_investment | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and*

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#### Fact Pattern

Margaret Olsen, age 61, is a retired school principal with a pension providing \$4,800 per month and Social Security benefits of \$2,200 per month. Her total liquid investment portfolio was approximately \$620,000, held in a mix of bond funds, dividend-paying stocks, and money market accounts. She had no outstanding debts, owned her home outright, and had a stated investment objective of 'growth and income' with a moderate risk tolerance. In March 2022, her financial advisor, Brian Kessler, recommended she invest \$95,000 - approximately 15.3% of her liquid portfolio - into a non-traded real estate investment trust focused on commercial office and medical office properties. The REIT had a minimum seven-year holding period with no established secondary market, offered a projected annual distribution of 6.5%, and carried an upfront load and offering costs totaling approximately 8.5% of the invested capital. Kessler explained the illiquidity constraints to Olsen both verbally and through a product-specific disclosure form she signed. He documented in his notes that she said she did not anticipate needing the \$95,000 in the near term and was 'comfortable locking it up for the income.' Olsen also had a \$48,000 emergency fund in a savings account separate from her investment portfolio. However, Olsen's husband had been diagnosed with early-stage Parkinson's disease six months before the recommendation, a fact Kessler was aware of because Olsen had mentioned it during a planning meeting in November 2021. Kessler did not formally update the couple's financial plan to account for potential future long-term care expenses or increased medical costs. The REIT subsequently reduced its distributions to 3.8% in early 2024 citing declining commercial office occupancy rates, and Olsen filed a complaint saying she was never told she might need that money for her husband's future care and that the investment was inappropriate given their health situation.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Kessler violated applicable standards center on his failure to holistically account for the Olsens' evolving financial picture. He was aware of the husband's Parkinson's diagnosis, which introduced a foreseeable and potentially significant future liquidity need for medical care, home modifications, or long-term care. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation under the Securities Exchange Act of 1934, an advisor must consider the customer's overall financial situation, including reasonably foreseeable future needs. The fact that Kessler documented the diagnosis in his notes

from November 2021 but did not update the financial plan or incorporate potential care costs into his liquidity analysis could be seen as a failure to exercise reasonable diligence. The 8.5% upfront costs are significant and further compound the illiquidity problem - even if she could find a secondary buyer, she would likely face a steep discount. The SEC and FINRA have both issued investor alerts about non-traded REITs, specifically warning that they may be unsuitable for investors who may need access to their funds. On the other hand, Kessler has substantial arguments in his defense. The \$95,000 allocation represented only 15.3% of Olsen's liquid portfolio, and she retained over \$525,000 in liquid assets plus \$48,000 in emergency savings - a combined \$573,000 in accessible funds. Her pension and Social Security provided \$7,000 per month in reliable income, covering her living expenses. She had moderate risk tolerance and a growth-and-income objective, which is consistent with a REIT paying 6.5% distributions. He provided explicit illiquidity disclosures, obtained her acknowledgment, and documented her statement that she did not need the funds. The husband's diagnosis was early-stage, and Parkinson's progresses over many years - it was not unreasonable to conclude that \$573,000 in liquid reserves plus \$84,000 in annual pension/Social Security income provided adequate cushion. Many financial planning frameworks suggest that a 15% allocation to alternatives is within conventional bounds for moderate-risk investors. FINRA Rule 2111's customer-specific suitability analysis and Reg BI's consideration of 'reasonably available alternatives' both involve judgment calls about how heavily to weight speculative future expenses versus current financial capacity.

### Why Borderline

This case sits in a genuine gray area because the allocation was not extreme relative to the total portfolio, the client had substantial remaining liquidity, she was given and acknowledged the illiquidity disclosures, and the investment matched her stated objectives. However, the advisor's documented awareness of a progressive neurological diagnosis - and his failure to formally incorporate that known risk into the planning process - raises a real question about whether he adequately considered the customer's full financial picture. Reasonable practitioners disagree about whether an early-stage diagnosis creates an obligation to reserve additional liquidity or merely to monitor the situation over time.

### Borderline Factors

- 15.3% allocation to illiquid product is within commonly accepted alternative allocation ranges but meaningful for a retiree
- Advisor was aware of husband's Parkinson's diagnosis but did not formally update the financial plan to account for potential future care costs
- Client retained over \$573,000 in liquid assets and \$84,000 in annual guaranteed income after the investment
- 8.5% upfront costs significantly impair capital recovery if early liquidation becomes necessary
- Client signed explicit illiquidity disclosures and verbally confirmed she did not need the funds
- Parkinson's is a progressive disease with variable timelines - future costs are foreseeable but uncertain in magnitude and timing
- Non-traded REIT concentrated in commercial office space carried sector-specific risk during a period of remote work trends
- Client's complaint arose after distribution cuts, raising the question of whether the complaint is driven by performance disappointment versus genuine unsuitability at the time of recommendation

### Likely Outcome

A regulator would likely issue a cautionary letter or pursue a modest settlement rather than a full enforcement action. The allocation percentage and remaining liquidity provide Kessler with a credible defense, but the documented awareness of the husband's diagnosis combined with no updated planning creates a procedural vulnerability. A FINRA arbitration panel might find a partial liability - perhaps requiring disgorgement of the upfront commissions - on the theory that the advisor's diligence was deficient even if the investment was not facially unsuitable. The outcome would likely hinge on whether the panel views the early-stage Parkinson's as creating a concrete near-term liquidity need or merely a long-range consideration that the existing liquid reserves adequately addressed.

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### Borderline Scenario 22

*Topic: high\_fees\_unsuitable | Standard: Regulation Best Interest (Reg BI), 17 CFR 240.15l-1, particularly the Care Obligation requiring*

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#### Fact Pattern

David and Cynthia Tranh, both age 44, are dual-income professionals - he is an engineer earning \$145,000 and she is a physical therapist earning \$98,000. They had accumulated approximately \$410,000 across two 401(k) accounts and an individual brokerage account. In January 2023, they met with financial advisor Rachel Whitford after being referred by a colleague. They told Whitford they wanted comprehensive financial planning help, including retirement projections, education funding for their three children (ages 8, 11, and 14), and investment management. Whitford recommended they consolidate their brokerage account (\$165,000) into a wrap fee advisory account she managed, charging an all-in annual advisory fee of 1.65% of assets under management. This fee covered investment management, quarterly portfolio reviews, access to Whitford for ad hoc financial questions, and an annual comprehensive planning update. Whitford constructed a portfolio consisting of 14 actively managed mutual funds across domestic equity, international equity, fixed income, and alternatives. The weighted average expense ratio of the underlying funds was 0.82%, bringing the Tranhs' total all-in annual cost to approximately 2.47% of assets. A comparable portfolio constructed from index ETFs with a weighted average expense ratio of 0.07% was available on the same platform, which would have brought total costs to approximately 1.72%. Over the first 18 months, the Tranhs' portfolio returned 11.2% gross and 8.6% net of all fees. A blended benchmark of comparable index funds returned 13.4% gross and 11.6% net of lower hypothetical fees during the same period, meaning the fee differential and fund underperformance combined to create a gap of approximately 3.0 percentage points. The Tranhs filed a complaint in July 2024, arguing the high fees were unjustifiable when cheaper alternatives existed. Whitford responded that three of her fourteen fund selections outperformed their benchmarks, that she provided substantial planning services beyond investment management - including helping the Tranhs restructure their 529 savings strategy and identify a \$12,000 annual tax savings through Roth conversion planning - and that the Tranhs were informed of all fees in the advisory agreement they signed. The Tranhs acknowledged the planning services were valuable but argued the investment management component was overly expensive.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

The case against Whitford rests primarily on Regulation Best Interest's Care Obligation and the related

requirement to consider costs when evaluating reasonably available alternatives. A 2.47% total annual cost on a \$165,000 account is high by current industry standards, particularly when a comparable index-based portfolio was available on the same platform at a total cost of 1.72% - a 75 basis point differential attributable entirely to the choice of actively managed funds over index alternatives. Over a 20-year horizon, that differential on \$165,000 compounds to a significant sum, potentially exceeding \$50,000 depending on return assumptions. FINRA Regulatory Notice 12-25 and the SEC's guidance on Reg BI both emphasize that cost is a relevant factor and that recommending a more expensive product requires a reasonable basis for believing the higher cost is justified. The 18-month performance data, while a short window, showed the active funds collectively underperformed, with only 3 of 14 beating their benchmarks. Academic literature widely cited in regulatory guidance suggests that most actively managed funds underperform index alternatives over extended periods, particularly after fees. However, Whitford has meaningful counterarguments. First, the 1.65% advisory fee covered not just investment management but comprehensive financial planning, and the Tranhs themselves acknowledged the planning was valuable. The Roth conversion strategy alone identified \$12,000 in annual tax savings - a benefit that dwarfs the fee differential on a \$165,000 account (which amounts to approximately \$1,238 per year). Second, the advisory agreement clearly disclosed all fees, and the Tranhs signed it after review. Third, the choice between active and passive management is a legitimate investment philosophy decision, not per se a violation, and Whitford may have had reasonable bases for selecting the specific active managers she chose. Under the Investment Advisers Act's fiduciary standard (if Whitford is an IA representative), the duty of care requires her to act in the clients' best interest, but it does not mandate the absolute lowest-cost option - it requires that costs be reasonable in relation to the services and value provided. Fourth, 18 months is widely regarded as too short a period to evaluate active management decisions. Reg BI's requirement under 17 CFR 240.15l-1(a)(2)(ii)(B) to consider costs does not create an absolute obligation to recommend the cheapest option; it requires that the cost be justified in the context of the overall recommendation.

### Why Borderline

This scenario is genuinely ambiguous because the fees, while high, are not egregiously outside market norms for a comprehensive advisory relationship, and the bundled planning services provided demonstrable value (particularly the \$12,000 annual tax savings). The advisor disclosed all costs and the clients agreed. At the same time, the specific fund selections were more expensive than readily available alternatives on the same platform with no articulated justification for why active management was preferable for this particular couple's situation. Reasonable professionals disagree about whether a 75 basis point fund expense differential is material enough to constitute a violation when embedded in a broader advisory relationship that is delivering tangible non-investment value.

### Borderline Factors

- Total all-in cost of 2.47% is high but not extreme by industry standards for a wrap account with comprehensive planning
- A lower-cost index alternative was available on the same platform, creating a direct comparison
- The 75 basis point expense differential on \$165,000 amounts to approximately \$1,238/year - meaningful but potentially offset by planning value
- Advisor provided substantial non-investment planning services including Roth conversion strategy yielding \$12,000 annual tax savings
- All fees were disclosed in the signed advisory agreement
- 18-month performance window is too short to definitively evaluate active vs. passive fund selection

- Only 3 of 14 active funds outperformed benchmarks, but short-term underperformance is not conclusive evidence of poor selection
- Clients acknowledged the planning services were valuable, complicating a pure fee-based complaint
  - No documented rationale in the file for why actively managed funds were selected over index alternatives for this specific couple

### Likely Outcome

A regulator would most likely not pursue a formal enforcement action but might examine the case as part of a broader sweep of the advisor's practice to determine if high-cost fund selection was a pattern. If this were an isolated complaint, the combination of full fee disclosure, substantial planning services with quantifiable value, and the relatively short performance evaluation window would likely result in the complaint being closed with no action or at most a deficiency letter recommending better documentation of the rationale for active fund selection. In a FINRA arbitration, the panel would likely find no liability or at most award a modest sum reflecting the excess fund expense ratios, offset by the acknowledged value of planning services. The lack of documented justification for choosing active over passive funds is the advisor's greatest vulnerability, but it is a documentation deficiency rather than a clear substantive violation.

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## Borderline Scenario 23

*Topic: alternative\_investments\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, a*

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### Fact Pattern

Gerald Hutchins, age 58, is a senior operations manager at a manufacturing company earning \$185,000 annually. He has a net worth of approximately \$1.4 million, with \$620,000 in retirement accounts, a \$480,000 home with \$110,000 remaining on the mortgage, and approximately \$300,000 in taxable brokerage and savings accounts. Gerald told his advisor, Dana Whitfield, that he planned to retire at 63 and wanted to grow his portfolio aggressively for the next five years before shifting to income-generating investments. He described himself as having a 'moderate-to-high' risk tolerance and said he was comfortable with some volatility as long as the long-term trajectory was upward. He also mentioned that his wife, who is 55, works part-time as a substitute teacher earning roughly \$22,000 per year, and they have two children - one finishing graduate school (no longer a dependent expense) and one employed. Gerald had prior investment experience with individual stocks, index funds, and a small allocation to REITs, but had never invested in private placements or hedge fund structures. In March 2022, Dana recommended that Gerald invest \$90,000 - roughly 30% of his taxable portfolio - into a non-traded real estate investment trust (non-traded REIT) focused on commercial office and mixed-use properties. The product had a 7-year expected holding period, no secondary market for shares, quarterly distributions projected at 5.5% annually, and upfront fees totaling approximately 8.5% (including selling commissions, dealer manager fees, and offering costs). Dana explained the illiquidity, the fee structure, and the 7-year timeline. She noted that the projected distributions would supplement Gerald's future retirement income and that real estate historically provided an inflation hedge. Gerald signed the subscription documents, including a suitability questionnaire confirming his understanding of the illiquidity and risk factors. Eighteen months later, the non-traded REIT suspended its distribution payments due to declining commercial office occupancy rates and rising interest rates. Gerald's shares, if redeemable, were estimated at approximately \$0.72 on the dollar. Gerald complained to the firm, stating he had not fully appreciated how illiquid the investment would

be and that he could not access these funds until he would be 65 - two years past his planned retirement date. He also noted that Dana had not presented alternative income-generating investments such as dividend stock portfolios, bond ladders, or publicly traded REITs that would have offered similar income with daily liquidity. Dana's records show she discussed the product's risks during two separate meetings, provided the prospectus, and documented Gerald's stated risk tolerance and five-year growth objective. The firm's internal product review committee had approved the non-traded REIT for sale to clients meeting minimum income and net worth thresholds, which Gerald exceeded.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dana violated her obligations: The 30% allocation of Gerald's taxable portfolio to a single illiquid, non-traded REIT is a significant concentration in an alternative investment for a client five years from retirement. The 7-year holding period means Gerald would not have access to these funds until age 65, two years beyond his stated retirement age of 63, creating a direct conflict with his stated timeline. The 8.5% upfront fee load means Gerald immediately lost approximately \$7,650 of his \$90,000 investment to costs, a drag that the projected 5.5% distribution would take roughly 18 months just to offset. Non-traded REITs are generally considered complex products, and Gerald had no prior experience with private placements or illiquid alternative investments. Moreover, Dana apparently did not document a comparison of reasonably available alternatives - publicly traded REITs yielding 4-5% with daily liquidity, or diversified bond funds - that could have met Gerald's income objectives with substantially less risk and cost. Under FINRA's suitability framework (Rule 2111) and its supplementary guidance on complex products, a recommendation must be suitable at the customer-specific, reasonable-basis, and quantitative levels. A 30% illiquid allocation for a near-retiree with no alternatives experience is arguably excessive. Under Regulation Best Interest, Dana would need to demonstrate she considered reasonably available alternatives and that the recommendation was in Gerald's best interest, not merely suitable. The lack of documented alternatives analysis is a significant weakness. Arguments that Dana acted appropriately: Gerald met and exceeded the product's income and net worth suitability thresholds. He expressly stated a moderate-to-high risk tolerance and a desire for aggressive growth over a five-year window. His taxable portfolio was \$300,000, and \$90,000 - while 30% of that segment - represented only about 6.4% of his total net worth of \$1.4 million. He still had \$210,000 in liquid taxable accounts plus \$620,000 in retirement accounts to fund his retirement at 63. The non-traded REIT's projected 5.5% distribution was consistent with his stated goal of transitioning to income. Dana held two meetings, provided the prospectus, and Gerald signed acknowledgments confirming he understood the illiquidity and risks. The firm's compliance department had approved the product for sale. Gerald had investment experience with REITs (albeit publicly traded ones), suggesting some familiarity with real estate as an asset class. The subsequent decline in the investment's value was driven by macroeconomic factors (rising rates, declining office occupancy) that were not foreseeable in March 2022 with certainty. Investment losses alone do not establish a suitability violation.

### Why Borderline

This case is genuinely ambiguous because the concentration level (30% of taxable assets but only ~6.4% of total net worth) can be framed very differently depending on which denominator one uses. Gerald's stated risk tolerance and growth objectives facially support an alternative investment allocation, but the



specific product's 7-year lockup extends beyond his retirement timeline, creating a timing mismatch that could be characterized as either a clear conflict or a minor inconvenience given his other liquid assets. The high upfront fees are a negative factor but were disclosed. The lack of alternatives analysis is problematic under a best interest standard but less clearly fatal under a traditional suitability framework. Reasonable practitioners disagree about whether a 30% alternative allocation in a taxable account is excessive when total portfolio concentration is under 7%.

### Borderline Factors

- 30% of taxable portfolio vs. 6.4% of total net worth - framing changes the concentration analysis significantly
- 7-year lockup extends 2 years beyond stated retirement date, but client has substantial other liquid assets to fund early retirement
- Client had REIT experience but not with non-traded/illiquid structures specifically
- 8.5% upfront fees were fully disclosed but significantly erode returns compared to publicly traded alternatives
- Client stated moderate-to-high risk tolerance and aggressive growth objective, which facially supports alternative investments
- No documented comparison to reasonably available liquid alternatives with similar income characteristics
- Investment losses driven by macroeconomic shifts not clearly foreseeable at time of recommendation
- Firm's internal compliance approved the product for clients meeting Gerald's profile

### Likely Outcome

A regulator would likely find this to be a borderline violation, particularly under Regulation BI's care obligation, and would probably pursue it as a supervisory/documentation deficiency rather than outright fraud. The absence of a documented alternatives analysis is the most significant weakness. A FINRA arbitration panel might award partial damages - perhaps the fee differential between the non-traded REIT and a comparable publicly traded REIT - but is unlikely to award full rescission given Gerald's acknowledged understanding of the risks and his overall financial profile. The most likely regulatory outcome would be a cautionary action, enhanced supervision requirement, or a modest fine, with the firm potentially settling a customer complaint for 30-50% of losses to avoid the uncertainty of a full hearing.

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## Borderline Scenario 24

*Topic: excessive\_load\_funds | Standard: FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI), Rule 15l-1 under the S*

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### Fact Pattern

Patricia Yoon, age 44, is a pediatric dentist who owns her own practice. She earns approximately \$310,000 per year and has a total net worth of roughly \$2.1 million, including \$540,000 in retirement accounts, a \$650,000 home with \$280,000 in mortgage debt, \$420,000 in a taxable brokerage account, and approximately \$490,000 in business equity. Patricia approached her financial advisor, Keith Brannigan, in January 2023, saying she wanted to invest an additional \$150,000 in lump sum and then \$3,000 per month going forward. She described her goals as long-term growth for retirement (target age 60), college funding for her two children aged 9 and 12, and building a 'cushion' beyond her practice. She said she had limited time to monitor investments and preferred a 'set it and forget it' approach with professional management.

She described her risk tolerance as moderate. Keith recommended a portfolio of five actively managed mutual funds across large-cap growth, large-cap value, international equity, investment-grade bond, and balanced/allocation categories. All five funds were Class A shares carrying front-end sales loads ranging from 4.25% to 5.75%, with expense ratios between 0.82% and 1.14%. The blended front-end load on the \$150,000 initial investment was approximately 5.1%, meaning Patricia paid roughly \$7,650 in upfront sales charges. Her ongoing \$3,000 monthly investments would similarly incur loads. Keith's firm offered breakpoint discounts: at \$250,000 invested across the same fund family, the load would drop to 3.5%, and at \$500,000 it would drop to 2.5%. Keith informed Patricia about the breakpoint schedule verbally and noted it in his file, but did not recommend that she sign a letter of intent (LOI) to reach the \$250,000 breakpoint within 13 months, which her investment plan (\$150,000 plus \$36,000/year) would have achieved. Had she signed an LOI, her upfront load on the initial \$150,000 would have been 3.5% instead of 5.1%, saving her approximately \$2,400 on the first investment alone. Keith's rationale, documented in his notes, was that he preferred each investment to stand on its own and that he did not want Patricia to feel 'locked in' to a particular fund family if her needs changed. He also noted that the five funds he selected had strong 5-year and 10-year track records, with four of the five ranked in the top quartile of their Morningstar categories, and that Patricia's preference for professional management and a hands-off approach made actively managed funds appropriate. Keith earned approximately \$6,500 in commissions on the initial \$150,000 placement. Patricia's firm also offered lower-cost institutional share classes of three of the same funds (with no loads and expense ratios of 0.55%-0.72%) available through its fee-based advisory platform, which charges a 1.0% annual wrap fee. Over a 10-year horizon with average 7% annual returns, the total cost of ownership for Patricia's Class A shares (loads plus ongoing expenses) would be approximately \$48,000, versus approximately \$41,000 for the wrap-fee arrangement with institutional shares - a difference of roughly \$7,000. However, for a shorter 5-year holding period, the Class A shares would actually be slightly less expensive than the wrap fee arrangement due to the absence of an ongoing advisory fee after the initial load is paid. Patricia did not complain about the funds' performance, which was broadly in line with benchmarks, but she later learned about no-load index funds with expense ratios of 0.03%-0.20% from a colleague, and filed a complaint alleging that Keith had steered her into expensive products primarily to generate commissions.

### **Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

### **Analysis**

Arguments that Keith violated his obligations: The failure to recommend a letter of intent is the strongest point against Keith. Patricia's investment plan clearly would have reached the \$250,000 breakpoint within 13 months, and the LOI would have saved her approximately \$2,400 on just the initial investment with no meaningful downside risk - if she didn't reach the threshold, she would simply pay the difference in load retroactively. Keith's stated rationale for not recommending the LOI (not wanting her to feel 'locked in') is weak given that LOIs do not actually lock an investor into a fund family; they simply provide a conditional discount. This failure raises questions about whether Keith was prioritizing his compensation over Patricia's interests. Additionally, under a best interest standard, Keith would need to justify recommending Class A load funds over the firm's own fee-based platform with institutional share classes. Over Patricia's likely 16-year investment horizon to retirement, the wrap-fee arrangement would have been meaningfully cheaper, and the cost gap widens with longer holding periods. The availability of low-cost index funds at 0.03%-0.20% further undermines the value proposition of funds with blended expense ratios near 1.0%.

Arguments that Keith acted appropriately: The funds recommended were genuinely strong performers with top-quartile track records, and Patricia specifically requested professional management with a hands-off approach - a profile that arguably suits actively managed funds. Class A shares are generally considered the most cost-effective share class for long-term investors who prefer load funds, as the upfront charge is a one-time cost and ongoing expenses are lower than Class B or C shares. Keith disclosed the breakpoint schedule, even if he didn't recommend the LOI. The total cost comparison between Class A shares and the wrap-fee platform is closer than it appears: for the first several years, Class A shares are actually cheaper, and if Patricia changes advisors or strategies within 5-7 years, the load structure could prove more economical. Furthermore, suitability has traditionally permitted load funds when the underlying investments are appropriate for the client's risk profile and objectives, which they were. The funds' expense ratios (0.82%-1.14%) are within industry norms for actively managed funds, and Patricia did not express price sensitivity or request low-cost options. The comparison to index funds at 0.03% reflects a philosophical preference for passive management, not necessarily a suitability failure.

### Why Borderline

This scenario is genuinely ambiguous because the funds themselves were appropriate for Patricia's risk profile and objectives, and her preference for professional management provides a reasonable basis for actively managed funds over index funds. The failure to recommend the LOI is the clearest deficiency, but it resulted in a quantifiable harm of only ~\$2,400 on the initial investment - meaningful but not egregious. The broader cost comparison depends heavily on assumptions about holding period: Class A shares are competitive for shorter periods but more expensive over Patricia's full time horizon. The case sits at the intersection of a legitimate product recommendation (strong active funds for a hands-off investor) and a compensation-influenced structuring decision (not recommending the LOI, choosing the commission channel over the wrap-fee channel when the latter would likely be cheaper long-term). Reasonable regulators could disagree about whether this reflects a genuine best interest failure or simply an imperfect but defensible choice among legitimate options.

### Borderline Factors

- Failure to recommend letter of intent that would have saved ~\$2,400 on initial investment is a clear negative but involves a relatively modest dollar amount
- Funds selected had strong track records (top-quartile performance) and matched client's stated objectives and risk tolerance
- Client specifically requested hands-off professional management, which supports actively managed funds
- Class A shares vs. wrap-fee platform cost comparison depends heavily on assumed holding period - A shares cheaper short-term, wrap cheaper long-term
  - Advisor earned ~\$6,500 in commissions, creating a quantifiable conflict of interest, but commission-based compensation is a permitted model
- Client did not express cost sensitivity or request low-cost options during the initial consultation
- Breakpoint schedule was disclosed verbally and documented, even though the LOI was not recommended
- Index funds at 0.03%-0.20% were available but client never indicated interest in passive management strategies

### Likely Outcome

A regulator would most likely find a technical violation related to the failure to recommend the letter of intent, as this is an area where regulatory guidance is relatively clear - advisors are expected to ensure customers receive applicable breakpoint discounts. This could result in a requirement for the firm to reimburse the excess loads paid (approximately \$2,400 on the initial investment plus any excess loads on subsequent monthly investments) and potentially a small fine. On the broader question of whether Class A load funds were appropriate versus the wrap-fee platform or index funds, a regulator applying Regulation BI would likely scrutinize the choice more carefully but might ultimately find it defensible given the client's stated preferences, the funds' strong performance, and the fact that the cost differential over a moderate holding period is relatively narrow. A FINRA arbitration panel presented with this fact pattern would likely award the breakpoint differential as damages but decline to order a full rescission into index funds, as the underlying investment recommendations were reasonable for the client's profile.

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### Borderline Scenario 25

*Topic: high\_fees\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the recommendation must be suitable based on the cu*

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#### Fact Pattern

Margaret Odom, age 61, is a recently retired school principal with a \$620,000 rollover IRA and a modest state pension paying \$3,200 per month. She told her advisor, Derek Huang, that she wanted to generate supplemental income of roughly \$1,500 per month from her IRA while preserving enough capital to last through her expected lifetime. She described herself as 'moderately conservative' and said she had no investment experience beyond her employer retirement plan, which had been invested in a target-date fund. Derek recommended she invest 100% of the \$620,000 into a Class A share variable annuity issued by a well-rated insurance company. The annuity offered a guaranteed minimum withdrawal benefit rider, which would guarantee a 5% annual withdrawal base growing at 5% per year for up to 10 years, regardless of market performance. The total annual fees on the annuity - including mortality and expense charges, the rider fee, and underlying subaccount expenses - came to 3.45% per year, or approximately \$21,390 annually on the full balance. The annuity carried a 7-year declining surrender charge starting at 7% and dropping 1% per year. Derek earned a 5.5% commission (\$34,100) on the sale. Derek did prepare a comparison showing Margaret three alternatives: (1) a diversified portfolio of low-cost index funds with an estimated all-in cost of 0.35% per year, combined with a systematic withdrawal plan; (2) a fixed indexed annuity with lower fees (1.60% all-in) but no guaranteed withdrawal benefit rider; and (3) the variable annuity he ultimately recommended. His written rationale stated that Margaret's primary concern was the 'peace of mind' of a guaranteed income floor, and that the guaranteed withdrawal benefit addressed her stated fear of outliving her money. Margaret signed all disclosures acknowledging the fee structure and surrender schedule. Six months later, Margaret's daughter, a CPA, reviewed the account and noted that the 3.45% annual fee substantially exceeded the 5% guaranteed growth rate, potentially eroding real account value, and that Margaret could have achieved a similar income stream from the low-cost portfolio option at a fraction of the cost. Margaret filed a complaint stating she was never clearly told how much the fees would reduce her account over time in dollar terms and that she did not understand the surrender penalties effectively locked her in.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated applicable standards: The 3.45% annual fee is extraordinarily high relative to available alternatives, particularly the 0.35% index fund portfolio that could have produced a comparable income stream through systematic withdrawals. Over a 20-year retirement, the cumulative fee differential could exceed \$200,000 in lost portfolio value. The \$34,100 commission creates a stark conflict of interest. Margaret had no prior investment experience and may not have fully appreciated how compounding fees erode principal, even if she signed disclosure forms. Placing 100% of a retiree's liquid assets in a single product with a 7-year surrender charge severely limits flexibility for a 61-year-old who may face health emergencies, long-term care needs, or other liquidity events. The low-cost index portfolio alternative could have met her income needs without the illiquidity, complexity, or cost. Arguments that Derek acted appropriately: The guaranteed minimum withdrawal benefit rider is a product feature that genuinely addresses longevity risk in a way that a systematic withdrawal plan from an index portfolio cannot - specifically, the guarantee survives market downturns. Margaret expressly stated that 'peace of mind' and fear of outliving her money were her primary concerns, and the rider directly addresses those concerns. Derek documented a side-by-side comparison of three options and provided a written rationale for the recommendation. Margaret signed disclosures acknowledging the fee structure. The annuity was issued by a well-rated carrier, and the guaranteed income floor has real economic value that partially justifies the higher fees. A moderately conservative 61-year-old retiree with no investment experience may genuinely be poorly suited for a self-directed withdrawal strategy from a volatile equity portfolio, where sequence-of-returns risk is a real concern. The annuity effectively transfers that risk to the insurance company, and the premium for that transfer is the fee differential.

### Why Borderline

This case sits in a genuine gray zone because the product recommended - a variable annuity with a guaranteed withdrawal benefit - has legitimate features that address real risks Margaret identified. The fee differential is large but not wholly unjustifiable when one accounts for the economic value of the income guarantee. Reasonable practitioners disagree about whether guaranteed income riders justify fee levels in the 3-3.5% range, and actuarial analyses of these riders sometimes show they are fairly priced for their risk transfer. At the same time, the concentration of 100% of liquid assets in a single illiquid product with high fees, sold to an unsophisticated client, raises serious concerns, particularly when a much cheaper alternative could plausibly have met her needs. The fact that Derek did document alternatives and a rationale complicates a finding of misconduct, but the overwhelming financial incentive (\$34,100 commission) and the magnitude of the cost difference make it difficult to conclude the recommendation was truly in Margaret's best interest.

### Borderline Factors

- The guaranteed withdrawal benefit rider has genuine economic value that addresses Margaret's stated primary concern of outliving her money
- The 3.45% all-in fee is high but falls within the range of similar products on the market and is not an outlier
- Derek documented a comparison of three alternatives and provided a written rationale, suggesting a deliberative process
- Margaret signed disclosures, though her lack of investment sophistication raises questions about informed consent
- 100% concentration in a single illiquid product with a 7-year surrender period is aggressive for a retiree's

entire liquid nest egg

- The \$34,100 commission creates a significant conflict but does not by itself prove the recommendation was unsuitable
- A low-cost systematic withdrawal plan could approximate the income target but does not replicate the downside protection of the guarantee
- Sequence-of-returns risk is a legitimate concern for a new retiree drawing income from a portfolio

### Likely Outcome

A regulator would likely find a violation, but a narrow one focused on the concentration and cost reasonableness rather than the product type itself. The recommendation to place 100% of liquid retirement assets in a single high-cost, illiquid product - when a blended approach (e.g., partial annuity, partial low-cost portfolio) could have addressed both the income guarantee need and the cost/liquidity concerns - likely fails a cost-reasonableness analysis. However, the documented comparison and the legitimate risk-transfer features of the product would likely mitigate the severity of sanctions. The advisor would probably face a fine and possible restitution of excess fees rather than a suspension, and the case would likely be resolved through settlement rather than a fully litigated proceeding.

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## Borderline Scenario 26

Topic: *lack\_of\_diversification* | Standard: Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that

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### Fact Pattern

Ryan Callister, age 44, is a software engineer at a publicly traded mid-cap technology company, earning \$245,000 per year. He has approximately \$1.1 million in a brokerage account managed by his advisor, Danielle Furst, and an additional \$480,000 in his company 401(k), which is invested in a target-date 2045 fund. Ryan also holds approximately \$390,000 in unvested restricted stock units (RSUs) from his employer. When Danielle took over the account two years ago, it was already concentrated: roughly 40% was in shares of Ryan's employer acquired through prior RSU vestings. Over the next 24 months, as additional RSUs vested, Ryan consistently told Danielle he wanted to hold the shares rather than sell. Danielle's notes from multiple meetings document Ryan saying he believed the company was 'significantly undervalued' and expected the stock to double within three years based on an upcoming product launch. Each time, Danielle recommended diversifying by selling at least a portion of the employer stock and reinvesting in a broader portfolio. At each meeting, Ryan declined. Danielle sent follow-up emails after three of these meetings summarizing her diversification recommendation and Ryan's decision to hold. By the end of the two-year period, Ryan's employer stock had appreciated, and the brokerage account had grown to \$1.4 million, with employer stock now representing approximately 62% of the brokerage account (\$868,000). Including the \$390,000 in unvested RSUs and the \$480,000 in the 401(k), Ryan's total investable assets were approximately \$2.27 million, of which roughly \$1.26 million (55%) was tied to his employer through stock holdings and RSUs - and that figure does not include his salary dependence on the same company. The remaining 38% of the brokerage account (\$532,000) was invested by Danielle in a well-diversified mix of domestic and international equity ETFs, bond ETFs, and a small allocation to REITs, all with low expense ratios. Ryan's stated risk tolerance was 'aggressive,' he had no dependents, maintained a \$45,000 emergency fund, and had no debt other than a \$280,000 mortgage. Seven months later, Ryan's employer announced a major product recall and accounting restatement. The stock dropped 58% in three weeks.



Ryan's employer stock holdings fell from approximately \$868,000 to \$365,000, and his unvested RSUs lost proportional value. Ryan filed a complaint alleging Danielle should have been more forceful in requiring diversification or should have refused to maintain the concentrated position.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Danielle violated applicable standards: Despite Ryan's instructions, Danielle maintained an account where a single stock represented 62% of the brokerage portfolio and over 55% of total investable wealth, with additional salary dependency on the same company. This level of single-stock concentration exposes the client to catastrophic, non-compensated idiosyncratic risk that is fundamentally at odds with sound portfolio management. An advisor with a duty to act in the client's best interest arguably has an obligation that goes beyond merely documenting recommendations - she could have escalated the matter more forcefully, imposed limits on concentration, or even considered whether the relationship should continue if the client refused to follow prudent advice. The fact that the position grew from 40% to 62% over two years under her watch suggests insufficient action. Some would argue that an advisor who allows a known unsuitable concentration to persist is effectively recommending it through inaction. Arguments that Danielle acted appropriately: Danielle repeatedly and consistently recommended diversification at every meeting. She documented these recommendations in contemporaneous notes and follow-up emails, creating a clear paper trail that the concentration was maintained against her professional advice. Ryan is a sophisticated, high-income professional with an aggressive risk tolerance, no dependents, adequate emergency reserves, and the capacity to absorb losses. He articulated a specific, informed investment thesis for holding the stock. The non-employer portion of the portfolio was managed with textbook diversification and low costs. Danielle cannot force a client to sell shares he owns and wants to hold; an advisor's role is to advise, not to override client autonomy. Refusing to maintain the account or liquidating shares without authorization could itself create legal liability and would violate the client's right to direct his own investments. The concentration grew partly because the stock appreciated - a positive outcome driven by market forces, not by Danielle purchasing additional shares.

### Why Borderline

This case is genuinely ambiguous because it sits at the intersection of advisor duty and client autonomy. Danielle did everything conventionally expected of a diligent advisor - she recommended diversification, documented her advice, and managed the rest of the portfolio prudently. Yet the resulting portfolio was objectively concentrated to a degree that most professionals would consider imprudent, especially when salary dependence is included. The question of whether an advisor can satisfy her obligations purely through documentation and advice, or whether she must take more affirmative steps when a client persists in a dangerous course of action, is a matter on which reasonable regulators genuinely disagree. The client's sophistication, aggressive risk tolerance, and explicit investment thesis complicate a finding that the advisor should have overridden his wishes, but the magnitude of the concentration and the catastrophic outcome make it difficult to dismiss the complaint entirely.

### Borderline Factors

- Danielle recommended diversification at every meeting and documented the recommendations in writing
- Ryan explicitly and repeatedly declined to diversify, articulating a specific investment thesis
- The concentration grew partly through stock appreciation rather than new purchases recommended by

the advisor

- Ryan is a high-income, aggressive-risk-tolerance professional with no dependents and adequate liquidity outside the concentrated position
- Total exposure to a single company (stock + RSUs + salary) exceeded 55% of total wealth, representing extreme concentration risk
- The advisor managed the non-concentrated portion of the portfolio with exemplary diversification and low costs
- An advisor's obligation to act in the client's interest may require more than documentation when the client's course of action is demonstrably dangerous
- Forcing a sale or terminating the relationship could itself create liability and conflicts with client autonomy

### Likely Outcome

A regulator would most likely decline to bring an enforcement action or would dismiss the complaint, though possibly with a cautionary letter. The documented, repeated diversification recommendations and the client's informed refusals provide strong evidence that Danielle fulfilled her advisory obligations. Regulators generally recognize that advisors cannot compel client action, and Ryan's sophistication, aggressive risk tolerance, and articulated investment thesis weigh heavily in Danielle's favor. However, a regulator might note that Danielle could have taken additional steps - such as formally memorializing the risk in a signed client acknowledgment specific to concentration risk, setting explicit thresholds at which she would re-escalate or consider account restrictions, or involving a supervisor or compliance officer. The lack of such enhanced measures may result in informal guidance or a deficiency letter but is unlikely to result in sanctions or fines given the strength of the documentation.

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## Borderline Scenario 27

Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment

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### Fact Pattern

Margaret Kowalski, age 78, had been a client of financial advisor Dennis Pruitt for eleven years. She had a portfolio of approximately \$1.4 million, consisting primarily of blue-chip dividend-paying stocks and investment-grade bonds. Her late husband had built much of the portfolio before passing in 2016. Margaret lived on Social Security (\$2,400/month), a small pension (\$1,100/month), and portfolio income of roughly \$3,800/month. She had no mortgage and modest living expenses. Her stated investment objective since her husband's death had been 'income with preservation of capital,' and her risk tolerance was documented as 'moderate-conservative.' She had two adult children, both financially independent, and she frequently expressed a desire to leave as much as possible to her grandchildren's education funds.

In March 2023, Margaret was diagnosed with early-stage mild cognitive impairment, which she disclosed to Pruitt during a routine meeting in April 2023. She told him her doctor said it was 'very mild' and that she was 'still sharp enough to handle her own affairs.' Her daughter, Karen, accompanied her to two of the next three meetings but was not present at the September 2023 meeting where Pruitt recommended reallocating approximately \$340,000 (24% of the portfolio) from individual bonds and bond funds into a diversified portfolio of business development companies (BDCs) and preferred stock ETFs. The BDCs carried average yields of 10-12% but involved credit risk and some illiquidity. The preferred stock ETFs yielded 6-7% with

moderate interest rate sensitivity.

Pruitt's rationale was that Margaret's bond portfolio was heavily weighted toward maturities in 2024-2025, and reinvestment at then-current rates would actually decrease her income. The BDC and preferred stock allocation would increase her annual portfolio income by an estimated \$14,000-\$18,000, which Pruitt argued would provide a larger cushion for potential future long-term care costs. Margaret signed all paperwork and, according to Pruitt's notes, asked several relevant questions about the risks and appeared to understand the tradeoffs. However, Karen later stated she would have objected to the reallocation had she been present, noting that her mother had begun occasionally confusing details about her finances in everyday conversation. The BDCs lost approximately 8% in market value over the following five months, though they continued to pay their distributions. Margaret's total portfolio income did increase as projected.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Pruitt violated his obligations: Margaret had a documented cognitive impairment diagnosis, and Pruitt was aware of it. Conducting a significant reallocation - moving nearly a quarter of the portfolio into higher-risk, less liquid instruments - at a meeting where the client's trusted family member was absent raises serious concerns. BDCs carry meaningful credit risk, can be illiquid in stressed markets, and are generally considered complex products that may not be appropriate for elderly investors with conservative profiles and cognitive decline. A 78-year-old with early cognitive impairment and a 'moderate-conservative' risk tolerance arguably should not be moved into instruments with 8% near-term drawdown potential, regardless of yield enhancement. The fact that Karen had been attending meetings regularly and was not present for this particular recommendation could suggest Pruitt timed the recommendation to avoid pushback.

Arguments that Pruitt acted appropriately: Margaret's cognitive impairment was described by her own physician as 'very mild,' and she had not been adjudicated incompetent or had a power of attorney activated. She was still legally capable of making her own financial decisions. Pruitt's notes document that she asked substantive questions and understood the risks. The reallocation addressed a genuine portfolio problem - impending bond maturities that would result in lower reinvestment income - and the increased income could meaningfully help with potential future long-term care expenses, a rational concern for someone her age. The allocation was diversified across multiple BDCs and preferred ETFs (not concentrated in a single issuer), represented less than 25% of the total portfolio, and the remaining 76% stayed in conservative holdings. The income increase materialized as projected. Karen was not a legal fiduciary or account holder, and there was no requirement that she approve transactions. Preferred stock ETFs, while interest-rate sensitive, are not exotic instruments.

### Why Borderline

This case sits in a genuine gray zone because the cognitive impairment was real but clinically mild and did not legally incapacitate Margaret. The product recommendation had a defensible financial rationale (addressing reinvestment risk and increasing income for potential care needs) but involved a meaningful step up in risk for a client whose profile was conservative and whose capacity to fully evaluate that step-up was arguably diminishing. The absence of the daughter at the key meeting is suggestive but not dispositive

of bad intent. The products lost market value but delivered on their income promise, making the harm assessment ambiguous.

### Borderline Factors

- Client had diagnosed mild cognitive impairment but was not legally incapacitated and appeared to engage substantively
- Reallocation addressed a legitimate portfolio management concern (reinvestment risk on maturing bonds)
- BDCs are higher-risk and somewhat illiquid but the allocation was diversified and represented less than 25% of the portfolio
- Family member who regularly attended meetings was absent for the key recommendation meeting
- Portfolio income increased as projected despite market value decline in the new holdings
- Client's stated objective of income with capital preservation arguably cuts both ways - income went up but capital risk increased
- No power of attorney was in place and no legal guardian had been appointed

### Likely Outcome

A regulator would likely issue a cautionary action or seek a settlement involving partial restitution rather than pursue a full enforcement action. The cognitive impairment disclosure creates a heightened scrutiny environment, and the absence of the daughter at the pivotal meeting is a bad fact for Pruitt. However, the legitimate financial rationale, Margaret's apparent comprehension, and the fact that the income objective was met would mitigate against the most severe outcomes. A regulator might require enhanced supervisory procedures for Pruitt's senior clients going forward and potentially require him to make Margaret whole on the capital losses in the BDC positions, while acknowledging the recommendation was not facially unreasonable.

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## Borderline Scenario 28

Topic: variable\_annuity\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its supplementary materials specifically address va

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### Fact Pattern

Robert and Diane Fontaine, ages 59 and 57 respectively, met with their financial advisor, Crystal Yeung, in January 2024 to discuss retirement planning. Robert was a senior project manager at an engineering firm earning \$165,000 annually, and Diane was a part-time physical therapist earning \$52,000. They had \$620,000 in combined 401(k) accounts, \$185,000 in a joint taxable brokerage account, \$45,000 in emergency savings, and owned their home outright (estimated value \$410,000). Both planned to retire at age 65. They had no children and described their investment goals as 'growing our nest egg for the next six years and then having guaranteed income in retirement that we can't outlive.' Their risk tolerance was documented as 'moderate,' and they had experience with mutual funds and ETFs but had never owned annuity products.

Yeung recommended they invest \$150,000 from the taxable brokerage account into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The annuity had total annual expenses of 3.15% (1.30% mortality and expense charge, 0.85% underlying fund expenses, and 1.00% for the GLWB rider).

The surrender period was seven years with a declining surrender charge starting at 7% in year one and decreasing to 1% in year seven. The GLWB guaranteed a 5% annual withdrawal rate on a benefit base that would grow at 6% compounded annually during the deferral period, regardless of market performance. If the Fontaines began withdrawals at Robert's age 65, the guaranteed annual income from the annuity alone would be approximately \$10,070 per year for life.

Yeung disclosed all fees verbally and in the product prospectus, and the Fontaines signed acknowledgment forms. She explained that the high fees were the 'cost of the guarantee' and that without the GLWB, they would bear full market risk on that portion of their retirement income. She also noted that the surrender period would end roughly when Robert turned 66, approximately one year after their target retirement date.

Six months later, the Fontaines consulted another advisor who told them the product was 'grossly unsuitable' because the 3.15% annual fee drag would likely consume most or all of the market returns in the underlying sub-accounts, making the guarantee the only real source of value - and that they could achieve similar guaranteed income more cheaply through a fixed indexed annuity or a simple deferred income annuity. The second advisor also pointed out that \$150,000 represented over 81% of their taxable liquid assets (excluding retirement accounts), significantly reducing their pre-retirement liquidity. The Fontaines filed a complaint.

Yeung's firm countered that the Fontaines specifically requested a product that provided guaranteed lifetime income they 'couldn't outlive,' that the variable annuity with GLWB was a commonly recommended solution for that exact need, that the allocation represented only about 17.6% of their total investable assets (\$850,000 across all accounts), and that sufficient liquidity remained via the \$45,000 emergency fund and \$35,000 remaining in the brokerage account plus ongoing employment income for the next six years.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Yeung violated her obligations: The 3.15% total annual expense is high even by variable annuity standards, and when the primary value proposition is the guarantee rather than investment growth, the question arises whether a less expensive product (such as a fixed indexed annuity with an income rider or a deferred income annuity) could have achieved the same goal at lower cost. Placing \$150,000 into a product with a seven-year surrender period when the clients planned to retire in six years creates a timing mismatch - if they needed the funds during the first year of retirement, they would face a 1% surrender charge. More critically, investing 81% of the couple's non-retirement liquid assets into an illiquid product significantly constrains their financial flexibility during the remaining working years. While the \$45,000 emergency fund and \$35,000 brokerage remainder provide some cushion, an unexpected expense (medical emergency, home repair, job loss) could force them to access the annuity at a penalty. The second advisor's point about cheaper alternatives is relevant - if a simpler, lower-cost product could provide comparable guaranteed income, the higher-cost variable annuity may not have been in the clients' best interest.

Arguments that Yeung acted appropriately: The Fontaines explicitly stated they wanted guaranteed income they could not outlive, which is precisely what the GLWB rider provides. Unlike a fixed indexed annuity or

deferred income annuity, the variable annuity with GLWB offers upside participation - if the sub-accounts perform well, the actual account value could exceed the benefit base, giving the clients more flexibility (including potential lump-sum access). The 6% guaranteed roll-up on the benefit base during the deferral period provides a floor that is attractive in uncertain markets. Looking at total investable assets (\$850,000), the annuity represents a reasonable 17.6% allocation, and the Fontaines had substantial 401(k) balances (\$620,000) that could be accessed penalty-free starting at age 59½. The surrender period ending at age 66 is only slightly misaligned with the retirement target, and early withdrawals up to the guaranteed amount are typically permitted without surrender charges under the GLWB. Yeung fully disclosed all fees and obtained signed acknowledgments. Variable annuities with GLWBs are mainstream products sold in the millions precisely for this use case. The second advisor's criticism is a difference of professional opinion, not evidence of unsuitability.

### Why Borderline

This scenario is genuinely ambiguous because the product directly addresses the clients' stated need (guaranteed lifetime income), but the question is whether the specific product selected was the most appropriate vehicle given its cost structure and the availability of potentially cheaper alternatives. The liquidity concern is real but mitigated by the clients' other assets and continued employment income. The fee level is high but not outside industry norms for a VA with a GLWB rider. Reasonable professionals could disagree about whether cost optimization is required when the recommended product is functionally suitable, and whether 81% of taxable liquid assets is too much to commit to an illiquid product when total assets provide a different picture.

### Borderline Factors

- Product directly addresses clients' explicitly stated goal of guaranteed lifetime income
- Total annual fees of 3.15% are high but within the range of industry norms for variable annuities with GLWB riders
- Less expensive alternative products (fixed indexed annuity, deferred income annuity) may have provided similar guarantees at lower cost
- 81% of taxable liquid assets committed to an illiquid product, but only 17.6% of total investable assets
- Seven-year surrender period extends approximately one year past planned retirement date, creating a minor timing mismatch
- Clients had ongoing employment income for six more years and \$45,000 emergency fund, partially mitigating liquidity concerns
- Full verbal and written fee disclosure was provided and acknowledged
- The variable annuity offers potential upside participation that simpler alternatives do not, adding a legitimate differentiating feature

### Likely Outcome

A regulator would likely view this as a close case but would probably not pursue a full enforcement action. The product is functionally aligned with the clients' stated objectives, fees were disclosed, and the total-asset-based allocation percentage is defensible. However, a regulator might find a technical violation related to the cost comparison analysis - specifically, whether Yeung adequately considered and documented why the more expensive variable annuity was preferable to lower-cost alternatives that could provide similar guarantees. The most likely outcome is a negotiated settlement involving partial fee reimbursement or an offer to exchange the product for a less expensive alternative without surrender



charges, along with a supervisory review of the advisor's annuity recommendation practices. The firm might also face a requirement to enhance its procedures for documenting the consideration of lower-cost alternatives when recommending variable annuities.

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## Borderline Scenario 29

*Topic: lack\_of\_diversification | Standard: FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and quan*

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### Fact Pattern

Margaret Chen, age 58, retired early from a career in pharmaceutical sales with a \$1.4 million rollover IRA and no other significant retirement assets beyond Social Security, which she planned to begin collecting at age 67. She told her advisor, David Holt, that she wanted 'growth with some safety' and described herself as having a 'moderate to moderately aggressive' risk tolerance. She noted during their initial meeting in March 2021 that she had always been fascinated by the biotechnology sector and believed it was 'the future of medicine.' Holt's notes from the meeting reflect that Margaret expressed strong interest in biotech but also said she 'couldn't afford to lose everything' since this was her only retirement nest egg. Over the next four months, Holt built a portfolio that ultimately allocated 52% of her IRA (\$728,000) across eight different biotechnology and life sciences stocks and two sector-specific biotech ETFs. The remaining 48% was split among a broad-market S&P 500 index fund (22%), an intermediate-term bond fund (18%), and a money market fund (8%). Holt argued that the biotech allocation was itself diversified across sub-sectors - genomics, immunotherapy, medical devices, and large-cap pharma-adjacent biotech - and that the eight individual stocks spanned companies with market capitalizations ranging from \$3 billion to \$180 billion. He also noted that Margaret's professional background gave her above-average understanding of the sector. By February 2023, the biotech-heavy portion of the portfolio had declined 34% while the broader market portions had remained relatively flat, resulting in an overall portfolio loss of approximately \$215,000. Margaret filed a complaint alleging that Holt failed to adequately diversify her retirement portfolio. Holt responded that the portfolio contained twelve distinct holdings across multiple asset classes, that the client specifically requested biotech exposure, and that intra-sector diversification across different biotech sub-segments provided meaningful risk reduction.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: A 52% concentration in a single sector - biotechnology - within a client's sole retirement account is a significant departure from conventional diversification principles, particularly for a 58-year-old retiree with no other meaningful retirement assets. FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Under Regulation Best Interest's Care Obligation (17 CFR § 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, which includes understanding the risks and potential consequences of a recommendation. A single-sector concentration exceeding 50% in a volatile sector for a client whose stated objective included 'some safety' and who acknowledged she 'couldn't afford to lose everything' raises serious questions. FINRA has repeatedly emphasized in enforcement actions and regulatory notices (e.g., Regulatory Notice 12-25) that

concentration in a narrow market sector can constitute an unsuitable recommendation regardless of whether the customer expressed interest in that sector. The advisor has an independent obligation to ensure suitability and cannot simply defer to a client's enthusiasm. Arguments against a violation: The portfolio was not a single-stock concentration - it included eight individual biotech stocks spanning different sub-sectors and market capitalizations, plus two sector ETFs, alongside three non-biotech holdings. The total portfolio comprised twelve distinct positions across equities, bonds, and cash. Margaret self-identified as moderate to moderately aggressive, which supports meaningful equity and growth exposure. Her 22-year professional background in pharmaceutical sales provided genuine sector expertise that could justify higher-than-typical sector exposure. The 48% non-biotech allocation provided a meaningful buffer in bonds, broad equities, and cash. Holt documented her expressed interest in biotechnology, and her stated risk tolerance was not conservative. Some practitioners and arbitration panels have found that sector concentrations in the 40-55% range, while elevated, do not automatically constitute unsuitability when the client has relevant expertise and expressed clear preferences.

### Why Borderline

This case sits in a genuine gray zone because the concentration level (52%) is high but not extreme, the client had documented professional expertise and expressed enthusiasm for the sector, the advisor did diversify within the sector and maintained a meaningful non-biotech allocation, and the client's risk tolerance was not conservative. Reasonable practitioners disagree about where sector concentration crosses the line from aggressive-but-suitable to unsuitable, especially when the client has industry expertise. The fact that this was her sole retirement account cuts toward violation, but her moderately aggressive risk tolerance and sector knowledge cut the other way.

### Borderline Factors

- 52% sector concentration is elevated but falls below the 60-70%+ levels that typically result in clear violation findings
- Client had 22 years of professional experience in the pharmaceutical/biotech industry, providing arguable sector expertise
- Client explicitly expressed strong interest in biotech investing during documented meetings
- Portfolio contained intra-sector diversification across eight stocks and two ETFs spanning multiple biotech sub-segments
- 48% of the portfolio remained in broad-market equities, bonds, and cash
- Client self-identified as moderate to moderately aggressive risk tolerance
- This was the client's sole retirement asset with no other significant savings, heightening the duty of care
- Client's own statement that she 'couldn't afford to lose everything' creates tension with the concentration level
- Age 58 with planned retirement income not starting for 9 more years suggests some capacity for growth allocation

### Likely Outcome

A regulator or arbitration panel would most likely find a violation, though perhaps with reduced damages. The combination of the account being the client's sole retirement asset, her age, and her explicit acknowledgment that she could not afford catastrophic losses creates a strong argument that a 52% sector concentration was inconsistent with her overall investment profile, even accounting for her sector enthusiasm and expertise. However, the advisor's documentation of the client's preferences and the

intra-sector diversification would likely be viewed as mitigating factors, potentially reducing any damages award by 25-40% under comparative fault principles. A panel might find that a 25-35% biotech allocation would have been the outer boundary of suitability given all factors.

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### Borderline Scenario 30

*Topic: mutual\_fund\_switching\_churning | Standard: FINRA Rule 2111 (Suitability), particularly the quantitative suitability obligation (F*

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#### Fact Pattern

Robert Galloway, age 45, a mid-level corporate manager earning \$135,000 annually, maintained a brokerage account with \$340,000 in mutual fund holdings, primarily accumulated through systematic investments over twelve years. His advisor, Karen Voss, recommended a series of seven mutual fund switches over a 26-month period between January 2021 and February 2023. The switches moved assets from one family of funds to another on four occasions and reallocated within the same fund family three times. Each switch involved selling existing positions and purchasing new funds in the same general asset category - for instance, moving from one large-cap growth fund to another large-cap growth fund, or switching from one intermediate bond fund to a competing intermediate bond fund. The total front-end sales charges generated by the switches were approximately \$14,200 across the seven transactions. Voss earned commissions totaling approximately \$9,800 from the switches. Voss documented her rationale for each switch in client file memos. For the four inter-family switches, she cited changes in fund management teams (two cases where lead portfolio managers departed), deteriorating fund performance relative to category peers over trailing 18-month periods (one case where the fund had underperformed its Morningstar category average by 280 basis points), and a meaningful reduction in expense ratio (one case where the new fund's expense ratio was 0.38% compared to the old fund's 0.91%). For the three intra-family switches, she cited shifts in Robert's allocation needs as he approached mid-career and began thinking about college savings for his two children, ages 8 and 11. Robert's account turnover ratio during this period was approximately 1.8, and his cost-to-equity ratio was roughly 3.1% annualized. Robert did not complain until he reviewed a consolidated summary in early 2023 and noticed the cumulative sales charges. He acknowledged in a subsequent interview that Voss had called him before each switch and explained her reasoning, and that he had approved each transaction. However, he stated he did not fully appreciate the cumulative cost impact and assumed Voss was acting in his best interest. The new funds generally performed comparably to - or in two cases slightly better than - the funds they replaced during the holding periods.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments supporting a violation: Seven mutual fund switches in 26 months generating \$14,200 in sales charges on a \$340,000 account is a pattern that raises serious red flags for mutual fund switching abuse. FINRA has long scrutinized mutual fund switches where the primary effect is to generate new sales charges without providing meaningful benefit to the client. FINRA Rule 2111 supplementary material specifically addresses quantitative suitability and excessive trading. FINRA Regulatory Notice 07-06 and Notice 94-16 specifically warn against mutual fund switching that generates commissions without

corresponding client benefit. The cost-to-equity ratio of 3.1% annualized means the portfolio needed to generate returns exceeding 3.1% per year merely to break even on transaction costs, a meaningful drag on a moderate-risk portfolio. An annualized turnover ratio of 1.8 in a mutual fund account - where funds are designed for longer holding periods - is notably elevated. Several of the switches involved moving between substantially similar funds in the same asset category, and the documented rationales, while facially reasonable, could be viewed as pretextual justifications for generating commissions. The fact that the new funds performed only comparably to the old funds undermines the argument that the switches provided meaningful benefit. Under Regulation BI, the advisor must consider reasonably available alternatives, including simply holding the existing funds. Arguments against a violation: Each switch had an individually documented rationale that addressed legitimate investment considerations - portfolio manager departures, sustained underperformance, and meaningful expense ratio reductions. The switch motivated by the 53-basis-point expense ratio reduction (\$0.91% to \$0.38%) would, for the portion of assets involved, recoup its front-end sales charge within approximately 2-3 years and produce net savings thereafter - a potentially reasonable long-term decision. Manager departures are widely recognized as legitimate triggers for reevaluation. An 18-month underperformance of 280 basis points relative to category is substantial and would concern most reasonable investors. The turnover ratio of 1.8, while elevated for mutual funds, falls below the 2.0 threshold that many arbitration panels have treated as a more definitive indicator of excessive trading, and well below the levels typically seen in clear churning cases. The cost-to-equity ratio of 3.1% is in the gray zone - above the 2% level that draws scrutiny but below the 4-5% level that more clearly indicates excessive costs. The client approved each transaction after receiving an explanation. The three intra-family switches addressed a genuine life-stage shift as the client began planning for college expenses. Voss's total commissions of \$9,800 over 26 months from this account do not suggest the kind of egregious self-dealing seen in clear churning cases.

### Why Borderline

This scenario is genuinely ambiguous because the quantitative indicators (turnover ratio of 1.8 and cost-to-equity ratio of 3.1%) fall in the contested middle ground between clearly acceptable and clearly excessive levels. Each individual switch had a documented, facially plausible rationale, but the cumulative pattern of seven switches in 26 months and \$14,200 in charges raises legitimate concern. The case turns on whether the switches are evaluated individually (where each appears defensible) or as a pattern (where the aggregate cost impact and frequency suggest possible abuse). Reasonable regulators and practitioners genuinely disagree about where to draw the line when each transaction has some justification but the cumulative effect is costly.

### Borderline Factors

- Turnover ratio of 1.8 falls below the 2.0 level often cited as a stronger indicator of excessive activity but above typical buy-and-hold patterns
- Cost-to-equity ratio of 3.1% is in the gray zone between the 2% scrutiny threshold and the 4-5% presumptive violation range
- Each switch had individually documented rationale addressing legitimate investment factors (manager changes, underperformance, expense reduction)
- The expense ratio reduction switch (91 bps to 38 bps) had a calculable breakeven point and long-term cost benefit
- New funds performed comparably to or slightly better than replaced funds - benefit was not clearly demonstrated but also not clearly absent

- Client verbally approved each transaction after receiving an explanation, though he did not appreciate cumulative costs
- Seven switches in 26 months in a mutual fund account is elevated frequency but not extreme
- Total advisor commissions of \$9,800 over 26 months are meaningful but not outsized relative to account size
- Some switches were within the same fund family (potentially eligible for reduced sales charges through exchange privileges) while others were not

### Likely Outcome

This is a close case that could go either way. A regulator would most likely issue a cautionary action or seek a modest settlement rather than pursue a full enforcement action. The individually documented rationales provide meaningful defense, but the cumulative switching pattern and aggregate costs create enough concern to warrant regulatory attention. An arbitration panel might find a partial violation - perhaps concluding that four or five of the seven switches were justified but that two or three (particularly the intra-category switches where the new fund performed comparably) lacked sufficient benefit to justify the sales charges. Damages, if awarded, would likely be limited to the sales charges associated with the switches found unjustified, perhaps \$4,000-\$7,000 rather than the full \$14,200.

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## Borderline Scenario 31

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable*

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### Fact Pattern

Margaret Ellison, age 62, is a recently retired school principal with a \$1.2 million portfolio consisting primarily of municipal bonds and blue-chip dividend stocks. Her account documents indicate a moderate risk tolerance, a primary goal of income generation in retirement, and a secondary goal of capital preservation. She has a pension covering roughly 60% of her living expenses, and her investment portfolio is expected to cover the remaining 40%. Her annual income need from the portfolio is approximately \$48,000. In March 2023, her financial advisor, Derek Huang, recommended she invest \$180,000 - approximately 15% of her portfolio - into a market-linked structured note tied to the S&P 500 with a 6-year maturity. The note offered a 9.2% annual coupon contingent on the S&P 500 not declining more than 30% from its initial level on any quarterly observation date. If the index breached that 30% barrier at any point, the coupon for that quarter would not be paid and, at maturity, the investor's principal could be reduced by the full percentage decline of the index. The note was issued by a large, investment-grade bank with a credit rating of A-. Derek explained the barrier feature and the conditional coupon structure to Margaret during two separate meetings, and she signed a product-specific disclosure acknowledging the risks, including the possibility of losing a substantial portion of principal. Margaret's account records show she had previously held a small allocation (about 4%) in a callable corporate bond with a BBB+ rating, and she had once invested \$30,000 in a real estate investment trust with a 7-year lock-up period. Derek's internal notes state that Margaret expressed frustration with the low yields on her municipal bonds (averaging 3.1%) and specifically asked about ways to boost her income without taking on 'too much stock market risk.' The structured note's conditional coupon of 9.2% would generate approximately \$16,560 annually if all coupons were paid, meaningfully supplementing her income. Derek did not present alternative options such as higher-yielding corporate bond funds, preferred stock ETFs, or dividend growth strategies during the

documented meetings, though he later stated in a supervisory review that he had verbally discussed alternatives. Margaret's remaining portfolio of approximately \$1.02 million continued to generate roughly \$35,000 in annual income from dividends and bond interest.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated suitability or best interest standards: The structured note's 6-year maturity and contingent coupon structure introduce significant complexity and downside risk for a 62-year-old retiree whose primary goal is income generation and capital preservation. A 30% barrier, while seemingly distant, was tested during market downturns in recent years, and if breached, Margaret could lose both her coupon income and a substantial portion of her \$180,000 principal - a meaningful blow to a retiree relying on her portfolio for living expenses. The 15% concentration in a single structured product tied to one index and one issuer's credit introduces both market risk and credit risk that may be disproportionate for her profile. The lack of documented alternatives is concerning; under heightened standards applicable to complex products, advisors are generally expected to demonstrate they considered reasonably available alternatives. Margaret's stated desire to avoid 'too much stock market risk' arguably conflicts with a product whose principal is fully exposed to equity market declines beyond the barrier. Arguments that Derek acted appropriately: Margaret's risk tolerance was listed as moderate, not conservative, and she had prior experience with illiquid and slightly below-investment-grade products, suggesting she was not a purely conservative investor unfamiliar with complexity. The 9.2% conditional coupon directly addressed her stated need for higher income, and the 30% barrier provided a meaningful cushion before principal was at risk. The remaining 85% of her portfolio remained in conservative holdings, and even without the structured note's income, she could cover approximately 89% of her total living expenses through her pension and portfolio income. The issuing bank's A- credit rating was strong, mitigating credit risk. Derek held two meetings to explain the product and obtained signed disclosures, suggesting meaningful informed consent. Margaret's own frustration with low yields and her request for enhanced income arguably invited a recommendation of this nature. The 15% allocation, while notable, is not extreme concentration for a single investment type.

### Why Borderline

This scenario is genuinely ambiguous because the structured note's risk-return profile partially aligns with Margaret's stated income goals and moderate risk tolerance, and the barrier provides downside protection up to a point. However, the product's complexity, the 6-year illiquidity, the contingent nature of the income stream, and the potential for significant principal loss all create tension with her retirement income needs and capital preservation goals. The lack of documented alternatives is a procedural deficiency that could be dispositive in some regulatory frameworks but not others. Reasonable practitioners could disagree about whether 15% in a single structured note crosses the line for a moderate-risk retiree with a pension backstop.

### Borderline Factors

- Client's moderate (not conservative) risk tolerance and prior experience with mildly complex/illiquid products
- 15% allocation is meaningful but not extreme concentration
- Conditional coupon directly addresses client's stated income frustration and need



- 30% barrier provides cushion but does not eliminate significant principal risk
- 6-year maturity creates illiquidity for a 62-year-old with ongoing income needs
- Pension covers 60% of expenses, reducing but not eliminating dependence on portfolio income
- Lack of documented alternative product analysis despite verbal claims
- Client affirmatively requested higher-income options, arguably providing informed direction
- Signed product-specific risk disclosure obtained after two explanatory meetings

### Likely Outcome

A regulator would likely issue a cautionary finding or a modest sanction rather than a severe enforcement action. The core recommendation is defensible given the client's moderate risk tolerance, pension backstop, income needs, and the product's barrier cushion. However, the failure to document consideration of less complex alternatives - particularly under frameworks that require comparative analysis for complex products - would draw scrutiny. The most likely outcome is a finding of a procedural deficiency in the recommendation process, potentially resulting in enhanced supervision requirements or a small fine, rather than a finding that the recommendation itself was fundamentally unsuitable. If the market performed poorly and Margaret actually suffered losses, regulators would be more inclined to find a violation retroactively, illustrating outcome bias in enforcement.

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## Borderline Scenario 32

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) applies to the broker-dealer recommendation, requi*

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### Fact Pattern

Thomas and Linda Pereira, both 55, are dual-income professionals - he is a software engineering manager earning \$195,000 annually and she is a hospital administrator earning \$165,000. Their combined investable assets total approximately \$2.8 million across retirement and taxable accounts. In their most recent account update in January 2023, they described their risk tolerance as moderate-to-aggressive, their time horizon as 10+ years until retirement, and their goals as growth with some downside protection. Their advisor, Carolyn Reeves, recommended in April 2023 that they invest \$420,000 - about 15% of their total portfolio - across three separate autocallable reverse convertible notes, each linked to a different single stock: a large-cap technology company, a major pharmaceutical firm, and an international energy conglomerate. Each note had a 2-year maximum maturity with potential early autocall at 6-month intervals if the underlying stock was at or above its initial price. The notes offered fixed coupons ranging from 10.5% to 12.8% annually, paid monthly regardless of stock performance. However, each note included a knock-in put feature: if the underlying stock declined 25% or more from its initial price at any point during the note's life, the investor would receive shares of the depreciated stock at maturity instead of principal, effectively bearing the full downside of the stock below the knock-in level. The three notes were issued by two different major banks, both rated A or above. Carolyn allocated \$140,000 to each note. She provided the Pereiras with the offering documents for all three notes, walked them through the payoff diagrams in a 90-minute meeting, and specifically highlighted the risk of receiving depreciated stock. Thomas, with his technology background, asked detailed questions about the pricing mechanics and volatility assumptions, and Carolyn answered them using the term sheets. The Pereiras' existing portfolio included approximately 40% in diversified equity index funds, 25% in individual growth stocks (including two of the three companies underlying the notes), 20% in fixed income, and 15% in alternative investments including a hedge fund

allocation and a private credit fund. Six months later, the technology stock had declined 31%, triggering the knock-in barrier on that note, while the other two notes autocalled successfully, returning principal plus coupons. The Pereiras filed a complaint alleging that Carolyn should never have recommended single-stock-linked notes for such a large portion of their portfolio and that the concentration in individual company risk was inappropriate.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Carolyn violated suitability or best interest standards: Reverse convertible notes linked to single stocks are among the most complex and risky structured products available to retail investors. Unlike index-linked notes, single-stock-linked notes concentrate idiosyncratic company risk, meaning a company-specific event (earnings miss, regulatory action, management scandal) can trigger the knock-in barrier even when the broader market performs well. Allocating \$420,000 across three such notes - even if diversified across sectors - still exposes the clients to three separate instances of single-stock downside risk. The 25% knock-in barrier is relatively tight and was indeed breached on one of the notes within six months. Furthermore, the Pereiras already held two of the three underlying stocks directly in their portfolio, meaning the structured notes increased their concentration in those specific companies rather than diversifying their exposure. The combined direct stock and structured note exposure to those companies may have been excessive. The high coupons (10.5-12.8%) reflect the significant risk being transferred to the investor, and a sophisticated analysis would show that the investor is essentially selling a put option on each stock in exchange for the coupon - a risk that may not align with a stated goal of 'growth with some downside protection.' Arguments that Carolyn acted appropriately: The Pereiras are high-income, high-net-worth investors with a moderate-to-aggressive risk profile, a 10+ year time horizon, and demonstrated experience with complex investments including hedge funds, private credit, and individual stock selection. Thomas's technology background enabled him to engage meaningfully with the pricing mechanics. The 15% allocation across three different sectors diversifies the single-stock risk somewhat, and the 2-year maximum maturity with 6-month autocall opportunities limits the duration of exposure. Two of the three notes successfully autocalled, validating the strategy in those cases. The fixed monthly coupons provided income regardless of stock performance, and the stated goal of 'growth with some downside protection' is arguably served by a strategy that provides high income in exchange for accepting equity-like downside only below a 25% decline. The Pereiras' existing portfolio already demonstrated comfort with concentrated stock positions and alternative investments, suggesting they understood and accepted idiosyncratic risk. Carolyn's thorough 90-minute explanation with payoff diagrams and term sheet review demonstrates meaningful disclosure efforts.

### Why Borderline

This case sits in a gray zone because the clients' sophisticated profile, aggressive risk tolerance, existing comfort with concentrated stock positions and alternatives, and the thorough disclosure process all support the recommendation. However, single-stock reverse convertibles are inherently high-risk products that embed significant downside exposure in exchange for above-market coupons, and the overlapping exposure with directly held stocks arguably worsened concentration rather than improving the portfolio. The 'downside protection' goal stated by the clients is in genuine tension with a product that provides no principal protection below the barrier. Whether the advisor adequately weighed the total portfolio

concentration effect and whether the products truly served the clients' stated objectives are questions where reasonable professionals would disagree.

### Borderline Factors

- Clients' moderate-to-aggressive risk tolerance and 10+ year time horizon support higher-risk recommendations
- Prior experience with alternatives (hedge fund, private credit) and individual stock picking demonstrates sophistication
- Single-stock reverse convertibles carry idiosyncratic risk fundamentally different from diversified structured products
- Overlapping exposure: clients already held two of the three underlying stocks directly, increasing concentration
- 25% knock-in barrier was breached within six months on one note, demonstrating the risk was real and proximate
- Two of three notes autocalled successfully, suggesting the strategy was not uniformly flawed
- High coupons (10.5-12.8%) reflect significant embedded risk that may conflict with 'downside protection' goal
- Thorough 90-minute disclosure meeting with payoff diagrams and engaged questioning by the client
- 15% total allocation across three sectors provides some diversification but concentrates single-stock event risk
- Thomas's technical background and detailed questions about volatility assumptions suggest informed consent

### Likely Outcome

A regulator reviewing this case would likely focus on two key issues: (1) whether the total portfolio concentration in the underlying stocks (direct holdings plus structured note exposure) was adequately analyzed and disclosed, and (2) whether single-stock reverse convertibles were consistent with the clients' stated goal of 'downside protection.' The most probable outcome is a split finding: the regulator would likely find that the recommendation was not per se unsuitable given the clients' wealth, sophistication, risk tolerance, and the thorough disclosure process, but might find a deficiency in failing to account for the overlapping direct stock exposure when assessing concentration risk. A modest sanction or supervisory enhancement is more likely than rescission or significant disgorgement, particularly because the losses were limited to one of three notes and the clients' overall financial position was not materially impaired. The outcome might differ depending on whether the reviewing body applies a transaction-level suitability analysis or a holistic portfolio-level best interest standard.

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## Borderline Scenario 33

*Topic: excessive\_churning | Standard: Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, a broker must*

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### Fact Pattern

Margaret Holloway, age 58, is a recently retired school administrator with a \$620,000 rollover IRA that represents her primary retirement savings. She told her advisor, Derek Santana, that she wanted to 'stay active' in the market and 'not just sit in boring index funds.' She signed a trading authorization giving

Santana discretion over the account and told him she checked her account online 'almost every day' and enjoyed seeing the trades. Over a 14-month period from January 2022 through February 2023, Santana executed 87 trades in the account, primarily rotating between large-cap equities, sector ETFs, and a handful of mid-cap growth stocks. The annualized turnover ratio for the account was approximately 4.8. Total commissions and transaction costs over the period were \$31,400, representing roughly 5.1% of the average account value. The account's net return over the period was +3.2%, while a blended benchmark of 60% S&P 500 and 40% Bloomberg Aggregate Bond Index returned +5.8% over the same period. Holloway never complained about any individual trade, and email records show she occasionally messaged Santana with ideas like 'What do you think about getting into energy stocks?' and 'Should we take profits on the tech names?' Santana's notes from their quarterly reviews indicate Holloway expressed satisfaction with the account and said she liked the 'hands-on approach.' However, Holloway's new account form listed her risk tolerance as 'moderate,' her investment objective as 'growth and income,' and her time horizon as '10-15 years.' She had no prior trading experience before working with Santana and had listed her annual income post-retirement as \$54,000 from a pension. Approximately 62% of the trades were sells followed by purchases in the same sector within five business days. Santana earned \$24,800 in personal commissions from the account during the period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Santana violated his obligations: The annualized turnover ratio of 4.8 is above the threshold of 6 that is traditionally considered presumptive churning, but it is well above the level of 2 that many regulators and arbitration panels have found sufficient to support a churning claim, particularly in a retirement account for a moderate-risk investor. The cost-to-equity ratio of 5.1% means the account needed to generate over 5% just to break even on costs, which is a meaningful drag on a moderate growth-and-income portfolio. The account underperformed a reasonable benchmark by 2.6 percentage points, and much of the shortfall can be attributed to transaction costs. The pattern of selling and rebuying within the same sectors suggests the trading was not driven by meaningful changes in investment thesis. Holloway's profile - moderate risk, retirement account, pension-dependent income, no prior trading experience - does not naturally call for 87 trades in 14 months. Santana had discretionary authority, which strengthens a churning claim because he controlled the trading activity. His personal commission income of \$24,800 suggests a financial motive. Arguments against a violation: Holloway actively encouraged trading, emailed trade ideas, checked her account daily, and expressed satisfaction at every quarterly review. She explicitly said she did not want passive index fund investing. The turnover ratio of 4.8, while elevated, is below the traditional presumptive threshold of 6. The account did generate a positive absolute return of 3.2%, so Holloway did not lose money. The trades were in mainstream securities - large-cap stocks and sector ETFs - not speculative instruments. Her 10-15 year time horizon and growth objective suggest she was not entirely risk-averse. Client-initiated enthusiasm and ongoing informed consent can be a meaningful defense, especially when documented. The underperformance relative to the benchmark, while notable, occurred during a volatile market period where active management commonly lagged.

### Why Borderline

This case sits in a genuine gray zone because the quantitative indicators of churning (turnover ratio, cost-to-equity ratio, benchmark underperformance) are elevated but not extreme, while the qualitative

evidence of client engagement and satisfaction is strong and well-documented. The turnover ratio of 4.8 falls in the contested middle ground - clearly above a normal managed account but below the level most panels consider presumptive. The client's own stated preference for active management and her documented participation in trade ideas complicates the narrative that trading was excessive and unauthorized. However, her underlying profile (moderate risk, retirement money, no experience) conflicts with the level of activity, and the advisor's discretionary control and commission income create an inherent conflict.

### Borderline Factors

- Turnover ratio of 4.8 is elevated but below the traditional presumptive churning threshold of 6
- Cost-to-equity ratio of 5.1% is high but the account still generated positive absolute returns
- Client actively encouraged trading, emailed trade ideas, and expressed satisfaction at quarterly reviews
- Client's documented risk profile (moderate) and retirement context conflict with the volume of trading
- Advisor had discretionary authority, strengthening control element of churning analysis
- 62% of trades involved same-sector sell-and-rebuy within five days, suggesting possible unnecessary activity
- Client had no prior trading experience, raising questions about truly informed consent to active trading
- Benchmark underperformance of 2.6% is meaningful but not extreme

### Likely Outcome

A regulator would likely pursue this as a borderline but actionable case, particularly given the discretionary authority, retirement account context, and the pattern of same-sector rotation that generated commissions without clear investment rationale. However, the strong evidence of client engagement and satisfaction would likely result in a negotiated settlement or reduced sanctions rather than a full finding of churning. An arbitration panel could go either way, with the outcome hinging on whether the panel credits the client's documented enthusiasm as meaningful consent or views it as an unsophisticated investor being led along by her advisor. A likely outcome is a finding of excessive trading with moderate damages, potentially reduced by comparative fault or the client's contributory conduct.

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## Borderline Scenario 34

Topic: illiquid\_investments | Standard: Under FINRA Rule 2111, the suitability analysis requires consideration of the customer's investment

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### Fact Pattern

Carlos and Elena Reyes, both age 44, are dual-income professionals - he is a software engineer earning \$195,000 annually and she is a hospital pharmacist earning \$138,000. Their combined liquid investment portfolio totals \$910,000, held across brokerage and retirement accounts. They also own their home (valued at \$685,000 with \$290,000 remaining on the mortgage) and have \$85,000 in emergency savings. They told their advisor, Priya Nandakumar, that they were interested in 'alternative investments to diversify beyond stocks and bonds' and that they had been reading about private real estate funds. In March 2023, Nandakumar recommended they invest \$200,000 (approximately 22% of their liquid portfolio) into a non-traded real estate investment trust (REIT) that focused on industrial warehouse and logistics properties. The REIT had a minimum five-year hold period, no secondary market, and offered a stated target distribution of 6.5% annually, though distributions were not guaranteed and could be paid from

sources other than operating cash flow. Redemption was available only through a quarterly share repurchase program that was limited to 5% of outstanding shares per quarter and could be suspended at the board's discretion. The REIT charged a 3.5% upfront placement fee and an annual management fee of 1.25%, plus a performance allocation of 12.5% above a 5% hurdle. Nandakumar's firm received a 3% selling commission, and she personally received 40% of that as her payout. At the time of the recommendation, the couple's portfolio was approximately 72% equities and 28% bonds/cash, and they had expressed concern about equity market concentration. They stated their investment horizon was 'long-term, at least 15-20 years until retirement,' and marked their risk tolerance as 'moderately aggressive.' They had no prior experience with non-traded REITs or other illiquid alternatives, though Carlos had invested in publicly traded REITs through his 401(k). Six months after the investment, the REIT suspended its quarterly repurchase program citing capital preservation needs during commercial real estate market turbulence. The Reyes couple did not need the money at that time but expressed concern about not being able to access it. By early 2024, the REIT reduced its distribution from 6.5% to 3.8%, and the estimated net asset value per share had declined 11% from the purchase price. The couple filed a complaint saying they were never clearly told the investment could become essentially impossible to sell.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Nandakumar violated her obligations: The Reyes couple had no experience with non-traded REITs or illiquid alternatives, making the disclosure of liquidity risks especially critical. If the advisor failed to clearly explain that the quarterly redemption program could be suspended entirely - effectively trapping their capital - that represents a material omission about the investment's fundamental characteristics. A 22% allocation to a single illiquid, non-traded product is a significant concentration, particularly in an asset class the clients had never used before. The total upfront cost of 3.5% plus the ongoing fees significantly erode returns, and the advisor's firm received a 3% selling commission, creating a financial incentive to recommend this product over more liquid alternatives such as publicly traded REITs, which offer similar real estate exposure with daily liquidity and far lower costs. The fact that distributions could be funded from sources other than operating income (including return of capital or borrowed funds) is a nuance that must be clearly communicated. The rapid deterioration - suspended redemptions, cut distributions, and 11% NAV decline - within months of purchase, while not necessarily foreseeable, underscores the risks that should have been prominently disclosed. Arguments against a violation: The Reyes couple is financially well-positioned - combined income of \$333,000, \$910,000 in liquid investments, \$85,000 in emergency savings, home equity, and a 15-20 year time horizon. Even after the \$200,000 investment, they retained \$710,000 in liquid assets plus their emergency fund, meaning they had substantial resources to meet any short-term needs. Their moderately aggressive risk tolerance and expressed interest in alternatives and diversification beyond stocks and bonds suggest the general category of investment was appropriate. The 22% allocation is notable but not extreme for a high-income couple with ample remaining liquidity and decades until retirement. Industrial logistics real estate was widely viewed as an attractive sector in early 2023. Nandakumar's recommendation aligned with the clients' stated desire for diversification and income generation. The subsequent market deterioration and suspension of the repurchase program were not reasonably foreseeable at the time of the recommendation and should not retroactively make the initial recommendation unsuitable. The couple signed offering documents and subscription agreements that disclosed the illiquidity risks, fee structure, and the possibility that the repurchase program could be



suspended.

### Why Borderline

This scenario is genuinely ambiguous because the clients' financial profile - high income, substantial liquidity, long time horizon, moderately aggressive risk tolerance, and expressed interest in alternatives - creates a reasonable argument that the investment category was appropriate. However, the 22% allocation to a single illiquid vehicle they had no experience with, combined with the advisor's commission incentive and the clients' claim that liquidity risks were not clearly communicated, creates legitimate concerns. The core tension is between objective financial suitability (they could afford the illiquidity) and the adequacy of disclosure about what illiquidity actually means in practice (the repurchase program could be entirely suspended). Whether signing subscription documents constitutes sufficient disclosure or whether the advisor had an independent obligation to ensure actual client understanding is a genuinely contested question.

### Borderline Factors

- Clients' strong financial profile (high income, ample remaining liquidity, long time horizon) supports the recommendation's general appropriateness
- 22% allocation to a single illiquid product is significant but not clearly excessive for their overall wealth
- Clients had no prior experience with non-traded REITs despite some familiarity with publicly traded REITs
- Clients specifically requested alternatives and diversification beyond traditional stocks and bonds
  - Advisor's firm received a 3% selling commission, creating potential conflict of interest versus recommending lower-cost publicly traded REITs
  - Dispute over whether liquidity risks - particularly suspension of the repurchase program - were adequately communicated beyond what appeared in subscription documents
  - Subsequent market deterioration occurred after the recommendation and may not reflect the initial recommendation's quality
- Total fee load (3.5% upfront, 1.25% annual management, 12.5% performance fee) significantly erodes returns compared to liquid alternatives with similar exposure

### Likely Outcome

A regulator would likely focus this case on the adequacy of disclosure rather than on the fundamental suitability of the product category. Given the clients' financial profile and expressed preferences, proving the recommendation was categorically unsuitable would be difficult. However, if the investigation reveals that Nandakumar did not clearly and specifically explain the possibility of redemption suspension - relying instead on the clients' signatures on dense offering documents - a regulator could find a disclosure violation, particularly under a best interest standard that requires the advisor to ensure the client understands material risks. The most likely outcome is a finding that turns on the quality of the advisor's documentation and verbal disclosures. If Nandakumar maintained notes showing she specifically discussed the illiquidity risks including possible suspension of the repurchase program, she would likely prevail. If her documentation is thin and consists mainly of signed subscription agreements, a regulator would likely find a violation related to inadequate disclosure and the conflict of interest posed by the commission differential between the non-traded REIT and comparable liquid alternatives. Sanctions would likely include partial restitution and a fine, but not a career-ending action.

## Borderline Scenario 35

Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment s

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### Fact Pattern

Rebecca Thornton, age 58, is a retired school librarian with a \$410,000 portfolio, consisting primarily of index funds and a small allocation to individual blue-chip stocks. Her account opening documents listed her risk tolerance as 'moderate,' her investment objective as 'growth and income,' and her time horizon as '10-15 years.' She had no prior experience with speculative securities. In March 2023, her advisor, Gerald Fisk, recommended she allocate \$18,000 (approximately 4.4% of her portfolio) across three micro-cap stocks trading below \$2.00 per share. Two of the stocks were listed on the OTC Bulletin Board and one was on a minor exchange. Fisk told Thornton that these were 'early-stage companies with real revenue' and showed her third-party research reports from a boutique firm that gave each company a 'speculative buy' rating based on upcoming FDA decisions and government contract announcements. He described the position as a 'satellite allocation for asymmetric upside' and told her that if the stocks didn't perform within 12 months, they would exit. Thornton signed a penny stock risk disclosure document and initialed a supplemental form acknowledging the speculative nature of the investment. Fisk also placed a stop-loss order at 40% below purchase price on each position. Within seven months, one stock rose 85%, one was flat, and one triggered its stop-loss. The net result across all three positions was a modest gain of approximately \$2,100. Thornton did not complain at any point during the holding period. Her remaining portfolio continued to perform in line with market benchmarks. Fisk had recommended similar small satellite allocations in penny stocks to four other clients in his book, two of whom had higher risk tolerances and two of whom had profiles similar to Thornton's.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Fisk violated suitability: Penny stocks are widely recognized as among the highest-risk, most speculative securities available. Thornton was a retired 58-year-old with moderate risk tolerance, no experience with speculative securities, and an investment objective focused on growth and income - not speculation. The OTC Bulletin Board stocks in particular carry heightened risks of illiquidity, price manipulation, and limited disclosure. A moderate-risk retiree with a 10-15 year horizon is generally not the profile associated with penny stock investing. The fact that Fisk made similar recommendations to other clients with comparable profiles could suggest a pattern of pushing house inventory or earning higher commissions rather than tailoring advice. Under a quantitative suitability lens, putting a retiree into three penny stocks simultaneously raises questions about whether the strategy, even if small, was suitable for this specific customer.

Arguments that Fisk acted appropriately: The allocation was deliberately small - only 4.4% of the total portfolio - and was explicitly framed and managed as a satellite position. Fisk provided third-party research (not just his own opinion), used stop-loss orders to limit downside, set a defined time horizon for evaluation, and obtained Thornton's informed written consent via penny stock disclosure documents. The remainder of the portfolio was conservatively managed and unaffected. The net outcome was a modest gain. Many financial planning frameworks accept small speculative allocations (often called 'fun money' or 'explore'

buckets) within otherwise diversified portfolios, even for moderate-risk investors, provided the allocation is limited and the client is informed. Thornton signed multiple acknowledgment forms, suggesting she understood the risks. The 4.4% allocation would not materially impair her financial security if lost entirely.

### Why Borderline

This case sits in genuine gray area because the investment type (penny stocks) is inherently speculative and generally disfavored for moderate-risk retirees, but the position sizing was disciplined, risk mitigation tools were employed, written disclosures were obtained, and the overall portfolio remained suitable. Reasonable practitioners disagree about whether the nature of the security itself should be disqualifying regardless of position size, or whether a small, disclosed, risk-managed allocation can be appropriate even for a moderate investor. The fact that the positions were profitable makes enforcement less likely but doesn't resolve the suitability question at the time of recommendation.

### Borderline Factors

- Penny stocks are inherently high-risk and speculative, generally inappropriate for moderate-risk retired investors
- The allocation was small (4.4%) and deliberately structured as a satellite position within a diversified portfolio
- Stop-loss orders were placed to limit downside risk to approximately 40%
- Client signed penny stock risk disclosure and supplemental acknowledgment forms
- Third-party research supported the recommendations, not just advisor opinion
- Client had no prior experience with speculative securities
- The advisor made similar recommendations to other clients with comparable conservative profiles, suggesting possible pattern
- Net result was a modest gain, and the client never complained
- Retirement status and moderate risk tolerance cut against speculative investments regardless of size

### Likely Outcome

A regulator would likely issue a cautionary letter or require enhanced supervision rather than pursue formal sanctions. The small allocation size, documented disclosures, risk mitigation measures, and positive outcome make this a difficult enforcement case. However, if the pattern of recommending penny stocks to moderate-risk retirees were more widespread, or if the positions had resulted in significant losses, the outcome could shift toward a formal finding of unsuitability. Most arbitration panels would likely find that the advisor's risk controls and disclosure were sufficient given the limited allocation, but the case could go either way depending on the panel's view of whether penny stocks are per se unsuitable for this client profile.

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## Borderline Scenario 36

Topic: *crypto\_assets\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the*

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### Fact Pattern

David and Maria Chen, ages 44 and 41, are dual-income professionals earning a combined \$285,000 per year. They have approximately \$1.2 million in retirement accounts, \$95,000 in an emergency fund, own

their home with \$180,000 remaining on the mortgage, and have two children ages 10 and 7 with 529 plans funded at \$62,000 total. In September 2023, they opened a taxable brokerage account with \$150,000 and told their advisor, Kyle Pratt, that they wanted 'aggressive growth with a 15-20 year horizon' and were 'interested in getting some crypto exposure.' Their account documents listed risk tolerance as 'aggressive' and investment experience as 'extensive' in equities and options but 'limited' in digital assets. Pratt recommended allocating \$30,000 (20% of the new account) to a mix of cryptocurrency-related investments: \$12,000 to a Bitcoin exchange-traded product, \$10,000 directly to Ethereum through a custodial crypto platform affiliated with the brokerage, and \$8,000 to a blockchain technology equity ETF. Pratt explained the volatility characteristics of each investment, noting that Bitcoin and Ethereum could experience drawdowns of 50-80% in bear markets. He provided a written summary of risks including regulatory uncertainty, custodial risks for the direct Ethereum holding, and the correlation characteristics of crypto with traditional assets. The Chens acknowledged these risks verbally during a recorded meeting but did not sign a separate crypto-specific risk disclosure. Over the next eight months, the Bitcoin ETP gained 62%, Ethereum gained 38%, and the blockchain ETF gained 27%. The Chens' overall account grew to approximately \$188,000. In May 2024, Maria Chen attended a financial literacy seminar where a speaker described cryptocurrency as 'unsuitable for any retirement-oriented investor,' prompting her to file a complaint alleging the crypto allocation was too high for their needs and that Pratt had steered them toward products that generated higher fees for the firm. The firm's standard advisory fee was 1.1% on all assets, and the Bitcoin ETP carried an internal expense ratio of 0.95%, while the blockchain ETF charged 0.65%. The direct Ethereum holding incurred a one-time custody setup fee of \$150 and an ongoing custody fee of 0.50% annually. Comparable equity-only aggressive growth portfolios at the firm typically used funds with expense ratios of 0.15-0.45%.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Pratt violated suitability or best interest: The Chens had only 'limited' experience with digital assets, which arguably should have prompted more conservative initial exposure rather than a 20% allocation. The cost differential is notable - the crypto-related investments carried significantly higher fees than comparable equity alternatives, which could suggest the advisor's interests were not fully aligned with the clients'. The Bitcoin ETP's 0.95% expense ratio is roughly 2-6 times more expensive than typical aggressive equity ETFs. The absence of a signed crypto-specific risk disclosure, even though the conversation was recorded, represents a documentation gap. A 20% allocation to a nascent, highly volatile asset class for clients with limited crypto experience could be viewed as excessive even within an aggressive framework. Some would argue that the clients' expression of 'interest' in crypto does not constitute informed demand for a 20% allocation, and the advisor had a duty to moderate that interest based on their limited knowledge.

Arguments that Pratt acted appropriately: The Chens explicitly requested crypto exposure, stated an aggressive risk tolerance, had a 15-20 year time horizon, and had substantial financial resources well beyond this account (over \$1.2 million in retirement savings, fully funded emergency reserves, and 529 plans). The \$150,000 account was clearly surplus capital earmarked for aggressive growth. The 20% crypto allocation was split across three different vehicles with varying risk profiles - a regulated ETP, a direct holding, and an equity ETF - providing diversification within the crypto allocation itself. Pratt explained the

specific volatility risks (including 50-80% drawdowns) and provided a written risk summary. The blockchain equity ETF is fundamentally an equity product, not a direct crypto holding, which means only about 14.7% of the account was in actual cryptocurrency exposure. The Chens are high-earning mid-career professionals with decades until retirement and ample other assets to meet their core financial needs. The complaint was filed only after an outside seminar, not from any actual dissatisfaction or loss. Higher expense ratios for crypto products reflect the current state of the market and are typical across the industry - virtually all Bitcoin ETPs launched with expense ratios between 0.20% and 1.50%.

### Why Borderline

This case is genuinely ambiguous because it pits the clients' explicit request for crypto exposure and aggressive risk profile against their limited experience with digital assets and the higher cost structure of crypto products. The 20% allocation falls in a debatable range - many model portfolios for aggressive investors include 5-15% in alternatives or crypto, but 20% is at the upper end. The cost differential raises legitimate questions about whether lower-cost or more conservative alternatives would have better served the clients, but the products used were mainstream, regulated vehicles. The strong positive performance undermines but does not eliminate the suitability concern, since suitability is judged at the time of recommendation. The complaint's origin - an outside seminar rather than actual financial harm - adds further complexity.

### Borderline Factors

- Clients explicitly requested crypto exposure and had aggressive risk tolerance with a long time horizon
- Clients had only 'limited' experience with digital assets despite extensive equity and options experience
- 20% allocation to crypto-related investments is at the high end of typical aggressive model portfolios
- The allocation was diversified across three different crypto-related vehicles with varying risk profiles
- Crypto products carried meaningfully higher expense ratios than comparable equity alternatives
  - Advisor provided verbal and written risk disclosures but did not obtain a signed crypto-specific acknowledgment
- Clients had substantial other assets (\$1.2M+ in retirement, emergency fund, 529 plans) beyond this account
- All positions were profitable at the time of complaint, and the complaint was prompted by an outside seminar
- The direct Ethereum holding introduced custodial risk that the ETP and ETF did not
- Industry norms for crypto allocation in aggressive portfolios are still evolving with no consensus standard

### Likely Outcome

A regulator would most likely decline to pursue formal action but might require the firm to enhance its crypto-specific disclosure procedures and ensure signed acknowledgments for direct digital asset holdings. The combination of the clients' explicit request, aggressive profile, strong financial position, thorough verbal and written risk discussion, and profitable outcome makes this a weak enforcement case. However, the cost differential and limited crypto experience could support a finding that the advisor should have started with a smaller allocation (e.g., 10%) or used lower-cost vehicles. In arbitration, the Chens would face an uphill battle given the absence of losses, their stated preferences, and the recorded acknowledgment of risks, though a panel sympathetic to the cost concerns could award partial damages based on the fee differential.

## Borderline Scenario 37

*Topic: annuity\_unnecessary\_switching | Standard: FINRA Rule 2330 imposes specific obligations for variable annuity transactions, in*

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### Fact Pattern

Margaret Hollis, age 62, a retired school principal with \$780,000 in total investable assets, had owned a variable annuity since 2017 with a current account value of \$210,000 and a guaranteed minimum income benefit rider. The annuity had a remaining surrender period of 2 years with a 3% surrender charge, and its annual expense ratio was 2.85%. In March 2023, her advisor, David Crenshaw, recommended she surrender the existing annuity and move the proceeds into a new variable annuity issued by a different carrier. The new annuity had an annual expense ratio of 2.15%, a new 7-year surrender period, a slightly different guaranteed lifetime withdrawal benefit rider that would begin payouts at 5.25% of the benefit base (compared to 5.0% under the old contract), and access to a broader selection of 47 investment sub-accounts compared to 22 in the old product. The surrender charge on the old annuity would cost Margaret approximately \$6,300. Crenshaw earned a \$9,450 commission on the new annuity sale, whereas he would have earned nothing had Margaret stayed in the existing contract. Margaret's stated goals in her most recent account update form were generating reliable retirement income beginning at age 65, moderate growth, and leaving assets to her two children. She had a moderate risk tolerance and no immediate liquidity needs beyond her pension of \$4,200/month and Social Security of \$1,900/month. Crenshaw documented in his notes that the lower ongoing expenses of the new annuity would recoup the surrender charge within approximately 28 months and that the improved sub-account options would allow better diversification. He also noted that the higher guaranteed withdrawal percentage would generate an additional \$525 per year in guaranteed income when Margaret activated the rider. Margaret signed a switch disclosure form acknowledging the surrender charge and new surrender period. She later filed a complaint alleging the switch was unnecessary and primarily motivated by Crenshaw's commission.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Crenshaw violated applicable standards: The switch imposed a \$6,300 surrender charge and reset the surrender period from 2 remaining years to a full 7 years, significantly reducing Margaret's liquidity for a substantial portion of her retirement years (ages 62 through 69). The commission of \$9,450 creates a material conflict of interest, particularly since Crenshaw would have earned nothing by keeping Margaret in the existing product. The incremental benefit - an additional \$525 per year in guaranteed income and a 70 basis point reduction in annual expenses - is relatively modest in absolute terms and must be weighed against the certain cost of the surrender charge and the loss of liquidity optionality. A 28-month breakeven period, while not excessively long, does not account for the time value of money or the risk that Margaret's circumstances could change, requiring access to the funds during the new surrender period. The old annuity's guaranteed minimum income benefit rider was already providing a comparable level of protection, and surrendering it eliminates a known benefit in exchange for a slightly enhanced but untested new rider from a different carrier. Under FINRA Rule 2330 (Variable Annuity Transactions), there is a heightened obligation when recommending exchanges, requiring the advisor to consider whether the customer would be disadvantaged by the new surrender period, loss of existing benefits, and additional costs. Under Regulation Best Interest, the care obligation requires that the advisor exercise reasonable



diligence and consider reasonably available alternatives, including keeping the existing annuity. Arguments that Crenshaw acted appropriately: The 70 basis point annual expense reduction on a \$210,000 account saves approximately \$1,470 per year, meaning the \$6,300 surrender charge is recouped in roughly 4.3 years on expenses alone (Crenshaw's 28-month estimate likely included the higher guaranteed withdrawal benefit as well). Over the expected 20+ year remaining life of the contract, the cumulative expense savings could exceed \$29,000 in nominal terms. The improved sub-account selection provides genuine diversification benefits that could enhance risk-adjusted returns. The higher guaranteed withdrawal rate, while only modestly better, compounds in value over Margaret's retirement horizon. Margaret has no immediate liquidity needs given her pension and Social Security totaling \$6,100/month, which comfortably covers typical retirement expenses. She signed a switch disclosure form, suggesting informed consent. Crenshaw documented his rationale contemporaneously, including a breakeven analysis.

### Why Borderline

This case is genuinely ambiguous because the switch does produce quantifiable long-term benefits - lower expenses, better sub-account options, and a modestly higher guaranteed withdrawal rate - but these benefits come at the certain cost of a \$6,300 surrender charge, a reset of the surrender period from 2 to 7 years, and the loss of an existing income rider. The advisor's commission creates an obvious conflict but does not by itself make the recommendation inappropriate if the economics genuinely favor the client. Reasonable practitioners could disagree on whether a 70 basis point expense improvement and a 25 basis point increase in guaranteed withdrawal rates are sufficient to justify the costs and reduced liquidity, especially for a 62-year-old entering a critical retirement income planning window.

### Borderline Factors

- The 70 basis point annual expense reduction is meaningful but not dramatic, and the breakeven timeline depends on assumptions about how long the client holds the new annuity
- The surrender charge of \$6,300 is a certain cost versus projected future savings that depend on the client maintaining the new contract long-term
- Resetting the surrender period from 2 remaining years to 7 years materially restricts liquidity during a critical pre-retirement and early retirement period
- The client's pension and Social Security reduce but do not eliminate her potential need for annuity liquidity
- The advisor earned a \$9,450 commission creating a conflict, but documented a breakeven analysis and obtained signed disclosure
  - The improvement in guaranteed withdrawal rate (5.0% to 5.25%) is incremental rather than transformative
  - The broader sub-account menu has real but difficult-to-quantify value for portfolio construction
  - The old annuity's existing rider was already providing meaningful income protection that is forfeited in the exchange

### Likely Outcome

A regulator would likely scrutinize this transaction closely and could go either way, but would most probably issue a cautionary finding or seek a modest settlement rather than pursue a full enforcement action. The documented breakeven analysis, signed disclosure, and genuine long-term expense savings provide Crenshaw with a defensible position, but the reset of the surrender period and commission conflict would concern examiners. If the regulator determines that the advisor failed to adequately weigh the loss of the

existing rider's specific guarantees or that the breakeven analysis was overly optimistic, a finding of a violation is plausible. Most likely, a regulator would request enhanced documentation, potentially require restitution of the surrender charge (\$6,300), and impose supervisory requirements on the advisor's firm regarding annuity switches.

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### Borderline Scenario 38

*Topic: overconcentration\_single\_stock | Standard: FINRA Rule 2111 (Suitability) requires customer-specific suitability analysis, inclu*

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#### Fact Pattern

Thomas Keane, age 44, a senior software engineer at a publicly traded cloud computing company, had a total net worth of approximately \$3.2 million, of which \$1.85 million consisted of shares and vested stock options in his employer's stock. His remaining assets included \$620,000 in a 401(k) diversified across index funds, \$380,000 in a brokerage account managed by his advisor Rachel Fontaine, \$210,000 in home equity, and \$140,000 in cash savings. In January 2023, Keane received a new restricted stock unit grant worth approximately \$400,000 that would vest over four years. Rather than recommending a systematic plan to reduce his employer stock concentration, Fontaine recommended that Keane hold his existing employer shares and allow the new RSUs to vest without establishing any hedging strategy or scheduled selling program. In the brokerage account she managed, Fontaine invested an additional \$45,000 of Keane's cash into shares of the same employer stock in February 2023 at Keane's request, after the stock had declined 18% from its 52-week high. Fontaine documented in her notes that Keane was 'extremely bullish on the company's AI product roadmap' and that he 'pushed back strongly when I raised the idea of selling shares or implementing a 10b5-1 plan.' Her notes also indicate she discussed the risks of concentration in two separate meetings, including showing Keane a hypothetical scenario where the stock declined 40%, which would reduce his net worth by approximately \$900,000. Keane signed an acknowledgment form stating he understood the concentration risk and wished to maintain his position. Seven months later, the company missed earnings expectations and the stock dropped 31%, reducing Keane's employer stock holdings by approximately \$575,000. Keane then filed a complaint alleging Fontaine should have been more forceful in recommending diversification and should never have purchased additional shares in the brokerage account.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Fontaine violated applicable standards: At the time of the additional \$45,000 purchase, Keane's employer stock already represented approximately 58% of his total net worth (\$1.85M of \$3.2M). Adding another \$45,000 increased this concentration further to roughly 59%. Professional standards generally flag single-stock concentrations above 10-20% of a portfolio as elevated risk, and levels approaching 60% represent extreme concentration by any measure. Even though Keane requested the additional purchase, an advisor has an independent obligation to evaluate whether a recommendation (or, under some interpretations, an acquiescence to a client-directed trade) is suitable. The fact that the stock had already declined 18% from its high does not make it a better risk-adjusted purchase - it could equally signal deteriorating fundamentals. Fontaine's failure to implement any hedging strategy, establish a

systematic selling program, or even decline to execute the additional purchase could be viewed as prioritizing client retention and goodwill over the client's financial wellbeing. The \$380,000 brokerage account was the one portion of Keane's portfolio most directly under Fontaine's discretionary or advisory control, and using it to increase rather than offset the existing concentration is particularly questionable. Under a best interest standard, the advisor arguably should have done more than simply disclose the risk - she should have exercised independent professional judgment. Arguments that Fontaine acted appropriately: Keane is a sophisticated, high-earning professional (senior software engineer at a publicly traded company) who understands the technology sector and his company's competitive position. He is 44 years old with a long investment horizon, substantial non-employer assets (\$1.34 million in diversified holdings and cash), stable high income (likely \$250,000+ annually), and no imminent liquidity needs. His 401(k) and cash reserves provide meaningful diversification and a financial cushion. Fontaine documented two separate conversations about concentration risk, presented a detailed stress test showing potential losses, and obtained a signed acknowledgment. The client explicitly and repeatedly rejected diversification recommendations. Much of the concentration arose from employer compensation (RSUs and stock options) which Keane could not easily or immediately sell due to vesting schedules, blackout periods, and potential insider trading restrictions. The \$45,000 purchase in the brokerage account, while directionally increasing concentration, represented only about 1.4% of Keane's total net worth - a marginal increase on an already concentrated position that existed largely due to factors outside the advisor's control. Fontaine cannot force a client to sell shares or implement hedging, and her documentation suggests she fulfilled her disclosure obligations.

### Why Borderline

This case occupies a genuine gray area because the extreme concentration is undeniable, but it arose primarily from employer compensation rather than advisor recommendations, and the client actively resisted diversification despite documented warnings. The critical question is whether an advisor's obligation extends beyond thorough disclosure and documented warnings to refusing to execute a client-directed purchase or taking more aggressive steps to override client preferences. The additional \$45,000 purchase is the most problematic element, but it was client-directed and relatively small in the context of the overall position. Reasonable regulators could disagree about whether acquiescing to a sophisticated client's informed, documented preference constitutes a violation.

### Borderline Factors

- Overall concentration of ~58-59% in a single stock far exceeds conventional diversification guidelines, but arose primarily from employer compensation
- The \$45,000 additional purchase was client-directed and represented only 1.4% of total net worth, but it increased rather than offset existing concentration
- The advisor documented two separate concentration risk discussions including a quantitative stress test and obtained signed client acknowledgment
- The client is a sophisticated high-earner with sector expertise and a long time horizon, but sophistication does not eliminate the advisor's independent obligations
- Substantial non-employer assets (\$1.34M diversified) provide a meaningful cushion, but may not be sufficient if the concentrated position suffers catastrophic loss
- Vesting schedules and insider trading restrictions limited the advisor's and client's ability to immediately reduce the employer stock position
- The advisor raised diversification including a 10b5-1 plan but did not refuse to execute the additional

purchase or issue a formal written recommendation against the client's stated wishes

- The subsequent 31% stock decline resulted in material losses but outcome alone does not determine whether the original recommendation was appropriate

### Likely Outcome

A regulator would likely focus primarily on the \$45,000 additional purchase rather than the overall holding pattern, since much of the concentration was outside the advisor's direct control. The thorough documentation of risk discussions and signed client acknowledgment would significantly aid Fontaine's defense. A regulator would probably not pursue a full enforcement action but might require the firm to enhance its supervisory procedures around concentrated positions, particularly regarding client-directed trades that increase existing overconcentration. If a finding is made, it would likely be limited to the additional purchase and result in a modest fine or censure rather than significant sanctions, given the mitigating factors of client sophistication, documented warnings, and the relatively small size of the incremental purchase. The outcome would likely depend heavily on whether the jurisdiction applies a suitability standard (where client acknowledgment carries more weight) or a best interest standard (where independent professional judgment may require more affirmative action).

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## Borderline Scenario 39

Topic: variable\_annuity\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable b

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### Fact Pattern

Margaret Chen, age 58, met with her financial advisor David Russo in March 2022 to discuss retirement planning. Margaret was a senior project manager earning \$145,000 annually, with \$620,000 in a 401(k), \$85,000 in a traditional IRA, \$40,000 in a savings account, and no outstanding debts. She planned to retire at 65 and told David she wanted 'guaranteed income in retirement but also some growth potential to keep up with inflation.' She described herself as having moderate risk tolerance and said she was 'nervous about running out of money' because her mother had lived to 97. David recommended she roll \$85,000 from her traditional IRA into a variable annuity with a guaranteed minimum income benefit rider. The product had total annual expenses of 3.15% (1.35% mortality and expense charge, 0.85% underlying fund expenses, and 0.95% for the income rider). The annuity included a 7-year surrender period with charges starting at 7% and declining by 1% per year. The guaranteed income benefit rider promised a 5% annual step-up on the benefit base during the accumulation phase, with guaranteed lifetime withdrawals starting at 5.2% of the benefit base at age 65. David explained the surrender charges and fee structure to Margaret, documented the conversation in his notes, and she signed the application. Margaret's existing IRA had been invested in a balanced mutual fund with total expenses of 0.72%. In Margaret's 401(k), she was already invested in a target-date 2030 fund. At the time, several competing variable annuities with similar income riders were available with total costs ranging from 2.60% to 3.40%. David's firm paid him a 5.5% upfront commission on the annuity sale. Eighteen months later, Margaret's annuity account value had declined 4% due to poor subaccount performance, though her guaranteed benefit base had grown by 7.5% from the step-up feature. She filed a complaint alleging the high-cost product was inappropriate for her.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that David violated his obligations: The total expense ratio of 3.15% is significantly higher than the 0.72% Margaret was paying in her existing IRA balanced fund - a difference of 2.43% annually that creates a substantial drag on investment performance over the 7-year accumulation period. The 7-year surrender schedule effectively locks Margaret into the product during a critical pre-retirement window (ages 58-65), limiting her flexibility. Margaret already had \$620,000 in her 401(k) in a target-date fund providing diversified, low-cost exposure. The \$85,000 IRA rollover into a high-cost annuity may have been unnecessary given her existing retirement savings and relatively modest need for additional guaranteed income. The 5.5% upfront commission creates a material conflict of interest. Under FINRA Rule 2111 and Reg BI's care obligation, the advisor must consider reasonably available alternatives, and lower-cost variable annuities with similar riders existed in the 2.60%-2.80% range.

Arguments that David acted appropriately: Margaret explicitly expressed two goals - guaranteed lifetime income and inflation-hedging growth - which a variable annuity with a guaranteed income rider directly addresses. Her longevity concern (mother living to 97) is a legitimate planning consideration that supports the use of a guaranteed lifetime income product. The product's total cost of 3.15% falls within the middle range of comparable products (2.60%-3.40%), not at the extreme. The guaranteed income rider is a distinct feature not available in a standard balanced mutual fund, and the 5% annual step-up with 5.2% lifetime withdrawal rate at 65 provides meaningful downside protection. The benefit base grew 7.5% despite a 4% account value decline, demonstrating the rider's value proposition. David documented the fee disclosure conversation. Margaret's age (58 with a 7-year retirement horizon) aligns with the surrender period, as she would not need withdrawals until after the surrender period ends. The \$85,000 represents only about 10.2% of her total retirement assets, so this is not an outsized allocation.

### Why Borderline

This case is genuinely ambiguous because the product type directly matches the client's stated needs (guaranteed lifetime income with growth potential and longevity protection), but the cost and commission structure raise questions about whether a lower-cost alternative could have achieved the same objectives. The product's fees are within the competitive range but above average, and the advisor had a significant commission incentive. The allocation is relatively modest (10.2% of total retirement assets), but the IRA rollover triggered a move from a low-cost to a high-cost vehicle. The account value decline highlights the fee drag concern, but the guaranteed benefit base growth illustrates the rider working as intended.

### Borderline Factors

- Total expense ratio of 3.15% is within the competitive range (2.60%-3.40%) but significantly above the client's prior investment cost of 0.72%
- Client explicitly requested guaranteed retirement income and had legitimate longevity concerns, both of which the variable annuity directly addresses
- 5.5% upfront commission creates a material conflict of interest, though this is standard for the product type
- The \$85,000 represents only 10.2% of total retirement assets, limiting concentration risk
- 7-year surrender period aligns with the client's planned retirement date, though it restricts pre-retirement flexibility
- Lower-cost competing products with similar features were available but not selected
- The guaranteed benefit base feature performed as designed despite market losses, validating the

product's protective function

- Client already had substantial retirement savings in low-cost vehicles, raising the question of whether additional guaranteed income was necessary

### Likely Outcome

A regulator would likely find this to be a close call but would probably not sustain a full violation. The product type is well-matched to the client's expressed needs and risk concerns, and the allocation is a reasonable portion of total assets. However, the regulator might issue a cautionary letter or require enhanced supervision regarding the failure to document why this particular variable annuity was chosen over lower-cost competitors with similar riders. If the case went to a FINRA arbitration panel, the outcome could easily go either way depending on how heavily the panel weighs the cost differential versus the product suitability match. A settlement in the range of the excess fees (roughly \$2,000-\$3,000 per year in cost differential) might be the most likely resolution.

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## Borderline Scenario 40

*Topic: variable\_annuity\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis,*

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### Fact Pattern

Robert and Linda Kaplan, both age 67, had recently retired and met with their longtime financial advisor, Sarah Whitfield, in September 2023. The couple had combined retirement assets of \$1.4 million: \$520,000 in Robert's traditional IRA, \$380,000 in Linda's traditional IRA, \$310,000 in a joint taxable brokerage account, and \$190,000 in bank CDs and money market accounts. They received combined Social Security benefits of \$4,800 per month. Their monthly expenses were approximately \$6,200, leaving a \$1,400 monthly shortfall they needed to cover from savings. Both were in good health, though Robert had been treated for early-stage prostate cancer two years prior, which was now in remission. They described their risk tolerance as 'conservative to moderate' and said their primary goals were 'making sure our money lasts and leaving something for our three kids.' Sarah recommended moving \$300,000 from Linda's traditional IRA into a variable annuity with a guaranteed lifetime withdrawal benefit rider and a death benefit rider. The product had total annual expenses of 2.95% (1.20% mortality and expense charge, 0.80% underlying fund expenses, 0.55% for the income rider, and 0.40% for the enhanced death benefit rider). The annuity had a 6-year surrender period with declining charges starting at 6%. The income rider offered guaranteed lifetime withdrawals at 5.5% of the benefit base for joint lives starting immediately, which would provide approximately \$1,375 per month - nearly covering their income gap. The enhanced death benefit rider guaranteed that beneficiaries would receive the greater of the account value or total premiums paid, adjusted for withdrawals. Sarah explained that the death benefit rider addressed their legacy goal while the income rider addressed their income gap. The Kaplans signed the paperwork. However, several details complicate the picture: Linda's IRA had been invested in a diversified portfolio of index funds and bond funds with a blended expense ratio of 0.38%. A systematic withdrawal plan from the existing portfolio at a 4% annual rate would have generated approximately \$1,267 per month from the \$380,000 IRA - somewhat less than the annuity but still substantial. The Kaplans' \$190,000 in CDs and money market accounts provided a significant liquid emergency reserve. Additionally, a fixed indexed annuity with a similar income rider was available with total costs approximately 1.2% lower, though it lacked the upside potential of variable subaccounts. Nine months after purchase, the Kaplans' son, who worked in finance, reviewed their



statements and filed a complaint on their behalf, arguing the product was too expensive and complex for his retired parents.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Sarah violated her obligations: The Kaplans are 67 and already retired, meaning the variable annuity's tax-deferral benefit within an IRA is redundant - the IRA already provides tax deferral, so wrapping an annuity inside an IRA adds cost without tax benefit. The 2.95% annual expense ratio represents a 2.57% annual cost increase over their prior 0.38% blended expense ratio, which over 20+ years could erode hundreds of thousands in account value. The 6-year surrender period restricts access to \$300,000 - approximately 21% of total retirement assets - for retirees who are already drawing down savings to meet living expenses. A systematic withdrawal plan at 4% from the existing portfolio would have produced \$1,267/month, covering most of the income gap without the high costs. The enhanced death benefit rider adds 0.40% annually (\$1,200/year) for a guarantee that beneficiaries receive at least premiums paid - but given that the Kaplans are simultaneously taking income withdrawals, the benefit base erodes, making the death benefit increasingly unlikely to exceed account value over time. Robert's cancer history, though in remission, introduces health uncertainty that could reduce the value of a lifetime income guarantee if he were to pass early. The remaining \$1.1 million in other assets and \$190,000 in liquid reserves suggest the Kaplans had sufficient resources to manage income needs through simpler, lower-cost strategies.

Arguments that Sarah acted appropriately: The Kaplans' primary stated concern was ensuring their money lasted - a classic longevity risk concern that guaranteed lifetime income directly addresses. The 5.5% joint-life withdrawal rate producing \$1,375/month almost exactly covers their \$1,400 monthly shortfall, making the product functionally well-tailored. Unlike a systematic withdrawal strategy, the guaranteed income cannot be depleted regardless of market conditions or longevity, providing genuine risk transfer. The \$300,000 allocation represents only 21% of total assets, leaving 79% in other vehicles, and the \$190,000 liquid reserve covers over 30 months of expenses for emergencies. The death benefit rider addresses their explicitly stated legacy goal, and while the IRA-in-annuity tax overlap is a legitimate concern, the product was recommended for its insurance guarantees rather than tax benefits. Sarah's recommendation falls within a reasonable range when compared to the universe of variable annuities with similar features. Robert's cancer is in remission, and the joint-life income feature protects Linda if Robert predeceases her, which is actually an argument in favor of the product. A fixed indexed annuity alternative would have been cheaper but would have eliminated the variable subaccount growth potential the couple might benefit from given their moderate risk tolerance component.

### Why Borderline

This scenario presents a genuine gray area because the product directly addresses the clients' two stated priorities (lifetime income and legacy), and the allocation is a reasonable percentage of total assets. However, the layering of an annuity inside a tax-deferred IRA, the meaningful cost differential versus both the prior portfolio and a fixed indexed alternative, and the clients' existing liquidity and systematic withdrawal options create legitimate questions about whether the recommendation served the clients' best interests or primarily served the advisor's compensation interests. Reasonable professionals could disagree

about whether the guaranteed income justification outweighs the cost concerns, particularly given that the income gap could have been substantially addressed through lower-cost alternatives.

### Borderline Factors

- Variable annuity placed inside an already tax-deferred IRA eliminates the tax-deferral benefit, though the product was recommended for its insurance guarantees
- 2.95% total annual cost versus 0.38% prior portfolio cost represents a significant expense increase, but includes genuine insurance guarantees not available in the prior portfolio
- Systematic withdrawal strategy at 4% would have produced \$1,267/month - close to the annuity's \$1,375
- but without longevity protection
- Death benefit rider costs 0.40% annually but may provide diminishing value as income withdrawals reduce the account
- Allocation of 21% of total assets is reasonable and not an excessive concentration
- \$190,000 liquid reserve provides substantial emergency cushion even with the 6-year surrender period
- A lower-cost fixed indexed annuity with similar income features was available as an alternative
- Robert's cancer history creates uncertainty about longevity that cuts both ways - reducing expected value of lifetime income but increasing importance of Linda's survivor protection
- Clients explicitly requested both income security and legacy planning, which the product directly addresses

### Likely Outcome

A regulator would likely view this as a borderline case that could go either way depending on the depth of documentation. If Sarah documented a thorough analysis of why the variable annuity was preferred over both the systematic withdrawal approach and the lower-cost fixed indexed annuity alternative - particularly emphasizing the joint-life income guarantee and the clients' specific longevity and legacy concerns - the recommendation would likely survive scrutiny, though potentially with supervisory criticism regarding the IRA tax overlap and the death benefit rider's diminishing utility. If documentation is thin, a regulator might find a violation based on the failure to adequately consider less costly alternatives. In FINRA arbitration, a panel would likely find the recommendation was within the range of suitability given the clients' stated objectives but might award partial damages reflecting the excess cost over a fixed indexed annuity alternative - perhaps \$3,000-\$5,000 per year in fee differentials.

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## Borderline Scenario 41

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis*

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### Fact Pattern

Margaret Holloway, age 62, retired from teaching with a state pension paying \$4,200/month and Social Security of \$1,800/month. She had \$340,000 in a traditional IRA rolled over from a 403(b) plan, \$95,000 in a savings account, and no debt other than a small remaining car payment. Her monthly expenses were approximately \$4,500, meaning her pension and Social Security more than covered her needs with roughly \$1,500/month surplus. She described herself as conservative, primarily concerned about not outliving her money, and mentioned she had read articles about retirees running out of funds. In March 2022, her advisor, Kevin Driscoll, recommended she move \$240,000 from her traditional IRA into a fixed indexed

annuity with a 10-year surrender period, a guaranteed minimum withdrawal benefit rider, and an all-in annual cost of approximately 2.85% (including the rider fee). The underlying IRA mutual funds she was in carried average annual expenses of about 0.72%. Driscoll earned a 5.5% commission (\$13,200) on the annuity sale. He documented that Margaret wanted guaranteed lifetime income and principal protection, and that the annuity's floor of 0% on the index-linked returns addressed her fear of market losses. He also noted that she might need to start required minimum distributions at age 73, and that the annuity's withdrawal benefit would satisfy those. However, Margaret's IRA was already tax-deferred, so placing an annuity inside the IRA added no additional tax-deferral benefit. Margaret's daughter later complained that her mother didn't need guaranteed income given her pension and Social Security surplus, that the 10-year surrender period was inappropriate for a 62-year-old, and that the annuity's costs were excessive relative to a simple balanced fund inside the IRA. Driscoll responded that Margaret had expressed intense anxiety about market volatility and outliving her assets, that the guaranteed withdrawal benefit provided peace of mind even if she didn't strictly need the income yet, and that the surrender schedule allowed 10% annual free withdrawals, which would cover any RMD needs. Margaret has not attempted to access the funds beyond the free withdrawal allowance and has expressed satisfaction with the product in two subsequent annual reviews.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The most prominent concern is the placement of an annuity inside an already tax-deferred IRA, which layers additional costs (2.85% vs. 0.72%) without providing incremental tax-deferral benefits. The annuity was the primary tax advantage of such products, and since the IRA already provided that, the net cost to the client increased substantially - roughly \$5,100 per year in additional fees on \$240,000. The 10-year surrender period limits Margaret's access to her largest asset pool during a critical decade of her retirement (ages 62-72), and while the 10% annual free withdrawal provision offers some liquidity, it restricts her flexibility if unexpected large expenses arise (home repair, medical costs, long-term care needs). The \$13,200 commission creates a significant conflict of interest, and a lower-cost diversified portfolio within the IRA could have achieved both growth and risk management. Furthermore, Margaret's income already exceeded her expenses, making the guaranteed income rider arguably unnecessary. Arguments against a violation: Margaret's documented fear of outliving her money and aversion to market losses is a legitimate investment concern, and behavioral finance research supports the idea that guaranteed income products reduce retirement anxiety and prevent panic-driven poor decisions. The fixed indexed annuity provides a 0% floor that no mutual fund can replicate - in a severe downturn, her principal would not decline. The guaranteed withdrawal benefit provides a form of longevity insurance that, while not strictly needed now, insulates her against future scenarios (unexpected medical costs, inflation eroding purchasing power, pension benefit changes). Driscoll kept \$100,000 of her IRA in traditional investments and left her \$95,000 savings account untouched, showing he didn't sweep everything into the annuity. The 10% free withdrawal allowance is reasonably calibrated to handle RMDs. Margaret herself has expressed satisfaction at two subsequent reviews, suggesting the product aligned with her subjective preferences. The tax-deferral redundancy, while a legitimate concern, doesn't render the annuity per se inappropriate if other features (principal protection, lifetime income guarantee) provide independent value.

### Why Borderline

This case sits in a genuine gray area because the annuity inside an IRA provides no incremental tax benefit - the classic red flag for an unnecessary annuity - yet the product does deliver features (downside protection, guaranteed lifetime withdrawal) that independently address the client's documented anxieties and risk profile. The cost differential is significant but not extreme for the asset class, and the client's surplus income means the higher fees don't threaten her standard of living. The advisor's commission creates an obvious conflict, but the recommendation isn't facially absurd given the client's stated preferences. Reasonable practitioners disagree about whether behavioral peace of mind justifies the higher cost of an annuity in a tax-deferred wrapper.

### Borderline Factors

- Annuity placed inside an already tax-deferred IRA, eliminating the primary tax advantage of the annuity structure
- Client's pension and Social Security already exceeded monthly expenses, undermining the need for guaranteed income
- Annual cost differential of approximately 2.13% (\$5,100/year) is substantial but funds features (downside protection, lifetime withdrawal guarantee) not available in mutual funds
- 10-year surrender period constrains a 62-year-old's access during a critical retirement decade, though 10% free annual withdrawals provide partial liquidity
- \$13,200 commission creates a meaningful conflict of interest but is within normal ranges for fixed indexed annuities
- Client's documented anxiety about market losses and outliving assets provides a legitimate non-tax rationale for the product
- Client expressed satisfaction at two subsequent reviews, suggesting alignment with subjective preferences
- Advisor preserved \$100,000 in the IRA and \$95,000 in savings outside the annuity, showing some restraint in concentration

### Likely Outcome

A regulator would likely issue a cautionary finding or require enhanced documentation rather than impose a full violation. The tax-deferred-inside-tax-deferred issue would draw scrutiny, and the regulator would want to see that Driscoll documented why the annuity's non-tax features independently justified the higher cost. If Driscoll's notes thoroughly explain Margaret's anxiety, her preference for guarantees over growth, and a comparison of alternatives considered (e.g., a bond-heavy portfolio, a lower-cost annuity, a shorter surrender period product), the recommendation may survive review. If documentation is thin, a regulator would more likely find a violation based on the cost disparity and surrender period concerns. The outcome probably hinges on quality of documentation and whether less expensive alternatives providing similar guarantees were available and considered.

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## Borderline Scenario 42

*Topic: annuity\_unnecessary\_switching | Standard: FINRA Rule 2330 governs variable annuity transactions, including exchanges, and*

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### Fact Pattern

Robert Chung, age 58, a small business owner earning roughly \$185,000 annually, purchased a variable annuity in 2017 through his advisor, Dana Whitfield, investing \$310,000 of after-tax savings. That original annuity had a 7-year surrender period (which would expire in July 2024), an all-in expense ratio of 3.10% (mortality and expense charge, subaccount fees, and a guaranteed minimum income benefit rider), and the guaranteed income base had grown to approximately \$365,000 due to the product's 5% annual rollup provision. In September 2023 - ten months before the original surrender period expired - Whitfield recommended Robert exchange his variable annuity into a new fixed indexed annuity with a different insurance carrier. The new annuity had a 7-year surrender period starting fresh, an all-in cost of approximately 2.40%, a guaranteed lifetime withdrawal benefit with a 6% rollup rate, and the initial guaranteed income base would be set at \$310,000 (the transfer value after the approximately \$14,000 surrender charge on the old annuity). Whitfield earned a commission of approximately \$16,300 (5.25%) on the new annuity. Whitfield documented several reasons for the switch: (1) the new product's total cost was 70 basis points lower annually, saving Robert approximately \$2,170 per year; (2) the 6% rollup rate on the new product exceeded the 5% rollup on the old product; (3) Robert had expressed concern about equity market exposure in his variable annuity after a volatile 2022, and the fixed indexed annuity eliminated direct downside market risk; and (4) the new carrier had a higher financial strength rating (A+ vs. A). Robert's daughter, a financial analyst, later raised concerns. She calculated that the surrender charge of \$14,000 plus the reset of the income base from \$365,000 to \$310,000 meant Robert effectively lost \$55,000 in guaranteed income base value. She noted the new 7-year surrender period locked him in until age 65, and that had he waited just 10 months, the old annuity would have been fully liquid. She also pointed out that the 6% rollup on the new product applied to a \$310,000 base, while the 5% rollup on the old product applied to a \$365,000 base - meaning the old product would have generated a higher income base for approximately six years before the new product caught up. Robert has mixed feelings: he likes the lower fees and reduced market risk, but acknowledges he didn't fully understand the income base reset when he agreed to the switch.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The timing of the switch is the most problematic element. With only 10 months remaining on the original surrender period, Robert incurred a \$14,000 surrender charge that would have been entirely avoidable with modest patience. More significantly, the income base reset from \$365,000 to \$310,000 represents a loss of \$55,000 in guaranteed value - a figure that dwarfs the annual fee savings of \$2,170. At that savings rate, it would take over 25 years of fee savings alone to offset the income base loss, and Robert would be 83 before breaking even on that metric. The fresh 7-year surrender period means Robert cannot access the funds penalty-free until age 65, whereas the old annuity would have been fully liquid at 59. The commission of \$16,300 creates an obvious financial incentive for the switch. Additionally, Robert's acknowledgment that he didn't fully understand the income base reset raises questions about whether the exchange was adequately explained. Arguments against a violation: The 70-basis-point annual fee reduction is meaningful and compounds over Robert's expected holding period. If Robert holds the new annuity for 20+ years (through his mid-to-late 70s or beyond), the cumulative fee savings become substantial - potentially \$43,000+ in nominal terms. The 6% rollup rate versus 5% means the new product's income base will eventually surpass the old product's projected income base, and Whitfield's projections showed the crossover occurring around year six. The shift from variable to fixed

indexed eliminates direct equity market downside risk, which Robert specifically requested after 2022's volatility. The stronger carrier rating provides incremental safety for a product that is fundamentally an insurance guarantee. Robert was 58 and a business owner with other assets - the surrender period, while resetting, still allowed 10% annual free withdrawals, and Robert had other liquid assets to cover short-term needs. Whitfield documented the rationale contemporaneously and the lower ongoing costs create long-term value if Robert is a long-term holder. The income base is a notional value used only to calculate future withdrawals, not actual account value, so the 'loss' of \$55,000 is somewhat abstract rather than a realized loss of money.

### Why Borderline

This scenario is genuinely ambiguous because the switch offers real, documentable advantages (lower ongoing costs, higher rollup rate, reduced market risk, stronger carrier) but comes at a steep short-term cost (surrender charge, income base reset, new surrender period) that was almost entirely avoidable by waiting 10 months. The mathematical break-even analysis depends heavily on assumptions about how long Robert holds the product, when he begins withdrawals, and market performance - reasonable analysts could reach different conclusions. The advisor's commission and the timing so close to the surrender expiration create strong optics of a self-serving switch, but the documented rationale is not frivolous.

### Borderline Factors

- Switch executed 10 months before the original surrender period expired, making the \$14,000 surrender charge largely avoidable with patience
- Income base reset from \$365,000 to \$310,000 represents a \$55,000 loss in guaranteed notional value, though income base is not actual cash value
- New annuity has a 70-basis-point lower annual cost, producing real cumulative savings if held long-term
- New product's 6% rollup eventually surpasses old product's 5% rollup, but crossover doesn't occur for approximately six years
- Client specifically expressed desire to reduce equity market exposure, and the product type change (variable to fixed indexed) addresses that concern
- Fresh 7-year surrender period locks client in until age 65, versus full liquidity at age 59 under the old contract
- \$16,300 commission creates a conflict of interest on the switch recommendation
- Client acknowledged not fully understanding the income base implications, raising informed consent questions
- New carrier has a higher financial strength rating, providing marginally greater safety of the insurance guarantees

### Likely Outcome

A regulator would likely find this a close case but lean toward a violation, primarily because of the timing. The decision to switch 10 months before surrender-free liquidity - forcing a \$14,000 charge and resetting the income base - is very difficult to justify when waiting would have preserved full optionality. A regulator would ask why the advisor did not recommend waiting until July 2024, at which point the exchange could have been executed with no surrender charge and Robert could have made a fully unconstrained decision. The fee savings and rollup differential, while real, are substantially offset by the upfront costs of the premature switch. If Whitfield could demonstrate a compelling time-sensitive reason for the switch (e.g., the new product's terms were about to change, or a market event made immediate de-risking critical), the



analysis might shift. Absent such evidence, the most likely outcome is a finding that the switch was not in the client's best interest, with potential disgorgement of the commission and restitution of the surrender charge. However, a minority of panelists might find the long-term cost savings and risk reduction sufficient to justify the recommendation.

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### Borderline Scenario 43

*Topic: overconcentration\_single\_stock | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and*

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#### Fact Pattern

Margaret Chen, age 52, had been a client of financial advisor David Hartwell for six years. Her total portfolio was valued at approximately \$1.4 million, representing her life savings, a modest inheritance, and proceeds from a divorce settlement. She had a moderate risk tolerance on her account documents, a stated goal of retirement at age 62, and no other significant assets aside from her home (mortgage-free, valued at \$380,000). She worked as a senior marketing director at Pinnacle Technologies, a publicly traded mid-cap software company, earning approximately \$185,000 per year. Over the course of 18 months, between January 2022 and June 2023, Margaret's holdings in Pinnacle Technologies stock grew from 22% of her portfolio to 48%. This increase occurred through a combination of factors: Margaret received \$140,000 in restricted stock units that vested during this period as part of her compensation, the stock appreciated approximately 65% during the same window, and David recommended purchasing an additional \$75,000 worth of Pinnacle shares in three separate buy orders (\$30,000 in March 2022, \$25,000 in August 2022, and \$20,000 in February 2023). Margaret had repeatedly expressed confidence in the company's growth trajectory during their quarterly meetings, noting insider knowledge of a major product launch and several large enterprise contracts. David's notes from their March 2022 meeting state: 'Client believes strongly in company prospects. Discussed concentration risk. Client wants to add to position. Advised that we should consider trimming if position exceeds 50%.' In their August 2022 meeting, his notes read: 'Reviewed portfolio allocation. Pinnacle now at ~38%. Client acknowledges concentration but wants to maintain and modestly add. Reminded client of diversification principles.' There is no documentation that David ever formally recommended reducing the Pinnacle position or implementing any hedging strategies such as protective puts or collars. He did, however, maintain the remainder of her portfolio in a diversified mix of index funds, bond ETFs, and a small allocation to REITs. In October 2023, Pinnacle Technologies reported disappointing earnings and lost a major government contract. The stock declined 42% over three months, reducing Margaret's portfolio value by approximately \$310,000. Margaret filed a complaint alleging that David should never have allowed her portfolio to become so concentrated in a single stock, and that his purchases of additional shares were reckless given her retirement timeline and moderate risk profile.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that David violated his obligations: The portfolio concentration reached 48% in a single mid-cap stock for a client with a moderate risk profile and a 10-year retirement horizon, creating outsized exposure to company-specific risk. David actively recommended purchasing an additional \$75,000 in Pinnacle shares across three transactions, which exacerbated the concentration beyond what the vesting RSUs and

appreciation alone would have caused. A moderate-risk investor saving for retirement arguably should not have nearly half her liquid net worth in one equity position. David never formally recommended reducing the position or implementing hedging strategies, despite documenting awareness of the growing concentration. The client's reliance on 'insider knowledge' of company prospects could be viewed as an emotional bias that a professional advisor should have pushed back against more forcefully. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, a series of recommendations that result in dangerous overconcentration can constitute a violation even if each individual transaction seems reasonable in isolation. Under Regulation Best Interest's Care Obligation, a broker-dealer must consider reasonably available alternatives, and David does not appear to have presented alternatives like selling covered calls, buying protective puts, or systematically trimming the position. Arguments that David acted appropriately: A significant portion of the concentration (the RSU vesting and stock appreciation) was not the result of David's recommendations. The \$75,000 in additional purchases, while contributing to concentration, represented only about 5% of the total portfolio value at the time of purchase. David documented discussions about concentration risk in his meeting notes, showing he raised the issue with the client. Margaret was a sophisticated professional earning a high salary, with deep knowledge of her employer's business. She was not a passive client being led astray - she actively pushed for greater exposure to a stock she understood intimately. David set a threshold (50%) and the position never exceeded it. The remainder of the portfolio was well-diversified. Clients have a right to make informed investment decisions, and an advisor who documents the risks and the client's preferences is not necessarily violating any standard. Furthermore, moderate risk tolerance does not preclude all concentrated positions, especially when the client has a 10-year time horizon, ongoing high income, and a paid-off home providing a safety net. The position only became problematic in hindsight after an earnings miss.

### Why Borderline

This case sits in a genuine gray zone because the concentration resulted from a mix of advisor-recommended purchases, employer compensation vesting, and market appreciation - making it difficult to attribute the overconcentration solely to David's recommendations. David documented risk discussions and the client's informed preference, yet he never took affirmative steps to mitigate the concentration (such as recommending hedging or systematic trimming), and he added to the position rather than counterbalancing it. The client was knowledgeable and insistent, but also had a moderate risk profile and finite retirement timeline. Reasonable practitioners would disagree about whether documenting the client's preference is sufficient, or whether the advisor had an independent obligation to refuse to add to an already-concentrated position.

### Borderline Factors

- Much of the concentration resulted from RSU vesting and stock appreciation rather than advisor recommendations
- David documented concentration risk discussions at multiple meetings
- Client was a sophisticated corporate executive with direct knowledge of the company
- David actively recommended \$75,000 in additional purchases that worsened the concentration
- No hedging strategies or formal trimming recommendations were ever presented
- Moderate risk tolerance on account documents vs. client's expressed aggressive conviction on this stock
  - 48% concentration in a single mid-cap stock is high but did not breach the 50% threshold David mentioned
- 10-year retirement timeline provides some but not unlimited recovery runway

- Client had additional safety net (paid-off home, high ongoing salary) but these are not investable liquid assets

### Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary action or modest sanctions rather than a full enforcement proceeding. The active purchases of additional shares tip the balance slightly against the advisor - it is one thing to allow a client to hold a concentrated position from employer stock, but another to affirmatively recommend adding to it when the portfolio is already at 38-40% concentration. However, the documented risk discussions, the client's sophistication and insistence, and the diversified nature of the remaining portfolio would likely mitigate the severity. The most likely outcome is a settlement involving partial restitution for the \$75,000 in advisor-recommended purchases and a letter of caution, rather than a finding of wholesale suitability violation for the entire concentrated position.

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## Borderline Scenario 44

*Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability), particularly customer-specific suitability considering age*

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### Fact Pattern

Robert Dawson, a 74-year-old retired electrical engineer, had worked with financial advisor Lisa Moreno for three years. Robert's portfolio was valued at approximately \$820,000 and consisted primarily of Treasury bonds, certificates of deposit, and a conservative balanced mutual fund. He received \$2,800 per month in Social Security and \$1,600 per month in pension income, totaling \$52,800 annually. His monthly expenses were approximately \$3,900, meaning he had a modest surplus each month and rarely needed to draw from his investment accounts. Robert's wife, Eleanor, had passed away in 2021, and his two adult children lived out of state. His account paperwork listed his risk tolerance as conservative, his investment objective as capital preservation and income, and his time horizon as 5-10 years. In September 2023, Robert visited Lisa's office and expressed interest in 'doing something more' with his money. He told Lisa that he had been watching financial news and felt he was 'leaving money on the table' by being so conservative. He mentioned that a neighbor had made substantial returns in dividend-paying energy stocks and that he wanted to explore similar options. Lisa conducted a portfolio review and recommended reallocating approximately \$200,000 (roughly 24% of his portfolio) from CDs and Treasury bonds into a diversified portfolio of 12 individual dividend-paying stocks across the energy, utilities, healthcare, and consumer staples sectors. The projected dividend yield on the stock portfolio was approximately 4.2%, compared to the 4.8% he was earning on the CDs and Treasuries being replaced. However, Lisa explained that the stocks offered potential for capital appreciation and dividend growth over time, which fixed income could not provide. She also recommended a variable annuity with a guaranteed minimum withdrawal benefit, into which \$150,000 would be invested, with a 7-year surrender period and annual fees totaling approximately 2.85%. Lisa explained that the annuity would provide a guaranteed income floor of \$9,000 per year starting at age 80, regardless of market performance, and that the death benefit feature would protect principal for his children. Robert agreed to both recommendations and signed all required documents. Lisa's notes from the meeting state: 'Client initiated discussion about increasing equity exposure. Reviewed risk of equities vs. current fixed income holdings. Client understands stocks can lose value. Discussed annuity as a way to balance equity risk with guaranteed income. Client comfortable with surrender period given his other liquid assets.' Robert's daughter, Karen, discovered the changes eight months later during a visit and filed a

complaint on Robert's behalf. She alleged that Lisa took advantage of her elderly father's loneliness and desire for social engagement during office visits, that the variable annuity was inappropriate given his age and the surrender period extending to age 81, and that moving a retiree from safe fixed income into equities was irresponsible. Robert, when contacted by the firm's compliance department, stated that he remembered agreeing to the changes and was 'fine with it,' though he also said he 'trusted Lisa to do what was right' and couldn't recall specific details about the annuity's surrender period or fees. A cognitive assessment was not conducted at any point, but Robert's physician confirmed he had no diagnosed cognitive impairment as of his most recent annual physical in June 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated her obligations: Robert was a 74-year-old conservative investor whose documented objectives were capital preservation and income. Moving \$200,000 into individual equities and \$150,000 into a variable annuity with a 7-year surrender schedule represents a significant departure from his stated profile. The variable annuity's surrender period extends to age 81, effectively locking up 18% of his portfolio during a period of life when unexpected medical expenses or care needs are statistically likely. The annuity's 2.85% annual fee is substantial, and the guaranteed income benefit does not begin until age 80 - six years away - while Robert was already generating sufficient income from Social Security, pension, and his conservative investments to cover expenses. The dividend stock portfolio actually yields less (4.2%) than the fixed-income investments it replaced (4.8%), meaning Robert sacrificed current income for speculative capital appreciation potential, which contradicts his income objective. Robert's statement that he 'trusted Lisa to do what was right' and could not recall annuity details suggests he may not have fully understood the recommendations. Under various senior investor protection frameworks, advisors are expected to exercise heightened care with elderly clients, particularly those who are recently bereaved and potentially isolated. Arguments that Lisa acted appropriately: Robert initiated the conversation about increasing returns and equity exposure. He was not solicited - he came to Lisa with a specific request driven by his own observations and market awareness. Lisa did not recommend a wholesale portfolio overhaul; she moved 24% into diversified dividend stocks and 18% into a guaranteed product, leaving 58% of the portfolio in conservative holdings. The equity allocation was spread across 12 stocks in defensive sectors (energy, utilities, healthcare, consumer staples), not speculative growth stocks. The variable annuity, while carrying higher fees, provides genuine benefits: a guaranteed income floor and death benefit that addresses Robert's desire to protect assets for his children. Robert retained over \$470,000 in liquid, conservative investments, more than enough to handle years of unexpected expenses. His monthly surplus and the fact that he rarely drew from investments suggest the surrender period is unlikely to create a genuine liquidity problem. Robert had no diagnosed cognitive impairment, confirmed by recent medical evaluation. He was a retired engineer - an educated professional capable of understanding financial products. His account documents were signed and Lisa's notes document the discussion. An advisor who refuses a competent client's informed request risks being paternalistic and potentially losing the client to an advisor who might recommend far riskier options.

### Why Borderline

This scenario is genuinely ambiguous because it involves a tension between respecting the autonomy of a competent senior investor who initiated changes and the heightened duty of care owed to elderly clients.

The recommendations are not obviously unsuitable - the equity allocation is in defensive sectors, the annuity provides genuine guarantees, and substantial conservative holdings remain. However, the combination of the client's age, the annuity's long surrender period, the departure from documented conservative objectives, the lower current yield on the stock replacement, and the client's fuzzy recollection of details creates legitimate concern. Reasonable professionals would disagree about whether Lisa appropriately accommodated a client's evolving wishes or whether she should have pushed back harder and updated his risk profile documentation before proceeding.

### Borderline Factors

- Client initiated the conversation about increasing equity exposure unprompted
- 74-year-old with conservative documented risk tolerance and capital preservation objective
- No formal update to risk tolerance or investment objective documentation before executing trades
- Variable annuity surrender period extends to age 81, raising liquidity and longevity concerns
- Annuity annual fees of 2.85% are high but product includes genuine guaranteed benefits
- Equity portfolio yields less current income (4.2% vs 4.8%) than the fixed income it replaced
- 58% of portfolio remained in conservative, liquid investments after the changes
- Client confirmed agreement but could not recall specific product details months later
- No cognitive impairment diagnosis, but no cognitive screening conducted by advisor
- Recently widowed client with out-of-state children - potential vulnerability vs. autonomous adult making informed choices
- Advisor documented the client-initiated nature of the discussion and risk disclosures

### Likely Outcome

A regulator would likely scrutinize this case closely and could go either way. The most probable outcome is a finding of partial violation focused primarily on the variable annuity recommendation rather than the equity allocation. The annuity's 7-year surrender period for a 74-year-old, combined with the 2.85% annual fee and the fact that Robert already had sufficient income, would likely be viewed as not in the client's best interest when lower-cost alternatives with shorter or no surrender periods existed. The equity reallocation is more defensible given its diversified, defensive nature and the client's explicit request. The regulator would likely require enhanced supervision of Lisa's accounts with senior investors, restitution of annuity fees and surrender charges, and potentially a modest fine. A complete exoneration is unlikely given the annuity issues, but a finding of broad-based exploitation is also unlikely given the documentation and the client's autonomy.

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## Borderline Scenario 45

*Topic: senior\_investor\_exploitation | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for be*

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### Fact Pattern

Margaret Holloway, age 78, had been a client of financial advisor Derek Simmons for nine years. In January 2023, Margaret's husband of 52 years passed away, leaving her as the sole beneficiary of his \$1.4 million IRA and a \$600,000 life insurance payout. Margaret had always been the household's primary financial decision-maker during her marriage and held a retired CPA license. Her existing portfolio was 40% equities and 60% fixed income. She told Derek in February 2023 that she wanted to 'make sure the money

lasts but also leave something meaningful for my grandchildren's education.' She specifically mentioned she did not want to be 'too conservative' because she felt CDs and treasuries were 'barely keeping up with inflation.' Derek recommended reallocating her combined \$2 million portfolio to 55% equities (a mix of large-cap dividend funds and a small allocation to an emerging markets ETF), 30% investment-grade corporate bonds, 10% in a non-traded REIT with a 7-year lockup and quarterly redemption windows capped at 5% of fund NAV, and 5% cash. The non-traded REIT, representing \$200,000, paid a 6.5% distribution yield and had an expense ratio of 1.8%, compared to publicly traded REIT alternatives yielding around 4.2% with expense ratios near 0.4%. Derek disclosed the lockup terms, higher fees, and illiquidity risks verbally and in a product brochure he gave Margaret. She signed the subscription documents and initialed a suitability questionnaire that listed her risk tolerance as 'moderate' and her time horizon as '7-10 years.' Margaret's son, a physician in another state, later reviewed her statements and filed a complaint alleging that his elderly mother was sold an unsuitable illiquid product shortly after a traumatic life event, and that the equity allocation was too aggressive for a 78-year-old widow. Margaret herself, when contacted by the firm's compliance department, stated she understood the investments and felt comfortable with the plan, though she admitted she 'didn't fully read the fine print on the REIT paperwork' and 'trusted Derek to pick things that made sense.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated his obligations: Margaret was 78 years old and had just experienced a significant life event - the death of her spouse - which is a recognized vulnerability factor. Allocating \$200,000 (10% of the portfolio) to a non-traded REIT with a 7-year lockup for a 78-year-old raises serious concerns about matching the product's time horizon to the client's life expectancy and potential liquidity needs (healthcare costs, long-term care). The non-traded REIT's 1.8% expense ratio is significantly higher than publicly traded alternatives, and the 6.5% yield must be weighed against the illiquidity premium, redemption restrictions, and valuation opacity. Her admission that she didn't fully read the fine print and 'trusted Derek' suggests possible over-reliance, even though she signed disclosures. A 55% equity allocation for a 78-year-old, while not extreme, is on the aggressive side of conventional age-based guidelines. The timing - within weeks of her husband's death - is concerning, as clients in grief may not be making fully considered financial decisions.

Arguments that Derek acted appropriately: Margaret was a retired CPA, not a financially unsophisticated investor. She had been the household's primary financial decision-maker for decades. She explicitly told Derek she did not want to be too conservative and expressed concern about inflation eroding her purchasing power - a legitimate concern for someone who could live another 15-20 years. The 55/30/10/5 allocation is within the range of moderate portfolios and is not wildly aggressive for someone with a \$2 million portfolio, no debt, and Social Security income (presumably). The 10% allocation to the non-traded REIT is a minority position, not a concentrated bet, and the 7-year lockup roughly aligns with the 7-10 year time horizon she indicated. Derek disclosed the terms verbally and in writing. Margaret confirmed to compliance that she understood and was comfortable. Her suitability questionnaire, which she signed, supports the moderate risk tolerance classification. Advisors are not required to refuse a client's stated preferences simply because of age, and Margaret's stated dual objective - income sustainability plus a legacy for grandchildren - reasonably supports some growth-oriented and income-generating allocations.



### Why Borderline

This case sits in a genuine gray area because the client profile sends conflicting signals. Margaret's age and recent bereavement suggest vulnerability and a need for conservative, liquid investments. But her professional background (retired CPA), her long-standing role as financial decision-maker, her explicit instructions to avoid being too conservative, and her after-the-fact confirmation all suggest informed consent from a capable investor. The non-traded REIT allocation is concerning but not egregious at 10% of a \$2 million portfolio. The equity allocation is on the higher end for her age but not unreasonable given her stated goals and time horizon. Reasonable practitioners would disagree about whether the timing of the recommendation, the illiquidity of the REIT, and the fee differential constitute a violation or simply reflect a well-documented client-driven strategy.

### Borderline Factors

- Client's age (78) and recent spousal death suggest vulnerability, but her CPA background and history as primary decision-maker suggest sophistication
- Non-traded REIT lockup period (7 years) is long relative to client's age but aligns with her stated 7-10 year time horizon
- 10% illiquid allocation is a minority position in a \$2 million portfolio but represents \$200,000 that could be needed for healthcare
- Client explicitly requested not to be too conservative, creating tension between honoring client preferences and age-based caution
- Higher expense ratio (1.8% vs. 0.4%) raises cost concerns but the product offered a meaningfully higher yield (6.5% vs. 4.2%)
- Verbal and written disclosure was provided, and client signed documents, but client admitted not fully reading the REIT paperwork
- Recommendation was made within weeks of spouse's death, raising concerns about emotional decision-making timing
- Client confirmed comfort with the plan to compliance, undermining the son's complaint but not eliminating the timing concern

### Likely Outcome

A regulator would likely investigate but may not bring a full enforcement action. The most probable outcome is a cautionary letter or enhanced supervision requirement for the advisor. The non-traded REIT allocation, while not clearly unsuitable in isolation, combined with Margaret's age, the timing relative to her husband's death, and the fee differential compared to liquid alternatives, would draw scrutiny. However, the strong mitigating factors - her financial sophistication, explicit preferences, signed documentation, and after-the-fact confirmation - make it difficult to prove a violation by a preponderance of evidence. A regulator might require the firm to enhance its procedures around recommendations to recently bereaved clients or impose waiting periods before recommending illiquid products to senior clients who have recently experienced a major life event.

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## Borderline Scenario 46

Topic: *market\_timing\_unsuitable* | Standard: *Under FINRA Rule 2111 (Suitability), quantitative suitability (the third component) speci*

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### Fact Pattern

Carlos Medina, age 44, was a software engineer earning \$195,000 annually with a net worth of approximately \$1.1 million, including \$420,000 in his employer's 401(k) plan. In March 2023, Carlos opened a brokerage account with advisor Ryan Novak and deposited \$300,000 - proceeds from the sale of a rental property. Carlos told Ryan he wanted to 'actively grow this money over the next 10-15 years' and said he had experience trading individual stocks in a self-directed account, though that account had a balance of only \$35,000. Carlos described himself as having a 'high risk tolerance' and said he 'didn't mind volatility as long as the long-term trajectory was up.' Over the next 14 months (March 2023 through May 2024), Ryan executed 87 trades in the account. The portfolio consisted primarily of sector-specific ETFs (technology, healthcare, energy, clean energy) and a handful of large-cap individual stocks. The annualized turnover rate was approximately 4.2, meaning the portfolio turned over roughly four times in the year. Total commissions and transaction costs over the period were approximately \$18,700, representing a cost-to-equity ratio of roughly 6.2% annualized. The account's net return over the 14-month period was +9.3%, compared to +14.1% for the S&P 500 over the same period. Ryan's strategy involved rotating among sectors based on macroeconomic data releases and earnings seasons - for example, shifting heavily into energy ETFs before OPEC meetings and rotating into tech after favorable jobs reports. He communicated his rationale to Carlos via email before most trades, and Carlos responded affirmatively to approximately 70% of them. For the remaining 30%, Carlos did not respond but also did not object, and his account agreement granted Ryan discretionary authority for trades under \$25,000. Carlos did not complain during the period. His complaint was filed seven months later, in December 2024, after he hired a fee-only advisor who reviewed his statements and told him the trading frequency appeared excessive. Carlos stated in his complaint that he 'trusted Ryan's expertise on timing the market' and 'didn't realize how much the fees were adding up.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ryan violated his obligations: An annualized turnover rate of 4.2 is elevated. While there is no bright-line rule, turnover rates above 4 have historically been viewed with suspicion by regulators and arbitration panels as potentially indicative of excessive trading. The cost-to-equity ratio of 6.2% means the account needed to generate at least 6.2% annually just to break even after transaction costs, which is a significant hurdle. The account underperformed the S&P 500 by approximately 4.8 percentage points over the period, suggesting the active sector rotation strategy did not add value - and in fact destroyed it relative to a passive benchmark. The \$18,700 in commissions on a \$300,000 account over 14 months is substantial. Ryan had discretionary authority for trades under \$25,000, meaning roughly 30% of trades were executed without explicit client approval. Market timing through sector rotation based on macroeconomic events is a strategy that academic research generally shows underperforms over time, and recommending it for a significant portion of a client's liquid net worth raises questions about reasonable-basis suitability.

Arguments that Ryan acted appropriately: Carlos explicitly sought active growth, described himself as having high risk tolerance, and had some prior trading experience. A turnover rate of 4.2, while on the higher end, is not universally considered excessive - particularly for an account that the client understood would be actively managed with a sector rotation approach. Sector rotation using liquid ETFs and large-cap

stocks is a recognized investment strategy, not an inherently unsuitable one. The account was profitable - Carlos made roughly \$27,900 (9.3% of \$300,000) - and the fact that it underperformed a passive benchmark does not necessarily mean the strategy was unsuitable; active management frequently underperforms passive benchmarks in any given period. Carlos received email communications about most trades and affirmatively approved 70% of them. He had discretionary authority agreements in place for smaller trades. He did not raise any concerns during the 14-month period and only complained after a third party characterized the trading as excessive. The \$300,000 represented approximately 27% of Carlos's total net worth, and he had stable income of \$195,000, so even a total loss (which did not occur) would not have been financially devastating. Carlos's own self-directed trading account, while small, demonstrates he was not averse to active trading.

### Why Borderline

This scenario occupies a gray zone because the quantitative indicators of excessive trading (turnover rate of 4.2, cost-to-equity of 6.2%) are in the borderline range rather than the clearly excessive range. The turnover rate is above 4 but not above 6, and the cost-to-equity ratio is above 6% but not dramatically so. The account was profitable in absolute terms, the client explicitly requested active management, approved most trades, had discretionary arrangements for the rest, and did not complain contemporaneously. However, the strategy demonstrably underperformed a simple passive alternative, the cumulative costs were significant, and the sector-timing rationale is questionable as a long-term wealth-building strategy. The case turns on whether the combination of client sophistication, stated preferences, and contemporaneous approval outweighs the quantitative red flags and underperformance.

### Borderline Factors

- Annualized turnover rate of 4.2 is elevated but falls in the disputed zone between clearly acceptable (<2) and clearly excessive (>6)
- Cost-to-equity ratio of 6.2% is a meaningful drag but not at the extreme levels (10%+) that virtually guarantee a finding of excessive trading
- Account was profitable in absolute terms (+9.3%) despite underperforming the S&P 500 by 4.8 percentage points
- Client explicitly requested active management and described himself as having high risk tolerance
- Client approved 70% of trades via email and had a discretionary authority agreement covering the remainder
- Client had some prior self-directed trading experience, though in a much smaller account (\$35,000 vs. \$300,000)
- Sector rotation is a recognized strategy but one that generally underperforms passive approaches over time
- Client did not complain during the trading period and only filed after a third-party review months later
- The \$300,000 account represented about 27% of total net worth, significant but not the client's entire portfolio
- Advisor communicated rationale for most trades, showing some process discipline rather than random churning

### Likely Outcome

A regulator or arbitration panel would likely find this to be a close case. The most probable outcome is a negotiated settlement or a finding of partial liability. The quantitative indicators are in the

suspicious-but-not-conclusive range. A panel would weigh heavily the client's stated desire for active management, his contemporaneous approvals, and the account's absolute profitability. However, the cost-to-equity ratio of 6.2% and the underperformance relative to a simple passive alternative would create concern that the advisor's economic interest in commissions influenced the trading frequency. The advisor's best defense is the documented client communications and approvals; his greatest vulnerability is the cumulative cost burden and the lack of evidence that the sector-timing approach had a reasonable basis for being expected to outperform over the client's 10-15 year horizon. A regulator might impose a fine and require the advisor to provide enhanced cost disclosure to clients in actively traded accounts, or the matter might settle in arbitration for a fraction of the commissions charged.

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### Borderline Scenario 47

Topic: *illiquid\_real\_estate\_investment* | Standard: *FINRA Rule 2111 (Suitability) governs the recommendation, requiring reasonable-*

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#### Fact Pattern

Margaret Dunleavy, age 62, is a retired school administrator with a state pension providing \$4,800 per month and Social Security benefits of \$2,100 per month. Her total liquid investment portfolio was approximately \$620,000, held in a brokerage account with advisor Kevin Marsh. Margaret told Kevin during their initial meeting in March 2022 that she wanted 'income-generating investments that could keep up with inflation' and mentioned she was 'worried about the stock market's volatility.' She indicated on her account paperwork that her risk tolerance was 'moderate,' her investment time horizon was '10+ years,' and her liquidity needs were 'low' given her pension and Social Security covered her monthly expenses of roughly \$5,200. She also noted she had a separate emergency fund of \$35,000 in a savings account. In April 2022, Kevin recommended Margaret invest \$150,000 - approximately 24% of her liquid portfolio - into a non-traded real estate investment trust focused on commercial office and medical office properties. The REIT offered a projected annual distribution of 6.5%, had a minimum seven-year hold period with no guaranteed redemption, charged upfront fees of 8.5% (including selling commissions and offering costs), and carried ongoing annual management fees of 1.75%. Kevin explained the illiquidity and fee structure during a 45-minute meeting, and Margaret signed an acknowledgment form stating she understood the investment was illiquid and long-term. Kevin's notes from the meeting indicate Margaret asked whether she could 'get her money out if she needed it,' and he explained the REIT had a share repurchase program that was limited to 5% of outstanding shares per quarter and could be suspended at the discretion of the board. Margaret proceeded with the investment. Over the following 18 months, the REIT reduced its distribution from 6.5% to 4.2% and subsequently suspended its share repurchase program entirely due to elevated redemption requests across the commercial real estate sector. Margaret's other holdings - a mix of bond funds, dividend-paying stocks, and a small allocation to an S&P 500 index fund - continued to generate income and had modest losses during the same period. Margaret filed a complaint in October 2023, stating she felt Kevin had not adequately explained the risks and that \$150,000 was too much to lock up for someone her age. Kevin's firm's internal guidelines permitted non-traded REIT allocations of up to 25% of liquid net worth for clients with moderate risk tolerance and low liquidity needs.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kevin violated his obligations: Margaret was 62 and retired, meaning her investment time horizon, while marked as 10+ years, is complicated by her age and potential future healthcare or long-term care costs that are difficult to predict. Allocating 24% of her liquid portfolio to a single illiquid, non-traded REIT with a seven-year lock-up effectively removes nearly a quarter of her accessible wealth during a period when unexpected expenses become more likely. The 8.5% upfront fee structure is among the highest in the investment product universe, meaning Margaret immediately lost approximately \$12,750 in principal value upon purchase. Her question about getting her money out could be interpreted as a signal of concern about liquidity that Kevin may not have adequately addressed. The subsequent suspension of the share repurchase program - while not foreseeable - illustrates the very risk that makes this product category problematic for retirees. Furthermore, the income objective Margaret articulated could have been met through more liquid alternatives such as publicly traded REITs, dividend funds, or investment-grade bond portfolios with significantly lower fees and daily liquidity.

Arguments that Kevin acted appropriately: Margaret's stated objectives - inflation-hedging income with reduced stock market volatility - align well with the characteristics of non-traded REITs, which offer stable distributions without daily market price fluctuations. Her liquidity needs were documented as 'low' because her pension and Social Security fully covered her monthly expenses with a surplus of approximately \$1,700. She maintained a separate \$35,000 emergency fund. The 24% allocation was within the firm's internal guidelines for her risk profile. Kevin spent 45 minutes explaining the product, obtained a signed acknowledgment of the illiquidity and risks, and documented the conversation. The remaining 76% of her portfolio (\$470,000) remained in liquid investments, providing substantial flexibility. A 10+ year time horizon for a 62-year-old woman with average life expectancy into her mid-80s is not unreasonable. The product's subsequent underperformance does not retroactively make the recommendation unsuitable at the time it was made.

### Why Borderline

This case sits in genuine gray territory because the allocation was within firm guidelines and the client's documented profile (moderate risk, low liquidity needs, 10+ year horizon, income-focused) facially supports the recommendation. However, the high concentration in a single illiquid product for a retiree, the steep upfront costs, and the client's own expressed concern about access to funds create legitimate questions about whether a more prudent approach would have involved a smaller allocation or more liquid income alternatives. Reasonable practitioners could disagree about whether 24% in a single non-traded REIT crosses the line for a 62-year-old retiree, even one with strong pension income.

### Borderline Factors

- Client was 62 and retired, increasing potential for unforeseen liquidity needs despite documented 'low' liquidity profile
- 24% allocation was within firm guidelines but near the upper boundary for non-traded REITs
- Client's question about redemption could indicate either healthy curiosity or genuine liquidity concern
- 8.5% upfront fees are high but standard for the non-traded REIT product category
- Pension and Social Security fully covered monthly expenses, supporting low liquidity need classification
- Liquid alternatives existed that could have met the client's income and inflation-hedging goals with lower cost and better liquidity
- Advisor documented the discussion and obtained signed risk acknowledgment

- Subsequent suspension of the repurchase program was an industry-wide event, not a foreseeable product-specific failure

### Likely Outcome

A regulator would likely view this as a close call and might pursue it as a marginal violation or resolve it through a settlement rather than a full adjudication. The combination of the client's age, retirement status, the high upfront costs, and the near-maximum concentration would concern most arbitration panels. However, the strong documentation, the client's favorable income profile, and the fact that the allocation fell within firm guidelines provide meaningful defenses. An arbitration panel would most likely award partial damages - perhaps recovering the upfront fees and some portion of the distribution shortfall - rather than full rescission, reflecting the genuinely mixed equities of the case.

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## Borderline Scenario 48

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and, if applicable, Regulation Best Interest under th*

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### Fact Pattern

Dr. Rajesh Patel, age 51, is a practicing cardiologist earning approximately \$580,000 annually. He had an investment portfolio of roughly \$2.1 million managed by financial advisor Christine Novak at a full-service brokerage firm. His account documents listed his risk tolerance as 'moderately aggressive,' his investment objective as 'growth with some income,' and his investment experience as 'extensive' - he had previously traded options, owned individual stocks, and invested in hedge fund-of-funds products. In June 2022, Christine recommended Rajesh invest \$300,000 - approximately 14% of his portfolio - in a structured note linked to the performance of a basket of three large-cap technology stocks. The note had a 5-year maturity, paid a contingent coupon of 9.8% annually provided none of the three underlying stocks fell below 60% of their initial value on any quarterly observation date, and offered principal protection only if none of the three stocks fell below 50% of their initial value at maturity. If any stock breached the 50% barrier at maturity, Rajesh would receive a return based on the worst-performing stock, meaning potential losses could be substantial. The structured note was issued by a major global investment bank rated A+ at the time. Christine earned a 2% selling concession on the transaction (\$6,000), whereas a comparable Treasury bond allocation or diversified equity portfolio would have generated approximately 0.5% in commissions. Christine discussed the product's mechanics with Rajesh over two meetings totaling approximately 90 minutes, provided the offering documents (a 134-page prospectus supplement), and Rajesh signed a structured product risk disclosure form. Rajesh testified later that Christine described the product as having 'a very healthy cushion' against losses and said it would 'almost certainly pay the full coupon.' By March 2023, one of the three underlying technology stocks had declined 48% from its initial level on a quarterly observation date, causing the coupon payment to be skipped for that quarter. By the note's ongoing observation dates through late 2023, the same stock remained depressed, and Rajesh received coupons in only two of the first six quarters. Rajesh then discovered that the structured note could not be sold on the secondary market without accepting a discount of roughly 15-18% to its theoretical value due to limited liquidity. He filed a complaint alleging the product was too complex and risky for his portfolio and that Christine's oral representations minimized the downside risk. Christine maintained that the product was appropriate for a high-income, experienced investor seeking enhanced yield and that she fully explained the barrier mechanics.



### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Christine violated her obligations: The structured note's payoff was tied to the worst performer among three individual stocks, creating concentrated single-stock risk that is fundamentally different from broad market exposure. Even though Rajesh was experienced, his prior experience was in options and hedge fund-of-funds - not in structured products with autocallable or barrier features, which have unique and often counterintuitive risk characteristics. Christine's alleged oral characterization of the product as having a 'very healthy cushion' and 'almost certainly' paying the full coupon could constitute a misleading representation that understated the probability of coupon skipping and principal loss, particularly given the elevated volatility of technology stocks in a rising interest rate environment. The 134-page prospectus, while provided, is unlikely to have been fully read or understood even by a sophisticated investor, and regulators have increasingly questioned whether prospectus delivery alone satisfies disclosure obligations for complex products. The 2% selling concession - four times the commission on a comparable allocation - created a material financial incentive that may have influenced the recommendation. Additionally, the secondary market illiquidity effectively made this a 5-year commitment, which Christine may not have adequately emphasized.

Arguments that Christine acted appropriately: Rajesh was a high-income professional earning over half a million dollars annually, with \$2.1 million in investable assets and documented extensive investment experience including options and alternative investments. His moderately aggressive risk tolerance and growth-with-income objective are consistent with structured products offering enhanced yield in exchange for accepting defined downside risk. The 14% portfolio allocation is a reasonable position size - not a concentrated bet. The product was issued by an A+-rated institution, and the 50% barrier at maturity provided a significant buffer against permanent principal loss. Christine conducted two meetings totaling 90 minutes to explain the product and obtained signed risk disclosures. Structured notes are widely used products recommended by major brokerage firms for appropriate clients, and Rajesh's profile fits the typical target investor. The fact that a technology stock declined nearly 50% in a volatile market does not mean the recommendation was flawed at inception. As for the oral representations, 'very healthy cushion' could be viewed as a reasonable characterization of a 40-50% barrier, and 'almost certainly' paying coupons reflects the historical statistical probability that large-cap stocks rarely decline 40%+ from a starting level.

### Why Borderline

This case is genuinely ambiguous because the client profile - high income, moderately aggressive, experienced with complex products - is precisely the type of investor for whom structured notes are designed. The allocation size was reasonable and the product was from a creditworthy issuer. However, the alleged oral minimization of risk, the significant commission differential creating a conflict of interest, the distinction between general investment sophistication and structured-product-specific understanding, and the effectively illiquid nature of the secondary market for these instruments all create legitimate concerns. The core tension is between a facially suitable recommendation for a qualified investor and questions about whether the advisor's communications and incentives compromised the quality of the recommendation.

### Borderline Factors

- Client had extensive investment experience but not specifically with structured products or barrier notes

- 14% portfolio allocation is moderate but represents concentration in a single complex instrument
  - Alleged oral representations ('very healthy cushion,' 'almost certainly') may have downplayed real probability of loss in a volatile market
- 2% selling concession was four times the commission on comparable alternatives, creating a meaningful conflict
  - Product was issued by a highly rated global bank, reducing credit risk concerns
  - Client's high income and moderately aggressive profile facially support the recommendation
    - 134-page prospectus was provided but practical question exists about whether delivery equals understanding
  - Secondary market illiquidity was a material feature that may not have been adequately highlighted
  - Worst-of basket structure creates correlation risk that is difficult for even sophisticated investors to fully evaluate

### Likely Outcome

A regulator or arbitration panel would likely focus heavily on the alleged oral representations and the commission differential. If Rajesh can credibly establish that Christine characterized the product as nearly risk-free or minimized the barrier breach probability, the case becomes significantly stronger. However, absent corroborating evidence of the oral statements (such as contemporaneous notes, emails, or a witness), it becomes a credibility contest. A panel would most likely find this a close case and potentially award partial damages - particularly recovery of the excess commission differential and some portion of the coupon shortfall - while stopping short of full rescission, given that the client's documented profile and experience level provide Christine with a substantial defense. A regulator investigating the matter might issue a cautionary action or require enhanced supervision rather than imposing severe sanctions, unless a pattern of similar recommendations to less suitable clients is discovered.

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## Borderline Scenario 49

*Topic: private\_placements\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis to*

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### Fact Pattern

Margaret Holloway, age 62, is a recently retired school principal with a \$1.4 million portfolio, consisting of \$900,000 in an IRA rollover from her pension buyout, \$350,000 in a taxable brokerage account, and \$150,000 in a money market fund she considers her emergency reserve. Her annual retirement income from Social Security and a small pension is approximately \$48,000, and she supplements this by drawing roughly \$40,000 per year from her IRA. She told her advisor, Darren Fields, that she wanted 'better returns than CDs and bonds' but also expressed concern about outliving her money. On her new account form, her risk tolerance was marked as 'moderate' and her investment experience was listed as 'limited - mostly mutual funds and CDs.' In March 2022, Darren recommended that Margaret invest \$200,000 from her IRA into a private placement offering from a regional real estate development company focused on building senior living facilities in the Southeastern United States. The offering documents disclosed a 7-year lock-up period, no secondary market, a minimum investment of \$100,000, distributions projected at 7-8% annually beginning in year two, and risk factors including construction delays, regulatory approvals, and potential total loss of principal. Darren explained the investment in a 90-minute meeting and provided Margaret with the private placement memorandum, which she signed and initialed in multiple places. He noted in his file

that Margaret was enthusiastic about the senior living sector because she had personally seen the need for quality facilities when her mother was in assisted living. Margaret's \$200,000 investment represented approximately 14.3% of her total portfolio and 22.2% of her IRA. Darren earned a 7% commission (\$14,000) on the placement. By late 2023, the development company announced a 12-month delay in construction due to permitting issues and suspended projected distributions indefinitely. Margaret filed a complaint in early 2024, stating she did not fully understand she could not access her money for seven years and that Darren never explained alternatives that could have provided similar income with more liquidity. Darren's firm's internal product review committee had approved the private placement for sale to accredited investors with moderate-to-aggressive risk profiles and investment horizons of at least seven years. Margaret qualified as an accredited investor based on her net worth. Darren had recommended private placements to approximately 15% of his client base, and this was the only private placement in Margaret's account.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Darren violated his obligations: Margaret is a 62-year-old retiree with limited investment experience, actively drawing \$40,000/year from her IRA, which means liquidity in that account is crucial. Placing 22.2% of her IRA into a 7-year lockup product creates a significant tension with her withdrawal needs and her stated concern about outliving her money. Her 'moderate' risk tolerance and 'limited' experience arguably make a private placement - an inherently complex, illiquid, high-risk product - unsuitable regardless of her accredited investor status. The 7% commission creates an incentive conflict that may have influenced the recommendation over more liquid alternatives like REITs, dividend-paying equity funds, or bond ladders that could have addressed her desire for income with better liquidity. Her claim that she did not understand the lockup raises questions about whether the risks were adequately communicated despite the signed documents. Arguments that Darren acted appropriately: Margaret was an accredited investor, the investment represented a manageable 14.3% of her total portfolio, and she retained over \$1 million in liquid or semi-liquid assets even after the investment. Her remaining IRA balance of roughly \$700,000, combined with her taxable account and emergency fund, could comfortably support her \$40,000 annual IRA withdrawals for many years. She expressed a desire for better returns than fixed income, and the projected 7-8% distribution rate aligned with her income needs. The senior living sector had personal resonance for her, suggesting genuine interest rather than a pressured sale. Darren conducted a lengthy meeting, provided the PPM, and documented her enthusiasm. The firm's product review committee had approved the offering, and Margaret met the investor qualification standards. The subsequent construction delay was an unforeseeable market event, not evidence of unsuitability at the time of recommendation.

### Why Borderline

This case sits in genuine gray territory because Margaret's financial profile cuts both ways - she is drawing from her IRA (suggesting liquidity needs), but the \$200,000 investment still leaves her with substantial liquid assets to cover years of withdrawals. Her stated desire for higher returns invites growth-oriented recommendations, but her limited experience and moderate risk tolerance push against complex private placements. The 7% commission is high but not unusual for private placements, and the firm had approved the product. The real tension is between her accredited investor qualification and net worth on one hand,

and her behavioral profile as a conservative retiree with limited sophistication on the other. Reasonable practitioners could disagree about whether accredited investor status and portfolio percentage alone can justify a private placement for someone in Margaret's circumstances.

### Borderline Factors

- Client is an accredited investor but has limited investment experience and moderate risk tolerance
- Investment represents 14.3% of total portfolio (moderate concentration) but 22.2% of the IRA she actively draws from
- 7-year lockup conflicts with active IRA withdrawals but remaining liquid assets can cover distributions for many years
- Client expressed genuine enthusiasm for the sector based on personal experience
- 7% commission is high but standard for private placements and was disclosed
- Firm's internal product committee approved the offering for moderate-to-aggressive investors, but Margaret was classified as moderate
- Client signed and initialed extensive disclosure documents but later claimed she did not understand the lockup
- Advisor documented the rationale but arguably did not explore more liquid alternatives to meet the same income goal
- Losses stem from an unforeseeable construction delay, not from a fundamentally flawed investment thesis

### Likely Outcome

A regulator would likely find a violation, but potentially a modest one resulting in a settlement rather than severe sanctions. The key vulnerability for the advisor is the mismatch between Margaret's moderate risk profile, limited experience, and reliance on IRA withdrawals versus the complexity and illiquidity of the private placement. The fact that the firm's own suitability criteria called for 'moderate-to-aggressive' investors and Margaret was classified as 'moderate' creates an internal inconsistency that regulators tend to seize upon. However, the fact that her overall portfolio could support the illiquidity, that she was accredited, and that she expressed genuine interest would likely mitigate sanctions. The probable outcome is a negotiated settlement with partial restitution and possibly a fine, rather than a finding of egregious misconduct.

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## Borderline Scenario 50

*Topic: alternative\_investments\_unsuitable | Standard: Under Regulation Best Interest (Reg BI), the Care Obligation requires that the*

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### Fact Pattern

Victor and Elena Marchetti, ages 58 and 55, are a dual-income couple with a combined annual income of \$310,000. Victor is a senior IT manager and Elena is a dental practice owner. They have a combined investment portfolio of approximately \$2.3 million, including \$1.1 million in 401(k) accounts, \$600,000 in a joint taxable brokerage account, \$400,000 in Elena's SEP-IRA, and \$200,000 in cash and short-term bonds. They have no debt other than a \$180,000 remaining mortgage balance on a home valued at \$750,000. Their three children are grown and financially independent. Their advisor, Reiko Tanaka, has worked with them for six years. In January 2023, during their annual review, the Marchettis told Reiko they

were frustrated with stock market volatility after experiencing a roughly 18% decline in their equity positions during 2022. They asked about 'investments that don't go up and down with the stock market.' Victor specifically said he had read articles about hedge fund strategies and wanted 'access to what wealthy people invest in.' Their account documents listed their risk tolerance as 'moderate-to-aggressive' and their investment objective as 'growth with some income.' In February 2023, Reiko recommended they allocate \$460,000 - 20% of their total portfolio - across three alternative investment vehicles: \$200,000 into a non-traded business development company (BDC) that lends to middle-market companies and pays a stated 9.5% distribution, \$150,000 into a managed futures fund structured as a limited partnership with a 5-year commitment period, and \$110,000 into an interval fund focused on private credit. All three investments were sourced from the taxable brokerage account and Elena's SEP-IRA. The non-traded BDC carried a 5.75% upfront sales charge and 1.85% annual management fee, the managed futures fund charged a 2% management fee plus 20% performance allocation, and the interval fund charged 1.65% with quarterly redemption windows limited to 5% of net assets. Reiko earned a combined \$18,400 in commissions across the three products. She provided the Marchettis with summary materials for each investment and the official offering documents, and they attended a 45-minute due diligence webinar hosted by the BDC sponsor. Reiko's notes reflect that she discussed the illiquidity features, fee structures, and risks of each product, and that the Marchettis 'understood and accepted the trade-offs for diversification and reduced correlation to equities.' Over the next 12 months, the non-traded BDC reduced its distribution from 9.5% to 6.2% due to rising default rates among its borrowers, the managed futures fund posted a -4.3% return, and the interval fund performed as expected with a 7.1% return. The Marchettis complained in March 2024 that the overall alternative allocation had underperformed a simple 60/40 portfolio and that they had not appreciated the full extent of the fees or the difficulty of exiting the positions. However, they acknowledged they had asked for non-correlated investments and that Reiko had shown them the fee disclosures. Victor admitted in his complaint that he had 'skimmed' the offering documents rather than reading them carefully.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reiko violated her obligations: The combined fee load across three alternative products is substantial - the 5.75% upfront charge on the BDC alone consumed \$11,500 of the Marchettis' capital before any returns were generated, and the ongoing fees across all three products significantly exceed what comparable liquid alternatives (such as liquid alternative mutual funds or ETFs) would charge. The 2-and-20 fee structure on the managed futures fund is particularly aggressive for retail investors. The total commission of \$18,400 creates a meaningful conflict of interest. The Marchettis' frustration with volatility after 2022 may have made them emotionally vulnerable to pitches for alternatives without fully appreciating the trade-offs. While a 20% allocation to alternatives is within commonly cited ranges, concentrating that allocation entirely in illiquid or semi-liquid vehicles when liquid alternatives exist raises questions about whether Reiko adequately considered lower-cost, more liquid options. The interval fund's 5% quarterly redemption cap and the managed futures fund's 5-year commitment significantly limit the Marchettis' flexibility, which may be relevant as they approach retirement in 7-10 years. Arguments that Reiko acted appropriately: The Marchettis are financially sophisticated - a senior IT manager and a dental practice owner with \$2.3 million in assets, no significant debt, and grown children. They specifically requested non-correlated investments and referenced hedge fund strategies. A 20% allocation to alternatives is widely

considered appropriate for investors with this profile and is consistent with institutional allocation models. The remaining 80% of their portfolio (\$1.84 million) remains in liquid, traditional investments, providing ample liquidity for any foreseeable needs. Their moderate-to-aggressive risk tolerance and growth objective support exposure to higher-risk, higher-return strategies. Reiko documented her discussions of risks, fees, and illiquidity, and the Marchettis attended a due diligence webinar. Victor's admission that he skimmed the documents undermines the claim that disclosure was inadequate. The BDC's distribution cut and the managed futures fund's negative return reflect normal investment risk, not unsuitability - alternatives are expected to have periods of underperformance relative to traditional portfolios, particularly over short measurement periods. The interval fund performed well, demonstrating that the overall strategy was not inherently flawed.

### Why Borderline

This scenario is genuinely ambiguous because the Marchettis are affluent, relatively sophisticated investors who affirmatively requested alternative investments, and a 20% allocation is within mainstream advisory practice. However, the specific product selection raises legitimate questions: the high fees (especially the BDC's upfront load and the managed futures fund's 2-and-20 structure) may not have been in the clients' best interest when lower-cost liquid alternatives with similar strategies exist. The case hinges on whether recommending specific high-commission illiquid products over comparable lower-cost liquid options constitutes a failure to act in the clients' best interest, even when the overall strategy and allocation are sound. Reasonable practitioners genuinely disagree about whether product-level cost comparison is required when the asset class recommendation is appropriate.

### Borderline Factors

- Clients specifically requested non-correlated investments and referenced hedge fund strategies
- 20% alternative allocation is within commonly accepted ranges for affluent investors
- Combined \$18,400 in commissions creates a conflict but is disclosed and standard for these product types
- Lower-cost liquid alternatives (liquid alt mutual funds, alt ETFs) were available but not discussed
- Clients are affluent with \$2.3 million and no debt, but are 7-10 years from retirement
- Client admitted to skimming rather than carefully reading offering documents
- Fee structures are high but standard for the respective product categories
- Advisor documented risk discussions and clients attended a sponsor due diligence webinar
- Underperformance occurred over a 12-month period, which is too short to evaluate alternative strategies fairly
- Illiquidity in three products simultaneously limits flexibility even though 80% of portfolio remains liquid

### Likely Outcome

A regulator would likely scrutinize this case closely but would face difficulty establishing a clear violation given the clients' sophistication, affirmative request for alternatives, and the advisor's documentation. The strongest regulatory argument centers on whether Reiko adequately considered lower-cost liquid alternatives that could have achieved similar diversification benefits - this is the core of a best interest analysis. However, the non-traded BDC and the managed futures fund arguably offer different return profiles than their liquid counterparts, giving Reiko a defensible rationale. The most likely outcome is that the case results in enhanced supervision requirements or a cautionary letter rather than formal sanctions, with the regulator noting that the advisor should have more explicitly documented why illiquid products were



preferred over liquid alternatives. If pursued, any settlement would likely be modest, focused on the fee differential between the recommended products and comparable liquid options.

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## Borderline Scenario 51

Topic: *lack\_of\_diversification* | Standard: *FINRA Rule 2111 (Suitability) - particularly the reasonable-basis and customer-specific suit*

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### Fact Pattern

Margaret Ellison, age 58, is a retired school principal with a \$1.2 million rollover IRA and a separate \$400,000 state pension that pays her approximately \$5,200 per month in guaranteed lifetime income. She has no mortgage, \$85,000 in a savings account, and her monthly living expenses are roughly \$4,000. She told her advisor, Craig Denning, that she wanted her IRA to 'grow aggressively for the next ten years' before she would need to draw from it, and that she was comfortable with volatility because her pension covered all her bills. Over a fourteen-month period from January 2022 to March 2023, Denning built a portfolio that was 72% concentrated in technology and semiconductor stocks and ETFs, including positions in seven individual tech companies and three sector-specific ETFs. The remaining 28% was split between a broad-market S&P 500 index fund (18%) and a short-term bond fund (10%). At the time of the initial recommendation, the tech sector had already experienced a significant drawdown in 2022, and Denning's internal notes stated he believed the sector was 'attractively valued for a long-term horizon.' Margaret signed an investment policy statement indicating a 'growth' objective with a 10-year time horizon, and she initialed a concentration disclosure form that noted her portfolio would hold more than 50% in a single sector. By December 2023, the portfolio had recovered significantly and was up 26% from its cost basis. However, during the worst point in October 2022, the portfolio was down approximately 31%, compared to approximately 18% for a diversified 80/20 stock-bond portfolio. Margaret never called to complain during the drawdown, but her adult son later filed a complaint on her behalf alleging that the concentration in technology was reckless and inappropriate for a 58-year-old retiree, regardless of her stated preferences.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Denning violated his obligations: A 72% allocation to a single sector for a 58-year-old retiree represents a significant concentration risk that deviates materially from standard asset allocation models. Even with a 10-year horizon, modern portfolio theory suggests that sector concentration introduces idiosyncratic risk without commensurate expected return benefit over a broadly diversified equity portfolio. The 31% drawdown during 2022 was nearly double what a diversified portfolio would have experienced, exposing the client to sequencing risk that is particularly dangerous near and in retirement. A reasonable advisor exercising professional judgment should have tempered the client's stated preference for aggressive growth with prudent diversification, especially given that IRA assets are tax-advantaged retirement savings. Under FINRA Rule 2111 and its reasonable-basis, customer-specific, and quantitative suitability components, an advisor must have a reasonable basis for believing a recommendation is suitable. The concentration here arguably fails the reasonable-basis prong because sector-concentrated portfolios have higher standard deviations without reliably higher risk-adjusted returns. Under Regulation Best Interest's care obligation, the advisor must exercise reasonable diligence, care, and skill, and must

consider reasonably available alternatives - a broad-market equity portfolio was an obvious, lower-cost, better-diversified alternative. Arguments that Denning acted appropriately: Margaret had a guaranteed pension covering 130% of her monthly expenses, plus \$85,000 in cash reserves, meaning she had no liquidity need or income need from the IRA for at least a decade. Her risk capacity was genuinely high - even a 50% loss in the IRA would not threaten her lifestyle. She explicitly requested aggressive growth, signed a concentration disclosure, and had a documented 10-year horizon. Denning's thesis that tech was attractively valued after the 2022 drawdown reflected a reasonable investment view, and the portfolio did include 28% in non-tech holdings. The portfolio's 26% gain by December 2023 vindicated the strategy in the short term. Clients have autonomy to pursue concentrated strategies when they understand the risks, and Margaret's signed disclosures evidence informed consent. Under FINRA Notice to Members 12-25 and related guidance, concentration is not per se unsuitable; it depends on the customer's full financial picture. The customer-specific analysis here supports suitability given the pension backstop and long horizon.

### Why Borderline

This case sits in a genuine gray area because the client's financial profile - guaranteed pension income exceeding expenses, large cash reserves, no debt, and a genuinely long investment horizon - makes the concentration more defensible than it would be for a typical 58-year-old retiree. The client's documented preferences, signed concentration disclosures, and absence of complaints during the drawdown all support informed consent. However, 72% in a single sector is an extreme concentration that most risk-management frameworks would flag, the drawdown was severe, and advisors have an independent obligation to exercise professional judgment beyond simply honoring client requests. The fact that the portfolio ultimately performed well does not resolve the ex ante question of whether the recommendation was appropriate at the time it was made.

### Borderline Factors

- Client had guaranteed pension income covering 130% of living expenses, reducing dependence on IRA
- 72% sector concentration is far above thresholds that most compliance departments flag
  - Client signed a specific concentration disclosure and investment policy statement documenting aggressive growth preference
- 10-year stated time horizon provides meaningful recovery window, but client was already 58
- 31% drawdown was nearly double what a diversified alternative would have experienced
- Portfolio ultimately gained 26%, but outcome does not determine ex ante suitability
- Client never complained during the drawdown; complaint was filed by adult son after the fact
- Advisor documented a reasonable investment thesis for the sector concentration
- Broad-market equity index fund was an obvious lower-risk, lower-cost diversified alternative

### Likely Outcome

A regulator would likely issue a cautionary finding or impose a modest sanction (such as a letter of caution or small fine) rather than pursue a major enforcement action. The concentration is aggressive enough to draw scrutiny, and most regulators would find that 72% in a single sector exceeds what reasonable professional judgment would recommend, even for a client with strong risk capacity. However, the client's financial profile, documented consent, long time horizon, and positive outcome would mitigate the severity. The case would likely turn on whether the regulator views the advisor's obligation as merely honoring informed client preferences or independently ensuring prudent diversification. Most panels would find a technical violation with mitigating circumstances, resulting in a reduced penalty.

**Borderline Scenario 52**

*Topic: annuity\_unnecessary\_switching | Standard: FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuity Transactions)*

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**Fact Pattern**

Dennis Oakley, age 64, had owned a variable annuity since 2016 with a remaining surrender period ending in August 2024. The annuity had a contract value of \$310,000, was invested in a moderate allocation sub-account, carried an all-in expense ratio of 2.35% annually, and included a guaranteed minimum withdrawal benefit (GMWB) rider that guaranteed 5% annual withdrawals on a \$275,000 benefit base for life beginning at age 65. His advisor, Patricia Sands, recommended in March 2023 - seventeen months before the surrender period ended - that Dennis exchange the annuity into a new fixed indexed annuity with a different carrier. The new product had a 7-year surrender schedule, a 1.15% annual fee (with no separate rider charge), a built-in income rider guaranteeing 5.5% annual withdrawals on a \$310,000 benefit base starting at age 65, a 1% premium bonus credited immediately, and participation in the S&P 500 index with a 9.5% annual cap. The surrender charge on the old annuity for an early exchange was 3%, amounting to \$9,300. Patricia documented in her notes that the new annuity would save Dennis approximately \$3,720 per year in ongoing fees (the difference between 2.35% and 1.15% on \$310,000), that the income benefit base was \$35,000 higher, that the guaranteed withdrawal percentage was half a point higher, and that the 1% bonus (\$3,100) partially offset the surrender charge. She also noted that Dennis had expressed frustration with the volatility of his variable annuity sub-accounts during 2022, when the contract value dropped from \$340,000 to \$295,000 before recovering. Dennis told Patricia he wanted 'something more predictable' as he approached retirement. Dennis's other assets included \$180,000 in a 401(k), \$60,000 in savings, and Social Security projected at \$2,400 per month starting at 66. His wife, age 62, was still working and earning \$55,000 per year. Dennis signed all exchange paperwork and a replacement disclosure comparing the two products side by side. Fourteen months later, in May 2024, Dennis filed a complaint alleging that Patricia switched him into a new annuity primarily to generate a commission, that the surrender charge was unnecessary because he could have waited seventeen months, and that the new 7-year surrender period locked him in until age 71.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Sands violated her obligations: Annuity switches are among the most heavily scrutinized transactions because they frequently benefit the advisor through new commissions while imposing surrender charges, new surrender periods, and potential loss of existing benefits on the client. Here, the client was only seventeen months from the end of his existing surrender period. By waiting, Dennis would have avoided the \$9,300 surrender charge entirely and would have been free to shop for the best available product - including potentially the same fixed indexed annuity - without penalty. The new 7-year surrender schedule means Dennis is now locked in until age 71, significantly reducing his liquidity and flexibility during a period when retirees often need to adjust their financial plans. Under FINRA Rule 2330 (Variable Annuity Transactions), the advisor must determine that the exchange provides a material net benefit considering surrender charges, product features, and costs. Under Reg BI's care obligation, the advisor must weigh the costs and benefits of the recommended transaction against reasonably available alternatives - and waiting seventeen months was an obvious, zero-cost alternative. The commission Sands earned on the new

product creates an obvious conflict of interest. Arguments that Sands acted appropriately: The quantitative analysis shows a meaningful economic benefit to the switch. The new product saves approximately \$3,720 per year in fees, meaning the \$9,300 surrender charge is recouped in approximately 2.5 years - well within the new surrender period and Dennis's expected holding period. Over the 7-year surrender period, the cumulative fee savings amount to approximately \$26,040, dwarfing the one-time surrender charge. The new product's income rider offers a higher benefit base (\$310,000 vs. \$275,000) and a higher withdrawal rate (5.5% vs. 5.0%), translating to guaranteed annual income of \$17,050 versus \$13,750 - a \$3,300 annual increase, or approximately 24% more guaranteed income. The fixed indexed structure directly addressed Dennis's stated concern about volatility, providing downside protection that his variable annuity sub-accounts did not offer. The 1% premium bonus partially offset the surrender charge. Patricia documented a thorough comparison and Dennis signed a replacement disclosure. The argument that Dennis could have 'just waited' ignores that market conditions, product availability, and bonus rates are not guaranteed to remain the same seventeen months later, and that Dennis wanted to reduce volatility exposure immediately. Additionally, waiting would have meant seventeen more months of paying the higher 2.35% fee, costing approximately \$5,270 in additional fees during the waiting period, which narrows the net cost of switching now versus later.

### Why Borderline

This case is genuinely ambiguous because the quantitative comparison shows a plausible material net benefit - lower ongoing fees, higher guaranteed income, and a product better matched to the client's stated risk preference - but the switch also involved an avoidable surrender charge, a new lengthy surrender period, and an inherent commission conflict. The strongest argument against the switch is that waiting seventeen months would have eliminated the surrender charge and preserved the client's optionality, but the strongest argument for it is that the ongoing fee savings and enhanced income benefit outweigh the one-time cost, and the client wanted immediate protection from volatility. Reasonable practitioners could disagree about whether the net benefit was material enough to justify the costs and the new lock-up period.

### Borderline Factors

- Surrender charge of \$9,300 was avoidable by waiting only seventeen months
- Annual fee savings of approximately \$3,720 create a breakeven of about 2.5 years on the surrender charge
- New guaranteed income was 24% higher (\$17,050 vs. \$13,750 annually)
- New 7-year surrender period locks client in until age 71, reducing liquidity during early retirement
- Client explicitly expressed desire for reduced volatility, which the new product addressed
- Advisor earned a new commission on the exchange, creating a conflict of interest
- Waiting seventeen months would have cost approximately \$5,270 in additional fees at the higher expense ratio
- Product availability, bonus rates, and caps on indexed annuities are not guaranteed to persist
- Client signed detailed replacement comparison disclosure
- 1% premium bonus partially but not fully offset the surrender charge

### Likely Outcome

A regulator or arbitration panel would likely find this to be a close case but would probably not sustain a major violation finding, instead possibly issuing a cautionary action or requiring enhanced supervision. The documented quantitative comparison showing meaningful fee savings, a higher income benefit base, and a

higher withdrawal percentage, combined with the client's stated preference for reduced volatility, would likely be viewed as establishing a colorable material net benefit. However, a regulator might criticize the advisor for not presenting the client with the option of waiting seventeen months as a documented alternative, and the new 7-year surrender period would be viewed as a meaningful cost that was arguably underweighted in the analysis. If the advisor's compensation was significantly higher on the new product, that factor could tip the balance toward a violation finding. Absent evidence of outsized compensation, the case would likely result in a supervisory or compliance recommendation rather than a formal sanction.

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### Borderline Scenario 53

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or*

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#### Fact Pattern

Margaret Thornton, age 64, retired schoolteacher, met with her financial advisor David Kessler in March 2022. Her account application listed her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' and her annual income as \$52,000 from pension and Social Security. Her liquid net worth was approximately \$410,000, nearly all of which was in a single brokerage account with Kessler. During their March meeting, Kessler recommended she allocate 15% of her portfolio - roughly \$61,500 - into a diversified small-cap growth fund that had returned an average of 14.2% annually over the past decade but had experienced a maximum drawdown of 38% during the 2020 market correction. Kessler documented in his notes that Mrs. Thornton had expressed frustration that her portfolio was 'barely keeping up with inflation' and that she wanted 'something with a little more kick.' He also noted that she said she did not plan to touch this money for at least seven years, as she considered it a legacy for her grandchildren. Mrs. Thornton signed an updated investment policy statement that included a new line reading 'growth allocation for long-term legacy goals - up to 15% of portfolio.' The remaining 85% of her portfolio stayed in investment-grade bonds, CDs, and a balanced fund. Over the next 14 months, the small-cap fund lost approximately 22%, reducing the position to roughly \$48,000. Mrs. Thornton filed a complaint in May 2023 stating she never understood the risks involved, that Kessler pushed her into speculative investments, and that the updated investment policy statement was presented to her as a routine paperwork update. Kessler's firm's compliance records show the IPS was countersigned by a branch supervisor. Two other clients in similar age and risk brackets were also placed into the same fund at roughly the same time, though both had listed 'moderate' risk tolerance on their account forms.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Kessler violated his obligations: Mrs. Thornton's account profile clearly stated 'conservative' risk tolerance and 'income with capital preservation' as her objective. A small-cap growth fund with a history of 38% drawdowns is fundamentally speculative in nature and inconsistent with a conservative profile. The fact that two comparable clients who received the same recommendation had 'moderate' - not 'conservative' - risk profiles suggests Kessler may have recognized this was a stretch for a conservative investor. Mrs. Thornton's claim that the updated IPS was presented as routine paperwork, if credited, would undermine the argument that she gave informed consent. Her age (64), fixed income, and reliance on this

account as her primary liquid savings all weigh against speculative allocations. Arguments that Kessler acted appropriately: The 15% allocation was modest and left 85% of the portfolio in conservative holdings. Mrs. Thornton herself initiated the conversation about wanting better returns and articulated a long-term time horizon for this specific portion of the portfolio. The fund was diversified (not a single speculative stock), and the recommendation was documented with a signed, supervisor-approved IPS update. A seven-year time horizon for a legacy goal reasonably supports some growth exposure, even for an otherwise conservative investor. Modern portfolio theory supports the idea that a small satellite allocation to higher-growth assets can improve long-term outcomes without dramatically altering overall portfolio risk. The loss of 22% over 14 months, while painful, was within the range of expected volatility for the asset class during a period of broad market weakness.

### Why Borderline

This case sits in a genuine gray area because the advisor documented client-initiated interest in higher returns, obtained a signed updated IPS, limited the speculative allocation to 15%, and maintained a conservative core portfolio. However, the client's formal risk profile was never changed from 'conservative,' the product had significant historical volatility inconsistent with that profile, and the client's age, income, and reliance on the account all argue for caution. The dispute over whether the IPS update represented informed consent or a paperwork maneuver is a credibility question that could go either way.

### Borderline Factors

- Client's formal risk tolerance remained listed as 'conservative' even after the IPS update
- Client verbally expressed desire for higher returns and articulated a long-term legacy time horizon
- Allocation was limited to 15% with 85% remaining in conservative instruments
- The small-cap growth fund had a historical maximum drawdown of 38%, arguably speculative
- Signed and supervisor-approved updated IPS exists but client disputes understanding it
- Two comparable clients receiving the same recommendation had higher stated risk tolerances
- Client's age, fixed income, and concentration of liquid wealth in the account argue for conservatism
- The fund was diversified rather than a concentrated speculative position

### Likely Outcome

A regulator would likely scrutinize this case closely but might decline to pursue a formal action, instead issuing a cautionary letter or requiring enhanced supervisory procedures. The documentation (signed IPS, supervisor approval, meeting notes reflecting client-initiated interest) provides meaningful defense, but the failure to formally update the risk tolerance on the account application creates a paper trail inconsistency that weakens Kessler's position. If the regulator credits Mrs. Thornton's claim about the IPS being presented as routine paperwork, the outcome tilts toward a finding of violation. If Kessler's documentation is accepted at face value, the 15% allocation is likely deemed reasonable. A settlement with modest restitution is the most probable resolution.

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## Borderline Scenario 54

Topic: junk\_bonds\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) and its three component obligations - reasonable

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### Fact Pattern



Robert and Linda Chen, both age 71, had a joint brokerage account managed by their advisor, Patricia Novak, at a mid-size broker-dealer. The Chens had a combined annual income of \$88,000 (pension and Social Security), liquid investable assets of approximately \$620,000, and a modest home with no mortgage. Their account documents from 2019 listed their investment objective as 'income' and risk tolerance as 'conservative.' In January 2023, with interest rates having risen substantially, Novak recommended that the Chens invest \$93,000 - approximately 15% of their portfolio - in a professionally managed high-yield bond fund. The fund held a diversified basket of approximately 350 corporate bonds rated BB and B, had a 30-day SEC yield of 7.8%, an average duration of 3.4 years, and an expense ratio of 0.62%. The fund had experienced a maximum drawdown of 14% during the 2020 market disruption. Novak's rationale, documented in an email to the Chens, was that the fund's yield significantly exceeded the 4.5% available on investment-grade bond funds, that the short duration limited interest rate risk, that the diversification across 350 issuers mitigated individual default risk, and that the income would supplement their pension and Social Security. She also noted that the Chens had told her they were 'tired of earning next to nothing on their savings' during the low-rate years and wanted to 'maximize their monthly income.' The remaining 85% of the portfolio was allocated to Treasury bonds, an investment-grade corporate bond fund, and a money market fund. Over the next eight months, the high-yield fund paid consistent monthly distributions but the net asset value declined approximately 4.2%, resulting in a modest net loss when distributions were included. In September 2023, Robert Chen suffered a health emergency requiring significant out-of-pocket medical expenses. The Chens liquidated the high-yield fund position at a loss to cover costs and subsequently filed a complaint alleging Novak placed them in junk bonds that were inappropriate for retirees who needed safe, reliable income. Novak's firm noted that her recommendation had been reviewed and approved by the branch compliance officer before execution. The compliance officer's notes stated: 'High-yield allocation at 15% is within acceptable range for income-oriented clients; fund is diversified and duration is conservative.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Novak violated her obligations: High-yield bonds are commonly understood to carry materially greater credit risk than investment-grade bonds, and the Chens' stated risk tolerance was 'conservative.' Retirees aged 71 with fixed incomes and no other significant liquid assets arguably should not be exposed to asset classes where principal loss due to credit deterioration or economic downturns is a meaningful risk. The 2020 drawdown of 14% in the fund illustrates that high-yield bonds can suffer equity-like losses during stress periods. The Chens' need for accessible capital - demonstrated by the health emergency - further supports the argument that principal preservation should have been paramount. The term 'junk bonds' carries pejorative weight in customer complaints and arbitration proceedings, and regulators have historically viewed high-yield recommendations for elderly conservative investors with skepticism. Arguments that Novak acted appropriately: The fund was highly diversified (350 issuers), professionally managed, had a short duration limiting interest rate sensitivity, and carried a reasonable expense ratio. The 15% allocation left 85% of the portfolio in highly conservative instruments. The Chens themselves expressed a desire to maximize income, and Novak documented this in writing. The 7.8% yield provided meaningful income enhancement over the 4.5% investment-grade alternative - a 73% increase in yield on that portion of the portfolio. The compliance review and pre-approval provide institutional support for the recommendation's reasonableness. The health emergency was an unforeseeable event, and the

fund was performing as expected (generating income) prior to the forced liquidation. Furthermore, in the rising-rate environment of early 2023, high-yield bonds with short duration were widely recommended by institutional strategists as a reasonable income play with less interest rate risk than longer-duration investment-grade bonds. The 4.2% NAV decline over eight months was within normal volatility for the asset class and partially offset by distributions.

### Why Borderline

This case is genuinely ambiguous because high-yield bonds occupy a middle ground in the risk spectrum - they are riskier than investment-grade bonds but significantly less volatile than equities, and a diversified, short-duration high-yield fund is on the more conservative end of the high-yield spectrum. The 15% allocation was modest, the remainder of the portfolio was highly conservative, and the clients expressed a desire for income maximization. However, the clients' formal profile said 'conservative,' they were elderly retirees reliant on portfolio income, and 'junk bonds' for conservative retirees is a fact pattern that draws regulatory attention regardless of the nuances. The forced liquidation due to a health emergency introduced a liquidity concern that was not foreseeable but highlights the risk of even modest principal losses for clients without financial cushion.

### Borderline Factors

- Clients' formal risk tolerance was 'conservative' but they verbally requested higher income
- High-yield bonds are below investment grade but the fund was highly diversified across 350 issuers
- The 15% allocation left 85% in conservative instruments (Treasuries, IG bonds, money market)
- The fund's short 3.4-year duration limited interest rate risk, making it more conservative within the high-yield category
- Clients were age 71 retirees reliant on fixed income with no other significant liquid assets
- The recommendation was documented in writing and pre-approved by compliance
- An unforeseeable health emergency forced liquidation at a loss, creating the realized harm
- The fund performed largely as expected - generating income - and the NAV decline was modest
- Institutional consensus in early 2023 supported short-duration high-yield as a reasonable income strategy

### Likely Outcome

A regulator or arbitration panel would likely find this to be a close case. The strong documentation, compliance pre-approval, modest allocation size, and client statements favoring income maximization provide substantial defense. However, the conservative risk tolerance designation and the clients' age and financial profile create tension with any below-investment-grade recommendation. The most likely outcome is either a dismissal with a supervisory caution to the firm about ensuring risk tolerance designations are formally updated before implementing higher-risk strategies, or a modest settlement (partial restitution of the approximately \$4,000-\$5,000 net loss) to resolve the complaint without a formal finding of violation. A full-blown enforcement action is unlikely given the circumstances.

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## Borderline Scenario 55

Topic: *annuity\_unnecessary\_switching* | Standard: FINRA Rule 2111 (Suitability) and, if applicable after June 30, 2020, Regulation B

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**Fact Pattern**

Margaret Ellison, age 62, is a retired school administrator with a \$780,000 portfolio, a state pension providing \$4,200/month, and Social Security of \$2,100/month starting at age 66. In March 2020, her advisor, Derek Huang, recommended she surrender a variable annuity she had held for six years with Jackson National - which had an account value of \$215,000, a guaranteed minimum withdrawal benefit rider, and a remaining surrender charge of 1.8% (\$3,870) - and use the proceeds to purchase a new fixed indexed annuity with Athene, which had a 10-year surrender schedule starting at 9%, a 2.5% annual bonus credit applied to her premium, a guaranteed lifetime withdrawal benefit rider with a 6.5% rollup rate during deferral, and total annual fees of 1.15% compared to the old annuity's all-in cost of 2.40%. Derek documented that Margaret's objectives were (1) reducing overall fees, (2) downside protection given the March 2020 market volatility, and (3) a more generous guaranteed income stream for withdrawals starting at age 72. Margaret signed a disclosure acknowledging the surrender charge on the old annuity, the new surrender schedule, and a side-by-side comparison showing that the new annuity's guaranteed lifetime withdrawal amount at age 72 would be approximately \$16,800/year versus the old annuity's projected \$13,200/year under similar assumptions. Margaret had no immediate liquidity needs, owned her home outright, had \$95,000 in a money market account, and had stated in her most recent account update form that she would not need to access the annuity funds for at least 10 years. However, the old annuity's guaranteed minimum withdrawal benefit had a benefit base that had been growing at 5% simple interest for six years and was valued at \$248,000 - higher than the account value - meaning she was forfeiting that accumulated benefit base. The new annuity's 2.5% bonus partially offset the surrender charge, but she was restarting a new and longer surrender period. Derek received a commission of \$10,750 on the new annuity sale, compared to no ongoing trailing commission on the existing annuity, though he had been receiving a \$1,200 annual trail that would have continued. Margaret's daughter later complained that her mother was talked into an unnecessary switch that primarily benefited the advisor.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Derek violated his obligations: The switch required Margaret to forfeit a \$248,000 benefit base on her existing annuity - \$33,000 above the account value - which represented six years of guaranteed growth that cannot be recaptured. She incurred a \$3,870 surrender charge and restarted a 10-year surrender schedule at 9%, significantly restricting her access to funds until age 72. Derek's commission jumped from a \$1,200 annual trail to a \$10,750 upfront commission, creating a clear financial incentive to recommend the switch. The timing - March 2020, during extreme market volatility - could be seen as exploiting fear to justify a product change that would not have appeared necessary during calmer markets. The old annuity's GMWB rider, while having higher ongoing fees, was already 'in the money' relative to account value, giving it substantial embedded value. Arguments that Derek acted appropriately: The fee reduction from 2.40% to 1.15% saves approximately \$2,687 annually based on current account value, which over 10 years could total over \$26,000 in savings even before compounding effects. The new annuity's projected guaranteed income at age 72 was \$16,800/year versus \$13,200/year - a \$3,600/year improvement that over a 20-year retirement would amount to \$72,000 more in guaranteed income. The 2.5% bonus credit (\$5,375) more than offset the \$3,870 surrender charge. Margaret had ample liquidity outside the annuity (\$95,000 money market, pension, future Social Security) and stated she would not need the funds for 10+ years, aligning with the new surrender schedule. The switch from a variable to a fixed

indexed annuity during the most volatile market period in a decade arguably provided appropriate downside protection for a 62-year-old approaching retirement income phase. Derek documented the rationale and provided side-by-side comparisons. The loss of the old benefit base is significant, but the old rider's value must be weighed against its higher cost and the new product's superior projected income stream.

### Why Borderline

This case sits in a genuine gray area because the switch produced quantifiable benefits (lower fees, higher projected income, downside protection, bonus credit exceeding surrender charges) but also required forfeiting an accumulated benefit base worth \$33,000 more than account value - an intangible but real economic loss that is difficult to compare directly against projected future advantages. The advisor's compensation increase creates an appearance of conflict, but the documented cost-benefit analysis and the client's profile (long time horizon, ample external liquidity, stated income objectives) support the recommendation. Reasonable professionals would disagree on whether the embedded value of the old GMWB rider - which was 'in the money' - outweighed the cumulative fee savings and improved income projections of the new product.

### Borderline Factors

- Forfeiture of a \$248,000 benefit base (\$33,000 above account value) representing six years of guaranteed growth
- Fee reduction from 2.40% to 1.15% creating meaningful long-term cost savings
- New annuity's projected guaranteed income \$3,600/year higher than old annuity
- Advisor commission increased from \$1,200/year trail to \$10,750 upfront
- 2.5% bonus credit more than offset the 1.8% surrender charge in dollar terms
- New 10-year surrender schedule at 9% vs. near-expiration of old surrender period
- Client had ample external liquidity and 10+ year stated time horizon
- March 2020 market volatility provided legitimate rationale for moving to downside-protected product
- Old annuity's GMWB rider was 'in the money' - a tangible benefit being surrendered
- Thorough documentation including side-by-side comparison and signed disclosures

### Likely Outcome

A regulator would likely issue a cautionary letter or require enhanced supervisory review rather than pursue a full enforcement action. The documented fee savings, improved income projections, and client-signed disclosures provide a defensible rationale, but the forfeiture of the in-the-money GMWB benefit base and the significant commission increase would draw scrutiny. A regulator might find that the analysis was incomplete because it did not adequately quantify the economic value of the surrendered benefit base, but the overall recommendation was not unreasonable given the client's profile and objectives. If the firm's supervisory review of the switch was cursory or rubber-stamped, the firm might face a supervisory deficiency finding even if the advisor avoids individual liability.

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## Borderline Scenario 56

Topic: *illiquid\_real\_estate\_investment* | Standard: *FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific, and*

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### Fact Pattern

Carlos Mendez, age 49, is an orthopedic surgeon earning \$620,000 annually with a net worth of approximately \$3.2 million. His assets include \$1.1 million in a 401(k), \$480,000 in a taxable brokerage account (60% equities, 40% bonds), \$310,000 in cash savings, a \$1.4 million primary residence with \$600,000 remaining on the mortgage, and no other debt. In September 2022, his financial advisor, Patricia Knowles, recommended Carlos invest \$200,000 in a non-traded real estate investment trust (REIT) focused on medical office buildings and outpatient surgical centers - a sector Carlos expressed strong enthusiasm for given his professional familiarity with healthcare real estate demand. The REIT had a minimum 5-year hold period with no guaranteed redemption program, offered a target annual distribution of 6.5%, charged upfront costs of approximately 8.5% (including selling commissions, dealer manager fees, and offering costs), and had a stated investment objective of capital appreciation and income with a total return target of 10-12% annually. Patricia documented that Carlos wanted to diversify beyond publicly traded securities, sought tax-advantaged income (the REIT's distributions were expected to be partially sheltered by depreciation), and had expressed interest in real estate investments for over two years but had not wanted the management burden of direct property ownership. Carlos had no children, was unmarried, and described his risk tolerance as 'moderately aggressive' on his client profile. His emergency fund of \$310,000 represented approximately six months of his after-tax income. The \$200,000 investment represented 6.25% of his total net worth and approximately 24% of his liquid non-retirement assets (the \$480,000 brokerage account plus the \$310,000 cash). Patricia's firm received 7% in selling compensation on the transaction. Six months later, Carlos's practice was named in a malpractice suit seeking \$5 million in damages, and he wanted to liquidate the REIT investment to fund legal defense costs. The REIT sponsor had no early redemption program and secondary market transactions in similar non-traded REITs were trading at discounts of 20-30% to stated NAV. Carlos filed a complaint alleging that Patricia never adequately explored his litigation risk as a surgeon or stress-tested his liquidity needs against worst-case professional scenarios.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Patricia violated her obligations: The 8.5% upfront cost load is substantial and immediately eroded Carlos's invested capital, meaning the REIT needed to generate significant returns just to break even. At 24% of his liquid non-retirement assets, the illiquid investment represented a material concentration of his accessible wealth. As a practicing surgeon, Carlos faced inherent professional liability risks - malpractice suits are a well-known occupational hazard for orthopedic surgeons, and a thorough analysis of his financial situation should have accounted for potential large, unexpected cash needs related to litigation, even if covered partially by insurance. Patricia arguably failed to conduct an adequate liquidity needs analysis that stress-tested against foreseeable professional risks. The 7% selling compensation created a meaningful incentive to recommend this product over lower-cost liquid alternatives such as publicly traded REITs focused on healthcare real estate, which could have provided similar sector exposure with daily liquidity and fees well under 1%. Arguments that Patricia acted appropriately: The \$200,000 investment was only 6.25% of Carlos's total net worth - a modest allocation by most standards. He maintained \$310,000 in cash (six months of income) plus \$480,000 in liquid brokerage assets after the investment, totaling \$590,000 in accessible funds outside retirement accounts. Carlos had malpractice insurance (standard for practicing surgeons), which would typically cover defense costs and damages up to policy limits. The malpractice suit was an unforeseeable specific event, and financial planning cannot be

evaluated based on subsequent bad luck. Carlos had expressed sustained interest in real estate for two years, had professional expertise in healthcare facilities, and specifically did not want the burden of direct property ownership - making a non-traded REIT a reasonable vehicle. His high income, moderately aggressive risk tolerance, absence of dependents, and long time horizon to retirement all support the suitability of an illiquid alternative investment. Non-traded REITs are accepted investment products distributed through broker-dealers with established due diligence frameworks, and the 6.5% distribution target with partial tax sheltering served Carlos's stated income and tax objectives. Patricia could not reasonably be expected to predict a specific malpractice lawsuit.

### Why Borderline

The case is genuinely ambiguous because the investment was a modest percentage of total net worth and the client's profile (high income, no dependents, long time horizon, moderately aggressive risk tolerance, sustained interest in real estate) supported an illiquid alternative allocation. However, the high upfront costs, the availability of liquid alternatives with similar real estate exposure, and the arguably insufficient analysis of liquidity needs for a professional in a litigation-prone specialty create legitimate questions about whether the recommendation was in the client's best interest. The malpractice suit makes the case more sympathetic but also introduces hindsight bias - the core question is whether the pre-investment analysis was adequate, not whether subsequent events proved unfortunate.

### Borderline Factors

- Investment was 6.25% of net worth (modest) but 24% of liquid non-retirement assets (significant)
- 8.5% upfront costs versus under 1% for comparable publicly traded healthcare REITs
- Client's profession as a surgeon carries well-known malpractice litigation risk affecting liquidity needs
- Client had expressed interest in real estate for over two years and had sector expertise
- 7% selling compensation to the advisor's firm creates meaningful conflict of interest
- Client maintained \$590,000 in liquid non-retirement assets after the investment
- Malpractice suit was a subsequent event potentially introducing hindsight bias
- No early redemption program and secondary market discounts of 20-30% to NAV
- Client's risk tolerance was moderately aggressive with no dependents and high income
- Publicly traded REIT alternatives existed that could have provided similar sector exposure with daily liquidity
- Tax advantages from depreciation sheltering were a legitimate benefit not easily replicated in public REITs

### Likely Outcome

A regulator would likely investigate but would face difficulty sustaining a full suitability or best interest violation. The modest allocation relative to net worth, the client's stated objectives and risk tolerance, the sustained client interest in real estate, and the adequate (if not generous) remaining liquidity cushion all support the recommendation. However, the regulator might find a procedural deficiency in the failure to document a liquidity stress test or to meaningfully evaluate publicly traded REIT alternatives as lower-cost options. The most probable outcome is a supervisory finding against the firm for inadequate comparative analysis documentation, potentially resulting in enhanced supervision or a modest fine, rather than a finding that the recommendation itself was unsuitable. If the client's malpractice insurance is shown to have been adequate to cover defense costs, the complaint's central premise weakens further.



## Borderline Scenario 57

Topic: *market\_timing\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* - particularly the quantitative suitability obligation address

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### Fact Pattern

Gerald Hoffman, age 52, is a senior software architect earning \$285,000 annually with a net worth of approximately \$1.9 million, including \$720,000 in a brokerage account managed by advisor Patricia Chen at a regional broker-dealer. Hoffman told Chen during their initial meeting in January 2022 that he wanted 'aggressive growth' and was comfortable with 'active management and tactical moves' to beat the market. He signed an investment policy statement indicating a high risk tolerance, a 10-15 year time horizon until retirement, and a preference for 'dynamic asset allocation.' Between February 2022 and November 2023, Chen executed 47 round-trip trades in a portfolio of sector-specific equity mutual funds, rotating between technology, healthcare, energy, and financial sector funds. The average holding period was approximately 18 days. Thirty-one of the 47 trades were executed in funds that imposed short-term redemption fees ranging from 0.50% to 2.00% for shares held fewer than 30 days, costing Hoffman a cumulative \$14,200 in redemption penalties. The portfolio's total return over the 22-month period was 11.3%, compared to 9.8% for the S&P 500 over the same period. However, when accounting for the redemption fees and \$6,800 in transaction charges, the net return dropped to approximately 8.4%. Chen's compensation was salary-based with a quarterly performance bonus tied to overall client portfolio returns, not transaction volume. Chen maintained a detailed log showing that each rotation corresponded to specific macroeconomic events - Federal Reserve announcements, earnings season rotations, and sector momentum signals from a proprietary model her firm licensed. Hoffman received trade confirmations for every transaction and never objected. In December 2023, Hoffman filed a complaint alleging the rapid trading was unsuitable and amounted to market timing that eroded his returns through unnecessary fees.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Chen violated her obligations: The 47 round-trip trades in 22 months with an 18-day average holding period exhibits characteristics of market timing in mutual funds, a practice that fund prospectuses explicitly discourage and that can harm both the individual investor and other fund shareholders. The \$14,200 in short-term redemption fees and \$6,800 in transaction costs reduced the portfolio's gross outperformance of 1.5% over the S&P 500 to an underperformance of 1.4%. This suggests the trading activity destroyed value on a net basis. Under FINRA Rule 2111 (Suitability), the quantitative suitability component requires that the overall frequency of trading not be excessive in light of the customer's profile. While there is no fixed threshold, 47 round trips in 22 months in mutual funds - instruments designed for longer holding periods - raises red flags. Under Regulation Best Interest's care obligation, the advisor must consider reasonably available alternatives; holding the same sector funds longer or using sector ETFs designed for tactical trading would have avoided the redemption penalties entirely. Arguments that Chen acted appropriately: Hoffman explicitly requested aggressive growth with active, tactical management. His signed IPS authorized dynamic asset allocation, which reasonably encompasses sector rotation strategies. The gross return of 11.3% outperformed the benchmark, suggesting the strategy had investment merit. Chen's compensation was not tied to transaction volume, reducing the inference of self-interested churning. She maintained a documented, research-based rationale

for each trade tied to macroeconomic catalysts. Hoffman received confirmations for all 47 trades over nearly two years and never raised concerns until after filing a complaint. His sophistication as a high-earning technology professional and his \$1.9 million net worth suggest he could understand and absorb the risks. The cost-to-equity ratio, while elevated, does not clearly cross the thresholds courts have used to establish excessive trading (typically 6-8% annually in cost-to-equity). Here, total costs of \$21,000 on a \$720,000 account represent approximately 1.6% annualized cost-to-equity, which is below typical churning benchmarks.

### Why Borderline

This case sits in a genuine gray area because the trading strategy had a defensible intellectual basis and produced gross outperformance, yet the use of mutual funds with short-term redemption fees rather than more suitable vehicles (like ETFs) for a tactical rotation strategy created unnecessary friction costs that eroded returns below the benchmark. The client's explicit authorization of aggressive, tactical management cuts strongly in the advisor's favor, but the advisor's duty arguably includes selecting appropriate instruments for the chosen strategy. The cost-to-equity ratio falls well below traditional churning thresholds, yet the pattern of repeated short-term mutual fund trades triggering redemption fees suggests a mismatch between strategy and implementation that a reasonable advisor should have addressed.

### Borderline Factors

- Client explicitly authorized aggressive tactical management in writing
- Gross returns outperformed the benchmark before friction costs
- Net returns underperformed after accounting for avoidable redemption fees and transaction costs
- Advisor compensation structure was not transaction-based, weakening churning inference
- Cost-to-equity ratio of ~1.6% annually falls below typical churning thresholds
- Mutual funds with short-term redemption fees were arguably unsuitable vehicles for an 18-day average holding period strategy
- Sector ETFs were readily available alternatives that would have avoided redemption penalties
- Client received all trade confirmations and did not object for 22 months
- Advisor maintained documented research rationale for each trade
- The fund prospectuses themselves discouraged the type of short-term trading being executed

### Likely Outcome

A regulator would likely issue a cautionary letter or impose a modest fine rather than pursue a major enforcement action. The strongest argument against the advisor is not the trading frequency per se but the failure to use appropriate instruments (ETFs vs. mutual funds) for the chosen strategy, resulting in avoidable costs. A regulator applying Regulation Best Interest's care obligation might find that the advisor failed to consider reasonably available alternatives that would have preserved the strategy's merit while eliminating approximately \$14,200 in redemption penalties. However, the client's explicit authorization, the advisor's documented rationale, and the below-threshold cost-to-equity ratio would likely mitigate the severity of any sanction. The case would most likely result in enhanced supervision requirements and restitution of the short-term redemption fees rather than a finding of outright unsuitability or churning.

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## Borderline Scenario 58

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, particularly th*

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**Fact Pattern**

Diana Morales, age 44, is a pediatric nurse earning \$92,000 annually with \$340,000 in savings, including \$180,000 she inherited from her mother in March 2023. She had no prior investment experience and told her advisor, Kevin Briggs at a full-service brokerage firm, that she wanted to invest the inheritance for her two children's college education - her daughter was 11 and her son was 8 at the time. She said she wanted 'something safe but that grows' and indicated she was moderately risk-tolerant. Briggs recommended splitting the \$180,000 across three actively managed mutual funds, each carrying a 5.25% front-end sales load: a large-cap growth fund (Class A shares, \$70,000), a balanced fund (\$60,000), and an intermediate-term bond fund (\$50,000). The total upfront load charges were approximately \$9,450. The three funds had annual expense ratios of 0.82%, 0.71%, and 0.55% respectively, and each had a 10-year track record of performance in the top quartile of their Morningstar peer categories. Briggs' firm offered a breakpoint discount schedule that would have reduced the sales load to 4.50% if the entire \$180,000 had been invested in a single fund family, but the three funds were from two different fund families, so only the \$70,000 investment qualified for a partial breakpoint at 4.75%. Briggs did not discuss the breakpoint implications with Morales. The firm also offered comparable no-load institutional share classes of similar funds available through its fee-based advisory platform, which would have charged a 1.0% annual advisory fee instead of the front-end loads. Additionally, lower-cost index fund alternatives existed with expense ratios between 0.03% and 0.10% and no loads. Briggs earned a commission of approximately \$7,560 from the load charges. At the time, Morales' account agreement was a commission-based brokerage account. Eighteen months later, all three funds had performed in line with or slightly above their benchmarks. Morales filed a complaint in September 2024 after reading an article about investment costs, alleging that Briggs steered her into high-cost funds to maximize his commission when cheaper alternatives were available.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Briggs violated his obligations: The \$9,450 in front-end loads represents 5.25% of Morales' inheritance immediately lost to fees before any investment return. Under Regulation Best Interest's care obligation, an advisor must consider reasonably available alternatives, including the cost of the recommendation. No-load index funds with expense ratios as low as 0.03% were available and would have been appropriate for a moderate-risk, 7-12 year college savings horizon. Over a 10-year period, the cumulative cost difference between the loaded active funds (approximately \$9,450 upfront plus ~0.69% average annual expenses) and a comparable no-load index portfolio (0.05% average annual expenses) could exceed \$20,000, a material amount relative to a \$180,000 college fund. The failure to discuss breakpoint opportunities is particularly problematic; FINRA has issued specific guidance requiring advisors to inform clients about breakpoint discounts, and consolidating into a single fund family could have saved approximately \$1,350. Briggs' \$7,560 commission creates a clear conflict of interest that should have been more carefully managed. The firm's own fee-based platform offered comparable no-load options, suggesting that lower-cost alternatives were not merely theoretical but were available within the same firm. Arguments that Briggs acted appropriately: The three funds selected had strong 10-year track records in the top quartile of their peer categories, suggesting genuine investment merit. The asset allocation across large-cap growth, balanced, and bond funds was reasonable and well-diversified for a moderate-risk college savings goal with a 7-12 year horizon. Class A shares with front-end loads are widely accepted as

appropriate for longer holding periods because they have lower ongoing expenses than Class C shares, and the upfront cost is amortized over time. Over a 10-year holding period, Class A shares often have a lower total cost of ownership than Class C shares or even some fee-based advisory arrangements charging 1.0% annually (which would total \$18,000+ in advisory fees over 10 years on \$180,000, compared to \$9,450 in loads). The commission-based brokerage model is a legitimate account structure, and the client chose this arrangement. Past performance, while not guaranteed, demonstrated that these active managers had added value over their benchmarks, potentially justifying the higher expense ratios. The funds were suitable for her stated goals and risk tolerance regardless of whether cheaper alternatives existed.

### Why Borderline

This scenario is genuinely ambiguous because the loaded funds were fundamentally suitable investments with strong track records and appropriate asset allocation for the client's goals, yet cheaper alternatives were readily available that could have served the same purpose at significantly lower cost. The key tension is between the traditional suitability standard - where a suitable recommendation that matches the client's objectives is sufficient - and the enhanced best interest standard, which requires consideration of costs and alternatives. Reasonable practitioners disagree about whether top-quartile active funds with proven track records justify a 5.25% load when low-cost index alternatives exist. The breakpoint failure adds a concrete procedural deficiency, but its dollar impact (\$1,350) is relatively modest. The total cost comparison is complicated by the fact that the fee-based alternative (1.0% annual fee) could actually cost more over the full holding period than the front-loaded Class A shares.

### Borderline Factors

- 5.25% front-end load totaling \$9,450 is a significant immediate cost on an inherited sum for college savings
- All three funds had top-quartile 10-year performance records, suggesting genuine investment merit
- Comparable no-load index funds with dramatically lower expense ratios were readily available
- The firm's own fee-based platform offered no-load alternatives, but the annual advisory fee could exceed total load costs over the 7-12 year holding period
- Class A shares generally have lower total cost of ownership than Class C shares or annual advisory fees for long holding periods
- Advisor failed to discuss breakpoint discount opportunities, a specific procedural deficiency
- Client was a first-time investor with no basis to evaluate cost structures independently
- Asset allocation across the three funds was objectively reasonable for the client's goals and risk tolerance
- Advisor's \$7,560 commission creates a conflict of interest but is inherent to the commission-based model the client chose
- The client's 7-12 year holding period is long enough to amortize front-end loads but also long enough for compounding expense ratio differences to matter significantly

### Likely Outcome

A regulator would most likely find a partial violation. The breakpoint failure is the clearest deficiency and would likely result in an order to pay restitution of approximately \$1,350 for the missed breakpoint discount, potentially with a modest fine. On the broader question of whether loaded active funds violated the client's best interest when no-load index alternatives existed, the outcome is less certain. Under Regulation Best

Interest, the advisor is not required to recommend the lowest-cost option, but must have a reasonable basis to believe the recommendation is in the client's best interest considering costs among other factors. The strong track records of the selected funds and the legitimate cost advantages of Class A shares for long holding periods provide a defensible basis. However, a regulator might require enhanced documentation showing that the advisor considered and had a reasonable basis for rejecting the lower-cost alternatives. The most likely overall outcome is a finding focused on the breakpoint disclosure failure with restitution, enhanced supervision, and possibly a requirement for additional training, rather than a finding that the entire recommendation was unsuitable.

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## Borderline Scenario 59

*Topic: high\_fees\_unsuitable | Standard: Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the*

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### Fact Pattern

Margaret Ellison, age 58, is a semi-retired school administrator earning \$72,000 annually from part-time consulting work. She has a \$620,000 portfolio consisting of index funds she accumulated over 25 years through payroll deductions. She approached her financial advisor, Craig Denton, in March 2023, expressing concern about generating reliable retirement income starting in approximately 4 years when she planned to fully retire. She told Denton she wanted 'professional management' to help her transition from accumulation to income and was willing to pay for expertise. Denton recommended she move her entire portfolio into a wrap-fee advisory account charging 1.85% annually (\$11,470 per year), which included access to a team of portfolio managers who would construct a custom bond ladder, dividend equity sleeve, and tactical allocation component. The prior index fund portfolio had a blended expense ratio of approximately 0.06%, and Margaret had been paying no advisory fees. Denton presented her with a comparison showing that similar wrap-fee programs at competing firms charged between 1.25% and 2.10%, positioning his recommendation as 'competitive.' He also showed backtested performance data suggesting the managed strategy had outperformed a simple 60/40 index portfolio by approximately 1.2% annually over the prior decade after fees. Margaret signed all disclosures, including a fee schedule and brochure clearly stating the annual cost. Over the next 14 months, the managed portfolio returned 7.1% gross (5.25% net of the 1.85% fee), while a comparable Vanguard target-date fund returned 6.8% over the same period. Margaret filed a complaint after her daughter, a CPA, told her she was 'drastically overpaying' and could replicate the income strategy using low-cost bond ETFs and a simple dividend fund for under 0.15% in total expenses. Denton's notes reflect two meetings where he discussed the fee structure, documented Margaret's stated preference for professional management, and noted her comment that she 'didn't want to manage this herself.' Margaret acknowledges she understood she was paying fees but says she didn't fully appreciate the cumulative dollar impact over a 25-year retirement horizon, which her daughter calculated at roughly \$180,000 in total fees assuming a flat portfolio value.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Denton violated his obligations: The fee increase from essentially zero to 1.85% annually represents a 30-fold increase in costs on a portfolio that had performed adequately for decades. Margaret's

needs - transitioning to income - could arguably have been met with far less expensive solutions such as a target-date retirement income fund, a simple bond ladder purchased on a one-time commission basis, or a flat-fee financial plan costing \$2,000-\$4,000 rather than \$11,470 per year in perpetuity. The cumulative cost over retirement is staggering relative to the incremental value provided. Under Regulation Best Interest, a broker-dealer must consider reasonably available alternatives, and the cost differential between the wrap account and low-cost alternatives is difficult to justify when the net performance advantage is marginal at best. The backtested performance comparison, while not fabricated, is inherently unreliable and may have given Margaret a misleading impression of expected value-add. Arguments that Denton acted appropriately: Margaret explicitly sought professional management and stated she did not want to manage her own portfolio. The wrap fee was within the competitive range for similar programs, and Denton documented the fee disclosure thoroughly. Margaret signed informed consent documents. The managed portfolio did slightly outperform the simple benchmark, and the custom bond ladder and tactical allocation represent genuinely different services from a passive index approach. Under the cost component of the care obligation, an advisor must consider cost as one factor among many - not the only factor. Margaret's preference for hands-off management, the complexity of building an income strategy, and the ongoing rebalancing and monitoring services all have value that a pure expense-ratio comparison ignores. A one-time financial plan would not provide ongoing portfolio management. Additionally, the \$180,000 cumulative fee calculation assumes 25 years at a flat portfolio value with no adjustment, which is somewhat misleading.

### Why Borderline

This case sits in the gray zone because the advisor provided a legitimate service that the client explicitly requested, charged a fee within industry norms, documented the costs, and achieved marginally competitive performance. However, the sheer magnitude of the cost increase relative to what the client previously paid - and relative to readily available low-cost alternatives that could have substantially met her needs - raises genuine questions about whether the recommendation primarily served the advisor's economic interest. Reasonable regulators could disagree about whether 'competitive within the wrap-fee universe' satisfies the obligation to consider reasonably available alternatives, especially when the entire wrap-fee universe may be unnecessary for this client's relatively straightforward needs.

### Borderline Factors

- Client explicitly requested professional management and documented preference for hands-off approach
- Fee is within competitive range for wrap accounts but dramatically higher than low-cost alternatives that could meet the same goals
- Cumulative fee impact over retirement (\$180,000+) is substantial relative to portfolio size
- Managed portfolio slightly outperformed simple benchmark in the short observation period
- Full fee disclosure was provided and signed, but client claims she didn't grasp long-term cumulative impact
- Client's income needs could arguably be met with a one-time financial plan and low-cost implementation rather than ongoing wrap fees
- Backtested performance data used in the recommendation is inherently unreliable but was not fabricated

### Likely Outcome

A regulator would likely scrutinize this case closely but may not find a clear-cut violation. The documented client preference, competitive fee range, signed disclosures, and marginal outperformance provide Denton



with meaningful defenses. However, if the regulator applies a robust 'reasonably available alternatives' analysis under Regulation Best Interest's cost component, Denton could face liability for failing to consider or present lower-cost options that would have substantially met Margaret's stated objectives. The most probable outcome is a negotiated settlement with modest sanctions, possibly requiring enhanced fee disclosure practices, rather than a finding of outright violation. The case could go either way depending on how aggressively the regulator interprets the duty to consider cost relative to lower-cost alternatives.

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## Borderline Scenario 60

Topic: *illiquid\_real\_estate\_investment* | Standard: *Regulation Best Interest (Reg BI) Care Obligation under Rule 15l-1(a)(2)(ii)(B), req*

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### Fact Pattern

David and Karen Ohara, both 52, are dual-income professionals - David is an orthodontist earning \$310,000 annually and Karen is a pharmaceutical sales director earning \$185,000. Their combined household income is \$495,000. They have approximately \$2.1 million in liquid investments (brokerage and retirement accounts), own their home valued at \$850,000 with \$220,000 remaining on the mortgage, and have \$95,000 in cash savings. They have two children, ages 19 and 16, with approximately \$180,000 in college expenses remaining. Their financial advisor, Renee Castillo, recommended they invest \$250,000 - approximately 12% of their liquid portfolio - in a non-traded real estate investment trust focused on industrial warehouse properties. The investment had a minimum 5-year hold period, no secondary market, limited quarterly redemption provisions capped at 2% of outstanding shares per quarter (with the sponsor reserving the right to suspend redemptions entirely), and paid a projected 6.5% annual distribution funded partly from cash flow and partly from offering proceeds during the ramp-up period. The total upfront load was 8.5%, meaning approximately \$21,250 of the Oharas' investment went to commissions, dealer fees, and offering costs. Castillo's rationale, documented in her notes, was that the Oharas had expressed frustration with stock market volatility and wanted 'something tangible' with steady income. She noted they had no near-term liquidity needs beyond college costs, which were separately funded through 529 plans (\$140,000 balance) and current income. She also documented that David had mentioned wanting to invest in real estate but lacked the time to manage rental properties. The Oharas' investment policy statement listed a moderate risk tolerance with a 15-year time horizon to retirement. Eighteen months after the investment, the REIT's sponsor suspended quarterly redemptions due to a surge in redemption requests amid rising interest rates. The Oharas' property values in the fund were marked down 11%, and distributions were cut from 6.5% to 3.8%. The Oharas filed a complaint, noting that they had not fully understood the redemption suspension risk and arguing that Castillo should have recommended publicly traded REIT ETFs that offered daily liquidity, similar real estate exposure, lower fees, and no lockup period. Castillo responded that the Oharas were sophisticated investors who signed a subscription agreement containing detailed risk disclosures about illiquidity and redemption suspension, that 12% allocation was within concentration guidelines, and that non-traded REITs offer lower volatility than publicly traded REITs precisely because they are not subject to daily market pricing - which was the feature the clients were seeking when they expressed frustration with market volatility.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Castillo violated her obligations: The 8.5% upfront load is extremely high and immediately destroys value - the Oharas would need years of distributions just to recoup the sales charges. Publicly traded REIT ETFs offer exposure to the same underlying asset class (including industrial/warehouse properties) at expense ratios under 0.15% with full daily liquidity. The non-traded structure's 'lower volatility' is arguably an illusion created by infrequent appraisal-based valuations rather than a genuine reduction in risk - the underlying properties still fluctuate in value. The redemption suspension risk materialized relatively quickly, demonstrating that the illiquidity was a real and foreseeable risk, not a theoretical one. Under the obligation to consider reasonably available alternatives, a publicly traded REIT ETF achieves the same diversification goal at a fraction of the cost without the liquidity trap. The fact that distributions were partially funded from offering proceeds (return of capital) rather than entirely from cash flow is a red flag that the stated yield was somewhat misleading. Arguments that Castillo acted appropriately: The Oharas are high-income, high-net-worth investors with a \$2.1 million liquid portfolio, a 15-year investment horizon, and no near-term liquidity needs. A \$250,000 allocation (12%) is within commonly accepted concentration limits for alternative investments. The clients specifically expressed a desire for real estate exposure, income generation, and reduced exposure to stock market volatility - all of which the non-traded REIT was designed to provide. Non-traded REITs do behave differently from publicly traded REITs; their NAV-based pricing genuinely provides a smoother return profile, which is what the clients wanted. David Ohara specifically mentioned wanting real estate investment without management burden. The subscription agreement contained extensive risk disclosures about illiquidity and potential redemption suspensions, and both clients signed it. The subsequent market downturn and redemption suspension, while unfortunate, do not retroactively make the recommendation unsuitable at the time it was made. Many sophisticated investors intentionally accept illiquidity premiums in exchange for higher yields and reduced correlation to public markets.

### Why Borderline

This scenario is genuinely ambiguous because the clients' profile - high income, substantial liquid assets, long time horizon, stated desire for real estate exposure and reduced volatility - makes them plausible candidates for a non-traded REIT allocation. The 12% concentration is not extreme. However, the 8.5% upfront load creates an enormous cost headwind, the existence of dramatically cheaper and more liquid publicly traded REIT alternatives raises serious questions about whether the non-traded structure served the clients' interests or primarily the advisor's commission income, and the 'reduced volatility' benefit is debatable since it may reflect appraisal smoothing rather than genuine risk reduction. The redemption suspension crystallized the illiquidity risk but reasonable people could disagree about whether that risk was adequately disclosed and appropriate given the clients' overall financial picture.

### Borderline Factors

- Clients are high-income, high-net-worth with long time horizon and no near-term liquidity needs - suitable profile for some illiquid investments
- 12% allocation to a single illiquid product is within commonly cited concentration guidelines but represents a meaningful portion of liquid wealth
- 8.5% upfront load is extremely high compared to publicly traded REIT ETFs offering similar asset class exposure at under 0.15% expense ratio
- Clients explicitly expressed desire for real estate exposure, income, and reduced stock market volatility - aligning with the product's stated features

- The 'reduced volatility' benefit of non-traded REITs is contested - it may reflect appraisal-based pricing smoothing rather than genuine risk reduction
- Distributions partially funded from offering proceeds rather than cash flow raise questions about yield sustainability
- Detailed risk disclosures in subscription agreement were signed by both clients, but complaint alleges insufficient understanding of redemption suspension risk
- Publicly traded REIT ETFs represent a reasonably available alternative with dramatically lower costs and full liquidity
- Advisor earned approximately \$21,250 in sales charges, creating significant conflict of interest

### Likely Outcome

This case is a close call. A regulator would likely focus heavily on the cost disparity between the non-traded REIT and publicly traded REIT alternatives, and on whether the advisor's documented rationale adequately explains why the non-traded structure was preferable for these clients beyond the obvious commission incentive. The advisor has meaningful defenses in the clients' financial profile, stated preferences, and signed disclosures. However, recent regulatory trends have shown increasing skepticism toward non-traded REIT recommendations when lower-cost, more liquid alternatives exist. The most likely outcome is that a regulator would find a borderline violation, primarily based on the failure to adequately justify the cost differential and consider the publicly traded REIT alternative, but would impose moderate rather than severe sanctions - potentially requiring restitution of the excess fees over what a comparable publicly traded REIT would have cost, without finding fraud or willful misconduct.

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## Borderline Scenario 61

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) including customer-specific, reasonable-basis, and quantitative*

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### Fact Pattern

Marcus Delgado, age 58, is a semi-retired electrical engineer who transitioned to part-time consulting work in 2021. He has a brokerage account with \$620,000 in assets, representing roughly 40% of his total investable wealth. His other assets include a \$480,000 IRA and \$320,000 in a money market account. On his account opening documents in 2019, Delgado listed his investment objective as 'growth' with a 'moderate' risk tolerance and a time horizon of '5-10 years.' He told his advisor, Rebecca Chen, that he wanted to 'keep up with inflation and maybe beat the market a little' before he fully retired at 63. In March 2023, the technology sector had pulled back approximately 18% from recent highs. Delgado called Chen and said he believed the correction was overdone and wanted to 'take advantage of the dip.' Chen suggested a 2x leveraged technology ETF, which would amplify daily returns of a major tech index by a factor of two. She recommended allocating \$75,000 - roughly 12% of the brokerage account - to the position. Chen documented in her notes that she explained the product's daily reset mechanism and the potential for 'volatility drag' over time, noting that the product was designed for short-term tactical use. Delgado signed an options and leveraged products acknowledgment form. Chen set a 90-day review date and placed a stop-loss order at a 15% decline from purchase price. Over the next four months, the tech sector rallied 22%, and the leveraged ETF returned approximately 41%. Delgado's \$75,000 grew to about \$105,800. At the 90-day review in June, Chen recommended taking profits and rotating into a standard technology index fund. Delgado agreed and the position was liquidated. Subsequently, a compliance review

flagged the leveraged ETF purchase because Delgado was over 55 with a 'moderate' risk tolerance. Delgado himself filed no complaint and expressed satisfaction with the outcome. The compliance department referred the matter for further review, questioning whether the recommendation was appropriate given the client's age and stated risk profile.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: Leveraged ETFs are widely recognized as complex, high-risk instruments that carry unique risks including volatility decay, compounding risk, and the potential for outsized losses. Delgado's stated risk tolerance was 'moderate,' and at age 58, he was within five years of full retirement. A 2x leveraged product arguably exceeds the boundaries of a moderate risk tolerance regardless of position size. The fact that the investment happened to perform well does not retroactively make an unsuitable recommendation suitable - suitability is assessed at the time of the recommendation, not based on outcomes. Under FINRA Rule 2111 and its interpretive guidance, leveraged ETFs have been specifically flagged as products that may be unsuitable for buy-and-hold investors and conservative or moderate-risk clients. FINRA Regulatory Notice 09-31 warned that leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session.' Although the hold was about 90 days (not a single session), the product still carries substantial daily-reset risk. Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), the advisor must consider reasonably available alternatives - a standard tech ETF or even a concentrated tech mutual fund would have provided upside exposure without the amplified risk. Arguments against a violation: The allocation was modest at 12% of the brokerage account and roughly 5.3% of total investable wealth. Delgado had a 'growth' objective, and tactical allocations to higher-risk instruments can be consistent with growth mandates. The advisor took meaningful risk-management steps: she documented the risks explained, obtained an acknowledgment form, set a 90-day review date, and placed a stop-loss order at 15%. She treated the position as a short-term tactical trade, which aligns with how leveraged ETFs are designed to be used. Delgado himself initiated the conversation about capitalizing on the tech pullback, and the advisor channeled that interest into a structured, monitored position rather than allowing the client to take on even more risk through individual speculative stocks or options. Delgado was a semi-retired engineer - not unsophisticated - and had experience with equity markets. Furthermore, the advisor affirmatively recommended exiting the position at the review date, demonstrating ongoing monitoring. The client's moderate risk tolerance does not necessarily preclude any exposure to higher-risk instruments if the overall portfolio remains within moderate bounds.

### Why Borderline

This case sits in a genuine gray zone because the product itself (a 2x leveraged ETF) is inherently aggressive and has been specifically cautioned against by regulators for retail investors, yet the advisor implemented it in a disciplined manner - small position size, documented risk disclosures, stop-loss protection, a defined exit timeline, and proactive profit-taking. The client's stated 'moderate' risk tolerance creates tension with any leveraged product, but the portfolio-level impact was modest. The client was knowledgeable, initiated the tactical idea, and suffered no harm. Reasonable professionals could disagree about whether the moderate risk tolerance designation categorically prohibits any leveraged ETF exposure or whether it permits small tactical allocations within a broader moderate portfolio.

### Borderline Factors

- Client's stated 'moderate' risk tolerance versus the inherently aggressive nature of 2x leveraged ETFs
- Small allocation (12% of account, ~5% of total wealth) partially mitigates product-level risk
- Advisor documented risk disclosures and obtained signed acknowledgment of leveraged product risks
- Proactive risk management via stop-loss order and 90-day mandatory review
- Client was semi-retired and approaching full retirement at 63, raising age-appropriateness concerns
- Client was a sophisticated professional who initiated the tactical idea himself
- No customer complaint and profitable outcome, though outcomes do not determine suitability at time of recommendation
  - Advisor recommended exiting at review date rather than holding indefinitely, consistent with proper leveraged ETF usage
  - Regulatory guidance has specifically cautioned against leveraged ETFs for retail clients but has not categorically prohibited them

### Likely Outcome

A regulator would likely issue a cautionary finding or a letter of education rather than a formal violation. The position size, risk mitigation steps, documentation, client sophistication, and short holding period all weigh in the advisor's favor. However, the advisor may receive a deficiency notice requiring enhanced documentation for any future leveraged ETF recommendations to moderate-risk clients, and the firm may implement additional supervisory protocols. If the compliance department applies a strict bright-line test that leveraged ETFs are per se unsuitable for moderate-risk investors over 55, a minor violation could be found, but the mitigating factors would likely reduce any sanction to a supervisory warning rather than a fine or suspension.

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## Borderline Scenario 62

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability)* - customer-specific suitability component requiring recom

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### Fact Pattern

Patricia Yamamoto, age 71, is a retired schoolteacher living on a fixed income consisting of Social Security (\$2,400/month) and a small state pension (\$1,800/month). In January 2021, she inherited \$540,000 from her late sister and deposited it into an advisory account with David Kessler, a financial advisor at a regional wealth management firm. During their initial meeting, Yamamoto stated she needed to generate income to supplement her monthly cash flow and wanted to keep the money 'safe and steady.' She indicated she might need to draw \$2,000-\$3,000 per month from the portfolio starting in about two years, once she began helping fund a grandchild's private school tuition. On her investment profile questionnaire, she selected 'conservative' for risk tolerance, 'income' as the primary objective, and '3-5 years' as her time horizon. Kessler constructed a portfolio heavily weighted toward fixed income, allocating 85% (\$459,000) to bonds and 15% (\$81,000) to a dividend-focused equity fund. Within the bond allocation, however, Kessler placed approximately \$310,000 (67.5% of the bond sleeve, or 57.4% of total assets) into long-duration bonds and bond funds with effective durations ranging from 12 to 22 years, including a 30-year Treasury bond fund, an investment-grade corporate bond fund with a 15-year average duration, and individual municipal bonds maturing in 2045-2050. The remaining \$149,000 in bonds was allocated to short-to-intermediate duration

investment-grade bond funds (durations of 2-5 years). Kessler's rationale, documented in his planning notes, was that longer-duration bonds offered significantly higher yields - at the time, 30-year Treasuries yielded approximately 1.85% versus 0.12% for 2-year Treasuries - and that the income from these holdings would better serve Yamamoto's stated income needs. He noted that Yamamoto would primarily draw from the shorter-duration sleeve and dividend income, preserving the long-duration bonds as a 'held-to-maturity income engine.' By December 2022, after the Federal Reserve raised interest rates aggressively, the long-duration bond holdings had lost approximately 28-33% of their market value. Yamamoto's total portfolio had declined from \$540,000 to approximately \$428,000, a loss of roughly \$112,000. She began her planned monthly withdrawals of \$2,500 in early 2023 but became alarmed at the account statements showing significant unrealized losses. She complained that she had asked for safe investments and had not understood she could lose over \$100,000 in bonds. Kessler maintained that the bonds would recover if held to maturity, that coupon payments continued uninterrupted, and that the short-duration sleeve plus dividends could fund withdrawals for at least three to four years without touching the depreciated long-duration bonds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: The client was a 71-year-old retired schoolteacher with a conservative risk profile and a stated 3-5 year time horizon who explicitly asked for 'safe and steady' investments. Placing nearly 58% of her total portfolio in bonds with durations of 12-22 years exposed her to enormous interest rate risk that is fundamentally inconsistent with a conservative risk profile and relatively short time horizon. Duration is a measure of sensitivity to interest rate changes - a bond with a 20-year duration would be expected to lose approximately 20% for every 1% increase in interest rates. The mismatch between the client's time horizon (3-5 years) and the effective duration of the majority of her bond holdings (12-22 years) represents a classic duration mismatch. Under the Care Obligation of Regulation Best Interest (17 CFR 240.15l-1), the advisor must have a reasonable basis for believing the recommendation is in the customer's best interest given her investment profile, including risk tolerance and time horizon. Under FINRA Rule 2111, customer-specific suitability requires that a recommendation be suitable for the particular customer based on that customer's investment profile. A conservative 71-year-old with income needs in 2-3 years arguably should not have the majority of her portfolio in securities that carry this level of interest rate sensitivity. The fact that yields were historically low in 2021 does not justify 'reaching for yield' by dramatically extending duration. FINRA has brought enforcement actions in analogous cases where advisors concentrated elderly, conservative clients in long-duration bonds that suffered severe losses when rates rose. Arguments against a violation: All of the bonds purchased were investment-grade, which is consistent with a conservative mandate. The advisor was not speculating in high-yield or junk bonds. The higher income from longer-duration bonds directly served the client's primary stated objective - income generation. The advisor created a deliberate structure with a short-duration liquidity sleeve specifically designed to fund the client's near-term withdrawals without having to sell the long-duration bonds at a loss. If the bonds are held to maturity, the client will receive full par value plus all coupon payments, meaning the losses are unrealized and will reverse over time. The advisor documented a coherent 'bucketing' strategy: short-duration bonds and dividends for near-term needs, long-duration bonds for longer-term income generation. Furthermore, in January 2021, consensus economic forecasts did not predict the magnitude and speed of the rate increases that occurred in 2022-2023. The advisor's yield curve positioning, while



aggressive from a duration standpoint, was within the range of strategies employed by professional bond managers seeking to maximize income for clients. The client's complaint is partly driven by mark-to-market losses that may never be realized if the bonds are held. Additionally, the 3-5 year time horizon on the questionnaire is ambiguous - it may reflect when withdrawals begin, not when the entire portfolio must be liquidated.

### Why Borderline

This is genuinely borderline because the advisor made a defensible strategic choice (longer duration for higher income) that directly served the client's stated primary objective (income), and created a structural buffer (short-duration sleeve) to protect against exactly the risk that materialized. All securities were investment-grade and appropriate for a conservative investor in terms of credit quality. However, the sheer magnitude of duration risk in the portfolio is difficult to reconcile with a 'conservative' label, and the client's understanding of how 'safe' bonds can experience significant price volatility is questionable. The tension between maximizing income (which the client wanted) and minimizing price volatility (which 'conservative' and 'safe and steady' imply) creates a genuine dilemma where the advisor cannot fully satisfy both objectives in a low-rate environment.

### Borderline Factors

- Client explicitly stated she wanted 'safe and steady' investments, yet long-duration bonds carry significant interest rate risk even though they are investment-grade
- Advisor's strategy directly served the client's stated primary objective of income generation in a historically low-yield environment
- Duration of 12-22 years dramatically exceeds the client's stated 3-5 year time horizon, creating a classical asset-liability mismatch
- Advisor created a bucketing strategy with a short-duration liquidity sleeve designed to fund withdrawals for 3-4 years without selling depreciated long-duration holdings
- Losses are unrealized and would reverse if bonds are held to maturity, but client's age (71) and withdrawal needs create pressure to potentially liquidate
- All bonds were investment-grade - the risk was interest rate risk, not credit risk, which complicates the 'unsuitable' argument
- The magnitude of rate increases in 2022 was historically unusual and not widely predicted at the time of the recommendation
- Client's understanding of the distinction between credit risk and interest rate risk in bonds is unclear
- The 57.4% concentration in long-duration bonds is arguably excessive even within a legitimate income strategy

### Likely Outcome

A regulator would likely find a violation, but it would be considered a moderate rather than egregious one. The core issue is that placing 57% of a 71-year-old conservative client's portfolio in bonds with durations of 12-22 years creates interest rate risk that is inconsistent with the client's stated risk tolerance and time horizon, regardless of the income rationale. However, the documented bucketing strategy, the investment-grade credit quality, and the coherent income-focused rationale would serve as significant mitigating factors. The likely outcome would be a finding of a suitability violation with mitigated sanctions - perhaps a modest fine and a requirement for enhanced supervision - rather than severe penalties. If the advisor can demonstrate through contemporaneous documentation that the client understood duration risk

and the held-to-maturity strategy, the outcome might shift further toward a cautionary finding rather than a formal violation. Restitution would be complicated by the fact that the losses may be recovered if the bonds are held.

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### Borderline Scenario 63

Topic: *excessive\_load\_funds* | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for believin

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#### Fact Pattern

Margaret Donovan, age 58, is a high school principal earning \$112,000 annually with a net worth of approximately \$780,000, including her home equity. In March 2022, she met with financial advisor Kevin Breslin after inheriting \$185,000 from her late aunt. Margaret told Kevin she wanted to invest the inheritance for retirement in about seven years, describing herself as 'moderately conservative' and noting she already had \$210,000 in her employer's 403(b) plan invested in low-cost index funds. She said she wanted 'professional guidance' and 'something I don't have to watch every day.' Kevin recommended allocating the \$185,000 across four actively managed equity and balanced mutual funds, all from the same fund family, each carrying a 5.25% front-end sales load. The total upfront sales charges came to approximately \$9,713. Kevin explained the load structure and told Margaret that the funds had historically outperformed their benchmarks over 10-year periods by an average of 0.8% annually after fees, and that the fund family offered breakpoint pricing - Margaret's \$185,000 investment qualified for a reduced load at the \$100,000 breakpoint tier, bringing the effective average load down to 4.50% (approximately \$8,325 total). Kevin did not discuss no-load alternatives, lower-cost share classes, or ETFs that tracked similar strategies. The four funds had expense ratios ranging from 0.72% to 1.15%, compared to comparable index funds or ETFs with expense ratios of 0.04% to 0.20%. Over the next 18 months, three of the four funds modestly outperformed their benchmarks by 0.3% to 0.6% annually, while one underperformed by 1.1%. Margaret's overall portfolio grew by 11.2% during this period. Margaret filed a complaint after a colleague told her she had 'overpaid in fees' and could have invested in no-load funds. Kevin's firm did have no-load share classes and ETFs available on its platform, and Kevin received a higher commission payout - approximately \$5,800 - on the load funds compared to the roughly \$900 in trailing commissions he would have earned in the first year on no-load alternatives.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments supporting a violation: Kevin recommended funds carrying a 4.50% effective front-end load when comparable no-load and low-cost alternatives were available on his own firm's platform, resulting in approximately \$8,325 in upfront charges that immediately reduced Margaret's investable principal. The ongoing expense ratio differential - roughly 0.60% to 0.95% higher than index alternatives - compounds over her seven-year time horizon, potentially costing an additional \$7,000-\$12,000 in cumulative drag. Kevin's significantly higher compensation on the load funds (\$5,800 vs. \$900) creates an inference that the recommendation was influenced by his own financial interest rather than Margaret's. He failed to present or discuss lower-cost alternatives, depriving Margaret of the ability to make an informed comparison. For a moderately conservative investor with a defined seven-year horizon, every basis point of cost reduction

matters, and academic literature broadly shows that the majority of actively managed funds fail to consistently outperform their benchmarks net of fees over extended periods. Arguments against a violation: The funds were suitable in terms of risk profile, asset allocation, and investment objective - they matched Margaret's moderate-conservative orientation and her desire for a professionally managed, hands-off approach. Kevin applied appropriate breakpoint pricing, reducing the load from 5.25% to 4.50%. The funds had a documented track record of benchmark outperformance over 10-year periods, and three of the four continued to outperform during the holding period. Margaret's portfolio appreciated 11.2% in 18 months. Margaret explicitly requested professional guidance and a managed approach, which arguably justifies some cost premium over passive index investing. Load funds can be appropriate where the investor values active management and the advisor provides ongoing service. Kevin disclosed the load structure. The fact that lower-cost alternatives exist does not automatically render a more expensive but suitable recommendation a violation - particularly where the investor expressed preferences aligned with active management characteristics.

### Why Borderline

This case sits in the gray zone because the funds were fundamentally suitable for Margaret's risk tolerance, time horizon, and stated preferences for professional management - yet the advisor failed to discuss materially cheaper alternatives available on his own platform, and his compensation was substantially higher on the recommended products. The cost differential is significant but not extreme, and the funds actually performed reasonably well. The core tension is whether an advisor's obligation extends to recommending the lowest-cost suitable option or whether recommending a suitable (but more expensive) option with some justifiable rationale is sufficient.

### Borderline Factors

- Fund recommendations matched client's risk profile, time horizon, and expressed preference for professionally managed investments
- 4.50% effective load after breakpoints is within industry norms but substantially impacts a 7-year investment horizon
- Advisor earned approximately 6x more in compensation on recommended funds vs. available lower-cost alternatives
- No-load share classes and low-cost ETFs with similar strategies were available on the same platform but never discussed
- Three of four funds modestly outperformed benchmarks, lending some credibility to the active management thesis
- Client's existing 403(b) was already in low-cost index funds, suggesting she might have chosen lower-cost options if presented
- Advisor disclosed the load charges but did not present comparative cost information
- The cumulative cost difference over 7 years (loads plus expense ratio differential) could total \$15,000-\$20,000

### Likely Outcome

A regulator would likely find this a marginal violation, particularly under a best interest framework, reasoning that the failure to consider or present reasonably available lower-cost alternatives - especially those on the advisor's own platform - combined with the significant compensation differential, suggests the recommendation was not in Margaret's best interest even though it was broadly suitable. However, the

sanction would likely be modest - perhaps a fine and required restitution of the load differential - given that the underlying investment strategy was appropriate, breakpoints were correctly applied, and the portfolio performed adequately. Under an older suitability-only framework, this case would more likely result in no finding of violation.

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## Borderline Scenario 64

Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and q

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### Fact Pattern

Dr. Raymond Xu, age 52, is an orthopedic surgeon earning approximately \$620,000 annually with a liquid net worth of \$2.4 million and total net worth of \$4.8 million including real estate. In September 2022, his financial advisor, Patricia Calloway, recommended he invest \$300,000 - roughly 12.5% of his liquid portfolio - in a 5-year market-linked structured note issued by a major U.S. bank. The note offered 150% upside participation in the S&P 500's returns, capped at a maximum gain of 47% over the 5-year term, with a 15% downside buffer (meaning the investor absorbs no losses unless the S&P 500 declines more than 15% from its initial level, after which the investor bears losses point-for-point). The note paid no coupon. Patricia discussed the product's features with Raymond over two meetings totaling about 90 minutes, explaining the upside cap, the downside buffer, the credit risk of the issuing bank, and the general illiquidity of structured notes on the secondary market. Raymond signed a product-specific disclosure document. Raymond's investment profile, completed six months earlier, listed his risk tolerance as 'moderate to aggressive,' his time horizon as '10+ years,' and his investment objective as 'growth.' His existing portfolio consisted of \$1.1 million in individual equities (including concentrated positions in medical device companies), \$650,000 in bond funds, \$350,000 in cash equivalents, and the remaining balance in diversified mutual funds. He had no prior experience with structured products. Raymond told Patricia he was 'interested in something that gives me equity exposure with some protection' because he was concerned about a potential recession. Eighteen months into the holding period, Raymond needed to access \$500,000 for an unexpected real estate opportunity and attempted to liquidate the structured note. The secondary market bid was approximately \$261,000 - a 13% discount to his original investment - partly due to rising interest rates reducing the note's market value. Raymond complained that Patricia never adequately explained the illiquidity risk and that the product was inappropriate given his overall portfolio, which he felt already had sufficient equity exposure through his individual stock holdings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Raymond had no prior experience with structured products, which are complex instruments with embedded derivatives, credit risk, and significant secondary market illiquidity. The 12.5% allocation to a single illiquid structured note is a meaningful position in a portfolio where the client already had substantial equity exposure (\$1.1 million in individual stocks plus equity mutual fund holdings). The 47% upside cap over five years translates to roughly 8% annualized maximum return - not dramatically different from what a diversified equity portfolio might achieve - while introducing credit risk, illiquidity, and complexity. Raymond's existing equity allocation arguably already satisfied his growth

objective, making the structured note's incremental benefit questionable. Although Patricia discussed illiquidity generally, the complaint alleges she did not adequately convey the magnitude of potential secondary market discounts, as evidenced by Raymond's surprise at the 13% markdown. For a client who maintained \$350,000 in cash, suggesting he might need liquidity access was foreseeable. Arguments against a violation: Raymond is a high-income, high-net-worth investor with a moderate-to-aggressive risk tolerance and a 10+ year time horizon - precisely the profile for which structured notes with downside buffers can serve a legitimate portfolio function. The \$300,000 investment represented only 12.5% of his liquid portfolio and 6.25% of total net worth - a reasonable allocation that did not create undue concentration. Raymond specifically expressed interest in equity exposure with downside protection during a period of recession concerns, and the 15% buffer directly addressed that stated need. Patricia conducted two meetings totaling 90 minutes to explain the product, and Raymond signed a product-specific disclosure document. The structured note complemented rather than duplicated his existing holdings: his stock positions were concentrated in medical device companies, while the note provided broad S&P 500 exposure with a protective buffer - effectively diversifying his equity risk. Raymond's liquidity need arose from an unexpected and unforeseeable real estate opportunity 18 months into a 5-year product; the product was designed to be held to maturity, and the secondary market discount was driven by macroeconomic interest rate changes, not product failure. At \$350,000 in existing cash equivalents plus \$650,000 in bond funds, Raymond had over \$1 million in liquid, lower-risk assets available before needing to touch the structured note.

### Why Borderline

This case is genuinely ambiguous because the structured note was a reasonable fit for Raymond's stated objective (equity growth with downside protection), risk tolerance, time horizon, and wealth level - yet the product's complexity, his lack of experience with structured products, and the foreseeable (even if unquantified) illiquidity risk create legitimate questions about whether the recommendation met the advisor's obligations. The complaint crystallized only because of an unforeseeable liquidity event, not because of any inherent product failure or loss, which complicates the analysis significantly. The question of whether 90 minutes of discussion and a signed disclosure adequately conveyed the nuances of structured note risk to a first-time buyer is genuinely debatable.

### Borderline Factors

- Client had no prior structured product experience, but was a high-income sophisticated professional with a moderate-to-aggressive risk profile
- 12.5% of liquid assets in a single illiquid product is meaningful but not extreme for a \$2.4M liquid portfolio
- The product directly addressed the client's explicitly stated desire for equity exposure with downside protection
- Advisor conducted 90 minutes of explanation across two meetings and obtained signed product disclosures
- Client already held \$1M+ in cash and bonds providing substantial liquidity cushion
- The liquidity need that triggered the complaint was unexpected and unforeseeable at the time of recommendation
- Secondary market discount of 13% was driven by interest rate movements, not credit deterioration or product defect
- The 47% upside cap over 5 years limits potential returns in a way that may not justify the complexity and illiquidity trade-offs

- Client's existing portfolio already had significant equity exposure, raising questions about the marginal utility of the structured note

### Likely Outcome

A regulator would most likely decline to find a violation, though the case would receive serious scrutiny. The structured note aligned with the client's stated investment objective, risk tolerance, and time horizon; the allocation was proportionate to his wealth; and the advisor provided meaningful disclosure through extended discussions and signed documentation. The illiquidity complaint, while sympathetic, arose from an unforeseeable circumstance and the client had substantial alternative liquidity sources. However, a regulator might issue cautionary guidance about ensuring first-time structured product buyers receive enhanced written disclosure about secondary market liquidity risks, potentially including illustrative scenarios of markdowns under various rate environments. If the regulator found that the 90-minute explanation inadequately covered illiquidity or that the disclosure documents were boilerplate, the outcome could shift toward a technical violation focused on disclosure deficiency rather than fundamental unsuitability.

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## Borderline Scenario 65

Topic: *crypto\_assets\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment s*

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### Fact Pattern

Margaret Hollis, age 58, is a recently divorced public school administrator earning \$82,000 annually. Following her divorce settlement in March 2023, she received \$410,000 in liquid assets, which represented substantially all of her non-retirement savings. She had a 403(b) retirement account worth approximately \$195,000. Margaret's new account paperwork listed her investment objective as 'growth with moderate risk,' her time horizon as '7-10 years,' and her investment experience as 'limited - mostly target-date retirement funds.' During their initial meeting, her financial advisor, Kevin Pruitt, discussed various asset classes and mentioned that a small allocation to digital assets could provide diversification benefits and potential upside given her growth objective. Margaret expressed curiosity about cryptocurrency, mentioning that her adult son had made money in Bitcoin and that she 'didn't want to miss out.' Kevin recommended she allocate \$41,000 - exactly 10% of her liquid settlement assets - to a professionally managed cryptocurrency fund that held a basket of the top 15 digital assets by market capitalization. The fund charged a 2.5% annual management fee and had a 90-day redemption lock-up period. Kevin documented that he discussed the volatility of crypto assets, including the possibility of losing the entire investment, and Margaret signed a supplemental risk disclosure acknowledging she understood digital assets were speculative. Over the following nine months, the crypto fund lost approximately 32% of its value, reducing Margaret's \$41,000 investment to roughly \$27,900. Margaret filed a complaint alleging the investment was inappropriate for someone in her position - approaching retirement, recently divorced, with limited investment experience. Kevin's firm countered that 10% was a modest allocation consistent with modern portfolio theory diversification, that Margaret affirmatively expressed interest, and that the advisor properly disclosed all risks. Margaret's remaining \$369,000 was invested in a conservative balanced portfolio of index funds and investment-grade bonds, which gained approximately 6% during the same period.

### Question



Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kevin violated applicable standards: Margaret was a 58-year-old woman with limited investment experience whose liquid assets came entirely from a divorce settlement - funds that would be critical for her retirement security in roughly 7-10 years. She had no prior experience with digital assets or speculative investments. Her stated risk tolerance was 'moderate,' and cryptocurrency - especially a basket fund holding 15 different tokens - represents a highly volatile and speculative asset class that may exceed the risk parameters of a moderate-risk investor. The 2.5% management fee is significantly higher than fees on comparable traditional diversified funds. The 90-day redemption lock-up, while short, introduces liquidity constraints for an investor whose settlement funds represent her primary non-retirement financial cushion. Her comment about 'not wanting to miss out' on cryptocurrency gains arguably reflects FOMO-driven thinking that an advisor should temper rather than accommodate. The 32% loss, while not dispositive of unsuitability at the time of recommendation, illustrates the realized risk of the asset class. Under FINRA Rule 2111 and Regulation Best Interest, the advisor must ensure the recommendation is suitable not just in isolation but in the context of the customer's overall financial situation. Arguments that Kevin acted appropriately: A 10% allocation to a speculative asset class is widely considered within acceptable portfolio construction parameters, even for moderate-risk investors, and numerous institutional advisors and robo-advisors include crypto allocations of 5-15% in growth-oriented portfolios. Margaret had a 7-10 year time horizon - not immediate income needs - giving the position time to recover from volatility. The remaining 90% of her portfolio was conservatively invested, demonstrating that Kevin took her overall risk profile seriously. Margaret affirmatively expressed interest in digital assets and signed a supplemental risk disclosure. Kevin chose a diversified crypto fund (top 15 by market cap) rather than a single speculative token, which represents a more prudent approach within the asset class. The advisor documented the risk discussion and the client's informed consent. The loss, while significant in percentage terms, represented roughly 3.2% of her total liquid assets - a manageable drawdown in the context of her broader portfolio, which gained value during the same period.

### Why Borderline

This scenario sits in a genuine gray zone because the 10% allocation is within the range that many credentialed financial planners consider acceptable for growth-oriented portfolios, and the advisor took several mitigating steps (diversified crypto fund, documented risk disclosures, conservative remainder portfolio). However, the client's profile - approaching retirement, limited experience, divorce settlement as primary savings - creates legitimate concern about whether any crypto exposure was appropriate. Reasonable practitioners and regulators could disagree on whether the advisor appropriately responded to client-expressed interest or improperly facilitated a speculative position for a vulnerable investor.

### Borderline Factors

- 10% allocation falls within commonly cited acceptable ranges for alternative/speculative assets but is directed entirely to a single volatile asset class
- Client affirmatively expressed interest in crypto, but her motivation ('not wanting to miss out') suggests emotional rather than informed decision-making
- Risk tolerance marked as 'moderate' - crypto may or may not fall outside moderate risk depending on allocation size and diversification
- Divorce settlement funds represent substantially all non-retirement savings, heightening the stakes of

any losses

- Advisor documented risk disclosures and obtained signed acknowledgment, but documentation alone does not establish suitability
- 7-10 year time horizon provides some runway for volatility but client is approaching typical retirement age
- The remaining 90% of the portfolio was conservatively managed, demonstrating portfolio-level risk management
- 2.5% management fee is high relative to traditional funds but not unusual for managed crypto products

### Likely Outcome

A regulator would likely conduct a thorough review but may not pursue formal action. The combination of documented risk disclosures, a modest allocation percentage, client-initiated interest, and conservative management of the remaining portfolio provides Kevin with meaningful defenses. However, a regulator might issue a cautionary letter or require enhanced supervision, particularly focusing on whether the 2.5% fee structure and the speculative nature of the basket fund truly served Margaret's moderate-risk, pre-retirement profile. If additional evidence emerged that Kevin routinely recommended crypto allocations to clients with similar profiles (suggesting a pattern rather than individualized advice), the likelihood of enforcement would increase. In arbitration, the outcome would likely depend heavily on how the panel weighs Margaret's expressed interest against her overall vulnerability profile.

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## Borderline Scenario 66

*Topic: complex\_products\_unsophisticated\_investor | Standard: FINRA Rule 2111 (Suitability) and its requirements for reasonable-ba*

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### Fact Pattern

Dennis Okafor, age 44, is a warehouse supervisor earning \$67,000 per year with a net worth of approximately \$230,000, including his home equity. He has an investment account with \$85,000 accumulated over six years of regular contributions to a mix of large-cap stock mutual funds. His account profile lists his investment experience as 'moderate - mutual funds and ETFs only,' his risk tolerance as 'moderate to aggressive,' and his investment objective as 'long-term growth.' Dennis has a high school diploma and has never purchased individual bonds, options, or structured products. In September 2023, his advisor, Rachel Dominguez, recommended he invest \$25,000 (approximately 29% of his investment account) in a structured note linked to the S&P 500 index with a 14-month maturity. The note offered 150% upside participation in the S&P 500's gains (capped at 22% total return), full downside exposure below a 15% buffer (meaning the investor absorbs losses exceeding 15%), and no coupon or interest payments during the term. The note was issued by a large, investment-grade bank. Rachel explained the product to Dennis across two meetings totaling about 90 minutes, using a product fact sheet with a payoff diagram. Dennis signed a structured products acknowledgment form confirming he understood the terms, including the conditional downside protection, the cap on returns, and the credit risk of the issuing bank. Rachel's rationale, documented in her notes, was that the buffered structure reduced downside risk compared to a direct equity position while offering enhanced upside participation, which aligned with Dennis's growth objective and moderate-to-aggressive risk tolerance. The note's embedded fees (charged by the issuing bank and reflected in the note's pricing) were approximately 2.1%, which Rachel disclosed verbally but which were not broken out as a separate line item on Dennis's confirmation statement. Dennis later complained after the S&P 500 declined 19% during the note's term, resulting in a 4% loss on his principal

(the buffer absorbed the first 15% of decline, but he bore the remaining 4%). He stated he 'didn't fully understand the downside risk' and believed the buffer meant he was 'protected from losing money.' He also said Rachel never explained that there were simpler alternatives - such as a balanced mutual fund or a protective put strategy - that could have achieved similar risk-return characteristics.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Rachel violated applicable standards: Dennis had no prior experience with structured products, individual bonds, options, or any instrument beyond plain-vanilla mutual funds and ETFs. Structured notes are complex instruments with embedded derivatives, conditional payoff structures, credit risk, and limited secondary market liquidity - characteristics that may exceed the comprehension of an investor whose experience is limited to basic fund products. His formal education (high school diploma) and occupation do not suggest exposure to financial engineering concepts. The fact that Dennis later stated he believed the buffer meant he was 'protected from losing money' raises serious questions about whether Rachel's explanation - even across 90 minutes - was sufficient for this particular investor to understand the product's mechanics. Under the best interest standard, the advisor must reasonably believe the customer understands the material features of the recommendation; a signed acknowledgment form does not conclusively establish comprehension. The 29% portfolio concentration in a single structured note introduces significant issuer-specific and structural risk. Rachel's failure to present and document consideration of simpler alternatives (balanced funds, direct index investment with stop-loss parameters, or protective put strategies) may indicate she did not satisfy the requirement to evaluate reasonably available alternatives. The 2.1% embedded fee, while disclosed verbally, was not transparently presented on the confirmation, potentially obscuring the cost comparison with lower-fee alternatives. Arguments that Rachel acted appropriately: Dennis's stated risk tolerance was 'moderate to aggressive' and his objective was 'long-term growth,' both of which are consistent with equity-linked products. The structured note's 15% buffer actually reduced his downside risk relative to a direct S&P 500 position - if Dennis had held an S&P 500 index fund, he would have lost the full 19%, not just 4%. Rachel conducted two meetings totaling 90 minutes - a substantial time investment in client education - used visual aids (payoff diagrams), and obtained a signed acknowledgment. The product was issued by an investment-grade bank, mitigating (though not eliminating) credit risk. The 14-month maturity is relatively short, limiting illiquidity compared to many structured products with multi-year terms. The 2.1% embedded fee, while not broken out on the confirmation, was verbally disclosed and is within the range typical for buffered notes. Rachel's documented rationale - that the buffer reduced equity risk while the enhanced participation served his growth objective - reflects reasonable investment logic. Dennis's six years of consistent investing and moderate-to-aggressive risk tolerance suggest he is not entirely unsophisticated despite his limited product experience.

### Why Borderline

This scenario is genuinely ambiguous because the structured note arguably served a legitimate portfolio purpose (reducing downside equity risk while maintaining growth exposure) for a client with a moderate-to-aggressive risk tolerance and long-term horizon. The advisor invested significant time in education and documentation. However, the client's limited experience with complex instruments, his apparent misunderstanding of the downside mechanics despite the education provided, the meaningful portfolio concentration, and the absence of documented consideration of simpler alternatives all create

substantial grounds for regulatory scrutiny. The core tension is between the product's objective risk-reduction characteristics versus the subjective question of whether this particular client could genuinely understand what he was purchasing.

### Borderline Factors

- Client had no experience with structured products but had six years of investing experience and a moderate-to-aggressive risk profile
- 90 minutes of education with visual aids is substantial but may be insufficient for a first-time structured product investor with a high school education
- Client's post-loss statement that he believed the buffer protected him from any loss contradicts the signed acknowledgment, creating a credibility question
- 29% concentration in a single structured note is significant but not extreme, and the note provided buffered equity exposure rather than pure speculation
- The structured note objectively reduced Dennis's loss compared to a direct S&P 500 position (4% loss vs. 19%), which supports the advisor's suitability argument
- Failure to document consideration of simpler alternatives may violate best interest requirements but does not necessarily mean the recommendation was unsuitable
- Embedded fees of 2.1% were disclosed verbally but not transparently shown on the confirmation statement
- The issuing bank's investment-grade credit rating mitigates but does not eliminate counterparty risk that adds complexity beyond traditional investments

### Likely Outcome

A regulator would likely investigate and could pursue action, but the outcome is closely contested. The strongest factors favoring enforcement are Dennis's complete lack of structured product experience, his apparent post-fact misunderstanding of the downside mechanics, and Rachel's failure to document consideration of simpler alternatives - a key element under Regulation Best Interest's Care Obligation. However, the fact that the product objectively performed better than a direct equity position (limiting his loss to 4% instead of 19%), combined with the documented education efforts and signed acknowledgment, provides Rachel with meaningful defenses. A regulator might impose a fine or require the firm to enhance its structured product suitability procedures - particularly around alternative analysis documentation and comprehension verification - rather than pursuing full disgorgement or suspension. In arbitration, the panel might find a partial violation and award limited damages, potentially focusing on the fee differential between the structured note and a simpler alternative rather than the full investment loss.

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## Borderline Scenario 67

*Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable b*

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### Fact Pattern

Margaret Holloway, age 78, had been a client of financial advisor David Chen for eleven years. She lived independently in her own home and had a portfolio worth approximately \$1.2 million, which she had accumulated through decades of careful saving and her late husband's pension. Her stated goals, documented during annual reviews, were capital preservation and generating income to supplement her

Social Security and a small pension totaling \$2,800 per month. Her monthly expenses were approximately \$4,100, meaning she needed roughly \$1,300 per month from her investments. She had no cognitive diagnoses on file, and David described her as 'sharp and engaged' during meetings. In March 2023, David recommended that Margaret move \$360,000 - about 30% of her portfolio - from a mix of Treasury bonds and a short-term bond fund into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The annuity had a 7-year surrender period with a declining surrender charge starting at 7%, annual fees totaling approximately 3.1% (including the rider), and a guaranteed withdrawal rate of 5.2% for her age bracket, which would provide approximately \$18,720 per year (\$1,560/month). David explained that the guaranteed income floor would protect her against market downturns and provide more predictable cash flow than bonds in a rising rate environment, where her existing bond fund had lost about 9% the prior year. Margaret's daughter, Patricia, later filed a complaint alleging the recommendation was exploitative given her mother's age and the 7-year surrender period, which would effectively lock up the funds until Margaret was 85. Patricia also noted that her mother had mentioned in a phone call that she 'didn't fully understand the annuity thing but David said it was safer.' However, David had conducted two separate meetings with Margaret to explain the product, provided the prospectus, and documented that Margaret asked several specific questions about the withdrawal benefit and death benefit during those meetings. Margaret signed all disclosure forms and a suitability questionnaire that listed her risk tolerance as 'conservative' and her time horizon as '10+ years.' Margaret's remaining \$840,000 stayed in a diversified mix of Treasury bonds, CDs, and a balanced mutual fund. Additionally, David's firm had recently begun a partnership with the annuity provider that offered enhanced compensation - David received a 5.5% commission (\$19,800) on the annuity sale compared to the roughly 0.5% annual advisory fee he would have earned on the same assets under management.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: The 7-year surrender period is problematic for a 78-year-old client. If Margaret needs access to more than the free withdrawal allowance (typically 10% per year) for medical emergencies, home repairs, or long-term care costs, she would face steep surrender charges. At her age, the likelihood of a significant health event requiring liquidity within seven years is statistically meaningful. Her daughter's report that Margaret 'didn't fully understand' the product raises questions about whether informed consent was truly obtained, even if the documentation appears complete. The enhanced compensation arrangement creates a material conflict of interest - David earned roughly \$19,800 upfront versus approximately \$1,800 annually under his advisory fee, giving him a strong financial incentive to recommend the annuity. The 3.1% annual fee drag is substantial and erodes the capital preservation objective. Arguments against a violation: The recommendation addressed a legitimate concern. Margaret's bond fund had lost 9% in the prior year, and the guaranteed withdrawal benefit provides a contractual income floor regardless of market performance - directly aligning with her stated need for predictable income. The \$1,560 monthly guaranteed withdrawal exceeds her \$1,300 monthly investment income need, providing a buffer. Only 30% of her portfolio was allocated to the annuity, leaving \$840,000 in liquid, conservative investments - more than sufficient to cover years of expenses and emergencies. Her documented time horizon of '10+ years' supports a product with a 7-year surrender period. David held two meetings, provided the prospectus, and documented her questions - the daughter's secondhand report of confusion may reflect Margaret's casual characterization rather than actual misunderstanding. Under

FINRA Rule 2111 and its suitability framework, the recommendation must be suitable based on the customer's investment profile; the annuity arguably fits her conservative, income-oriented profile. Under Regulation Best Interest, the advisor must consider reasonably available alternatives and may not place his own interest ahead of the customer's. The enhanced compensation is a factor but does not automatically render the recommendation improper if the product itself serves the customer's needs. The key question is whether a lower-cost alternative - such as a fixed annuity, a TIPS ladder, or simply rebalancing within her existing bond allocation - would have better served Margaret's needs without the surrender risk and high fees.

### Why Borderline

This case sits in a genuine gray area because the annuity provides a real, tangible benefit - guaranteed lifetime income - that directly addresses Margaret's documented needs, and the allocation represents a minority of her portfolio with ample remaining liquidity. However, the client's advanced age combined with a 7-year surrender period, elevated all-in costs, a potential informed consent gap, and a clear compensation conflict all create legitimate concerns. Reasonable practitioners could disagree about whether the guaranteed income benefit justifies the trade-offs for a 78-year-old client.

### Borderline Factors

- Client's age (78) versus the 7-year surrender period creating a lock-up until age 85
- Enhanced compensation (\$19,800 commission vs. ~\$1,800 annual advisory fee) creating a material conflict
- Daughter's secondhand report of confusion versus documented multi-meeting explanation process
- Product provides genuine guaranteed income floor that aligns with client's stated need for predictable cash flow
- Only 30% of portfolio allocated, leaving substantial liquid reserves for emergencies
- 3.1% annual all-in cost versus lower-cost alternatives that might have achieved similar income goals
- Client's documented 10+ year time horizon provides some justification for the surrender period
- Prior year bond losses provide a rational basis for seeking guaranteed income alternatives

### Likely Outcome

A regulator would likely issue a cautionary finding or pursue a modest settlement rather than a full-blown enforcement action. The enhanced compensation conflict and the client's age relative to the surrender period would draw scrutiny, particularly under Regulation BI's conflict-of-interest and care obligations. However, the documented suitability process, the legitimate income need the product addresses, the reasonable allocation percentage, and remaining portfolio liquidity would mitigate the severity. The regulator might focus on whether David adequately considered and documented why lower-cost alternatives (e.g., a fixed annuity or TIPS ladder) were inferior, and whether the compensation conflict was properly disclosed. A fine in the range of \$10,000-\$25,000 and enhanced supervision requirements are plausible, but outright disgorgement or a bar would be unlikely given the mitigating factors.

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## Borderline Scenario 68

Topic: *complex\_products\_unsophisticated\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis suitability (u*

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**Fact Pattern**

Roberto Medina, age 44, worked as a warehouse supervisor earning \$67,000 per year. He had a 401(k) with his employer worth approximately \$85,000 and a brokerage account with \$43,000 that he had opened two years earlier with advisor Stephanie Park. Roberto had a high school education and described his investment experience on his account application as 'limited - I've only had my 401(k) in target-date funds.' His stated goals were to grow his savings for retirement and build a college fund for his two children, ages 8 and 11. His risk tolerance was marked as 'moderate to aggressive' on his account forms, and he told Stephanie he was 'okay losing some money if it means bigger gains long-term.' In January 2024, Stephanie recommended Roberto invest \$15,000 of his \$43,000 brokerage account (about 35%) into a structured note linked to the S&P 500 with a two-year maturity. The note offered a 2x leveraged upside participation rate on S&P gains capped at 28% total return over two years, with a 15% downside buffer - meaning Roberto would absorb no losses unless the S&P fell more than 15% from the initial level, but would bear all losses beyond that threshold dollar-for-dollar. The note was issued by a major investment bank with an A credit rating. Stephanie explained the product over a 45-minute meeting, using a whiteboard to draw payoff diagrams showing best-case, moderate, and worst-case scenarios. Roberto asked what would happen 'if everything crashes' and Stephanie explained that if the S&P fell 30%, he would lose approximately 15% of his investment (\$2,250). Roberto said he understood and signed the structured product acknowledgment form, which stated in plain language that the product involved leverage, a cap on returns, credit risk to the issuer, limited liquidity before maturity, and potential loss of principal. Stephanie documented the meeting in her notes. The product carried a 2% upfront placement fee paid to Stephanie's firm. Roberto's remaining \$28,000 stayed in a mix of broad index ETFs and a money market fund. Five months later, Roberto needed \$8,000 for an unexpected home repair and attempted to sell the structured note. He was quoted a secondary market price reflecting a 6% discount to face value due to market conditions and illiquidity. Roberto filed a complaint alleging Stephanie never adequately explained the product's complexity or illiquidity risk and that the product was inappropriate for someone with his limited investment background. Stephanie's firm produced the signed acknowledgment form, meeting notes, and pointed out that Roberto had explicitly expressed willingness to take on risk for higher returns and that the 15% buffer actually provided more downside protection than a simple index fund investment.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that a violation occurred: Roberto's self-described investment experience was 'limited' and confined entirely to target-date funds - among the simplest available investment products. Structured notes are complex instruments that embed derivatives, involve issuer credit risk, have limited secondary market liquidity, and feature non-linear payoff profiles that can be difficult even for sophisticated investors to fully evaluate. A single 45-minute meeting, even with visual aids, may be insufficient for a client with Roberto's background to genuinely understand the risks of leveraged upside participation, buffer mechanics, and secondary market illiquidity. The fact that he needed to liquidate within five months and was surprised by the discount suggests he may not have adequately understood or planned for the illiquidity risk. Allocating 35% of a relatively modest brokerage account to a single structured note creates meaningful concentration in a complex, illiquid instrument. Additionally, the 2% placement fee creates a compensation incentive that a regulator could scrutinize. Roberto's goals - retirement savings and a college fund - are conventional objectives that could be efficiently met through diversified equity and bond funds without the complexity and

illiquidity of structured products. Arguments against a violation: Structured notes with downside buffers are specifically designed for investors who want equity-like exposure with reduced downside risk - arguably a good fit for a 'moderate to aggressive' investor who wants growth but expressed concern about crashes. The 15% buffer provides materially more protection than a plain index fund and directly addresses Roberto's question about what happens in a crash. The 28% total return cap over two years is a reasonable trade-off for the buffer protection. Stephanie used visual payoff diagrams, spent 45 minutes explaining the product, and Roberto asked a relevant question demonstrating engagement with the material. He signed a plain-language acknowledgment form covering leverage, the cap, credit risk, limited liquidity, and potential principal loss. The allocation was 35% of his brokerage account but only about 12% of his total investable assets (\$15,000 of approximately \$128,000 including the 401(k)). The remaining brokerage holdings included liquid index ETFs and money market funds. Roberto is 44, giving him a 20+ year time horizon to retirement, and the note's two-year maturity is relatively short. The unexpected home repair was an unforeseeable liquidity event. An advisor cannot guarantee against every contingency, and the 6% secondary market discount, while unfortunate, did not result in a catastrophic loss. The A-rated issuer is investment-grade, mitigating credit risk concerns.

### Why Borderline

This case is genuinely ambiguous because the structured note's buffer feature actually provides risk mitigation that aligns with the client's expressed preferences, and the documentation suggests a good-faith attempt at education. However, the client's very limited investment experience, the inherent complexity of structured products, the concentration level within the brokerage account, and the liquidity event that exposed a possible gap in the client's understanding all create plausible grounds for a suitability challenge. The core tension is between respecting a client's autonomy and documented consent versus a paternalistic concern that a client with limited sophistication cannot truly give informed consent to a complex product regardless of the disclosure process.

### Borderline Factors

- Client's self-described 'limited' investment experience exclusively in target-date funds versus documentation of a thorough explanation process with visual aids
- 35% concentration in a single illiquid structured note within the brokerage account versus only ~12% of total investable assets
- The buffer feature genuinely aligns with the client's 'moderate to aggressive' risk tolerance and concern about crash scenarios
  - Unexpected liquidity need exposed illiquidity risk - but was unforeseeable at the time of recommendation
  - Plain-language acknowledgment form signed by client covering all key risks including limited liquidity
  - 2% placement fee creates compensation conflict but is within normal range for structured products
  - Client's conventional goals (retirement, college fund) could be met with simpler products but do not preclude use of structured notes
- Client's verbal question about crash scenarios suggests engagement but may also suggest inadequate baseline understanding

### Likely Outcome

A regulator would likely investigate but ultimately decline to bring a formal enforcement action, potentially issuing a letter of caution or requiring the firm to enhance its procedures around structured product sales to less experienced investors. The documentation - signed acknowledgment, detailed meeting notes, payoff

diagrams - provides meaningful protection for the advisor. However, the regulator might scrutinize whether the firm's policies adequately screen for customer sophistication before permitting complex product recommendations. If Roberto's loss ultimately proves minimal (he held to maturity and the note paid off within the buffer), the case becomes even weaker. If pursued, a small settlement might be offered to resolve the complaint, likely in the range of reimbursing the secondary market discount (\$900) and the placement fee proportionally, but not full damages. The case highlights the tension in regulatory guidance around structured products and unsophisticated investors without resolving it clearly in either direction.

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### Borderline Scenario 69

*Topic: leveraged\_etf\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment st*

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#### Fact Pattern

Marcus Webb, age 58, is a semi-retired electrical engineer who transitioned to part-time consulting work in 2021. He has a \$1.4 million portfolio, a paid-off home valued at \$520,000, and receives \$3,200/month from a pension. His net worth is approximately \$2.1 million. During his account opening in March 2022, he listed his investment objective as 'growth with moderate risk,' his time horizon as '5-10 years,' and his risk tolerance as 'moderate to aggressive.' He noted prior experience trading individual stocks and options over a 20-year period, and his account application showed he had previously held leveraged ETFs at another brokerage for periods of 2-4 weeks at a time. In April 2022, his advisor, Dana Kowalski, recommended he allocate \$140,000 - roughly 10% of his portfolio - into a 2x leveraged S&P 500 ETF. Kowalski explained the daily reset mechanism verbally and sent a follow-up email noting that leveraged ETFs 'can deviate significantly from the expected multiple over longer holding periods due to compounding effects' and recommended a holding period of 'no more than 30-60 days per position.' Webb signed an acknowledgment of risks associated with leveraged and inverse products. Over the next 14 months, Webb held the position continuously without selling, during which the S&P 500 rose approximately 12%. Due to volatility decay and the compounding effect of daily resets, Webb's leveraged ETF position returned approximately 18% rather than the roughly 24% a naive investor might expect from a 2x product. Webb's overall portfolio gained roughly 9% during this period. In June 2023, Webb complained that the product underperformed his expectations and that his advisor should have forced a sale or contacted him more aggressively about the holding period. Kowalski's notes show she sent two additional emails - one in July 2022 and one in November 2022 - reminding Webb that the leveraged ETF was intended as a short-term tactical position and suggesting he consider exiting. Webb replied to the July email saying 'I'm comfortable riding this for now, the market looks good' and did not respond to the November email. Webb did not lose money on the position in absolute terms.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Kowalski violated applicable standards: Leveraged ETFs are widely understood to be short-term trading instruments, and recommending a 2x leveraged product to a 58-year-old semi-retired client with a 'moderate to aggressive' risk tolerance and a 5-10 year time horizon raises questions about whether the initial recommendation was appropriate regardless of the position size. The product's daily

reset mechanism creates path dependency and volatility decay that can erode returns in ways that are difficult for even sophisticated retail investors to fully appreciate. Even though the client had some experience with leveraged ETFs, the advisor bears responsibility for ensuring a recommendation is suitable at the point of sale and arguably has an ongoing duty to take more assertive action than sending emails when a client holds a product well beyond its intended use case. Two emails over 14 months could be viewed as insufficient follow-up given the known risks of holding leveraged products long-term. Some regulators have specifically cautioned that leveraged ETFs are rarely suitable for retail buy-and-hold investors.

Arguments that Kowalski did not violate applicable standards: The position represented only 10% of a \$1.4 million portfolio for a client with \$2.1 million in total net worth - a measured allocation rather than a concentrated bet. Webb had documented experience with leveraged ETFs, options, and individual stock trading over two decades. He signed a specific risk acknowledgment for leveraged products. Kowalski clearly communicated the intended short-term holding period both verbally and in writing, and the follow-up emails demonstrate ongoing attention to the position. Webb affirmatively chose to continue holding, effectively overriding his advisor's guidance. The position generated a positive 18% return, and the 'underperformance' was relative to an unrealistic expectation rather than an actual loss. The overall portfolio performed well. At the point of the initial recommendation, a 10% tactical allocation to a leveraged broad-market ETF for an experienced investor with an aggressive component to his risk profile and substantial assets is arguably within the range of suitable recommendations.

### Why Borderline

This case is genuinely ambiguous because the initial recommendation was arguably reasonable given the client's experience, net worth, and risk profile, and the position sizing was conservative. However, the product's well-documented unsuitability for long-term holding creates tension when the client held it for 14 months. The advisor took steps to warn the client but arguably could have done more. The client experienced positive returns but underperformed a simple 2x expectation, and the complaint is really about unmet expectations rather than losses. The advisor's documentation was good but raises the question of whether documentation alone discharges the obligation when a client is holding an inherently decaying product.

### Borderline Factors

- Client had 20 years of trading experience including prior use of leveraged ETFs at another firm
- Position was limited to 10% of portfolio - disciplined allocation rather than concentration
- Advisor provided clear written disclosure of daily reset risks and recommended short holding period
- Client signed a specific leveraged product risk acknowledgment
- Client affirmatively chose to continue holding against advisor's documented recommendation to exit
- The position generated an 18% positive return - no actual loss occurred
- Client is 58 and semi-retired, raising questions about appropriateness of leveraged products regardless of experience
- Advisor sent only two follow-up emails over 14 months, which could be viewed as insufficient monitoring
  - The product underperformed a naive 2x expectation by approximately 6 percentage points due to volatility decay, illustrating the exact risk the advisor warned about
- Client's stated time horizon of 5-10 years is fundamentally mismatched with a daily-reset leveraged product

### Likely Outcome

A regulator would likely decline to pursue an enforcement action but might issue a cautionary letter or require enhanced supervisory procedures. The initial recommendation, while debatable, was made to an experienced investor at a modest allocation with appropriate disclosures. The advisor documented warnings to exit, and the client overrode that guidance. The absence of actual losses and the client's demonstrated sophistication weaken an enforcement case. However, a regulator might criticize the advisor for not escalating beyond emails - such as calling the client or flagging the position to a supervisor - when the client held a known decaying product for over a year. In an arbitration context, the client's claim would face significant hurdles given the documented warnings, the client's own decision to hold, and the positive return.

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### Borderline Scenario 70

*Topic: high\_fees\_unsuitable | Standard: Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, particularly the*

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### Fact Pattern

Patricia Hartwell, age 67, is a retired schoolteacher with a \$680,000 portfolio consisting primarily of rollover IRA assets from her 403(b). She receives \$2,800/month in Social Security and \$1,900/month from a state teacher's pension. She has no mortgage, minimal debt, and describes her investment needs as generating supplemental income while preserving capital for potential long-term care expenses. In February 2023, her advisor, Craig Donovan, at a mid-sized independent advisory firm, recommended she invest \$480,000 of her IRA into a portfolio of actively managed mutual funds. The recommended portfolio had a blended expense ratio of 1.42% annually, which translates to approximately \$6,816 per year in fund-level fees. In addition, Hartwell pays a 0.85% annual advisory fee (\$5,780), bringing her total all-in cost to approximately 2.27% (\$10,596 per year). Donovan selected the funds based on their long-term track records: the core equity holding had outperformed its benchmark by an average of 1.1% annually over the trailing 10-year period net of fees, and the core bond fund had outperformed by 0.4% annually over the same period. The funds were all rated 4 or 5 stars by a major fund rating service. Donovan documented that he considered lower-cost index fund alternatives but believed the active managers' track records, particularly in down markets - the equity fund had captured only 82% of downside moves over the past decade - justified the higher costs for a retiree concerned about capital preservation. He noted that Hartwell expressed strong anxiety about market downturns after experiencing a 34% portfolio decline in 2008-2009 and specifically asked for investments 'managed by someone who can protect me when markets drop.' The firm offered a lower-cost model portfolio using index ETFs with a blended expense ratio of 0.08%, which combined with the advisory fee would have cost approximately 0.93% all-in. Over the 12 months following the recommendation, Hartwell's portfolio returned 5.8% net of all fees, while the lower-cost index alternative model would have returned approximately 7.1% net of fees. Hartwell's daughter, a CPA, reviewed her mother's account statements in early 2024 and filed a complaint asserting that the fee differential of approximately \$6,450 annually was unjustifiable for a retiree in the distribution phase of her investment life.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Donovan violated applicable standards: A total annual cost of 2.27% is substantially above industry norms for a relatively straightforward retirement income portfolio. For a 67-year-old retiree in the distribution phase, every basis point of fee drag directly reduces the longevity of her savings. The firm had a readily available lower-cost alternative that would have saved approximately \$6,450 annually - nearly equivalent to one month of Hartwell's combined Social Security and pension income. Over a projected 20-25 year retirement, the cumulative fee differential could exceed \$100,000 in nominal terms. Past performance of actively managed funds is widely understood to be a poor predictor of future results, and most academic research demonstrates that the majority of active managers underperform their benchmarks over extended periods. Relying on 10-year trailing returns and star ratings to justify a 1.34% expense ratio differential arguably does not meet the standard of placing the customer's interest first. The client's stated desire for downside protection could have been addressed through asset allocation adjustments, lower-volatility index funds, or a modest allocation to buffer products - none of which would have carried the same fee burden.

Arguments that Donovan did not violate applicable standards: The recommendation was not made blindly - Donovan documented a specific rationale tied to the client's clearly articulated fear of market declines and her explicit request for active management that could provide downside protection. The selected equity fund's documented 82% downside capture ratio over a decade is a meaningful differentiator for a retiree who experienced severe anxiety from the 2008-2009 decline. The funds had strong long-term track records of net-of-fee outperformance, and the client's emotional relationship with market volatility is a legitimate component of her investment profile that pure cost analysis does not capture. If the client panics and sells during a downturn - as her history suggests she might - the behavioral cost far exceeds the fee differential. A 2.27% all-in cost, while above average, is not extreme by historical industry standards, and the advisory fee of 0.85% is within the typical range. Donovan documented his consideration of lower-cost alternatives, demonstrating a deliberate process rather than default placement into higher-fee products. The 1.3% performance gap over a single 12-month period - during a rising market where active managers focused on downside protection would naturally lag - does not prove the long-term recommendation was flawed.

### Why Borderline

This case sits in genuine gray territory because the fee differential is significant but not egregious, and the advisor has a documented, client-specific rationale tied to a real behavioral concern. The tension between quantitative cost analysis (which favors index funds) and qualitative suitability factors (client anxiety, downside protection preference, behavioral risk) creates legitimate disagreement. Reasonable practitioners differ on whether a 1.34% expense ratio premium can ever be justified for a retiree, while others argue that ignoring a client's psychological needs and risk of panic-selling is itself a suitability failure. The one-year performance comparison during a bull market is arguably misleading, as the active funds' value proposition is specifically about down-market protection.

### Borderline Factors

- Total all-in cost of 2.27% is above average but not at the extreme end of the fee spectrum
- The firm had a readily available lower-cost alternative with a 1.34% annual cost difference
- Client explicitly requested active management with downside protection based on traumatic 2008-2009 experience
- Selected funds had documented 10-year net-of-fee outperformance and strong ratings
- Equity fund showed 82% downside capture - a tangible benefit for a loss-averse retiree



- Advisor documented consideration of index alternatives and articulated reasons for choosing active funds
- Client is in distribution phase where fee drag has outsized impact on portfolio longevity
- One-year performance comparison occurred during a rising market that disadvantages defensive active strategies
- Academic consensus generally disfavors active management's ability to persistently outperform net of fees
- Behavioral risk of client panic-selling in a downturn is a real cost that does not appear in expense ratio comparisons
- Cumulative fee differential could exceed \$100,000 over the client's retirement horizon
- Advisory fee of 0.85% is within typical industry range and was not contested

### Likely Outcome

A regulator examining this case would likely find the situation warrants scrutiny but would face difficulty establishing a clear violation. The advisor's documented reasoning, the client's express preferences, and the funds' historical performance provide a defensible basis for the recommendation. However, a regulator might conclude that the advisor gave insufficient weight to cost as a factor and that the downside-protection rationale could have been achieved through less expensive means (e.g., a more conservative asset allocation using index funds, low-volatility index strategies, or a partial allocation to defined-outcome products). The most probable outcome is a supervisory finding requiring the firm to enhance its cost-comparison documentation requirements and possibly a settlement involving fee rebates or a portfolio transition to lower-cost options, rather than a formal suitability violation. In arbitration, the outcome would likely depend heavily on expert testimony about whether the active funds' downside characteristics justified the cost premium.

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## Borderline Scenario 71

*Topic: structured\_products\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis to*

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### Fact Pattern

In March 2022, financial advisor Derek Callahan at a mid-sized broker-dealer recommended that his client, Margaret Yuen, age 62, invest \$180,000 in a 7-year reverse convertible note linked to a basket of three large-cap technology stocks. Margaret was a retired school principal with a \$1.4 million portfolio, approximately \$310,000 in liquid savings outside the portfolio, a paid-off home valued at \$620,000, and a state pension providing \$5,800 per month. Her account application listed her risk tolerance as 'moderate,' her investment objective as 'income with moderate growth,' and her time horizon as '5-10 years.' The structured note offered a 9.2% annual coupon, paid quarterly, which was significantly higher than the 4.1% yield available on investment-grade corporate bonds at the time. The product's downside was that if any of the three reference stocks declined more than 35% from its initial price at maturity, Margaret would receive shares of the worst-performing stock instead of her principal, potentially resulting in significant loss. Derek discussed the general mechanics of the product with Margaret over two meetings, including the contingent downside, and provided the product's offering document, which was 84 pages long. Margaret signed an acknowledgment that she understood the product involved equity risk. Derek's notes from the meetings indicate Margaret said she was 'comfortable with the risk if it means better income' and that she 'didn't think

Apple, Microsoft, or Alphabet would drop that much.' Derek earned a 3.1% commission on the sale (\$5,580), compared to the 0.5% commission he would have earned placing Margaret in a comparable corporate bond fund. At the time of purchase, Margaret's portfolio already held \$95,000 in other structured notes Derek had previously recommended, bringing her total structured product exposure to \$275,000, or roughly 19.6% of her total portfolio. By January 2024, one of the reference stocks had declined 31% from its initial price, and Margaret expressed concern about the possibility of losing principal. The product has not yet matured. Margaret's pension and liquid savings cover her living expenses without needing income from the portfolio, though she told Derek during onboarding that she might need to draw from the portfolio for potential assisted-living costs in 8-10 years.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated suitability or best interest standards: First, the concentration of nearly 20% of Margaret's portfolio in structured products is notable for a 62-year-old retiree with a moderate risk tolerance. Structured notes with reverse convertible features embed significant equity downside risk that may not align with an 'income with moderate growth' objective - the client is essentially selling put options on volatile tech stocks in exchange for enhanced yield. Second, the 7-year maturity raises concerns given Margaret's stated potential need for funds for assisted-living costs in 8-10 years; structured notes are generally illiquid in secondary markets and often trade at significant discounts before maturity. Third, the commission differential (\$5,580 vs. approximately \$900 for a bond fund) creates an economic incentive that a regulator could view as influencing the recommendation. Fourth, an 84-page offering document may not constitute meaningful disclosure to a retired educator without financial sophistication, even with an acknowledgment signature. Arguments that Derek acted within bounds: Margaret's overall financial picture is relatively strong - a \$1.4 million portfolio, \$310,000 in additional liquid savings, a \$5,800/month pension, and no mortgage. The \$180,000 investment represents roughly 10.5% of her total investable assets (including liquid savings), and the 9.2% coupon delivers meaningfully higher income that serves her stated income objective. The 35% downside barrier provides a substantial cushion, and the reference stocks are mega-cap, blue-chip technology companies with relatively lower volatility compared to smaller names. Derek held two meetings to explain the product, documented Margaret's affirmative statements of understanding, and obtained a signed acknowledgment. Margaret's time horizon of 5-10 years encompasses the 7-year maturity, and her potential assisted-living need is 8-10 years out - after the note would mature. Her moderate risk tolerance does not preclude all equity-linked exposure. The 3.1% commission, while higher than alternatives, is within industry norms for structured products and does not alone establish a conflict. Her existing structured note holdings, while meaningful, still leave over 80% of her portfolio in other asset classes.

### Why Borderline

This scenario is genuinely ambiguous because the client's financial profile is strong enough to absorb the risk, the product's income feature directly serves her stated objective, and the advisor documented the client's informed consent. However, the cumulative structured product concentration, the complexity-to-sophistication mismatch, the commission differential, and the embedded equity risk in what the client likely perceives as an 'income product' all create plausible grounds for a suitability challenge. Reasonable practitioners could disagree about whether the enhanced income justified the tail risk for a

62-year-old retiree.

### Borderline Factors

- Client's strong overall financial position with pension and liquid reserves mitigates concentration risk, but 19.6% in structured products is elevated for a moderate-risk retiree
- The 9.2% coupon directly serves the client's income objective, but the embedded put-option risk transforms this from fixed income into contingent equity exposure
- The 35% downside barrier provides meaningful cushion on mega-cap stocks, but one stock has already declined 31%, demonstrating the risk is real rather than theoretical
- Advisor held two meetings and obtained signed acknowledgment, but an 84-page offering document may exceed the client's ability to meaningfully evaluate the risks
- Commission differential of \$4,680 creates an incentive that could have influenced the recommendation but falls within industry norms for the product type
- The 7-year maturity fits within the client's stated 5-10 year time horizon, but structured notes' secondary market illiquidity limits flexibility if circumstances change
- Client affirmatively expressed comfort with the risk and confidence in the reference stocks, but client-initiated enthusiasm does not relieve the advisor of independent judgment

### Likely Outcome

A regulator would likely investigate but would face difficulty sustaining a clear-cut violation. The outcome would probably be a cautionary finding or a negotiated settlement involving enhanced supervision of Derek's structured product recommendations rather than a full suitability violation. The client's documented consent, strong financial position, and the product's alignment with her income objective cut in Derek's favor. However, the cumulative concentration, commission incentive, and complexity concerns could lead a regulator to find that the recommendation, while not clearly unsuitable in isolation, reflected a pattern of favoring high-commission structured products over simpler alternatives that could have met the same objective with less risk. If the note ultimately converts to shares at a significant loss, the enforcement posture would harden considerably.

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## Borderline Scenario 72

*Topic: inappropriate\_risk\_profile | Standard: FINRA Rule 2111 requires that recommendations be suitable based on the customer's i*

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### Fact Pattern

In September 2021, financial advisor Priya Nair opened an account for new client Thomas Brennan, age 44, a software engineering manager earning \$195,000 annually with an additional \$40,000-\$70,000 in annual bonus compensation. Thomas had approximately \$520,000 in a 401(k), \$85,000 in a savings account, and no significant debt other than a \$280,000 mortgage with 22 years remaining. He was recently divorced and opening this new brokerage account with \$240,000, representing his share of previously jointly held investments that had been liquidated during the divorce settlement. During the onboarding process, Priya conducted a risk-tolerance questionnaire with Thomas. Thomas scored in the upper range of 'moderate-aggressive' on the firm's standardized questionnaire. However, during their in-person conversation, Thomas repeatedly expressed that he wanted to 'make up for lost time' and 'be more aggressive than [he] was when [his] ex-wife was involved in decisions.' He told Priya that he had followed

technology and biotech stocks for years and was frustrated that his previous advisor had kept him in balanced funds. Priya noted these comments in her CRM system. Based on the conversation, Priya classified Thomas's risk profile as 'aggressive' rather than the 'moderate-aggressive' score generated by the questionnaire. She then built a portfolio that was approximately 78% equities (with 40% in individual technology and biotech stocks, 25% in broad equity ETFs, and 13% in international equity funds), 12% in high-yield bond funds, and 10% in cash and short-term treasuries. Within the technology and biotech allocation, the portfolio included positions in six individual stocks, with the largest single position being \$33,600 (14% of the equity allocation, roughly 10.9% of the total portfolio) in a mid-cap biotech company. Over the following 14 months, the technology-heavy portfolio declined approximately 28%, reducing the account value to roughly \$172,800. Thomas contacted Priya in November 2022, upset about the losses, stating that he 'never expected to lose this much' and that he 'thought aggressive meant growth stocks, not gambling.' He claimed Priya had overridden the questionnaire results to justify a riskier portfolio. Priya's records show she sent Thomas a portfolio proposal summary before executing the trades, which Thomas approved via email with the comment 'Looks great, let's get started.' The firm's compliance system flagged the questionnaire-to-profile override at the time of account opening, and a supervisor approved it after reviewing Priya's notes about the client conversation, writing 'client preference for aggressive allocation is documented and consistent with income/age profile.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Priya violated applicable standards: The standardized risk questionnaire exists specifically to provide an objective, behaviorally-grounded assessment of risk tolerance, separate from emotional or situational impulses. Thomas was going through a major life transition (divorce) that commonly produces temporary risk-seeking behavior driven by emotion rather than rational financial planning. A skilled advisor should recognize that a client expressing a desire to 'make up for lost time' is exhibiting a behavioral red flag, not a genuine investment objective. Overriding the questionnaire score upward based on these statements may have enabled an emotionally compromised decision. The resulting portfolio - 78% equities with 40% in individual tech/biotech names and a single-stock position exceeding 10% of the portfolio - is aggressive by most industry standards and may exceed even a legitimately aggressive client's appropriate allocation. The 28% decline, while partly attributable to broad market conditions in 2022, was amplified by concentration in the most volatile sectors. Thomas's post-loss statement that he 'never expected to lose this much' suggests inadequate understanding of downside risk. Arguments that Priya acted appropriately: Thomas is a 44-year-old high-income earner with substantial retirement savings, manageable debt, and a long time horizon. An aggressive allocation is objectively defensible for his demographic and financial profile. The questionnaire scored him in the upper range of moderate-aggressive, meaning the override to aggressive was a one-notch adjustment, not a dramatic departure. Priya documented Thomas's explicit preferences in her CRM, sent a portfolio proposal for review, and received written approval. The firm's compliance function independently reviewed and approved the override, finding it consistent with the client's profile. Thomas's stated investment interests (technology and biotech) and his frustration with previous conservative management represent legitimate client preferences, not mere emotional impulses. An advisor who ignores clear client preferences in favor of a questionnaire score alone could be criticized for paternalism and for failing to personalize recommendations. The 28% decline was substantially driven by a historic market downturn in growth stocks during 2022; virtually any aggressive portfolio would have

experienced significant losses during this period. The portfolio maintained 22% in non-equity holdings, included broad diversification within equities, and the largest single position at 10.9% was meaningful but not extreme.

### Why Borderline

This case sits at the intersection of client autonomy and advisor judgment. The advisor had documented evidence of client preferences, written client approval, and supervisory sign-off - yet the underlying question is whether those preferences were themselves reliable indicators of true risk tolerance given the client's emotional state during a life transition. The questionnaire-to-profile override is the crux: reasonable professionals disagree about whether standardized questionnaires should serve as ceilings that can rarely be exceeded, or as inputs that can be adjusted based on holistic client assessment. The market decline makes the outcome look bad in hindsight, but a suitability analysis must be judged at the time of the recommendation.

### Borderline Factors

- The risk questionnaire scored moderate-aggressive while the advisor classified the client as aggressive - a one-notch override, not an extreme deviation, but still a departure from the objective tool
- Client was undergoing a divorce, which is a recognized behavioral trigger for impulsive financial decisions, but the advisor is not a psychologist and the client was articulate and specific about preferences
- The firm's compliance system flagged the override and a supervisor independently approved it, suggesting institutional comfort with the classification
- Client provided written approval of the specific portfolio proposal, creating a documented consent trail
- A 78% equity allocation with 40% in individual tech/biotech names is aggressive but not extraordinary for a 44-year-old high earner with a long time horizon and substantial retirement assets
- The 28% loss was largely attributable to broad market conditions affecting all growth-oriented portfolios in 2022, not to idiosyncratic failures
- Client's post-loss claim of misunderstanding conflicts with his pre-investment email approval and documented statements about wanting aggressive growth exposure
- The largest single-stock position at 10.9% of the portfolio is concentrated but within commonly accepted thresholds for aggressive investors

### Likely Outcome

A regulator would likely decline to pursue a formal violation finding, though the case might result in a recommendation for enhanced procedures around risk-profile overrides during client life transitions. The documented client preferences, written approval of the portfolio proposal, and independent supervisory review create a strong defense. However, if a pattern emerged showing Priya routinely overrides questionnaire scores upward - particularly when doing so results in higher commissions or fees on more actively managed positions - the regulatory posture could shift. In an arbitration setting, the outcome would likely depend heavily on the panel's view of whether the advisor had a duty to protect the client from his own stated preferences during an emotionally volatile period, which is a question on which arbitrators frequently split.

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## Borderline Scenario 73

Topic: variable\_annuity\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for be

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**Fact Pattern**

Margaret Dalton, age 61, is a retired school librarian with a \$420,000 portfolio consisting of \$280,000 in a traditional IRA rollover from her pension buyout and \$140,000 in a taxable brokerage account. She receives \$2,100/month in Social Security and has no other income. She told her advisor, Kevin Brandt, that her primary goals were (1) generating reliable monthly income to supplement Social Security, (2) preserving her principal so she wouldn't outlive her savings, and (3) having access to funds for potential medical expenses, noting she had a family history of early-onset dementia. She described her risk tolerance as 'moderate' and said she didn't want to 'gamble with what I have.' In March 2022, Brandt recommended she use \$195,000 from her IRA to purchase a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying fund expenses averaging 0.82%, and the GLWB rider cost 1.10% annually - totaling approximately 3.42% in annual fees. The surrender period was 7 years with a declining schedule starting at 7%. The GLWB rider guaranteed a 5% annual withdrawal rate for life regardless of market performance, which would provide approximately \$9,750/year (\$812.50/month). Brandt explained that this product would give Margaret a guaranteed income floor she could never outlive while still allowing upside market participation. He also noted the death benefit feature, though Margaret had no dependents. Margaret's remaining \$85,000 in the IRA was allocated to a balanced mutual fund, and her taxable account remained in a mix of dividend-paying stocks and short-term bonds. Brandt earned a 5.5% commission (\$10,725) on the variable annuity sale. Six months later, Margaret needed \$30,000 for a home accessibility renovation after a fall. She could access only her non-annuity assets without penalty, which required liquidating a significant portion of her taxable account. She filed a complaint alleging that the annuity was inappropriate given her age, fee sensitivity, and need for liquidity, and that a simpler portfolio of bond funds and dividend stocks could have generated comparable income at far lower cost.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Brandt violated applicable standards: The total annual cost of approximately 3.42% is extremely high for a 61-year-old retiree with moderate risk tolerance and no income beyond Social Security. Over the 7-year surrender period, cumulative fees would consume roughly \$46,700 - nearly 24% of the invested amount - before any market returns. Margaret explicitly stated she might need funds for medical expenses, and the 7-year surrender period with declining charges significantly impaired her liquidity on nearly half her total portfolio. A portfolio of intermediate-term bond funds, balanced funds, and dividend-paying equities could plausibly have generated a 4-5% annual yield with total expenses under 0.50%, producing comparable or superior income with full liquidity. The death benefit feature added cost with no practical value since Margaret had no dependents. The \$10,725 commission creates an obvious conflict of interest, and lower-cost alternatives existed. Arguments that Brandt acted appropriately: The GLWB rider addresses Margaret's stated fear of outliving her savings in a way that no conventional portfolio can - it provides a contractual guarantee of lifetime income regardless of market conditions. For someone with longevity concerns (her family history, while of dementia, also suggests potentially long life), a guaranteed income floor has genuine economic value that is difficult to replicate. The \$812.50/month guaranteed withdrawal, combined with her \$2,100 Social Security, gives her \$2,912.50/month in guaranteed income. Brandt did not put all of Margaret's assets into the annuity; he left \$225,000 (\$85,000 IRA + \$140,000 taxable) in liquid investments, which represented 54% of her total portfolio. The product



allows penalty-free withdrawals of up to 10% of account value annually (approximately \$19,500), providing some liquidity. Margaret's moderate risk tolerance and desire for principal protection are consistent with an insurance-based solution. The unforeseen home renovation was not mentioned as a planning need at the time of the recommendation.

### Why Borderline

This case sits in genuine gray territory because the variable annuity with GLWB rider does address Margaret's core stated objectives - guaranteed lifetime income and protection against outliving her savings - in a way that no pure investment portfolio can contractually guarantee. However, the cost is very high, the liquidity restriction is significant relative to her total assets and her stated concern about medical expenses, and arguably simpler and cheaper solutions could have met her practical income needs. The concentration of 46% of her total portfolio in an illiquid product is aggressive but not extreme, and the advisor did maintain substantial liquid reserves. Reasonable professionals could disagree about whether the insurance guarantee justifies the cost premium over a conventional income-oriented portfolio for this client.

### Borderline Factors

- Total annual fees of 3.42% are high but include a genuine insurance guarantee (GLWB) that pure investment products cannot replicate
- 46% of total portfolio in illiquid product is significant but majority of assets remained liquid
- Client explicitly stated fear of outliving savings, which is precisely what GLWB riders are designed to address
- Client also stated need for medical expense access, creating tension with the surrender period
- Death benefit feature had no practical value for a client with no dependents, adding unnecessary cost
- Lower-cost alternatives could have generated similar income levels without guarantees
- The emergency need that triggered the complaint was unforeseen and not discussed during planning
- The 5.5% commission is standard for the product but creates a significant conflict
- At age 61, the client has a potentially 25-30 year time horizon where longevity protection has real value

### Likely Outcome

A regulator would likely find a violation, but it would be a close call. The key factors tipping toward a finding of unsuitability are: (1) the disproportionate cost relative to the client's modest asset base and income, (2) the liquidity impairment for a client who specifically raised medical expense concerns, and (3) the availability of materially cheaper alternatives that could have addressed most of her income needs. However, any sanction would likely be moderate - perhaps disgorgement of a portion of the commission and a modest fine - rather than severe, because the product did address a legitimate client concern. If the advisor could demonstrate thorough documentation showing he discussed alternatives, explained the fee structure in detail, and specifically addressed the liquidity trade-off with Margaret before purchase, the outcome might shift to a finding of no violation.

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## Borderline Scenario 74

Topic: *reverse\_churning* | Standard: *Under Regulation Best Interest (Reg BI), broker-dealers recommending account types must con*

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### Fact Pattern

David and Susan Okafor, both age 55, moved their combined \$1.2 million retirement savings to an advisory account with wealth manager Patricia Simms in January 2020. The couple had recently sold a family business and wanted to invest the proceeds conservatively for retirement in 10 years. They told Simms they wanted a 'set it and forget it' approach - they were tired of managing money after decades of running a business and didn't want to be actively involved in investment decisions. Based on their stated moderate-conservative risk profile and 10-year horizon, Simms constructed a portfolio consisting of 40% in a diversified bond ETF ladder (total expense ratios averaging 0.06%), 25% in a low-cost S&P 500 index fund (0.03% expense ratio), 15% in an international developed markets index fund (0.07% expense ratio), 10% in a Treasury Inflation-Protected Securities fund (0.05% expense ratio), and 10% in a money market fund. The advisory account charged a flat 1.00% annual fee on assets under management, generating \$12,000/year in fees. Over the next three years (2020-2022), Simms rebalanced the portfolio twice annually - in June and December - restoring allocations to their target weights when they drifted beyond 3%. She also made two strategic adjustments: in March 2020, she reduced equity exposure by 5% during the COVID crash and restored it in June 2020, and in late 2021, she shortened the bond ETF duration ahead of anticipated rate increases. Beyond these actions, no other trades occurred. The total transaction count over 36 months was approximately 28 trades (across the semi-annual rebalances and two tactical moves). Simms also conducted annual reviews with the Okafors, updated their financial plan, provided tax-loss harvesting in the taxable portion, and was available for ad hoc consultations (the Okafors called her approximately 6 times over three years with questions). A subsequent review flagged the account because the limited trading activity and use of low-cost passive products suggested the Okafors might have been better served in a commission-based brokerage account, where the same portfolio could have been maintained for substantially less. In a brokerage account, the initial setup trades would have generated approximately \$600-\$900 in commissions, and semi-annual rebalancing trades might have cost \$200-\$400 per year, totaling roughly \$2,000-\$3,000 over three years versus the \$36,000 in advisory fees actually charged.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simms violated applicable standards: The fee differential is dramatic - the Okafors paid approximately \$36,000 in advisory fees over three years for a portfolio that generated only 28 trades and could have been replicated in a commission-based account for roughly \$2,000-\$3,000. The portfolio itself was composed entirely of low-cost index products that required minimal expertise to select and no active management skill. The 1.00% annual fee on a \$1.2 million account effectively consumed a significant portion of the portfolio's expected returns, particularly on the fixed-income allocation where yields were low during this period. The semi-annual rebalancing and two tactical moves, while competent, do not appear to justify a \$12,000 annual fee premium over a commission alternative. This pattern - charging an ongoing asset-based fee for a buy-and-hold portfolio - is the textbook definition of reverse churning. Arguments that Simms acted appropriately: The Okafors explicitly requested a 'set it and forget it' approach with ongoing professional management, which is precisely what an advisory account provides. The fee-based model aligns the advisor's interests with the clients' - Simms benefits when their portfolio grows, not when she trades. The advisory relationship included meaningful services beyond trade execution: a financial plan, annual reviews, tax-loss harvesting, ad hoc availability (6 calls over 3 years), and the two tactical moves during volatile markets (COVID crash and rate anticipation) that demonstrated genuine ongoing judgment.

The COVID-era tactical reduction and subsequent restoration likely saved or preserved significant value. The bond duration adjustment ahead of the 2022 rate increases showed proactive portfolio management that a commission-based client might not have received. A 1.00% advisory fee is at or below the industry average for accounts of this size. The Okafors were disclosed the fee arrangement, agreed to it, and received exactly the type of low-maintenance, professionally managed experience they requested. The fact that the advisor chose low-cost underlying investments actually demonstrates she was acting in their interest rather than layering expensive products.

### Why Borderline

This scenario represents the core tension in the reverse churning debate: at what point does the value of ongoing advisory services - monitoring, availability, planning, tactical judgment, behavioral coaching - fail to justify the cost premium over a transaction-based alternative? The Okafors' account was not neglected; Simms provided regular rebalancing, made two defensible tactical moves, conducted annual planning reviews, and was accessible. However, the \$33,000-\$34,000 cost differential over three years is substantial, and the portfolio's simplicity arguably didn't require the continuous oversight that a 1.00% fee implies. Reasonable professionals disagree about whether advisory services for a passive portfolio constitute sufficient value to justify the ongoing fee, especially when the clients themselves wanted minimal involvement - which could support either account type.

### Borderline Factors

- The \$36,000 in advisory fees versus \$2,000-\$3,000 estimated commission costs represents a 12:1 cost differential over three years
- Clients explicitly requested ongoing professional management and a hands-off experience, which is the value proposition of advisory accounts
- The portfolio consisted entirely of low-cost passive products requiring minimal selection expertise, but the advisor's choice of these products arguably benefited clients
- Two tactical moves during significant market events (COVID crash, rate increases) demonstrated active judgment that may have added meaningful value
- Tax-loss harvesting, financial planning, and availability for consultations are legitimate advisory services with real value
- A 1.00% fee is standard in the industry but that doesn't necessarily make it appropriate for this particular account
- The advisory fee model eliminates the incentive to over-trade, which is itself a client benefit
- The account was fully disclosed and the clients agreed to the fee arrangement
- 28 trades over 36 months is low activity but not negligible, and the frequency was driven by a disciplined rebalancing methodology

### Likely Outcome

A regulator would most likely decline to find a violation, though the account would warrant scrutiny. The key factors favoring Simms are: (1) the clients specifically requested ongoing management and minimal personal involvement, (2) the advisory relationship included demonstrable services beyond trade execution - financial planning, tax-loss harvesting, tactical adjustments, and availability, (3) the fee was disclosed and is within industry norms, and (4) the two tactical moves during volatile markets provided value that is difficult to quantify but potentially significant. However, a regulator might issue a cautionary finding or require the firm to document more thoroughly why the advisory account was recommended over a

commission alternative at the inception of the relationship. If Simms had no documentation of a cost comparison or rationale for the account type selection, the likelihood of an adverse finding increases meaningfully.

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## Borderline Scenario 75

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment*

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### Fact Pattern

Margaret Kowalski, age 62, was a recently retired school administrator with a pension providing \$4,800/month, Social Security of \$2,400/month, and a \$620,000 rollover IRA from her 403(b). She had no mortgage, modest living expenses of about \$5,500/month, and listed her investment objective as 'growth and income' with a 'moderate' risk tolerance on her new account paperwork. She told her advisor, Daniel Reeves, that she wanted to 'make the money work harder than just sitting in CDs' and was frustrated that her bank savings account was yielding under 1%. She also mentioned she had a \$95,000 emergency fund in a money market account and did not anticipate needing the IRA funds for at least 8-10 years, as her pension and Social Security more than covered her expenses. Reeves recommended she invest \$185,000 - roughly 30% of her IRA - into two structured notes: \$100,000 in a 5-year market-linked note tied to the S&P 500 with a 10% downside buffer and a capped upside of 42% over the term (roughly 7.3% annualized), and \$85,000 in a 7-year autocallable note tied to a basket of three large-cap tech stocks (Apple, Microsoft, and Alphabet) offering a 9.2% annual contingent coupon with a 30% knock-in barrier. The remaining \$435,000 of the IRA was allocated to a diversified mix of low-cost index funds (60% equity, 40% bonds). Reeves spent approximately 45 minutes explaining the structured notes, including the downside risks, the illiquidity (both notes carried early redemption penalties and limited secondary market availability), and the credit risk of the issuing bank (a major global institution rated A+ at the time). Margaret signed a structured products disclosure acknowledgment and a suitability questionnaire specific to the products. Eighteen months later, one of the tech stocks in the basket dropped 34% during a sector correction, breaching the knock-in barrier on the autocallable note, and the contingent coupon stopped paying. Margaret complained that she was never told she could lose significant principal and that Reeves should not have put a retiree into products this complex. Reeves's notes from the meeting, however, documented that he discussed the barrier risk, showed her a hypothetical loss scenario, and that Margaret specifically asked whether 'there was something that paid more than bonds but wasn't just regular stocks.' The issuing bank's credit remained solid throughout.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reeves violated his obligations: Margaret was a 62-year-old retiree, and structured notes - particularly autocallable notes tied to individual stock baskets - are complex instruments with embedded derivatives that many regulators view as inappropriate for unsophisticated retail investors. The 7-year autocallable note carried concentrated exposure to three tech stocks with a knock-in feature that could result in significant principal loss, which seems misaligned with a 'moderate' risk tolerance. The illiquidity of both products could also be problematic for a retiree, even one who claimed she wouldn't need the funds

for 8-10 years - retirees' needs can change unexpectedly due to health events. Some regulators have expressed concern that the complexity of structured products makes true informed consent difficult to obtain, regardless of disclosure paperwork signed. The 30% allocation to structured products is also meaningful - not a small satellite position. Arguments that Reeves acted appropriately: The allocation was limited to 30% of the IRA, with the remaining 70% in a diversified, low-cost portfolio. Margaret's pension and Social Security fully covered her living expenses with a surplus, and she had a separate \$95,000 emergency fund, meaning she had minimal liquidity needs from the IRA for the foreseeable future. The 5-year market-linked note had a 10% downside buffer and offered a reasonable risk-return tradeoff. Margaret explicitly expressed a desire for returns exceeding fixed income and was told about downside scenarios. Reeves documented his disclosures, spent meaningful time on education, and Margaret signed product-specific acknowledgments. The products came from a creditworthy issuer. The 8-10 year time horizon she stated matched or exceeded the product maturities. The fact that the knock-in barrier was breached does not retroactively make the recommendation unsuitable - a 30% decline in individual tech stocks, while not rare, was within the disclosed risk parameters. Under a best interest standard, the question is whether the recommendation was in the customer's best interest at the time it was made, considering reasonably available alternatives. Reeves could argue that the structured notes offered a differentiated risk-return profile that matched Margaret's stated preferences better than plain vanilla bonds or equity funds alone.

### Why Borderline

This case sits in a genuine gray area because the client profile cuts both ways: Margaret was a retiree (suggesting conservative needs), but she had substantial guaranteed income, a separate emergency fund, a long stated time horizon, and explicitly requested something beyond traditional fixed income. The 30% allocation to structured products is large enough to raise eyebrows but not so dominant that it overtakes the portfolio. The autocallable note's knock-in barrier was breached, which crystallized the risk, but the question is whether the recommendation was reasonable ex ante. The advisor's documentation of disclosures and the client's own stated preferences create a factual dispute about informed consent and suitability that could go either way.

### Borderline Factors

- Client was a retiree but had guaranteed income exceeding expenses and a separate emergency fund
- 30% allocation to structured products - significant but not a majority of the portfolio
- Client explicitly requested higher-yielding alternatives to CDs and bonds
  - Autocallable note tied to individual stock basket is more complex and concentrated than the market-linked note
- 7-year illiquidity on one product is long for a 62-year-old, though within her stated 8-10 year horizon
- Advisor documented risk disclosures and client signed product-specific acknowledgments
  - Moderate risk tolerance designation is ambiguous - structured notes may or may not fit within that category
- Loss was triggered by a sector-specific correction, a known risk that was disclosed
- Complexity of products raises questions about whether true informed consent was possible

### Likely Outcome

A regulator would likely scrutinize this case closely but could go either way. The 5-year buffered note would probably survive scrutiny given the downside protection and reasonable structure. The 7-year autocallable

note tied to three individual tech stocks is the more problematic recommendation - a regulator might find that the concentrated single-stock basket exposure and long illiquidity period were not in the best interest of a moderate-risk retiree, even with her favorable income profile. The most likely outcome is a negotiated settlement or a finding of a partial violation with respect to the autocallable note, with mitigating credit given for the overall portfolio construction, documentation, and the client's expressed preferences. A panel might split on this case.

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## Borderline Scenario 76

Topic: *tax\_deferred\_unnecessary\_annuity* | Standard: *FINRA Rule 2111 (Suitability) and its supplementary materials specifically add*

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### Fact Pattern

Richard and Anna Bergstrom, both age 55, met with their financial advisor, Patricia Linden, in March 2022 to discuss what to do with \$340,000 in Richard's traditional IRA that was invested entirely in a money market fund earning 0.15%. Both were employed - Richard as a logistics manager earning \$125,000 annually and Anna as a dental hygienist earning \$72,000. They had a combined \$180,000 in 401(k) accounts through their employers, a \$45,000 taxable brokerage account, \$30,000 in savings, and a paid-off home valued at approximately \$410,000. They told Linden they planned to retire at 65, wanted guaranteed income in retirement, were 'very nervous about another 2008,' and had not invested the IRA money beyond the money market fund for the past four years because they were afraid of market losses. Their risk tolerance questionnaire scored them as 'conservative.' Linden recommended they move \$270,000 of the IRA into a fixed indexed annuity (FIA) with an optional guaranteed lifetime withdrawal benefit (GLWB) rider. The FIA credited interest based on the S&P 500's annual point-to-point performance with a 10% cap and a 0% floor (no losses from index performance). The base product had a 10-year surrender period with declining surrender charges starting at 9% in year one and reducing to 0% after year 10. The GLWB rider guaranteed a 6.5% annual rollup on the benefit base during the deferral period (not applicable to the actual account value) and guaranteed lifetime withdrawals of 5.5% of the benefit base starting at age 65. The all-in annual cost of the rider was 1.10% deducted from the account value. The remaining \$70,000 of the IRA was placed into a short-term bond fund. Linden received a 5.5% commission (\$14,850) from the annuity carrier on the \$270,000 placement. Two years later, the Bergstroms' adult son suffered a serious accident, and they wanted to access \$80,000 from the annuity to help with his medical expenses. They were told they would face a 7% surrender charge (\$5,600) plus a potential market value adjustment. They filed a complaint alleging that Linden should never have placed IRA money - which is already tax-deferred - into an annuity that adds another layer of tax deferral with no additional tax benefit, and that the 10-year surrender period was inappropriate. Linden responded that the Bergstroms specifically wanted principal protection and guaranteed income, that the FIA's 0% floor addressed their fear of market losses, that the GLWB rider provided the exact retirement income guarantee they requested, and that the IRA's tax-deferred status was irrelevant because the annuity was recommended for its insurance features, not its tax deferral. She also noted she advised them to keep \$70,000 liquid in the bond fund and that the 10-year surrender period aligned with their 10-year time horizon to retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?



### Analysis

Arguments that Linden violated her obligations: Placing an annuity inside an IRA is a well-known red flag because the IRA already provides tax deferral, so the tax-deferral feature of the annuity - typically its primary advantage - is redundant. This means the client is paying for a feature (through reduced liquidity, surrender charges, and rider fees) they already have. The 1.10% annual rider fee erodes the account value over time, and the 10-year surrender period with charges up to 9% severely restricts access to a large portion of the client's retirement savings. The Bergstroms had relatively modest total liquid assets (\$340,000 IRA + \$45,000 brokerage + \$30,000 savings), and locking up \$270,000 (roughly 65% of liquid assets) for 10 years with heavy penalties is aggressive for a couple in their mid-50s who could face unexpected expenses - as indeed happened. The \$14,850 commission creates a significant conflict of interest, particularly when lower-cost alternatives such as Treasury bonds, CDs, or target-date funds could have provided capital preservation without the illiquidity or cost. A diversified conservative portfolio of bonds, TIPS, and some equity could have provided reasonable downside protection with full liquidity.

Arguments that Linden acted appropriately: The Bergstroms had a specific, clearly articulated set of needs: principal protection, guaranteed retirement income, and relief from market anxiety that had paralyzed them into holding cash for four years. The FIA with the GLWB rider directly addressed every stated concern - the 0% floor meant they could never lose money from index performance, and the GLWB provided a contractual lifetime income guarantee that no mutual fund, bond fund, or CD could replicate. The 'annuity inside an IRA' concern, while valid regarding tax duplication, does not account for the insurance guarantees - the annuity was recommended for its protective and income features, not its tax wrapper. The 6.5% rollup on the benefit base and guaranteed 5.5% withdrawal rate at 65 provided planning certainty. The 10-year surrender period exactly matched their retirement timeline, and Linden kept \$70,000 in a liquid bond fund plus they had \$75,000 in other accessible accounts. The surrender charges, while significant, are standard for FIAs with rich GLWB riders. The fact that an unforeseen family emergency created a liquidity need two years later does not retroactively make the recommendation unsuitable. The commission, while substantial, was paid by the carrier and is standard for the product - and the question is whether the product itself was suitable, not whether the advisor was compensated.

### Why Borderline

This is a genuine gray area because the 'annuity in an IRA' issue is not automatically disqualifying - regulators and industry practitioners have long debated whether the insurance features of an annuity can independently justify placement inside a tax-qualified account. The clients' extreme risk aversion and explicit desire for guaranteed income arguably make the FIA with GLWB one of the few products that precisely matches their needs. However, the high commission, 10-year surrender period, annual rider costs, and concentration of assets in an illiquid product create legitimate concerns about whether less expensive and more liquid alternatives could have achieved substantially similar outcomes. The emergency liquidity need that arose later was unforeseeable but highlights the risk of the recommendation.

### Borderline Factors

- Tax-deferred annuity inside a tax-deferred IRA provides redundant tax benefit - a classic red flag
- But the annuity was arguably recommended for insurance features (0% floor, GLWB), not tax deferral
- Clients had been paralyzed by market fear for 4 years, sitting in cash - FIA directly addressed this behavioral issue
- 10-year surrender period matched the stated 10-year retirement timeline
- \$270,000 represented roughly 65% of total liquid assets - significant concentration in an illiquid product

- \$14,850 commission creates conflict of interest, though it is standard for the product type
  - 1.10% annual rider fee reduces account value over time, but provides a contractual guarantee unavailable elsewhere
- Advisor retained \$70,000 in liquid bond fund and couple had \$75,000 in other accessible accounts
- Unforeseen emergency two years later is not evidence of unsuitability at time of recommendation
- Lower-cost alternatives (CDs, Treasuries, bond funds) existed but could not replicate the guaranteed lifetime income feature

### Likely Outcome

A regulator would likely find this a close case. The annuity-in-IRA flag would trigger heightened scrutiny, and the regulator would examine whether Linden adequately documented why the insurance features justified the additional costs and illiquidity beyond what the IRA's existing tax deferral provided. The strong documentation of client preferences and the behavioral dimension (four years of cash paralysis) would weigh in Linden's favor. However, the concentration of 65% of liquid assets in a product with a 10-year surrender period, combined with the high commission, might lead a regulator to find that a somewhat smaller allocation - perhaps \$175,000-\$200,000 - with more kept in liquid conservative investments would have better served the clients. The most likely outcome is a cautionary letter or a modest settlement rather than a finding of a clear violation, with the regulator noting that the advisor should have more thoroughly considered and documented why alternatives were inferior and why the concentration level was appropriate.

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## Borderline Scenario 77

*Topic: lack\_of\_diversification | Standard: FINRA Rule 2111 (Suitability) - particularly the customer-specific suitability obligation requiring*

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### Fact Pattern

Margaret Cho, age 58, is a retired schoolteacher with a \$620,000 IRA rollover and a separate \$180,000 savings account at a local bank. She told her financial advisor, Dennis Hartwell, that she wanted 'steady income to supplement my pension' and described herself as having 'moderate' risk tolerance on her new account paperwork. She also mentioned during their initial meeting that she had always been a fan of utility stocks because her late husband had worked for a regional power company for 30 years, and she felt she 'understood that business.' Over the course of eight months, Hartwell built a portfolio for Margaret's IRA that consisted of 14 different utility company stocks and two utility-sector bond funds, representing approximately 87% of the IRA's value. The remaining 13% was allocated to a money market fund. Hartwell's notes from three separate meetings indicate that Margaret repeatedly expressed enthusiasm for utility holdings and pushed back when he briefly mentioned adding healthcare or consumer staples stocks, saying she 'didn't trust industries she didn't understand.' The portfolio generated a yield of approximately 4.1%, which exceeded Margaret's stated income need of \$2,000 per month. Over the following 18 months, the portfolio declined 14% during a period of rising interest rates that hit utility stocks particularly hard, while a broad market index rose 8% over the same period. Margaret filed a complaint alleging that Hartwell failed to properly diversify her retirement account and exposed her to unnecessary sector risk at a critical stage of her retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Hartwell violated his obligations: The portfolio was concentrated approximately 87% in a single sector, which represents a significant departure from standard diversification principles for a 58-year-old retiree dependent on the account for income. Utility stocks, while often considered defensive, carry meaningful interest rate risk, which materialized here. A moderate risk tolerance designation does not typically support near-total sector concentration. Hartwell had an obligation to exercise professional judgment even when a client expresses preferences, and a reasonably prudent advisor would recognize that a client's emotional attachment to a sector (based on a deceased spouse's career) does not constitute informed investment rationale. The 14% decline versus an 8% market gain demonstrates the real cost of the concentration. Under FINRA Rule 2111 (suitability) and its three components - reasonable-basis, customer-specific, and quantitative suitability - the customer-specific prong requires that the recommendation be suitable for the particular customer. For broker-dealers subject to Regulation Best Interest, the care obligation under Rule 15l-1 of the Exchange Act requires the advisor to exercise reasonable diligence, care, and skill and consider reasonably available alternatives. Under either framework, recommending 87% sector concentration for a moderate-risk retiree is questionable. Arguments that Hartwell acted appropriately: The portfolio met Margaret's stated primary objective - income generation - delivering 4.1% yield that exceeded her \$2,000/month need. The 14 individual stocks within the utility sector did provide some company-level diversification, even if sector diversification was lacking. Hartwell documented three separate conversations where Margaret resisted broader diversification and affirmatively directed the utility-heavy approach. She had an \$180,000 bank savings account outside this portfolio, meaning her total financial picture was not entirely concentrated. Hartwell did allocate 13% to money market for liquidity. Under the customer-specific suitability framework, client-directed preferences carry weight, and FINRA has recognized that where a customer directs a particular strategy after being informed of alternatives, the analysis shifts. Additionally, utilities are generally considered lower-volatility, income-producing holdings appropriate for retirees, even if concentration was high.

### Why Borderline

This case sits in a genuine gray area because the advisor documented multiple instances of the client affirmatively choosing concentration over diversification, the portfolio met her stated income objective, and she had outside assets providing some buffer. However, the degree of concentration (87% in one sector) is extreme by any professional standard, the client's emotional rationale (husband's career) arguably called for more professional pushback rather than accommodation, and the client's moderate risk profile and retirement status create heightened duty concerns. Reasonable practitioners disagree about where client autonomy ends and professional obligation to protect begins.

### Borderline Factors

- Client repeatedly and affirmatively directed the concentration strategy across three documented meetings
- 87% single-sector concentration is extreme even for an aggressive investor, let alone a moderate-risk retiree
- Portfolio met the client's primary stated income objective of \$2,000/month
- Client had \$180,000 in outside bank savings providing some diversification at the household level
- Client's emotional attachment to utilities (deceased husband's career) may not constitute informed

investment preference

- Utility stocks are generally considered defensive and income-producing, partially mitigating concentration concerns
- The 14% decline during rising rates demonstrates the specific risk of sector concentration that a professional should have anticipated
- Advisor briefly mentioned alternatives but documentation does not show robust discussion of concentration risks

### Likely Outcome

A regulator would likely find a violation, but potentially impose a moderate sanction rather than severe penalties. While client preferences are relevant, most arbitration panels and regulators hold that an advisor cannot simply defer to a client's uninformed sector preference when the resulting concentration is this extreme for a retirement account. The documented client pushback would likely mitigate damages or sanctions but not eliminate liability, particularly because Hartwell's notes suggest he only 'briefly mentioned' alternatives rather than providing a thorough explanation of concentration risk. A FINRA arbitration panel would likely award partial damages, perhaps 40-60% of losses, recognizing comparative fault.

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## Borderline Scenario 78

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)*, particularly *reasonable-basis suitability* requiring the advisor

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### Fact Pattern

Ryan Delacroix, age 44, is a senior software engineer earning \$245,000 annually with a net worth of approximately \$1.9 million, including a \$740,000 brokerage account managed by his advisor, Pamela Ngo, at a mid-size wealth management firm. Ryan indicated on his account documents that he had 'aggressive' risk tolerance, 10+ years of investing experience, and a time horizon of 15-20 years. In March, during a scheduled portfolio review, Ryan told Pamela he was 'very bullish on semiconductors for the next several years' due to AI-driven demand and wanted 'maximum exposure.' Pamela recommended he allocate \$148,000 - approximately 20% of his brokerage portfolio - to a 2x leveraged semiconductor ETF. She explained during the meeting that the product used daily leverage and was 'designed for shorter holding periods' but noted that in a sustained uptrend, it could significantly outperform a standard semiconductor ETF. Ryan signed an options and leveraged products disclosure document acknowledging the risks of leveraged products, including volatility decay. Over the next 11 months, Ryan held the position without any rebalancing. During that period, the underlying semiconductor index rose approximately 22%, but the 2x leveraged ETF returned only 31% rather than the 44% a naive investor might expect, due to volatility drag during two significant intra-period drawdowns of 15% and 12%. Ryan's \$148,000 position grew to approximately \$193,880. However, Ryan filed a complaint arguing that Pamela should never have recommended a leveraged ETF as a long-term holding, that the \$14,120 in 'lost' returns relative to a theoretical perfect 2x return constituted damages, and that the product was fundamentally unsuitable for his stated multi-year time horizon.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Pamela violated her obligations: Leveraged ETFs are widely understood within the industry to be designed for short-term, typically single-day, holding periods. The prospectuses of virtually all leveraged ETFs contain prominent warnings that holding periods longer than one day can produce returns that deviate significantly from the target multiple. Multiple regulatory guidance documents have cautioned that leveraged ETFs are generally unsuitable for buy-and-hold investors. By recommending a 2x leveraged ETF to a client with a 15-20 year time horizon and then allowing the client to hold it for 11 months without active rebalancing or check-ins specifically about the leveraged position, Pamela arguably failed to exercise reasonable professional judgment. Under FINRA Rule 2111 and particularly FINRA Regulatory Notice 09-31 (which specifically addresses leveraged and inverse ETFs), firms and advisors have heightened obligations to ensure these products are suitable. The care obligation under Regulation Best Interest similarly requires consideration of risks and reasonably available alternatives - a standard semiconductor ETF would have captured the upside without volatility decay. Arguments that Pamela acted appropriately: Ryan is a sophisticated, high-income investor with aggressive risk tolerance and substantial investing experience. The \$148,000 position represented only 20% of his brokerage account and roughly 8% of his total net worth - a meaningful but not outsized allocation. Pamela did disclose that the product used daily leverage and was designed for shorter holding periods, and Ryan signed a specific risk disclosure document. The position actually generated a positive return of approximately 31% (\$45,880 in gains) over 11 months - Ryan profited substantially. The 'damages' Ryan claims (\$14,120 in theoretical underperformance relative to a perfect 2x return) represent a reduced gain rather than an actual loss. Academic research has shown that in strongly trending markets, leveraged ETFs can outperform over extended periods, and Pamela's observation about sustained uptrends was not inaccurate. Ryan specifically requested maximum semiconductor exposure, and the leveraged ETF delivered significantly more return than a standard semiconductor ETF (which would have returned approximately 22%, or \$32,560, versus the \$45,880 Ryan actually earned).

### Why Borderline

This case is genuinely ambiguous because the product is widely flagged as unsuitable for long-term holding - a point that cuts strongly against the advisor - yet the client was sophisticated, the position was reasonably sized within the overall portfolio, proper disclosures were made, the client affirmatively wanted maximum exposure, and the investment actually generated substantial profits. The complaint essentially argues the advisor should have recommended a strategy that would have made the client less money. Regulators have strong institutional views against leveraged ETFs for extended holding periods, but the specific facts here - profitable outcome, sophisticated client, reasonable position sizing, and documented disclosure - make the case considerably harder to prosecute than a typical leveraged ETF complaint.

### Borderline Factors

- Leveraged ETFs are widely considered unsuitable for holding periods beyond one day, creating strong presumption against the recommendation
- Client is a high-income, sophisticated investor with self-described aggressive risk tolerance and 10+ years of experience
- Position represented 20% of the brokerage account (~8% of net worth), a meaningful but not reckless allocation
- Advisor disclosed the daily-reset nature and shorter-period design of the product, and client signed a risk acknowledgment

- The position generated a 31% return (\$45,880 profit) - client made money and outperformed an unleveraged alternative
- Claimed 'damages' are theoretical underperformance relative to a perfect 2x multiple, not actual losses
- Advisor did not proactively rebalance or check in on the leveraged position during the 11-month holding period
- Client specifically requested 'maximum exposure' to the sector, and a leveraged ETF was arguably responsive to that request
- Industry guidance strongly discourages recommending leveraged ETFs for buy-and-hold strategies regardless of client sophistication

### Likely Outcome

A regulator would likely issue a cautionary action or a modest fine focused on the process failure (recommending a product designed for short-term trading to a client with a stated long-term horizon and then not actively monitoring the holding period) rather than on the outcome. The absence of actual financial harm significantly weakens the enforcement case, but regulators have historically pursued leveraged ETF cases on a per-se suitability theory regardless of outcome. A FINRA examination might result in a deficiency letter to the firm regarding its supervisory procedures for leveraged product recommendations. In arbitration, the claim would likely be denied or result in minimal damages given the profitable outcome, though a panel might award the theoretical volatility-drag losses of approximately \$14,120 if it adopts a strict product-suitability analysis. Most likely outcome: a supervisory finding against the firm with no significant monetary penalty to the advisor.

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## Borderline Scenario 79

Topic: *unsuitable\_income\_investor* | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for

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### Fact Pattern

Margaret Ellison, age 69, retired schoolteacher, met with her financial advisor, Derek Huang, in March 2022 to discuss repositioning her \$620,000 portfolio. Margaret's stated goals on her new account form were 'reliable monthly income to supplement my pension' and 'preservation of principal.' Her pension provided \$3,200/month, Social Security added \$1,900/month, and she estimated her monthly expenses at \$5,800, leaving a shortfall of roughly \$700/month. She had no debt, owned her home outright, and listed her risk tolerance as 'moderate-conservative.' She also noted on the form that she wanted to 'keep pace with inflation' and mentioned during their meeting that she was worried about rising prices eroding her purchasing power. Derek recommended allocating 35% of the portfolio (\$217,000) to a diversified portfolio of investment-grade corporate bonds yielding approximately 4.2%, 25% (\$155,000) to a high-yield bond fund with a trailing 12-month yield of 6.8% and an expense ratio of 0.74%, 20% (\$124,000) to dividend-paying equity ETFs focused on utilities and consumer staples with an average dividend yield of 3.5%, 10% (\$62,000) to a floating-rate bank loan fund yielding 5.1%, and the remaining 10% (\$62,000) to Treasury Inflation-Protected Securities. The blended portfolio yield was approximately 4.7%, generating roughly \$29,140 annually or about \$2,428/month - well above her \$700 income gap. Margaret signed off on the allocation after Derek walked her through the holdings. Over the next 14 months, as interest rates rose sharply, the high-yield bond fund declined 9.2% in value, the investment-grade corporate bonds lost approximately 6% in market value, and the equity ETFs dropped about 11%. The overall portfolio declined



to approximately \$558,000, a loss of roughly \$62,000 or 10%. Margaret's income distributions remained steady throughout this period, and she never needed to sell any holdings. She filed a complaint in June 2023 stating that Derek had put too much of her retirement savings into risky investments and that a 10% loss was unacceptable for someone her age seeking income and capital preservation. Derek responded that the portfolio was generating income well in excess of her needs, that the losses were unrealized and driven by an unprecedented rate-hiking cycle, that the TIPS and floating-rate allocations were specifically chosen as inflation hedges per her stated concern, and that the portfolio's overall credit quality remained strong with no defaults.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated his obligations: Margaret was 69, retired, and explicitly listed 'preservation of principal' as a goal. A 10% unrealized loss in 14 months is significant for a retiree with limited ability to recover losses through future earnings. The 25% allocation to high-yield bonds - which carry materially higher credit risk than investment-grade debt - is arguably aggressive for a moderate-conservative investor. Combined with 20% in equities, nearly half the portfolio (45%) was in assets with meaningful volatility and drawdown risk. A more conservative approach - heavier in short-duration Treasuries, CDs, or money market instruments - could have met her \$700/month income gap with far less principal risk, especially since her gap was modest relative to portfolio size. Regulators have historically scrutinized high-yield bond allocations for conservative retirees. Arguments that Derek acted appropriately: Margaret had two stated goals that existed in tension - income/preservation AND inflation protection. Derek addressed both, using TIPS and floating-rate loans as inflation hedges. The income generated (\$2,428/month) was 3.5x her actual need, providing a substantial cushion. The high-yield fund was diversified (not individual junk bonds), with an expense ratio well within industry norms. The 10% loss was entirely unrealized and attributable to a macroeconomic event (historic rate increases) that affected virtually all fixed-income portfolios. Margaret never had to sell at a loss and her income stream was uninterrupted. A portfolio of only short-term Treasuries and CDs in early 2022 would have yielded under 1%, failing to meet even her modest income gap and completely ignoring her inflation concern. The overall allocation - 70% fixed income, 20% equity, 10% TIPS - is within the range commonly recommended for retirees with moderate-conservative risk tolerance. Under quantitative suitability analysis, there was no excessive trading; this was a single portfolio construction event.

### Why Borderline

This case sits in a genuine gray area because the advisor had to balance two partially contradictory client objectives (principal preservation vs. inflation protection), and the portfolio construction was reasonable for addressing both but resulted in losses that a purely preservation-focused portfolio would have largely avoided. The high-yield allocation is the most debatable element - it boosted income but introduced credit and volatility risk that a stricter reading of 'preservation of principal' would not tolerate. However, the income generation was robust, no holdings defaulted, and losses were unrealized. Reasonable practitioners could disagree about whether the 25% high-yield allocation was a prudent income solution or an inappropriate risk for this client profile.

### Borderline Factors

- Client's dual objectives (preservation AND inflation protection) created inherent tension in portfolio

construction

- 25% high-yield bond allocation is debatable for a moderate-conservative retiree but not extreme
- 10% unrealized loss is meaningful for a retiree but within normal market fluctuation for a 70/20/10 portfolio

portfolio

- Income generation far exceeded the client's actual stated need, suggesting the advisor could have used safer instruments

- Losses were driven by macro conditions (rate hikes) rather than poor security selection or inappropriate credit risk

- Client signed off on the allocation after a walkthrough, suggesting informed consent

- Portfolio had no defaults, no realized losses, and uninterrupted income distributions

- A much simpler, safer portfolio could have met the \$700/month gap but would have ignored the inflation concern

### Likely Outcome

A regulator would likely find this to be a close call but ultimately decline to pursue a formal action, particularly given that the income objective was met, losses were unrealized, and the advisor documented the client's inflation concern. However, the regulator might issue a cautionary letter or require enhanced documentation practices, noting that the 25% high-yield allocation pushed the boundary of what 'moderate-conservative' and 'preservation of principal' reasonably permit. In arbitration, a panel would likely find the advisor did not violate suitability given the dual objectives and the fact that the portfolio performed as designed from an income standpoint. The result might differ if the client had been forced to liquidate at a loss.

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## Borderline Scenario 80

Topic: *mutual\_fund\_switching\_churning* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based*

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### Fact Pattern

Carlos Medina, age 54, a self-employed electrician earning approximately \$145,000/year, maintained a brokerage account with advisor Patricia Lansing since 2017. His account held approximately \$340,000, primarily in mutual funds, with a stated objective of 'growth' and a risk tolerance marked as 'moderate.' Between January 2021 and December 2023, Patricia recommended that Carlos switch between mutual funds on seven occasions across his portfolio. The switches were as follows: (1) January 2021 - moved \$85,000 from a large-cap growth fund (Fund A, expense ratio 0.68%, 3-year annualized return 22.1%) to a different large-cap growth fund (Fund B, expense ratio 0.55%, 3-year annualized return 24.3%), incurring a front-end load of 3.75% (\$3,187); (2) June 2021 - moved \$60,000 from an international equity fund to a global equity fund with broader U.S. exposure after Carlos expressed concern about emerging market volatility, incurring a 2.5% load (\$1,500); (3) November 2021 - moved \$45,000 from a mid-cap value fund to a mid-cap blend fund with a lower expense ratio (0.92% to 0.61%), incurring a 3.0% load (\$1,350); (4) April 2022 - moved \$70,000 from Fund B to a large-cap dividend growth fund as markets began declining, incurring a 3.5% load (\$2,450); (5) September 2022 - moved \$40,000 from a bond allocation fund to a short-duration bond fund to reduce interest rate sensitivity, no load but a 1% redemption fee (\$400); (6) March 2023 - moved \$55,000 from the large-cap dividend growth fund back into a large-cap growth fund (Fund C, different fund family from Fund A or B) as markets recovered, incurring a 3.75% load (\$2,062); (7)

October 2023 - moved \$35,000 from the global equity fund into a technology sector fund, incurring a 4.25% load (\$1,487). Total front-end loads and redemption fees paid over the three-year period were approximately \$12,436. Patricia's commission income from these switches was approximately \$9,800. The account's overall annualized return during this period was approximately 6.2%, compared to a blended benchmark return of approximately 7.8%. The annualized cost-to-equity ratio was approximately 1.9%, and the turnover ratio was roughly 0.48 over three years (annualized ~0.16). Carlos did not complain during this period and approved each transaction after Patricia explained her rationale. When Carlos later reviewed his statements with a fee-only advisor in early 2024, he filed a complaint alleging that the switches were unnecessary, that the funds were substantially similar, and that Patricia had churned his account to generate commissions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Patricia engaged in unsuitable switching: Several of the switches involved moving between funds in the same asset class or with substantially similar investment objectives (e.g., large-cap growth Fund A to large-cap growth Fund B, and later back to large-cap growth Fund C). The \$12,436 in total transaction costs over three years represents approximately 3.7% of the portfolio's starting value, creating a significant drag on returns. The account underperformed its blended benchmark by roughly 1.6% annually, and a meaningful portion of that gap can be attributed to the switching costs. Switch #6 (back into large-cap growth after moving away in Switch #4) suggests a pattern of round-tripping - moving out of and back into substantially similar exposure. Patricia's commission income of \$9,800 creates a clear financial incentive. Historically, switches between funds in the same category with similar performance characteristics raise red flags for mutual fund switching abuse. Arguments that Patricia acted appropriately: The turnover ratio of approximately 0.16 annualized is well below the thresholds typically associated with churning (which often exceed 2.0 for equity accounts and sometimes 4.0-6.0 for clear violations). The cost-to-equity ratio of 1.9% is at the low end of what regulators typically consider excessive (thresholds often cited are 2% as a potential concern and 3%+ as presumptive). Each switch had an articulable rationale: Switch #1 moved to a fund with lower expenses and stronger historical performance; Switch #2 responded to the client's own stated concern; Switch #3 reduced ongoing expenses; Switch #4 was a defensive repositioning during a bear market; Switch #5 reduced duration risk during a rising rate environment; Switch #6 repositioned for market recovery; Switch #7 added tactical sector exposure. Several switches moved into funds with lower expense ratios, meaning the ongoing annual cost savings would eventually offset the one-time load charges - for example, Switch #3's 31-basis-point expense reduction on \$45,000 would recoup the \$1,350 load in approximately 9.7 years, which is within Carlos's investment horizon. The seven switches over 36 months average one switch every 5+ months, which is not an unusually high frequency. Carlos approved every transaction and had moderate growth objectives that contemplate active management.

### Why Borderline

This case is genuinely ambiguous because the quantitative indicators of churning (turnover ratio, cost-to-equity ratio) fall below the thresholds typically used to establish presumptive violations, yet the qualitative pattern - particularly the movement between substantially similar large-cap growth funds and the apparent round-tripping - raises legitimate concerns about whether these switches served the client's interest or the advisor's wallet. The aggregate costs were material but not extreme, and each individual

switch had a facially reasonable justification. The case turns on whether regulators evaluate the switches individually (where most appear defensible) or as a pattern (where the cumulative cost drag and fund similarity become more concerning).

### Borderline Factors

- Turnover ratio (~0.16 annualized) and cost-to-equity ratio (~1.9%) fall below traditional quantitative churning thresholds
- Seven switches in 36 months is moderate frequency - not clearly excessive but not clearly benign
- Several switches involved movement between substantially similar fund categories (large-cap growth to large-cap growth)
- Switch #6 appears to be a round-trip back into large-cap growth after Switch #4 moved away, which is a red flag
- Each individual switch had an articulable rationale (lower expenses, client-directed concern, defensive repositioning, tactical allocation)
- Total transaction costs of \$12,436 (3.7% of starting portfolio) are material but not extreme over three years
- Account underperformed benchmark by 1.6% annually, but causation is difficult to isolate from market timing vs. cost drag
- Client approved each transaction but may not have understood the cumulative cost impact
- Some switches produced genuine ongoing expense savings that partially offset the load charges over time
- Advisor earned \$9,800 in commissions, creating a financial incentive but not an outsized one relative to the account size and period

### Likely Outcome

A regulator would likely open an examination and request documentation of the rationale for each switch, particularly Switches #1, #4, and #6 involving large-cap growth funds. The outcome would likely depend heavily on the quality of Patricia's contemporaneous documentation. If she maintained detailed notes showing each recommendation was discussed with the client, the specific rationale, and a comparison of the old and new funds, a regulator would likely issue a cautionary action or heightened supervision requirement rather than a formal enforcement action, given that the quantitative metrics are below traditional thresholds. However, if documentation is thin, the qualitative pattern of switching between similar funds - especially the round-trip - could support a finding of unsuitable switching. In a FINRA arbitration, a panel would likely award partial damages (perhaps the load charges on the most questionable switches - #1, #6, and possibly #7) but not find systematic churning given the low turnover rate. A likely award might be in the range of \$5,000-\$7,000 representing the loads on the least defensible switches.

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## Borderline Scenario 81

*Topic: private\_placements\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis fo*

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### Fact Pattern

Gerald Whitfield, age 58, is a semi-retired commercial real estate developer who sold his development company in 2021 for \$4.2 million. He retained \$1.8 million in liquid investments managed by his advisor,

Danielle Kowalski, at a mid-sized wealth management firm. Gerald's remaining net worth of approximately \$2.4 million consisted of three rental properties generating \$14,000 per month in passive income. Gerald's investment questionnaire, completed in January 2022, listed his risk tolerance as 'moderate to aggressive,' his investment horizon as 10-15 years, his primary goal as 'growth with some income,' and noted prior experience investing in real estate partnerships and one oil-and-gas limited partnership in 2014. Gerald told Danielle he wanted to 'stay close to real estate' and was 'open to things that aren't publicly traded' since he understood illiquidity from his development career. In March 2022, Danielle recommended Gerald invest \$360,000 (20% of his liquid portfolio) into a Regulation D private placement offering from Apex Real Estate Credit Fund III, a non-traded fund investing in mezzanine debt on commercial real estate projects. The fund had a 7-year lockup with no redemption rights for the first 3 years, a 1.5% annual management fee, a 2% upfront placement fee, and projected annual distributions of 8-10%. The offering memorandum disclosed risks including total loss of principal, lack of liquidity, reliance on a single management team, and subordination to senior lenders. Danielle provided Gerald with the offering memorandum and a separate summary of risks, which Gerald signed acknowledging receipt. She did not present alternative vehicles such as publicly traded REITs, real estate ETFs, or interval funds that invested in similar commercial real estate debt. Gerald's existing portfolio at the time consisted of 45% equities (large-cap and mid-cap blend), 30% investment-grade bonds, 15% in a publicly traded REIT fund, and 10% cash. Nine months after investing, Apex announced it was suspending distributions due to rising interest rates and distress among several borrower projects. Gerald filed a complaint alleging Danielle steered him into an illiquid, high-fee product without exploring lower-cost, more liquid options that would have provided similar real estate exposure.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Danielle failed to present or consider reasonably available alternatives that could have achieved Gerald's stated goals with lower fees, greater liquidity, and less concentration risk. Publicly traded REITs, real estate debt ETFs, and interval funds offer similar real estate credit exposure at significantly lower cost and with redemption features. The 2% upfront placement fee and 7-year lockup represent material disadvantages compared to alternatives. A 20% allocation to a single illiquid private placement is a meaningful concentration in one issuer. Danielle's compensation from the placement fee could suggest a conflict of interest influencing the recommendation. The suspension of distributions, while not foreseeable with certainty, underscores the risk profile that may not have been adequately weighed against alternatives.

Arguments against a violation: Gerald was a sophisticated investor with direct experience in illiquid real estate investments and limited partnerships. His net worth of \$4.2 million, combined with \$14,000 per month in rental income, provided substantial liquidity and cash flow outside the invested amount, meaning the lockup period posed limited practical hardship. The \$360,000 investment represented only about 8.6% of his total net worth. Gerald's own stated preferences-wanting to 'stay close to real estate' and being 'open to things that aren't publicly traded'-directly aligned with the recommendation. His risk questionnaire indicated moderate-to-aggressive tolerance with a long time horizon. The projected 8-10% distribution was meaningfully higher than what publicly traded alternatives were offering at the time. Danielle provided full disclosure of risks through the offering memorandum and a separate summary. The subsequent

suspension of distributions reflects market conditions rather than an inherently flawed recommendation at the time it was made. Gerald met accredited investor thresholds and had the financial sophistication to evaluate the investment.

### Why Borderline

This case sits in a genuine gray zone because the client profile-sophisticated, wealthy, experienced with illiquid real estate, and explicitly requesting non-traded real estate exposure-cuts strongly in favor of suitability. However, the advisor's failure to present or document consideration of lower-cost, more liquid alternatives that could have met similar objectives raises a legitimate question about whether the recommendation was truly in the client's best interest or was influenced by the higher compensation the private placement generated. The outcome (suspended distributions) creates hindsight bias but also illustrates the materialized downside risk of the illiquid structure.

### Borderline Factors

- Client was a sophisticated accredited investor with direct experience in illiquid real estate partnerships
- Client explicitly requested non-publicly traded real estate investments
- 20% of liquid portfolio but only ~8.6% of total net worth, with substantial outside cash flow from rental properties
- Advisor did not document consideration of lower-cost, more liquid alternative vehicles
- 2% upfront placement fee and 1.5% management fee significantly exceed costs of publicly traded alternatives
- Potential compensation conflict from placement fees versus trailing commissions on mutual funds or ETFs
- 7-year lockup is aggressive but client had a 10-15 year horizon and independent income sources
- Distribution suspension was driven by macro conditions not foreseeable at time of recommendation

### Likely Outcome

A regulator would likely issue a cautionary letter or modest fine rather than a severe sanction. The client's sophistication, explicit preferences, accredited status, and overall financial picture make a strong suitability argument. However, the lack of documented alternatives analysis and the compensation differential would draw scrutiny. A regulator applying a best interest standard would likely find the failure to consider or present alternatives to be a procedural deficiency, even if the recommendation was substantively reasonable. The advisor would likely be required to enhance documentation practices. If the firm's supervisory procedures did not require alternatives analysis for private placements, the firm could face a supervisory deficiency finding as well.

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## Borderline Scenario 82

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended investment strategy be s*

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### Fact Pattern

Patricia Navarro, age 71, is a retired elementary school teacher living in Tampa, Florida. Her total assets consist of a \$620,000 IRA managed by her advisor Marcus Chen at a regional broker-dealer, a \$185,000 savings account, and Social Security benefits of \$2,350 per month. Her pension was lost when her school



district's pension fund was restructured years ago, leaving her dependent on her IRA and Social Security for living expenses. Patricia's investment profile form, updated in August 2023, stated her primary objective as 'income generation,' risk tolerance as 'moderate,' time horizon as '5-10 years,' and annual income needs from the portfolio of approximately \$30,000 to supplement Social Security. She told Marcus she 'could not afford to lose a lot of principal' but also expressed frustration that her previous all-bond portfolio had 'been crushed' during the 2022 rate hikes, losing approximately \$48,000 in value. She said she wanted 'something that pays well but doesn't get hammered when rates go up.' In September 2023, Marcus restructured her \$620,000 IRA as follows: 25% (\$155,000) in a diversified high-yield corporate bond fund with a 6.8% yield and average duration of 3.2 years; 20% (\$124,000) in a floating-rate bank loan fund yielding 8.1%; 20% (\$124,000) in a preferred stock fund yielding 6.2%; 15% (\$93,000) in dividend-focused equity fund with a 3.8% yield and a 10-year track record of annual dividend growth; 10% (\$62,000) in short-term Treasury bills yielding 5.3%; and 10% (\$62,000) in a closed-end fund investing in business development company (BDC) loans, trading at a 7% discount to NAV, yielding 10.4%. The blended portfolio yield was approximately 6.7%, producing roughly \$41,500 annually-exceeding her stated \$30,000 need by a meaningful margin. The expense ratios across the portfolio averaged 0.72%. Six months later, the high-yield bond fund declined 4.2%, the preferred stock fund fell 6.8%, and the BDC closed-end fund dropped 11.3% as credit spreads widened. Patricia's portfolio value fell to approximately \$581,000. She filed a complaint stating Marcus put her into 'risky stock-like investments' when she needed safe income, pointing specifically to the preferred stock fund, the dividend equity fund, and the BDC fund as inappropriate for a 71-year-old retiree who could not replace lost capital.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Patricia was a 71-year-old retiree with no pension, limited savings outside her IRA, and an explicit statement that she 'could not afford to lose a lot of principal.' Yet approximately 55% of her portfolio was allocated to credit-sensitive and equity-like instruments (high-yield bonds, preferred stocks, dividend equities, and BDC loans) that carry meaningful downside risk during economic stress. The BDC closed-end fund in particular-at 10% of the portfolio-is a complex, leveraged vehicle with equity-like volatility that is generally flagged as higher-risk for retirees. Preferred stocks behave like long-duration bonds with equity subordination and no maturity date, posing significant rate and credit risk. The combined allocation to these categories exposed Patricia to a level of potential drawdown inconsistent with her stated inability to absorb principal loss. Marcus may have over-optimized for yield at the expense of capital preservation, generating a higher income stream than necessary (\$41,500 vs. \$30,000 needed) while taking on disproportionate risk to achieve it.

Arguments against a violation: Marcus was responding directly to Patricia's own expressed frustration with her prior all-bond portfolio and her explicit request for something that 'pays well but doesn't get hammered when rates go up.' The floating-rate bank loan fund specifically addressed her rate sensitivity concern. The high-yield fund had a short 3.2-year duration, limiting interest rate exposure. The 10% Treasury bill allocation provided a safety cushion, and the \$185,000 savings account outside the IRA represented nearly 30 months of living expenses as an additional liquidity buffer. Patricia's stated risk tolerance was 'moderate,' not 'conservative,' and the portfolio's blended characteristics-6.7% yield, diversified across multiple income-generating asset classes-are consistent with a moderate-risk income mandate. The excess

income (\$11,500 above her stated need) provides a cushion against distribution in down markets, potentially reducing sequence-of-returns risk. The 15% equity allocation through a dividend growth fund is widely recommended for retirees to provide inflation protection over a 5-10 year horizon. The declines experienced were within normal ranges for the asset classes and had not yet crystallized as realized losses.

### Why Borderline

This scenario is genuinely ambiguous because the advisor was navigating competing client instructions: protect principal but also avoid the interest rate losses she experienced previously, while generating meaningful income. The resulting portfolio is a plausible moderate-income construction that many advisors and portfolio managers would consider reasonable for a client with a moderate risk tolerance and outside liquidity. However, the BDC closed-end fund and preferred stock allocation push the risk envelope for a 71-year-old with no pension and no ability to replace capital. The question of whether generating \$41,500 in income when \$30,000 was needed represents responsible cushion-building or unnecessary risk-taking is where reasonable professionals would disagree.

### Borderline Factors

- Client explicitly stated moderate risk tolerance and frustration with prior conservative bond portfolio losses
- Client requested income that would not be 'hammered when rates go up,' which inherently pushes toward credit risk and away from duration risk
- Portfolio generated \$11,500 more annual income than stated need-was this a prudent buffer or evidence of yield-chasing?
- 10% BDC closed-end fund allocation is the most questionable holding for a retiree but represents a small portfolio slice
- Client had \$185,000 in outside savings providing substantial liquidity buffer
- Preferred stock allocation (20%) carries equity-like subordination risk despite being labeled 'income'
- Portfolio declines of ~6.3% over six months are within normal range for moderate-risk portfolios but alarming for income-dependent retiree
- Expense ratios of 0.72% are moderate but not excessive for actively managed income funds
- No pension income makes the IRA functionally irreplaceable, heightening the stakes of any drawdown

### Likely Outcome

A regulator would likely find this a close case and might decline to pursue formal charges, instead issuing heightened supervision requirements or requesting the firm review the suitability of the BDC and preferred stock allocations. The strongest argument for a finding of unsuitability centers on the BDC closed-end fund (leveraged, complex, volatile) and the cumulative credit-risk exposure for a client who explicitly said she could not afford significant principal loss. However, the client's moderate risk tolerance, her own request for rate-insensitive income, the reasonable blended yield, the outside liquidity, and the relatively modest 6.3% decline would make it difficult to prove a clear violation. A panel might find the advisor should have limited the BDC exposure and documented why the preferred stock allocation was appropriate given Patricia's age, but would likely stop short of finding the overall portfolio construction unsuitable.

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## Borderline Scenario 83

### Fact Pattern

Margaret Dunleavy, age 58, approached her financial advisor, Craig Paulson, in March 2022 seeking to invest \$340,000 from the sale of a rental property. She told Paulson she wanted long-term growth with moderate risk and planned to use the funds to supplement her pension in retirement starting around age 65. She had a household income of \$95,000, a separate \$410,000 in a 401(k), and no pressing liquidity needs. Paulson recommended she invest the \$340,000 across four actively managed equity mutual funds, each carrying a 5.25% front-end sales load. The total upfront commission was approximately \$17,850. The funds were well-regarded, each holding a four- or five-star rating from a major fund rating agency, and had consistently outperformed their benchmarks over the prior 3-, 5-, and 10-year periods by an average of 1.2% annually after fees. Paulson's firm offered no-load index fund alternatives and lower-cost share classes of similar funds, including institutional share classes available at the \$100,000 investment level that carried loads of only 2.5%. Paulson did not present these alternatives to Dunleavy, though he later stated he believed the actively managed funds' superior track records justified the higher costs. Dunleavy's account application listed her investment experience as 'moderate,' noting she had previously owned two mutual funds in a brokerage account at another firm. Paulson earned a \$12,495 commission on the transactions. Breakpoint discounts were properly applied at each fund level, but Paulson did not aggregate the investments across funds to achieve a higher breakpoint tier, which would have reduced the load to 4.25% and saved Dunleavy approximately \$3,400. Dunleavy did not complain until late 2023, when she learned from a colleague that similar index funds had comparable performance that year with far lower costs. Over the 20 months following the investment, two of the four funds outperformed their index counterparts, while two underperformed by roughly 0.4% and 0.7% respectively.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The central question is whether recommending Class A shares with a 5.25% front-end load was appropriate when lower-cost alternatives were available and could have served the same investment objectives. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation, an advisor must have a reasonable basis for believing that a recommendation is suitable and in the customer's best interest, considering costs among other factors. Reg BI's component requirements under Rule 15l-1 under the Securities Exchange Act of 1934 require the advisor to consider reasonably available alternatives. The fact that Paulson did not present no-load index funds or the lower-cost institutional share classes is problematic, as cost is a significant factor even when it is not the only factor. However, several points favor Paulson: (1) the funds had strong long-term track records that arguably justified their higher expense structure; (2) Class A shares with front-end loads are generally considered the most cost-effective load share class for long-term investors with a 7+ year time horizon, which matched Dunleavy's profile; (3) the funds were fundamentally suitable for her moderate-risk, long-term growth objective; and (4) front-end load funds, while more expensive upfront, often have lower ongoing annual expenses than no-load funds or C-shares, potentially resulting in lower total costs over a long holding period. Against Paulson: (1) the failure to aggregate purchases for breakpoint purposes could constitute a breakpoint violation under FINRA's rules on mutual fund sales charges; (2) the failure to consider or present lower-cost alternatives raises concerns under the care obligation; and (3) the \$12,495 commission creates a material conflict of

interest that should have been disclosed and managed. The mixed performance results post-investment make outcome-based analysis inconclusive.

### Why Borderline

This case sits in the gray area because the funds were fundamentally suitable investments with strong track records, and Class A shares are generally considered appropriate for long-term investors. The advisor had an arguable rationale for the higher-cost funds. However, the failure to present lower-cost alternatives and the missed breakpoint aggregation opportunity create legitimate questions about whether the advisor prioritized his own compensation over the client's interests. Reasonable practitioners could disagree about whether active management's historical outperformance justifies the cost differential, especially since past performance does not guarantee future results.

### Borderline Factors

- Funds had strong long-term track records that arguably justified higher costs
- Class A shares are generally considered suitable for long-term investors, aligning with client's 7+ year horizon
- Lower-cost alternatives were available but not presented to the client
- Breakpoint aggregation was not applied across fund families, costing the client approximately \$3,400
  - Post-investment performance was mixed, with two funds outperforming and two underperforming cheaper alternatives
- Client had moderate investment experience and did not specifically request low-cost options
- Advisor's commission of \$12,495 creates a meaningful conflict but is standard for this share class
- The total load amount of \$17,850 was significant but not outside industry norms for the investment size

### Likely Outcome

A regulator would most likely find a partial violation. The failure to aggregate breakpoints across the investments likely constitutes a clear violation of FINRA's breakpoint rules (FINRA Regulatory Notice 03-54 and related guidance). On the broader suitability/best interest question, a regulator operating under Reg BI would likely find that Paulson failed to adequately consider reasonably available alternatives, particularly the institutional share classes that were available at the client's investment level. However, the regulator would likely view this as a compliance deficiency warranting a moderate fine and restitution of the breakpoint difference rather than a finding of egregious misconduct, given that the underlying funds were fundamentally suitable investments.

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## Borderline Scenario 84

*Topic: unsuitable\_income\_investor | Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, and qua*

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### Fact Pattern

Harold and Jean Tepper, both age 71, met with their financial advisor, Sandra Michaud, in January 2023 to discuss repositioning their \$620,000 investment portfolio. The Teppers lived primarily on Social Security (\$3,800/month combined) and Harold's small pension (\$1,100/month). They told Michaud they needed approximately \$1,500 per month in additional income from their portfolio to cover living expenses, and that preserving capital was 'very important' to them. They described themselves as conservative investors who

'couldn't afford to lose money at this stage.' Their account documents listed their risk tolerance as 'conservative' and their primary objective as 'income with capital preservation.' Michaud recommended allocating the portfolio as follows: \$310,000 (50%) into a diversified portfolio of investment-grade corporate bonds and Treasury securities yielding approximately 4.8% on average; \$155,000 (25%) into a high-yield bond fund with a current yield of 7.2% and an expense ratio of 0.85%; and \$155,000 (25%) into a closed-end fund investing in senior secured bank loans, yielding 9.1% with a managed distribution policy that included some return of capital, trading at an 8% discount to net asset value at the time of purchase. The blended portfolio yield was approximately 6.3%, generating roughly \$3,255 per month - well above the \$1,500 needed. Michaud explained to the Teppers that the high-yield bond fund could experience price fluctuations and that the closed-end fund's distributions might partially consist of return of capital. She documented these conversations in her notes. The Teppers signed acknowledgment forms indicating they understood the risks. Over the following 10 months, the investment-grade bond allocation performed steadily, the high-yield bond fund declined 4.2% in value while continuing to pay its distribution, and the closed-end fund's discount widened to 14%, resulting in an 11.3% decline in market value, though its distributions continued uninterrupted. By November 2023, the portfolio's total value had dropped to approximately \$588,000 while generating the income the Teppers needed. The Teppers filed a complaint alleging the high-yield and closed-end fund allocations were unsuitable for conservative income investors.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This case requires weighing the tension between two stated objectives - income generation and capital preservation - that are inherently in conflict, particularly in a rising-rate environment. Under FINRA Rule 2111 and Reg BI's Care Obligation, the advisor must consider the customer's investment profile holistically, including age, financial situation, risk tolerance, investment objectives, and time horizon. Arguments that Michaud acted appropriately: (1) The Teppers had a genuine, pressing income need of \$1,500/month, and a portfolio of only Treasury and investment-grade bonds at prevailing rates might have required drawing down principal to meet this need, which would also compromise capital preservation. (2) The 50% allocation to investment-grade and Treasury securities provided a substantial conservative anchor. (3) The high-yield bond fund invested in a diversified portfolio and carried only moderately elevated credit risk compared to investment-grade bonds. (4) The closed-end fund invested in senior secured bank loans, which sit at the top of the capital structure and have historically had high recovery rates in default scenarios, arguably making them less risky than their yield suggests. (5) The 8% discount to NAV provided a margin of safety. (6) Michaud documented her risk disclosures and obtained written acknowledgment. (7) The portfolio successfully met the income objective throughout the period. Arguments that Michaud violated her obligations: (1) A 50% allocation to below-investment-grade or alternative income products is aggressive for a couple who described themselves as conservative and said they 'couldn't afford to lose money.' (2) The closed-end fund's managed distribution policy, which includes return of capital, can mask erosion of principal - the very thing the Teppers wanted to avoid. (3) At ages 71, the Teppers have limited ability to recover from capital losses. (4) There may have been intermediate options - such as a higher allocation to investment-grade bonds combined with a modest, sustainable withdrawal strategy - that could have met income needs with less risk. (5) The \$32,000 decline in portfolio value in 10 months is significant for retirees dependent on these assets. (6) Simply having a client sign risk disclosures does not transform an unsuitable recommendation into a suitable one.

### Why Borderline

This scenario is genuinely ambiguous because the advisor faced a real dilemma: the clients' income needs could not easily be met with purely conservative investments without drawing down principal, which would also violate the capital preservation objective. The advisor made a defensible judgment call to accept moderate credit risk to generate sufficient income, and half the portfolio remained in conservative instruments. The question of whether 25% in high-yield bonds and 25% in a closed-end loan fund crosses the line from 'moderate income enhancement' to 'unsuitable risk-taking' for 71-year-old conservative investors is exactly the kind of judgment call on which reasonable professionals disagree. The fact that the income objective was successfully met while the capital preservation objective was partially compromised adds further complexity.

### Borderline Factors

- Client's two stated objectives (income and capital preservation) were inherently in tension given prevailing interest rates
- 50% of the portfolio was allocated to conservative investment-grade and Treasury securities
- The remaining 50% in high-yield and closed-end fund allocations is arguably aggressive for self-described conservative investors aged 71
- Senior secured bank loans in the closed-end fund have structural protections (senior in capital structure, secured by collateral) that mitigate some credit risk
- The portfolio successfully generated the needed income throughout the period
- Portfolio declined approximately 5.2% in value over 10 months, significant but not catastrophic
- Advisor documented risk disclosures and obtained written acknowledgment
- The closed-end fund's return-of-capital component in distributions could erode principal over time
- Alternative portfolio constructions could potentially have met income needs with less risk, though this is debatable
- Clients' expressed inability to 'afford to lose money' creates a high bar for any risk-taking

### Likely Outcome

A regulator would likely view this as a close call but would probably not find a clear-cut violation, provided the advisor can demonstrate a reasonable process for arriving at the allocation. The 50/25/25 split shows some effort at balancing competing objectives, the risk disclosures were documented, and the income objective was met. However, a FINRA arbitration panel might award partial damages, particularly focused on the closed-end fund allocation, reasoning that a 25% allocation to a complex, leveraged closed-end fund with return-of-capital distributions was excessive for conservative 71-year-old investors, even if the high-yield bond fund allocation was defensible. A likely resolution would be a negotiated settlement covering some portion of the capital losses in the closed-end fund, perhaps 50-75% of the approximately \$17,500 loss on that position.

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## Borderline Scenario 85

Topic: penny\_stocks\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe

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### Fact Pattern

Marcus Delano, age 52, is a regional sales manager earning \$115,000 per year with a net worth of



approximately \$480,000, including his home equity. He maintains a brokerage account with \$87,000 in liquid assets, which represents his primary non-retirement savings. His account application lists his risk tolerance as 'moderate to aggressive,' his investment objective as 'growth,' and his time horizon as '5-10 years.' He has roughly 12 years of investing experience, mostly in mid-cap growth stocks and a handful of ETFs. In January 2023, his financial advisor, Keisha Rowland, recommended that Marcus allocate \$12,500 - about 14% of his liquid portfolio - into a basket of three penny stocks trading between \$0.45 and \$1.80 per share. All three companies were in the biotech sector, which Marcus had expressed strong interest in during multiple meetings throughout 2022. Rowland provided Marcus with a two-page research summary she had prepared on each company, including pipeline data, recent patent filings, and estimated cash runway. She verbally cautioned him that penny stocks were highly volatile and that he could lose most or all of his investment. Marcus signed an acknowledgment form stating he understood the speculative nature of the investments. Over the following eight months, two of the three stocks lost approximately 70% of their value, while the third gained 40%. The net loss on the basket was roughly \$5,800. Marcus filed a complaint alleging the penny stocks were inappropriate for someone in his financial position, noting that he needed the funds for a potential home renovation within two to three years - a detail he claims he mentioned verbally to Rowland but which does not appear in any written notes or account documentation. Rowland maintains that Marcus never mentioned a near-term liquidity need and that the allocation was a modest speculative position consistent with his stated growth objective and risk tolerance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Rowland violated suitability: Penny stocks are among the riskiest equity instruments, characterized by low liquidity, limited public information, and susceptibility to manipulation. Even for a client with moderate-to-aggressive risk tolerance, a 14% allocation to speculative penny stocks concentrated in a single volatile sector (biotech) could be seen as excessive. If Marcus did in fact communicate a near-term liquidity need for a home renovation, the investment becomes harder to justify, as penny stocks are fundamentally incompatible with capital preservation over a 2-3 year window. Additionally, some regulators have historically viewed penny stock recommendations with heightened scrutiny regardless of customer profile, given the asymmetric risk of total loss. The concentration in a single sector amplifies the speculative character beyond what a diversified speculative allocation might present.

Arguments that Rowland acted appropriately: The allocation represented only 14% of Marcus's liquid portfolio, leaving 86% in presumably more conservative holdings. Marcus had 12 years of investing experience, a stated growth objective, and moderate-to-aggressive risk tolerance - all of which support some speculative exposure. Rowland conducted independent research, provided written summaries, and obtained a signed acknowledgment of the speculative nature of the investments. The biotech focus aligned with Marcus's own expressed interest. The disputed verbal disclosure about a renovation need is not documented anywhere, and Rowland denies it was ever communicated. Account documentation consistently reflects a 5-10 year time horizon, not a 2-3 year need. A 14% speculative sleeve within a growth-oriented portfolio for an experienced investor is arguably within the range of reasonable recommendations.

### Why Borderline

This scenario is genuinely ambiguous because it involves competing factual narratives about the client's liquidity needs, a modest but meaningful allocation to high-risk securities, a client profile that partially supports speculative investments, and documented risk disclosures that suggest informed consent. The penny stock category triggers heightened scrutiny, but the allocation size, client experience, and documented risk tolerance create plausible arguments for suitability. The factual dispute about the verbal renovation disclosure is the pivotal issue - and it cannot be definitively resolved from the record.

### Borderline Factors

- 14% allocation is significant but not extreme for a growth-oriented portfolio
- Client had 12 years of investing experience and signed a speculative risk acknowledgment
- Penny stocks inherently trigger elevated regulatory scrutiny regardless of client profile
- Concentration in a single volatile sector (biotech) amplifies speculative risk
- Disputed verbal communication about a 2-3 year liquidity need with no written documentation
- Account documents consistently reflect moderate-to-aggressive risk tolerance and 5-10 year horizon
- Advisor performed and documented independent research on each recommended security
- Net loss of \$5,800 is meaningful but not catastrophic relative to total portfolio

### Likely Outcome

A regulator would likely investigate thoroughly but would probably not find a clear-cut violation absent corroborating evidence of the verbal liquidity disclosure. If the only documented profile reflects moderate-to-aggressive risk tolerance, a growth objective, and a 5-10 year horizon, and the advisor provided written research and obtained a signed acknowledgment, the 14% allocation - while aggressive - falls within a defensible range. However, a regulator might issue a cautionary letter or require enhanced supervisory procedures for future penny stock recommendations, particularly given the single-sector concentration. If any evidence surfaces supporting the client's claim about the renovation timeline (emails, text messages, testimony from other advisors at the firm), the calculus shifts significantly toward a violation finding.

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## Borderline Scenario 86

*Topic: high\_fees\_unsuitable | Standard: Under Regulation Best Interest (Reg BI), the Care Obligation requires broker-dealers to ex*

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### Fact Pattern

Diane Yashiro, age 67, is a recently retired public school teacher with a pension providing \$3,400 per month and Social Security benefits of \$2,100 per month. Her total liquid investment assets are approximately \$340,000, held in a rollover IRA from her 403(b) plan. She describes her investment goals as generating supplemental income to cover travel and discretionary spending of roughly \$1,500 per month while preserving her principal for potential long-term care needs. Her risk tolerance is listed as 'moderate' and her investment knowledge as 'limited.' In March 2023, her financial advisor, Tom Braddock, recommended she invest the entire \$340,000 in a wrap-fee advisory account charging an annual fee of 1.65% (\$5,610 per year). Within the account, Braddock constructed a portfolio consisting of 60% in actively managed mutual funds (with average expense ratios of 0.82%), 25% in individual investment-grade bonds, and 15% in a real estate investment trust fund with a 0.95% expense ratio. The all-in cost to Diane - including the wrap fee, underlying fund expenses, and transaction costs - was approximately 2.35%

annually, or roughly \$7,990. Braddock argued the wrap fee was justified because the account included ongoing financial planning, quarterly portfolio reviews, tax-loss harvesting within the IRA, and access to an institutional share class for some funds that partially offset costs. A comparable portfolio could have been constructed using low-cost index funds and ETFs in a commission-based account or a robo-advisory platform for an all-in cost of approximately 0.40% to 0.75% annually (\$1,360 to \$2,550). However, Diane had expressed anxiety about managing investments on her own, valued having a dedicated advisor she could call, and had difficulty navigating online platforms. Over the following 12 months, the portfolio returned approximately 6.2% gross, or roughly 3.85% net of all fees - generating about \$13,090 in net gains. Diane did contact Braddock's office seven times during the year for various questions and planning discussions, and Braddock made three portfolio adjustments in response to changing interest rate conditions.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Braddock violated the client's best interest: The all-in fee of 2.35% on a \$340,000 moderate-risk portfolio for a retired client with limited investment knowledge and a principal preservation objective is high by industry standards. The annual cost differential between the recommended approach and a lower-cost alternative is approximately \$4,400 to \$6,600 - a significant amount relative to Diane's \$1,500/month discretionary spending target. For a retiree whose primary concern is capital preservation and income generation, minimizing costs is particularly important because fees directly erode the principal she wants to protect. Tax-loss harvesting within an IRA provides no tax benefit, suggesting that component of the value proposition was overstated or irrelevant. The use of actively managed funds with 0.82% average expense ratios layered on top of a 1.65% wrap fee creates a cost structure that is difficult to justify through alpha generation, particularly in the bond and REIT allocations where active management has historically shown limited outperformance. The total fee drag of \$7,990 represents approximately 2.35% of a portfolio that might reasonably be expected to return 5-7% gross, meaning fees consume 34-47% of gross returns.

Arguments that Braddock acted appropriately: Diane explicitly valued personalized service, expressed anxiety about managing investments alone, and had difficulty with online platforms - ruling out robo-advisory alternatives as a practical matter. The 1.65% wrap fee includes comprehensive financial planning, quarterly reviews, and ongoing access to a dedicated advisor, which provides non-investment value that a low-cost alternative would not replicate. Diane contacted the office seven times during the year, demonstrating actual utilization of the advisory relationship. Braddock made three proactive portfolio adjustments in response to market conditions, reflecting active management that a passive approach would not provide. The portfolio generated a net return of 3.85%, which exceeded inflation and contributed meaningfully to Diane's income needs. The wrap fee structure also eliminates per-transaction charges, which could accumulate in a commission-based account, particularly with the bond allocation requiring periodic reinvestment. While cheaper alternatives exist, the appropriate comparison may not be the cheapest possible option but rather whether the recommended approach was reasonable given the full range of services provided and the client's stated preferences for high-touch service.

### Why Borderline

This is a genuine gray area because the fee level is undeniably high relative to available alternatives, but the client's documented preference for hands-on advisory support, her discomfort with self-directed or digital alternatives, and the bundled planning services create a legitimate value proposition that partially justifies the cost premium. The question turns on whether the advisor's obligation is to recommend the lowest-cost suitable option or whether it is permissible to recommend a higher-cost option that provides additional services the client values, even if those services may not be strictly necessary for portfolio management. The tax-loss harvesting claim weakens the advisor's position, but the overall service utilization and portfolio performance complicate any straightforward finding.

### Borderline Factors

- All-in cost of 2.35% is high but not extraordinary for a full-service wrap account with planning services
- Client explicitly valued and utilized personalized advisory service (7 contacts, 3 adjustments)
- Lower-cost alternatives existed but may not have been practical given client's limited tech comfort and anxiety
- Tax-loss harvesting within an IRA is valueless, weakening the stated justification for fees
- Fee drag consumed 34-47% of estimated gross returns, a significant erosion for a retiree focused on capital preservation
- Portfolio performed adequately in absolute terms, generating positive net returns
- Client's moderate risk tolerance and preservation objective heighten the importance of cost efficiency
- The \$4,400-\$6,600 annual cost differential is material relative to the client's \$18,000/year discretionary spending goal

### Likely Outcome

A regulator reviewing this scenario would likely focus on whether Braddock adequately considered and documented why the higher-cost recommendation was in Diane's best interest compared to reasonably available lower-cost alternatives. Under current standards, the advisor is expected to consider cost as a factor, though not necessarily to recommend the cheapest option. The tax-loss harvesting claim in an IRA account would likely draw criticism as a misleading justification. However, Diane's documented preference for personalized service, her actual utilization of advisory access, and the bundled planning component provide meaningful defenses. A regulator would most likely pursue this as a supervisory or documentation matter rather than a fraud case - potentially requiring the firm to enhance its cost-comparison disclosures for wrap accounts and to better document why higher-cost recommendations serve the client's interests. A fine or restitution order is possible but not certain; the outcome could range from a no-action determination with informal guidance to a modest monetary sanction with enhanced compliance requirements.

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## Borderline Scenario 87

*Topic: illiquid\_investments | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quantitative*

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### Fact Pattern

Gerald Whitmore, age 58, is a senior project manager at a large engineering firm earning \$195,000 annually. He has a net worth of approximately \$2.4 million, including a \$1.1 million 401(k), a \$380,000 brokerage account, \$210,000 in savings, and his primary residence valued at \$710,000. Gerald told his advisor, Danielle Prescott, that he planned to retire at 65 and wanted to generate income that would

supplement his pension and Social Security. He described his risk tolerance as 'moderate' and said he didn't want to be 'too aggressive' but was open to strategies that could beat what CDs and bonds were paying. In March 2022, Danielle recommended Gerald invest \$175,000 - roughly 46% of his liquid brokerage account - into a non-traded real estate investment trust (REIT) focused on commercial healthcare properties. The product had a minimum seven-year holding period, no secondary market, and offered a projected annual distribution of 6.2%. The prospectus disclosed that early redemption was only available after two years and was subject to a 5% penalty, and that distributions were not guaranteed and could be paid from offering proceeds rather than operating income. Danielle documented that Gerald understood the illiquidity terms and that she discussed the holding period relative to his retirement timeline, noting he would be 65 when the earliest liquidation window opened. She also noted that Gerald had a pension that would cover approximately 55% of his pre-retirement income and that his 401(k) and Social Security would cover most of the remainder. Gerald signed all disclosure documents and an acknowledgment of the illiquidity risks. However, in November 2023, Gerald's employer announced a restructuring, and Gerald was offered early retirement with a reduced pension at age 60. Gerald attempted to redeem his REIT shares but was told no redemption program was currently active because the REIT's board had suspended redemptions due to elevated redemption requests across all investors. Gerald filed a complaint alleging that Danielle should not have placed nearly half his brokerage account into a product he couldn't access, especially given his approaching retirement. Danielle's firm responded that the recommendation was sound based on the information available at the time and that the employer restructuring was an unforeseeable event.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Danielle violated applicable standards: The concentration of approximately 46% of Gerald's liquid brokerage assets in a single illiquid product is notable. While Gerald had other assets, the brokerage account represented his most accessible pool of investable capital outside his 401(k). Placing nearly half of it into a vehicle with a seven-year lockup for a client seven years from retirement leaves very little margin for error. Under FINRA Rule 2111 (suitability) and Regulation Best Interest, the advisor must consider the customer's investment profile, including liquidity needs, time horizon, and other investments. The non-traded REIT's illiquidity and the suspension of redemptions - a known structural risk with these products - creates a scenario where the client's access to capital is materially impaired. FINRA has issued multiple Regulatory Notices (e.g., 09-09 and 15-02) cautioning about concentration in illiquid alternative investments, particularly for clients nearing retirement. A 46% allocation to a single illiquid product could be seen as excessive concentration. Additionally, the fact that distributions could be funded from offering proceeds rather than income raises questions about whether the 6.2% yield was presented accurately as 'income' versus return of capital.

Arguments that Danielle acted appropriately: Gerald had substantial other resources - a \$1.1 million 401(k), \$210,000 in savings, and a pension - meaning the \$175,000 REIT investment represented only about 7.3% of his total net worth and about 10.3% of his total financial assets (excluding the house). His retirement was seven years away, which aligned with the product's holding period. Gerald's stated goal of beating CD and bond yields in a moderate-risk framework is consistent with a non-traded REIT allocation. Danielle documented the discussion, Gerald signed illiquidity disclosures, and the recommendation was based on

Gerald's circumstances at the time. The employer restructuring was an exogenous event that no advisor could have predicted. The product itself - a healthcare-focused commercial REIT - is not inherently unsuitable for a moderate-risk investor with a seven-year horizon. Under the reasonable-basis, customer-specific, and quantitative suitability components, the recommendation appears defensible when assessed at the time it was made.

### Why Borderline

This case sits in a genuine gray area because the concentration metric depends heavily on which denominator you use. As a percentage of the brokerage account (46%), it looks aggressive and potentially unsuitable. As a percentage of total financial assets (~10%), it looks measured and reasonable. The client's retirement timeline originally matched the holding period, but only barely, leaving no cushion for life changes. The advisor documented the recommendation thoroughly, but the structural risks of non-traded REITs - including redemption suspensions - are well-known and arguably should have been weighted more heavily for a pre-retiree. Reasonable practitioners disagree about whether 'total wealth' or 'account-level' concentration is the proper frame for suitability analysis.

### Borderline Factors

- 46% of brokerage account in one illiquid product versus only ~10% of total financial assets
- Holding period aligned with original retirement date but left zero margin for early retirement or emergencies
- Client signed all illiquidity disclosures and acknowledged the terms
  - Redemption suspension was a known structural risk of non-traded REITs but was triggered by market-wide conditions
- Employer restructuring was genuinely unforeseeable at the time of recommendation
- Client had substantial other assets including pension, 401(k), and savings
  - Distributions potentially funded from offering proceeds rather than operating income raises yield presentation concerns
- Advisor documentation was thorough, suggesting the process was followed

### Likely Outcome

A regulator would likely find this to be a close case but would probably issue a cautionary action or require enhanced supervision rather than a full enforcement action. The documentation and the client's overall wealth profile work in the advisor's favor, but the account-level concentration and the approaching retirement create legitimate concern. If the firm had internal guidelines capping illiquid investment concentration at a percentage of liquid assets (many firms use 25-35%), this could tip toward a violation. Without such internal limits, the regulator would likely weigh the total-wealth analysis and the thorough documentation and decline to bring a formal action, though a settlement with partial restitution is plausible if the matter is arbitrated.

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## Borderline Scenario 88

*Topic: crypto\_assets\_unsuitable | Standard: Regulation Best Interest (17 CFR § 240.15l-1), particularly the Care Obligation requiring*

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### Fact Pattern



Rebecca Tran, age 34, is a software developer earning \$145,000 per year. She has approximately \$320,000 in total investable assets: \$180,000 in a 401(k) with a target-date fund, \$95,000 in a brokerage account managed by her advisor, Nathan Gelb, and \$45,000 in an emergency savings account. Rebecca told Nathan in January 2023 that she was interested in cryptocurrency exposure because several of her coworkers had made money investing in digital assets during 2020-2021. She described herself as having a 'high' risk tolerance, said she had no major upcoming expenses, wasn't planning to buy a home for at least five years, and was comfortable with volatility. She also mentioned that she had independently purchased approximately \$8,000 worth of Bitcoin and Ethereum on a consumer crypto exchange in 2021, some of which she still held. Nathan recommended that Rebecca allocate \$22,000 - approximately 23% of her brokerage account - to a combination of two products: \$14,000 into a publicly traded Bitcoin futures ETF and \$8,000 into a blockchain technology equity ETF that held stocks of companies involved in digital asset infrastructure, mining, and blockchain development. The Bitcoin futures ETF had an expense ratio of 0.95% and was subject to futures roll costs that could create performance drag versus spot Bitcoin prices. The blockchain equity ETF had an expense ratio of 0.68% and held approximately 35 companies. Nathan explained that these products offered crypto exposure within a regulated brokerage framework and would be easier to manage from a tax reporting perspective. He noted the volatility risks and that the futures-based product would not perfectly track Bitcoin's price. Rebecca agreed and the purchases were executed in February 2023. By November 2023, the Bitcoin futures ETF had gained approximately 48% and the blockchain equity ETF had gained approximately 61%, but Rebecca filed a complaint in December 2023 after reading articles about the high roll costs in Bitcoin futures ETFs. She alleged that Nathan should have recommended she simply buy Bitcoin directly (which had appreciated more during the same period), that the futures ETF was an unnecessarily expensive and inferior way to get Bitcoin exposure, and that the 23% allocation was too high for what she called 'speculative assets.' She also claimed Nathan never explained what futures roll costs were or how they would impact returns.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Nathan violated applicable standards: Under Regulation Best Interest's Care Obligation, an advisor must consider reasonably available alternatives when making a recommendation. If Rebecca's primary goal was Bitcoin price exposure, a Bitcoin futures ETF with an 0.95% expense ratio plus meaningful roll costs may not represent the best available option, particularly as spot Bitcoin ETFs were widely anticipated and eventually approved in January 2024. The futures-based structure introduces tracking error and cost drag that a direct Bitcoin purchase would not have. Nathan had a potential obligation to inform Rebecca that direct Bitcoin ownership - which she was already familiar with, having purchased crypto independently - would provide more precise exposure at lower ongoing cost. The failure to fully explain futures roll costs and their impact on returns is a disclosure concern. Additionally, while a 23% allocation to crypto-linked products may be defensible for a high-risk-tolerance client, the combination of a speculative asset class with an inefficient product structure raises questions about whether this was truly in Rebecca's best interest.

Arguments that Nathan acted appropriately: Nathan recommended regulated, publicly traded products within Rebecca's existing brokerage account, which offered significant practical advantages: simplified tax reporting (1099 vs. complex crypto tax tracking), custodial protections, and elimination of risks associated

with self-custody of digital assets (private key loss, exchange insolvency). Rebecca had already experienced the direct crypto market and specifically came to Nathan for professional guidance - recommending SEC-registered products within a managed account is a reasonable professional judgment. The 23% allocation was within the brokerage account only, representing roughly 6.9% of Rebecca's total investable assets, and she self-identified as high risk tolerance with a long time horizon. The blockchain equity ETF was not purely speculative - it held diversified equity positions in established technology companies. Furthermore, at the time of the recommendation in February 2023, spot Bitcoin ETFs did not yet exist as an approved product, so Nathan could not have recommended them. The complaint appears motivated by hindsight performance comparison rather than any actual harm - both products generated substantial gains. Nathan's choice to use regulated vehicles was a reasonable exercise of professional judgment about product selection.

### Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of product selection, cost efficiency, and emerging asset class suitability. The advisor chose regulated products with clear practical benefits (custody, tax simplicity, regulatory oversight) over direct crypto ownership, which the client was already capable of accessing. Whether this represents prudent professional judgment or an unnecessarily costly recommendation depends on how heavily one weighs cost efficiency versus the holistic benefits of regulated product wrappers. The allocation level is debatable - aggressive for the account but modest relative to total wealth. The complaint is further complicated by the fact that the client profited substantially, making the 'harm' argument difficult, though best interest obligations exist independent of outcome. Spot Bitcoin ETFs, which would have been a superior regulated alternative, were not yet available.

### Borderline Factors

- Client was already experienced with direct crypto purchases, undermining the 'needed regulated wrapper' argument
- Futures-based ETF had known structural cost drag (roll costs) versus spot exposure, raising cost efficiency concerns
- Spot Bitcoin ETFs were not yet approved and available at the time of the recommendation
- Regulated product wrappers offered genuine benefits: custodial protection, tax simplification, and brokerage account integration
- 23% of brokerage account but only ~6.9% of total investable assets
- Client self-identified as high risk tolerance with a 5+ year horizon
- Both recommended products generated substantial positive returns during the holding period
- Blockchain equity ETF provided diversified exposure to established companies, not pure crypto speculation
- Adequacy of disclosure regarding futures roll costs and their impact on tracking is disputed
- Complaint appears partially motivated by hindsight performance comparison to direct Bitcoin

### Likely Outcome

A regulator would most likely decline to bring a formal enforcement action. The advisor recommended regulated, publicly traded products appropriate for a self-described high-risk-tolerance client, and the allocation was moderate relative to total assets. The product selection involved legitimate trade-offs (cost vs. custody/tax benefits) that fall within the range of reasonable professional judgment. However, if the advisor cannot demonstrate that he adequately disclosed the roll cost dynamics of the Bitcoin futures ETF,

a regulator might find a disclosure deficiency - though this alone would likely result in a supervisory or corrective action rather than a suitability violation finding. In FINRA arbitration, the panel would likely find in the advisor's favor given the positive returns, the client's experience, and the regulatory landscape at the time of the recommendation.

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### Borderline Scenario 89

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-spec*

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#### Fact Pattern

Margaret Donnelly, age 68, retired schoolteacher, met with her financial advisor, Kevin Hauser, in March 2023 to discuss repositioning her \$620,000 portfolio. Margaret's account paperwork from 2019 listed her risk tolerance as 'conservative,' her investment objective as 'capital preservation and income,' and her time horizon as '5-10 years.' She received a \$3,400/month pension and \$2,100/month in Social Security, covering all her living expenses. She had no debt, owned her home outright, and maintained a \$95,000 emergency fund in a money market account separate from her investment portfolio. During the March meeting, Kevin recommended allocating 18% of her portfolio (\$111,600) into a diversified basket of small-cap growth stocks and a thematic ETF focused on artificial intelligence companies. Kevin's internal notes from the meeting state that Margaret expressed frustration that her portfolio had only grown 3.2% in 2022 while 'everyone else seemed to be making money in tech,' and that she specifically asked about 'getting more growth.' Kevin documented that he explained the higher volatility of small-cap and thematic investments, showed her historical drawdown data, and noted that Margaret said she 'understood the risks but wanted to try something different with a portion.' He updated her risk tolerance on file to 'moderate' after the meeting. The remaining 82% of the portfolio stayed in investment-grade bonds, blue-chip dividend stocks, and a balanced fund. By November 2023, the small-cap and AI positions had declined 23%, losing approximately \$25,600. Margaret filed a complaint stating Kevin pushed her into speculative investments that were inappropriate for someone her age and risk profile, and that she never truly understood what she was agreeing to. Kevin's firm produced the signed meeting notes and a recorded phone call from April 2023 where Margaret told Kevin she was 'excited to see how the tech stuff does' and asked him whether she should 'put even more in.'

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Kevin violated applicable standards: Margaret's longstanding profile was conservative with capital preservation objectives. A 68-year-old retiree is a classic profile where speculative positions raise red flags. Changing a client's documented risk tolerance contemporaneously with a recommendation to justify that very recommendation is a practice regulators view skeptically - the risk tolerance update could appear self-serving rather than reflective of a genuine change. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation, the advisor must have a reasonable basis for believing the recommendation is suitable not just based on a momentary expression of interest, but on the client's overall financial situation and needs. A 23% loss on 18% of a retiree's portfolio is significant. Furthermore, the customer-specific suitability analysis must account for age, retirement status, and the fact that even if the

client verbally expresses interest, the advisor has an independent obligation to ensure the recommendation aligns with the client's genuine profile.

Arguments that Kevin acted appropriately: Margaret's essential living expenses were fully covered by pension and Social Security, meaning her \$620,000 portfolio was entirely surplus capital with no immediate income dependency. She also had a separate \$95,000 emergency fund. The speculative allocation was limited to 18% of the investable portfolio - not a wholesale shift. Kevin documented the conversation, explained risks including historical drawdowns, obtained what appears to be informed consent, and kept 82% in conservative holdings. The recorded phone call where Margaret expressed enthusiasm and even wanted to increase the allocation undercuts her later claim that she didn't understand or wasn't willing. Under the reasonable-basis and customer-specific components of suitability analysis, an 18% growth allocation for a client with no income needs from the portfolio and a long time horizon is within the range of what many practitioners would consider moderate rather than speculative. Losses alone do not establish unsuitability. Kevin's documentation practices were thorough, and the risk tolerance update, while convenient, was supported by the client's own expressed preferences across multiple interactions.

### Why Borderline

This case sits in a genuine gray area because the client's documented long-term profile (conservative, 68, retired) conflicts with her expressed real-time preferences and the financial reality that she had no income dependency on the portfolio. The 18% allocation is not de minimis but also not a majority position. The advisor's documentation is strong but the timing of the risk tolerance change is suspicious. Reasonable practitioners disagree about whether a client's spontaneous request for growth exposure, even when documented, can override years of conservative profiling for a retirement-age client. The losses make the complaint sympathetic, but losses alone aren't dispositive.

### Borderline Factors

- Client's longstanding conservative profile versus her contemporaneous verbal requests for growth exposure
- Risk tolerance update made at the same meeting as the recommendation, raising questions about whether the update drove the recommendation or vice versa
- 18% allocation is material but not overwhelming - falls in a gray zone between minor satellite position and excessive concentration
- Client had zero income dependency on the portfolio and substantial emergency reserves, making the speculative allocation more defensible
- Recorded evidence of client enthusiasm and desire to increase exposure cuts against her later complaint
- Client's age (68) and retiree status create a strong presumption favoring conservative treatment regardless of expressed preferences
- Losses of 23% are significant but occurred within normal volatility ranges for the asset classes recommended

### Likely Outcome

A regulator would likely investigate but ultimately decline to bring a formal enforcement action, though the firm might face supervisory scrutiny over the risk tolerance update process. The combination of thorough documentation, the recorded call showing client enthusiasm, the limited allocation size, and the client's lack of income dependency on the portfolio would likely be viewed as sufficient to support the recommendation.

However, a FINRA arbitration panel might split, and a settlement in the range of 30-50% of losses (\$8,000-\$13,000) is plausible if the matter were arbitrated, as panels tend to be sympathetic to elderly retirees regardless of documentation.

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## Borderline Scenario 90

*Topic: variable\_annuity\_unsuitable | Standard: SEC Regulation Best Interest (17 CFR 240.15l-1), specifically the Care Obligation re*

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### Fact Pattern

Dr. Samuel Okafor, age 57, a practicing orthopedic surgeon earning approximately \$575,000 annually, consulted his financial advisor, Lisa Brennan, in June 2023 about tax-advantaged retirement savings options. Samuel had already maximized his 401(k) contributions, funded a backdoor Roth IRA, and contributed to a cash balance pension plan through his medical practice. He had \$1.8 million in taxable brokerage accounts, \$2.3 million in qualified retirement accounts, \$400,000 in real estate investments, and no debt other than a \$320,000 mortgage at 2.9%. He told Lisa he wanted to shelter additional income from taxes and was planning to retire at age 65. Lisa recommended he invest \$500,000 into a variable annuity with a guaranteed minimum income benefit rider. The annuity had total annual expenses of 2.85% (1.30% mortality and expense charge, 0.75% administrative fees, 0.80% for the income rider), plus underlying subaccount expenses averaging 0.65%, bringing all-in costs to approximately 3.50% annually. The annuity had a 7-year surrender period with declining charges starting at 7% in year one. Lisa explained that the annuity would provide tax-deferred growth, a guaranteed income floor in retirement regardless of market performance, and a death benefit for his two adult children. Lisa earned a commission of approximately \$32,500 (6.5%) on the sale. Her firm also offered lower-cost variable annuities from other carriers with all-in expenses around 2.10% that included similar income guarantee features, but Lisa testified she believed the recommended product had a superior income benefit formula that would produce higher guaranteed payments in retirement. Samuel's tax advisor later told him he could have achieved similar tax deferral through municipal bond portfolios or tax-managed index funds at a fraction of the cost, and that the annuity's gains would be taxed as ordinary income upon withdrawal rather than at capital gains rates, partially negating the tax-deferral benefit. Samuel filed a complaint alleging the annuity was an expensive, illiquid product that was unnecessary given his existing extensive tax-advantaged accounts and high income. Lisa's firm pointed out that Samuel signed a detailed disclosure document outlining all fees, surrender charges, and tax implications, and that the guaranteed income rider provided downside protection that no mutual fund or ETF could replicate.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated applicable standards: Under Regulation Best Interest's Care Obligation and FINRA's suitability framework (Rule 2111), an advisor must consider reasonably available alternatives when making recommendations. Lisa's own firm offered a comparable variable annuity with all-in costs roughly 140 basis points lower annually - on a \$500,000 investment, that's \$7,000 per year in additional drag. Over the 7-year surrender period alone, the cost differential would exceed \$49,000 before compounding effects. FINRA Regulatory Notice 12-55 specifically addresses variable annuity suitability and

notes that high costs, surrender periods, and tax implications must be weighed against the customer's specific profile. Samuel already had extensive tax-sheltered savings (\$2.3M in retirement accounts plus a cash balance plan), meaning the marginal tax-deferral benefit of the annuity was diminished. The ordinary income tax treatment of annuity withdrawals versus long-term capital gains treatment of taxable investments could actually result in higher lifetime taxes. The \$32,500 commission creates an obvious conflict of interest, and Lisa's justification that the more expensive product had a 'superior income benefit formula' would need to be substantiated quantitatively - a vague qualitative preference for one product over a substantially cheaper alternative is likely insufficient under a best interest standard.

Arguments that Lisa acted appropriately: Samuel was a high-income professional with \$4.5M+ in total assets, making the \$500,000 annuity purchase approximately 11% of his net worth - not an outsized allocation. He specifically requested additional tax-deferral strategies after exhausting conventional options, and a variable annuity is a legitimate tool for that purpose. The guaranteed minimum income benefit rider provides genuine value that cannot be replicated by mutual funds or ETFs - it offers a contractual income floor regardless of market performance, which is a fundamentally different product feature, not just a cost comparison. Samuel was 8 years from retirement, giving the annuity time to accumulate, and the surrender period would expire before his planned retirement. His high income and substantial assets meant liquidity was not a concern. The product disclosures were thorough and signed. Regarding the lower-cost alternative at the same firm, Lisa's stated belief that the recommended product's income benefit formula was superior is a legitimate product evaluation - not all variable annuities are interchangeable, and the income guarantee terms (step-up provisions, withdrawal percentages, benefit base calculations) can vary significantly and may justify higher costs. FINRA has acknowledged that variable annuities with living benefit riders serve a legitimate purpose for pre-retirees seeking guaranteed income.

### Why Borderline

This scenario is genuinely ambiguous because the variable annuity serves a legitimate purpose (tax deferral and guaranteed income) that the client specifically requested, yet the cost differential between the recommended product and a comparable lower-cost alternative at the same firm is substantial and the advisor earned a large commission. The client's existing extensive tax-advantaged savings arguably reduce the marginal benefit of additional tax deferral, but don't eliminate it. The guaranteed income rider provides unique value that can't be replicated by other investments, but whether that unique value justifies 140 basis points in additional annual costs requires a quantitative analysis that reasonable professionals could evaluate differently. The client is wealthy enough that the costs are not financially devastating, but cost reasonableness is evaluated independent of a client's ability to absorb losses.

### Borderline Factors

- Lower-cost variable annuity with similar features available at the same firm, raising questions about whether the advisor considered reasonably available alternatives
- All-in annual costs of 3.50% are high but not unprecedented for a variable annuity with a living benefit rider
- Client specifically requested additional tax-deferral strategies after exhausting conventional options
- \$32,500 commission creates a significant conflict of interest that could have influenced product selection
- Advisor's justification for the higher-cost product (superior income benefit formula) may or may not withstand quantitative scrutiny
- Client's existing \$2.3M in tax-advantaged accounts diminishes but doesn't eliminate the marginal benefit



of additional tax deferral

- Ordinary income tax treatment on annuity withdrawals partially offsets the tax-deferral benefit, but the guaranteed income rider provides non-tax value
- Client was financially sophisticated, high-income, and signed detailed disclosures
- 11% of net worth in a single illiquid product is material but not concentrated

### Likely Outcome

A regulator would likely scrutinize this transaction closely, particularly the selection of the higher-cost annuity over the firm's lower-cost alternative. The most probable outcome is that the firm would face a supervisory deficiency finding related to its failure to adequately document why the more expensive product was superior to the lower-cost alternative. If Lisa cannot produce a quantitative comparison showing that the recommended product's income benefit formula would produce materially better outcomes for Samuel, a regulator could find a violation of the cost component of the best interest analysis. However, given Samuel's wealth, sophistication, specific request for tax-deferral, and the genuine unique value of the guaranteed income rider, an outright finding of unsuitability is less likely. A settlement involving partial commission disgorgement or a fee reduction offer to the client is the most probable resolution.

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## Borderline Scenario 91

*Topic: market\_timing\_unsuitable | Standard: FINRA Rule 2111 (Suitability), including its three components: reasonable-basis suitability*

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### Fact Pattern

Gerald Whitmore, age 58, is a semi-retired management consultant who still earns approximately \$120,000 per year from part-time work. He has a total investment portfolio of \$1.4 million, including \$380,000 in an advisory account managed by Danielle Strauss at a regional wealth management firm. Gerald described his investment objective as 'growth with income' and indicated a moderate risk tolerance on his new account form. He told Danielle he wanted to 'stay nimble' and 'not just sit there during downturns.' Between January 2023 and November 2023, Danielle executed 47 trades in the account, primarily rotating between domestic equity mutual funds, international equity funds, and money market funds. The pattern generally involved moving significant portions of the portfolio into money market funds ahead of anticipated Federal Reserve announcements or inflation data releases, then rotating back into equity funds within 5 to 15 business days. Approximately 14 of these round-trip trades were profitable, capturing small gains by avoiding short-term dips, while 9 resulted in losses where the market moved contrary to expectations. The remaining trades roughly broke even. The account's total return for the period was 6.2%, compared to a blended benchmark of 60% S&P 500 / 40% Bloomberg Aggregate Bond Index that returned 11.8% over the same period. Transaction costs, including short-term redemption fees charged by several of the mutual funds, totaled approximately \$8,400. Gerald received monthly statements and never complained about the trading activity during the period. At a quarterly review in July 2023, Gerald expressed satisfaction, saying he appreciated that Danielle was 'actively watching things.' However, Gerald's ex-wife, who is a CPA, later reviewed the account statements during a financial planning discussion and raised concerns about the trading pattern and underperformance. Gerald then filed a complaint. Danielle's notes from initial meetings reference Gerald's desire for 'tactical management' and his stated comfort with 'moving in and out of positions based on market conditions.' The firm's internal compliance system flagged the account once in June 2023 for elevated trading frequency, but a supervisor reviewed it and noted the client's stated preference for active

management and closed the flag.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Danielle violated her obligations: The account underperformed its benchmark by 5.6 percentage points over less than a year, and the market-timing strategy generated \$8,400 in transaction costs that directly eroded returns. Academic literature overwhelmingly shows that market-timing strategies, particularly short-term rotations around macroeconomic announcements, fail to consistently add value. A moderate-risk, growth-with-income investor nearing retirement arguably needed steady compounding rather than speculative tactical trading. The 47 trades in 11 months for a \$380,000 account suggest a turnover rate and cost-to-equity ratio that could approach problematic thresholds. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, an advisor must have a reasonable basis to believe the frequency and volume of transactions are suitable. Under Regulation Best Interest, the care obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, and a pattern of market-timing trades in mutual funds - instruments generally designed for longer holding periods - raises questions about whether this approach was in Gerald's best interest. The short-term redemption fees also suggest the funds themselves were not designed for this trading pattern. Arguments that Danielle acted appropriately: Gerald explicitly requested tactical, active management. His own words - 'stay nimble,' 'not just sit there during downturns,' and 'tactical management' - were documented in contemporaneous notes. He is a sophisticated semi-retired consultant with a \$1.4 million total portfolio, meaning the \$380,000 account represents approximately 27% of his total assets - he could afford some risk and active strategies in this sleeve while presumably holding more conservative positions elsewhere. The account did generate a positive 6.2% return; it did not lose money. Gerald reviewed monthly statements without complaint for nearly a year and expressed satisfaction at a mid-year review. The compliance flag was reviewed and resolved by a supervisor. Underperformance relative to a benchmark, standing alone, does not establish unsuitability - especially when the client chose a different strategy than passive indexing. Some of the tactical moves were successful, and the overall approach was consistent with the client's stated wishes. Regarding cost-to-equity ratio, \$8,400 on a \$380,000 account represents approximately 2.2% annualized, which is elevated but not dramatically outside norms for actively managed accounts. The annualized turnover rate of roughly 4-5x is on the higher end but may be justified by the specific tactical mandate.

### Why Borderline

This case sits in genuine gray area because the client specifically and repeatedly requested the type of active, tactical management that Danielle provided. The strategy was documented, the client was informed through regular statements and reviews, and the account did not lose money in absolute terms. However, the systematic market-timing approach in mutual funds - products with built-in redemption fees designed to discourage short-term trading - resulted in meaningful underperformance and unnecessary costs. The core tension is between respecting a client's autonomous investment preferences and the advisor's independent obligation to recommend strategies that are quantitatively suitable regardless of client enthusiasm. Reasonable regulators could disagree about whether an advisor must override a client's explicit tactical mandate when the strategy, while not disastrous, is suboptimal.

### Borderline Factors

- Client explicitly and repeatedly requested tactical, active management style - documented in

contemporaneous advisor notes

- Account generated positive absolute returns (6.2%) but significantly underperformed a suitable benchmark by 5.6 percentage points
- Transaction costs of approximately 2.2% annualized are elevated but not egregiously high
- Client reviewed monthly statements for 11 months without complaint and expressed satisfaction at a mid-year review
- Market-timing strategy in mutual funds with short-term redemption fees suggests a mismatch between strategy and product design
- Account represents only 27% of client's total portfolio, potentially justifying a more aggressive tactical approach in this sleeve
- Compliance system flagged the account but the flag was reviewed and cleared by a supervisor
- Client is relatively sophisticated (semi-retired management consultant) but complaint originated from third-party review
- 47 trades in 11 months yields a borderline turnover ratio - problematic but not extreme
- Some tactical trades were genuinely profitable, suggesting the strategy was not entirely without basis

### Likely Outcome

A regulator would likely issue a cautionary action or require enhanced supervision rather than pursue a full enforcement action. The documented client mandate for tactical management, the supervisor review of the compliance flag, and the positive absolute return provide meaningful defenses. However, a regulator might find that systematically market-timing mutual funds - products not designed for short-term trading - in an account for a 58-year-old moderate-risk investor does not satisfy quantitative suitability requirements regardless of the client's stated preferences, because the strategy was reasonably likely to underperform a simple buy-and-hold approach after costs. The most probable outcome is a settlement involving a partial restitution of excessive transaction costs (perhaps the \$8,400 in short-term redemption fees) and a letter of caution to the advisor, but not a suspension or bar.

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## Borderline Scenario 92

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI) under Securities Exchange Act Rule 15l-1, including the L*

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### Fact Pattern

Patricia Velasquez, age 44, is a pediatric nurse earning \$97,000 annually. She is divorced with two children ages 10 and 14, and she has approximately \$210,000 in a 401(k) from a previous employer and \$35,000 in a savings account. In March 2023, she met with financial advisor Marcus Chen at a broker-dealer branch office located inside her credit union. Patricia told Marcus she wanted to invest \$60,000 - rolling over a portion of her old 401(k) - into something that would grow for retirement but that she could 'understand and not have to worry about.' She said she was not particularly investment-savvy and wanted someone to 'pick the right thing' for her. Marcus recommended three actively managed mutual funds: a large-cap growth fund with a 5.50% front-end load (Class A shares), an international equity fund with a 5.25% front-end load (Class A shares), and a balanced fund with a 4.75% front-end load (Class A shares). The total upfront sales charges on the \$60,000 investment came to approximately \$3,100. The funds had annual expense ratios of 0.92%, 1.14%, and 0.78% respectively. Marcus allocated \$25,000 to the large-cap fund, \$15,000 to the international fund, and \$20,000 to the balanced fund. Each of these three fund families offered lower-cost

share classes: Class I or institutional shares (no load, expense ratios between 0.45% and 0.68%) were not available through Marcus's broker-dealer platform, but no-load Class F shares with expense ratios of 0.55% to 0.80% were available to advisory accounts at the firm for clients paying a 1.0% annual wrap fee. Marcus's firm offered both brokerage and advisory account options. In the brokerage account, Marcus earned a commission of approximately \$2,400 from the front-end loads. Had Patricia been placed in an advisory account with the no-load F shares, she would have paid no upfront load but would have paid approximately \$600 per year in wrap fees plus the lower fund expenses. Marcus did not discuss the advisory account option with Patricia. The three funds Marcus selected all carried four-star Morningstar ratings, had 10-year track records of outperforming their respective benchmarks, and were on the firm's approved recommended list. Marcus's notes indicate he believed the Class A shares were appropriate because Patricia described herself as a long-term, buy-and-hold investor who would not be making frequent changes - meaning the upfront load would amortize over many years and the ongoing expenses would be lower than the wrap-fee alternative after approximately year five. Patricia held the investments without changes for 14 months, at which point a friend who works in financial planning told her she had 'overpaid in fees' and should have been in index funds or at least no-load share classes. Patricia then filed a complaint alleging Marcus put her in expensive products to earn a higher commission.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Marcus violated his obligations: Marcus recommended Class A shares with significant front-end loads totaling approximately \$3,100 on a \$60,000 investment - meaning roughly 5.2% of Patricia's money was consumed by sales charges before it was ever invested. Lower-cost share classes existed within the same fund families and were available through the firm's advisory platform. Under Regulation Best Interest's care obligation, an advisor must consider reasonably available alternatives and cannot place his own financial interest ahead of the customer's. Marcus earned approximately \$2,400 in commissions from the load funds, creating a clear financial conflict. He did not discuss the advisory account option, which would have eliminated the front-end load entirely, even though it was available at his firm. A reasonable argument exists that for a nurse with modest assets and two children to support, every dollar matters, and a \$3,100 upfront fee drag is significant. Additionally, low-cost index funds - which have broadly outperformed most actively managed funds over long periods - were presumably also available and were not discussed. The failure to present the advisory account as an alternative, combined with the commission incentive, suggests the recommendation was influenced by Marcus's compensation rather than solely by Patricia's interests. Arguments that Marcus acted appropriately: The breakeven analysis between Class A shares and the advisory wrap-fee account is a legitimate and widely recognized consideration. If Patricia is truly a buy-and-hold investor, the Class A shares become cheaper than the 1.0% annual wrap fee after approximately five years, because the ongoing expenses of Class A shares (0.78%-1.14%) are lower than the combined wrap fee plus F-share expenses (1.55%-1.80% all-in). Over a 20+ year retirement horizon, Patricia would actually pay significantly less in total costs with the Class A shares. Marcus documented this rationale. The funds themselves were well-regarded (four-star Morningstar, 10-year outperformance records) and appeared on the firm's approved list. Patricia specifically said she wanted someone to 'pick the right thing' and wanted investments she wouldn't have to worry about - buy-and-hold Class A shares in proven funds align with that stated preference. Front-end load Class A shares are a standard, well-established product structure, and recommending them is not inherently inappropriate. The \$60,000

investment was also spread across three funds providing diversification across domestic large-cap, international, and balanced strategies - a reasonable asset allocation for a 44-year-old moderate-risk retirement investor. Marcus could also argue that the advisory account, with its ongoing 1.0% fee, creates its own conflict of interest (recurring revenue for the firm) and that presenting it as clearly superior would be misleading given the long time horizon.

### Why Borderline

This scenario presents a genuine tension between two legitimate fee structures. The front-end load Class A shares are more expensive initially but cheaper over time for a buy-and-hold investor, while the no-load advisory account is cheaper initially but more expensive over a long holding period due to the recurring wrap fee. Marcus's rationale - that Class A shares are more cost-effective for a long-term holder - is mathematically defensible over a 15-20+ year horizon. However, his failure to disclose the advisory account alternative and the significant commission he earned create concerns about whether the recommendation was truly driven by Patricia's interest or by his own compensation. Reasonable people can disagree about whether an advisor is obligated to present every available account structure, or whether selecting the option that is genuinely cheaper over the client's stated time horizon satisfies the advisor's obligations even if the advisor also benefits from that choice.

### Borderline Factors

- Class A shares are mathematically cheaper than the wrap-fee alternative for a buy-and-hold investor over approximately 5+ years - and Patricia stated she was a long-term investor
- Marcus earned approximately \$2,400 in commissions, creating a financial conflict that aligned with his recommendation
- Marcus did not discuss the advisory account alternative or lower-cost share classes available through that channel
- The selected funds had strong track records, high Morningstar ratings, and were on the firm's approved list
- Patricia is a modestly compensated professional with limited financial sophistication, heightening the duty to explain options
- \$3,100 in upfront loads on a \$60,000 investment is a significant percentage (5.2%) but standard for Class A share pricing
- Low-cost index fund alternatives were presumably available but not discussed
- The breakeven analysis was documented in Marcus's notes, showing he considered cost implications
- Patricia's stated desire for simplicity and buy-and-hold approach supports the rationale for Class A shares over recurring advisory fees
- The total investment represents a rollover from a retirement account, adding weight to the importance of cost efficiency

### Likely Outcome

A regulator would likely find this to be a close case but would probably focus the inquiry on Marcus's failure to disclose the advisory account alternative rather than on the Class A share recommendation itself. Under Regulation Best Interest's disclosure obligation and care obligation, the advisor must consider reasonably available alternatives offered by the firm. The failure to discuss the wrap-fee option - even if Marcus genuinely believed Class A shares were superior for this client - could be viewed as a deficiency. However, because the breakeven analysis arguably supports Marcus's recommendation over Patricia's stated long

time horizon, a full enforcement action resulting in disgorgement is unlikely. The most probable outcome is a supervisory finding requiring enhanced disclosure practices and possibly restitution of a portion of the front-end load (perhaps the difference between what was charged and what would have been paid in the advisory account over the actual 14-month holding period, approximately \$2,500), along with heightened supervision of Marcus's future recommendations. If Patricia continues to hold long-term, the case weakens further because the cost advantage of Class A shares would eventually materialize.

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### Borderline Scenario 93

*Topic: complex\_products\_unsophisticated\_investor | Standard: FINRA Rule 2111 (Suitability) including reasonable-basis, customer-*

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#### Fact Pattern

Margaret Dawson, age 58, worked as a receptionist at a dental office for 27 years, earning \$42,000 annually. In March 2022, she inherited \$285,000 from her late brother and deposited the funds into her existing brokerage account. She told her advisor, Rick Santelli, that she wanted to 'make the money grow but not lose it' and that she planned to retire in seven years. Her account application listed her investment experience as 'limited - mutual funds in 401(k) only,' her risk tolerance as 'moderate,' and her investment objective as 'growth and income.' Over three meetings spanning six weeks, Rick recommended she allocate \$95,000 (approximately 33% of the inherited funds) into a structured product - specifically, a buffered equity note linked to the S&P 500 with a 2-year maturity, offering a 10% downside buffer and capping upside gains at 18.5% over the term. Rick provided Margaret with the product's offering document (42 pages) and a two-page summary he had prepared himself that highlighted the downside buffer and the capped return, using a simple bar chart comparing potential outcomes versus holding the S&P 500 directly. Margaret signed the account documents and an acknowledgment that she had received the offering materials. She later told a friend she 'didn't fully understand how the note worked but trusted Rick because he had managed her 401(k) rollover well for three years.' The remaining \$190,000 was placed into a diversified portfolio of index funds and investment-grade bond funds. The structured note matured in March 2024 with a 14.2% return, outperforming Margaret's bond allocation but underperforming what a direct S&P 500 investment would have returned. Margaret filed no complaint, but a routine branch audit flagged the transaction because Margaret's profile indicated limited investment experience and the product was classified internally as 'complex' requiring enhanced documentation. The branch manager noted that Rick had not completed the firm's optional (but recommended) structured products training module that had been rolled out two months before the sale.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Rick violated his obligations: Margaret had limited investment knowledge - her only prior experience was mutual funds inside a 401(k). A 42-page structured product offering document is inherently difficult for an unsophisticated investor to evaluate. Margaret's own admission that she 'didn't fully understand how the note worked' suggests she lacked the ability to appreciate the risks, including issuer credit risk, liquidity constraints during the 2-year term, and the mechanics of the upside cap and downside buffer. Under FINRA Rule 2111 and its supplementary materials, a broker must have a reasonable basis to



believe a recommendation is suitable, which includes a reasonable-basis obligation (understanding the product) and a customer-specific obligation (matching it to the customer). Regulation BI's Care Obligation under Rule 15l-1 further requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile. Rick's failure to complete the firm's structured products training module - while not mandatory - could be cited as evidence of insufficient reasonable-basis diligence. Additionally, FINRA Regulatory Notice 12-03 specifically addresses heightened supervision for complex products sold to retail investors with limited experience, and many firms treat structured notes as products requiring enhanced suitability review. Arguments that Rick acted appropriately: The allocation to the structured note was 33% of the inherited funds, not a portfolio concentration. The remaining 67% was in diversified, low-cost index and bond funds - a prudent, vanilla allocation. The buffered note itself was a relatively conservative structured product: it offered meaningful downside protection (10% buffer) with reasonable upside participation, which aligns with Margaret's stated desire to 'grow but not lose' her money. The 2-year maturity was well within her 7-year retirement horizon, so liquidity risk was manageable. Rick held three meetings over six weeks, provided both the full offering document and a simplified summary with visual aids, and obtained Margaret's signed acknowledgment. The product actually performed well, returning 14.2%. Margaret had a 3-year relationship with Rick and expressed trust in him, suggesting a reasonable advisory relationship. The firm's training module was optional, not required, so failing to complete it is not itself a violation. Under a totality-of-the-circumstances analysis, the recommendation was arguably suitable for a moderate-risk-tolerance investor seeking growth and income with downside protection.

### Why Borderline

This case sits in a genuine gray area because the product itself was a relatively conservative structured note that functionally matched the customer's stated goals (growth with protection against loss), and the allocation was moderate rather than concentrated. However, the customer's limited sophistication raises real questions about whether she could meaningfully evaluate or consent to the risks of a complex product, regardless of outcome. The advisor made reasonable efforts to explain the product but did not complete available training, and the customer's own statements suggest incomplete understanding. Regulators could reasonably view this as either a thoughtful recommendation with appropriate disclosure efforts, or as an inappropriate sale of a complex product to someone who could not genuinely understand it.

### Borderline Factors

- Customer's limited investment experience (only 401(k) mutual funds) versus the complexity of a buffered equity note
- Advisor held multiple meetings and provided simplified materials but customer still admitted she didn't fully understand the product
- Allocation was 33% - significant but not an overwhelming concentration of the portfolio
- Product's risk-return profile (downside buffer, capped upside) arguably matched customer's stated objectives of growth with capital protection
- Advisor did not complete the firm's optional structured products training module
- Product performed well with a 14.2% return over 2 years, though outcome does not determine suitability at time of recommendation
- Customer had a pre-existing 3-year relationship of trust with the advisor
- 2-year maturity was well within the customer's 7-year investment horizon, mitigating liquidity concerns

### Likely Outcome

A regulator would most likely issue a cautionary finding or require enhanced supervisory procedures rather than pursue a formal enforcement action. The product's alignment with the customer's stated objectives, the moderate allocation size, the advisor's disclosure efforts, and the lack of a customer complaint all weigh against a finding of violation. However, the advisor might receive a deficiency letter noting the importance of ensuring genuine customer comprehension for complex products and completing available training. If the firm's internal compliance escalated the matter, the advisor might face internal sanctions (additional training requirements, increased supervision) rather than regulatory action. A formal suitability violation finding is possible but unlikely absent additional aggravating factors such as elevated commissions or a pattern of selling complex products to unsophisticated clients.

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### Borderline Scenario 94

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) - reasonable-basis and customer-specific suitability obligations*

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### Fact Pattern

Thomas and Carol Brennan, both aged 71, retired in 2019 after Thomas sold his small plumbing business. Their combined assets totaled approximately \$1.4 million: \$620,000 in a joint brokerage account, \$480,000 in Thomas's IRA, and \$300,000 in a money market account at their bank. They received \$3,800 per month in combined Social Security benefits and had no pension. Their monthly living expenses were approximately \$6,200, meaning they needed roughly \$2,400 per month (\$28,800 annually) from their investment portfolio. Their account documents listed their investment objective as 'income' and their risk tolerance as 'conservative.' Their advisor, Dana Whitfield, had worked with them since 2017. In January 2023, with interest rates having risen significantly, Dana recommended restructuring the joint brokerage account. She moved \$220,000 from short-term Treasury bills and a money market fund into a portfolio of individual corporate bonds: \$80,000 in BBB-rated energy sector bonds maturing in 2030, \$75,000 in BBB-rated healthcare bonds maturing in 2028, and \$65,000 in BB-rated (below investment grade) telecommunications bonds maturing in 2027. The blended yield on the new bond portfolio was approximately 6.8%, compared to the 4.5% the Treasuries and money market had been generating. Dana also moved \$90,000 from the IRA's S&P 500 index fund into a high-yield bond mutual fund with a 30-day SEC yield of 7.9% and an expense ratio of 0.72%. She explained to the Brennans that the higher yields would comfortably cover their income gap and reduce the need to draw down principal. The Brennans agreed, noting they liked the idea of 'living off the interest.' Dana's notes from the meeting indicate she discussed credit risk and the possibility of price volatility, though she did not provide any written risk disclosures specific to high-yield bonds. By December 2023, the investment-grade corporate bonds had performed as expected, generating steady income. However, the BB-rated telecom bonds declined 8% in market value due to a sector-specific credit downgrade, and the high-yield bond fund in the IRA dropped 4.3% in NAV, though it continued to pay its stated distribution. The Brennans' total portfolio income increased from approximately \$49,500 annually to approximately \$68,400, well exceeding their \$28,800 need. Thomas expressed concern to Dana about the telecom bond losses, and she reminded him the bonds would pay par at maturity if the issuer did not default. Carol later mentioned to her daughter that they 'didn't realize some of the bonds were rated below investment grade.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dana violated her obligations: The Brennans' account documents specified conservative risk tolerance and an income objective. Recommending BB-rated (junk) bonds and a high-yield bond fund to 71-year-old retirees with a conservative risk profile raises suitability concerns. Under FINRA Rule 2111, customer-specific suitability requires that recommendations align with the customer's stated risk tolerance and investment objectives. Regulation BI's Care Obligation similarly requires the advisor to consider the investor's risk tolerance and ensure the recommendation is in the customer's best interest. BB-rated bonds carry materially higher default risk than investment-grade securities, and the 8% price decline in the telecom bonds illustrates the volatility risk. Carol's statement that she 'didn't realize some of the bonds were rated below investment grade' suggests inadequate disclosure or explanation, potentially implicating Regulation BI's Disclosure Obligation. The concentration of \$65,000 in a single below-investment-grade sector (telecom) introduces both credit and concentration risk that may be inconsistent with a conservative profile. Additionally, the high-yield bond fund's 0.72% expense ratio, while not extreme, reduces net yield and introduces a cost consideration versus lower-cost alternatives. FINRA has historically scrutinized recommendations of high-yield products to conservative, elderly investors. Arguments that Dana acted appropriately: The Brennans had a genuine income need of \$28,800 annually from a \$1.4 million portfolio - a modest 2.06% withdrawal rate. The restructuring increased their income from \$49,500 to \$68,400, creating a substantial cushion and reducing principal depletion risk, which is itself a significant risk for retirees. The \$65,000 in BB-rated bonds represented only about 4.6% of the Brennans' total \$1.4 million portfolio - a small allocation. The majority of the bond purchases (\$155,000) were investment-grade BBB-rated bonds from two different sectors. The high-yield bond fund in the IRA provides diversification across many issuers, reducing single-issuer default risk. The Brennans retained \$300,000 in a bank money market account (highly liquid and safe) and still had significant IRA assets in other holdings. Dana's notes indicate she discussed credit risk and price volatility. The BB-rated telecom bonds, while below investment grade, were only one notch below, and the 2027 maturity is relatively short-term, reducing duration risk. In a rising rate environment, reaching modestly for yield to fund retirement income is a common and defensible strategy, especially when the overall portfolio remains conservatively positioned. The total portfolio's risk profile, viewed holistically, was still relatively conservative.

### Why Borderline

This scenario is genuinely ambiguous because the advisor's recommendation achieved its primary purpose - generating sufficient income to cover the clients' retirement shortfall - and the below-investment-grade exposure was small relative to the total portfolio. However, the clients' stated conservative risk tolerance, their age, their apparent lack of understanding about the credit quality of their bonds, and the inherent tension between 'conservative' and 'high-yield' create legitimate grounds for regulatory concern. The question becomes whether an advisor can deviate modestly from a stated conservative profile when doing so serves the client's overarching financial need (sustainable retirement income) and the overall portfolio remains predominantly conservative.

### Borderline Factors

- BB-rated bonds and a high-yield bond fund recommended to clients with a stated conservative risk tolerance

- Below-investment-grade allocation was only 4.6% of total portfolio (\$65,000 of \$1.4M), and high-yield fund was ~6.4% of total
- Clients were 71 years old, retired, and dependent on portfolio income - heightening both the need for income and the vulnerability to losses
- The recommendation successfully increased income from \$49,500 to \$68,400, significantly exceeding the \$28,800 annual need
- Carol Brennan's statement suggests she did not understand the credit quality distinction of some holdings
- Dana's meeting notes indicate verbal discussion of credit and volatility risk but no written risk disclosures specific to high-yield investments
- The majority of the restructured portfolio was in investment-grade corporate bonds with staggered maturities
- The Brennans retained \$300,000 in a safe money market account outside the brokerage relationship
- The telecom bonds lost 8% in market value but had not defaulted and had a relatively near-term 2027 maturity

### Likely Outcome

A regulator would likely find this a close case and could go either way depending on the examiner's emphasis. The most probable outcome is a finding of a minor or technical deficiency rather than a substantive suitability violation. The small allocation to below-investment-grade bonds, the overall conservative portfolio construction, and the legitimate income rationale provide a strong defense. However, the advisor would likely be criticized for insufficient documentation of the risk discussion, particularly regarding the distinction between investment-grade and high-yield bonds, and Carol's apparent lack of understanding. A regulator might require the firm to enhance its disclosure procedures for high-yield recommendations to conservative-profile clients but would be unlikely to impose significant sanctions absent a pattern of similar conduct or a customer complaint seeking damages. If the telecom bonds ultimately default, the calculus could shift toward a violation finding.

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## Borderline Scenario 95

Topic: *illiquid\_real\_estate\_investment* | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable

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### Fact Pattern

Margaret Holloway, age 61, is a recently retired school administrator with a pension providing \$4,200 per month, Social Security benefits of \$2,100 per month starting at age 62, and a liquid investment portfolio of approximately \$685,000 in a mix of mutual funds and CDs. She has no mortgage, owns her home outright (valued at \$340,000), and has no dependents. Her monthly expenses are approximately \$4,800. She told her advisor, David Kessler, that she wanted her portfolio to generate supplemental income because her pension alone would barely cover her living costs until Social Security kicked in, and even then she wanted a cushion. She also mentioned she was interested in real estate because 'her brother had done very well with rental properties' and she wanted something that would keep up with inflation over the long run. On her new account form, her risk tolerance was marked as 'moderate,' her time horizon was listed as '10-15 years,' and her investment objective was 'income with moderate growth.' Kessler recommended she invest \$140,000 - roughly 20.4% of her liquid portfolio - into a non-traded real estate investment trust (REIT)

focused on a diversified portfolio of commercial properties including medical offices, senior living facilities, and suburban retail centers. The REIT offered a projected annual distribution of 6.2%, paid monthly, with a minimum seven-year hold period before any liquidity event. Kessler explained the illiquidity, the seven-year lockup, and the fact that distributions were not guaranteed, and Margaret signed all required disclosure documents. He also noted in his file that she could cover roughly 14 months of expenses from her remaining liquid assets even if her pension were interrupted, and that her Social Security would begin in 11 months. The REIT charged an upfront load of 6.5% and had annual management fees of 1.8%. Six months after investing, the REIT reduced its distribution from 6.2% to 4.1% due to tenant vacancies in its retail portfolio. Margaret complained that Kessler had put too much of her retirement savings into something she couldn't sell, and that the reduced income meant the investment wasn't meeting her needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kessler violated applicable standards: Margaret was a 61-year-old retiree whose liquid portfolio was her primary financial cushion beyond a modest pension. Allocating over 20% of her liquid assets to an illiquid product with a seven-year lockup meaningfully reduced her financial flexibility during a vulnerable period of early retirement. The high upfront load of 6.5% meant that approximately \$9,100 of her investment was immediately consumed by fees, reducing the effective yield. The 1.8% annual management fee further eroded returns. She needed reliable income, and non-traded REITs carry material risks of distribution cuts - which is exactly what occurred. A retiree with a moderate risk tolerance and income needs arguably should not have one-fifth of her liquid portfolio locked away for seven years. Under FINRA Rule 2111 (suitability) and Regulation Best Interest, advisors must consider the customer's overall financial situation, including liquidity needs, age, and investment time horizon. FINRA Regulatory Notice 15-02 specifically raised concerns about non-traded REITs sold to retirees, and many firms imposed internal concentration limits of 10-15% for illiquid alternative investments. Arguments that Kessler acted appropriately: Margaret expressed genuine interest in real estate investing, had a stable pension that covered the vast majority of her monthly expenses, and would begin receiving Social Security within 11 months, which would give her a combined guaranteed income of \$6,300/month - well above her \$4,800 in monthly expenses. After the REIT investment, she still had roughly \$545,000 in liquid assets, providing substantial reserves. The 10-15 year time horizon she indicated was consistent with a seven-year hold period. Kessler documented his disclosures about illiquidity and non-guaranteed distributions, and Margaret signed acknowledgment forms. A 20% allocation to an alternative asset for diversification and inflation protection is within the range some practitioners consider reasonable for a moderate-risk investor with a long time horizon and stable pension income. The distribution cut was an unforeseeable market event, not a product defect. The REIT's diversified portfolio of commercial real estate was not speculative - it included defensive sectors like medical offices and senior living.

### Why Borderline

This case sits in a genuine gray zone because Margaret had legitimate characteristics supporting both sides: she was a retiree needing income (suggesting caution with illiquid products), but she also had a stable pension, imminent Social Security, a long time horizon, ample remaining liquid assets, and expressed affirmative interest in real estate. The 20% concentration is above many firms' internal thresholds for illiquid alternatives but is not so extreme as to be facially unreasonable. The advisor

documented disclosures but the high fee structure and subsequent distribution cut raise questions about whether the product truly served her best interest compared to lower-cost, more liquid alternatives like publicly traded REITs or dividend-focused equity funds.

### Borderline Factors

- 20% concentration in illiquid investment exceeds many firm guidelines but is not universally prohibited
  - Stable pension and imminent Social Security provide substantial guaranteed income, reducing dependence on portfolio liquidity
  - Client expressed affirmative interest in real estate investing, suggesting the recommendation was not unsolicited
  - Seven-year lockup period is long for a 61-year-old retiree, but falls within her stated 10-15 year time horizon
  - 6.5% upfront load and 1.8% annual fees are high but typical for non-traded REITs - raises question of whether lower-cost liquid REIT alternatives should have been presented
  - Advisor documented disclosures and client signed acknowledgments, but documentation alone does not establish suitability
  - Distribution cut occurred due to market conditions, not advisor misconduct, but highlights the risk that was arguably foreseeable
  - Remaining \$545,000 in liquid assets provides significant cushion, but unexpected healthcare or long-term care costs in retirement could strain liquidity

### Likely Outcome

A regulator would likely scrutinize this case closely but might not bring a formal enforcement action if Kessler's firm did not have an internal concentration limit he violated and if he can demonstrate a thorough suitability analysis was conducted. However, if the firm had a 10-15% concentration guideline for illiquid alternatives that Kessler exceeded without supervisory approval, this would likely result in a finding of a suitability violation. In arbitration, an investor-favorable panel might award partial damages based on the fee differential between the non-traded REIT and a comparable publicly traded REIT, reasoning that Kessler should have considered the lower-cost liquid alternative under Reg BI's cost component. Most likely outcome: a settled arbitration claim for partial damages, or a regulatory letter of caution rather than formal sanctions.

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## Borderline Scenario 96

*Topic: junk\_bonds\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable base*

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### Fact Pattern

Gerald and Patricia Whitfield, both age 68, are retired with a combined net worth of approximately \$2.1 million, consisting of \$1.4 million in brokerage and retirement accounts, \$410,000 in home equity, and \$290,000 in bank savings. Gerald receives a pension of \$3,600/month from his former employer, and both receive Social Security totaling \$4,400/month. Their combined monthly expenses are roughly \$6,500. Their account documents consistently listed their investment objective as 'income' and their risk tolerance as 'conservative.' They had been clients of advisor Laura Brennan for nine years, during which time their portfolio was primarily invested in investment-grade corporate bonds, Treasury securities, municipal bonds,



and blue-chip dividend-paying stocks. In March 2023, with interest rates elevated and credit spreads widening, Brennan recommended the Whitfields reallocate approximately \$195,000 - roughly 14% of their investable assets - from maturing Treasury bonds into a diversified high-yield bond fund managed by a well-known asset management firm. The fund held approximately 120 positions across multiple sectors, had an average credit rating of BB, an average duration of 3.8 years, a yield of 7.9%, and an expense ratio of 0.62%. Brennan explained that with Treasuries maturing and rates potentially declining, locking in higher yields through the diversified high-yield fund could boost their income while the fund's broad diversification mitigated individual default risk. She noted the fund had experienced a maximum drawdown of 12% during the 2020 market disruption but had recovered within eight months. The Whitfields agreed and signed trade confirmations. Over the following nine months, the fund's net asset value declined by approximately 4.2% as credit spreads widened further, though it continued to pay monthly distributions at the projected yield. The Whitfields became concerned when they saw the decline in principal on their statements and filed a complaint arguing that high-yield bonds were inappropriate for conservative investors and that Brennan never should have recommended them.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Brennan violated applicable standards: The Whitfields' account documents consistently indicated a conservative risk tolerance and income objective. High-yield bonds, by definition, carry a meaningful risk of default and are rated below investment grade. Placing 14% of a conservative retiree couple's investable assets into sub-investment-grade debt arguably conflicts with the plain meaning of 'conservative.' Under FINRA Rule 2111's customer-specific suitability obligation, the recommendation must be consistent with the customer's stated risk tolerance. The fact that the fund had experienced a 12% drawdown in 2020 illustrates the volatility risk that conservative investors typically seek to avoid. Some regulators have taken the position that any significant allocation to below-investment-grade bonds is inconsistent with a conservative profile. The Whitfields' reliance on portfolio income to supplement their pension and Social Security - they needed approximately \$6,500/month and had \$8,000/month guaranteed - might suggest that while they had a surplus, their conservative designation reflected a desire to preserve capital rather than stretch for yield. Arguments that Brennan acted appropriately: The allocation represented only 14% of investable assets, leaving 86% in conservative holdings. The fund itself was broadly diversified across 120 positions with an average rating of BB - the highest tier of high-yield, sometimes called 'crossover' credit that many institutional investors treat as part of a core fixed-income allocation. The 0.62% expense ratio is reasonable and well below many alternative income products. The Whitfields had guaranteed income (\$8,000/month) exceeding their expenses (\$6,500/month), meaning they did not depend on portfolio withdrawals for basic living costs. The 3.8-year average duration limited interest rate risk. Many mainstream financial planning frameworks include a modest high-yield allocation even in conservative portfolios as a way to enhance yield without taking equity risk, and the specific fund Brennan chose was a well-established product from a reputable manager, not a speculative or esoteric investment. The 4.2% decline over nine months, while the fund continued to pay its stated distributions, is well within normal market fluctuations for fixed-income investments. Brennan had a nine-year relationship with the clients and understood their full financial picture. Furthermore, reinvesting maturing Treasuries at potentially lower rates would have reduced their income, arguably also conflicting with their stated income objective.

### Why Borderline

This is a genuine gray area because 'conservative' risk tolerance does not have a universally agreed-upon definition in terms of permissible asset classes. Many credentialed financial planners include modest high-yield allocations in conservative portfolios, while some regulators view any sub-investment-grade exposure as inherently inconsistent with a conservative profile. The 14% allocation is not trivial but is far from dominant. The fund chosen was diversified, low-cost, and short-duration - arguably the most conservative way to access high-yield. The clients' strong guaranteed income means the portfolio serves more of a wealth preservation and supplemental income function, which cuts both ways: they didn't need to take the risk, but they also could afford to. The temporary 4.2% decline may or may not constitute actual harm depending on whether distributions offset the NAV decline.

### Borderline Factors

- Account documents consistently marked 'conservative' risk tolerance, but the term lacks a precise regulatory definition regarding permissible asset classes
- 14% allocation is a minority position but non-trivial - falls in a range where reasonable practitioners disagree on appropriateness for conservative investors
- BB-rated average credit quality is the highest tier of high-yield and sometimes classified as 'crossover' credit by institutional investors
- Fund was broadly diversified (120 positions), low-cost (0.62% expense ratio), and short-duration (3.8 years) - the most conservative approach to high-yield exposure
- Clients had guaranteed income exceeding monthly expenses, reducing dependency on portfolio and arguably increasing risk capacity despite conservative stated tolerance
- 4.2% NAV decline occurred but distributions continued, meaning total return may have been positive - raises question of whether actual harm occurred
- Alternative of reinvesting in lower-yielding Treasuries would have reduced income, potentially conflicting with the stated 'income' objective
- Nine-year advisory relationship suggests Brennan had deep knowledge of clients' actual financial situation beyond what account documents captured
- Clients agreed to the recommendation after explanation but their understanding of 'high-yield' versus 'junk bond' risk may not have been fully informed

### Likely Outcome

A regulator reviewing this case would likely view it as a close call. If the analysis focused solely on the label 'conservative' and the below-investment-grade nature of the bonds, a violation finding is possible. However, if the regulator considered the totality of circumstances - the modest allocation size, the diversified and institutional-quality fund, the clients' strong guaranteed income, the reasonable cost structure, and the advisor's documented explanation - the case would likely result in a cautionary letter or supervisory recommendations rather than formal sanctions. In FINRA arbitration, the panel would likely either deny the claim or award modest damages reflecting the difference in risk-adjusted return between the high-yield fund and a comparable investment-grade alternative. The most probable outcome is that no formal violation is found, but the advisor's firm may be counseled to better document the rationale for any below-investment-grade recommendations for clients with conservative profiles.

**Borderline Scenario 97**

*Topic: excessive\_churning | Standard: FINRA Rule 2111 (Suitability) requires that a broker have a reasonable basis for recommending*

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**Fact Pattern**

Margaret Dalton, age 58, opened a brokerage account in March 2019 with advisor Kevin Shultz at a mid-sized broker-dealer. Margaret had recently retired early from a career in pharmaceutical sales with a \$1.2 million rollover IRA and an additional \$340,000 in taxable savings. She described herself on her new account form as having 'moderate' risk tolerance, an investment objective of 'growth and income,' and a time horizon of 10-15 years. She told Kevin she wanted to be 'more hands-on' with her investments than she had been with her previous 401(k) and expressed interest in 'taking advantage of market movements' to grow her portfolio faster than a passive index fund. Over the 26 months from March 2019 through May 2021, Kevin executed 114 trades in the account across equities and ETFs. The annualized turnover ratio for the account was approximately 4.2, and the cost-to-equity ratio was approximately 9.8%. The account generated \$47,300 in total commissions over that period. Margaret's account grew from \$1,540,000 to \$1,695,000 during this time, a gain of roughly 10.1%. By comparison, a blended 60/40 benchmark would have returned approximately 22% over the same period. Kevin maintained notes from seven phone calls with Margaret during this period in which she asked about 'rotating into sectors that are moving,' requested he 'trim losers quickly,' and once said she 'didn't mind paying commissions if the trades are making money.' Margaret never complained during the period in question and affirmatively approved each trade. However, at a meeting in June 2021, Margaret expressed surprise at the total commission figure when Kevin presented her annual review and said she 'didn't realize it added up to that much.' Kevin offered to move her into a fee-based advisory account at that point, which she accepted. Margaret's daughter, who works as an accountant, subsequently reviewed the statements and filed a complaint alleging the account had been excessively traded.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

The case presents a genuine tension between quantitative metrics that suggest churning and qualitative evidence that the client actively encouraged frequent trading. On the side suggesting a violation: The annualized turnover ratio of 4.2 exceeds the threshold of 6 that many arbitration panels treat as presumptive churning under FINRA Rule 2111, but it is well above the level of 2 that many panels consider potentially excessive for a moderate-risk, growth-and-income retiree. The cost-to-equity ratio of 9.8% means the account needed to earn nearly 10% annually just to break even after commissions, which is a significant headwind for a moderate-risk investor. The account underperformed a simple passive benchmark by roughly 12 percentage points, suggesting the active trading destroyed value rather than created it. Margaret was 58, recently retired, and dependent on this portfolio for long-term income—a profile that counsels against aggressive short-term trading. The advisor had a financial incentive to trade actively given the commission-based structure. On the side suggesting compliance: Margaret explicitly stated she wanted to be 'hands-on,' asked to 'rotate into sectors that are moving,' and instructed the advisor to 'trim losers quickly'—all of which suggest she was driving the trading frequency. She said she 'didn't mind paying commissions if the trades are making money,' indicating awareness of transaction costs. She approved every trade individually. The turnover ratio of 4.2, while elevated, falls below the 6.0 level that is most

commonly cited as presumptive churning. The account did generate a positive absolute return of 10.1%, even if it lagged a passive benchmark. Kevin's contemporaneous notes documenting Margaret's instructions provide evidence of client-directed activity. However, the advisor's duty includes an obligation not to recommend a pattern of trading that is excessive even if the client is enthusiastic, particularly when the client may not fully appreciate the cumulative cost impact-as evidenced by Margaret's surprise at the total commission figure.

### Why Borderline

This scenario sits in a gray zone because the quantitative indicators of churning are elevated but not at presumptive levels, while the qualitative evidence is genuinely mixed. The client's own statements encouraged active trading, yet she was surprised by the cumulative cost-suggesting she did not truly understand the implications of the trading pattern she was endorsing. The account made money in absolute terms during a strong market, which complicates a damages analysis, but significantly underperformed a passive alternative. Reasonable regulators could disagree about whether the advisor's obligation to act in the client's interest required him to push back against her stated preferences for active trading, or whether her informed consent (or arguably semi-informed consent) was sufficient.

### Borderline Factors

- Turnover ratio of 4.2 is elevated but below the 6.0 presumptive churning threshold commonly used in arbitration
- Cost-to-equity ratio of 9.8% is high but client expressed tolerance for commissions
- Client affirmatively requested sector rotation and quick trimming of losers, suggesting client-directed activity
- Client approved each trade individually but was surprised by cumulative commission total
- Account generated positive absolute returns but significantly underperformed passive benchmarks
- Client was a moderate-risk retiree-a profile that arguably required the advisor to exercise greater caution regardless of client enthusiasm
- Advisor maintained contemporaneous notes of client conversations supporting active trading preference
- Advisor eventually offered a fee-based structure, suggesting awareness that commission model was problematic

### Likely Outcome

A regulator or arbitration panel would likely find this a close case but could go either way depending on the panel's view of the advisor's gatekeeping responsibility. Many panels would find a violation based on the combination of the elevated (though not presumptive) turnover ratio, the significant benchmark underperformance, the retiree profile, and the client's evident surprise at cumulative costs-reasoning that the advisor had an obligation to manage trading frequency even when the client expressed enthusiasm for active trading. However, some panels might find no violation given the documented client-directed trading instructions, positive absolute returns, and below-presumptive turnover ratio, potentially awarding reduced or no damages. A settlement in the range of 40-60% of the excess commissions (\$20,000-\$28,000) would be a plausible outcome.

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## Borderline Scenario 98

Topic: *overconcentration\_single\_stock* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended investment strategy,*

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**Fact Pattern**

Dr. Rajesh Patel, age 44, is a cardiologist earning approximately \$620,000 annually. In January 2020, he opened an investment account with advisor Lisa Fontaine with an initial deposit of \$850,000 in cash, representing the bulk of his liquid savings outside of retirement accounts containing roughly \$1.1 million in diversified mutual funds. Dr. Patel told Lisa he wanted to build a 'high-conviction growth portfolio' and specifically expressed strong interest in a publicly traded genomics and precision medicine company (ticker symbol: GNMX) that he had been following closely for two years as part of his medical practice. He told Lisa he believed the company's proprietary diagnostic platform would 'revolutionize cardiology risk assessment' and that he had read the company's last eight quarterly earnings reports and multiple analyst notes. Over the course of January through September 2020, Lisa executed a series of purchases of GNMX stock at Dr. Patel's direction, accumulating 18,500 shares at an average cost of \$38.42 per share, representing a total investment of approximately \$710,800-roughly 83% of the taxable account and approximately 36% of his total investable assets including retirement accounts. Lisa documented in her notes that she discussed diversification with Dr. Patel on three separate occasions-in February, May, and August 2020-and that each time he declined to reduce the position, stating he had 'deep domain expertise' in the therapeutic area and was confident in the company's pipeline. She noted in her May conversation that she recommended limiting the position to 40% of the taxable account and suggested hedging with put options, both of which Dr. Patel declined. The remaining 17% of the taxable account (\$139,200) was invested in a diversified healthcare ETF. In October 2020, GNMX stock was trading at \$54 per share, putting the position value at approximately \$999,000 and the total account at roughly \$1.14 million. Dr. Patel's account was up approximately 34% overall. However, in March 2021, GNMX announced that its lead diagnostic product failed to meet its primary endpoint in a pivotal clinical trial. The stock dropped 68% over two weeks to \$17.28 per share. Dr. Patel's GNMX position fell to approximately \$319,700, and his total taxable account dropped to roughly \$459,000-a loss of approximately \$391,000 from his original investment. Dr. Patel then filed a complaint alleging that Lisa should never have allowed the position to grow to 83% of his taxable account, regardless of his instructions.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

This case raises the fundamental question of whether an advisor's duty to ensure suitable recommendations extends to an obligation to refuse or more aggressively resist a client's informed, repeated directive to concentrate in a single security. Arguments supporting a violation: An 83% concentration in a single stock in a taxable account is extraordinarily high by any conventional portfolio management standard. Even accounting for Dr. Patel's retirement assets, a 36% allocation of total investable assets to one company represents significant concentration risk. The stock was a mid-cap biotech/genomics company subject to binary clinical trial outcomes-exactly the type of risk that makes single-stock concentration particularly dangerous. Lisa continued to execute purchase orders that built the position incrementally, meaning she was actively recommending or at minimum facilitating the concentration over nine months rather than it being a single decision. As a registered representative, Lisa had an obligation not just to inform the client but to ensure the overall investment strategy was suitable-an obligation that arguably required her to refuse further purchases at some threshold. The fact that Dr. Patel had medical expertise in the therapeutic area does not make him a sophisticated securities investor; domain knowledge in cardiology is not the same as expertise in evaluating a company's financial condition,

competitive positioning, or clinical trial risk probabilities. Arguments against a violation: Dr. Patel was a high-income professional (\$620,000/year) with substantial additional assets in diversified retirement accounts (\$1.1 million). His ability to absorb a loss in the taxable account, while painful, would not threaten his financial security. He was 44 years old with decades of earning potential. He demonstrated genuine, informed interest in GNMX, having followed the company for two years and reviewed multiple quarterly reports-this was not a naïve customer chasing a tip. Lisa documented three separate diversification conversations in which she specifically recommended reducing the position and hedging, and Dr. Patel declined each time. She offered specific alternatives (40% cap, put options) that the client rejected. The client's stated investment objective was a 'high-conviction growth portfolio,' which inherently implies concentrated positions. Forcing a client to diversify against his express, informed wishes raises questions about investor autonomy. At its peak, the strategy was working-the account was up 34%-and the loss was caused by an unforeseeable clinical trial failure.

### Why Borderline

This scenario is genuinely ambiguous because it pits two competing principles against each other: the advisor's duty to ensure suitable recommendations versus the client's right to make informed investment decisions, including concentrated ones. The advisor took meaningful steps to discourage the concentration-documented diversification discussions, specific alternative recommendations, hedging proposals-but ultimately executed the client's wishes. The client had legitimate domain expertise (though not investment expertise), high income, substantial diversified assets elsewhere, and a long time horizon. The concentration was extreme by any standard, but the client was arguably in a better position than most retail investors to evaluate the company's prospects. Reasonable regulators could disagree about whether the advisor's documented efforts to encourage diversification satisfied her obligations, or whether the sheer magnitude of the concentration required her to refuse the trades.

### Borderline Factors

- 83% single-stock concentration in taxable account is extreme, but represents 36% of total investable assets when retirement accounts are included
- Client had genuine domain expertise in the company's therapeutic area, though not in securities analysis
  - Advisor documented three separate diversification conversations with specific alternative recommendations that client declined
- Client was high-income (\$620,000/year) with substantial diversified retirement assets and long time horizon
  - Biotech/genomics stock subject to binary clinical trial risk-a particularly dangerous type of concentration
- Client's stated objective was 'high-conviction growth,' which implies tolerance for concentration
- Position was built incrementally over nine months through multiple transactions, not a single allocation decision
- Advisor proposed hedging strategies (put options) that client also rejected
- Account performed well for months before the adverse event, suggesting the thesis was not facially unreasonable

### Likely Outcome

A regulator or arbitration panel would likely view this as a close case with a slight lean toward finding a violation, reasoning that even well-documented diversification conversations do not fully discharge an advisor's obligation when the resulting concentration reaches 83% of a taxable account in a single biotech



stock. The panel would likely give some credit for Lisa's documented efforts and for Dr. Patel's sophistication, income, and other diversified assets, potentially finding comparative fault or reducing damages significantly. A plausible outcome would be a finding of a suitability violation with damages reduced by 50-70% to reflect the client's contributory role in directing the trades, resulting in an award in the range of \$80,000-\$160,000 against a gross loss of approximately \$391,000. Alternatively, some panels might find no violation based on the totality of the client-directed circumstances and the advisor's documented warnings.

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### Borderline Scenario 99

*Topic: crypto\_assets\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantification*

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#### Fact Pattern

Marcus Webb, a 58-year-old electrical engineer earning \$145,000 annually, had accumulated approximately \$820,000 in retirement savings across a 401(k) and a traditional IRA. In early 2022, Webb approached his financial advisor, Diane Kowalski, expressing strong interest in cryptocurrency after watching several coworkers profit from Bitcoin and Ethereum investments during 2020-2021. Webb told Kowalski he wanted to put 'a significant amount' into crypto before he missed out entirely. His written risk tolerance questionnaire, completed in January 2022, indicated a 'moderate-to-aggressive' risk profile, and he had a stated retirement target of age 65. Webb had prior experience with individual stocks and had once held shares in a biotech startup that lost 60% of its value, which he described as 'a tough lesson but not the end of the world.' Kowalski recommended allocating \$82,000 - exactly 10% of his total retirement portfolio - into a mix of Bitcoin and Ethereum through a recently launched digital asset fund available on their brokerage platform. The fund charged a 2.1% annual management fee, notably higher than comparable equity funds but within the range of other crypto funds available at the time. Kowalski documented in her notes that she discussed volatility risks, the lack of long-term historical data for crypto, and the possibility of total loss. She also noted Webb's enthusiasm and that he had independently researched crypto assets for several months. By December 2022, the crypto allocation had declined to approximately \$29,500, a loss of roughly 64%. Webb filed a complaint alleging the recommendation was inappropriate for someone seven years from retirement, arguing Kowalski should have steered him away from speculative assets entirely or limited the allocation to no more than 2-3%. Kowalski's firm countered that a 10% allocation to an alternative asset class for a moderate-to-aggressive investor with a seven-year horizon and prior experience with volatile investments was defensible, and that the client had been the one driving the crypto interest in the first place.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments for a violation: A 10% crypto allocation for a 58-year-old nearing retirement is aggressive by many industry standards, especially given that crypto assets lack fundamental valuation frameworks, have exhibited extreme drawdowns (Bitcoin lost ~75% peak-to-trough in 2022), and the investment was held inside retirement accounts that represent the client's primary retirement savings. Many practitioners consider crypto appropriate only as a very small 'satellite' allocation (1-5%) for pre-retirees. The 2.1%

expense ratio also raises cost concerns when cheaper passive crypto exposure alternatives may have existed. The advisor arguably had a duty to temper the client's enthusiasm rather than accommodate it at a potentially imprudent level. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, the advisor must consider the customer's investment profile holistically, and a reasonable argument exists that the quantitative allocation was too large relative to the client's time horizon and the speculative nature of the asset class.

Arguments against a violation: The 10% allocation is widely cited in financial planning literature as a reasonable ceiling for alternative or speculative investments, even for moderate-risk investors. Webb's risk questionnaire showed moderate-to-aggressive tolerance, he had a seven-year investment horizon (not imminent retirement), and he had demonstrated prior comfort with highly volatile investments, having held a biotech stock through a 60% loss without apparent distress. Kowalski documented her risk disclosures thoroughly, the crypto fund was a legitimate product available through the firm's platform (suggesting it had passed the firm's product-level due diligence), and the recommendation was diversified across Bitcoin and Ethereum rather than concentrated in a single speculative token. Webb was the initiator of the crypto interest and had done independent research. Post-hoc evaluation based on actual losses is inappropriate - suitability is judged at the time of the recommendation. Under the reasonable-basis and customer-specific suitability components of Rule 2111, an advisor is not required to refuse a client's informed investment preference when it falls within a defensible allocation range.

### Why Borderline

This case sits in genuine gray territory because the 10% allocation threshold is right at the boundary of what many compliance departments and financial planning standards consider acceptable for speculative alternatives in a pre-retirement portfolio. Reasonable professionals disagree about whether crypto should be treated like other alternative investments (where 10% is standard) or as a uniquely speculative asset class warranting much smaller exposure. The client's own enthusiasm and prior risk experience cut against a finding of unsuitability, but the advisor's role in validating and facilitating the allocation - rather than moderating it - raises legitimate questions about whether she exercised sufficient professional judgment. The significant losses, while not dispositive, amplify scrutiny of the original recommendation.

### Borderline Factors

- 10% allocation is at the upper boundary of commonly accepted alternative asset allocation for pre-retirees
- Client initiated the crypto interest and had independently researched the asset class
- Client's documented risk tolerance was moderate-to-aggressive, not conservative
- Seven-year time horizon provides some buffer but is shorter than typical for high-volatility recovery
- Client had prior experience with a 60% loss in a biotech stock
- Crypto assets lack historical track record comparable to traditional alternatives
- The 2.1% management fee was high but within the range for crypto-specific funds at the time
- Investment was in retirement accounts representing primary retirement savings
- Advisor documented risk disclosures and volatility warnings
- Losses were severe (64%) but crypto drawdowns of this magnitude were foreseeable and disclosed

### Likely Outcome

A FINRA arbitration panel or regulatory examiner would likely find this a close call but would probably not

find a clear-cut suitability violation. The documented disclosures, client-initiated interest, moderate-to-aggressive risk profile, and the 10% allocation being within industry norms for alternative assets would likely tip the balance in the advisor's favor. However, the panel might note that the advisor should have considered a smaller allocation given the proximity to retirement and the unique volatility profile of crypto. If there were any gaps in documentation or if the advisor received additional compensation or incentives for recommending the crypto fund, the outcome could shift toward a finding of violation. A likely result is a finding of no violation with possible supervisory recommendations to the firm regarding crypto allocation guidelines for pre-retirees.

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### Borderline Scenario 100

*Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) applies, including reasonable-basis, customer-specific, and*

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#### Fact Pattern

Sandra Nguyen, a 44-year-old emergency room nurse earning \$98,000 per year, maintained a brokerage account with approximately \$175,000 in assets, roughly split between index funds and individual large-cap equities. She also had a separate retirement account with \$210,000 that was not involved in this complaint. In March 2023, her advisor, Raymond Cortez, recommended she invest \$15,000 in shares of GreenVolt Technologies, a micro-cap company trading at \$0.85 per share on the OTC Markets. GreenVolt was developing a novel solid-state battery technology and had recently been featured in a trade publication for winning a Department of Energy research grant worth \$4.2 million. The company had reported \$1.8 million in revenue for the prior year, had been publicly reporting financials for three years, and had an independent auditor - distinguishing it from the typical shell company or promotional penny stock. Cortez had been following GreenVolt for approximately eight months, had reviewed its public filings, attended a virtual investor presentation, and spoken with the company's CFO. Nguyen's investment profile listed her objective as 'growth' with a secondary objective of 'speculation,' and she had checked a box indicating willingness to accept 'substantial risk of loss in pursuit of higher returns.' She had previously invested in two small-cap biotech companies through Cortez, one of which had doubled in value and the other of which had declined 40%. Cortez recommended the \$15,000 position as a speculative growth opportunity, representing approximately 8.6% of her taxable brokerage account. He disclosed that the stock was thinly traded (average daily volume of approximately 45,000 shares), that the company was pre-profitability, and that penny stocks generally carry elevated risks of fraud, manipulation, and illiquidity. Nguyen agreed to the purchase. By September 2023, GreenVolt's stock had fallen to \$0.18 per share after the company disclosed that a key patent application had been rejected, reducing her position to approximately \$3,176. Nguyen filed a complaint alleging that Cortez should never have recommended penny stocks to a working nurse with moderate assets, and that the illiquidity risk alone made the recommendation inappropriate regardless of her stated risk tolerance. Cortez's firm noted that the recommendation represented a minority position in her taxable account, that she had prior small-cap/speculative experience, and that the advisor had performed substantial independent due diligence on the company.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments for a violation: Penny stocks (securities trading under \$5 per share on OTC markets) are widely considered among the highest-risk investment categories due to illiquidity, limited regulatory oversight, susceptibility to manipulation, and high failure rates of underlying companies. An 8.6% allocation of a working nurse's taxable portfolio to a single penny stock is arguably excessive concentration in a speculative position. The thin trading volume (45,000 shares/day) means that even a modest position could be difficult to exit without significant price impact, creating liquidity risk disproportionate to the client's overall financial profile. Under penny stock suitability rules, brokers have heightened obligations including providing specific risk disclosure documents and obtaining written customer acknowledgment. If these specific procedural requirements were not fully met, this would constitute a per se violation regardless of the substantive merits. Additionally, while Nguyen's risk profile indicated willingness to accept substantial risk, regulatory guidance consistently emphasizes that a customer's stated willingness does not relieve the advisor of independent judgment about appropriateness.

Arguments against a violation: Unlike many penny stock recommendations that trigger regulatory concern, this recommendation involved a company with actual revenue, audited financials, a government research grant, and genuine technology development - not a pump-and-dump scheme or shell company. The advisor conducted eight months of independent due diligence, reviewed filings, attended presentations, and spoke with management. Nguyen had specifically listed 'speculation' as a secondary investment objective and had prior experience with small-cap/speculative investments, demonstrating familiarity with the risk profile. The \$15,000 position represented only 3.9% of her combined investment assets (\$385,000 total) when considering both accounts, and she maintained substantial diversified holdings. The advisor provided oral disclosures about illiquidity, pre-profitability status, and general penny stock risks. The recommendation was not part of a pattern of speculative penny stock trading but rather a single, researched position. Courts and arbitration panels have generally recognized that speculative investments can be suitable for clients who specifically seek growth and speculation with a portion of their assets.

### Why Borderline

This scenario is genuinely ambiguous because it pits the inherently high-risk nature of penny stocks - which trigger special regulatory scrutiny and carry elevated suitability burdens - against a fact pattern that includes many mitigating factors: the client's stated speculative objectives, prior experience with volatile small-cap investments, the advisor's substantial due diligence, the company's relative legitimacy compared to typical penny stocks, and an allocation size that, while notable, was not grossly disproportionate. The key tension is whether the categorical risk of penny stocks should override client-specific factors that suggest the investment matched the client's profile, or whether the advisor's diligence and the client's informed consent make this a defensible speculative recommendation. The outcome likely hinges on whether the advisor fully complied with the specific procedural requirements for penny stock transactions and whether the panel views 8.6% of the taxable account as excessive concentration in a single speculative position.

### Borderline Factors

- Penny stocks carry inherently heightened suitability obligations and regulatory scrutiny
- GreenVolt was more legitimate than typical penny stocks (audited financials, DOE grant, real revenue)
- Client's stated objectives explicitly included 'speculation' as a secondary goal
- Client had prior experience with small-cap speculative investments with mixed results
- 8.6% of taxable account in a single penny stock is notable concentration, but only 3.9% of total assets
- Advisor performed substantial independent due diligence over eight months

- Thin trading volume (45,000 shares/day) created meaningful illiquidity risk
- Advisor provided verbal disclosures about penny stock risks, but compliance with formal penny stock disclosure requirements is unclear
- Client is a working professional with moderate but not substantial assets
- Loss was triggered by an unforeseeable patent rejection, not fraud or manipulation

### Likely Outcome

The outcome would likely hinge on procedural compliance with penny stock disclosure requirements. If Cortez and his firm fully complied with the specific penny stock disclosure and acknowledgment procedures (written risk disclosure document, customer suitability statement, and written customer agreement), a FINRA arbitration panel would likely find the recommendation substantively defensible given the client's speculative objectives, prior experience, and the advisor's diligence. The panel might award limited damages or deny the claim. However, if the firm failed to comply with the heightened procedural requirements for penny stock transactions - which many firms handle imperfectly - the panel could find a technical violation and award partial damages. Even with full procedural compliance, some panels might find that 8.6% of the taxable account in a single OTC-traded penny stock was excessive for a client of Nguyen's profile, particularly given the illiquidity risk. Most likely outcome: the claim is either denied or settled for a modest amount (perhaps 30-40% of losses) depending on the documentation quality.

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## Borderline Scenario 101

*Topic: reverse\_churning | Standard: FINRA Rule 2111 (Suitability), including the account-type suitability component; Regulation Best*

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### Fact Pattern

Margaret Dunlap, age 62, a recently retired school administrator with a \$1.4 million rollover IRA, was transitioned by her advisor, Kevin Ostrowski, from a commission-based brokerage account to a fee-based advisory account in March 2021. The advisory account charged an annual wrap fee of 1.25% (\$17,500 per year). At the time of the transition, Kevin explained that the fee-based structure would better align with providing ongoing comprehensive financial planning, including retirement income distribution strategies, tax-efficient withdrawal sequencing, and annual rebalancing. Margaret signed all disclosures and agreed to the new arrangement. Over the next 30 months (March 2021 through September 2023), the account generated only 11 total trades - mostly modest rebalancing moves between existing mutual fund positions and two switches from higher-cost share classes to lower-cost institutional share classes within the same fund families. There were no changes to the overall asset allocation, which remained a moderate 60/40 stock-bond split. Margaret paid approximately \$43,750 in advisory fees over this period. Had she remained in the commission-based account, the 11 trades would have generated roughly \$2,200 in total commissions. However, during this same period, Kevin met with Margaret six times for comprehensive planning sessions, prepared a detailed retirement income plan, coordinated with her CPA on Roth conversion strategies that saved her an estimated \$12,000 in taxes over two years, helped her evaluate Medicare supplement options, and reviewed her estate documents with her attorney. Margaret never complained about the arrangement and expressed satisfaction in writing after multiple reviews. Kevin's branch manager approved the account conversion after reviewing a justification memo. A routine examination later flagged the account due to the low trading activity relative to the fee charged.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The core tension in this scenario is whether the value of a fee-based advisory relationship should be measured solely by trading activity or whether holistic financial planning services justify the ongoing fee. Arguments that Kevin violated his obligations: The raw economics are stark - Margaret paid \$43,750 for services that, measured purely by trading activity, would have cost \$2,200 in a commission model, a disparity of roughly 20:1. Under FINRA Rule 2111 and its supplementary materials, as well as Regulation Best Interest's care obligation under Rule 15l-1 of the Exchange Act, an advisor must have a reasonable basis to believe that the account type is in the client's best interest. FINRA Regulatory Notice 03-68 specifically warned about 'reverse churning' - parking accounts in fee-based programs with little or no activity to justify the ongoing fee. The cost-benefit analysis, viewed through a trading lens, strongly favors the commission model. Additionally, the extremely low turnover rate (approximately 0.15 annualized) suggests the account was essentially static. Arguments that Kevin acted appropriately: The analysis changes substantially when the scope of services is broadened beyond trading. Kevin provided demonstrable, quantifiable value through tax planning (the \$12,000 in Roth conversion savings alone offsets a meaningful portion of the fees), retirement income planning, Medicare guidance, and estate planning coordination. Under the Investment Advisers Act of 1940, advisors registered as investment advisers owe fiduciary duties that encompass the full scope of the advisory relationship, not just securities transactions. The SEC's 2019 Commission Interpretation Regarding Standard of Conduct for Investment Advisers clarifies that the duty of care extends to the full range of advisory services. Furthermore, Margaret was a retiree in the distribution phase, where ongoing monitoring and tax-efficient withdrawal strategies arguably matter more than active trading. The institutional share class switches actually reduced her ongoing fund expenses. Her documented satisfaction and the branch manager's approval of the conversion add procedural weight. FINRA Rule 3110 requires supervisory review of account type changes, and that review was conducted here.

### Why Borderline

This is genuinely ambiguous because the case sits at the intersection of two legitimate frameworks for measuring advisor value. Purely quantitative metrics (trade count, turnover ratio, cost comparison) strongly suggest the fee-based account was inappropriate. But qualitative metrics (comprehensive planning, tax savings, holistic retirement guidance) suggest the fee was earned through services that don't generate commissions. Regulators have historically struggled with where to draw the line between reverse churning and legitimate comprehensive advisory relationships, and reasonable practitioners disagree about whether financial planning services alone can justify a percentage-of-assets fee when trading is minimal.

### Borderline Factors

- The 20:1 cost disparity between the fee-based and commission-based models creates a strong prima facie case of reverse churning
- The documented comprehensive financial planning services (tax planning, retirement income strategy, Medicare, estate coordination) provided tangible value beyond trading
- The \$12,000 in quantifiable tax savings from Roth conversion strategies partially offsets the fee differential
- Margaret was in the retirement distribution phase where ongoing monitoring and withdrawal strategy may



justify an advisory relationship even without frequent trading

- Client expressed documented satisfaction and was never misled about the fee structure
- Supervisory review was conducted and approved the account conversion
- The 30-month evaluation period may be too short to capture the full value cycle of a comprehensive planning relationship
- The advisor reduced fund share class costs, showing some attention to expense management

### Likely Outcome

A regulator would likely issue a cautionary finding or require enhanced documentation rather than pursue a formal violation. The comprehensive planning services and documented tax savings provide a credible defense, but the regulator would probably require the firm to implement more robust cost-benefit analysis procedures for fee-based account conversions, particularly for accounts with predictably low trading activity. If the advisor could not substantiate the planning services with detailed records, the outcome would tilt toward a finding of violation. The key determinant would be whether the examiner evaluates the relationship holistically or focuses narrowly on trading activity metrics.

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## Borderline Scenario 102

*Topic: junk\_bonds\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, a*

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### Fact Pattern

Dr. Patricia Huang, age 58, a practicing dermatologist earning approximately \$420,000 annually, opened an account with advisor Ryan Caldwell in January 2022. On her new account form, she indicated her investment objective as 'income with capital preservation,' her risk tolerance as 'conservative,' and her investment time horizon as '7-10 years' (targeting retirement around age 67). She had \$2.8 million in total investable assets across multiple accounts, including \$1.1 million in tax-deferred retirement accounts and \$850,000 in a taxable brokerage account at another firm that was invested entirely in Treasury bonds and CDs. The account she opened with Ryan held \$840,000. During their initial meetings, Patricia told Ryan she was 'tired of earning almost nothing on safe bonds' and wanted 'something that pays better than Treasuries but isn't the stock market.' Ryan recommended allocating 35% of the \$840,000 account (\$294,000) to a diversified portfolio of high-yield corporate bonds, split across 14 different issuers in various sectors (energy, healthcare, telecommunications, consumer goods), with credit ratings ranging from BB+ to B-. The remaining 65% was placed in investment-grade corporate bonds (30%), Treasury securities (25%), and a short-duration municipal bond fund (10%). The high-yield portion had a blended yield of approximately 7.8%, compared to approximately 4.1% for comparable investment-grade holdings at the time. Ryan prepared a written analysis showing that the high-yield allocation, in the context of Patricia's total \$2.8 million portfolio, represented only about 10.5% of her overall investable assets, and that even in a severe default scenario (assuming a 25% cumulative loss on the high-yield positions), her total portfolio impact would be approximately 2.6%. He also showed her historical default rate data and recovery rate statistics for diversified high-yield portfolios. Patricia reviewed and initialed each page of the analysis. By September 2023, three of the fourteen high-yield positions (two energy companies and one telecom firm) had been downgraded to CCC or below, and one energy issuer defaulted, resulting in a combined loss of approximately \$58,000 on those three positions. The remaining eleven high-yield holdings continued to perform and pay interest as expected. Patricia filed a complaint stating that high-yield bonds were

'inappropriate for someone who checked conservative on the form' and that she 'never would have agreed if she understood these were junk bonds.' Ryan's notes from their meetings, however, include Patricia's statement about wanting higher income than Treasuries and her initialed acknowledgment of the risk analysis.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This scenario creates a genuine conflict between a client's stated risk profile on a form and her expressed investment preferences in conversation, complicated by the question of whether high-yield bonds can ever be suitable for a conservative investor when viewed in full portfolio context. Arguments that Ryan violated his obligations: Under FINRA Rule 2111, an advisor must ensure that a recommendation is suitable based on the customer's investment profile, which includes stated risk tolerance and investment objectives. Patricia's account documents clearly state 'conservative' risk tolerance and 'income with capital preservation' as objectives. High-yield bonds rated B- are speculative-grade instruments with meaningful default risk - the very antithesis of capital preservation. The fact that a client expresses frustration with low yields does not authorize an advisor to override the documented risk profile. Under Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, and placing 35% of an account in speculative bonds for a self-identified conservative investor raises serious concerns. FINRA has consistently held that customer-stated risk tolerances on account documents carry significant weight, and advisors cannot simply rely on verbal statements that contradict written profiles to justify aggressive recommendations. The \$58,000 loss, while not catastrophic, materialized within less than two years and validates the risk concern. Arguments that Ryan acted appropriately: The recommendation must be evaluated in the context of the client's total financial picture, not just the single account. Under FINRA Rule 2111.05 (Supplementary Material), portfolio-based suitability analysis is appropriate when the advisor has knowledge of the customer's overall financial situation. Ryan documented that the high-yield allocation represented only 10.5% of Patricia's total \$2.8 million in investable assets - a level many practitioners would consider moderate even for a conservative investor. The remaining 89.5% was in investment-grade or government securities. Furthermore, the high-yield allocation itself was well-diversified across 14 issuers and multiple sectors, which is consistent with prudent portfolio construction rather than speculative concentration. Ryan's detailed written risk analysis, which Patricia initialed page by page, demonstrates informed consent and transparency. Patricia's own expressed desire for income above Treasury yields, combined with her rejection of equity exposure, left high-yield bonds as one of the few asset classes that could meet her stated income objective. Her 7-10 year time horizon provides adequate runway to absorb interim volatility. The SEC's standard under Reg BI requires consideration of reasonably available alternatives - and Ryan could argue that the alternatives (staying entirely in low-yielding Treasuries) failed to meet the client's explicitly stated income needs.

### Why Borderline

This scenario is genuinely ambiguous because it pits a formal written risk profile ('conservative' / 'capital preservation') against documented verbal preferences that logically point toward accepting more risk for higher income. The 35% high-yield allocation within the single account looks aggressive for a conservative investor, but the 10.5% allocation across total assets looks defensible. Reasonable regulators could disagree about whether the written risk tolerance is dispositive or whether holistic portfolio context and

documented client preferences should control. The diversification within the high-yield sleeve and the thorough documentation further complicate the analysis. Additionally, the losses, while real, were concentrated in three of fourteen positions and were within the range Ryan's stress test projected, raising the question of whether a realized loss within disclosed parameters constitutes a suitability failure.

### Borderline Factors

- Client's written risk profile explicitly states 'conservative' and 'capital preservation,' which facially conflicts with speculative-grade bond exposure
- Client's documented verbal statements express a desire for higher income than Treasuries and an aversion to equities, logically narrowing suitable options to credit-bearing fixed income
- The 35% high-yield allocation within the specific account appears aggressive, but the 10.5% allocation across total assets appears moderate
- The high-yield sleeve was diversified across 14 issuers and multiple sectors, not concentrated in a single name or industry
- Ryan prepared a detailed written risk analysis with stress scenarios that Patricia reviewed and initialed page by page
  - The actual losses (\$58,000) fell within the range of the stress scenario Ryan presented (projected maximum 2.6% total portfolio impact vs. actual ~2.1%)
  - Patricia's complaint uses the phrase 'junk bonds' and claims she didn't understand, despite documented evidence of review and acknowledgment
  - The advisor did not update the written risk profile to reflect the client's verbal preferences, leaving a documentary contradiction

### Likely Outcome

A regulator would likely find this a close case but would probably not sustain a formal suitability violation, provided Ryan's documentation holds up under scrutiny. The detailed risk analysis, the client's initialed acknowledgments, the diversification within the high-yield allocation, and the total-portfolio context provide a strong defense. However, the regulator would likely criticize the failure to update the formal account documents to reconcile the stated 'conservative' risk tolerance with the actual recommendation, and might require the firm to enhance its procedures for documenting situations where verbal preferences diverge from written risk profiles. If this reached a FINRA arbitration panel, the outcome would likely depend on the panel's assessment of whether Patricia genuinely understood the risks - the initialed risk analysis would be a powerful exhibit for the advisor. A regulator conducting a routine exam might flag it as a supervisory concern rather than pursue enforcement.

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## Borderline Scenario 103

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantita*

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### Fact Pattern

Margaret Kowalski, age 68, retired in March 2022 with a \$1.4 million portfolio at a regional brokerage. She told her advisor, Daniel Reeves, that she needed \$55,000 per year in income starting in 2023 to supplement Social Security and a small pension, and that she planned to use the portfolio throughout a retirement she expected to last 20-25 years. She described herself as 'conservative' and said she didn't

want to lose principal. In their documented planning meeting, she also expressed concern about inflation eroding her purchasing power over time, noting that her mother had lived to 96 and that she worried about running out of money in her late 80s. Reeves constructed a bond ladder using high-quality investment-grade corporate and municipal bonds, but weighted approximately 62% of the \$980,000 fixed-income allocation (about \$608,000) into bonds with maturities of 15-25 years, with an average portfolio duration of approximately 11.2 years. The remaining 38% was in bonds maturing within 1-7 years, structured to cover her income needs for the first seven years. The long-dated bonds carried yields between 4.1% and 4.8%, significantly higher than the 2.8%-3.4% available on intermediate-term bonds at the time of purchase. Reeves documented that the long-duration allocation was designed to lock in higher yields to protect Margaret's income stream in years 8-25 of retirement and to hedge against the possibility of falling rates in the future. When interest rates rose sharply in late 2022 and 2023, the long-dated bonds lost approximately 18-22% of their market value, and Margaret's total portfolio showed an unrealized loss of roughly \$115,000. Margaret complained that Reeves had exposed her to unacceptable risk for someone who said she was conservative and didn't want to lose principal. Reeves countered that if the bonds are held to maturity—which was always the plan—she will receive full face value and the higher coupons will provide exactly the inflation-hedging income she requested for her later retirement years. He noted that the short-duration tranche fully covers her near-term income needs without requiring any bond sales. Margaret's account documents show she signed a risk disclosure form noting that long-term bonds are subject to interest rate risk and price volatility, though she later said she didn't fully understand what that meant in practice.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case turns on whether a duration of 11.2 years was appropriate for a 68-year-old conservative retiree who simultaneously expressed two competing concerns: preservation of principal and protection against inflation over a 20-25 year horizon. Arguments that Reeves violated his obligations: Margaret clearly and repeatedly stated she was conservative and did not want to lose principal. An average duration of 11.2 years exposes her portfolio to substantial mark-to-market losses, which materialized. A more conservative approach would have kept duration below 5-7 years and used a shorter ladder, rolling proceeds as bonds matured. The 62% allocation to 15-25 year bonds arguably overweighted long duration relative to her risk tolerance. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest's Care Obligation, the advisor must have a reasonable basis to believe the recommendation is suitable based on the customer's stated investment profile, including risk tolerance. A conservative client experiencing a \$115,000 unrealized loss suggests a mismatch. Additionally, while Margaret signed a risk disclosure form, signing a form does not cure an unsuitable recommendation—particularly if the client did not fully understand the risks, as she claims. Arguments that Reeves acted appropriately: The bond ladder was designed as a hold-to-maturity strategy. If Margaret holds the bonds to maturity, she will receive full par value and the higher coupon payments. The short-duration tranche covers 7 years of income needs, meaning Margaret does not need to sell any long-dated bonds at a loss. The long-duration bonds were all investment-grade, not speculative. Reeves documented a clear rationale: locking in higher yields to address Margaret's stated concern about inflation and longevity risk. Under the reasonable-basis and customer-specific components of suitability analysis, addressing a client's 25-year retirement horizon with bonds that mature within that window is defensible. The unrealized losses are paper losses that only crystallize if she sells early. The strategy was

internally coherent and matched her full set of stated needs, even if it prioritized inflation protection over short-term price stability.

### Why Borderline

This is genuinely ambiguous because Margaret gave her advisor two competing mandates—preserve principal and protect against inflation over 25 years—and reasonable professionals disagree about how to balance those goals. A shorter-duration portfolio would have avoided mark-to-market losses but exposed her to reinvestment risk and potentially lower income in later years. A longer-duration portfolio locked in higher yields for the full retirement but created interim volatility. The advisor's strategy is coherent if viewed as a hold-to-maturity plan, but the client's reaction suggests her subjective understanding of 'conservative' did not encompass 18-22% unrealized losses on her bonds. Whether suitability is judged by the strategy's design logic or by the client's experienced outcome is a legitimate point of disagreement.

### Borderline Factors

- Client gave competing objectives: principal preservation versus inflation protection over 25 years
  - Average duration of 11.2 years is aggressive for a conservative retiree but defensible for a hold-to-maturity ladder strategy
- Short-duration tranche fully covers 7 years of income, reducing need to sell at a loss
- All bonds were investment-grade, not speculative or high-yield
- Unrealized losses of ~\$115,000 are significant but may never be realized if held to maturity
- Client signed risk disclosures but claims she didn't understand the practical implications
  - Advisor documented a rationale connecting long-duration allocation to client's stated longevity and inflation concerns
- Reasonable professionals could disagree about the maximum appropriate duration for a 68-year-old conservative investor with a 25-year horizon

### Likely Outcome

A regulator would likely decline to bring a formal enforcement action but might issue a cautionary letter or require enhanced supervision. The advisor's documentation of rationale and the internally consistent ladder structure make it difficult to prove the recommendation lacked a reasonable basis. However, a regulator might find that the advisor should have done more to ensure the client genuinely understood the magnitude of potential interim price declines, particularly given her repeated emphasis on principal preservation. In an arbitration setting, the outcome would likely depend on whether the panel views suitability through the lens of the strategy's design (favoring the advisor) or the client's experienced volatility relative to her stated risk tolerance (favoring the client). A settlement in the range of 25-40% of the unrealized losses is plausible.

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## Borderline Scenario 104

*Topic: lack\_of\_diversification | Standard: FINRA Rule 2111 (Suitability), including the customer-specific obligation requiring consideration of the client's investment objectives, financial situation, and needs.*

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### Fact Pattern

Thomas and Rita Brennan, ages 52 and 49, had a combined household income of approximately \$310,000 from their respective careers in hospital administration and pharmaceutical sales. In January 2021, they consolidated \$840,000 from various retirement accounts and a taxable brokerage account with advisor

Keisha Walton at a full-service advisory firm, paying a 1.1% annual wrap fee. During onboarding, both Brennans expressed strong conviction about the long-term growth of the healthcare and biotechnology sectors, citing their professional experience and belief that aging demographics and medical innovation would drive outsized returns over the next 15-20 years. They told Walton they had a 'high' risk tolerance and that their goal was aggressive growth for retirement at age 65. They also noted they had an additional \$380,000 in a separate 401(k) plan invested in a target-date 2035 fund and owned their home outright, valued at approximately \$550,000. Walton constructed a portfolio that allocated approximately 58% (\$487,000) to healthcare and biotechnology equities, including a mix of 12 individual large-cap pharmaceutical and biotech stocks, two healthcare-focused ETFs, and one actively managed biotech mutual fund. The remaining 42% was allocated across technology (15%), industrials (8%), financials (7%), consumer staples (6%), and a broad international equity ETF (6%). Walton documented her reasoning: the clients had deep domain expertise and conviction in healthcare, their outside assets (the 401(k) target-date fund) provided broad diversification, and their long time horizon and high risk tolerance supported a thematic tilt. Over the next 18 months, the healthcare and biotech allocation performed roughly in line with the S&P 500, but in mid-2023, a series of regulatory setbacks and drug trial failures in the biotech sector caused the healthcare-heavy portion of the portfolio to decline approximately 28%, reducing the overall portfolio value by roughly \$136,000 while the broader S&P 500 declined only about 4% during the same period. The Brennans filed a complaint arguing that Walton had failed to properly diversify their portfolio and had concentrated their life savings in a single sector. Walton responded that the concentration was at the clients' explicit and repeated request, that she had documented their conviction and rationale, that their total investable assets including the 401(k) and home equity brought the effective healthcare concentration to roughly 28% of total net worth, and that the portfolio included 12 individual stocks plus two ETFs and a mutual fund within healthcare to provide sub-sector diversification.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Walton violated her obligations: A 58% concentration in a single sector within a managed advisory account paying a 1.1% wrap fee is a significant departure from modern portfolio theory and widely accepted diversification principles. Regardless of client preference, an advisor has an independent obligation to recommend a portfolio that is suitable and in the client's best interest-client enthusiasm for a sector does not relieve the advisor of that duty. Under the Care Obligation of Reg BI and the suitability requirements, the advisor must exercise independent professional judgment and cannot simply defer to client wishes when the resulting portfolio creates unreasonable concentration risk. A 58% sector allocation is well above what most compliance departments would consider a prudent thematic tilt (typically 5-15% overweight). The losses of \$136,000 versus a minimal broad-market decline illustrate the precise risk that diversification is meant to mitigate. Additionally, the Brennans' domain expertise in healthcare operations does not necessarily translate into stock-picking or sector-timing acumen-professional familiarity with an industry is not the same as investment expertise. Arguments that Walton acted appropriately: The Brennans explicitly and repeatedly requested the healthcare focus, bringing their own professional insight to the conversation. Walton documented their conviction and rationale at multiple points. She did not blindly follow their wishes but structured the healthcare allocation across 12 individual stocks, 2 ETFs, and a mutual fund to provide diversification within the sector. Crucially, the Brennans had \$380,000 in a target-date 2035 fund providing broad market exposure, plus \$550,000 in home equity. Viewed on a



total-wealth basis, healthcare represented approximately 28% of their net worth—still an overweight but far less extreme than the 58% figure in the advisory account alone. The clients had high stated risk tolerance, a 13-16 year time horizon, high income, and no immediate liquidity needs from this portfolio. FINRA guidance has recognized that concentration is not per se unsuitable and must be evaluated in the context of the customer's entire financial situation. The advisor genuinely attempted to balance the clients' strong conviction with reasonable risk management through sub-sector diversification.

### Why Borderline

This scenario is genuinely ambiguous because it involves a tension between the advisor's duty to exercise independent judgment and the well-documented, informed preference of sophisticated clients with relevant professional backgrounds. The 58% single-sector concentration in the advisory account is objectively high, but the total-wealth picture (including the diversified 401(k) and home equity) substantially mitigates the effective concentration. Reasonable practitioners disagree about whether an advisor should override strong client preferences when the overall financial picture is not alarming, and whether a 28% total-net-worth sector concentration crosses the line. The losses, while significant, occurred in a compressed period and the long time horizon means recovery is plausible.

### Borderline Factors

- 58% sector concentration in the advisory account is objectively high, but total-wealth healthcare exposure is approximately 28%
- Clients explicitly and repeatedly requested the healthcare tilt based on professional domain expertise
- Advisor documented client conviction and rationale at onboarding and subsequent meetings
- Sub-sector diversification within healthcare (12 stocks, 2 ETFs, 1 mutual fund) mitigated single-stock risk
  - Clients had a separate diversified 401(k) and substantial home equity, improving the total-wealth diversification picture
- High risk tolerance and 13-16 year time horizon support a more aggressive allocation
- Professional familiarity with healthcare does not necessarily equal investment expertise in the sector
- The advisor has an independent duty to recommend suitable portfolios and cannot fully defer to client preferences
- The 28% sector-level loss vs. 4% broad market decline illustrates the concentration risk that materialized

### Likely Outcome

A regulator would likely investigate but would probably not pursue a full enforcement action, particularly if Walton's documentation is thorough and consistent. The total-wealth diversification argument is strong, and the clients' repeated, documented insistence on the healthcare theme provides meaningful support for the advisor. However, a regulator might find that a 58% single-sector allocation within the managed account was excessive even with the mitigating factors, and might require the firm to enhance its concentration monitoring procedures and supervisory review thresholds. In arbitration, the panel would likely give significant weight to the client-directed nature of the concentration and the total-wealth context, potentially resulting in a finding partially favorable to the advisor. A negotiated settlement of 20-35% of losses is a plausible outcome, reflecting shared responsibility.

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## Borderline Scenario 105

Topic: *variable\_annuity\_unsuitable* | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for be

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**Fact Pattern**

Patricia Feldman, age 58, met with her financial advisor Roger Chen in March 2022 to discuss retirement planning. Patricia had recently inherited \$420,000 from her late mother and wanted to ensure she had reliable income when she planned to retire at age 65. She had a modest existing 401(k) worth \$185,000 and owned her home outright (valued at \$340,000). Her annual salary as a school administrator was \$78,000. Patricia told Roger she was 'moderately conservative' and that her biggest fear was outliving her money. She also mentioned she might need to help her daughter with a home down payment 'sometime in the next few years,' estimating that could be \$40,000-\$60,000. Roger recommended she place \$310,000 of the inheritance into a variable annuity with a guaranteed lifetime withdrawal benefit rider. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, the rider cost 1.05% annually, and the underlying sub-account funds averaged an expense ratio of 0.82%, bringing total annual costs to approximately 3.37%. The annuity had a 7-year declining surrender charge schedule starting at 7% in year one and dropping by 1% per year. Roger placed the remaining \$110,000 into a balanced mutual fund portfolio. He documented that the guaranteed income rider would address Patricia's longevity concerns and that the \$110,000 liquid portfolio plus her remaining savings of approximately \$45,000 in a bank account would cover the potential gift to her daughter. Patricia signed all disclosures, including a document specifically outlining the surrender charges and fee structure. Over the next 18 months, the variable annuity's sub-accounts declined 11% in value due to market conditions, though the guaranteed withdrawal base was protected by the rider at the original \$310,000. In January 2024, Patricia's daughter asked for \$55,000 for a home purchase. Patricia withdrew \$10,000 from her bank savings and sold \$45,000 from the balanced fund portfolio, leaving her with only about \$22,000 in liquid assets outside the annuity. She then filed a complaint alleging the annuity was unsuitable because too much of her inheritance was locked up in an illiquid product with excessive fees, and that Roger should have anticipated her near-term liquidity needs more carefully.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Roger violated applicable standards: The total all-in cost of 3.37% annually is high, and over time significantly erodes the benefit of the guaranteed withdrawal rider. Placing approximately 74% of the inherited funds (\$310,000 of \$420,000) into a single illiquid product with a 7-year surrender period is a substantial concentration in an illiquid vehicle for a client who disclosed a potential near-term liquidity need of \$40,000-\$60,000. While Roger allocated \$110,000 to liquid investments plus Patricia had \$45,000 in bank savings (totaling \$155,000 in liquid assets), the high end of the disclosed liquidity need (\$60,000) would consume nearly 39% of those liquid assets, leaving Patricia with thin reserves. A more conservative allocation-perhaps \$240,000 to the annuity and \$180,000 to liquid investments-could have achieved the same income goal while providing a larger liquidity cushion. Additionally, lower-cost alternatives such as a fixed indexed annuity with a guaranteed income rider, or a simpler bond ladder combined with systematic withdrawal planning, could have addressed longevity risk at a fraction of the cost. Arguments that Roger acted appropriately: Patricia's primary stated objective was guaranteed lifetime income, and the variable annuity with the guaranteed withdrawal rider directly addressed that concern. Roger did not place all funds into the annuity-he maintained \$110,000 in liquid investments and Patricia had \$45,000 in savings, totaling \$155,000 in accessible assets, which exceeded the stated potential liquidity need by a comfortable margin (\$155,000 vs. \$40,000-\$60,000). Patricia described the daughter's need as something that 'might' happen,

not a certainty. The guaranteed withdrawal base protecting the \$310,000 regardless of market performance is precisely the downside protection a moderately conservative, longevity-worried client would value. Patricia signed detailed disclosures about fees and surrender charges. The complaint arose not from an inherent flaw in the recommendation but from a liquidity event that, while discussed as a possibility, ultimately consumed more of her liquid assets than expected but was still fully funded without touching the annuity.

### Why Borderline

This case sits in a genuine gray area because the advisor did address the client's primary stated concern (longevity risk) with an appropriate product type, maintained a liquidity buffer that technically covered the disclosed potential need, and obtained informed consent. However, the allocation was aggressive in its concentration toward the illiquid product, the total cost structure was high relative to alternatives, and the liquidity cushion-while mathematically sufficient-left little margin for error. Reasonable practitioners could disagree about whether 74% of new assets in a single variable annuity crosses the line from suitable-but-aggressive to unsuitable, especially when a known near-term liquidity need existed.

### Borderline Factors

- Total annuity fees of 3.37% annually are high but not egregious for a product with a guaranteed lifetime withdrawal benefit rider, and the rider directly addressed the client's primary concern
- The advisor maintained liquid assets (\$155,000) exceeding the high end of the stated potential liquidity need (\$60,000), but the margin was thinner than many practitioners would consider prudent
- The client's description of her daughter's need was conditional ('might need to help'), creating ambiguity about how heavily the advisor should have weighted this factor
- 74% concentration in a single illiquid product is high but not unprecedented for a client 7 years from retirement seeking guaranteed income
- Lower-cost alternatives existed that could have addressed longevity concerns, but the variable annuity offered equity market upside with downside protection that alternatives may not have provided
- The client signed detailed disclosures about all fees and surrender charges, demonstrating informed consent
- The complaint was triggered by an actual liquidity event, not by the product's fundamental unsuitability-the client was able to meet her daughter's need without surrendering the annuity

### Likely Outcome

A regulator would likely find this to be a close call but might issue a cautionary letter or require enhanced supervision rather than impose significant sanctions. The advisor had a documented rationale, maintained some liquidity, and the client's primary need was addressed. However, the high cost structure relative to alternatives and the aggressive concentration in a single illiquid product when a known near-term liquidity need existed would draw scrutiny. If this were reviewed under a best interest standard, the failure to adequately consider lower-cost alternatives that could have achieved similar outcomes might tip the scales toward a finding of a violation, though likely with modest remedial action rather than severe penalties. Under a traditional suitability standard, the recommendation would more likely survive challenge given the documented rationale and the client's stated objectives.

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## Borderline Scenario 106

Topic: *inappropriate\_risk\_profile* | Standard: Under FINRA Rule 2111 (Suitability), the advisor must ensure the recommendation is suitable

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### Fact Pattern

David and Maria Quintero, both age 44, met with financial advisor Stephanie Walsh in September 2023 to consolidate their investment accounts after David received a promotion that increased the household income from \$145,000 to \$210,000 annually. They had \$390,000 in combined retirement accounts, \$95,000 in a joint brokerage account, \$30,000 in an emergency fund, and \$280,000 remaining on their mortgage. They had two children, ages 10 and 13, with \$42,000 saved in 529 education plans. During the risk assessment process, Stephanie used her firm's standard questionnaire, which assigned them a risk score of 62 out of 100-corresponding to a 'moderate' profile recommending roughly 60% equities and 40% fixed income. However, during the in-person discussion, David expressed strong opinions about market opportunities, saying he had been reading extensively about AI and technology stocks, that he felt 'the next five years are going to be huge for tech,' and that he wanted 'real growth, not the slow drip of bonds.' Maria was quieter during the meeting but nodded along and said, 'I trust David on this stuff-he follows it closely.' She did mention, however, that she 'didn't want to lose everything' and that the college funds were 'untouchable.' Stephanie documented the conversation in her notes and, after further discussion, adjusted their risk profile upward to 'moderate-aggressive' (score of 74), recommending a portfolio of 80% equities (with a 30% allocation to a diversified technology sector ETF, 25% to a large-cap growth fund, 15% to an international equity fund, and 10% to a small-cap fund) and 20% fixed income. This applied to both the retirement accounts and the joint brokerage account. The 529 plans were left in age-appropriate target-date funds. Six months later, a sharp correction in technology stocks caused the portfolio to decline approximately 19%. David and Maria filed a complaint alleging that Stephanie overrode the objective risk questionnaire results to push them into a riskier allocation that was more profitable for her (her firm's technology ETF carried a higher internal commission payout of 0.45% versus 0.20% for most other equity funds), and that Maria's concerns about losses were effectively ignored.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Stephanie violated applicable standards: The firm's standardized risk questionnaire-designed to objectively assess risk tolerance-produced a 'moderate' score, and Stephanie overrode it upward based largely on one spouse's enthusiasm during a single meeting. Risk questionnaires exist precisely to counterbalance the emotional impulses that investors express in bull markets or periods of excitement about specific sectors. The 30% allocation to a single sector (technology) represents a significant concentration that goes beyond even a typical moderate-aggressive allocation. Maria's comment about not wanting to 'lose everything,' while vague, signals a lower risk tolerance that was not adequately explored or weighted. In joint accounts, both spouses' risk tolerances should be considered, and the more conservative spouse's concerns arguably should carry significant weight. The higher compensation Stephanie received on the technology ETF creates a conflict of interest that, at minimum, should have prompted additional scrutiny of the recommendation. The total equity allocation of 80% for a household with two children approaching college age and 21 years until standard retirement age, while not extreme in isolation, becomes more concerning when combined with the heavy sector concentration. Arguments that Stephanie acted appropriately: Risk questionnaires are tools, not mandates-they are meant to inform the advisory process, not replace professional judgment. The questionnaire score of 62 placed the Quinteros at

the upper end of 'moderate,' and the adjustment to 74 ('moderate-aggressive') was a one-category shift, not a dramatic override. The Quinteros are 44 years old with a 21-year investment horizon to retirement, stable high household income (\$210,000), adequate emergency reserves (\$30,000), and no unusual liquidity needs—a profile that can reasonably support an 80/20 allocation. David was articulate about his investment views and both spouses appeared to agree. Maria's concern about not losing 'everything' is consistent with moderate-aggressive investing (which accepts volatility while maintaining some downside protection through the 20% fixed income allocation)—she did not say she wanted to avoid all risk. Stephanie documented the conversation thoroughly and left the children's 529 plans in conservative target-date funds, demonstrating she did distinguish between risk-appropriate accounts. A 19% portfolio decline, while painful, is within the range of normal market volatility for an 80/20 portfolio and does not by itself demonstrate unsuitability. The compensation differential (0.45% vs 0.20%) is modest and may reflect the specialized nature of the sector fund rather than an improper incentive.

### Why Borderline

This case presents genuine ambiguity because the advisor had legitimate professional reasons to adjust the risk profile upward (long time horizon, high income, client-expressed preferences, adequate emergency reserves), but did so in a way that overrode the firm's standardized assessment tool, arguably gave insufficient weight to the more conservative spouse's stated concerns, concentrated heavily in a single sector, and had a financial incentive that aligned with the more aggressive recommendation. The outcome—a 19% decline—is not catastrophic and falls within expected ranges for the chosen allocation, but it crystallized the tension between the questionnaire results and the actual portfolio construction.

### Borderline Factors

- The risk questionnaire score of 62 ('moderate') was overridden upward to 74 ('moderate-aggressive')—a meaningful but not dramatic adjustment that raises questions about the proper role of standardized assessment tools versus advisor judgment
  - One spouse was vocally enthusiastic about aggressive investing while the other expressed more cautious sentiments but deferred—creating ambiguity about the household's true collective risk tolerance
- The 30% technology sector concentration goes beyond standard moderate-aggressive model portfolios but reflects the client's specifically expressed investment thesis
  - The advisor had a modestly higher compensation incentive (0.45% vs 0.20%) on the technology ETF, creating a conflict that cuts against the recommendation but is not so large as to be clearly determinative
- The clients are 44 with a 21-year time horizon, high income, and adequate emergency reserves—factors that objectively support a more aggressive allocation
  - The 529 plans were appropriately left in conservative funds, suggesting the advisor did exercise differentiated judgment rather than blanketly pushing aggressive products
- A 19% decline over six months, while triggering the complaint, is within normal volatility parameters for an 80/20 portfolio with sector concentration and does not independently prove unsuitability

### Likely Outcome

A regulator would likely scrutinize this case carefully but would probably not find a clear-cut violation. The adjustment from moderate to moderate-aggressive is within the range of reasonable professional judgment given the clients' demographics and expressed preferences, and the advisor documented the rationale. However, the sector concentration combined with the compensation differential would likely trigger additional inquiry. If the regulator determines that the firm's policies require specific written justification

when overriding questionnaire results-and Stephanie's documentation fell short of that standard-a procedural violation could be found even if the substantive recommendation was defensible. The most likely outcome is a finding of inadequate documentation of the risk profile override and the conflict of interest, with a requirement for enhanced supervision and possible disgorgement of the excess compensation earned on the technology ETF, but not a full suitability violation.

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## Borderline Scenario 107

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable based on the customer's investment objectives, financial situation, and needs.*

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### Fact Pattern

Margaret Dunlop, age 58, is a recently retired school principal with a \$620,000 rollover IRA and a separate \$180,000 taxable brokerage account. Her retirement income consists of a \$3,400/month pension and anticipated Social Security of \$2,200/month starting at age 62. She told her advisor, Kevin Brandt, that she wanted to 'keep growing her money aggressively in the brokerage account since the pension covers my bills,' and she signed a new account form listing her risk tolerance as 'aggressive' for the taxable account and 'moderate' for the IRA. She had 30 years of experience investing through her school district's 403(b), mostly in equity index funds, and told Kevin she 'understood market swings.' In March 2023, Kevin recommended she place \$45,000 - approximately 25% of her taxable brokerage account - into a 2x leveraged S&P 500 ETF. He explained verbally that the product used leverage to amplify daily returns and that it was designed for short-term trading, not long-term holding. Margaret said she understood and agreed. Kevin set a calendar reminder and called Margaret every 30 days to review the position. Over the next five months, the leveraged ETF gained approximately 38%, and Margaret was pleased. In September 2023, the position began declining. Kevin called Margaret on October 2 and recommended she exit the position; Margaret declined, saying she wanted to 'ride it out like I always do with index funds.' Kevin documented the call and her refusal to sell. By December 2023, the position had declined from its peak but was still up about 9% from her original purchase price. Margaret filed a complaint in January 2024, alleging the leveraged product was never appropriate for a 58-year-old retiree and that Kevin should never have recommended it in the first place. She also claimed Kevin never adequately explained the compounding decay risk of holding a leveraged ETF beyond a single trading day and that his verbal explanation was insufficient.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kevin violated his obligations: Leveraged ETFs are widely understood in the industry to be short-term tactical instruments, not buy-and-hold investments. Margaret was 58 and recently retired, placing her in a demographic category where capital preservation typically becomes more important. Even though the taxable account was labeled 'aggressive,' a 2x leveraged product carries risks qualitatively different from standard equity exposure - including volatility decay, compounding risk, and the possibility of rapid loss of principal. A regulator could argue that Kevin's verbal explanation was insufficient and that the unique risks of leveraged products required more robust written disclosures and a documented acknowledgment that Margaret understood daily reset mechanics and the mathematical certainty of decay



in volatile markets. Placing 25% of the taxable account into a single leveraged instrument may represent excessive concentration in a high-risk product. Additionally, some firms have internal policies restricting leveraged ETF recommendations to customers with specific sophisticated investor qualifications, and Kevin's firm had a guideline - though not a hard prohibition - suggesting leveraged ETFs were 'generally not appropriate for retirement-age clients.' Arguments that Kevin acted appropriately: Margaret had 30 years of equity investing experience, explicitly requested aggressive growth for the taxable account, and signed documentation reflecting that risk tolerance. The \$45,000 position represented only about 5.6% of her total investable assets (\$800,000), meaning the overall portfolio was not recklessly positioned. Kevin proactively monitored the position on a monthly basis, recommended an exit when conditions deteriorated, and documented Margaret's refusal to sell. The position was ultimately profitable. Margaret's pension covered her living expenses, so she had genuine capacity for risk in the taxable account. Kevin's verbal explanation, while not accompanied by written materials, did reference the daily reset feature and short-term nature of the product.

### Why Borderline

This case sits in a genuine gray area because the client had real investing experience, explicit aggressive risk tolerance for this account, and sufficient income and assets to absorb a loss - yet leveraged ETFs carry structurally different risks than standard equity investments, and industry norms increasingly treat them as presumptively unsuitable for retail retirees. The advisor took meaningful steps (monthly monitoring, documented exit recommendation) but arguably fell short on the initial disclosure of compounding decay risk. The fact that the position was profitable and represented only a fraction of total assets further complicates the analysis.

### Borderline Factors

- Client explicitly requested aggressive growth and signed aggressive risk tolerance documentation for this account
- 30 years of equity investing experience, though not specifically with leveraged products
- Position was 25% of the taxable account but only ~5.6% of total investable assets
- Advisor monitored monthly and recommended an exit that the client refused
- Verbal disclosure of daily reset feature occurred but no written acknowledgment of compounding decay risk
- Client was 58 and recently retired - a demographic where leverage is generally disfavored
- Firm's internal guidelines suggested leveraged ETFs were 'generally not appropriate' for retirement-age clients but did not prohibit them
- The position was ultimately profitable, undermining a damages claim but not necessarily a suitability claim

### Likely Outcome

A regulator would likely issue a cautionary action or a fine on the lower end of the spectrum, finding that while Kevin's recommendation was not egregiously unsuitable given the client's stated risk tolerance and financial capacity, his documentation of the risks specific to leveraged ETFs was inadequate. The firm's own internal guidance suggesting these products were generally inappropriate for retirement-age clients would weigh against Kevin. However, the monthly monitoring, documented exit recommendation, and ultimate profitability of the position would mitigate the severity of any sanction. An arbitration panel might deny the customer's claim on the basis that she suffered no actual loss and refused the advisor's exit

recommendation.

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## Borderline Scenario 108

Topic: *annuity\_unnecessary\_switching* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act applies if Discretionary*

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### Fact Pattern

Gerald Whitfield, age 67, owned a fixed indexed annuity he had purchased in 2017 through another advisor. The original annuity had a 7-year surrender period (expiring in 2024), a 2.5% annual guaranteed minimum return on the income base, a current accumulated value of approximately \$285,000, and an income base of \$310,000. Gerald's annual fees on the product were approximately 1.15% of the account value. In June 2023, Gerald began working with a new advisor, Diane Cho, at a different firm. Diane reviewed Gerald's existing annuity and recommended he surrender it and purchase a new fixed indexed annuity from a different insurance carrier. The surrender would trigger a 2% surrender charge (approximately \$5,700) since Gerald was in year six of the seven-year surrender period. The new annuity offered a 10% premium bonus, a guaranteed minimum income benefit of 6.5% simple interest rollup on the income base (compared to 2.5% on the old annuity), a slightly longer 8-year surrender period, and annual fees of 1.45% of account value - 30 basis points higher than the old product. Diane presented Gerald with a side-by-side comparison spreadsheet showing that, under three different market scenarios, the new annuity's income base would surpass the old annuity's income base within 3 years due to the higher rollup rate, even after accounting for the surrender charge and higher fees. Gerald's stated goal was maximizing guaranteed retirement income starting at age 72. He had other assets totaling \$410,000 in an IRA invested in mutual funds and received \$2,600/month in Social Security. Gerald signed the exchange paperwork and a replacement disclosure form that outlined the surrender charge, higher ongoing fees, and new surrender period. Diane earned a 5.5% commission on the new annuity sale (approximately \$15,373), compared to the trailing compensation of approximately \$450/year she would have earned by servicing the old contract had she simply taken it over. Eight months later, Gerald's daughter, a CPA, reviewed the transaction and filed a complaint, alleging the switch was unnecessary because Gerald could have waited seven months for the surrender period to expire, avoided the \$5,700 charge entirely, and then either kept the original annuity or shopped for a new one without penalty. The daughter also alleged that Diane's projections were misleading because they did not account for the impact of the higher fee drag over the full 8-year new surrender period and that the 10% premium bonus was largely offset by the higher annual costs over time.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Diane violated her obligations: The most damaging fact is the timing - Gerald was only 7 months away from the end of his existing surrender period. Waiting would have saved him \$5,700 in surrender charges with no loss of coverage, since the existing annuity continued to credit interest during that period. A reasonable advisor exercising diligence would have considered whether the benefits of immediate switching justified the unnecessary surrender penalty. The new annuity's 1.45% annual fee versus 1.15% means Gerald pays an additional \$840/year on a \$280,000 account value, or roughly \$6,720 over the 8-year surrender period - nearly equal to another surrender charge. The commission differential is

stark: Diane earned over \$15,000 on the new sale versus \$450/year in trail compensation, creating an obvious financial incentive to recommend the switch. The daughter's point about the 10% premium bonus being a marketing feature that is substantially recaptured through higher fees over time is supported by common actuarial analysis of such products. Furthermore, the new 8-year surrender period effectively locks Gerald in until age 75, reducing his flexibility during a critical retirement planning window. Arguments that Diane acted appropriately: The 6.5% income base rollup rate on the new annuity is materially higher than the 2.5% on the old annuity - a 4-percentage-point annual difference on the income base is substantial and directly impacts Gerald's stated primary goal of maximizing guaranteed income at age 72. Even accounting for the \$5,700 surrender charge and higher ongoing fees, Diane's projections showed the new product's income base surpassing the old product within 3 years. If Gerald activates income at 72, he will have had 5 years of the higher rollup rate, potentially generating significantly more guaranteed annual income for the rest of his life. The 10% premium bonus immediately increased his contract value, partially offsetting the surrender charge. Diane provided a written side-by-side comparison and Gerald signed a replacement disclosure form acknowledging the costs. As for the timing argument, waiting 7 months would have meant 7 months of the lower 2.5% rollup rate on the income base - the opportunity cost of delay could be calculated at roughly \$5,425 in foregone income base growth (4% differential on \$310,000  $\times$  7/12 months, applied as simple interest), which nearly equals the surrender charge itself.

### Why Borderline

This is a genuine gray area because both the costs and benefits of the switch are quantifiable and roughly offsetting. The surrender charge of \$5,700 is nearly matched by the opportunity cost of delaying 7 months at the lower rollup rate (~\$5,425 in income base growth differential). The higher fees are real but may be justified by the materially superior income guarantee. The commission differential creates an appearance of conflict but does not by itself prove the recommendation was inappropriate. Reasonable professionals could disagree about whether the timing was negligent or actually rational given the rollup rate differential.

### Borderline Factors

- Client was only 7 months from surrender period expiration - timing of switch is the central issue
- Surrender charge of \$5,700 is nearly offset by opportunity cost of 7 months at lower rollup rate (~\$5,425 income base differential)
- New annuity's 6.5% rollup rate vs. 2.5% is a material improvement aligned with client's stated income goal
- Annual fees increased by 30 basis points (1.15% to 1.45%), creating cumulative drag over the new 8-year surrender period
- 10% premium bonus provides immediate value but may be recaptured through higher fees over time
- Commission on new sale (\$15,373) dramatically exceeds trailing compensation (\$450/year), creating incentive concerns
- Advisor provided written side-by-side comparison and client signed replacement disclosure acknowledging costs
- New 8-year surrender period locks client in until age 75, reducing flexibility
- Client's other assets (\$410,000 IRA + Social Security) provide liquidity, reducing concern about annuity lock-up

### Likely Outcome

A regulator would likely find this to be a close case. The strongest argument against Diane is the timing -

recommending an immediate switch with a surrender penalty when the client was months away from penalty-free access raises a presumption that the switch served the advisor's compensation interest. However, if Diane can demonstrate through her projections that the income base differential over the 5 years until Gerald's planned income activation at age 72 materially exceeds the total incremental costs (surrender charge plus cumulative fee differential), the recommendation may be defensible. A regulator would most likely require Diane to demonstrate that she considered and documented why waiting 7 months was not in the client's best interest, and if she did so with the rollup rate analysis, she may avoid a finding of violation. If her documentation is thin, a cautionary letter or modest fine is probable. An arbitration panel would likely focus on whether Gerald's projected guaranteed income stream is actually higher under the new annuity - if so, damages would be difficult to establish.

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### Borderline Scenario 109

*Topic: leveraged\_etf\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for belie*

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#### Fact Pattern

Margaret Dunlap, age 58, retired two years ago from a career in corporate accounting with a \$1.4 million portfolio. She described her investment objective as 'growth with some income' and listed her risk tolerance as 'moderate to aggressive' on her new account form. She told her advisor, Craig Bellamy, that she wanted to 'beat the market' in the coming years to build a cushion before taking Social Security at 65. Bellamy recommended she allocate \$140,000 - roughly 10% of her portfolio - to a 2x leveraged S&P 500 ETF. He explained verbally that the fund used leverage and could amplify both gains and losses, and that it was designed to deliver twice the daily return of the index. He did not specifically explain the effects of daily rebalancing, volatility decay, or the mathematical compounding issues that can cause leveraged ETFs to diverge significantly from their benchmark over longer holding periods. Dunlap signed a general risk disclosure form that accompanied the ETF purchase, which contained a paragraph about leveraged products being intended for short-term trading. Bellamy's notes from the meeting state: 'Client wants aggressive growth sleeve. Discussed leveraged ETF for a portion of portfolio. Client understood amplified risk.' Dunlap held the position for 14 months. During a period of significant market volatility, the S&P 500 returned approximately 8% over that stretch, but the 2x leveraged ETF returned only about 9% - far less than the roughly 16% a naive investor might expect. Dunlap's remaining portfolio was split between a diversified equity index fund (60%), investment-grade bond funds (20%), and a money market fund (10%). She filed a complaint alleging the leveraged ETF was inappropriate for a retiree and that she was never told the product could underperform so dramatically relative to the underlying index over time. Bellamy's firm does not have a written policy prohibiting leveraged ETF sales to retirees but does require that advisors document client understanding of complex products. Bellamy had recommended leveraged ETFs to 11 other clients over the prior two years, about half of whom were over 55, and none of those clients had complained.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Bellamy violated his obligations center on several factors. First, leveraged ETFs are widely

understood in the industry to be short-term tactical instruments. The product's own prospectus and risk disclosures typically state they are designed for daily holding periods. A 14-month hold is far beyond the intended use case, and the advisor did not implement any monitoring mechanism or rebalancing trigger to limit holding duration. Second, Dunlap is a 58-year-old retiree whose primary income will soon depend on her portfolio; even labeling a portion 'aggressive growth' does not negate the fundamental unsuitability concern of using a leveraged instrument in a retirement portfolio. Third, Bellamy's documentation is thin - he notes the client 'understood amplified risk' but does not demonstrate he explained volatility decay, daily compounding, or the risk that a leveraged ETF can underperform even when the underlying index rises. The signed risk disclosure form was generic, not specific to the mechanics of leveraged products. On the other side, arguments support Bellamy's position. The allocation was only 10% of Dunlap's portfolio, with the remaining 90% conservatively and prudently allocated. The client self-identified as 'moderate to aggressive' and explicitly stated a goal of beating the market. A 10% tactical allocation to a leveraged ETF in a \$1.4 million portfolio does not jeopardize Dunlap's overall financial security, and her accounting background suggests above-average financial literacy. Bellamy did provide verbal disclosure about amplified gains and losses, and the client signed a risk acknowledgment. The actual loss relative to expectations was a performance shortfall, not a catastrophic loss - the position was still profitable in absolute terms. Furthermore, no firm policy prohibited the recommendation, and Bellamy's track record with similar clients showed no pattern of harm.

### Why Borderline

This case sits in a genuine gray area because the leveraged ETF was used in a limited allocation within an otherwise well-diversified portfolio for a client who specifically requested aggressive growth exposure. The product was not held at a catastrophic loss - it simply underperformed expectations due to volatility decay. However, the advisor's failure to explain the specific mechanics of daily compounding and the extended holding period without monitoring are legitimate concerns. Reasonable practitioners could disagree about whether a 10% allocation to a sophisticated-but-risky product, for a financially literate retiree seeking above-market returns, crosses the line from aggressive-but-acceptable to unsuitable.

### Borderline Factors

- Allocation was limited to 10% of a \$1.4 million diversified portfolio
- Client self-identified as moderate-to-aggressive with a stated goal of beating the market
- Client had a professional background in accounting suggesting above-average financial literacy
- Advisor provided some verbal risk disclosure but did not explain daily rebalancing mechanics or volatility decay
- Client signed a generic risk disclosure but it was not tailored to leveraged product nuances
- The 14-month holding period exceeded the product's intended short-term use without any monitoring or exit strategy
- The position was still profitable in absolute terms - the complaint is about relative underperformance, not actual loss
- Client is a retiree approaching Social Security age, raising heightened suitability concerns
- Firm had no written prohibition on leveraged ETF sales to retirees

### Likely Outcome

A regulator would likely find a technical violation based on inadequate disclosure of product-specific risks (particularly volatility decay and daily rebalancing) and the absence of a monitoring plan for a product

designed for short-term holding. However, given the limited allocation size, overall portfolio diversification, client's stated risk tolerance and financial background, and the absence of catastrophic loss, the sanction would likely be modest - perhaps a letter of caution, enhanced supervision, or a small fine - rather than a significant enforcement action. A settlement with the client for the performance differential (approximately \$9,800 representing the gap between expected and actual leveraged return) is plausible.

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## Borderline Scenario 110

Topic: *margin\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative su*

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### Fact Pattern

David Okonkwo, age 44, is a software engineer earning \$195,000 annually with a net worth of approximately \$850,000, including \$310,000 in a brokerage account, \$380,000 in retirement accounts, and \$160,000 in home equity. He has been investing for 12 years and has experience with individual equities, options (covered calls), and sector ETFs. On his account documentation, he listed his risk tolerance as 'aggressive,' his investment objective as 'speculation/growth,' and his time horizon as 'long-term (10+ years).' His advisor, Patricia Sandoval, recommended that Okonkwo open a margin account and use approximately \$90,000 in margin borrowing - roughly a 29% leverage ratio against his \$310,000 brokerage account - to purchase additional shares of a diversified large-cap technology ETF. The margin interest rate was 6.75%. Sandoval's rationale, documented in her meeting notes, was that Okonkwo had sufficient income to service the margin interest, a long time horizon, and that the leveraged exposure to a diversified tech ETF (not a single stock) was consistent with his aggressive profile. She noted the risks of margin calls and the possibility of forced liquidation in a downturn. Over the next nine months, the tech sector experienced a 22% correction. Okonkwo's margin position dropped significantly, triggering a margin call. He deposited an additional \$35,000 from his savings account to meet the call rather than liquidate at a loss. The total value of his brokerage account fell from \$400,000 (including the \$90,000 margin) to approximately \$295,000 before recovering to \$370,000 over the following year. Okonkwo filed a complaint stating that Sandoval never clearly explained how quickly a margin call could occur during a market downturn and that she pressured him into using margin by saying it was 'how sophisticated investors build wealth faster.' Sandoval denies pressuring the client and points to her written notes documenting the margin risk discussion and Okonkwo's signed margin agreement. Okonkwo's account statements show he had previously traded on margin in small amounts (\$10,000-\$15,000) at a prior brokerage firm two years earlier, though he did not disclose this on his new account application. Sandoval was unaware of the prior margin usage.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Sandoval violated her obligations focus on the magnitude of the margin recommendation and the adequacy of risk disclosure. Using \$90,000 in margin - representing a significant increase from Okonkwo's prior margin experience of \$10,000-\$15,000 - could be seen as a dramatic escalation that warranted more careful discussion about worst-case scenarios, including the specific dollar amounts he might need to deposit in a margin call and the speed at which calls can occur in volatile markets. The



alleged pressure tactic ('how sophisticated investors build wealth faster') could indicate that Sandoval was more focused on generating interest income for her firm than on Okonkwo's best interest. The 6.75% margin interest rate also creates a meaningful hurdle - the tech ETF would need to return more than 6.75% annually on the margined portion just to break even, which is an additional cost consideration. Additionally, the fact that Okonkwo had to tap \$35,000 from savings to meet the margin call suggests the recommendation may have strained his overall financial resources beyond what was prudent. On the other hand, strong arguments support Sandoval's position. Okonkwo is a high-income, relatively young professional with a long time horizon, an aggressive risk tolerance, and documented experience with equity and options trading. A 29% leverage ratio is moderate by industry standards and well below the 50% initial margin maximum. The purchased investment was a diversified large-cap tech ETF - not a speculative small-cap stock or concentrated single-name position. Sandoval documented the risks of margin calls and forced liquidation in her notes, and Okonkwo signed the firm's margin agreement, which contains detailed risk disclosures. Critically, Okonkwo had prior margin experience at another firm, which - even though Sandoval didn't know about it - demonstrates he was not a margin novice. The account ultimately recovered to \$370,000, and while the margin call was stressful, Okonkwo had sufficient liquid resources to meet it without selling the position at a loss. The 22% tech correction was an unusual but not unprecedented market event, and the recommendation was not imprudent simply because the market declined.

### Why Borderline

This case is genuinely ambiguous because the client's profile - aggressive, experienced, high-income, long time horizon - is arguably well-suited for moderate margin usage in a diversified product. The leverage ratio was not extreme, and the investment vehicle was a broad ETF rather than a concentrated or speculative position. However, the six-fold increase in margin usage over Okonkwo's documented prior experience, the allegation of pressure, and the real financial strain caused by the margin call (requiring a \$35,000 emergency deposit) create legitimate concerns. The undisclosed prior margin experience complicates matters: it supports the view that Okonkwo understood margin risks, but Sandoval couldn't have relied on it since she didn't know. Reasonable practitioners would disagree about whether a \$90,000 margin recommendation required more robust suitability analysis and risk quantification than Sandoval provided.

### Borderline Factors

- Client had aggressive risk tolerance, high income, 12 years of investing experience, and a long time horizon
- Margin leverage ratio of 29% was moderate and below the regulatory maximum initial margin of 50%
- Investment purchased on margin was a diversified large-cap tech ETF, not a concentrated or speculative position
- The \$90,000 margin amount was a significant escalation from the client's prior margin experience of \$10,000-\$15,000
- Client had undisclosed prior margin experience that Sandoval did not know about, complicating the sophistication analysis
- Advisor documented margin risks including margin calls and forced liquidation in meeting notes
- Client alleges verbal pressure to use margin, which is difficult to prove or disprove
- The margin call required the client to deposit \$35,000 from savings, suggesting potential financial strain
- The 6.75% margin interest rate created a meaningful cost hurdle for the investment to overcome
- The account ultimately recovered, and the client was not forced into a liquidation at a loss

- The market correction of 22% was significant but not outside the range of reasonably foreseeable events

### Likely Outcome

A regulator would likely view this as a close case. The client's profile genuinely supports aggressive investing, and the leverage ratio was moderate. However, regulators tend to scrutinize margin recommendations carefully, particularly regarding the adequacy of risk disclosure and whether the advisor considered the client's full financial picture (including the potential need for emergency funds to meet margin calls). The alleged pressure tactic, if corroborated, would weigh against Sandoval. Most likely, a regulator would find insufficient evidence of a clear violation given the client's profile and the documented disclosures, but might impose enhanced supervisory requirements or recommend improved margin disclosure practices. If the case went to arbitration, a panel might award partial damages (perhaps the \$35,000 emergency deposit plus margin interest costs) as a compromise, finding that the disclosure was adequate in substance but not sufficiently tailored to the specific magnitude of this margin recommendation.

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## Borderline Scenario 111

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, Rule 15l-1, p*

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### Fact Pattern

Margaret Hollis, age 58, a retired school principal with a \$620,000 rollover IRA and a modest state pension of \$3,200/month, met with financial advisor Derek Paulson in March 2022. Hollis told Paulson she wanted steady growth to supplement her pension and wasn't particularly fee-conscious - she said she valued 'having someone who picks good funds and checks in regularly.' Paulson recommended allocating \$480,000 across six Class A share mutual funds, each carrying a 5.25% front-end sales load, resulting in approximately \$25,200 in upfront commissions. The funds were diversified across large-cap value, large-cap growth, international developed markets, intermediate-term bonds, high-yield bonds, and a balanced allocation fund, all from the same well-known fund family. Paulson's firm offered breakpoint discounts starting at \$250,000 invested with a single fund family, which would have reduced the load to 3.50% across all six funds, saving Hollis roughly \$8,400. Paulson did apply the breakpoint for the fund family, bringing the effective load to 3.50% and total upfront charges to approximately \$16,800. However, lower-cost institutional share classes of nearly identical funds were available on the firm's platform with no front-end load and expense ratios averaging 0.45% versus 0.85% for the Class A shares Paulson selected. Paulson did not discuss these alternatives with Hollis. Paulson's firm paid him a 40% payout on the front-end loads, netting him roughly \$6,720. The six funds Paulson chose had above-median Morningstar ratings (three were 4-star, three were 3-star) and collectively returned 7.2% over the following 18 months, outperforming their blended benchmark by 0.4%. Paulson conducted quarterly portfolio reviews with Hollis by phone, each lasting approximately 20 minutes, and rebalanced the portfolio once in early 2023 at no additional charge. Hollis did not complain until a friend told her she was 'probably paying too much' and she filed a complaint in September 2023, alleging the loads were excessive and cheaper options existed.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Paulson violated his obligations: (1) Lower-cost share classes of comparable or nearly identical funds were available on the same platform, and Paulson never disclosed or discussed these alternatives. Under Regulation Best Interest's care obligation, a broker-dealer must consider reasonably available alternatives and must not place his own financial interest ahead of the customer's. The \$16,800 in front-end loads versus \$0 for institutional shares represents a significant cost disparity. (2) The compensation structure - a 40% payout on loads - created an obvious financial incentive to recommend the loaded share class. Under the conflict-of-interest obligation of Reg BI, Paulson's firm needed policies to identify and mitigate or eliminate this conflict. Whether Paulson's recommendation was influenced by his compensation is precisely the type of concern the standard targets. (3) The difference in ongoing expense ratios (0.85% vs. 0.45%) compounds over time. For a 58-year-old with potentially 30+ years of retirement, the cumulative cost difference on \$480,000 could exceed \$50,000 over a decade.

Arguments that Paulson acted appropriately: (1) Paulson did apply the available breakpoint discount, reducing the load from 5.25% to 3.50%, which demonstrates some cost-consciousness. (2) The funds selected were well-rated, diversified, and actually outperformed their benchmark. Suitability analysis under FINRA Rule 2111 traditionally focuses on whether the investment type and strategy are suitable for the client's profile - and the allocation here (balanced, diversified, age-appropriate) clearly was. (3) Hollis expressly stated she valued active management and personal attention, and Paulson delivered quarterly reviews and rebalancing. The institutional share classes may not have included the same level of advisory services or may have had different minimum investment requirements. (4) Class A shares' front-end loads, while costly upfront, result in lower ongoing 12b-1 fees than Class C shares and may be more cost-effective for a long-term holder. (5) Hollis was a sophisticated professional who did not express cost sensitivity. (6) The recommendation was not unsuitable in kind - only arguably suboptimal in cost structure.

### Why Borderline

This case sits in the gray zone because the underlying investment strategy was undeniably suitable and performed well, and the client expressed a preference for hands-on service rather than low cost. The advisor did apply breakpoint discounts, showing partial cost awareness. However, the failure to discuss or even mention no-load institutional alternatives - which were available on the same platform - when the cost differential was substantial raises a genuine question about whether cost-insensitive client preferences relieve an advisor of the duty to consider reasonably available lower-cost alternatives. The tension between traditional suitability (which focused on product type) and the newer best interest standard (which weighs cost more heavily) makes this a genuine disagreement point among practitioners and regulators.

### Borderline Factors

- Institutional no-load share classes were available on the same platform but never discussed
- Client expressly stated she was not fee-conscious and valued personal service
- Advisor correctly applied breakpoint discounts, partially reducing costs
- Funds selected were well-diversified, appropriately allocated, and outperformed benchmarks
- Advisor's compensation was directly tied to recommending loaded share classes
- Ongoing expense ratio differential (0.85% vs 0.45%) compounds significantly over retirement horizon
- Quarterly reviews and rebalancing provided tangible advisory value that might justify higher cost
- The recommendation was suitable in kind - only the share class choice is at issue

### Likely Outcome

A regulator would likely find a technical violation of the best interest standard, but treat it as a moderate-severity matter resulting in a letter of caution or minor fine rather than a suspension. The key failing is the complete absence of any cost comparison or discussion of lower-cost alternatives, which most examiners would view as a failure to adequately consider reasonably available alternatives under the care obligation. However, the mitigating factors - breakpoint application, good fund selection, client preferences, actual outperformance, and ongoing service - would likely reduce any sanctions significantly. A FINRA arbitration panel could go either way, and damages would likely be limited to the cost differential (approximately \$16,800 in loads plus the compounded expense ratio difference) rather than full investment losses.

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### Borderline Scenario 112

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability), including customer-specific suitability (whether the rec*

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#### Fact Pattern

Harold and Janet Bevins, ages 71 and 68, walked into advisor Lisa Cheng's office in January 2023 with \$840,000 in combined savings - \$540,000 in Harold's traditional IRA and \$300,000 in a joint taxable brokerage account. Harold had recently retired from a manufacturing company; Janet worked part-time as a bookkeeper earning \$18,000 annually. Their combined Social Security was \$4,100/month. They told Cheng they needed approximately \$2,500/month in supplemental income from their portfolio to cover living expenses, property taxes on their paid-off home, and healthcare costs. Harold mentioned he had been diagnosed with early-stage Parkinson's disease and anticipated rising medical expenses over the next five to ten years. He also said, 'I don't want to just sit in CDs earning nothing - I've watched inflation eat my savings for years.' Janet nodded and said she wanted 'something that actually pays us to own it.' Cheng designed a portfolio allocating approximately 55% to income-generating assets and 45% to growth-oriented positions. Specifically: \$210,000 in a diversified high-yield corporate bond fund (average yield 6.8%, duration 4.2 years, average credit rating BB), \$120,000 in a closed-end fund investing in senior secured bank loans (yielding 8.1%, trading at a 6% discount to NAV, using 25% leverage), \$132,000 in dividend-focused equity ETFs (large-cap dividend aristocrats yielding 3.1%), \$168,000 in a mix of mid-cap and small-cap growth ETFs (no meaningful dividend yield), \$90,000 in a real estate investment trust ETF (yielding 4.2%), and \$120,000 in a short-term Treasury ladder (6-month to 2-year maturities, yielding approximately 4.8% at purchase). The blended portfolio yield was approximately 4.6%, generating roughly \$38,640 annually or \$3,220/month - exceeding their stated \$2,500 monthly need by \$720. The high-yield bond fund and leveraged closed-end fund together represented approximately 39% of the total portfolio. Over the following 10 months, rising interest rates caused the closed-end fund's discount to NAV to widen to 14%, and the high-yield bond fund declined 6.2%. The growth ETFs gained 12%. The portfolio's total return was approximately +1.8%, but the paper losses in the income-generating sleeve alarmed the Bevins. Harold's Parkinson's progressed faster than expected, and in November 2023 they needed to liquidate \$45,000 for home modifications. They sold portions of the closed-end fund and high-yield bond fund at a loss. They filed a complaint alleging the advisor put too much of their retirement savings into risky, unsuitable income investments when they were elderly, in declining health, and dependent on the portfolio for living expenses.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Cheng violated her obligations: (1) A 39% allocation to high-yield bonds and a leveraged closed-end fund is aggressive for a couple in their late 60s/early 70s with known health issues and dependence on portfolio income. High-yield bonds carry meaningful credit risk, and the leveraged closed-end fund amplifies both interest rate and credit risk through its 25% leverage. (2) Harold's Parkinson's diagnosis should have prompted greater emphasis on liquidity and capital preservation, as medical expenses are unpredictable and can escalate rapidly. The closed-end fund's leverage and potential for NAV discount widening made it particularly ill-suited for a client who might need to liquidate on short notice. (3) The 45% allocation to growth-oriented and equity positions (growth ETFs plus REIT ETF) added further volatility to a portfolio for clients who expressed a need for income, not growth. (4) While the portfolio generated sufficient income, the combination of credit risk, leverage risk, interest rate risk, and equity risk created a risk profile arguably inconsistent with elderly clients in declining health who depend on the portfolio for essential living expenses.

Arguments that Cheng acted appropriately: (1) The clients explicitly rejected conservative, low-yielding options ('I don't want to just sit in CDs earning nothing') and asked for investments that 'pay us to own it,' signaling a preference for higher-yielding strategies even if they carry more risk. (2) The portfolio was meaningfully diversified across six distinct asset classes and strategies, reducing concentration risk in any single position. (3) The blended yield of 4.6% exceeded the clients' stated income need by nearly 30%, providing a cushion. (4) The \$120,000 Treasury ladder (14% of portfolio) provided a dedicated liquidity reserve, and the dividend ETFs provided additional stability. (5) With a combined age-weighted life expectancy of potentially 15-20 years, some growth allocation is prudent to combat inflation - the very concern Harold raised. (6) The portfolio's total return of +1.8% over 10 months was positive, and the income distributions were uninterrupted. The complaint arose primarily from paper losses and an unforeseeable acceleration of Harold's illness. (7) The closed-end fund's purchase at a 6% discount to NAV reflected a value-conscious entry point, and senior secured bank loans sit higher in the capital structure than unsecured bonds, offering meaningful downside protection. (8) A 55/45 income-to-growth split is within mainstream allocation frameworks for retirees with a 15+ year horizon.

### Why Borderline

This scenario is genuinely ambiguous because the clients' expressed preferences (anti-CD, pro-income, inflation-conscious) conflict with what a purely risk-based assessment of their age, health, and income dependence might suggest. The advisor designed a portfolio that successfully met the stated income objective with diversification, but the specific vehicles chosen - particularly the leveraged closed-end fund - introduced risks that could be viewed as inconsistent with the clients' overall vulnerability. The accelerated health decline was not foreseeable but arguably should have been planned for given the known diagnosis. Reasonable practitioners would disagree about whether a 39% allocation to below-investment-grade and leveraged income products is imprudent for this profile or simply responsive to the clients' clearly stated objectives and inflation concerns.

### Borderline Factors

- Clients explicitly rejected conservative low-yield options and requested higher-income investments
- Harold's known Parkinson's diagnosis created foreseeable liquidity and medical expense risks

- 39% allocation to high-yield bonds and leveraged closed-end fund is aggressive for the age and health profile
- Portfolio successfully generated income exceeding the clients' stated monthly need
- Leveraged closed-end fund introduced amplified interest rate and liquidity risk for income-dependent retirees
- Portfolio was diversified across six asset classes with a dedicated Treasury liquidity reserve
- The overall portfolio return was positive despite rate-driven losses in the income sleeve
- The forced liquidation at a loss was triggered by an unforeseeable acceleration of Harold's disease
- Growth allocation (45%) is defensible for a 15-20 year retirement horizon to combat inflation
- Closed-end fund's senior secured loan exposure offered structural seniority in the capital stack

### Likely Outcome

A regulator or arbitration panel would likely view this as a close case. The most probable outcome is a finding of partial liability or a negotiated settlement. The leveraged closed-end fund allocation (approximately 14% of total portfolio) would draw the most scrutiny, as leverage in a retirement income portfolio for a client with a degenerative disease is difficult to defend regardless of the client's stated risk tolerance. However, the overall portfolio construction, diversification, successful income generation, and the clients' own expressed preferences provide substantial defense. A FINRA arbitration panel might award partial damages - perhaps the realized loss on the closed-end fund liquidation plus a portion of the high-yield bond losses - while declining to find the entire portfolio unsuitable. A regulatory examiner might issue a cautionary letter focused on the leveraged product rather than pursuing a formal action, unless a pattern of similar recommendations is found in Cheng's book of business.

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## Borderline Scenario 113

Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quan

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### Fact Pattern

Gerald Whitfield, age 58, is a semi-retired electrical engineer who spent 30 years working for a large utility company. He has a \$1.2 million portfolio, primarily in blue-chip stocks and index funds, a fully paid-off home worth \$425,000, and receives a pension of \$4,800 per month. His account application listed his risk tolerance as 'moderate to aggressive,' his investment objective as 'growth with some speculation,' and his annual income (including pension and consulting work) as \$115,000. Gerald told his advisor, Ryan Matsuda, that he wanted to 'set aside a portion of the portfolio for higher-risk plays' because he had always been interested in small technology companies and had done his own research on emerging battery storage firms. In March 2023, Ryan recommended that Gerald allocate \$95,000 - roughly 8% of his portfolio - into three penny stocks trading between \$0.45 and \$1.80 per share, all in the clean energy and battery technology sector. Ryan provided Gerald with research reports from a third-party firm and discussed the speculative nature of the investments, noting that these companies were pre-revenue but had patents and partnerships with larger firms. Gerald signed a penny stock risk disclosure document and a suitability acknowledgment form specific to speculative securities. Over the next nine months, two of the three stocks declined by 60-75%, while the third rose 40%. Gerald's total loss on the penny stock positions was approximately \$48,000. Gerald filed a complaint alleging the investments were inappropriate for someone approaching retirement. Ryan countered that Gerald had specifically requested exposure to speculative



small-cap clean energy companies, had the financial cushion to absorb losses, and that the 8% allocation was a modest percentage of his total wealth. Records show Gerald had previously purchased small-cap stocks on his own through a separate online brokerage account, though those were exchange-listed companies trading above \$10 per share, not penny stocks.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: Gerald was 58 and semi-retired, placing him in a demographic category where capital preservation becomes increasingly important. Penny stocks are among the most speculative and illiquid securities available, carrying risks of manipulation, thin trading volume, and total loss that are qualitatively different from small-cap exchange-listed stocks. Gerald's prior experience with small-cap stocks trading above \$10 did not necessarily equip him to understand the unique risks of sub-\$2 penny stocks. The \$95,000 allocation, while only 8% of his portfolio, represented a substantial absolute dollar amount. Some arbitration panels have found that penny stock recommendations for clients within a decade of full retirement are presumptively unsuitable regardless of stated risk tolerance. Under FINRA Rule 2111 and its three component obligations - reasonable-basis, customer-specific, and quantitative suitability - the customer-specific prong requires considering the customer's overall financial situation, not just their stated preferences. Under Regulation Best Interest, the care obligation requires the advisor to exercise reasonable diligence and consider reasonably available alternatives that might achieve the client's speculative goals with lower risk (e.g., small-cap ETFs, listed clean energy stocks). Arguments against a violation: Gerald had substantial financial resources - \$1.2 million in liquid investments, a paid-off home, a reliable pension, and ongoing consulting income. His stated risk tolerance was 'moderate to aggressive' and his objective explicitly included speculation. The 8% allocation is within the range many financial planning frameworks consider acceptable for speculative positions in a portfolio of this size. Gerald specifically requested exposure to small technology companies in the clean energy space and had demonstrated prior interest in small-cap investing. Ryan provided third-party research, disclosed the risks, and obtained signed acknowledgments. The fact that Gerald maintained a separate brokerage account for individual stock trading suggests investment sophistication beyond a typical retiree. FINRA's suitability framework under Rule 2111 recognizes customer-directed investments and the legitimacy of speculative strategies when the customer has the financial capacity and expressed desire for such investments. The 2013 FINRA Regulatory Notice 12-25 guidance on suitability acknowledges that a recommendation can be suitable even if it involves significant risk, provided the overall allocation is reasonable relative to the customer's profile.

### Why Borderline

This case sits in a genuine gray area because the advisor followed meaningful procedural safeguards (risk disclosures, signed acknowledgments, third-party research) and limited the allocation to 8% of a large portfolio for a client who explicitly sought speculative exposure. However, penny stocks occupy a uniquely risky category of securities that regulators have historically viewed with heightened skepticism, especially for clients approaching retirement. The tension between respecting client autonomy and stated preferences versus the advisor's independent obligation to ensure suitability creates legitimate disagreement. The client's prior small-cap experience, while relevant, involved materially different securities than penny stocks, making the 'sophisticated investor' defense imperfect.

### Borderline Factors

- Client explicitly requested speculative exposure to small technology/clean energy companies
- 8% allocation is modest as a percentage but \$95,000 is a significant absolute amount
- Client's prior small-cap investing experience involved listed stocks, not penny stocks - a qualitatively different risk category
- Client was 58 and semi-retired, approaching traditional retirement age, but had substantial financial cushion including pension
- Advisor provided research and obtained signed risk disclosures, demonstrating procedural diligence
- Risk tolerance was self-described as 'moderate to aggressive' with speculation as a stated objective
- Penny stocks are frequently flagged by regulators as presumptively unsuitable for retirement-age investors regardless of other factors
- The remaining 92% of the portfolio was conservatively invested in blue-chip stocks and index funds

### Likely Outcome

A regulator would likely find this a close case but would probably not pursue a formal enforcement action, though a FINRA arbitration panel might split on the issue. The combination of explicit client-directed interest, signed risk disclosures, modest percentage allocation, and substantial overall wealth provides a meaningful defense. However, the advisor might receive a cautionary letter or be required to enhance supervisory procedures around penny stock recommendations for pre-retirement clients. In arbitration, the outcome would likely hinge on whether the panel views penny stocks as categorically different from other speculative investments or evaluates them within the broader portfolio context. Estimated probability of a finding of violation: approximately 40-45%.

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## Borderline Scenario 114

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI)* - 17 CFR 240.15l-1, specifically the Care Obligation requirement

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### Fact Pattern

Patricia and David Engstrom, both 44 years old, are dual-income professionals - she is a dentist earning \$210,000 and he is a high school principal earning \$95,000. In January 2023, they rolled over \$340,000 from Patricia's previous employer's 401(k) into an IRA and added \$160,000 in savings for a total of \$500,000 to invest. Their advisor, Sheila Dawson, who works for a mid-size broker-dealer, recommended allocating the entire \$500,000 across six Class A share mutual funds with front-end loads ranging from 4.25% to 5.75%. The weighted average front-end load across the portfolio was 5.1%, resulting in approximately \$25,500 in upfront sales charges. The funds covered U.S. large-cap growth, U.S. large-cap value, international developed markets, emerging markets, investment-grade bonds, and a balanced allocation fund. Each fund was managed by a well-regarded fund family with Morningstar ratings of 3 to 5 stars. Sheila explained to the Engstroms that Class A shares would have lower ongoing annual expenses compared to Class C shares over their long investment horizon, and that the breakpoint at \$500,000 reduced the effective load on several of the funds. She also noted that the fund family offered rights of accumulation and a letter of intent that could further reduce loads on future investments. However, Sheila did not discuss or present any no-load index funds or ETFs as alternatives, nor did she mention lower-cost institutional share classes that were available on her firm's platform for accounts over \$250,000. The

Engstroms' stated investment timeline was 20+ years to retirement, their risk tolerance was moderate, and they had no immediate liquidity needs. Sheila earned approximately \$12,750 in commissions from the transactions. Over the following 18 months, the funds performed roughly in line with their respective benchmarks before accounting for the load, but underperformed comparable no-load index funds by approximately 0.7% annually after all fees. The Engstroms later learned about lower-cost alternatives and filed a complaint alleging Sheila recommended excessively expensive products when cheaper options achieving the same objectives were readily available.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: Under Regulation Best Interest's Care Obligation, an advisor must consider reasonably available alternatives when making a recommendation. The firm's own platform offered institutional share classes for accounts exceeding \$250,000 and also offered no-load index funds and ETFs that would have provided comparable market exposure at substantially lower cost. The \$25,500 in upfront charges represents a significant drag on returns - the portfolio would need to generate an additional 5.1% just to break even compared to a no-load alternative. For a moderate-risk, long-horizon investor seeking broad market exposure across standard asset classes, low-cost index funds are widely recognized as a reasonable and often superior alternative. The failure to even present these alternatives as options raises serious questions about whether the recommendation was in the clients' best interest or driven by the advisor's compensation incentive. FINRA has issued guidance indicating that cost is a relevant factor in suitability determinations, particularly when lower-cost alternatives achieving substantially similar investment objectives are available. Arguments against a violation: Class A shares with front-end loads are legitimate, widely-used investment products that have been standard in the brokerage industry for decades. Sheila appropriately ensured the Engstroms received breakpoint discounts and informed them about rights of accumulation and letters of intent for future purchases. Over a 20+ year horizon, Class A shares with lower ongoing expense ratios can be more cost-effective than Class C shares or even some institutional classes when advisory fees are factored in. The funds selected were well-rated, diversified across appropriate asset classes matching the clients' moderate risk profile, and performed in line with their benchmarks. The total annual expense ratios of the selected Class A shares, after the initial load is amortized over 20 years, may be competitive with some alternatives when the full cost picture is considered. Commission-based brokerage models inherently involve product-level compensation, and the existence of cheaper alternatives does not automatically make a load fund recommendation a violation. The advisor is not required to recommend the cheapest possible option - only one that is suitable and in the client's best interest considering all relevant factors including the quality of the fund management, the specific investment strategy, and the overall cost structure.

### Why Borderline

This scenario creates genuine ambiguity because Class A shares are legitimate products that can be cost-effective for long-term investors, and the advisor did take steps to minimize costs through breakpoints. However, the failure to discuss any no-load or lower-cost alternatives that were available on the same platform - particularly for a straightforward asset allocation across standard categories - raises real questions about whether the recommendation process adequately considered cost as a factor. The case essentially tests the boundary of how far the obligation to consider alternatives extends, and whether an

advisor working on commission in a brokerage model must affirmatively present lower-commission options. Reasonable practitioners disagree about whether load funds remain appropriate when low-cost index alternatives have become the dominant industry trend, and regulators are increasingly scrutinizing these recommendations while still stopping short of declaring load funds categorically unsuitable.

### Borderline Factors

- Class A shares are legitimate products and the advisor obtained appropriate breakpoint discounts
- The \$25,500 in upfront loads is substantial but amortized over 20+ years may be more reasonable
- Lower-cost alternatives (no-load index funds, ETFs, institutional share classes) were available on the same platform but not discussed
- The fund selections were well-rated and appropriately diversified for the clients' stated objectives
- The advisor's \$12,750 commission creates an apparent conflict but commission-based compensation is permitted in the brokerage model
- The investment categories (large-cap, international, bonds) are commonly served by low-cost index products with comparable or better long-term performance
- The clients had a 20+ year time horizon, which is the scenario where Class A shares are most defensible versus other share classes
- The advisor explained the cost advantage of A shares over C shares but did not address the cost comparison with no-load alternatives
- Post-load performance roughly matched benchmarks, suggesting the underlying fund selections were reasonable

### Likely Outcome

Under current regulatory expectations, a regulator would likely view this as a probable violation, though not an egregious one. The failure to consider or present lower-cost alternatives available on the firm's own platform, particularly for standard asset class exposures where index funds are widely available, would likely be seen as falling short of the obligation to exercise reasonable diligence and consider costs. However, mitigating factors - breakpoint utilization, quality fund selections, appropriate asset allocation, and long time horizon - would likely result in moderate consequences rather than severe sanctions. The advisor and firm might face a requirement to provide restitution of excess costs, enhanced supervision, or a fine, but likely not a suspension. A FINRA arbitration panel might award partial damages representing the cost differential between the load funds and comparable no-load alternatives. Estimated probability of a finding of violation: approximately 55-60%.

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## Borderline Scenario 115

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment*

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### Fact Pattern

Maria Gutierrez, age 58, is a semi-retired marketing consultant who still earns approximately \$85,000 per year from freelance work. She has a total portfolio of \$620,000, including \$410,000 in an IRA and \$210,000 in a taxable brokerage account. Her stated investment objective on account documents was 'growth with moderate risk,' and her time horizon was listed as 7-10 years. She told her advisor, Kevin Breckenridge, that she wanted to 'juice returns a little' in her taxable account because she felt her IRA was too

conservatively positioned in bond funds and target-date funds. In March 2022, Breckenridge recommended she allocate \$42,000 - roughly 20% of her taxable account - to a 2x leveraged S&P 500 ETF. He explained verbally that the product amplifies daily returns and could lose value over time even if the underlying index was flat, and he sent her a one-page summary sheet about leveraged ETF mechanics. Maria signed an acknowledgment form confirming she understood the product carried enhanced risk. Breckenridge set a calendar reminder and reviewed the position with her quarterly. Over the next 14 months, the position lost approximately 18% of its value (roughly \$7,560) during a choppy, sideways market, while the unleveraged S&P 500 was down only about 3% over the same period. Maria's overall portfolio, including her conservatively managed IRA, declined approximately 4.2% total during this period. Maria filed a complaint alleging the leveraged ETF was never appropriate for someone her age with a moderate risk tolerance. Breckenridge countered that the allocation was a small, tactical position in her taxable account, that she specifically requested more aggressive exposure, that he explained the product mechanics thoroughly, and that her overall portfolio remained well within moderate risk parameters. He also noted that Maria had a graduate degree in business and had previously traded individual stocks and options in a prior account at another firm, showing investment sophistication.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Breckenridge violated suitability or best interest requirements: Leveraged ETFs are widely understood in the industry as instruments designed for short-term, tactical trading - not multi-month or multi-year holds. Holding a 2x leveraged ETF for 14 months exposes the investor to volatility drag, which is exactly what eroded Maria's position. A 58-year-old semi-retired investor with a 'moderate risk' profile is not the typical candidate for leveraged products, regardless of what she verbally requested. The losses were disproportionate to the underlying index movement, illustrating the product's unsuitability for her holding period. Many firms have internal policies restricting or prohibiting leveraged ETF sales to retail clients, particularly those nearing retirement. Under FINRA Rule 2111 and Reg BI's Care Obligation, the advisor must have a reasonable basis for believing the recommendation is suitable not just at the moment of purchase but in context of the customer's overall profile. Arguments that Breckenridge acted appropriately: The \$42,000 allocation represented only 6.8% of Maria's total \$620,000 portfolio and 20% of her taxable account - a limited, tactical allocation. Maria specifically asked for more aggressive exposure and had demonstrable investment sophistication, including prior options trading experience and a business graduate degree. Breckenridge provided disclosure materials, obtained a signed acknowledgment, and conducted quarterly reviews - more diligence than many advisors perform. Maria's overall portfolio declined only 4.2%, well within the range expected for a moderate-risk portfolio in a difficult market. The advisor could argue the recommendation was suitable when viewed holistically - the leveraged ETF was a satellite position within a broader, conservative allocation. Under the 'customer-specific' prong of suitability analysis, Maria's sophistication and explicit desire for enhanced returns in a portion of her portfolio support the recommendation.

### Why Borderline

This case sits in a genuine gray zone because leveraged ETFs are not categorically prohibited for retail investors, yet they carry well-documented risks that make them problematic for longer holding periods. The advisor took meaningful steps - disclosure, signed acknowledgment, quarterly reviews - and the allocation

was a small percentage of the total portfolio. However, the client's age, semi-retired status, and documented moderate risk tolerance cut the other way. The client's own request for aggressive exposure and her demonstrated sophistication further complicate the analysis. Reasonable regulators could disagree about whether the advisor's holistic portfolio approach and client education sufficiently offset the inherent unsuitability concerns with leveraged products for this demographic.

### Borderline Factors

- Leveraged ETF held for 14 months - longer than the typical intended holding period, but advisor conducted quarterly reviews
- Client was 58 and semi-retired with a moderate risk profile, but had prior options trading experience and a business graduate degree
- Allocation was only 6.8% of total portfolio, arguably a reasonable satellite position
- Client specifically requested more aggressive exposure in the taxable account
- Advisor provided written disclosure and obtained signed acknowledgment of product risks
- Losses were significant relative to the index but modest relative to the total portfolio
- Overall portfolio performance remained consistent with moderate risk expectations
- Many firms have heightened internal scrutiny or outright prohibitions on leveraged ETF sales to near-retirement clients

### Likely Outcome

A regulator would likely issue a cautionary letter or seek a modest settlement rather than pursue full enforcement. The advisor's documentation, disclosure efforts, and the limited allocation size provide meaningful defenses. However, the 14-month holding period for a daily-reset leveraged product and the client's age and risk profile create enough concern that the matter would not be dismissed outright. If the firm had internal policies restricting leveraged ETF recommendations to near-retirement clients that Breckenridge failed to follow, the outcome would tilt more firmly toward a finding of violation. In arbitration, the panel would likely find shared responsibility and award partial damages, if any.

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## Borderline Scenario 116

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability)* requires that recommendations be suitable based on the

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### Fact Pattern

Harold Fenwick, age 72, is a retired school principal living on a fixed income consisting of \$2,400 per month in Social Security and a \$1,800 per month pension. He has \$340,000 in savings, of which \$280,000 is in an IRA managed by his financial advisor, Denise Chowdhury, and \$60,000 in a bank savings account earning minimal interest. Harold told Denise when they first met in January 2021 that his primary goal was 'steady monthly income to supplement my pension and Social Security' and that he 'couldn't afford to lose much principal.' His account application listed his risk tolerance as 'conservative' and his investment objective as 'income.' In February 2021, Denise recommended restructuring his IRA as follows: \$112,000 (40%) in a diversified portfolio of investment-grade corporate bond funds, \$84,000 (30%) in a high-yield (junk) bond fund with a trailing 12-month yield of 5.8%, \$56,000 (20%) in a closed-end fund focused on mortgage-backed securities that used approximately 30% leverage and had a distribution yield of 7.4%, and \$28,000 (10%) in a preferred stock ETF. Harold's blended portfolio yield was approximately 5.6%,



generating roughly \$15,680 annually or about \$1,307 per month - which, combined with his Social Security and pension, brought his total monthly income to approximately \$5,507. Harold was pleased with the income for the first year. However, as interest rates rose sharply in 2022, the portfolio's net asset value declined by approximately 16.5%, or roughly \$46,200. The high-yield bond fund fell 14%, the leveraged closed-end fund dropped 27%, and the preferred stock ETF declined 19%. The investment-grade bond funds fell 11%. Harold's monthly distributions also decreased as some funds cut their payouts. By early 2023, Harold's IRA was worth approximately \$233,800 and his monthly income from the portfolio had dropped to about \$980. Harold complained that Denise put him in investments that were too risky for a 72-year-old retiree who needed safe income. Denise responded that Harold needed a portfolio yield well above what Treasury bonds or CDs could provide at the time (10-year Treasury was about 1.1% in early 2021), that the allocation was designed to meet his stated income needs, that she discussed the interest rate risk and credit risk of each holding with him, and that 40% of the portfolio was in investment-grade bonds. She also noted that Harold had rejected her initial suggestion of a partial allocation to a fixed annuity because he didn't want to 'lock up' his money, which would have reduced his exposure to rate risk.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Denise violated suitability or best interest requirements: Harold was a 72-year-old retiree with a conservative risk tolerance whose primary investment objective was income with capital preservation. Allocating 30% to high-yield bonds, 20% to a leveraged closed-end fund, and 10% to preferred stocks means that 60% of his IRA was in instruments carrying meaningful credit risk, leverage risk, or equity-like risk - a potentially excessive allocation for a conservative income investor. The leveraged closed-end fund, in particular, amplified losses and is a complex product that may be inappropriate for a retiree who 'couldn't afford to lose much principal.' The 16.5% portfolio decline resulted in a \$46,200 loss on a \$280,000 account, which is substantial for someone with limited assets and no ability to replenish savings through employment. The income shortfall that followed the rate increase also undermined the very purpose of the investment strategy. Under both suitability and best interest standards, an advisor must consider not only the client's income needs but also their capacity to absorb losses and their stated risk tolerance. Arguments that Denise acted appropriately: In early 2021, the interest rate environment was historically suppressed. Treasury bonds and CDs yielded between 0.5% and 1.5%, which would have generated only \$1,400 to \$4,200 annually on Harold's IRA - far short of the approximately \$15,000+ he needed to meet his income goals. Denise faced a genuine dilemma: either recommend safe, low-yielding instruments that would fail to meet Harold's income needs (potentially forcing him to draw down principal anyway), or recommend a diversified income portfolio with higher yields but greater risk. She chose a blended approach, with 40% in investment-grade bonds as a stabilizing core. Harold also rejected her annuity suggestion, removing one of the most logical tools for guaranteed income. The portfolio losses were driven by an unprecedented rate-hiking cycle that affected virtually all fixed-income investments. Denise disclosed the risks, and the recommendation was arguably the best available path to meet Harold's articulated income requirement. The advisor's obligation is to recommend something suitable given the client's needs and constraints, not to guarantee against market risk.

### Why Borderline

This scenario presents a classic tension in income investing for retirees: the client's income needs may be

achievable only by accepting more risk than their stated risk tolerance would normally allow. Denise faced a real constraint - Harold needed approximately \$1,300 per month from his portfolio, which was impossible to achieve with truly conservative instruments in the 2021 rate environment. The advisor made a reasonable effort to balance income generation with some degree of safety (40% investment-grade), disclosed the risks, and offered an alternative (annuity) that Harold rejected. However, the 60% allocation to higher-risk income instruments in a conservative retiree's account, particularly the leveraged closed-end fund, pushes against traditional suitability norms. The case is genuinely ambiguous because the advisor's recommendation was arguably the least-bad option to meet the client's stated needs, yet it resulted in significant principal loss for a client who explicitly said he couldn't afford to lose much.

### Borderline Factors

- Client's income needs could not realistically be met with truly conservative investments in the prevailing rate environment
- 40% of the portfolio was in investment-grade bonds, providing a conservative core allocation
- 60% was allocated to high-yield bonds, a leveraged closed-end fund, and preferred stocks - aggressive for a conservative 72-year-old retiree
- The leveraged closed-end fund (20% of portfolio) used 30% leverage, amplifying losses in a rising rate environment
- Client rejected the advisor's suggestion of a fixed annuity, eliminating a key tool for guaranteed income
- Advisor discussed interest rate and credit risks with the client
- Portfolio losses of 16.5% were severe but driven by a historically aggressive rate-hiking cycle affecting all fixed income
- Client's limited assets (\$340,000 total) and inability to replace losses through employment heighten the stakes of principal loss
- The recommendation addressed the client's explicitly stated primary goal of monthly income supplementation

### Likely Outcome

This case would likely result in a negotiated settlement or, if it went to a FINRA arbitration panel, a split decision with partial damages. A regulator might find that the overall income-oriented strategy was defensible given the rate environment and the client's income needs, but that the specific allocation to the leveraged closed-end fund (20% of a conservative retiree's portfolio) crossed the line. The most likely regulatory outcome would be a finding of partial unsuitability focused on the leveraged MBS closed-end fund and possibly the size of the high-yield allocation, with damages calculated based on the excess losses from those positions compared to a more conservative income alternative. The advisor's documentation of risk discussions and the client's rejection of the annuity option would serve as meaningful mitigating factors.

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## Borderline Scenario 117

Topic: *mutual\_fund\_switching\_churning* | Standard: *FINRA Rule 2111 (Suitability) and FINRA Rule 2010 (Standards of Commercial*

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### Fact Pattern

Rebecca Thornton, a 58-year-old school administrator earning \$95,000 annually, maintained a \$340,000 brokerage account with advisor Kevin Marsh at a regional broker-dealer. Over a 26-month period from

January 2022 through February 2024, Marsh recommended that Thornton switch between large-cap growth mutual funds on five separate occasions. Each switch involved selling out of one fund family's large-cap growth offering and purchasing another fund family's comparable product. The funds had similar investment objectives, overlapping top-ten holdings averaging 60% commonality, and comparable historical performance within 40-80 basis points of each other annually. However, each replacement fund did have meaningfully different sector weightings - for example, one switch moved Thornton from a fund with 38% technology exposure to one with 25% technology and 18% healthcare, which Marsh documented as a defensive repositioning given her approaching retirement. Another switch moved her into a fund with a lower expense ratio (0.62% vs. 0.89%) but carried a 3.75% front-end sales load on the new purchase. Across all five switches, Thornton paid approximately \$14,200 in total front-end sales loads and surrender fees. Marsh earned approximately \$9,800 in commissions from these transactions. Thornton's account generated a turnover rate of approximately 1.8 over the 26-month period and a cost-to-equity ratio of roughly 4.2%. Marsh's documentation for each switch included a brief rationale: two cited expense ratio improvements, one cited manager turnover at the prior fund, one cited the sector rebalancing noted above, and one cited a Morningstar rating upgrade from three to four stars for the replacement fund. Thornton signed switch letters for each transaction acknowledging the costs. When asked in a later review, Thornton said she trusted Kevin and that he explained each change would 'improve her positioning for retirement' but she couldn't recall the specific details of why each switch was made. She did not complain about account performance, and her account grew approximately 11% over the period, roughly in line with the S&P 500 minus the costs incurred.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Marsh violated applicable standards: The pattern of five switches among substantially similar large-cap growth funds over 26 months raises classic mutual fund switching concerns. The funds shared approximately 60% overlap in top holdings and performed within a narrow band of each other, suggesting that the incremental benefit of each switch was marginal at best. Total switching costs of \$14,200 on a \$340,000 account represent roughly 4.2% of account equity consumed by transaction costs alone, and the customer would have needed to outperform the prior fund by a meaningful margin just to break even on each switch. The cost-to-equity ratio of 4.2% and turnover rate of 1.8 are elevated, though not at levels that automatically suggest churning. The customer's limited recall of specific rationales suggests she may not have fully understood the costs and tradeoffs. Under a best interest framework, the advisor must demonstrate that each recommendation was in the customer's interest - and the cumulative cost burden is difficult to justify when comparable funds could have been held without switching.

Arguments that Marsh acted appropriately: Unlike textbook switching cases, not every transaction here was a lateral move into a near-identical product. Two switches resulted in lower ongoing expense ratios, which over Thornton's remaining investment horizon could recoup the front-end load costs. The sector rebalancing switch from 38% technology to a more diversified allocation had a legitimate strategic rationale for a 58-year-old approaching retirement. The manager turnover concern is a recognized factor that financial professionals consider when evaluating fund quality. The Morningstar upgrade, while less compelling standing alone, is a data point that advisors commonly reference. A turnover rate of 1.8 is above average but does not reach the 4-6x levels typically associated with clear churning. The cost-to-equity ratio

of 4.2% is in a gray zone - above 2% raises flags but is below levels that create a near-presumption of excessive trading. The account still grew approximately in line with the broad market after costs, and Thornton signed switch disclosure letters each time. Marsh did document rationales, even if they varied in persuasiveness.

### Why Borderline

This case sits in the gray zone because the individual switches each have at least a facially plausible rationale - expense reduction, risk repositioning, manager quality concerns - yet the cumulative pattern of five switches among similar products over 26 months created substantial costs that eroded the client's returns. The quantitative indicators (1.8 turnover, 4.2% cost-to-equity) fall in the ambiguous middle range rather than clearly above or below established thresholds. The client signed disclosures but had limited understanding, and the account still performed reasonably. Reasonable practitioners could disagree about whether the documented rationales were sufficient to justify the aggregate switching costs.

### Borderline Factors

- Turnover rate of 1.8 and cost-to-equity ratio of 4.2% fall in ambiguous range - elevated but not extreme
- Approximately 60% overlap in holdings between switched funds suggests similarity but not identity
- Two of five switches resulted in lower ongoing expense ratios, providing long-term cost benefit
- Sector rebalancing switch had legitimate pre-retirement risk reduction rationale
- Total switching costs of \$14,200 are significant but account still grew roughly in line with benchmarks
- Client signed switch letters but had limited recall of specific rationales
- Each switch had documented reasoning of varying persuasiveness
- Advisor earned \$9,800 in commissions creating potential conflict but not extraordinary compensation

### Likely Outcome

A regulator would likely find this a close case but would probably issue a cautionary action or seek a modest settlement rather than pursue full enforcement. The cumulative pattern of five switches among similar funds with \$14,200 in costs is concerning, and the documentation, while present, is thin enough that a regulator could argue the advisor failed to demonstrate that each switch provided sufficient net benefit to overcome the costs. However, the fact that some switches had defensible rationales (expense reduction, pre-retirement repositioning), the account performed reasonably, and the quantitative indicators fall in the ambiguous range would likely prevent a finding of egregious misconduct. A probable outcome would be enhanced supervision, disgorgement of a portion of commissions, or a consent agreement with a modest fine, rather than a bar or suspension.

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## Borderline Scenario 118

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the c*

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### Fact Pattern

Marcus Chen, age 44, a software engineer earning \$185,000 per year, opened an account with advisor Diana Reeves at a full-service brokerage firm in March 2023. Chen had approximately \$620,000 in total investable assets, including \$410,000 in a 401(k) that Reeves did not manage. The account with Reeves held \$210,000. Chen's new account paperwork listed his investment objective as 'growth,' his risk tolerance

as 'aggressive,' his time horizon as 'long-term (10+ years),' and his investment experience as 'extensive' - he noted he had traded individual stocks and options for over eight years and indicated familiarity with leveraged products. In April 2023, Reeves recommended that Chen allocate \$42,000 (20% of the account) to a 2x leveraged S&P 500 ETF. Reeves explained that the product was designed to deliver twice the daily return of the S&P 500 and discussed the concept of daily rebalancing and compounding effects. Chen acknowledged understanding and expressed enthusiasm, noting in an email that he wanted 'amplified upside exposure to the market recovery.' Reeves did not set a specific time limit or stop-loss on the position. Over the next 14 months, Chen held the leveraged ETF without any rebalancing or review discussion initiated by Reeves. During this period, the S&P 500 experienced a volatile stretch - rising 8% over the first five months, declining 11% over the next four months, then recovering 14% over the final five months, ending approximately 10% higher than when Chen purchased. Due to the compounding and decay effects inherent in daily-reset leveraged products, Chen's 2x leveraged ETF position gained only approximately 12% rather than the 20% a simple 2x multiple of the index return might suggest. Chen's \$42,000 position grew to approximately \$47,040, while a hypothetical unleveraged S&P 500 ETF position would have grown to approximately \$46,200. In dollar terms, Chen made approximately \$840 more than he would have with a standard index ETF, but significantly less than the \$8,400 a naive investor might have expected from a 2x product over a period when the index rose 10%. Chen did not lose money. No formal complaint was filed, but during an internal compliance review, the firm flagged the position because the leveraged ETF was held for over 12 months without documented interim review, and the firm's internal guidance (not a hard policy) suggested that leveraged ETF positions be reviewed at least quarterly. Reeves stated in her response that she monitored the position informally and believed holding through the volatility was appropriate given Chen's aggressive risk profile, long time horizon, and expressed desire for amplified market exposure. She noted that she did not recommend selling during the drawdown because Chen had told her he was comfortable riding out volatility. Chen, when contacted by compliance, confirmed he was aware of the leveraged nature of the product and said he was 'fine with how things turned out' but acknowledged he didn't fully appreciate how daily rebalancing would dampen returns in a choppy market.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reeves violated applicable standards: Leveraged ETFs are widely understood within the industry to be designed for short-term tactical trading, not long-term buy-and-hold positions. The daily reset mechanism means that over periods of market volatility, the product's returns can deviate significantly from the leveraged multiple of the index's cumulative return - a phenomenon known as volatility decay or beta slippage. Reeves held the position for 14 months without any documented quarterly review, contrary to her firm's internal guidance. While the guidance was not a hard prohibition, it reflected industry consensus that these products require active monitoring and frequent reassessment. The fact that Chen's 2x ETF gained only 12% when the index gained 10% - rather than the approximately 20% a 2x product would suggest - illustrates the decay effect and raises questions about whether Reeves adequately explained the long-term holding risks. Chen's own admission that he didn't fully appreciate the daily rebalancing impact suggests the initial disclosure may have been insufficient. Furthermore, Reeves did not establish any guardrails - no stop-loss, no time limit, no scheduled review dates - which would be expected for a product with these characteristics. Under a best interest framework, the advisor has an obligation to consider reasonably available alternatives; a standard S&P 500 ETF or a longer-duration leveraged product (if available) might

have better served Chen's stated goal of amplified market exposure over a long time horizon.

Arguments that Reeves acted appropriately: Chen was a sophisticated investor with eight years of experience trading stocks and options who self-identified as having an aggressive risk tolerance and familiarity with leveraged products. The \$42,000 allocation represented only 20% of the Reeves-managed account and approximately 6.8% of Chen's total investable assets - a position size that, even in a worst-case scenario, would not jeopardize his overall financial situation. Reeves did explain the daily rebalancing concept at the point of sale, and Chen affirmatively expressed understanding and enthusiasm via email. Importantly, Chen did not lose money - the position gained approximately 12%, outperforming even an unleveraged S&P 500 position in absolute dollar terms, albeit by a small margin. The underperformance relative to naive 2x expectations is a characteristic of the product in volatile markets, not a result of advisor negligence. Reeves stated she monitored the position informally, and while she didn't document quarterly reviews per the firm's soft guidance, the guidance was not a binding policy. Chen himself confirmed satisfaction with the outcome. The product matched his stated objective (growth with amplified exposure), risk tolerance (aggressive), and experience level. Not every leveraged ETF holding beyond a single day constitutes a violation - the product's prospectus does not prohibit longer holding periods, and some academic research suggests that in trending markets, holding leveraged ETFs for extended periods can be beneficial.

### Why Borderline

This scenario is genuinely ambiguous because the leveraged ETF was allocated at a reasonable position size to a sophisticated, aggressive investor who expressed understanding and enthusiasm - yet the advisor failed to implement any structured monitoring framework for a product that the industry broadly considers unsuitable for long-term holding. The outcome was mildly positive, which weakens any harm-based argument, but the lack of documented review over 14 months and the client's admitted incomplete understanding of compounding effects create legitimate supervisory concerns. The tension between the client's profile (which supports the recommendation) and the product's characteristics (which demand active management the advisor didn't formally provide) places this squarely in contested territory.

### Borderline Factors

- Client had aggressive risk tolerance, extensive trading experience, and self-reported familiarity with leveraged products
- Position size of 20% of managed account (6.8% of total assets) was meaningful but not concentrated
- Leveraged ETF held for 14 months without documented interim review despite firm guidance suggesting quarterly reviews
- Client did not lose money - position gained approximately 12% and slightly outperformed an unleveraged alternative in dollar terms
- Client acknowledged not fully understanding daily rebalancing impact despite advisor's initial explanation
- No stop-loss, time limit, or formal monitoring schedule was established
- Firm's internal guidance was advisory rather than a hard policy prohibition
- Client confirmed satisfaction with outcome and did not file a complaint
- Industry consensus that leveraged ETFs are short-term instruments conflicts with client's long-term aggressive growth objective

### Likely Outcome



A regulator would most likely treat this as a supervisory deficiency rather than a substantive suitability violation. The initial recommendation was arguably suitable given Chen's profile, but the failure to document any periodic review over 14 months for a product that inherently requires active monitoring would likely draw criticism. The probable outcome would be a supervisory finding against the firm for inadequate procedures around leveraged ETF holdings, and possibly a letter of caution or minor fine directed at Reeves for failing to follow the firm's internal guidance on periodic reviews. A full suitability or best interest violation finding is less likely given the client's sophistication, the reasonable position size, the positive outcome, and the client's expressed satisfaction. However, if regulators took a stricter view - particularly focusing on the advisor's obligation to ensure the client truly understood compounding risk and to monitor the position actively - a finding of violation with modest sanctions would also be within the range of reasonable outcomes.

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### Borderline Scenario 119

Topic: *margin\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative su*

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#### Fact Pattern

Gerald Whitfield, age 58, retired early from a mid-level management position in 2021 with a \$620,000 portfolio consisting primarily of blue-chip dividend stocks and investment-grade bonds. His monthly pension was \$2,800, and he had Social Security projected at \$2,100 starting at age 62. He listed his risk tolerance as 'moderate' on his new account form and indicated his primary objective was 'growth and income' with a secondary objective of 'capital preservation.' His liquid net worth outside the brokerage account was approximately \$85,000 in savings. In March 2022, his advisor, Dana Perkins, suggested opening a margin account to enhance yield by purchasing an additional \$150,000 worth of high-quality preferred stocks and utility equities yielding between 5.5% and 7.2%. Perkins explained that the margin interest rate was 6.25% and that the spread between the dividend yields and the margin cost could generate an additional \$1,400 to \$2,800 per year in net income. Gerald signed the margin agreement and acknowledged the margin risk disclosure documents. Over the following nine months, the positions purchased on margin declined approximately 14% in value due to rising interest rates, and the margin interest rate climbed to 8.5%, eliminating the positive carry and triggering a margin call of \$31,000 in December 2022. Gerald met the margin call by liquidating some of his existing bond holdings at a loss. By March 2023, the margin balance had been reduced to \$60,000 and the total portfolio had declined to \$510,000. Gerald filed a complaint alleging the margin strategy was inappropriate for a retiree relying on his portfolio for income. Perkins countered that the margin usage was conservative at roughly 24% of portfolio value, that the securities purchased were high-quality income producers, that Gerald had prior experience with a margin account at a previous firm in 2015-2017 (though he had used it only briefly for a small amount), and that the strategy was designed specifically to increase the income Gerald said he needed. Perkins also noted that she had discussed the risks of rising rates with Gerald and that he expressed understanding that the carry trade could narrow. Internal notes from two meetings reference Gerald asking how to 'squeeze more income' from his portfolio without taking on 'crazy risk.'

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that the advisor violated applicable standards: Gerald was a 58-year-old early retiree with limited income sources, making him dependent on his portfolio for living expenses. Margin amplifies both gains and losses and introduces the risk of forced liquidation at inopportune times - precisely the scenario that occurred. His stated secondary objective of 'capital preservation' is fundamentally at odds with leveraged investing. The net income benefit of the margin strategy was modest (\$1,400-\$2,800 annually) relative to the downside risk, and a retiree's ability to recover from losses is inherently limited due to the absence of employment income. His prior margin experience was brief and minimal, hardly constituting meaningful sophistication. Under FINRA Rule 2111 and Regulation Best Interest, the advisor must consider the customer's full financial picture, and recommending leverage to a retiree relying on the portfolio for income raises serious questions about whether a reasonable basis existed for the recommendation. The margin call forced liquidation of bonds at a loss, directly undermining the income and preservation objectives.

Arguments that the advisor acted appropriately: The margin usage was conservative - approximately 24% of portfolio value - well below the 50% initial margin limit. The securities purchased on margin were high-quality preferred stocks and utilities, not speculative instruments. Gerald himself expressed a desire to increase portfolio income and signed the margin agreement with full disclosure of the risks. He had some prior margin experience. The advisor's notes reflect discussions about interest rate risk, suggesting informed consent. A 'moderate' risk tolerance and 'growth and income' primary objective do not categorically prohibit margin use, especially at conservative levels. The strategy was rationally designed to meet the client's expressed income needs. Rising rates and the resulting losses were a market event, not necessarily an indication of an unsuitable recommendation at the time it was made. Under the reasonable-basis and customer-specific suitability obligations, the advisor could argue that a modest margin overlay on a blue-chip portfolio was within the bounds of acceptable practice for a moderate-risk investor with some experience.

### Why Borderline

This case sits in a genuine gray area because the margin usage was conservative in percentage terms and involved high-quality income securities - not the stereotypical case of an elderly person being loaded up with speculative margin. The client actively sought more income and had some prior margin familiarity. However, the client was a retiree dependent on the portfolio, had a capital preservation secondary objective, and the modest income benefit was arguably disproportionate to the leverage risk introduced. Reasonable practitioners could disagree about whether a 24% margin position in quality income securities crosses the line for an early retiree with moderate risk tolerance.

### Borderline Factors

- Margin usage was conservative at ~24% of portfolio value, below regulatory limits
- Securities purchased on margin were high-quality income producers, not speculative
- Client was an early retiree dependent on the portfolio, with limited ability to recover losses
- Client's secondary objective was capital preservation, which conflicts with leveraged strategies
- Client actively expressed desire to increase income and signed margin disclosures
- Net income benefit was modest (\$1,400-\$2,800/year) relative to the leverage risk assumed
- Prior margin experience existed but was brief and minimal
- Advisor documented discussions about interest rate risk

- Rising margin rates and market decline were foreseeable risks in a rate-hiking environment
- Forced liquidation of bonds at a loss directly undermined the client's stated objectives

### Likely Outcome

A regulator would likely find a violation, but the sanction would probably be moderate rather than severe. The combination of retiree status, portfolio dependency, and capital preservation objective creates a strong inference of unsuitability despite the conservative margin level. However, the quality of the securities, the modest leverage ratio, the client's expressed desire for more income, and the documented risk discussions would likely mitigate penalties. A panel might award partial damages, finding that the advisor should have explored non-leveraged income alternatives before recommending margin. A settlement in the range of 40-60% of losses would be a plausible outcome.

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## Borderline Scenario 120

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations: reasonable-basis*

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### Fact Pattern

Martha Colón, age 71, a retired school administrator, had a \$480,000 portfolio managed by advisor James Okafor at a full-service brokerage firm. Her account documents listed her investment objective as 'income' with a risk tolerance of 'moderate-conservative.' She received \$1,900/month in Social Security and a \$1,500/month pension, for a combined fixed income of \$3,400/month. Her monthly expenses were approximately \$4,200, creating a \$800/month shortfall she needed her portfolio to cover. She had no other significant assets beyond a paid-off home valued at approximately \$290,000. In June 2022, Okafor restructured her portfolio, moving approximately 35% (\$168,000) into a diversified mix of closed-end bond funds trading at discounts to NAV, yielding between 8.5% and 10.2%. Another 30% (\$144,000) went into a laddered portfolio of investment-grade corporate bonds. The remaining 35% (\$168,000) was allocated to a combination of dividend-paying equity ETFs focused on utilities, REITs, and consumer staples, yielding approximately 3.8% collectively. The closed-end funds employed internal leverage ranging from 25% to 38%, which was a primary driver of their elevated yields. Okafor discussed the leverage within these funds with Martha during two documented meetings, explaining that leverage could amplify both income and losses. The overall portfolio yield was approximately 6.8%, generating roughly \$32,600 annually or \$2,717 monthly - well above her \$800/month shortfall. Over the following 12 months, the closed-end fund positions declined approximately 18% in market value as rising rates compressed NAV discounts into premiums on some funds and widened discounts on others, while the leveraged exposure amplified bond price declines. Several funds also cut their distributions by 10-20%. The corporate bond ladder and equity ETF portions were relatively stable, declining about 3% and 5% respectively. Overall, the portfolio declined to approximately \$415,000 by June 2023, and monthly income dropped to approximately \$2,200. Martha filed a complaint alleging the closed-end fund allocation was unsuitable for a conservative income investor. Okafor responded that the closed-end funds were diversified across multiple managers and bond sectors (municipal, corporate, and mortgage-backed), that the aggregate portfolio was designed to meet her specific income need with a margin of safety, that the equity and bond ladder components provided stability, and that Martha had explicitly told him she was 'tired of earning nothing' on her previous allocation of CDs and Treasury securities and wanted 'real income' from her portfolio. Previous account statements show Martha's prior portfolio had been 70% CDs and 30% Treasury bonds yielding about 1.8% overall prior

to Okafor becoming her advisor.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that the advisor violated applicable standards: Martha was a 71-year-old retired woman with a moderate-conservative risk tolerance and an income objective. Allocating 35% of her portfolio to leveraged closed-end bond funds - products with internal leverage of 25-38% - arguably exceeds what is suitable for a moderate-conservative income investor, particularly one with no meaningful assets beyond her home and portfolio. The leverage within the closed-end funds effectively introduced hidden risk that a moderate-conservative investor may not have fully appreciated, even with disclosure. The 18% decline in the closed-end fund positions represented a loss of approximately \$30,000, which is significant for someone in Martha's financial position. The income decline from ~\$2,717/month to ~\$2,200/month, while still covering her shortfall, demonstrated the instability of the income stream she was relying on. A moderate-conservative investor with an income objective arguably should have been allocated more heavily toward the investment-grade corporate bond ladder and stable dividend payers, accepting lower yield for greater stability. The advisor could be seen as reaching for yield in a way that prioritized current income over the stability and preservation that the client's risk profile demanded.

Arguments that the advisor acted appropriately: Martha had a concrete, quantifiable income need of \$800/month that her previous ultra-conservative portfolio (1.8% yield) was utterly failing to meet. The restructured portfolio was specifically engineered to address this need with a meaningful margin of safety (\$2,717 vs. \$800 needed). The closed-end fund allocation was diversified across multiple fund managers and bond sectors, reducing concentration risk. Closed-end bond funds, while employing leverage, are registered investment companies traded on exchanges - they are not exotic or illiquid products. The advisor documented discussions about the leverage risk. The overall portfolio was balanced: 30% in an investment-grade bond ladder and 35% in conservative equity ETFs provided substantial stability. Even after the decline, the portfolio still generated \$2,200/month, well above the \$800 shortfall, and the total portfolio value of \$415,000 remained substantial. Martha's own dissatisfaction with her prior ultra-conservative allocation and her expressed desire for 'real income' reflects her understanding that some additional risk was necessary. The advisor faced a genuine dilemma: maintaining the previous ultra-conservative allocation would have left Martha drawing down principal to meet expenses, which itself posed a long-term risk. A 'moderate-conservative' risk tolerance is not the same as 'conservative' - it permits some measured risk-taking.

The central tension is between honoring the stated risk tolerance precisely versus addressing the client's actual financial need, which required accepting more risk than a purely conservative allocation would permit.

### Why Borderline

This scenario is genuinely ambiguous because the advisor faced a real dilemma: Martha's prior ultra-conservative portfolio was inadequate to meet her income needs, meaning the status quo itself posed a risk (principal depletion). The restructured portfolio addressed her stated need and included significant conservative components. However, the 35% allocation to internally leveraged closed-end funds arguably

exceeded what a moderate-conservative income investor's profile supports. The leverage within the funds was a meaningful risk factor that may not have been fully appreciated despite disclosure. Reasonable professionals could disagree about whether the income need justified the elevated risk, particularly given that the overall portfolio design showed thoughtfulness and the closed-end fund allocation was diversified.

### Borderline Factors

- Client had a genuine, quantifiable income shortfall that her prior conservative portfolio could not address
- 35% allocation to leveraged closed-end funds is a significant concentration for a moderate-conservative investor
- Internal fund leverage of 25-38% introduced amplified risk not immediately apparent from the allocation percentages
- The remaining 65% of the portfolio was allocated conservatively (bond ladder + dividend equity ETFs)
- Portfolio was specifically designed to meet the income need with a margin of safety
- Client explicitly expressed dissatisfaction with prior ultra-conservative returns and desire for higher income
- Advisor documented risk discussions about leverage in the closed-end funds
- Even after losses, portfolio income still exceeded the client's stated shortfall
- Moderate-conservative risk tolerance permits some risk-taking but arguably not leveraged products
- Client's prior allocation was 100% CDs and Treasuries, suggesting limited experience with credit and leverage risk
- Maintaining the prior allocation would have resulted in gradual principal depletion - itself a form of risk

### Likely Outcome

This case could go either way. A regulator or arbitration panel might find a partial violation, concluding that while the overall portfolio restructuring was reasonable and well-intentioned, the 35% allocation to leveraged closed-end funds was excessive for this client's profile and should have been limited to perhaps 15-20%, with the remainder allocated to unleveraged bond funds or additional corporate bonds. The advisor's documentation of risk discussions and the rational income-focused design would serve as mitigating factors. A likely outcome is either a finding of no violation with a cautionary note, or a finding of partial liability with damages limited to losses attributable to the excess closed-end fund allocation above what would have been suitable. Damages, if awarded, would likely be modest - perhaps \$10,000-\$18,000 representing the incremental loss from the over-allocation to leveraged funds.

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## Borderline Scenario 121

*Topic: excessive\_load\_funds | Standard: Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer*

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### Fact Pattern

Margaret Holloway, age 58, is a recently retired school principal with a \$620,000 rollover IRA and a separate \$180,000 taxable brokerage account. She told her advisor, Kevin Delacroix, that she wanted steady income to supplement her pension of \$4,200/month, moderate growth to keep pace with inflation, and did not want to take on significant risk. She described herself as having 'some investment experience' from her 403(b) plan, which had been invested in a target-date fund for 20 years. Kevin recommended allocating \$540,000 across five Class A share mutual funds - two intermediate bond funds, one balanced

fund, one dividend equity fund, and one equity-income fund - each carrying front-end loads between 4.25% and 5.50%. The total upfront sales charges came to approximately \$27,400. Kevin did not recommend the same fund families' institutional share classes, Class C shares, or lower-cost ETF alternatives. However, he did apply breakpoint discounts where available, combining purchases within the same fund family to reach the \$100,000 threshold for reduced loads in three of the five funds. The remaining \$80,000 of IRA money went into a no-load Treasury bond fund, and the \$180,000 taxable account was invested in a diversified ETF portfolio with no sales charges. The five load funds had expense ratios ranging from 0.72% to 1.05%, while comparable no-load index funds and ETFs in the same categories carried expense ratios of 0.04% to 0.35%. Kevin's firm's product shelf included both the load funds and over 300 no-load alternatives. Kevin had previously documented in his notes that Margaret valued 'professional active management' and preferred funds with 'proven track records of downside protection,' and that he had discussed the fee differences with her. Margaret signed acknowledgment forms indicating she understood the load structure. Over the following 18 months, four of the five load funds slightly outperformed their benchmark indices on a risk-adjusted basis, while one underperformed by roughly 60 basis points annually.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kevin violated his obligations: The \$27,400 in upfront sales charges represents approximately 5.07% of the \$540,000 invested in load funds - a substantial immediate drag on a retiree's portfolio who needs income and capital preservation. Lower-cost alternatives were readily available on the firm's platform that would have achieved substantially similar investment objectives - intermediate bonds, balanced strategies, and dividend-focused equity - at a fraction of the cost. Over a 10-year horizon, the cumulative cost differential between the load funds (including the front-end charge amortized over time plus higher ongoing expenses) and comparable no-load or low-cost alternatives could exceed \$60,000 to \$80,000. For a retiree with finite assets and no future earned income to replenish her portfolio, this cost differential is material. Kevin's compensation was directly enhanced by the load fund recommendations, creating a conflict that arguably influenced the recommendations.

Arguments that Kevin acted appropriately: Kevin applied available breakpoint discounts, reducing the load charges from what they would have been without aggregation. He did not put 100% of her assets into load funds - the taxable account was placed in low-cost ETFs and a portion of the IRA went to a no-load Treasury fund, suggesting cost-consciousness. The funds recommended were substantively appropriate for Margaret's risk tolerance and income objectives - they were not speculative, exotic, or concentrated. Kevin documented that Margaret expressed a preference for active management and downside protection, and the subsequent performance of four of the five funds validated the selection on a risk-adjusted basis. Margaret signed disclosure forms acknowledging the fee structure. Class A shares with front-end loads can be less expensive than Class C shares over longer holding periods (which is appropriate for a 58-year-old with potentially a 25+ year investment horizon), and Kevin may have reasonably concluded that the load structure was more cost-efficient than alternatives with higher ongoing 12b-1 fees. The existence of lower-cost alternatives does not automatically make a higher-cost recommendation unsuitable if there are legitimate qualitative reasons for the selection.

### Why Borderline



This case sits in a genuine gray zone because the funds were categorically appropriate for Margaret's risk profile and objectives - the dispute is purely about cost, not asset allocation or risk level. Reasonable minds can disagree about whether an advisor who selects suitable, actively managed funds with documented rationale and client acknowledgment violates any standard merely because cheaper passive alternatives exist. The cost differential is significant but not egregious by historical industry standards, and the advisor took some cost-mitigating steps. The line between 'more expensive but defensible' and 'excessively costly' is inherently subjective, particularly when short-term performance data cuts in the advisor's favor.

### Borderline Factors

- Front-end loads were within standard industry ranges and breakpoints were properly applied
- Lower-cost alternatives achieving similar objectives were available on the same platform
- \$27,400 in upfront charges is material for a retiree with no future earnings
- Advisor documented client preference for active management and downside protection
- Client signed fee acknowledgment forms
- Not all assets were placed in load funds - taxable account used low-cost ETFs
- Four of five funds slightly outperformed benchmarks on a risk-adjusted basis in the subsequent period
- Advisor's compensation was directly tied to load fund sales creating an inherent conflict
- Cumulative long-term cost differential could be substantial over retirement horizon

### Likely Outcome

A regulator would likely issue a cautionary or deficiency finding rather than a full enforcement action. The categorical suitability of the funds and the documentation of client preferences provide meaningful defense, but the availability of substantially cheaper alternatives achieving the same objectives - combined with the advisor's compensation conflict - would likely draw scrutiny. A regulator applying a best interest standard would probably conclude that Kevin should have more seriously considered and documented why the load funds were superior to available lower-cost options, and the current documentation of vague client preferences for 'active management' may be insufficient to justify a \$27,400 cost differential. The outcome might depend heavily on how thoroughly Kevin's comparison analysis was documented and whether the firm had any policies requiring cost comparisons.

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## Borderline Scenario 122

Topic: *options\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and quantitative s*

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### Fact Pattern

Dr. Raj Patel, age 44, is a cardiologist earning approximately \$580,000 annually with a net worth of \$2.8 million, including a \$1.4 million brokerage account, \$650,000 in retirement accounts, a \$600,000 home with \$210,000 remaining on the mortgage, and approximately \$150,000 in cash and savings. He had been trading stocks actively for about six years and had completed an online options education course offered by his brokerage platform, passing the associated knowledge assessment. When he opened an options-approved account with advisor Lisa Montero in March 2022, he indicated on his new account form that his investment objective was 'growth with speculation,' his risk tolerance was 'aggressive,' and his investment time horizon was 'greater than 10 years.' He was approved for Level 3 options trading, which included covered calls, protective puts, spreads, and naked put writing. Over the next 14 months, Lisa

recommended a series of options strategies on individual tech and biotech stocks. Approximately 60% of the trades were covered calls on stocks Dr. Patel already owned and cash-secured puts on stocks he was willing to purchase - both relatively conservative income-enhancement strategies. The remaining 40% consisted of short put spreads and a handful of naked puts on volatile biotech stocks, with individual position sizes ranging from \$15,000 to \$45,000 in maximum risk exposure. The total notional exposure of his options positions never exceeded \$320,000, or about 23% of his brokerage account. Over the 14 months, the covered calls and cash-secured puts generated approximately \$67,000 in premium income. The short put spreads produced mixed results - roughly breakeven. However, four naked put positions on biotech stocks resulted in combined losses of approximately \$112,000 when the underlying stocks dropped sharply following clinical trial failures. Dr. Patel's overall account declined by roughly \$45,000 net (after accounting for gains elsewhere). Dr. Patel did not complain at the time of the losses and continued trading for three additional months before filing a complaint alleging that Lisa should never have recommended naked puts on volatile biotech stocks given their speculative nature. Lisa's records show she sent Dr. Patel pre-trade emails for each naked put explaining the maximum loss scenario and that he replied 'understood, proceed' in each instance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated her obligations: Naked put writing on volatile biotech stocks carries theoretically substantial downside risk (the stock could go to zero), and the strategy's risk profile is qualitatively different from the covered calls and cash-secured puts that comprised the majority of the trading. Biotech stocks facing binary catalyst events like clinical trials are among the most volatile equity categories, and writing naked puts ahead of such events is closer to speculative gambling than investment strategy. Even though Dr. Patel indicated aggressive risk tolerance, his primary stated objective included 'growth' alongside speculation, and the naked puts on event-driven biotech stocks did not serve a growth or income function - they were pure premium collection with asymmetric downside. Lisa, as the professional advisor making recommendations, arguably should have steered Dr. Patel away from the most speculative subset of strategies even if he was technically approved for them. The \$112,000 loss from just four positions represents a meaningful sum, and the concentrated sector exposure (biotech) added unnecessary risk.

Arguments that Lisa acted within appropriate bounds: Dr. Patel is a high-income professional with substantial net worth and liquid assets. The \$112,000 loss, while significant, represents approximately 4% of his total net worth and 8% of his brokerage account - painful but not financially devastating. He self-identified as aggressive with a speculative component to his objectives and had a 10+ year time horizon. He completed options education, was approved for the relevant trading level by the firm's compliance department, and explicitly acknowledged each naked put trade after receiving maximum-loss disclosures. The options positions never exceeded 23% of his brokerage account, and the majority of his options activity was conservative. Lisa did not concentrate his entire portfolio in speculative options - she used a layered approach with mostly conservative strategies and a smaller speculative allocation. Dr. Patel is a sophisticated professional capable of understanding risk disclosures, and his contemporaneous 'understood, proceed' responses undermine claims of unsuitability. He continued trading for months after the losses without complaint, suggesting he accepted the risks at the time.

### Why Borderline

This scenario is genuinely ambiguous because the client profile - high income, high net worth, self-described aggressive risk tolerance with a speculative component, options education, and explicit trade-by-trade acknowledgment - supports the argument that naked puts were within the range of suitable recommendations. However, the specific application of naked puts to volatile biotech stocks with binary event catalysts arguably crosses a line from aggressive investing into speculation that even an aggressive investor's profile may not fully contemplate. The key tension is between respecting client autonomy and stated preferences versus the advisor's independent obligation to ensure each recommendation is appropriate regardless of client consent. The position sizing (individual positions of \$15,000-\$45,000 max risk, total never exceeding 23% of account) and the overall modest net loss further muddy the analysis.

### Borderline Factors

- Client self-identified as aggressive with speculative objectives and completed options education
- Naked puts on biotech stocks facing binary catalysts carry qualitatively different risk than other options strategies
- Individual position sizes were relatively modest relative to total portfolio and net worth
- Client explicitly acknowledged maximum loss scenarios in writing before each trade
- 60% of options activity was conservative (covered calls, cash-secured puts)
- Total options exposure never exceeded 23% of brokerage account value
- \$112,000 loss was significant in absolute terms but modest relative to \$2.8 million net worth
- Client continued trading without complaint for three months after losses occurred
- Advisor had a professional obligation to exercise judgment beyond mere client consent
- Firm compliance had approved the account for the relevant options trading level

### Likely Outcome

A regulator would likely decline to pursue a full enforcement action but might scrutinize the naked put recommendations closely. The strong documentation - pre-trade emails with maximum loss disclosures and affirmative client responses - combined with the client's aggressive risk profile, high net worth, options education, and the relatively modest account-level impact would likely be seen as sufficient defense. However, a FINRA arbitration panel hearing a customer complaint might split, with some panelists finding that a professional advisor should have exercised independent judgment to avoid recommending naked puts on event-driven biotech stocks regardless of client consent. The most probable outcome is a finding of no violation, though the advisor might receive informal guidance about better documenting the specific rationale for recommending naked options strategies on highly volatile securities and distinguishing between general aggressive tolerance and tolerance for specific tail-risk scenarios.

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## Borderline Scenario 123

Topic: *illiquid\_real\_estate\_investment* | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for

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### Fact Pattern

Margaret Chen, age 58, is a semi-retired school administrator earning \$72,000 annually from a part-time consulting role. She has a net worth of approximately \$1.4 million, consisting of \$620,000 in a rollover IRA (mostly index funds), \$310,000 in a taxable brokerage account, \$180,000 in cash savings, and a fully

paid-off home valued at \$290,000. Her monthly expenses are about \$3,800. She told her advisor, David Kowalski, that she wanted to 'generate more income than CDs and bonds are paying' and was 'tired of getting almost nothing from safe investments.' She mentioned she planned to fully retire at age 63 and would then rely on her portfolio plus Social Security for income. During their March 2022 meeting, Kowalski recommended she invest \$150,000 from her taxable brokerage account into a non-traded real estate investment trust focused on commercial office and mixed-use properties. The REIT had a minimum seven-year holding period, no secondary market, offered a projected annual distribution of 6.2%, and charged upfront fees totaling 8.5% (including selling commissions and offering costs). Kowalski explained the illiquidity, the fee structure, and the risks related to commercial real estate, and Margaret signed all disclosure documents. He also noted the REIT had a track record of consistent distributions over four prior funds spanning twelve years. Margaret did not express any anticipated large expenses or liquidity needs before retirement, though she mentioned she 'might want to help her daughter with a down payment on a house in a few years.' Three months after investing, commercial office vacancy rates in the REIT's target markets began rising sharply due to remote work trends, and by early 2024, the REIT suspended distributions and announced a potential 30% write-down in net asset value. Margaret filed a complaint alleging the investment was inappropriate given her age, her approaching retirement, and the concentration of nearly 11% of her net worth in a single illiquid product.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kowalski violated his obligations: Margaret was five years from full retirement, creating a reasonably foreseeable need for liquidity and income stability. A seven-year lockup period meant the investment would not become liquid until she was 65 - two years into full retirement - when she would likely need access to her capital. The 8.5% upfront fee load meant she was immediately underwater, making it a poor fit for someone approaching a decumulation phase. The mention of possibly helping her daughter with a home down payment signaled a potential near-term liquidity need that should have been explored further. Additionally, the commercial office sector was already showing signs of stress from pandemic-era shifts at the time of the recommendation in March 2022, arguably making this a higher-risk subsector within an already illiquid product category. Finally, at \$150,000, the position represented roughly 48% of her taxable (most accessible) account, reducing her financial flexibility significantly. Arguments that Kowalski acted appropriately: The \$150,000 investment represented approximately 11% of Margaret's total net worth, which is within commonly accepted concentration thresholds for alternative investments. She retained \$180,000 in cash savings (nearly four years of expenses), \$470,000 in her IRA, and \$160,000 remaining in her taxable account - substantial liquidity. Her stated goal was explicitly to earn more income than safe investments provided, and a 6.2% projected yield from a REIT with a twelve-year track record across four prior funds was a reasonable response to that objective. Kowalski disclosed the illiquidity, fees, and risks, and Margaret signed the disclosures. The daughter's down payment was mentioned as a possibility, not a definite plan with a timeline. The subsequent market deterioration in commercial office was not foreseeable with certainty at the time of recommendation. Kowalski could argue the allocation was a measured complement to an otherwise conservative, liquid portfolio.

### Why Borderline

This case sits in genuine gray territory because the allocation percentage (11% of net worth) is within

ranges that many firms and regulators consider acceptable for non-traded REITs, and the client explicitly sought higher income. However, the client's proximity to retirement, the seven-year lockup extending into her retirement years, the high upfront fee drag, the vague but noted potential liquidity need (daughter's home), and the concentration within her most accessible account all create legitimate concern. The product was not per se unsuitable for someone of her profile, but the specific sizing and timing relative to her retirement horizon create a plausible argument that the advisor should have recommended a smaller allocation or a more liquid income-generating alternative.

### Borderline Factors

- 11% of total net worth is within common concentration guidelines but 48% of her most liquid taxable account
- Seven-year lockup period extends two years past her planned retirement date
- Client explicitly requested higher-income investments, aligning with the product's yield objective
- 8.5% upfront fees create immediate and significant cost drag for a pre-retiree
- Adequate remaining liquidity across other accounts (\$180K cash, \$470K IRA, \$160K taxable)
- Vague mention of helping daughter with down payment - not a firm commitment but a signal of potential liquidity need
- Commercial office sector was experiencing known headwinds at time of recommendation but outcomes were uncertain
- Advisor provided full disclosure and client signed all acknowledgments
- REIT sponsor had a twelve-year track record across four prior funds with consistent distributions

### Likely Outcome

A regulator would likely find this a close case but could issue a finding of violation, primarily based on the timing relative to retirement and the lockup period extending into retirement years. The most persuasive factor is that an advisor recommending a seven-year illiquid investment to a 58-year-old planning to retire at 63 should have recognized the mismatch between the investment's liquidity timeline and the client's income needs. However, the presence of substantial remaining liquid assets could lead to a reduced sanction - perhaps a censure and modest fine rather than a suspension - or the matter could be resolved through a negotiated settlement with restitution. Some panels might find no violation given the overall portfolio context and the client's expressed objectives.

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## Borderline Scenario 124

*Topic: illiquid\_investments | Standard: FINRA Rule 2111 requires that a recommendation be suitable based on the customer's invest*

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### Fact Pattern

Robert and Diane Alford, both age 51, are dual-income professionals - he is a civil engineer earning \$135,000 and she is a nurse practitioner earning \$98,000. Their combined net worth is approximately \$2.1 million: \$740,000 in combined 401(k) accounts, \$430,000 in a joint taxable brokerage account, \$210,000 in savings, their home valued at \$580,000 with a \$140,000 mortgage remaining, and no other significant debts. They have two children, ages 16 and 19. The older child is currently in college (annual cost of approximately \$38,000 partially covered by a \$52,000 remaining 529 plan), and the younger will enter college in two years. Their financial advisor, Patricia Navarro, recommended in January 2023 that they

invest \$200,000 from their joint taxable brokerage account into a private credit interval fund focused on middle-market corporate lending. The fund offered quarterly repurchase opportunities of up to 5% of outstanding shares per quarter, charged a 1.85% annual management fee plus a 15% incentive fee on returns above a 5% hurdle rate, and had generated a net annualized return of 8.4% over the prior three years. Navarro explained that the fund provided higher yields than traditional bond funds with limited daily liquidity but noted the quarterly redemption feature as a 'safety valve' if they needed access. She presented it as a complement to their equity-heavy 401(k) holdings, arguing it would improve diversification and provide income. The Alfords agreed and invested. In mid-2024, the interval fund's underlying borrowers experienced elevated default rates due to a regional economic downturn, and the fund reduced its quarterly repurchase offer from 5% to 2%, extending the potential timeline to fully exit the position to over twelve years. When the Alfords requested a full redemption to help fund their younger child's freshman-year tuition and unexpected home repairs totaling \$65,000, they were only able to redeem approximately \$10,000 in the next quarter. They filed a complaint alleging Navarro should not have recommended an illiquid investment given their known upcoming college expenses and that she overstated the accessibility of the quarterly redemption feature.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Navarro violated her obligations: The Alfords had a known, quantifiable near-term liquidity need - a second child entering college within two years of the investment, at an anticipated annual cost of roughly \$38,000. While a 529 plan covered part of the older child's expenses, no similar vehicle existed for the younger child, meaning liquid assets would likely be needed. Placing \$200,000 - nearly 47% of their taxable brokerage account - into an interval fund with restricted redemption created a foreseeable conflict with these needs. Navarro's characterization of the quarterly repurchase as a 'safety valve' may have understated the risk that repurchase offers could be reduced or oversubscribed, which is precisely what occurred. The fee structure (1.85% management fee plus 15% incentive fee) is materially higher than liquid alternatives like broadly syndicated loan funds or high-yield bond ETFs that could have provided similar, if somewhat lower, yields. Additionally, placing nearly 10% of total net worth in a single interval fund concentrated in middle-market lending represents meaningful concentration and sector risk. Arguments that Navarro acted appropriately: The Alfords were high-earning professionals in their early fifties with \$233,000 in combined annual income, \$210,000 in cash savings, \$230,000 remaining in their taxable account after the investment, and over \$740,000 in retirement accounts. Even assuming \$38,000 per year in college costs for the younger child, their cash savings alone could cover two full years, and their ongoing income of \$19,400 per month far exceeded their regular expenses. The \$200,000 allocation represented less than 10% of total net worth. The interval fund structure does provide some liquidity - quarterly repurchases are a standard and marketed feature - and the 8.4% three-year track record made it a legitimate income and diversification tool for an equity-heavy household. Navarro disclosed the fund's structure and risks. The reduced repurchase offer was an unusual stress event, not the baseline expectation. The Alfords' complaint is arguably driven by an unexpected confluence of the home repair expense and the fund's stress event, neither of which was reasonably predictable. Navarro might also argue the Alfords could have sold other taxable holdings or used their savings for the tuition rather than relying on the interval fund.

### Why Borderline



This case is genuinely ambiguous because the Alfords had substantial overall liquidity and income, making the investment defensible on a whole-portfolio basis. However, the advisor knew about an imminent, concrete expense (college for a second child) and placed a large portion of the couple's most accessible investment account into a product with restricted liquidity. The characterization of the quarterly repurchase as a 'safety valve' is arguably misleading in hindsight but was consistent with how many interval funds are marketed. The question of whether the advisor should have sized the position smaller or chosen a liquid alternative with similar characteristics (accepting somewhat lower returns) is exactly the type of judgment call that divides regulators and practitioners.

### Borderline Factors

- Known near-term expense (second child's college in two years) versus ample cash savings and income to cover it
- 47% of taxable brokerage account placed in a single illiquid fund, but less than 10% of total net worth
- Quarterly repurchase feature provides some liquidity, but repurchase amounts can be reduced at the fund's discretion
- Advisor described quarterly repurchase as a 'safety valve' - arguably a fair characterization of the structure or an overstatement of accessibility
- 8.4% three-year net return and portfolio diversification rationale support the recommendation's investment merit
- Fee structure (1.85% + 15% incentive) is significantly higher than liquid alternatives with partially comparable exposures
- The liquidity crunch was triggered by an unusual stress event (elevated defaults, reduced repurchase offer) that was not the baseline scenario
- Home repair expense was unexpected and not foreseeable by the advisor
- Couple's \$233,000 combined income provides ongoing capacity to meet expenses without the interval fund

### Likely Outcome

A regulator or arbitration panel would likely view this as a close but potentially defensible recommendation. The strongest argument for the Alfords is the known upcoming college expense combined with the large allocation from their most liquid account, and the characterization of the repurchase feature. However, the couple's substantial income, cash savings, and remaining liquid investments weaken the claim that this allocation created an unreasonable liquidity mismatch. A panel might find a partial violation based on the sizing of the position (recommending \$200,000 rather than a smaller amount) or the way the repurchase feature was described, potentially resulting in a modest damages award or settlement. Alternatively, the claim could be denied if the panel credits the advisor's whole-portfolio analysis and the couple's overall financial strength. A negotiated settlement for partial restitution is the most probable resolution.

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## Borderline Scenario 125

*Topic: annuity\_unnecessary\_switching | Standard: Under FINRA Rule 2330 (Variable Annuity Suitability), the firm and registered rep*

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### Fact Pattern

Margaret Thornton, age 58, purchased a variable annuity in 2019 through her financial advisor, David

Kessler, at a mid-sized broker-dealer. The original annuity had a 7-year surrender schedule (with 3 years remaining at the time of the switch), a 1.35% mortality and expense charge, a guaranteed minimum income benefit rider costing 0.95% annually, and was invested in a moderate-growth subaccount portfolio. In March 2023, Kessler recommended that Margaret surrender the existing annuity and purchase a new variable annuity from a different carrier. The surrender penalty on the old annuity was 3% of the account value, which at \$412,000 meant approximately \$12,360 in surrender charges. The new annuity had a fresh 7-year surrender schedule, a slightly lower mortality and expense charge of 1.15%, a guaranteed minimum income benefit rider at 0.85% annually but with a higher payout percentage (5.5% versus 5.0% on the old contract starting at age 65), and access to a broader range of subaccount options including several low-cost index funds not available in the old contract. Margaret's account application listed her as married, household income of \$145,000, with a 401(k) worth \$310,000 and a separate brokerage account of \$175,000. Her stated investment objective was 'growth with income' and her risk tolerance was 'moderate.' She planned to begin taking annuity income at age 65. Kessler documented in his notes that the higher guaranteed payout rate in the new contract would generate approximately \$2,800 more per year in guaranteed income starting at age 65, and that the lower overall fee structure would save roughly \$2,060 annually. He also noted that Margaret had expressed frustration with the limited subaccount choices in the old contract and wanted more index fund exposure. Margaret signed an annuity replacement form and a letter acknowledging the surrender charges. Kessler received a commission of \$16,480 (4% of the new contract value) on the new annuity, compared to the trailing commission of approximately \$1,650 per year he had been receiving on the old contract. The firm's compliance department flagged the transaction for review but ultimately approved it after Kessler submitted his comparative analysis.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kessler violated his obligations: The switch imposed a \$12,360 surrender penalty, resetting the surrender clock to a new 7-year period, which extends Margaret's illiquidity from 2026 to 2030. The advisor received a substantial upfront commission of \$16,480 versus the \$1,650 annual trail he was receiving, creating a significant financial incentive to recommend the switch. The total cost of the switch - including the surrender charge and new surrender period - may not be fully offset by the fee savings and higher payout rate for several years, particularly if Margaret needs liquidity before age 65. A reasonable analysis might show the breakeven point is approximately 5-6 years out, meaning the client bears the cost burden in the interim. The new guaranteed income benefit, while offering a higher payout percentage, may reflect the new insurer's pricing model or current interest rate environment rather than a genuinely superior product, and guaranteed benefit features are only valuable if the client actually annuitizes.

Arguments that Kessler acted appropriately: The fee reduction of approximately 30 basis points in combined M&E and rider charges saves over \$2,000 per year on a \$412,000 account, which over the 7-year period until Margaret's planned income date at age 65 totals roughly \$14,420 - more than the surrender penalty of \$12,360. The higher guaranteed payout percentage adds \$2,800 annually for what could be 20+ years of retirement income, a material long-term benefit. Margaret had expressed genuine dissatisfaction with her investment options and wanted index fund access, which represents a legitimate investment objective. Kessler documented his rationale thoroughly, the client signed acknowledgment forms, and the firm's compliance department reviewed and approved the transaction. Margaret's other

liquid assets (\$175,000 brokerage account, \$310,000 in her 401(k)) suggest she is not dependent on the annuity for short-term liquidity needs. The 3% surrender charge on the old annuity was relatively modest, not the maximum penalty.

### Why Borderline

This case sits in a genuine gray area because the quantitative analysis can be read both ways depending on assumptions about time horizon, whether Margaret will actually annuitize, and how much weight to give to the improved investment options versus the reset surrender period. The fee savings and higher guaranteed income rate provide legitimate mathematical justification, but the advisor's dramatically higher commission creates an unavoidable conflict of interest. The client had some expressed dissatisfaction with the old product, which supports a client-driven motivation, but the question remains whether the incremental improvements warranted absorbing a \$12,360 penalty and losing three years of progress through the surrender schedule.

### Borderline Factors

- Surrender penalty of \$12,360 is arguably recouped within 5-6 years through lower fees and higher guaranteed income, but this depends on assumptions about annuitization
- Advisor's commission jumped from \$1,650/year trailing to \$16,480 upfront, creating a significant financial incentive
- Client expressed genuine dissatisfaction with old product's investment options, supporting client-driven rationale
- Surrender schedule reset from 3 years remaining to a fresh 7 years, extending illiquidity by 4 years
- Client has substantial other liquid assets reducing dependence on annuity for emergency needs
- Firm compliance reviewed and approved the transaction after examining the comparative analysis
- Breakeven analysis is sensitive to whether the client actually uses the guaranteed income feature
- Lower annual fees provide a compounding benefit that grows over time but takes years to offset upfront costs

### Likely Outcome

A regulator would likely scrutinize this transaction heavily but might not bring an enforcement action, particularly given the documented fee savings, the higher guaranteed payout rate, the client's expressed preferences, the compliance department's approval, and the client's adequate outside liquidity. However, the regulator might issue a cautionary letter or require enhanced supervisory procedures, noting that the commission differential and surrender schedule reset demand a higher burden of justification. If the regulator concluded the breakeven period was unreasonably long or that the guaranteed income improvement was illusory, a suitability violation finding would be more likely. The outcome likely hinges on the quality and credibility of Kessler's comparative analysis documentation.

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## Borderline Scenario 126

*Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the*

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### Fact Pattern

Robert Hanley, age 79, has been a client of financial advisor Patricia Simmons for 14 years. Robert is a

retired aerospace engineer with a pension of \$6,200 per month, Social Security of \$3,100 per month, and an investment portfolio of approximately \$1.4 million held in a brokerage account. His wife, Eleanor, passed away in September 2022. In January 2023, Robert's daughter, Karen, who lives 400 miles away, contacted Simmons expressing concern that her father seemed confused during phone calls and had recently been diagnosed with mild cognitive impairment by his physician. Karen asked Simmons to avoid making major changes to the portfolio and to contact her before any significant transactions. Simmons noted the call but did not add Karen as a trusted contact on the account, as Robert had never designated her in that role and had not consented to it. In February 2023, Robert called Simmons and said he wanted to move \$280,000 - roughly 20% of his portfolio - from a diversified bond fund into a concentrated position in a publicly traded real estate investment trust (REIT) that he had read about in an investment newsletter. The REIT focused on senior living facilities and yielded approximately 7.8%, compared to the 4.2% yield on his existing bond fund. Robert explained that with Eleanor gone, he wanted to maximize his income to cover the cost of a part-time home health aide he had recently hired at \$2,400 per month. Simmons discussed the risks of concentration and the REIT's higher volatility with Robert over a 45-minute phone call and a subsequent in-person meeting at her office. She noted that Robert appeared coherent during both conversations, asked relevant questions about the REIT's dividend history and property portfolio, and articulated a clear rationale for the income increase. Robert acknowledged the concentration risk but said he was comfortable given his pension and Social Security covered his base expenses. Simmons executed the trade. By August 2023, the REIT had declined 22% in value amid rising interest rates, reducing Robert's position to approximately \$218,400. Karen filed a complaint alleging that Simmons should have refused the transaction given the cognitive impairment diagnosis, should have contacted Karen before proceeding, and that the concentrated REIT position was inappropriate for a 79-year-old client with diminishing mental capacity.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated her obligations: Robert had a documented diagnosis of mild cognitive impairment, and his daughter had specifically warned Simmons about her father's condition and requested to be consulted before major transactions. Concentrating 20% of a 79-year-old client's portfolio in a single REIT exposes the client to significant sector-specific and interest rate risk at an age when capital preservation and stability are typically paramount. The subsequent 22% loss demonstrates the materialized risk. Simmons could have recommended alternative income strategies - such as a diversified REIT fund, a high-yield bond fund, or a systematic withdrawal increase - that would have provided additional income without the concentration risk. The advisor's failure to add Karen as a trusted contact or to delay the transaction to seek further clarity on Robert's cognitive status could be viewed as prioritizing transaction execution over the client's protection.

Arguments that Simmons acted appropriately: Robert was the account holder with full legal authority over his assets. He had not been declared legally incompetent, had no guardian or conservator, and had not granted Karen power of attorney or designated her as a trusted contact. A diagnosis of mild cognitive impairment is not equivalent to incapacity - many individuals with MCI continue to make sound financial decisions. Simmons conducted two separate conversations with Robert totaling significant time, during which he demonstrated coherence, asked informed questions, and articulated a reasonable financial rationale tied to a specific new expense. The 20% allocation, while concentrated, left 80% of the portfolio

intact and diversified, and Robert's pension and Social Security of \$9,300/month covered his base living expenses regardless of portfolio performance. The REIT was a publicly traded, liquid security - not an illiquid alternative investment - and its 7.8% yield addressed a legitimate and documented need for additional income. Simmons did discuss the risks and Robert acknowledged them. Refusing to execute a competent client's instructions based solely on a family member's unverified concerns about capacity raises serious issues about client autonomy and could itself be viewed as a violation of the advisor's duties.

### Why Borderline

This scenario presents a genuine tension between an advisor's duty to protect a potentially vulnerable senior client and the client's autonomy to make his own financial decisions. The mild cognitive impairment diagnosis creates ambiguity - it is a medical condition that may or may not affect financial decision-making capacity, and reasonable professionals disagree about what steps an advisor should take upon learning of such a diagnosis. The daughter's warning adds a complicating factor, but she had no legal authority over the account. The investment itself - a concentrated but liquid, income-producing position - is not inherently inappropriate but carries risks that are amplified by the client's age and potential cognitive vulnerability. The advisor took meaningful steps to assess Robert's understanding but arguably could have done more, such as requesting a capacity assessment or adding a temporary hold.

### Borderline Factors

- Client had a medical diagnosis of mild cognitive impairment but was not legally incapacitated and demonstrated coherence in multiple conversations
- Daughter warned the advisor but had no legal authority (no POA, no trusted contact designation, no guardianship)
- 20% concentration in a single REIT is elevated risk but leaves 80% diversified, and the REIT was publicly traded and liquid
- Client had a legitimate, articulable need for additional income tied to a new home health aide expense
- Advisor conducted extended discussions and documented Robert's understanding of risks
- Advisor did not attempt to add a trusted contact or place a temporary hold to investigate the daughter's concerns further
- Subsequent investment loss of 22% was driven by market conditions (rising interest rates) rather than fraud or inherent unsuitability of the asset class
- Refusing a competent client's instructions based on a third party's concerns raises autonomy issues

### Likely Outcome

A regulator would likely conduct a thorough investigation, focusing on the adequacy of Simmons's response to the daughter's warning about cognitive impairment. The regulator might conclude that while Simmons was not required to refuse the trade, she should have taken additional protective steps - such as attempting to establish a trusted contact, placing a temporary hold while investigating the capacity concern, or consulting with her firm's compliance department about the situation. The regulator would likely stop short of finding a clear suitability violation given that the investment had a reasonable rationale, the client appeared competent during discussions, and the advisor documented her interactions. However, the failure to take any enhanced protective action after receiving the daughter's warning could result in a finding of supervisory deficiency or a recommendation for enhanced procedures, and possibly a modest fine or censure. A settlement with restitution of some portion of losses is a plausible outcome, particularly if the regulator finds that industry standards for senior investor protection were not adequately followed.

**Borderline Scenario 127**

*Topic: complex\_products\_unsophisticated\_investor | Standard: Under FINRA Rule 2111 (Suitability), a broker must have a reasonable*

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**Fact Pattern**

Margaret Dudley, age 58, worked as a school cafeteria manager for 31 years earning \$42,000 annually. In March 2022, she inherited \$285,000 from her late sister and opened an account with advisor Kevin Tran at a regional broker-dealer. On her new account form, Margaret listed her investment experience as 'limited - only a 403(b) retirement plan with target-date funds,' her risk tolerance as 'moderate,' and her investment objective as 'growth and income for retirement in 7 years.' She had a high school diploma and no college education. During the second meeting, Kevin explained that interest rates were rising and that traditional bond funds could lose value. He recommended she place \$115,000 (approximately 40% of her inherited assets) into a structured note linked to the S&P 500 with a 2-year maturity, offering 100% principal protection at maturity but subject to issuer credit risk, and a contingent coupon of 8.5% annually paid quarterly if the index stayed above a 70% barrier level. Kevin spent approximately 90 minutes explaining the product using the issuer's marketing brochure, which included diagrams showing payoff scenarios. Margaret signed an acknowledgment form stating she understood the product's terms, including the credit risk of the issuing bank (a major U.S. financial institution rated A+ at the time), the lack of liquidity before maturity, and the contingent nature of the coupon payments. Kevin's notes from the meeting state that Margaret asked several questions, including 'What happens if the stock market crashes?' and 'Can I get my money back early if I need it?' - to which he responded that early redemption was possible but at prevailing market prices which could be below par, and that a market decline below 30% would suspend coupon payments but principal would still be returned at maturity. Margaret's remaining \$170,000 was placed in a diversified portfolio of large-cap equity mutual funds (\$85,000) and investment-grade bond funds (\$85,000). Over the next two years, the S&P 500 remained above the barrier level and Margaret received all quarterly coupon payments totaling approximately \$19,550 before the note matured and returned her full principal. Margaret later filed a complaint after a friend told her the product was 'too risky and complicated for someone like her,' and that she could have earned similar returns in simpler high-yield bond funds without the complexity.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Kevin violated his obligations: Margaret was an unsophisticated investor with limited investment experience confined to target-date funds - among the simplest investment vehicles. Structured notes are complex derivatives-linked products with features (contingent coupons, barrier levels, issuer credit risk, limited secondary market liquidity) that can be difficult even for experienced investors to fully evaluate. A 90-minute explanation using an issuer's marketing brochure may not constitute genuine understanding, and the signed acknowledgment form may reflect compliance formalism rather than true informed consent. Placing 40% of a client's total investable assets - especially inherited money that represents the bulk of her retirement bridge - into a single complex product raises concentration and complexity concerns simultaneously. The product's illiquidity during the 2-year term conflicted with a 58-year-old approaching retirement who might need access to funds for unexpected expenses.



Arguments that Kevin acted appropriately: The structured note offered 100% principal protection at maturity from a highly-rated issuer, which aligned with Margaret's moderate risk tolerance and desire for both growth and income. The 8.5% contingent coupon was significantly above prevailing money market and CD rates, providing meaningful income. The 2-year maturity meant Margaret would have full access to her principal well before her planned retirement in 7 years. Kevin documented a thorough 90-minute explanation and Margaret asked substantive questions demonstrating engagement with the material. The remaining 60% of her assets were placed in straightforward, diversified mutual funds, showing Kevin considered the overall portfolio. The 70% barrier level provided a substantial cushion - the S&P 500 would need to drop 30% before coupon payments were at risk, while principal was always protected at maturity. The product ultimately performed exactly as described, delivering both income and principal return. Alternative high-yield bond funds Margaret's friend suggested actually carry meaningful credit risk and potential principal loss - arguably more risk than the principal-protected structured note from an A+-rated issuer.

### Why Borderline

This case sits in a genuine gray zone because the product's complexity is undeniable, but its actual risk profile (principal-protected, major bank issuer, 2-year maturity) was arguably well-suited to Margaret's stated objectives. The tension between product complexity and product risk creates ambiguity: a product can be difficult to understand yet still carry moderate actual risk. Additionally, the advisor documented meaningful educational efforts, but the question of whether an unsophisticated investor can truly give informed consent to a structured note remains contested. The fact that the product performed well doesn't resolve the suitability question at the time of recommendation, but it does undermine claims of harm.

### Borderline Factors

- Client's limited investment sophistication versus documented 90-minute product explanation with substantive Q&A
- Product complexity (structured note with contingent coupon and barrier) versus relatively conservative risk profile (100% principal protection at maturity from A+-rated issuer)
- 40% allocation to a single complex product is high, but the 2-year maturity and principal protection reduce concentration risk concerns
- Illiquidity during the 2-year term, but remaining 60% in liquid mutual funds and retirement was 7 years away
- Signed acknowledgment form - formalistic compliance or genuine informed consent?
- Product performed as intended, delivering \$19,550 in income plus full principal return
- Comparable simpler alternatives (high-yield bond funds) actually carried greater principal risk

### Likely Outcome

A regulator would likely find this a close case but would probably not pursue a formal action, particularly given the documented explanation, the product's principal-protection feature, the strong issuer credit quality, the appropriate overall portfolio allocation with 60% in simple products, and the absence of financial harm. However, the firm might receive an examination comment or cautionary letter noting that structured notes should generally be recommended to clients with greater investment sophistication, and that enhanced documentation - such as a follow-up letter confirming the client's understanding in her own words - would be expected for clients with Margaret's profile. If the product had performed poorly or if the coupon payments had been suspended due to a barrier breach, the outcome would likely tilt more toward a finding of unsuitability.

**Borderline Scenario 128**

Topic: *unsuitable\_income\_investor* | Standard: *As a registered investment adviser, Danielle owes a fiduciary duty under the Investment Advisers Act of 1940.*

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**Fact Pattern**

Ronald and Patricia Westbrook, both 71 years old, retired in 2019 after running a small plumbing supply business for 35 years. They had a combined portfolio of \$1.4 million managed by advisor Danielle Chu at an independent advisory firm, for which they paid an annual advisory fee of 0.90%. Their stated investment objective was 'reliable monthly income to supplement Social Security,' and their account documents listed their risk tolerance as 'conservative to moderate.' They received \$3,200 per month in combined Social Security and needed an additional \$4,500 per month (\$54,000 annually) from their portfolio to cover living expenses, property taxes, insurance, and occasional travel. They owned their home free and clear, valued at approximately \$380,000, and had \$45,000 in a savings account as an emergency fund. In January 2023, Danielle restructured their portfolio. She moved them out of a prior allocation that was roughly 30% equities and 70% investment-grade bonds and CDs yielding an average of 3.1% (generating approximately \$43,400 annually, about \$10,600 short of their income target). The new allocation was: 25% in high-dividend equity ETFs focused on utilities, REITs, and energy master limited partnerships (MLPs) yielding approximately 5.8%; 20% in a diversified high-yield corporate bond fund yielding 7.2%; 15% in a closed-end fund using 30% leverage that invested in senior secured loans yielding 9.1%; 15% in investment-grade corporate bond funds yielding 4.8%; 15% in Treasury bonds and TIPS yielding 4.3%; and 10% in a business development company (BDC) yielding 10.4%. The blended portfolio yield was approximately 6.3%, projecting annual income of roughly \$88,200 - well above their \$54,000 need. Danielle's documentation noted that the higher yield provided a 'cushion' so the Westbrooks would not need to sell assets in a down market and could reinvest excess income for inflation protection. Over the following 18 months, the portfolio generated consistent monthly income averaging \$7,100, exceeding their needs. However, the high-yield bond fund lost 4.2% in net asset value, the leveraged closed-end fund's price declined 11.3%, and the BDC dropped 8.7% during a period of credit market stress. Total portfolio value declined from \$1.4 million to approximately \$1.31 million, a paper loss of roughly \$90,000 or 6.4%, while the Westbrooks had received approximately \$96,300 in cumulative income distributions over 18 months. Ronald filed a complaint stating they were told the new portfolio would generate more income with 'a little more risk' but were not informed about the potential for significant principal declines, particularly in the leveraged and below-investment-grade components.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Danielle violated her obligations: The Westbrooks were 71-year-old conservative-to-moderate retirees depending on portfolio income for essential living expenses. Moving from a 70% investment-grade fixed income portfolio to one where 55% of assets were in high-yield bonds, leveraged funds, BDCs, and high-dividend equity ETFs (including MLPs) represents a material increase in credit risk, equity risk, and structural complexity. A leveraged closed-end fund and a BDC are sophisticated vehicles that may be inappropriate for conservative retirees. The prior portfolio's \$10,600 income shortfall could have been addressed by more modest adjustments - for instance, shifting a portion to higher-yielding investment-grade bonds as rates rose in 2022-2023, or implementing a modest systematic withdrawal plan

drawing 0.75% annually from principal, which would have been sustainable. The portfolio generated far more income (\$88,200) than needed (\$54,000), suggesting Danielle over-optimized for yield at the expense of principal stability. Ronald's complaint that he was told there would be 'a little more risk' suggests possible inadequate disclosure of the magnitude of risk being taken. The \$90,000 principal decline, while partially offset by income, represents real erosion of a 71-year-old couple's finite retirement assets.

Arguments that Danielle acted appropriately: The Westbrooks' prior allocation was failing to meet their stated primary objective - reliable income of \$54,000 per year. They were running an annual shortfall of \$10,600, which would have required systematic asset liquidation, creating sequence-of-returns risk that is particularly dangerous for retirees. Danielle's restructuring addressed this real and immediate problem. The yield cushion rationale is legitimate: by generating \$88,200 versus \$54,000 needed, the Westbrooks could reinvest \$34,200 annually, building a buffer against future inflation and potential income reductions. The portfolio maintained 30% in investment-grade bonds and Treasuries, and the equity exposure (25%) was actually lower than the prior 30%. While high-yield bonds and BDCs carry more credit risk, they were diversified across hundreds of underlying positions. The overall portfolio decline of 6.4% during a period of credit stress is within the range expected for a moderate-risk portfolio and was more than offset by the \$96,300 in income received. The Westbrooks were former business owners who managed a company for 35 years, suggesting greater financial sophistication than typical retirees. Their 'conservative to moderate' risk tolerance does not preclude all below-investment-grade exposure. The home equity (\$380,000) and emergency fund (\$45,000) provide additional financial cushion not reflected in the portfolio alone.

### Why Borderline

This is a genuine gray area because the advisor faced a real dilemma: the clients' existing portfolio was failing to meet their stated income needs, creating its own form of risk (forced liquidation in down markets, depletion of assets). The restructuring solved this problem but introduced different risks (credit risk, leverage, principal volatility). Reasonable practitioners disagree about whether income-oriented retirees are better served by a lower-risk portfolio that requires systematic withdrawals or a higher-yielding portfolio that meets income needs but carries more principal volatility. The fact that total return (income plus capital change) was positive over 18 months further complicates the picture. The complaint essentially asks whether generating excess income at the cost of modest principal fluctuation is unsuitable for retirees - a question on which the industry is genuinely divided.

### Borderline Factors

- Prior portfolio had a real income shortfall of \$10,600/year, creating legitimate justification for restructuring toward higher yield
- New portfolio generated \$88,200 vs. \$54,000 needed - arguably over-engineered for yield, or prudently creating an income buffer
- 55% in higher-risk income products (high-yield, leveraged closed-end fund, BDC, high-dividend equity) is aggressive for conservative-to-moderate 71-year-olds, but addresses their primary stated need
- 6.4% principal decline during credit market stress is within moderate-risk expectations but concerning for retirees who listed 'conservative to moderate' tolerance
- Total return over 18 months was positive (income received exceeded principal decline), complicating the harm narrative
- Leveraged closed-end fund and BDC are complex vehicles, but clients were former business owners with 35 years of entrepreneurial experience

- Adequacy of disclosure about risk magnitude is disputed - 'a little more risk' characterization versus actual complexity of portfolio
- Alternative strategies existed (modest principal withdrawal, incremental yield improvement) that could have addressed the shortfall with less risk

### Likely Outcome

A regulator would likely scrutinize this case closely and could go either way. The most probable outcome is that a regulator would find the overall restructuring was reasonably justified given the income shortfall but would criticize specific allocation decisions - particularly the 15% allocation to the leveraged closed-end fund and the 10% to the BDC, which together represent 25% of assets in complex, higher-risk vehicles that may exceed what a conservative-to-moderate retiree profile supports. A settlement or finding of partial unsuitability focused on these two positions (representing \$350,000) is more likely than either full exoneration or a finding that the entire restructuring was unsuitable. The advisor's documentation of the income-cushion rationale helps her case, but the gap between 'a little more risk' and the actual portfolio composition weakens it. Damages, if assessed, would likely be limited to the principal losses attributable to the leveraged fund and BDC, offset by the above-market income those positions generated.

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## Borderline Scenario 129

Topic: *concentration\_risk* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the custom*

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### Fact Pattern

Gerald Whitmore, age 58, is a senior engineer at NovaTech Industries, a publicly traded semiconductor company. He has worked there for 26 years and holds approximately \$1.4 million in NovaTech stock through his company's employee stock purchase plan and vested restricted stock units. His total investable assets outside of NovaTech stock are approximately \$620,000, held in a brokerage account with advisor Danielle Friedman. Gerald came to Danielle in March 2022 specifically asking her to help him grow his non-NovaTech portfolio aggressively, stating he wanted to 'catch up on retirement savings.' He told Danielle that he planned to retire at 63 and that his NovaTech holdings were 'his real nest egg.' His risk tolerance questionnaire indicated moderate-to-aggressive risk appetite. Danielle recommended allocating the \$620,000 into a diversified portfolio of growth equities, small-cap funds, and some international exposure. She documented in her notes that she discussed the concentration risk of Gerald's NovaTech position on at least three occasions between March and August 2022, recommending that he sell at least 40% of his NovaTech shares and diversify. Gerald refused each time, citing his belief that the company was about to announce a major contract and his reluctance to trigger a large capital gains tax event. Danielle's notes reflect these conversations but she did not put the recommendation to sell NovaTech shares in writing or send a formal letter. She continued to manage only the \$620,000 account. In late 2023, NovaTech lost a key government contract, and the stock dropped 62% over four months. Gerald's NovaTech holdings fell from \$1.4 million to approximately \$530,000. Gerald filed a complaint alleging that Danielle failed to adequately protect him from concentration risk, arguing she should have been more forceful in her recommendations, implemented a structured selling program, or at minimum refused to manage the account unless he diversified. He also claims she should have considered his total financial picture - including the NovaTech stock - when constructing the \$620,000 portfolio, rather than simply making it 'more aggressive,' which compounded his overall equity concentration. Danielle responds that the

NovaTech shares were held in a separate account she did not control, that she repeatedly recommended diversification, and that Gerald explicitly and knowingly rejected her advice. She also notes that the \$620,000 portfolio she managed performed in line with its benchmarks and was suitable for his stated goals.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case turns on two key questions: (1) whether the advisor had a duty to consider the client's entire financial picture - including assets she did not directly manage - when constructing the portfolio under her control, and (2) whether her repeated verbal recommendations to diversify, which the client rejected, satisfied her obligations. On the side of finding a violation: Under FINRA Rule 2111 and Regulation Best Interest, an advisor is expected to consider the customer's overall investment profile, not just the assets in a single account. Gerald's total portfolio was approximately \$2.02 million, of which roughly 69% was concentrated in a single stock. The \$620,000 portfolio Danielle managed was allocated aggressively into growth equities, which, combined with the massive NovaTech concentration, left Gerald with an extremely equity-heavy, poorly diversified overall position. A reasonable argument exists that Danielle should have constructed the \$620,000 portfolio more conservatively - perhaps emphasizing bonds, alternative assets, or sectors uncorrelated with semiconductors - to counterbalance the concentration risk she knew existed. Additionally, her failure to memorialize the diversification recommendation in a formal written communication weakens her defense. On the side of finding no violation: Danielle raised the concentration issue multiple times and documented the conversations in her notes. Gerald was a sophisticated, high-earning professional who made an informed decision to hold NovaTech stock for specific reasons (anticipated contract, tax implications). An advisor cannot force a client to sell stock they own in a separate account. The portfolio she managed was constructed appropriately for Gerald's stated goals and risk tolerance within that account. FINRA's supplementary guidance on Rule 2111 acknowledges that when a customer refuses to follow a recommendation, the advisor is not necessarily liable for the outcome, provided the recommendation was made and documented. Furthermore, the drop in NovaTech stock was caused by an unforeseeable event - the loss of a government contract - and advisors are not guarantors against market risk.

### Why Borderline

This is genuinely ambiguous because the advisor did the right thing in repeatedly recommending diversification, but arguably fell short in how she constructed the portfolio she actually controlled. Reasonable regulators could disagree about whether verbal recommendations plus internal notes were sufficient, and whether the advisor's duty extended to effectively 'hedging' the client's outside concentration through her own portfolio construction. The client's informed refusal to diversify creates a meaningful defense, but the holistic duty to consider the client's total financial picture cuts against the advisor.

### Borderline Factors

- Advisor raised concentration risk verbally on multiple documented occasions but never in formal written correspondence
- Client was a sophisticated professional who knowingly refused diversification advice for articulable reasons (tax consequences, belief in company prospects)
- Advisor managed only 31% of client's total investable assets but had knowledge of the full picture

- The managed portfolio's aggressive growth allocation arguably compounded the client's overall concentration in equities
- Advisor did not control the account holding the concentrated position
- No structured or written diversification plan was proposed as an alternative (e.g., 10b5-1 plan, collar strategy, gradual selling program)
- The stock decline was triggered by an unforeseeable business event, not a predictable risk

### Likely Outcome

A regulator would likely issue a cautionary letter or a modest fine rather than a major sanction. The advisor's documented verbal warnings provide a meaningful defense, but the failure to put recommendations in writing and the failure to adjust the managed portfolio's construction to account for the known outside concentration would likely be viewed as deficiencies. An arbitration panel might award partial damages, reduced significantly by the client's contributory conduct in refusing diversification advice. The most likely result is a finding of partial responsibility - the advisor should have done more to document and to adjust portfolio construction, but the client bears substantial responsibility for the concentrated position.

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## Borderline Scenario 130

Topic: *junk\_bonds\_conservative\_investor* | Standard: *FINRA Rule 2111 requires that recommendations be suitable based on the cus*

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### Fact Pattern

Margaret Chen, age 71, is a retired school librarian living in Portland, Oregon. She has a total of \$485,000 in investable assets, consisting primarily of a traditional IRA rollover from her pension. Her monthly income is \$2,800 from Social Security and a small pension of \$1,100 per month, totaling \$3,900. Her monthly expenses are approximately \$3,400, leaving a modest surplus. She told her advisor, Ryan Prescott, in January 2023 that her primary goals were capital preservation and generating enough income to cover a potential increase in her healthcare costs, which she estimated could add \$600-\$800 per month in the next two to three years. She described herself as 'very conservative' and said she 'could not afford to lose money.' Her risk tolerance questionnaire scored her in the 'conservative' category. Ryan noted that Margaret's existing portfolio was entirely in money market funds and short-term CDs earning approximately 4.2% on average at the time. Ryan recommended that Margaret allocate \$72,500 - approximately 15% of her portfolio - into a diversified high-yield bond fund (the Meridian High Income Fund) with an average credit rating of BB, a yield of approximately 7.8%, and an expense ratio of 0.72%. The fund held approximately 180 different bond positions across multiple sectors. Ryan also recommended keeping \$290,000 in investment-grade intermediate-term bond funds yielding around 5.1%, and maintaining \$122,500 in money market funds and CDs as a liquidity reserve. Ryan documented that the high-yield allocation was intended to generate approximately \$5,655 in additional annual income compared to keeping that money in CDs, which he argued would help bridge Margaret's anticipated healthcare cost gap. He also noted that the fund's diversification across 180 positions mitigated individual default risk, and that the BB average rating placed it at the upper end of the high-yield spectrum, just one notch below investment grade. Margaret signed an acknowledgment form stating she understood the fund invested in below-investment-grade bonds. Over the next 14 months, the fund declined approximately 6.2% in value due to credit spread widening during a period of economic uncertainty, reducing Margaret's \$72,500



position to approximately \$68,005. Margaret filed a complaint stating that Ryan put her retirement savings in 'junk bonds' despite her explicitly telling him she was very conservative and could not afford to lose money. She claims the acknowledgment form was presented quickly during a meeting and she did not fully understand what 'below-investment-grade' meant. Ryan argues the allocation was modest, well-diversified, and appropriate to meet her stated income needs, and that the overall portfolio remained overwhelmingly conservative.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Margaret was a 71-year-old retiree with limited assets, a narrow income surplus, conservative self-identification, and an explicit statement that she 'could not afford to lose money.' High-yield bonds, regardless of how they are packaged in a diversified fund, carry materially higher credit risk and price volatility than investment-grade bonds or CDs. The \$4,495 loss represents real erosion of a conservative retiree's capital. Regulators have historically viewed recommendations of high-yield products to elderly, conservative investors with skepticism. The fact that Margaret may not have fully understood what 'below-investment-grade' meant, despite signing an acknowledgment, raises questions about whether informed consent was truly obtained. Furthermore, at the time of the recommendation, investment-grade bonds and CDs were yielding 4.2-5.1%, meaning the incremental income from the high-yield allocation was approximately \$5,655 per year - a meaningful but not dramatic improvement that could arguably have been achieved through other means (e.g., slightly longer-duration investment-grade bonds, TIPS, or dividend-paying blue-chip stocks). Arguments against a violation: The allocation to high-yield bonds was only 15% of the portfolio, with 85% remaining in conservative instruments including a substantial cash reserve. The fund was diversified across 180 positions with an average BB rating - the highest tier of high-yield - making it materially different from speculative-grade or distressed debt. The recommendation was driven by a specific, documented client need: bridging an anticipated healthcare cost gap. Ryan conducted a holistic analysis and kept the overall portfolio risk profile conservative. The 6.2% decline, while unwelcome, represents normal volatility for the asset class and amounts to approximately \$4,495 on a \$485,000 portfolio - less than 1% of total assets. Margaret signed a disclosure acknowledgment. The advisor had a reasonable basis for believing that some yield enhancement was necessary to meet the client's stated objectives, and a modest high-yield allocation within a diversified portfolio is a commonly accepted strategy even for conservative investors.

### Why Borderline

This scenario sits in a genuine gray area because the high-yield allocation was modest and well-reasoned in the context of the client's income needs, but it involved a product category that is inherently in tension with a self-described 'very conservative' client who explicitly said she could not afford losses. The question of whether a small, diversified high-yield allocation within an otherwise conservative portfolio crosses the line is one where experienced practitioners and regulators regularly disagree. The adequacy of the client's informed consent adds another layer of ambiguity.

### Borderline Factors

- The high-yield allocation was limited to 15% of total assets, with 85% in conservative instruments
- The fund held BB-rated bonds (highest tier of high-yield, one notch below investment grade) across 180 diversified positions

- Client explicitly stated she was 'very conservative' and 'could not afford to lose money'
- The recommendation was tied to a specific, documented income need (anticipated healthcare costs)
- Client signed an acknowledgment form but may not have fully understood the risk implications
- The actual loss was approximately \$4,495, or less than 1% of total portfolio value
- Alternative strategies existed that could have generated additional income without high-yield exposure (longer-duration investment-grade bonds, TIPS)
- The incremental yield over CDs was meaningful (\$5,655/year) but not so large that high-yield was the only viable option
- Client's age (71) and limited assets heighten scrutiny for any below-investment-grade recommendations

### Likely Outcome

This is a close call that would likely depend on the specific regulatory examiner or arbitration panel. A regulator might find that the recommendation was within the bounds of acceptable practice given the modest allocation size, diversification, documentation, and the client's genuine income need - but would likely criticize the consent process if it was indeed rushed. An arbitration panel could go either way but would probably not award full damages, potentially finding the advisor's overall portfolio construction reasonable while noting the tension with the client's stated risk tolerance. The most probable outcome is a negotiated settlement or a finding with modest sanctions, with the regulator emphasizing improved disclosure practices rather than characterizing the recommendation itself as fundamentally unsuitable.

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## Borderline Scenario 131

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability)* requires that a recommended transaction or investment

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### Fact Pattern

Margaret Caldwell, age 71, retired schoolteacher with a \$620,000 portfolio, met with her financial advisor, Derek Simmons, in March 2023 to discuss generating more income from her investments. Her account paperwork listed her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' and her annual income need from the portfolio as approximately \$30,000. She received \$22,800 annually from Social Security and had no pension. Her total living expenses were approximately \$48,000 per year. She had no significant debts and owned her home outright. She mentioned in a recorded phone call that she was 'tired of earning nothing on CDs' and wanted 'something that actually pays.' Derek recommended reallocating approximately 45% of her portfolio (\$279,000) from a mix of Treasury bonds and CDs into a combination of three funds: a high-yield corporate bond fund with an average yield of 6.8% and an expense ratio of 0.72%, a closed-end municipal bond fund trading at a 6% discount to NAV with a distribution rate of 5.9% and moderate leverage (approximately 30% leverage ratio), and a preferred stock fund yielding 6.2% with an expense ratio of 0.55%. The remaining 55% stayed in investment-grade bonds, a money market fund, and a small allocation to a balanced equity fund. The new allocation was projected to generate approximately \$34,500 in annual income, exceeding her stated need. Over the following 14 months, the high-yield bond fund declined 7.2% in value due to credit spread widening, while continuing to pay its distributions. The closed-end muni fund's discount widened to 12%, causing a price decline of about 9%, though its distributions also continued. The preferred stock fund dropped 5.8% as interest rates rose further. In total, Margaret's portfolio value declined to approximately \$567,000, a loss of about 8.5% despite receiving roughly \$38,000 in total distributions. Margaret filed a complaint alleging the investments were too

risky for a retiree who needed capital preservation. Derek's notes from the meeting indicated Margaret said she understood that higher yields come with more risk and that she specifically rejected his initial suggestion to simply ladder shorter-duration investment-grade corporate bonds because 'the yield isn't enough.' Margaret's daughter, who holds a CFA charter, later reviewed the portfolio and said the high-yield and leveraged CEF positions were inappropriate for her mother, though she acknowledged her mother had been vocal about wanting higher income.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Margaret was a 71-year-old retiree with limited income sources, making capital preservation critical. High-yield bonds carry meaningful credit risk, leveraged closed-end funds amplify both gains and losses and can experience significant NAV erosion in volatile rate environments, and preferred stocks are equity-like securities sensitive to interest rate movements. Allocating 45% of a retiree's portfolio to these yield-reaching instruments introduces substantially more risk than traditional income-generating investments. The 8.5% portfolio decline over 14 months is significant for someone who cannot easily replace lost capital. Her stated objective was 'income with capital preservation,' and the capital preservation element was arguably subordinated to income maximization. The leverage in the CEF is a particular concern, as leveraged products are generally viewed with skepticism for elderly, conservative investors. Arguments against a violation: The advisor did not put 100% of the portfolio into aggressive instruments - 55% remained in conservative holdings. The total portfolio generated income exceeding Margaret's stated needs, fulfilling her primary request. Margaret specifically rejected the more conservative alternative (laddered investment-grade corporates), and there is documentation showing she understood the risk-return tradeoff. Her risk tolerance was listed as 'moderate,' not 'conservative,' which provides some room for higher-yielding instruments. The products selected - while carrying more risk than Treasuries - are not exotic or speculative; they are widely used income vehicles. The portfolio losses were driven primarily by macroeconomic interest rate movements that affected nearly all fixed-income portfolios, not by idiosyncratic credit events. Furthermore, when distributions are included, Margaret's total return was approximately negative 2%, which is much less alarming than the headline decline. The overall asset allocation was within reasonable bounds for a moderate-risk income investor.

### Why Borderline

This case sits in a genuine gray zone because the advisor responded to a clear, documented client demand for higher income and preserved a majority conservative allocation, yet the specific instruments chosen - particularly the leveraged CEF and high-yield bond fund - carry risks that arguably exceed what a 71-year-old retiree with capital preservation as a co-objective should bear. The client's own rejection of a more conservative option complicates the analysis. Reasonable professionals could disagree about whether a 45% allocation to higher-yielding, higher-risk income products crosses the line for this investor profile, especially when 55% remained conservative and the income target was met.

### Borderline Factors

- Client explicitly rejected the more conservative alternative and documented desire for higher income
- Risk tolerance listed as 'moderate' rather than 'conservative,' providing ambiguity
- 45% allocation to higher-risk income products is substantial but not a majority of the portfolio
- Leveraged closed-end fund introduces structural risk beyond ordinary credit or rate risk

- Capital preservation was a co-equal stated objective alongside income generation
- Losses were driven largely by broad market rate movements, not product-specific failures
- Total return including distributions was roughly negative 2%, much less severe than price-only decline
- Client's age and inability to replace capital argue for more conservatism regardless of stated preferences

### Likely Outcome

A regulator would likely issue a cautionary letter or impose a modest fine but stop short of finding a clear-cut violation. The documentation of the client's preferences and her rejection of the conservative alternative significantly helps the advisor. However, the leveraged CEF position for a 71-year-old retiree needing capital preservation would attract the most scrutiny and could be viewed as a step too far. A regulator might conclude the high-yield fund and preferred stock fund were within the zone of reasonableness given the client's moderate risk tolerance and income needs, but that the leveraged CEF - representing roughly one-third of the reallocated amount - pushed the overall recommendation beyond what was appropriate. A settlement involving partial restitution on the CEF losses and enhanced supervision for the advisor is the most probable resolution.

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## Borderline Scenario 132

*Topic: market\_timing\_unsuitable | Standard: FINRA Rule 2111 (Suitability), particularly the quantitative suitability component (Rule 2*

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### Fact Pattern

Kevin Okafor, age 44, a software engineer earning \$195,000 per year, had a \$410,000 brokerage account with advisor Renee Castillo. His account documentation listed his investment objective as 'long-term growth,' risk tolerance as 'moderate-to-aggressive,' and time horizon as '15+ years.' Kevin was contributing \$2,500 monthly to the account. Between January and November 2023, Renee executed a series of 14 round-trip trades in and out of three broad-market equity ETFs and two sector ETFs (technology and healthcare). Each trade involved moving between 35% and 60% of the portfolio's equity allocation into money market positions for periods ranging from 8 to 31 days before re-entering the same or similar ETFs. Renee's documented rationale for each move referenced specific technical indicators - primarily moving average crossovers and relative strength index readings - and macroeconomic data points such as upcoming Federal Reserve meetings, employment reports, and earnings season volatility. The account's turnover rate for the year was approximately 3.1x. Total commissions and transaction costs across the 14 round trips amounted to \$6,840, or roughly 1.67% of the average account value during the period. The account's net return for the year was 11.3%, while a buy-and-hold position in a comparable broad-market ETF returned 18.7% over the same period. Kevin had signed a written acknowledgment at the start of the year that described Renee's 'tactical allocation' approach as involving 'periodic repositioning based on market conditions to manage downside risk,' and he received trade confirmations for each transaction. Kevin never objected to any trade during the year. In December 2023, Kevin reviewed his annual performance against the S&P 500 and filed a complaint alleging excessive trading and unsuitable market-timing activity. Renee pointed to three specific instances during the year where her defensive moves avoided drawdowns of 4.1%, 3.8%, and 2.9% respectively before the market recovered, and argued her strategy successfully reduced the portfolio's maximum drawdown from 11.2% (buy-and-hold) to 6.4%. She also noted that Kevin had discussed his concern about a potential recession during their March 2023 meeting and expressed interest in an approach that 'doesn't just ride things down.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The 14 round-trip trades in a single year in an account with a long-term growth objective and 15+ year time horizon strongly suggest the trading frequency was misaligned with the client's stated goals. A turnover rate of 3.1x is elevated for a growth-oriented account invested primarily in broad-market and sector ETFs that are designed to be held for extended periods, not actively traded. The 7.4 percentage point performance gap between the account and a simple buy-and-hold benchmark is significant - Kevin forfeited approximately \$30,000 in potential gains. The \$6,840 in commissions and costs, while not enormous in absolute terms, represents friction that compounds over time and was generated by a strategy with no demonstrable net benefit. Academic literature overwhelmingly shows that market timing based on technical indicators fails to consistently add value net of costs. The strategy's underlying premise - tactical repositioning in broad-market ETFs - conflicts with the long-term growth objective on the account paperwork. Arguments against a violation: Kevin explicitly acknowledged and consented to a tactical allocation approach at the start of the year. He received trade confirmations for every transaction and never objected. The strategy had a coherent, documented rationale for each trade rather than random or arbitrary activity. The advisor successfully reduced the portfolio's maximum drawdown from 11.2% to 6.4%, which is a meaningful risk management outcome - particularly for a client who expressed concern about recession risk and explicitly said he didn't want to 'ride things down.' The absolute return of 11.3% was positive and substantial, even if it underperformed buy-and-hold. The turnover rate of 3.1x, while elevated, is not extreme for an actively managed tactical strategy and falls below the 4-6x range more commonly associated with clear churning findings. The commissions of 1.67% of account value are below the 2% annual cost threshold that regulators have sometimes used as a reference point. Kevin's moderate-to-aggressive risk tolerance and high income suggest he could absorb both the costs and the opportunity cost of the strategy without financial hardship.

### Why Borderline

This scenario is genuinely ambiguous because it involves a documented tactical strategy with client consent and a rational basis that achieved positive returns and measurably reduced portfolio volatility, yet it materially underperformed a passive approach and generated meaningful transaction costs in an account designated for long-term growth. The tension between the client's stated long-term objective and his expressed desire for downside protection creates conflicting signals. The turnover rate and cost-to-equity ratio fall in the gray zone between clearly acceptable and clearly excessive levels. Reasonable regulators could disagree about whether the advisor's active approach was a legitimate risk management strategy or an unsuitable market-timing exercise that generated unnecessary costs.

### Borderline Factors

- Client signed written acknowledgment of the tactical allocation approach before trading began
- Client expressed desire for downside protection during a March meeting, partially contradicting pure long-term growth objective
- Turnover rate of 3.1x is elevated but below thresholds commonly associated with clear churning
- Total transaction costs of 1.67% of average account value are meaningful but not extreme
- Strategy demonstrably reduced maximum drawdown from 11.2% to 6.4%
- Account underperformed buy-and-hold by 7.4 percentage points - a significant opportunity cost

- Each trade had documented technical and macroeconomic rationale, not random activity
- Client never objected to trades during the year despite receiving confirmations
- Long-term growth objective and 15+ year time horizon argue against frequent trading
- Positive absolute return of 11.3% - the client made money, just less than he could have

### Likely Outcome

A regulator would likely view this as a close case and could go either way depending on the specific arbitration panel or enforcement staff. The most probable outcome is that the advisor would receive a finding of partial liability or a negotiated settlement. The documented consent, trade-by-trade rationale, and successful drawdown reduction provide meaningful defenses, but the 7.4% underperformance against a passive approach and the 14 round trips in a long-term growth account create a strong narrative of unsuitable activity. A panel might award partial damages reflecting the excess transaction costs (\$6,840) but decline to award the full performance differential, reasoning that the client consented to and benefited from some aspects of the risk-reduction strategy. Enhanced documentation requirements and possible heightened supervision for the advisor could also be imposed.

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## Borderline Scenario 133

*Topic: mutual\_fund\_switching\_churning | Standard: FINRA Rule 2111 (Suitability), including quantitative suitability under Rule 2111.*

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### Fact Pattern

Margaret Holloway, age 58, had been a client of advisor Derek Sands for seven years. She had a \$620,000 account primarily allocated to mutual funds, with a moderate growth objective and a stated retirement target of age 65. Over a 26-month period from January 2021 through February 2023, Sands recommended that Holloway switch between large-cap growth mutual funds on five separate occasions. The switches moved her from Fund A (expense ratio 0.72%) to Fund B (0.68%), then to Fund C (0.81%), then to Fund D (0.64%), then to Fund E (0.71%), and finally back to Fund A (which had lowered its expense ratio to 0.65%). Each switch involved Class A shares with front-end loads ranging from 3.25% to 4.50%, generating approximately \$67,400 in total sales charges over the period. Holloway's account value grew from \$620,000 to \$658,000 during this time, while the S&P 500 returned approximately 14% over the same period. Sands documented rationale for each switch: Fund B had a new management team with a strong track record; Fund C offered better sector diversification into technology; Fund D had outperformed its Morningstar category for the trailing three years; Fund E offered lower minimum investment thresholds for additional purchases; the return to Fund A was based on its reduced fee structure and improved performance metrics. Each fund was in the same Morningstar large-cap growth category, though they had modestly different sector weightings and sub-style tilts (e.g., one was more growth-at-a-reasonable-price oriented while another was pure momentum growth). Holloway signed switch letters for each transaction acknowledging the costs. She later told an examiner that she trusted Sands and 'didn't really understand the difference between the funds' but believed he was 'keeping her in the best one at any given time.' Sands earned approximately \$28,500 in commissions across these switches. Sands' branch manager reviewed and approved three of the five switches but noted in an internal email that 'the switching frequency is approaching a level that warrants closer monitoring.' The branch manager did not halt any transactions. Sands argues that each individual switch was justified by changed circumstances - new management, performance shifts, or fee reductions - and that the cumulative view is misleading because



each decision was made independently based on the best available information at the time.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case presents classic mutual fund switching concerns but with several complicating factors. On the side suggesting a violation: Five switches in 26 months among funds in the same Morningstar category generated \$67,400 in sales charges - over 10% of the initial account value - while the account significantly underperformed its benchmark. The funds were substantially similar, all being large-cap growth funds, suggesting the switches did not materially change Holloway's investment exposure. The client's own testimony suggests she lacked the sophistication to evaluate the switches independently. Under FINRA Rule 2111 and its supplementary material on quantitative suitability, a pattern of switching that generates costs disproportionate to benefits can constitute an implicit recommendation to engage in excessive activity. FINRA Regulatory Notice 12-25 specifically addresses mutual fund switching as a priority concern. The cost-to-equity ratio created by the front-end loads alone is significant. Under Regulation Best Interest's care obligation, an advisor must consider reasonably available alternatives, and lower-cost share classes, no-load equivalents, or simply holding the existing position were all available options. On the side of the advisor: Each switch had a documented, facially reasonable justification - management changes, performance differentials, fee reductions. The funds, while in the same broad category, had different sub-style tilts and sector exposures that could represent meaningful tactical allocation differences. Sands maintained contemporaneous documentation. The client signed switch letters. The final switch to Fund A at a lower expense ratio arguably left her in a better cost position than where she started. The five switches over 26 months, while frequent, do not reach the most egregious switching patterns that typically result in enforcement. The branch manager approved most transactions, suggesting some institutional validation. The annualized turnover rate, while elevated, could be argued as reflecting a dynamic investment environment during a period of significant market volatility and sector rotation.

### Why Borderline

This case sits in the gray zone because there are documented, non-pretextual reasons for each individual switch, but the cumulative pattern resulted in significant costs relative to the account size and the similarity of the funds. The question of whether five switches over 26 months constitutes 'excessive' switching in the same fund category does not have a bright-line answer. The existence of some style and sector differences between the funds makes it harder to dismiss the switches as purely duplicative, but the differences may not have been material enough to justify \$67,400 in sales charges. The client's consent, while documented, is undercut by her apparent lack of understanding.

### Borderline Factors

- Five switches in 26 months is frequent but not extreme compared to the most egregious cases
- Each switch had a documented rationale tied to identifiable fund-specific changes
- Total sales charges of \$67,400 (10.9% of initial account value) are significant but spread over 26 months
  - All funds were in the same broad Morningstar category but had different sub-style tilts and sector weightings
- Client signed switch letters but admitted limited understanding of the differences between funds
- Account still showed a modest positive return despite underperforming the benchmark
- Branch manager approved most switches but flagged the pattern internally without halting it

- The final switch arguably left the client in a lower-cost fund than where she started

### Likely Outcome

A regulator would likely find a violation, but the sanctions would probably be moderate rather than severe. The cumulative cost burden of over 10% of the account value from switches among substantially similar funds is difficult to justify regardless of the individual rationales. FINRA has historically viewed mutual fund switching in the same asset class category with skepticism, particularly when front-end loads are repeatedly incurred. However, the documented rationales and branch approval would likely mitigate penalties. The advisor would probably face a fine in the range of \$15,000-\$30,000, disgorgement of some portion of the commissions, and possibly a short suspension (30-60 days), rather than a bar. The branch manager might also face supervisory charges for failing to act on the identified pattern.

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## Borderline Scenario 134

*Topic: excessive\_churning | Standard: FINRA Rule 2111 (Suitability), specifically quantitative suitability under supplementary material*

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### Fact Pattern

Victor Nascimento, age 44, was a senior software engineer earning \$285,000 annually. He opened a brokerage account with advisor Elaine Chow in March 2020 with an initial deposit of \$410,000 from stock option proceeds. Nascimento indicated on his new account form that he had 'extensive' investment experience, a 'speculative' risk tolerance, a 10+ year investment horizon, and an objective of 'aggressive growth.' He told Chow during their initial meeting - which Chow memorialized in her notes - that he wanted 'active management to take advantage of market swings' and specifically said he 'didn't want a buy-and-hold strategy.' Over the next 18 months, from March 2020 through September 2021, Chow executed 174 trades in the account, primarily in individual equities and leveraged ETFs. The account had an annualized turnover rate of 5.8 and a cost-to-equity ratio of 14.2%. Total commissions and trading costs were approximately \$58,300. The account value grew from \$410,000 to \$497,000 during this period, representing a gain of approximately 21.2%. However, the S&P 500 returned approximately 68% during the same period (March 2020 was near the pandemic market bottom). Chow's trading pattern showed clusters of activity: approximately 40% of the trades occurred during three periods of significant market volatility (March-April 2020, October-November 2020, and January-February 2021), with lighter activity in calmer markets. Many trades involved short holding periods - an average of 11 trading days - but approximately 30 positions were held for 60 days or more. Nascimento received trade confirmations and monthly statements throughout and never complained about the trading activity. He communicated with Chow approximately twice per month by phone or email, and records show he occasionally suggested specific stocks or sectors he was interested in, though Chow made the final trading decisions on timing and position sizing. In October 2021, Nascimento's account was flagged during a routine compliance review. Chow argues that the active trading strategy was exactly what the client requested, that the client was sophisticated enough to understand and monitor the strategy, that the account was profitable, and that the high turnover was partially driven by the extraordinarily volatile market conditions during the pandemic recovery. She also notes that approximately 15% of trades were initiated at the client's specific suggestion.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This scenario raises the classic churning analysis but with meaningful countervailing factors. Arguments supporting a violation: The quantitative metrics are elevated. A turnover rate of 5.8 is above the threshold of 6 that many regulators treat as presumptively excessive, though it falls slightly below it. However, some enforcement proceedings have found churning at turnover rates of 4 or lower when combined with high cost-to-equity ratios. The 14.2% cost-to-equity ratio means the account needed to generate over 14% in returns just to break even on costs, which is significant by any measure. Under the framework established in numerous FINRA arbitrations and SEC proceedings, a cost-to-equity ratio above 12% has frequently been deemed excessive. The account's 21.2% return dramatically underperformed the 68% return of the S&P 500, suggesting that the active strategy destroyed substantial value relative to a simple indexed approach. The average 11-day holding period, while not extreme for a trading-oriented account, suggests a pattern of rapid turnover inconsistent with investment-grade analysis. Arguments against a violation: The client specifically and clearly requested an active trading strategy and expressly rejected buy-and-hold. Nascimento was a high-income, self-described experienced investor with a speculative risk tolerance - exactly the type of client for whom active trading might be appropriate. The account was profitable in absolute terms. The client received regular communications, never complained, and even occasionally initiated trade ideas. Under FINRA Rule 2111.05(c), the control element of churning requires that the advisor exercised de facto control, which is complicated here by the client's active participation. However, de facto control can still be found even where clients participate, particularly where the advisor makes final execution decisions. Under Regulation Best Interest, the analysis shifts somewhat because the standard doesn't require proving control - it requires that the recommendation pattern be in the customer's best interest considering costs and available alternatives. The comparison to the S&P 500 is somewhat unfair as it captures a generational market recovery from pandemic lows, and any active strategy would likely have underperformed a fully invested index. However, the magnitude of the underperformance is striking.

### Why Borderline

The case is genuinely borderline because the quantitative metrics - while elevated - straddle key thresholds rather than clearly exceeding them. The turnover rate of 5.8 falls just below the commonly cited presumptive threshold of 6. More importantly, the client's clearly expressed preference for active trading, his sophisticated profile, his ongoing participation, and the account's absolute profitability create legitimate defenses. The core tension is between respecting client autonomy (a sophisticated client asked for exactly this type of strategy) and the professional obligation to ensure that the execution of that strategy does not generate costs that overwhelm any reasonable prospect of benefit. The pandemic-era market conditions add further complexity, as both the volatility that arguably justified active trading and the massive bull market that made any active strategy look poor by comparison were extraordinary and unlikely to repeat.

### Borderline Factors

- Turnover rate of 5.8 falls just below the commonly used presumptive threshold of 6
- Cost-to-equity ratio of 14.2% is high but the account was still profitable in absolute terms
- Client explicitly requested active trading and rejected buy-and-hold in documented communications
- Client had speculative risk tolerance, extensive experience, and high income
- Client participated in approximately 15% of trade ideas and communicated regularly with advisor
- Significant underperformance vs. benchmark, but during an extraordinary market recovery period
- Trading was clustered around periods of genuine market volatility rather than uniformly distributed
- Client never complained about trading activity despite receiving all confirmations and statements

- Advisor exercised final control over timing and sizing despite some client input

### Likely Outcome

This case would likely result in a close call for regulators, and the outcome could vary depending on the forum. In a FINRA arbitration, the panel would likely weigh the client's express instructions and sophistication heavily, potentially finding no churning violation but possibly awarding some damages based on the cost-to-equity ratio analysis. In a FINRA enforcement action, the elevated cost-to-equity ratio and significant benchmark underperformance would likely lead to a finding of quantitative unsuitability, but with mitigated sanctions reflecting the client's profile and stated preferences. A likely resolution would be a modest fine (\$10,000-\$25,000), partial disgorgement of excess commissions, and a letter of caution rather than a suspension. If analyzed under Regulation Best Interest, a regulator might focus on whether the advisor considered lower-cost alternatives for executing the active strategy the client wanted (e.g., lower-commission platforms, commission-free ETFs), rather than on the activity level per se.

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## Borderline Scenario 135

*Topic: alternative\_investments\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended investment be su*

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### Fact Pattern

Margaret Dawson, age 62, is a retired school principal with a \$1.4 million portfolio, a state pension providing \$68,000 annually, and Social Security income of \$28,000 per year. She told her advisor, Kevin Reilly, that she wanted to 'keep up with inflation and maybe grow a little' but also wanted to avoid anything that would keep her up at night. Her risk tolerance questionnaire scored her as 'moderate,' and she indicated a 10-15 year investment horizon since she planned to leave a legacy to her three grandchildren's education funds. In March 2021, Reilly recommended she allocate \$210,000 (15% of her portfolio) to a multi-strategy hedge fund that employed long/short equity, event-driven, and managed futures strategies. The fund had a 2% management fee and a 20% performance fee, a two-year lock-up period, and quarterly redemption windows thereafter with 90 days' notice. Reilly explained the lock-up, the fee structure, and the fund's historical volatility, which was roughly 60% of the S&P 500's volatility over the prior five years. The fund's five-year annualized return was 7.2% net of fees. Dawson signed all disclosure documents, including an acknowledgment of the illiquidity terms and the accredited investor verification. The rest of her portfolio was allocated to a mix of intermediate-term bond funds (40%), large-cap equity index funds (30%), and money market (15%). In late 2022, Dawson's daughter was diagnosed with a serious illness, and Dawson wanted to access the hedge fund money to help with medical expenses. She was unable to redeem due to the lock-up period and filed a complaint, alleging the investment was too complex, too expensive, and too illiquid for a retiree. Reilly countered that the allocation was modest, her pension and Social Security covered all living expenses with a surplus, the fund provided diversification and downside protection, and Dawson had been fully informed before investing. Notably, at the time of the recommendation, Dawson had mentioned she might eventually want to help her daughter buy a home but described this as 'not urgent, maybe in five or six years.'

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reilly violated his obligations: (1) A 62-year-old retiree arguably should not have 15% of her portfolio in an illiquid hedge fund with a two-year lock-up, even with adequate pension income, because retirees generally have shorter effective time horizons due to unpredictable health and family needs. (2) The 2-and-20 fee structure is among the most expensive in the investment universe, and less costly alternatives-such as liquid alternative mutual funds or low-volatility equity strategies-could have provided similar risk-adjusted returns without the illiquidity constraints. (3) Dawson's stated desire to 'avoid anything that would keep her up at night' arguably signals a preference for simplicity and accessibility, which a hedge fund with complex multi-strategy approaches does not satisfy. (4) Her mention of potentially helping her daughter buy a home suggests a need for liquidity flexibility that the lock-up directly impaired. Arguments that Reilly acted appropriately: (1) At 15% of the portfolio, the allocation was within commonly accepted ranges for alternative investments for moderate-risk investors with long time horizons. (2) Dawson's pension and Social Security exceeded her living expenses, meaning the invested assets were genuinely long-term capital earmarked for legacy purposes 10-15 years out. (3) The fund's lower volatility profile and diversification benefits aligned with her desire for inflation protection and moderate growth without excessive risk. (4) Dawson was fully informed of the lock-up, fees, and complexity, signed all disclosures, and met accredited investor standards. (5) The daughter's illness was an unforeseeable event that does not retroactively make a recommendation unsuitable. (6) The 85% of her portfolio in liquid investments provided ample emergency reserves. Under FINRA Rule 2111 (Suitability) and Regulation Best Interest, the advisor must have a reasonable basis for the recommendation, consider the customer's investment profile, and not place his interests ahead of the customer's. The quantitative suitability prong is less relevant here. The key question is whether a reasonable advisor would have concluded that this hedge fund allocation was suitable and in the best interest of this particular client given her full profile.

### Why Borderline

This case is genuinely ambiguous because the allocation size was moderate, the client had strong income coverage and a long stated time horizon, and she was fully informed-all factors supporting suitability. However, the high fees, illiquidity lock-up, and the client's age and expressed preference for peace of mind all cut the other way. The unforeseen family emergency highlights the liquidity risk but does not by itself establish unsuitability at the time of the recommendation. Reasonable practitioners disagree about whether 15% in illiquid alternatives is appropriate for any retiree, regardless of income stability.

### Borderline Factors

- 15% allocation is within common industry guidelines for alternatives but potentially high for a 62-year-old retiree
- Strong pension and Social Security income covering living expenses reduces but does not eliminate liquidity concerns
- Two-year lock-up period creates meaningful illiquidity risk for someone in retirement
- 2-and-20 fee structure raises cost concerns when lower-cost liquid alternatives exist
- Client's stated 10-15 year horizon for legacy purposes supports longer-term investments
- Client expressed preference for investments that would not cause anxiety, which arguably conflicts with complex hedge fund strategies
- Client mentioned possible future need to help daughter-vague but suggestive of liquidity preference
- Full disclosure was provided and acknowledged by the client
- The triggering event (daughter's illness) was unforeseeable at the time of recommendation

### Likely Outcome

A regulator would likely find this a close case but would probably not pursue a formal enforcement action, instead potentially issuing a cautionary letter or requiring enhanced supervisory procedures. The 15% allocation, while on the higher end for a retiree, is defensible given the client's strong income, long stated horizon, and full disclosure. However, a FINRA arbitration panel hearing the customer complaint might award partial damages, particularly given the high fee structure and the availability of lower-cost alternatives that could have achieved similar objectives. The outcome could hinge on whether the panel focuses on the recommendation's reasonableness at the time it was made or on the foreseeable risk that a retiree might need liquidity sooner than planned.

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### Borderline Scenario 136

Topic: *private\_placements\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations-reasonable-bas*

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### Fact Pattern

Dr. Samuel Okafor, age 48, is an orthopedic surgeon earning approximately \$620,000 annually with a net worth of \$3.8 million, of which roughly \$2.1 million is in investable assets (excluding his home and practice equity). He has been a client of advisor Lisa Trent for four years. Over that period, Trent helped him build a diversified portfolio of index funds and individual bonds. In September 2022, Trent recommended that Okafor invest \$300,000 in a private placement offering from a real estate development company focused on building medical office complexes in mid-sized Southeastern cities. The offering was structured as a limited partnership interest with a projected 8-10% annual cash distribution and a target IRR of 15-18% over a projected seven-year hold period. The minimum investment was \$250,000, and the offering memorandum disclosed significant risks including construction delays, tenant vacancy, interest rate sensitivity, and total loss of principal. There was no secondary market for the LP interests, and investors could not redeem before the partnership's dissolution. Trent recommended the investment partly because Okafor had expressed strong interest in real estate, had mentioned wanting to eventually own medical office space himself, and had told her he was 'comfortable being aggressive with money I don't need for ten years.' He also said he wanted tax-advantaged investments to offset his high income, and the partnership offered depreciation pass-throughs. Okafor's existing portfolio contained no alternative investments or real estate exposure beyond his personal residence. After investing, the development company encountered significant cost overruns and tenant leasing challenges due to rising interest rates. By mid-2024, the partnership had made only one distribution of 3% and communicated to investors that projected returns would likely be substantially lower than originally marketed. Okafor complained that Trent should not have recommended such a large, illiquid, single-operator private placement, arguing that \$300,000 represented about 14% of his investable assets concentrated in one illiquid deal with no track record of completed projects. Trent responded that Okafor was a high-income sophisticated investor who specifically wanted real estate exposure and tax benefits, that the 14% allocation was reasonable for someone with his income and long time horizon, and that she had thoroughly reviewed the offering memorandum with him, including all risk factors. She also noted that the development company's principals had 20 years of commercial real estate experience, though this was their first offering structured as a private placement to outside investors.

### Question



Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a finding of violation: (1) Concentrating 14% of investable assets in a single private placement with a first-time fund sponsor creates significant concentration and operator risk. Even though the principals had real estate experience, their lack of track record managing outside investor capital in a fund structure is a material risk factor. (2) The \$300,000 investment in a completely illiquid seven-year vehicle leaves Okafor with no ability to exit if circumstances change, and at nearly the minimum investment threshold, there was no room to scale down while still participating. (3) A diversified real estate investment trust (REIT) or a real estate-focused interval fund could have provided real estate exposure and some tax benefits with significantly more liquidity and diversification across properties and operators. (4) Under a best interest standard, recommending a higher-cost, higher-risk, less liquid product when alternatives exist that address the same client objectives requires strong justification. (5) Trent earned a placement fee (typically 6-8% on private placements), creating a potential conflict of interest that should weigh against her in the analysis. Arguments supporting Trent's conduct: (1) Okafor is a high-income, high-net-worth physician in his peak earning years with a long investment horizon—precisely the type of investor for whom private placements are designed. (2) He specifically requested real estate exposure, expressed comfort with aggressive long-term investing, and wanted tax-advantaged strategies—the recommendation was directly responsive to stated objectives. (3) A 14% allocation to real estate in a portfolio that previously had zero real estate exposure represents a reasonable diversification step, not reckless concentration. (4) The risk disclosures were thorough, and Okafor is a sophisticated professional capable of evaluating investment risks. (5) The partnership's underperformance resulted from macroeconomic conditions (rising interest rates) that were not fully predictable at the time of the recommendation and do not retroactively make the recommendation unsuitable. (6) Okafor's remaining \$1.8 million in liquid investments, combined with his \$620,000 annual income, provided substantial financial cushion.

### Why Borderline

This scenario sits in a genuine gray area because Okafor has the financial profile, sophistication, and stated objectives that align well with private placement investing. However, the specific product had notable red flags—a first-time fund sponsor, complete illiquidity for seven years, and a concentrated single-strategy bet—that a reasonable advisor might have weighed differently. The availability of more liquid real estate investment alternatives that could have partially met the same objectives further complicates the analysis. Reasonable regulators could disagree about whether 14% in a single illiquid deal crosses the line or falls within the range of acceptable professional judgment for this client profile.

### Borderline Factors

- 14% of investable assets in one illiquid private placement is aggressive but not extreme for a high-income investor
- First-time fund sponsor with experienced principals creates ambiguous operator risk
- Client specifically requested real estate exposure and tax-advantaged investments
- Client expressed comfort with aggressive investing over a 10+ year horizon
- More liquid alternatives (REITs, interval funds) existed but may not have provided equivalent tax benefits
- Seven-year illiquidity with no redemption mechanism is a significant constraint
- Advisor's placement fee creates a conflict of interest but does not alone establish a violation
- Client's high ongoing income (\$620,000/year) substantially mitigates liquidity risk

- Investment underperformance was driven partly by unforeseeable macroeconomic shifts
- No prior alternative investment experience in the client's portfolio-first exposure was a concentrated private placement

### Likely Outcome

A regulator would likely scrutinize this recommendation closely but would probably not bring a formal action if documentation showed thorough due diligence on the sponsor, adequate disclosure of all risks and conflicts (including the placement fee), and a reasonable basis for the recommendation tied to the client's specific profile and objectives. However, an arbitration panel might find partial liability, particularly if the advisor cannot demonstrate that she conducted independent due diligence on the first-time sponsor beyond reviewing the offering memorandum, or if the placement fee was not clearly disclosed. The outcome would likely turn on whether the advisor can show she considered and discussed more liquid alternatives with the client and had articulable reasons for recommending this specific placement over those alternatives.

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## Borderline Scenario 137

Topic: *market\_timing\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)*, including the quantitative suitability obligation addressing

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### Fact Pattern

Gerald Hutchins, age 58, is a senior project manager earning \$145,000 annually with a \$620,000 portfolio held across two accounts - a taxable brokerage account (\$380,000) and a traditional IRA (\$240,000). His stated investment objective on account documents was 'growth with moderate risk,' and his time horizon was listed as 10-15 years until retirement. Gerald had moderate investment experience, having managed index funds on his own for roughly a decade before engaging his advisor, Ryan Pasko, in January 2022. Gerald told Ryan during their initial meeting that he was 'tired of watching the market bounce around and doing nothing' and asked Ryan to 'be more tactical' with his money. Ryan documented this conversation in his CRM notes. Over the next 18 months, Ryan executed 47 trades in the taxable brokerage account, primarily rotating between sector-specific equity ETFs and a money market fund. The strategy involved moving significant portions of the portfolio into cash or defensive sectors ahead of anticipated Federal Reserve announcements and economic data releases, then rotating back into growth-oriented sector ETFs afterward. The annualized turnover rate in the taxable account was approximately 4.2x. The IRA account, by contrast, saw only 6 trades during the same period and maintained a relatively stable allocation. The taxable account generated approximately \$11,400 in total transaction costs (commissions and ETF spreads), representing roughly 3% of that account's starting value over 18 months. The account's net return after all costs was +6.8% over the 18-month period, compared to +9.1% for a blended benchmark of 70% S&P 500 / 30% Bloomberg Aggregate Bond Index over the same period. However, the account's maximum drawdown was -8.2%, versus -14.6% for the benchmark. Gerald received monthly account statements and trade confirmations for every transaction throughout the period, and he never objected to any specific trade. In March 2023, Gerald emailed Ryan saying, 'I appreciate you keeping my losses small during the downturn last year - that helped me sleep at night.' However, after reviewing his year-end tax statement showing \$38,000 in short-term capital gains that pushed him into a higher tax bracket, Gerald filed a complaint alleging that Ryan engaged in excessive market timing that was unsuitable given his moderate risk tolerance and long time horizon, and that the tax consequences were never adequately explained.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ryan violated his obligations: The 4.2x annualized turnover rate in the taxable account is elevated and suggestive of excessive trading, particularly for a client with a moderate risk profile and a 10-15 year time horizon. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, turnover ratios above 4x have historically drawn scrutiny, though no bright-line rule exists. The strategy underperformed its benchmark by approximately 230 basis points over 18 months, and the short-term capital gains tax liability of \$38,000 significantly eroded Gerald's after-tax returns. A long-term, moderate-risk investor arguably should not have been subjected to a high-frequency tactical rotation strategy in a taxable account, where the tax drag is most punishing. Under Regulation Best Interest, a broker-dealer must consider reasonably available alternatives; a lower-cost, more tax-efficient approach (such as the strategy used in the IRA) could have been applied to both accounts. The fact that Ryan treated the two accounts so differently raises questions about whether the taxable account strategy was truly in Gerald's interest or was driven by commission generation. Arguments that Ryan acted appropriately: Gerald explicitly requested a more 'tactical' approach and expressed dissatisfaction with passive management. Ryan documented this request. The client's own words - wanting to avoid watching the market 'bounce around and doing nothing' - suggest informed consent to a more active strategy. The strategy achieved its apparent goal of downside protection, with a maximum drawdown nearly half that of the benchmark (-8.2% vs. -14.6%). Gerald's March 2023 email expressing gratitude for limited losses constitutes contemporaneous evidence of satisfaction with the approach. The \$11,400 in total costs over 18 months, while material, is not egregious for an actively managed taxable account. Gerald received all trade confirmations and statements without objection. The turnover ratio of 4.2x, while elevated, falls in a gray zone rather than an obviously excessive range, particularly for a sector-rotation ETF strategy where individual transaction costs are relatively low. The differential treatment of the IRA (low turnover) versus the taxable account could reflect a deliberate barbell approach rather than commission motivation.

### Why Borderline

This scenario is genuinely ambiguous because the client explicitly asked for tactical management, expressed satisfaction during the period, and the strategy did achieve meaningful downside protection - a legitimate investment objective. However, the 4.2x turnover rate, benchmark underperformance, and severe tax consequences in a taxable account for a moderate-risk, long-horizon investor all raise legitimate suitability concerns. The core tension is between respecting a client's stated preference for active management and the advisor's independent obligation to ensure the overall strategy - including its tax and cost implications - is suitable regardless of the client's request.

### Borderline Factors

- Turnover ratio of 4.2x falls in the ambiguous zone - elevated but not clearly excessive for an ETF-based tactical strategy
- Client explicitly requested a tactical, active approach and documented satisfaction during the engagement
- Strategy underperformed the benchmark on a gross basis but achieved meaningfully lower maximum drawdown
- Significant tax consequences (\$38,000 in short-term gains) were generated in a taxable account where

tax efficiency should have been a consideration

- Differential treatment of taxable vs. IRA account raises questions but could also reflect reasonable account-level customization

- Client received all trade confirmations and statements for 18 months without objection

- Total transaction costs of ~3% over 18 months are material but not extreme for active management

### Likely Outcome

A regulator would likely issue a cautionary action or seek a modest settlement rather than pursue a full enforcement action. The documented client request for tactical management and the contemporaneous satisfaction email significantly weaken the case, but the failure to adequately address tax implications in a taxable account and the elevated turnover rate would likely result in a finding that Ryan should have done more to explain the costs and tax consequences, or should have implemented the tactical strategy differently in the taxable account (e.g., using tax-loss harvesting, longer holding periods, or concentrating tactical activity in the IRA). A likely outcome is a letter of caution, enhanced supervision requirements, and potentially partial restitution for the excess tax liability.

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## Borderline Scenario 138

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, and quant*

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### Fact Pattern

Margaret and Douglas Reinhart, both age 67, retired in June 2021 with combined retirement savings of \$1.85 million. Their primary income sources were Social Security (\$4,200/month combined) and a small pension from Margaret's former employer (\$1,100/month). They needed approximately \$3,500/month from their portfolio to cover living expenses, property taxes, and healthcare premiums not covered by Medicare. During their initial meeting with advisor Cynthia Draper in August 2021, they emphasized capital preservation and income generation. Their risk tolerance questionnaire scored them as 'conservative,' and their investment policy statement listed the primary objective as 'generate reliable income while preserving principal over a 20+ year retirement horizon.' Cynthia allocated approximately 72% of their portfolio (\$1.33 million) to fixed income. Of that fixed-income allocation, roughly \$890,000 (67% of the bond portfolio, or 48% of total assets) was invested in long-duration Treasury bonds and investment-grade corporate bonds with maturities ranging from 15 to 28 years, carrying an average effective duration of approximately 14.5 years. The remaining \$440,000 in fixed income was allocated to intermediate-term bond funds (duration ~5 years) and a short-term Treasury ladder maturing within 3 years. The equity allocation of \$520,000 (28%) was invested in dividend-paying blue-chip stocks and a utilities ETF. Cynthia's rationale, documented in a meeting summary, was that long-duration bonds offered a yield of approximately 2.8% at the time of purchase, significantly higher than the 0.5-1.2% available on short-term instruments, and that locking in these yields would provide the Reinharts with a more stable and predictable income stream over their multi-decade retirement. She noted that the couple did not anticipate large lump-sum needs beyond their monthly withdrawals and had a separate emergency fund of \$45,000 in a savings account. By December 2022, after aggressive interest rate increases, the long-duration bond positions had declined in market value by approximately 28%, resulting in unrealized losses of roughly \$249,000 on the long-duration portion. The total portfolio value had fallen to approximately \$1.52 million. The Reinharts' monthly income distributions from the bonds continued uninterrupted at the same dollar amounts, and they had not needed

to sell any positions. However, Douglas was diagnosed with early-stage Parkinson's disease in October 2022, creating potential future needs for long-term care that were not anticipated at the time of the initial investment. In January 2023, the Reinharts filed a complaint alleging that Cynthia invested far too heavily in long-duration bonds for retirees who needed capital preservation, exposing them to unnecessary interest rate risk that devastated their portfolio value and now limits their ability to reposition for potential healthcare costs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Cynthia violated her obligations: Allocating 48% of total assets (and 67% of the fixed-income portfolio) to bonds with an average duration of 14.5 years exposed a conservative, retired couple to substantial interest rate risk. For conservative retirees whose primary objective was capital preservation alongside income, such a heavy concentration in long-duration bonds is arguably inconsistent with the stated objectives. Duration risk is a well-understood concept, and a 14.5-year average duration means that for every 1% rise in interest rates, the portfolio would lose approximately 14.5% in market value - a risk profile more consistent with aggressive or growth-oriented investing than with capital preservation. Under FINRA Rule 2111's reasonable-basis suitability prong, an advisor must understand the risks of a recommended strategy; under the customer-specific prong, the strategy must align with the customer's profile. The Reinharts were 67, had limited income sources, and needed their portfolio to last 20+ years. A more laddered or barbell approach with shorter average duration would have provided meaningful income while substantially reducing interest rate exposure. The \$249,000 unrealized loss represents 13.5% of the original portfolio and has materially impaired the Reinharts' financial flexibility, particularly in light of Douglas's new health diagnosis. Under Reg BI's Care Obligation, Cynthia was required to consider the risks and potential consequences, and reasonable alternatives like intermediate-duration bonds or a more balanced duration ladder were readily available. Arguments that Cynthia acted appropriately: The investment was made in the context of a 20+ year retirement horizon, which arguably justifies holding long-duration bonds - if held to maturity, the Reinharts will receive full principal and the promised coupon payments. The losses are unrealized; no bonds have been sold, and income distributions have continued without interruption. Cynthia documented a reasonable rationale: in August 2021, short-term rates were near zero, and locking in 2.8% yields on long-duration bonds was a defensible strategy for income maximization. The portfolio also included \$440,000 in shorter-duration bonds and a \$45,000 emergency fund, providing meaningful liquidity. The Reinharts did not identify any anticipated large lump-sum needs at the time of investment. The subsequent Parkinson's diagnosis was an unforeseeable life event that changed the couple's circumstances after the investment was made. A 72% fixed-income / 28% equity allocation is broadly appropriate for conservative retirees. The real question is whether the duration mix within the fixed-income allocation crossed the line, and reasonable professionals could disagree about the optimal duration profile for a 20+ year retirement income portfolio. Some retirement income specialists advocate for precisely this type of long-duration bond strategy to lock in predictable cash flows over a long horizon.

### Why Borderline

This case sits in a genuine gray zone because the strategy has a legitimate theoretical foundation - matching long-duration assets to a long retirement horizon and locking in higher yields when short-term

rates were near zero. The income stream has remained intact, and the losses are unrealized. However, the magnitude of the duration exposure (14.5 years average, 48% of total portfolio) for conservative retirees is aggressive relative to their stated capital preservation objective, and the interest rate risk was knowable and quantifiable at the time of investment. The unforeseen health diagnosis adds emotional weight to the complaint but may not be legally relevant to the suitability analysis as of the investment date. The core question - whether a long-duration bond strategy is 'conservative' or 'risky' for retirees - is one on which investment professionals genuinely hold differing views.

### Borderline Factors

- Duration of 14.5 years is high for conservative retirees but arguably matches their 20+ year time horizon if bonds are held to maturity
- The yield pickup from long-duration bonds (2.8% vs. ~0.5-1.2%) was substantial and directly served the income objective
- Unrealized losses of \$249,000 (28% on long bonds) are significant but no positions were sold and income continued uninterrupted
- Capital preservation objective arguably conflicts with high duration exposure, even if the bonds will return par at maturity
- A \$45,000 emergency fund and \$440,000 in shorter-duration bonds provided meaningful but potentially insufficient liquidity
- Douglas's Parkinson's diagnosis was unforeseeable and changed the couple's risk profile after the investment was made
- Advisor documented her rationale and the strategy has legitimate support among retirement income planning practitioners
- The distinction between 'mark-to-market' risk and 'hold-to-maturity' safety is conceptually valid but practically challenging for retirees who may need to liquidate

### Likely Outcome

A regulator would likely view this as a close case and might pursue it as a supervisory or suitability concern rather than a fraud case. The most probable outcome is a negotiated settlement or arbitration award that provides partial restitution - perhaps covering the incremental losses attributable to the excess duration beyond what a more moderate fixed-income allocation would have experienced. A panel might find that while a significant fixed-income allocation was appropriate, the concentration in very long-duration bonds (67% of fixed income at 14.5 years duration) exceeded what was suitable for the Reinharts' conservative profile, even accounting for their long time horizon. However, the documented rationale, the client's agreement at the time, and the continuation of income payments would mitigate damages. The Parkinson's diagnosis would likely be considered relevant to damages (what the clients now need) but not to the liability analysis as of the investment date.

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## Borderline Scenario 139

*Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the*

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### Fact Pattern

Margaret Holloway, age 74, had been a client of financial advisor David Reinhart for eleven years. She had



a portfolio worth approximately \$1.35 million, consisting primarily of municipal bonds, blue-chip dividend stocks, and a money market account. Her stated investment objectives were income generation and capital preservation. She received approximately \$2,800 per month in Social Security and had no pension. Her annual living expenses were roughly \$58,000. She had no mortgage and lived independently in her own home. In March 2023, Margaret's husband of 49 years passed away, and she received \$410,000 in life insurance proceeds. Two weeks after the funeral, Margaret called David and told him she wanted to 'do something meaningful' with the insurance money. She mentioned wanting to help fund her three grandchildren's college education and said her neighbor had been telling her about investing in a technology-focused growth fund that had returned 28% the prior year. David met with Margaret in person at her home. His notes from the meeting indicate she appeared lucid, engaged, and emotionally composed. He discussed the risks of concentrated growth investing but noted that Margaret was 'insistent on growth-oriented investments for the grandchildren's benefit.' David recommended allocating \$280,000 of the insurance proceeds into a diversified growth equity portfolio - split across a large-cap growth fund, a mid-cap technology ETF, and a small-cap innovation fund - with the remaining \$130,000 going into a balanced fund. He updated her account paperwork to reflect a secondary objective of 'growth' alongside her existing 'income and preservation' objectives. Margaret signed all updated forms. Over the following nine months, the growth portion of the portfolio declined approximately 19%, losing roughly \$53,000 in value. Margaret's daughter, Karen, discovered the new investments during a visit in January 2024 and filed a complaint, alleging that David had taken advantage of her grieving mother by putting nearly 70% of the insurance money into risky growth investments that were inappropriate for a 74-year-old retiree living on fixed income. Karen also noted that Margaret had been diagnosed with mild cognitive impairment in August 2023, five months after the investments were made, and argued that signs of cognitive decline may have been present earlier. David countered that Margaret was fully competent at the time of the meeting, that the growth investments were specifically earmarked for the grandchildren (the youngest of whom was 8, giving a 10-year time horizon), that the investments represented only about 16% of Margaret's total investable assets when including the full \$1.35 million portfolio, and that Margaret's core income-generating portfolio remained completely untouched.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case presents competing narratives about whether the advisor acted appropriately for a senior client in a vulnerable emotional state. Arguments that David violated his obligations include: (1) the timing of the investment recommendation - just two weeks after her husband's death - raises concerns about whether Margaret was in an appropriate emotional state to make major financial decisions, even if she appeared composed; (2) allocating \$280,000 (68% of the new proceeds) to growth equity investments for a 74-year-old client whose longstanding profile was income and capital preservation represents a significant departure from her established risk profile; (3) under FINRA Rule 2111 and Regulation Best Interest, the advisor must consider the customer's age, financial situation, and investment objectives holistically, and a mild cognitive impairment diagnosis five months later could suggest early-stage decline at the time of the decision; (4) FINRA Regulatory Notice 07-43 specifically addresses concerns about senior investors and the heightened duty of care when dealing with elderly clients experiencing life events. Arguments that David acted appropriately include: (1) Margaret initiated the contact and expressed a clear desire for growth-oriented investments for a specific purpose - grandchildren's education - which has a multi-year time

horizon; (2) the growth allocation represented only about 16% of her total \$1.76 million in investable assets, meaning her overall portfolio remained heavily conservative; (3) David documented the conversation, met in person, discussed risks, and obtained signed acknowledgment of updated objectives; (4) Margaret had no diagnosed cognitive issues at the time of the transaction, and retroactive application of a later diagnosis is speculative; (5) the mild cognitive impairment diagnosis in August 2023 does not necessarily mean she lacked capacity in March 2023; (6) David preserved her entire existing income-generating portfolio, ensuring her living expenses remained fully funded. The investment loss of 19% over nine months, while significant, is not outside the range of normal market fluctuation for growth equities and does not by itself indicate unsuitability.

### Why Borderline

This case sits in a genuine gray area because the advisor took several protective steps (in-person meeting, documentation, risk discussion, preserving the income portfolio), and the growth allocation was reasonable relative to total assets with a legitimate multi-year purpose. However, the timing - two weeks post-bereavement - combined with the client's age and the subsequent cognitive impairment diagnosis create legitimate concerns about whether the advisor should have recommended waiting before making significant investment changes. Reasonable practitioners disagree about whether a 'carve-out' growth strategy for grandchildren's benefit is appropriate when the account holder is a 74-year-old retiree, even when total portfolio context makes the allocation modest.

### Borderline Factors

- Investment made only two weeks after the death of client's spouse, raising questions about emotional vulnerability versus client autonomy
- Client initiated the request and was insistent on growth investing, creating tension between paternalism and respecting client wishes
- Growth allocation was 68% of new proceeds but only 16% of total investable assets - the framing matters significantly
- Mild cognitive impairment diagnosed five months later - unclear whether early signs were present at the time of the investment
- Advisor documented the meeting and noted client appeared lucid and composed, but documentation was self-serving
- Legitimate multi-generational purpose (grandchildren's education) with a 10-year time horizon supports growth allocation
- Core income portfolio remained entirely intact, preserving the client's ability to meet living expenses
- Account paperwork was updated to reflect new objectives, but whether a secondary growth objective is appropriate for this client profile is debatable

### Likely Outcome

A regulator would likely issue a cautionary letter or seek a modest settlement rather than pursue a full enforcement action. The timing concern is real but the advisor's documentation, the client-initiated nature of the request, the modest percentage of total assets, and the legitimate educational purpose provide substantial defenses. A FINRA arbitration panel might award partial damages - perhaps covering a portion of the losses - recognizing that the advisor should have recommended a cooling-off period after the bereavement but also acknowledging that the overall strategy was not unreasonable. The cognitive impairment diagnosis would likely be considered but given limited weight absent evidence of incapacity at

the time of the transaction.

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## Borderline Scenario 140

Topic: *alternative\_investments\_unsuitable* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act Section 15c*

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### Fact Pattern

Robert and Patricia Chen, both age 52, had a combined household income of \$340,000 per year. Robert was a senior software engineer at a publicly traded tech company, and Patricia was a vice principal at a public high school. Their investable assets totaled approximately \$1.9 million, held across several accounts: \$720,000 in Robert's 401(k), \$390,000 in Patricia's 403(b), \$480,000 in a joint taxable brokerage account managed by their advisor, and \$310,000 in IRAs. They also owned their home, valued at \$850,000 with a \$290,000 remaining mortgage. Their investment objectives were growth with moderate risk for retirement in approximately 13 years. Their advisor, Nicole Shapiro, had managed their joint brokerage account since 2018. In September 2022, Nicole recommended the Chens invest \$175,000 from their joint brokerage account - approximately 36% of that account and roughly 9.2% of their total investable assets - into a non-traded real estate investment trust (REIT) focused on commercial office and mixed-use properties. The REIT had a minimum five-year hold period, paid a stated distribution of 5.8% annually, charged an upfront placement fee of 3.5%, had ongoing management fees of 1.25% per year, and carried total estimated costs of approximately 8-10% over the life of the investment when including organizational and offering expenses. Nicole presented the REIT as a way to diversify the Chens' portfolio, which was heavily concentrated in equities (particularly tech stocks through Robert's 401(k) and RSUs). She noted that the REIT would provide consistent income, inflation hedging through real estate exposure, and diversification from their equity-heavy portfolio. She disclosed the fee structure and the illiquidity restrictions in the subscription documents, which both Robert and Patricia signed. The Chens were accredited investors under applicable income thresholds. By mid-2024, the commercial real estate market had softened significantly, and the REIT suspended its distributions and announced that redemptions would be limited to 2% of net asset value per quarter. The estimated NAV had declined approximately 22%. The Chens filed a complaint arguing that Nicole had steered them into an expensive, illiquid investment that was unsuitable for their needs, particularly given that publicly traded REITs offered similar real estate exposure with daily liquidity and far lower fees. They also argued that the commercial office sector was already showing signs of weakness in September 2022 due to the post-pandemic shift toward remote work, and that Nicole should have known better. Nicole responded that the Chens had specifically expressed interest in diversifying away from public equities, that the 9.2% allocation to a non-traded REIT was well within industry-accepted concentration guidelines, that the Chens had sufficient liquidity in their other accounts and had no near-term need for the \$175,000, that they met the accredited investor and suitability thresholds for the product, and that she had fully disclosed all fees, risks, and liquidity restrictions. She also noted that the Chens had investment experience, having previously held individual stocks and options in a separate account.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This case involves the perennially debatable question of whether a non-traded REIT is suitable for a particular client when publicly traded alternatives exist. Arguments that Nicole violated her obligations include: (1) under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives, and publicly traded REITs offered substantially similar real estate diversification with daily liquidity and dramatically lower total costs (typical expense ratios of 0.10-0.60% versus the non-traded REIT's total estimated costs of 8-10%); (2) the 3.5% upfront placement fee immediately reduced the Chens' investment to approximately \$168,875, creating a significant hurdle before any return is realized; (3) the Cost Obligation under Reg BI specifically requires advisors to consider cost when recommending one product over a less expensive alternative with similar characteristics; (4) the commercial office sector was facing well-documented headwinds in September 2022, raising questions about the product-level due diligence; (5) FINRA has issued multiple regulatory notices (e.g., 09-09, 15-02) expressing concern about non-traded REIT sales practices and concentration. Arguments that Nicole acted appropriately include: (1) the 9.2% allocation was well under the 10% concentration guideline many firms apply for alternative investments and far below state-level blue sky limits (often 10% of net worth); (2) non-traded REITs and publicly traded REITs are fundamentally different products - non-traded REITs offer potential NAV stability (no daily mark-to-market volatility), access to institutional-quality private real estate, and a different return profile; (3) the Chens were sophisticated investors with options trading experience and high income, meeting accredited investor standards; (4) they had ample liquidity elsewhere and no near-term need for the invested capital; (5) Nicole fully disclosed all fees, lock-up periods, and risks, and the clients signed detailed subscription documents; (6) the diversification rationale was sound - the Chens were heavily concentrated in public equities, especially tech, and the REIT provided genuine portfolio diversification; (7) poor subsequent performance does not retroactively make a recommendation unsuitable at the time it was made. The tension between the cost differential and the legitimate diversification benefits is the core issue.

### Why Borderline

This scenario is genuinely ambiguous because the non-traded REIT recommendation had a legitimate investment rationale (diversification away from a tech-heavy equity portfolio), was within accepted concentration guidelines, and was made to sophisticated accredited investors who signed detailed disclosures. However, the significantly higher cost structure compared to publicly traded REITs, the five-year illiquidity period, and the availability of lower-cost alternatives with similar exposure create a real question about whether the advisor satisfied her obligation to consider reasonably available alternatives. Reasonable regulators and practitioners genuinely disagree about whether the unique characteristics of non-traded REITs (NAV stability, institutional real estate access) justify their higher costs and illiquidity, or whether they are simply inferior products that primarily benefit the advisor through higher compensation.

### Borderline Factors

- Non-traded REIT fees (estimated 8-10% total cost) significantly exceeded publicly traded REIT alternatives (0.10-0.60% expense ratios), raising cost comparison concerns
- 9.2% of total investable assets was within common concentration guidelines for alternatives, but 36% of the specific managed account is a higher concentration in context
- Legitimate diversification rationale - clients were heavily concentrated in public equities, particularly technology
- Non-traded and traded REITs are arguably different products with different characteristics, complicating direct cost comparisons
- Clients were accredited investors with investment experience including options trading

- Full written disclosure of fees, illiquidity, and risks was provided and acknowledged
- Commercial office sector headwinds were known in September 2022, but the REIT included mixed-use properties and market predictions are inherently uncertain
- Advisor compensation on the non-traded REIT was likely higher than on a traded REIT ETF, creating a potential conflict of interest
- Clients had ample liquidity in other accounts and no near-term need for the specific funds invested
- Subsequent poor performance and distribution suspension, while relevant context, do not directly determine suitability at time of recommendation

### Likely Outcome

A regulator would likely scrutinize this transaction closely but would face difficulty proving a clear violation given the reasonable concentration level, the legitimate diversification rationale, the clients' sophistication and accredited status, and the thorough disclosure. However, under Reg BI's cost-conscious framework, the advisor may face pressure to justify why a non-traded REIT was in the clients' best interest versus a low-cost traded REIT ETF. In FINRA arbitration, a panel might find a partial violation related to the cost differential and award damages equivalent to the excess fees paid (roughly \$15,000-\$18,000 in total estimated excess costs), but would be unlikely to award damages for the full market loss. A regulator might use this case to issue enhanced supervisory guidance to the firm regarding alternative investment recommendations and cost comparison documentation, rather than pursuing a full enforcement action against the advisor personally.

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## Borderline Scenario 141

*Topic: senior\_investor\_exploitation | Standard: FINRA Rule 2111 (Suitability), including customer-specific suitability obligations; FINRA*

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### Fact Pattern

Margaret Dawson, age 78, had been a client of financial advisor Robert Henley for eleven years. She was a retired high school principal living on a combination of Social Security, a state pension totaling \$4,200/month, and a \$620,000 investment portfolio that had historically been allocated 60% to investment-grade bonds and 40% to blue-chip dividend-paying equities. Her account documents listed her risk tolerance as 'moderate-conservative,' her investment objective as 'income with capital preservation,' and her time horizon as '5-10 years.' She had no cognitive impairment diagnoses on file, and in meetings she actively discussed market conditions, asked pointed questions about yield comparisons, and occasionally pushed back on Henley's suggestions. In March 2023, Margaret's husband passed away, and she inherited an additional \$285,000 in cash from his life insurance. During a meeting six weeks after the funeral, Margaret told Henley she was 'tired of watching her money sit there doing nothing' and wanted to 'make it grow so she could leave something meaningful for her three grandchildren.' Henley proposed reallocating the combined \$905,000 portfolio to 45% dividend equities, 25% growth-oriented equity funds, 20% investment-grade bonds, and 10% in a non-traded real estate investment trust (REIT) with a 7-year lockup period and a 6.8% projected annual distribution. He explained the REIT's illiquidity and the lockup period verbally and in a product brochure he left with her. Margaret signed all disclosures and initialed the liquidity risk section. Over the next eight months, the growth equity portion declined 14% during a market correction, and Margaret's daughter, who held power of attorney, filed a complaint alleging that Henley exploited her mother's grief to push unsuitable, risky products on a vulnerable senior. Margaret herself,

when contacted, stated she understood what she agreed to and was not concerned about the short-term losses, though she admitted she 'might not have been thinking entirely clearly' in the weeks following her husband's death.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Henley violated his obligations: Margaret was a 78-year-old recent widow when the reallocation occurred - only six weeks after her husband's death, a period widely recognized as one of emotional vulnerability and impaired decision-making. The shift from a 60/40 conservative-moderate allocation to one with 25% in growth equities and 10% in a 7-year lockup non-traded REIT represents a material increase in both risk and illiquidity. At her age, a 7-year lockup period means she would be 85 before she could access that \$90,500 without penalty, which conflicts with the reasonable expectation that a 78-year-old may need liquidity for healthcare or long-term care expenses. The timing of the recommendation, during acute grief, raises concerns about whether informed consent was truly possible. Under FINRA Rule 2111 and its supplementary materials, a broker must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and time horizon. FINRA Regulatory Notice 07-43 specifically addresses concerns about senior investors and heightened suitability obligations. Under Regulation Best Interest, the care obligation requires advisors to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives. The shift toward growth equities and illiquid alternatives for a 78-year-old widow arguably fails this test. Arguments that Henley acted appropriately: Margaret was a sophisticated, engaged client who actively participated in investment discussions and had no documented cognitive impairment. She explicitly articulated a new investment objective - legacy planning for grandchildren - which legitimately could support a longer time horizon and modestly higher risk tolerance, since money earmarked for inheritance does not need to be liquid for the client's own living expenses. The overall allocation was not extreme: 65% remained in bonds and dividend equities, and only 10% went to the illiquid REIT. Henley provided written disclosures about the REIT's risks and lockup, and Margaret signed and initialed them. She retained \$181,000 in bonds plus \$4,200/month in guaranteed income, providing a substantial liquidity cushion. Margaret herself confirmed understanding and was not concerned. Six weeks, while soon after a death, is not an unreasonable timeframe - many estate and financial planning decisions are made in this window. The subsequent 14% decline in growth equities is a market risk inherent in any equity allocation and does not itself indicate unsuitability.

### Why Borderline

This case sits in genuine gray territory because the advisor had legitimate reasons for the reallocation (client-expressed legacy goals, adequate remaining liquidity, client engagement and consent), but the timing during acute bereavement, the client's advanced age, the meaningful increase in portfolio risk, and the introduction of a 7-year illiquid product collectively raise serious questions about whether a reasonable advisor exercising due care should have waited, scaled back the reallocation, or avoided the non-traded REIT entirely. The client's own mixed statements - affirming understanding but conceding impaired clarity - make it impossible to definitively resolve the consent question.

### Borderline Factors

- Client was only 6 weeks post-bereavement when major reallocation occurred



- Client was 78 years old but articulated a legitimate legacy/inheritance objective
- Non-traded REIT with 7-year lockup for a 78-year-old client
- Client was cognitively intact and actively engaged but admitted she 'might not have been thinking entirely clearly'
- Overall allocation was not extreme - 65% remained in conservative positions
- Client retained \$4,200/month guaranteed income plus substantial bond allocation for liquidity
  - Written disclosures were provided and signed, but adequacy of informed consent during grief is debatable
- Complaint filed by daughter with POA, not by the client herself

### Likely Outcome

A regulator would likely issue a cautionary action or seek a modest settlement rather than pursue a full enforcement action. The timing of the recommendation during acute grief and the introduction of a 7-year illiquid product to a 78-year-old would draw scrutiny, and most arbitration panels or regulators would find that the advisor should have either waited longer or avoided the non-traded REIT. However, the client's engagement, the written disclosures, the legitimate legacy objective, and the overall non-extreme allocation would mitigate against a finding of exploitation. The most probable outcome is a finding of partial unsuitability limited to the non-traded REIT allocation, with damages limited to that portion of the portfolio, rather than a wholesale finding of elder exploitation.

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## Borderline Scenario 142

Topic: *junk\_bonds\_conservative\_investor* | Standard: *FINRA Rule 2111 (Suitability) including reasonable-basis, customer-specific, a*

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### Fact Pattern

David and Patricia Olsen, both age 63 and planning to retire within 18 months, had a combined net worth of approximately \$2.1 million, including a paid-off home worth \$475,000, \$310,000 in 401(k) accounts, and \$1.3 million in a joint brokerage account managed by their advisor, Stephanie Marsh, at a regional broker-dealer. Their account profile listed their risk tolerance as 'conservative,' investment objective as 'income,' and time horizon as 'long-term (10+ years)' - the long-term designation reflecting their plan to draw down the portfolio gradually over a 25-30 year retirement. Their existing portfolio was 70% investment-grade corporate and municipal bonds, 20% large-cap equity index funds, and 10% money market. In September 2023, with interest rates elevated, Marsh recommended shifting \$195,000 (15% of the brokerage account) from investment-grade bonds into a diversified high-yield bond fund rated as a below-investment-grade strategy. The fund held approximately 300 issuers across multiple industries, had an average credit rating of BB, a 30-day SEC yield of 7.9%, an expense ratio of 0.62%, and a 5-year track record with a maximum drawdown of 11.3%. Marsh explained that the higher yield would generate an additional \$5,400/year in income compared to the investment-grade bonds being sold, which she argued was important given rising healthcare costs and inflation eroding purchasing power in retirement. She presented the Olsens with a comparison chart showing historical default rates for BB-rated issuers versus investment-grade bonds and discussed the fund's diversification across 300 holdings as a mitigating factor. The Olsens agreed and signed the transaction paperwork. Six months later, a credit market dislocation caused the high-yield fund to decline 8.7%, while their remaining investment-grade bonds were roughly flat. The Olsens filed a complaint alleging that Marsh recommended junk bonds to conservative investors

approaching retirement, generating higher commissions (\$2,925 on the high-yield transaction versus approximately \$1,560 on a comparable investment-grade bond fund purchase) while exposing them to inappropriate credit risk.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Marsh violated her obligations: The Olsens' account documents explicitly stated 'conservative' risk tolerance and 'income' as the investment objective. Below-investment-grade bonds, commonly called junk bonds, carry materially higher default risk and price volatility than investment-grade bonds and are generally not considered conservative instruments. Recommending that conservative, pre-retirement investors shift 15% of their brokerage portfolio into a high-yield strategy raises a facial suitability concern. Under FINRA Rule 2111, the customer-specific suitability obligation requires that a recommended transaction be consistent with the customer's stated investment profile. Under Regulation Best Interest's care obligation, the advisor must consider reasonably available alternatives - in this case, higher-quality bond funds that could have provided incremental yield without the credit risk step-down. The commission differential (\$2,925 vs. \$1,560) suggests a potential conflict of interest, and under Reg BI's conflict of interest obligation, the advisor's firm must identify and mitigate or eliminate such conflicts. The 8.7% decline in six months - versus flat performance in investment-grade - demonstrates the realized risk. Arguments that Marsh acted appropriately: A 15% allocation to a well-diversified high-yield fund with 300 issuers and an average rating of BB (the highest tier of below-investment-grade) is a mainstream allocation strategy used by many conservative income-oriented portfolios, including target-date retirement funds. The fund's 0.62% expense ratio is reasonable, and its 5-year track record with an 11.3% max drawdown is moderate. The remaining 85% of the portfolio stayed in investment-grade bonds, index funds, and cash - the overall portfolio remained conservative. The Olsens had a 10+ year time horizon (long retirement), a \$2.1 million net worth, a paid-off home, and no stated need for the full \$195,000 to be immediately liquid, meaning they had capacity to absorb short-term volatility in exchange for meaningfully higher income. Marsh provided educational materials about default rates and diversification benefits, and the Olsens consented. The additional \$5,400/year in income addresses a legitimate concern about inflation and healthcare costs in a multi-decade retirement. Many financial planning frameworks consider a 10-20% allocation to high-yield bonds appropriate even for conservative retirees when embedded in a diversified portfolio. The commission differential, while real, is modest in absolute terms and does not alone indicate a conflict drove the recommendation.

### Why Borderline

This scenario is genuinely ambiguous because the recommendation conflicts with the client's stated 'conservative' risk tolerance label, and below-investment-grade bonds carry meaningful credit risk. However, the allocation was modest (15%), the vehicle was well-diversified, the clients had substantial overall wealth and a long drawdown horizon, and the income rationale was sound. Reasonable practitioners disagree about whether a BB-average high-yield fund in a 15% allocation transforms an otherwise conservative portfolio into an unsuitable one, or whether it represents prudent income optimization for a long retirement. The commission differential adds a layer of conflict but is not egregious. The subsequent market loss demonstrates realized risk but does not alone prove unsuitability.

### Borderline Factors

- Client profile explicitly stated 'conservative' risk tolerance, but the overall portfolio remained predominantly conservative after the change
- High-yield bonds are below-investment-grade but the fund was well-diversified (300 issuers) with BB average rating - the highest junk tier
- 15% allocation to high-yield is within ranges commonly used in conservative retirement income portfolios
- Clients had \$2.1 million net worth, paid-off home, and 25-30 year drawdown horizon - substantial capacity for some credit risk
- Commission differential existed (\$2,925 vs \$1,560) but was modest in absolute and percentage terms
- Advisor provided comparative data and educational materials before the transaction
- The 8.7% decline materialized the risk but short-term losses do not alone establish unsuitability
- Incremental \$5,400/year income addressed legitimate inflation and healthcare cost concerns

### Likely Outcome

A regulator or arbitration panel would likely find this a close case but would probably not find a clear violation, instead either dismissing the complaint or awarding modest damages limited to the commission differential. The 15% allocation to a diversified BB-rated fund within a \$2.1 million net worth and a long-term time horizon is within the range of reasonable professional judgment, and the educational disclosures provided demonstrate some care. However, the advisor would likely face criticism for not updating the clients' risk tolerance documentation to reflect the shift in strategy, and for not more explicitly addressing the commission differential. If the firm's supervisory procedures specifically flagged high-yield products as unsuitable for accounts coded 'conservative,' the outcome could shift toward a violation finding. The most likely result is a letter of caution or a small arbitration award in the \$3,000-\$8,000 range, not a major enforcement action.

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## Borderline Scenario 143

*Topic: reverse\_churning | Standard: Under Regulation Best Interest (Reg BI), broker-dealers must consider reasonably available alternatives*

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### Fact Pattern

Margaret Halpern, age 62, a recently retired school administrator with a \$1.1 million IRA, hired financial advisor Dennis Caulfield in January 2021 after being referred by a friend. Caulfield placed Margaret's assets into a fee-based advisory account charging 1.25% annually (\$13,750/year). During the initial onboarding, Caulfield constructed a portfolio of 60% broad market index ETFs, 25% investment-grade bond ETFs, and 15% in a stable value money market position. Margaret's investment profile noted her goals as capital preservation with moderate growth, a moderate risk tolerance, a 20-year time horizon given her health and family longevity, and annual income needs of approximately \$40,000 from the portfolio starting in 2023. Over the next 30 months through June 2023, Caulfield executed a total of 11 trades in the account. Four trades were periodic rebalances back to target allocation percentages after market movements caused drift beyond 5%. Three trades were reinvestments of accumulated dividends into existing positions. Two trades involved swapping one bond ETF for another with a lower expense ratio when the new product became available. The remaining two trades were a shift of \$55,000 from the money market position into a short-term Treasury ETF when yields rose in late 2022, and one small tax-loss harvesting sale. Caulfield held quarterly phone reviews with Margaret lasting 15-25 minutes each, sent her a written annual portfolio summary, and adjusted her financial plan once to account for an unexpected \$18,000 home repair

expense. Margaret's portfolio returned 7.2% annualized during this period, roughly in line with a blended benchmark. Had the account been held as a commission-based brokerage account, the estimated total commissions on these 11 trades would have been approximately \$385. Margaret's nephew, who works in banking, reviewed her statements and filed a complaint alleging that Caulfield was charging \$13,750 per year in advisory fees for what was essentially a buy-and-hold portfolio that required almost no active management, and that a commission-based arrangement would have cost Margaret roughly \$385 total over 30 months versus approximately \$34,375 in advisory fees during the same period.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case for a violation rests on the striking fee disparity. Margaret paid approximately \$34,375 in advisory fees over 30 months for an account that generated only 11 trades, which would have cost roughly \$385 in a commission-based arrangement - a ratio of nearly 89:1. The portfolio was composed entirely of low-cost index ETFs and money market instruments that did not require continuous active oversight. The low trading frequency and passive investment approach suggest the account could have been managed equally well under a transactional model at dramatically lower cost. This is the classic reverse churning pattern: placing a client in a fee-based account and then providing minimal trading activity, effectively collecting ongoing fees for dormant management.

However, the case for compliance is also substantial. Caulfield provided genuine ongoing advisory services beyond mere trade execution: quarterly review calls, an annual written portfolio summary, financial plan updates, rebalancing, and opportunistic moves like the Treasury ETF shift and tax-loss harvesting. The fee-based model aligned with Margaret's stated need for ongoing retirement income planning and a 20-year time horizon - this was not a one-time transaction but an ongoing advisory relationship where Margaret needed holistic guidance. The 1.25% fee, while not the lowest available, falls within the broadly accepted industry range of 0.75%-1.50% for accounts of this size. Margaret's portfolio performed in line with benchmarks, suggesting the asset allocation was appropriate. The rebalancing, tax-loss harvesting, and financial plan adjustment represent value that is difficult to quantify on a per-trade basis. Additionally, comparing advisory fees solely to hypothetical commission costs ignores the intangible value of ongoing fiduciary monitoring and behavioral coaching, which studies suggest can add significant value for retirees who might otherwise make emotional investment decisions. The fee-based structure also eliminated potential conflicts that commission-based trading could create, such as incentivizing unnecessary transactions.

### Why Borderline

This is genuinely ambiguous because the fee differential is enormous (\$34,375 vs. \$385), which superficially looks exploitative, but the advisor did provide real ongoing services - quarterly reviews, financial planning, rebalancing, and opportunistic adjustments - that have legitimate value beyond mere trade execution. The 1.25% fee is within normal industry ranges, and Margaret's situation as a new retiree with a 20-year horizon and upcoming income needs arguably justifies ongoing advisory oversight. Reasonable people can disagree about whether the services provided justified the cost premium, and whether the advisor should have proactively recommended a lower-cost account structure given the passive nature of the portfolio.

### Borderline Factors

- The 89:1 fee ratio between advisory fees and hypothetical commissions is extreme, but comparing these two figures may be an apples-to-oranges comparison that ignores non-trading advisory value
- The 1.25% annual fee is within the standard industry range but is on the higher end for a portfolio composed entirely of passive index products
- Quarterly reviews, financial plan updates, rebalancing, and tax-loss harvesting represent genuine ongoing services but could arguably be obtained at lower cost
- Margaret's profile as a new retiree with a 20-year horizon and upcoming income distribution needs supports the value of an ongoing advisory relationship
- Only 11 trades in 30 months suggests a buy-and-hold approach, but some of those trades (rebalancing, tax-loss harvesting) reflect active monitoring
- The portfolio performed in line with benchmarks, suggesting competent management, though the passive index approach would likely have performed similarly without active oversight
- The complaint was filed by a family member, not Margaret herself, raising questions about whether the client was actually dissatisfied with the services received

### Likely Outcome

A regulator would most likely investigate but decline to pursue formal action, issuing at most an informal cautionary letter. While the fee disparity is notable, the advisor provided documented ongoing services (quarterly calls, annual reviews, rebalancing, financial plan updates, tax-loss harvesting), the fee was within industry norms, and the portfolio performed appropriately. Regulators have generally been reluctant to second-guess fee-based relationships where genuine advisory services are documented, especially for retirement accounts requiring ongoing distribution planning. However, the regulator might note that the advisor should periodically evaluate whether the fee-based arrangement continues to be in the client's interest relative to alternatives.

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## Borderline Scenario 144

*Topic: annuity\_unnecessary\_switching | Standard: Annuity exchanges are subject to heightened scrutiny under Regulation Best Interests*

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### Fact Pattern

Robert and Linda Voss, ages 67 and 64, held a variable annuity purchased in 2016 through their previous advisor with an initial premium of \$320,000. By March 2022, the contract value had grown to \$398,000, and the annuity carried a guaranteed minimum income benefit (GMIB) rider with a benefit base of \$412,000, a guaranteed payout rate of 5.25% for joint lives beginning at age 70, and annual rider fees of 1.15%. The underlying subaccount expenses averaged 0.85%, and the base mortality and expense charge was 1.30%, bringing total annual costs to approximately 3.30% (\$13,134/year). The surrender period had fully expired in 2023, meaning no surrender charges applied. In April 2023, their new advisor, Karen Prescott, recommended they exchange the existing annuity for a newer variable annuity product from a different carrier. The new annuity had a GMIB rider with a benefit base that would start fresh at the \$398,000 contract value, a guaranteed payout rate of 5.75% for joint lives at age 70, annual rider fees of 0.95%, underlying subaccount expenses averaging 0.70%, and a base M&E charge of 1.05%, for total annual costs of approximately 2.70% (\$10,746/year). However, the new contract imposed a 7-year surrender

charge schedule starting at 7% and declining by 1% annually. Prescott's analysis showed that the higher guaranteed payout rate in the new contract (5.75% vs. 5.25%) would generate approximately \$1,990 more in guaranteed annual income at age 70 (\$22,885 vs. \$21,630 based on respective benefit bases), and the annual cost savings of approximately \$2,388 would compound over time. Her written recommendation noted the lower fees, higher payout rate, and expanded investment options in the new product. Prescott received a \$15,920 commission (4% of premium) on the new annuity sale. The Vosses' other assets included \$280,000 in a joint brokerage account, \$95,000 in savings, Social Security income of \$4,200/month combined, and a paid-off home valued at \$410,000. Robert had been diagnosed with Type 2 diabetes five years prior, which was managed with medication. Linda was in good health. A subsequent review by the couple's estate attorney raised concerns that the exchange sacrificed the existing GMIB benefit base of \$412,000 - which was \$14,000 above the contract value and represented guaranteed income of \$21,630/year - in favor of a new contract whose benefit base started at the lower \$398,000 contract value, and that the new 7-year surrender period reduced the couple's liquidity during a critical retirement phase, especially given Robert's health condition.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case for a violation centers on several concerning factors. First, the existing annuity's GMIB benefit base of \$412,000 was 'in the money' - it exceeded the contract value by \$14,000, representing a valuable guaranteed floor that was permanently lost in the exchange. Second, the new contract imposed a 7-year surrender schedule starting at 7%, significantly restricting the Vosses' access to their funds during ages 67-74, a period when unexpected health care costs (particularly given Robert's diabetes) could require liquidity. Third, Prescott earned a \$15,920 commission on the exchange, creating a financial incentive to recommend the switch. Fourth, while the new contract's 5.75% payout rate was higher, it applied to a lower benefit base (\$398,000 vs. \$412,000), narrowing the actual income advantage to approximately \$1,255/year (\$22,885 vs. \$21,630), not the \$1,990 initially projected if one mistakenly applied the new rate to the old benefit base.

The case for compliance also has merit. The new annuity's total annual costs were 60 basis points lower (2.70% vs. 3.30%), saving approximately \$2,388 per year - a meaningful reduction that compounds over time and could amount to over \$16,700 in savings over the 7-year surrender period alone. The net guaranteed income at age 70 was still higher in the new contract (\$22,885 vs. \$21,630), even accounting for the lower benefit base. The surrender period on the old annuity had expired, making the timing of an exchange optimal from that perspective. The Vosses had \$375,000 in liquid assets outside the annuity (\$280,000 brokerage + \$95,000 savings), providing a substantial liquidity cushion even with the new surrender charges. Prescott documented her analysis in writing and the recommendation was based on quantifiable improvements in both cost and guaranteed income. The expanded investment options in the new product could also provide better long-term growth potential for the benefit base, though this is speculative.

### Why Borderline

This is a genuine gray area because the exchange produces quantifiable benefits (lower ongoing costs of ~\$2,388/year and higher guaranteed income of ~\$1,255/year) but also involves real sacrifices (loss of



\$14,000 in-the-money GMIB benefit base, new 7-year surrender period, and reduced liquidity during a health-sensitive retirement period). The advisor's commission creates an appearance of conflict but doesn't automatically render the recommendation inappropriate if the exchange is otherwise beneficial. Reasonable practitioners could disagree about whether the cumulative cost savings and income improvement justify surrendering the existing in-the-money guarantee and accepting new liquidity restrictions, particularly for a couple where one spouse has a chronic health condition.

### Borderline Factors

- The existing GMIB benefit base was \$14,000 'in the money' - a guaranteed value that is permanently lost in the exchange and cannot be replicated
- The new contract's lower annual costs (\$2,388/year savings) could over time exceed the value of the lost \$14,000 benefit base premium, but this depends on how long the contract is held
- The net guaranteed income improvement is real but modest (\$1,255/year), and the advisor's initial presentation may have overstated the advantage by not clearly comparing benefit bases
- The 7-year surrender schedule restricts liquidity for a couple in their mid-to-late 60s, one of whom has a chronic health condition requiring ongoing medical management
- The Vosses have \$375,000 in liquid assets outside the annuity, partially mitigating the liquidity concern
- The \$15,920 commission creates a conflict of interest but the exchange also produces documentable client benefits in cost and income
- The old annuity's surrender period had expired, meaning the timing was at least rational from a cost-of-exit perspective
- Robert's diabetes diagnosis introduces uncertainty about life expectancy that affects the value of both the GMIB guarantee and the new surrender period

### Likely Outcome

A regulator would most likely scrutinize this exchange closely and could go either way. The most probable outcome is a finding of a technical violation or supervisory deficiency, with modest sanctions such as a fine and restitution of the commission, rather than severe penalties. The key vulnerability is the advisor's failure to adequately weigh and disclose the loss of the in-the-money GMIB benefit base and the liquidity implications of the new surrender period given Robert's health. However, the documented cost savings and income improvement provide a plausible defense. A regulator may focus on whether the advisor's written analysis adequately disclosed the trade-offs and whether the firm's supervisory review of the annuity exchange was sufficiently rigorous.

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## Borderline Scenario 145

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or*

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### Fact Pattern

Margaret Kowalski, age 71, retired school librarian, visited her advisor Thomas Brennan in March 2023 with \$680,000 in savings - the entirety of her liquid net worth. Her account documents listed her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' and her time horizon as '5-10 years.' She relied on Social Security of \$2,400/month and a small pension of \$900/month, supplemented by portfolio withdrawals of approximately \$1,500/month. During their annual review, Brennan noted that her

existing portfolio of Treasury bonds and investment-grade corporates was yielding roughly 3.8%, and that rising rates had caused paper losses. He recommended reallocating 18% of her portfolio - approximately \$122,400 - into a diversified basket of high-yield bond funds and dividend-focused equity funds. The high-yield bond funds carried an average credit rating of BB and had experienced a maximum drawdown of 14% during the 2020 market dislocation. The dividend equity funds focused on large-cap utilities and consumer staples with a 10-year average annual return of 8.2% but with standard deviation roughly double that of her existing bond holdings. Brennan documented in his notes that Mrs. Kowalski expressed frustration that her portfolio 'wasn't keeping up with inflation' and that she wanted 'a little more growth so my money lasts.' He also noted she said she 'couldn't afford to lose a lot' and 'didn't want anything too risky.' After the reallocation, the combined portfolio yield rose to approximately 4.9%. Over the following nine months, the high-yield fund positions declined 6.3% in value while the dividend equity funds gained 4.1%, resulting in a modest net loss on the reallocated portion. Mrs. Kowalski's daughter, a CPA, reviewed the statements in January 2024 and filed a complaint alleging that speculative high-yield and equity investments were inappropriate for her mother's conservative profile and age.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Brennan violated applicable standards: Mrs. Kowalski's documented risk tolerance was 'conservative' and her stated objective was 'income and capital preservation.' High-yield bonds are below investment grade and are generally classified as speculative-grade debt. Equity funds, even dividend-focused ones, introduce principal volatility inconsistent with a capital preservation mandate. At age 71 with no other liquid assets and dependence on portfolio withdrawals, even moderate losses could jeopardize her retirement security. The 18% allocation to higher-risk assets materially changed the risk profile of a portfolio that was her sole supplemental income source. Under FINRA Rule 2111 (suitability) and Regulation Best Interest's care obligation, the advisor must have a reasonable basis to believe the recommendation is suitable considering the customer's investment profile, including age, financial situation, risk tolerance, and needs. A regulator could argue that documented conservative risk tolerance should control over informal verbal expressions of frustration.

Arguments that Brennan acted appropriately: The 18% allocation was a minority position in an otherwise conservative portfolio, leaving 82% in Treasuries and investment-grade bonds. The recommendation was responsive to a legitimate client concern - inflation erosion of purchasing power - which is itself a risk to capital preservation over a 5-10 year horizon. High-yield bonds rated BB are at the upper end of speculative grade and behave more like credit instruments than pure equities. The dividend equity funds focused on defensive sectors (utilities, consumer staples) with relatively low volatility compared to the broader equity market. Brennan documented the client's own words requesting more growth, suggesting informed participation. The blended portfolio yield increase from 3.8% to 4.9% directly addressed her income needs and potentially reduced the rate at which she would need to draw down principal - arguably enhancing long-term capital preservation. Under the care obligation of Reg BI, advisors must consider reasonably available alternatives, and moderate yield enhancement through a diversified allocation is a mainstream strategy even for conservative retirees. The total portfolio risk increase was incremental, not transformative.

### Why Borderline

This case sits in the gray zone because the advisor responded to a genuine client need (inflation protection and income sustainability) with a measured allocation that didn't dramatically alter the portfolio's overall risk profile, yet the instruments used - speculative-grade bonds and equities - facially conflict with the client's documented conservative/capital preservation objectives. The tension between the client's formal risk profile and her expressed desire for better returns creates legitimate ambiguity about whether the advisor was responding to client needs or overriding documented preferences. The 18% allocation is neither trivially small nor dominantly large, making it difficult to characterize as clearly appropriate or clearly excessive.

### Borderline Factors

- Client's documented risk tolerance (conservative) conflicts with her verbal request for more growth
- 18% allocation to higher-risk assets is a moderate minority position - not a wholesale portfolio transformation
- High-yield bonds rated BB occupy the boundary between investment-grade and speculative classifications
- Dividend equity funds in defensive sectors are among the least volatile equity investments available
- Client's inflation concern is legitimate and inaction itself posed a risk to her long-term purchasing power
- Client is 71 with no other liquid assets and depends on portfolio withdrawals for living expenses
- Advisor documented the client's statements but did not formally update her risk tolerance profile
- Actual losses were modest and within normal market fluctuation ranges

### Likely Outcome

A regulator would most likely issue a cautionary letter or require enhanced supervision rather than pursue formal sanctions. The allocation was responsive to a documented client concern and was proportionate in size, but the advisor's failure to formally update the client's risk tolerance and investment objective documentation before executing the trades creates a procedural vulnerability. A FINRA arbitration panel might find the recommendation was marginally suitable given the totality of circumstances but could award modest damages based on the documentation gap. The case would likely settle for a small amount if pursued in arbitration.

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## Borderline Scenario 146

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations - reasonable-ba*

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### Fact Pattern

David and Linda Chen, both age 58, owned a successful dry-cleaning franchise generating \$310,000 annually in pre-tax income. They had a combined liquid investment portfolio of \$1.4 million, a home valued at \$750,000 (mortgage-free), and retirement accounts totaling \$620,000. Their financial advisor, Rachel Simmons, had managed their accounts for six years. In October 2022, Simmons recommended that the Chens invest \$280,000 - 20% of their liquid portfolio - in a market-linked structured note issued by a major global bank rated A+ by two credit rating agencies. The note had a 5-year maturity, was linked to the S&P 500 index, offered 100% downside principal protection at maturity (subject to issuer credit risk), and capped upside participation at 42% cumulative over the 5-year term (approximately 7.3% annualized). The note

carried no ongoing management fee but had embedded costs estimated at 1.8% reflected in the pricing. There was no secondary market guarantee, though the issuing bank indicated it would 'endeavor to maintain' a secondary market. The Chens' account profile listed their risk tolerance as 'moderate,' their investment objectives as 'growth and income,' and their time horizon as '7-15 years.' Simmons documented that the Chens expressed concern about a potential recession and wanted 'some protection if the market drops significantly' while still participating in gains. She also noted that the Chens had previously declined her suggestion to purchase put options for downside protection, calling options 'too complicated and expensive.' The Chens did not anticipate needing the \$280,000 within the 5-year maturity window, as their business income comfortably covered expenses. In August 2023, David Chen was diagnosed with a serious illness, and the couple sought to liquidate the note to cover potential medical costs and business disruption. The issuing bank offered a buyback at approximately \$251,000 - an 10.4% discount to face value, attributable to the note's illiquidity, remaining time to maturity, and market conditions. The Chens filed a complaint alleging the structured note was unsuitable due to its complexity, illiquidity, embedded costs, and that Simmons failed to adequately explain the risks of early liquidation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated applicable standards: Structured notes are complex products that combine bond and derivative characteristics, and regulators have historically scrutinized their sale to retail investors. Under FINRA's suitability framework and Reg BI's care obligation, the advisor must ensure the customer understands the material features and risks. The 5-year lock-up with no guaranteed secondary market creates liquidity risk that may be inadequately compensated by the product's features. The embedded costs of 1.8% are not transparent and reduce the effective return. The 42% cumulative cap means the Chens would underperform a simple S&P 500 index fund in strong bull markets while bearing issuer credit risk - converting equity upside into something more like a below-market-rate bond with contingent principal return. FINRA Regulatory Notices 05-59 and 12-03 specifically address concerns about structured products, including the need for heightened suitability analysis, customer-specific documentation, and training requirements. The fact that the Chens are business owners - not institutional investors - and found options 'too complicated' suggests they may not have fully understood an even more complex structured product. Additionally, the \$29,000 loss on early liquidation demonstrates the materialization of a risk that should have been more prominently disclosed.

Arguments that Simmons acted appropriately: The structured note directly addressed the Chens' documented concern about downside protection while maintaining equity participation - precisely the risk/return tradeoff they requested. The 100% principal protection at maturity (subject to issuer credit risk from an A+-rated bank) is a meaningful feature for moderate-risk investors worried about recession. The 20% portfolio allocation left 80% in liquid assets, and the Chens affirmatively stated they did not need the funds within five years. Their household income of \$310,000 and total net worth exceeding \$2.7 million provided substantial financial cushion. The 5-year maturity fit within their stated 7-15 year time horizon. The Chens had rejected simpler hedging strategies (put options), so the structured note represented a reasonable alternative that bundled protection and participation in a single instrument. The embedded costs of 1.8% are within the range typical for structured products and lower than many actively managed alternative investments. The Chens' financial distress arose from an unforeseeable health crisis - not from

any inherent deficiency in the recommendation at the time it was made. Suitability is evaluated at the time of the recommendation based on known circumstances, not with the benefit of hindsight. Simmons could not have reasonably anticipated David's illness ten months after the purchase.

### Why Borderline

This scenario is genuinely ambiguous because the structured note was responsive to the clients' specific articulated needs (downside protection with equity participation), was sized appropriately relative to their overall portfolio, and fit their stated time horizon and risk tolerance. However, structured products carry inherent complexity, transparency, and liquidity concerns that regulators have flagged as requiring heightened scrutiny. The subsequent health crisis exposed the illiquidity risk in a way that was unforeseeable but arguably should have been stress-tested in the recommendation process. The core tension is between the product's apparent fit for the clients' stated objectives at the time of recommendation versus the product's structural features (complexity, embedded costs, illiquidity) that raise legitimate questions about whether a simpler and more liquid alternative could have achieved similar goals.

### Borderline Factors

- Structured note directly addressed clients' documented desire for downside protection with equity participation
- 20% allocation was proportionate and clients had ample liquidity in remaining portfolio
- Clients explicitly rejected simpler alternatives (put options), narrowing the range of available solutions
- 5-year maturity aligned with clients' stated 7-15 year time horizon
- Embedded costs of 1.8% are within industry norms but lack transparency compared to mutual funds or ETFs
- No guaranteed secondary market creates illiquidity risk that materialized due to unforeseeable health event
- Clients are affluent business owners but not financial professionals - unclear if they truly understood product mechanics
- Issuer credit risk from an A+-rated bank is low but non-zero and represents a qualitatively different risk than traditional investments
- 42% cumulative cap significantly limits upside, potentially making simpler balanced portfolios more efficient
- Suitability is judged at time of recommendation, but adequacy of liquidity risk disclosure is still at issue

### Likely Outcome

A regulator would likely investigate the adequacy of Simmons' disclosures and documentation regarding the structured note's liquidity limitations and early redemption risks, but would probably not pursue formal enforcement absent evidence that she failed to explain the product's key features. An arbitration panel would likely find the recommendation was suitable at the time it was made given the clients' profile, stated objectives, and financial resources, but could award partial damages if Simmons' written disclosures about illiquidity and early redemption penalties were insufficient. The case would most likely settle for a fraction of the \$29,000 liquidation loss - perhaps \$10,000-\$15,000 - with the firm absorbing costs to avoid the unpredictability of a full hearing on structured product suitability.

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## Borderline Scenario 147

Topic: reverse\_churning | Standard: Under Regulation Best Interest (Reg BI), broker-dealers must consider reasonably available alternatives

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### Fact Pattern

Gerald Whitfield, age 59, a recently retired municipal government employee, met with financial advisor Tricia Bowman in March 2021 to consolidate his retirement savings. Whitfield had \$620,000 in a 401(k) rollover and described himself as conservative, wanting to 'set it and forget it' for the next six to eight years until he planned to begin drawing Social Security at 67. Bowman recommended transferring all assets into a fee-based advisory account charging 1.25% annually (\$7,750 per year). She built Whitfield a portfolio of 60% investment-grade bond ETFs, 25% large-cap index ETFs, and 15% in a stable value fund. Over the next 30 months through September 2023, Bowman made exactly four trades in the account: an initial allocation in March 2021, a minor rebalance in January 2022 shifting 3% from equities to bonds after Whitfield expressed anxiety about market volatility, a second rebalance in August 2022 moving another 2% to bonds, and a dividend reinvestment adjustment in April 2023. The total commissions that would have been charged in a traditional brokerage account for these four transactions would have been approximately \$310. The advisory fees collected during this period totaled \$24,437. Whitfield's account gained approximately 4.1% cumulatively over the 30-month period, roughly in line with a blended benchmark of similar conservative allocations. Bowman's firm offered both fee-based advisory accounts and traditional commission-based brokerage accounts for the same products. Bowman documented at account opening that she chose the advisory model because Whitfield 'may need ongoing guidance during the transition to retirement and potential future income planning,' though no formal financial plan was ever created. Bowman did send Whitfield quarterly performance reports and called him twice a year to check in, with each call lasting 10-15 minutes. Whitfield never complained about the fee structure and renewed his advisory agreement annually without objection. Bowman also had access to a robo-advisory platform at her firm that charged 0.35% annually and could have managed the same ETF-based portfolio with automated rebalancing.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The core question is whether placing a largely passive, buy-and-hold conservative investor in a fee-based advisory account-rather than a commission-based brokerage account or a lower-cost robo-advisory platform-constituted a failure to act in the client's best interest. Arguments that Bowman violated her obligations: The fee disparity is stark. Whitfield paid \$24,437 in advisory fees for a period in which only four trades occurred, generating what would have been roughly \$310 in brokerage commissions. This represents a roughly 79:1 ratio of advisory fees to hypothetical commissions, suggesting the advisory wrapper provided minimal transactional value. The portfolio was composed entirely of low-cost ETFs and a stable value fund-products that required no active management expertise or complex security selection. Bowman's own firm offered a robo-advisory platform at 0.35% that could have executed the same rebalancing automatically, saving Whitfield approximately \$5,580 per year. The documented justification for the advisory account-potential future planning needs-never materialized into an actual financial plan. Two brief phone calls per year and quarterly reports that could be auto-generated do not justify a 1.25% annual fee on \$620,000. Arguments that Bowman acted appropriately: Whitfield was entering a critical life transition-early retirement-where ongoing advisory relationships often prove valuable. Even though the formal financial plan was not created, Bowman was available for consultation and did proactively reach out.



The conservative allocation she selected performed in line with benchmarks, suggesting competent portfolio construction. The fee-based model aligned Bowman's incentives with Whitfield's by removing any temptation to trade for commissions. Whitfield explicitly wanted a hands-off approach, which is what the advisory model delivered. Comparing solely on trade count ignores the ongoing monitoring, fiduciary oversight, and availability of the advisor. Furthermore, Whitfield was informed about the fee structure, agreed to it annually, and never objected. The account type choice involved a forward-looking judgment that Whitfield might need more active guidance as he approached Social Security decisions and potential income distribution planning.

### Why Borderline

This case sits in the gray zone because reverse churning analysis requires weighing the tangible cost differential against the intangible value of ongoing advisory services. The fee-to-commission disparity is large, but the advisor can point to legitimate reasons for recommending the advisory model for a transitioning retiree. The availability of the cheaper robo-advisory platform complicates the analysis, but advisors are not always required to recommend the cheapest option if human guidance adds value. Reasonable practitioners could disagree about whether the quarterly reports and biannual calls constituted sufficient 'ongoing services' to justify the fee premium.

### Borderline Factors

- Extreme disparity between advisory fees paid (\$24,437) and hypothetical commissions (\$310) over 30 months
- Portfolio consisted entirely of passive, low-cost ETFs requiring minimal active management
  - Advisor documented a forward-looking rationale (retirement transition guidance) that partially materialized through check-in calls but no formal plan
- Client was in a genuine life transition (recent retirement) where advisory relationships can provide legitimate value
- Cheaper robo-advisory option at the same firm could have managed an identical portfolio
- Client voluntarily renewed the advisory agreement each year without complaint
- Fee-based model aligned advisor incentives with client outcomes by eliminating commission temptation
- Only four trades in 30 months suggests the account was effectively unmanaged from a transactional standpoint

### Likely Outcome

A regulator reviewing this case would likely issue a cautionary finding or request enhanced documentation rather than pursue a full enforcement action. The 79:1 fee-to-commission ratio and availability of the robo-platform create a strong prima facie case for reverse churning, but the client's life circumstances (new retiree approaching Social Security decisions), lack of client complaint, annual fee disclosure and renewal, and benchmark-matching performance mitigate the severity. The most probable outcome is a deficiency letter requiring the firm to enhance its account-type review process and requiring advisors to document specific services rendered that justify advisory fees, particularly for low-activity accounts. If the regulator is aggressive, they might seek partial fee disgorgement for the period after it became clear no financial plan would be created.

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## Borderline Scenario 148

Topic: *reverse\_churning* | Standard: *Regulation Best Interest's Care Obligation requires broker-dealers to consider costs relative to*

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### Fact Pattern

Sandra Yuen, a 44-year-old software engineer earning \$285,000 annually, opened a fee-based advisory account with advisor Marcus Delgado in June 2020 with an initial deposit of \$430,000 from accumulated savings and stock option proceeds. The account charged a 1.0% annual advisory fee (\$4,300 initially, scaling with account value). Yuen told Delgado she wanted long-term growth, had a high risk tolerance, and was comfortable with volatility. She said she did not want to think about her investments and preferred someone else handle decisions. In the first eight months (June 2020 through January 2021), Delgado was actively engaged: he made 14 trades, built a diversified portfolio of individual stocks, sector ETFs, and a small allocation to alternative investment funds, and created a comprehensive financial plan covering tax optimization, backdoor Roth conversions, and equity compensation strategies. However, from February 2021 through December 2023—a span of nearly three years—Delgado made only six trades, all minor rebalancing moves of 2-4% among existing positions. During this 35-month quiet period, the account's value grew to approximately \$565,000, and Delgado collected cumulative advisory fees of approximately \$51,200 across the full 42-month relationship. Had Yuen been in a commission-based account, the 20 total trades would have generated estimated commissions of approximately \$2,800. Delgado did continue providing substantial non-trading services: he updated Yuen's financial plan annually, advised her on exercising company stock options in 2022 (saving her an estimated \$18,000 in taxes through timing and lot selection strategies), helped her evaluate disability insurance options, and consulted with her CPA on two occasions regarding estimated tax payments. Their meetings occurred quarterly, typically lasting 45-60 minutes each. Delgado's firm later conducted an internal review of low-activity fee-based accounts and flagged Yuen's account because the trade-to-fee ratio was in the bottom 15th percentile of all advisory accounts. Yuen, when contacted by the compliance department, stated she was 'very satisfied' with Delgado's services and felt the financial planning and tax advice alone were worth the fees. She added that she specifically did not want frequent trading.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This scenario requires distinguishing between the value of trade execution and the value of holistic advisory services. Arguments that Delgado violated his obligations: The raw numbers tell a concerning story. Over 42 months, Yuen paid approximately \$51,200 in advisory fees while only 20 trades were executed—trades that would have cost roughly \$2,800 in a commission-based account. That is an 18:1 fee-to-commission ratio. During the 35-month low-activity period specifically, the ratio is far worse. The portfolio, once constructed, essentially ran on autopilot with minimal rebalancing. If the primary value proposition of an advisory account is professional portfolio management, the near-absence of active management decisions raises questions about whether the fee-based structure was appropriate. Arguments that Delgado acted appropriately: This analysis, however, narrowly equates advisory value with trade frequency—a flawed framework. Delgado provided demonstrable non-trading value: a comprehensive and annually updated financial plan, tax optimization advice that saved the client an estimated \$18,000 on a single stock option exercise, insurance consultation, and CPA coordination. Quarterly 45-60 minute meetings represent approximately 12-16 hours annually of face-to-face advisory time, plus preparation. The financial planning services alone—if purchased separately from a fee-only financial planner—would likely cost \$3,000-\$6,000

annually. When combined with portfolio management, the 1.0% fee is within industry norms. Importantly, the low trading activity was consistent with Yuen's expressed preference and long-term growth objective. A buy-and-hold approach for a high-risk-tolerance growth investor with a 20+ year horizon is textbook sound investment management. The account's growth from \$430,000 to \$565,000 (approximately 31% over 42 months) suggests competent stewardship. The client herself confirmed satisfaction and specifically valued the non-trading services.

### Why Borderline

This case is genuinely ambiguous because it forces a determination about what advisory fees are meant to compensate. If the standard focuses narrowly on portfolio management activity, the low trade count suggests Yuen was overcharged. If the standard encompasses holistic financial planning, tax advice, insurance guidance, and ongoing availability, the fees appear reasonable-particularly given the documented \$18,000 tax savings. The case also raises the question of whether client satisfaction and informed consent can cure what might otherwise look like a structural overcharge. Reasonable regulators could disagree on how much weight to give non-trading advisory services when evaluating whether a fee-based account was appropriate versus a commission account supplemented by standalone financial planning fees.

### Borderline Factors

- Significant fee-to-commission disparity (\$51,200 vs. \$2,800) over the full relationship
- Substantial documented non-trading advisory services including financial planning, tax optimization, and insurance consultation
- Quantifiable tax savings of approximately \$18,000 from stock option timing advice
- Quarterly meetings of 45-60 minutes demonstrating ongoing engagement beyond portfolio management
- Client expressly preferred minimal trading and delegated investment decisions
- Account flagged internally by compliance as low-activity, suggesting the firm's own metrics raised concerns
- Client explicitly stated satisfaction and perceived the fees as justified
- 1.0% annual fee is within industry norms for comprehensive advisory services
- Initial period showed active engagement that tapered significantly, creating a two-phase pattern
- Alternative unbundled pricing (commission account plus standalone planning fees) was not presented to the client

### Likely Outcome

A regulator would most likely decline to pursue an enforcement action but might require enhanced documentation and disclosure practices. The key differentiator from a clear violation is the substantial, documented non-trading advisory services Delgado provided, particularly the tax optimization work with quantifiable savings. The client's informed satisfaction, while not dispositive, supports the conclusion that value was delivered. However, the regulator might require the firm to implement periodic account-type reviews that explicitly weigh non-trading services when evaluating low-activity fee-based accounts, and to present clients with comparative cost analyses at each annual renewal. The firm's internal compliance flag suggests appropriate self-monitoring, which regulators typically view favorably.

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## Borderline Scenario 149

Topic: *failure\_to\_know\_customer* | Standard: *FINRA Rule 2111 (Suitability) requires that a broker have a reasonable basis for belief*

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### Fact Pattern

Gerald Whitfield, a 58-year-old financial advisor at a mid-sized brokerage firm in Charlotte, North Carolina, took on a new client, Diane Ostrowski, in March 2022. Diane was a 47-year-old divorced woman who had just received a \$1.4 million divorce settlement. During their initial meeting, Gerald conducted a standard new-account intake, during which Diane stated she wanted 'growth with some safety' and described herself as having 'moderate' risk tolerance. She listed her occupation as a freelance graphic designer earning approximately \$65,000 per year and indicated she had no other significant assets beyond the settlement. Gerald's notes from the meeting were brief - approximately half a page - and did not document whether he asked about her monthly expenses, existing debts, health insurance situation, or whether she had dependents. Diane did, however, mention in passing during the meeting that she had 'a couple of kids still in school,' but Gerald did not record their ages, expected college timeline, or whether she had any existing education savings. Based on the stated 'moderate growth' objective, Gerald allocated roughly 60% of the portfolio to a diversified mix of large-cap and mid-cap equity ETFs, 25% to investment-grade corporate bond funds, and 15% to a real estate investment trust fund. The portfolio had a weighted average expense ratio of 0.38% and was broadly consistent with standard moderate-growth model portfolios used by the firm. Sixteen months later, in July 2023, Diane contacted the firm's compliance department upset because she needed to liquidate \$180,000 to cover her eldest child's first two years of college tuition and discovered that a market downturn had reduced her portfolio value to approximately \$1.22 million. She stated that had Gerald asked more about her near-term cash needs, she would have kept at least \$200,000 in cash or short-term instruments. Gerald maintains that Diane never explicitly mentioned upcoming college expenses as a near-term need, that the allocation was appropriate for a moderate-growth investor, and that the portfolio's 12.7% decline was within normal market parameters. The firm's new-account form had optional fields for 'anticipated liquidity needs' and 'dependent information' that Gerald left blank.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The central issue is whether Gerald's failure to probe deeper into Diane's financial situation - particularly her near-term liquidity needs and dependent children's educational expenses - constitutes a failure to know his customer sufficiently to make suitable recommendations. On one hand, Gerald gathered basic information (risk tolerance, income, investment objective) and constructed a portfolio that was objectively reasonable for a moderate-growth investor. The 60/25/15 equity-bond-REIT split is a standard moderate allocation, and the 0.38% expense ratio is competitive. The portfolio's 12.7% decline was within normal market volatility for such an allocation and does not by itself indicate unsuitability. Gerald can argue that Diane bore some responsibility to disclose her near-term cash needs explicitly, and that her vague mention of children 'in school' did not clearly signal an imminent \$180,000 liquidity event. On the other hand, the duty to know one's customer is affirmative - the advisor is expected to make reasonable efforts to gather relevant information, not merely accept whatever the client volunteers. The firm's own new-account form had specific fields for liquidity needs and dependent information, which Gerald left blank. A recently divorced 47-year-old woman with children 'still in school' and no other significant assets presents obvious red flags that should have prompted follow-up questions about time horizon segmentation and near-term cash needs. The \$1.4 million settlement was her sole financial resource, making thorough financial

discovery especially important. A reasonable advisor would have explored whether any portion of the settlement needed to remain liquid. Gerald's documentation was notably thin for a client in this life situation, and the omission of dependent details and liquidity needs suggests inadequate due diligence rather than a deliberate, informed choice to leave those fields blank.

### Why Borderline

This case is genuinely ambiguous because the portfolio itself was objectively reasonable for the stated risk profile, the client did not explicitly articulate her near-term cash needs, and the losses were driven by market conditions rather than inappropriate products. However, the advisor's failure to ask basic follow-up questions about an obvious life circumstance (children approaching college age, sole financial resource from a divorce) creates a plausible argument that the information-gathering was insufficient. Reasonable practitioners could disagree about how much probing is required when a client's casual comment hints at but does not clearly establish a near-term liquidity need.

### Borderline Factors

- Portfolio allocation was objectively consistent with the stated moderate-growth objective
- Client mentioned children 'in school' but did not explicitly state college tuition was an imminent need
- Advisor left optional but relevant fields on the firm's own new-account form blank
- The \$1.4 million divorce settlement was the client's sole significant asset, heightening the importance of thorough discovery
- Portfolio losses of 12.7% were within normal market parameters for the chosen allocation
- Advisor's documentation was notably thin given the complexity of the client's life situation
- Client bore some responsibility to clearly articulate known upcoming expenses
- A reasonable advisor encountering a divorced parent with school-age children would typically ask about education funding timelines

### Likely Outcome

A regulator would likely find a technical violation of the duty to gather sufficient customer information, but would view it as a less egregious failure given that the portfolio itself was not wildly inappropriate. The most probable outcome would be a letter of caution or a minor fine with a requirement for enhanced supervisory review of Gerald's new-account documentation practices, rather than a significant sanction. The firm might also face scrutiny for inadequate supervision of the account-opening process. A full-blown enforcement action is unlikely because the investment recommendations themselves were within reasonable parameters - the deficiency was in the information-gathering process rather than in the product selection.

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## Borderline Scenario 150

*Topic: excessive\_load\_funds | Standard: FINRA Rule 2111 (Suitability) requires a reasonable basis for believing a recommendation*

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### Fact Pattern

Marissa Chen, a financial advisor at a regional broker-dealer in Denver, Colorado, recommended a portfolio of mutual funds to her client, Thomas Brennan, a 52-year-old civil engineer earning \$145,000 annually with approximately \$620,000 in investable assets spread across a rollover IRA and a taxable brokerage account. Thomas indicated he was saving for retirement in roughly 13 years, had a moderate-to-aggressive

risk tolerance, and preferred a 'set it and mostly forget it' approach, stating he did not want to be actively managing his investments. In November 2022, Marissa allocated Thomas's portfolio across five actively managed mutual funds: a large-cap growth fund (Class A shares, 5.25% front-end load, 0.82% expense ratio), a mid-cap value fund (Class A shares, 5.50% front-end load, 0.91% expense ratio), an international developed markets fund (Class A shares, 5.75% front-end load, 1.05% expense ratio), a core bond fund (Class A shares, 3.75% front-end load, 0.68% expense ratio), and a small-cap blend fund (Class A shares, 5.50% front-end load, 1.12% expense ratio). The total investment was \$620,000, resulting in approximately \$31,700 in upfront sales charges. Marissa received approximately \$22,200 in commissions. Importantly, all five funds had strong track records - each had outperformed their respective Morningstar category averages over the trailing 3-, 5-, and 10-year periods, and four of the five carried 4- or 5-star Morningstar ratings. Thomas qualified for breakpoint discounts on three of the funds due to his investment size, which Marissa did apply, reducing what would have otherwise been approximately \$36,500 in total loads. Marissa's firm did offer lower-cost share classes (Class C with no front-end load but higher ongoing expenses, and institutional/advisory share classes through their fee-based platform at 0% load), but the fee-based platform would have charged an additional 1.0% annual advisory fee. Marissa documented in her notes that she chose Class A shares because Thomas's 13-year time horizon meant the front-end load amortized over time would be less expensive than ongoing Class C expenses or the fee-based platform's annual advisory fee, and that the actively managed funds aligned with Thomas's desire for a managed approach without personal involvement. Thomas filed a complaint 14 months later after a colleague informed him that nearly identical index-fund portfolios were available with no loads and expense ratios averaging 0.06%, and that his \$31,700 in upfront charges could have been entirely avoided.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This scenario presents a genuine tension between the availability of dramatically cheaper passive alternatives and the advisor's documented rationale for recommending higher-cost actively managed funds. Arguments that Marissa violated her obligations include: (1) the total upfront cost of \$31,700 was substantial - over 5% of Thomas's entire investable assets - and comparable low-cost index fund portfolios were available that would have delivered broad market exposure at a fraction of the cost; (2) Marissa's own firm offered share classes and platforms that would have eliminated front-end loads; (3) the weight of academic evidence suggests that most actively managed funds underperform their benchmarks over long periods net of fees, making a blanket recommendation of five load-bearing active funds questionable; and (4) Marissa's significant commission (\$22,200) creates an apparent conflict of interest. Arguments in Marissa's defense include: (1) all five funds had demonstrably strong performance track records across multiple time periods and carried high Morningstar ratings, suggesting she selected quality funds rather than mediocre ones; (2) she applied all available breakpoint discounts, saving Thomas approximately \$4,800; (3) her documented analysis comparing Class A loads amortized over 13 years versus ongoing Class C or advisory-fee costs shows she considered cost-effectiveness across share classes and concluded Class A was cheapest over Thomas's time horizon - a conclusion that is mathematically defensible; (4) Thomas's stated preference for a 'set it and mostly forget it' managed approach arguably aligned better with actively managed funds than with index funds requiring periodic rebalancing decisions; and (5) the recommendation of active management is not per se unsuitable, and regulators have generally not required advisors to recommend the absolute lowest-cost option available. The core question is



whether the existence of dramatically cheaper passive alternatives that could have met Thomas's objectives renders the load fund recommendations unsuitable, or whether the advisor's documented rationale and the quality of the selected funds provide sufficient justification.

### Why Borderline

This is a genuine gray area because the advisor did not recommend poor-quality or obscure funds - she selected well-performing, highly rated funds and documented a cost-comparison rationale for the share class selection. The Class A share recommendation over Class C or the advisory platform is arguably defensible on a total-cost-of-ownership basis over 13 years. However, the approximately \$31,700 in upfront charges is difficult to justify when near-identical market exposure was available through index funds at negligible cost, and the advisor's substantial commission creates an obvious conflict. Reasonable regulators could disagree about whether the duty to act in the client's best interest requires recommending low-cost passive alternatives when high-quality active alternatives are available, or whether recommending well-vetted active funds with documented rationale satisfies the standard.

### Borderline Factors

- All recommended funds had strong multi-year track records and high Morningstar ratings
- Advisor applied all available breakpoint discounts, saving approximately \$4,800
- Advisor documented a cost-comparison analysis showing Class A shares were cheapest over the client's 13-year horizon versus Class C or the fee-based platform
- Total upfront sales charges of \$31,700 represented over 5% of the client's total investable assets
- Near-identical passive index fund alternatives were available at expense ratios of approximately 0.06% with no load
- Advisor received \$22,200 in commissions, creating an apparent conflict of interest
- Client's stated preference for a 'set it and mostly forget it' approach could support either active or passive management
- The firm offered lower-cost share classes and a fee-based platform as alternatives
- Academic literature generally disfavors active management over long periods, but these specific funds had outperformed

### Likely Outcome

A regulator would likely scrutinize this case closely but would have difficulty establishing a clear-cut violation given the advisor's documented rationale and the quality of the selected funds. Under a heightened best interest standard, the regulator might find that the advisor failed to adequately consider reasonably available lower-cost alternatives that could have met the client's objectives, particularly given the magnitude of the cost differential. However, under a traditional suitability framework, the recommendations would more likely be found suitable given the funds' quality, the documented share-class analysis, and the application of breakpoints. The most likely outcome under current standards would be an examination finding with recommendations to enhance the firm's processes for documenting why load funds were recommended over available low-cost alternatives, but a formal enforcement action resulting in sanctions would be uncertain. If pursued, it would likely be resolved through a modest fine or restitution of a portion of the loads rather than a career-ending sanction.

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## Borderline Scenario 151

Topic: illiquid\_investments | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for believing t

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### Fact Pattern

Margaret Dawson, age 59, is a semi-retired hospital administrator earning \$95,000 per year from part-time consulting work. She has a net worth of approximately \$2.1 million, including her primary residence valued at \$450,000 (with no mortgage), \$1.2 million in various brokerage and retirement accounts, and \$450,000 in bank savings and CDs. She told her advisor, Ryan Purcell, that she planned to fully retire at 63 and wanted to generate stable income to supplement her pension, which would pay \$38,000 annually. She described herself as having a 'moderate' risk tolerance and said she didn't need to touch her investments for at least four years. In March 2022, Purcell recommended that Margaret invest \$200,000 - roughly 16.7% of her liquid investment portfolio - into a non-traded real estate investment trust (REIT) focused on medical office buildings and senior living facilities. The REIT had a minimum seven-year hold period with no guaranteed redemption prior to a liquidity event, paid a stated distribution of 5.8% annually, and carried total upfront costs (including commissions and offering expenses) of approximately 11.5%. Purcell explained the illiquidity and the fee structure in a meeting, and Margaret signed an acknowledgment form confirming she understood the product's restrictions. He noted in his file that the medical real estate sector aligned with Margaret's professional background and that the income stream would complement her pension. Margaret's existing portfolio included \$600,000 in diversified equity mutual funds, \$350,000 in investment-grade bond funds, and \$250,000 in a money market account. After the investment, Margaret's liquid reserves (money market plus CDs) totaled approximately \$700,000. In late 2023, Margaret's consulting contract was unexpectedly not renewed. She approached Purcell about redeeming her REIT shares to cover living expenses during the gap, only to learn the fund had suspended its limited share repurchase program due to heavy redemption requests across the industry. Margaret filed a complaint alleging the investment was inappropriate given her approaching retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Purcell violated applicable standards: Margaret was four years from full retirement, making liquidity increasingly important. The seven-year minimum hold period meant the investment would not become liquid until she was at least 66, well into her retirement years, creating a mismatch between the product's time horizon and her stated retirement timeline. The 11.5% upfront cost significantly eroded the effective yield and represented a meaningful drag on returns, raising questions about whether lower-cost, more liquid alternatives (such as publicly traded REITs or investment-grade bonds) could have provided comparable income without the illiquidity risk. A 16.7% allocation to a single illiquid product is a material concentration for someone approaching retirement. The suspension of the share repurchase program - while not foreseeable in its timing - illustrates exactly the liquidity risk that should have been weighed more heavily for a pre-retiree.

Arguments that Purcell acted appropriately: At the time of the recommendation, Margaret had substantial liquid reserves. Even after the \$200,000 REIT investment, she retained approximately \$700,000 in highly liquid savings (CDs and money market) plus \$950,000 in readily marketable securities - totaling \$1.65 million in liquid assets. She stated she would not need the money for four years, and her pension income of \$38,000 combined with her consulting income of \$95,000 more than covered her expenses. The 16.7%

allocation to the illiquid REIT was within ranges that many firms consider acceptable for clients with her net worth and liquidity profile. The medical office and senior living focus was a sector Margaret understood professionally, which supports her ability to evaluate the investment's merits. Purcell documented the illiquidity risks and obtained a signed acknowledgment. The job loss was an unforeseeable life event that changed her circumstances after the recommendation was made. At the time of the recommendation, her financial profile supported some illiquid exposure.

### Why Borderline

This case sits in genuine gray territory because the quantitative factors - liquid net worth, allocation percentage, income coverage, and stated time horizon - are all within ranges that reasonable practitioners and regulators could interpret differently. The 16.7% illiquid allocation is above some firms' internal thresholds (often 10-15%) but below others (some allow up to 20-25% for high-net-worth clients). The approaching retirement creates legitimate concern about liquidity needs, but Margaret's substantial remaining liquid reserves arguably provided an adequate cushion. The unforeseen job loss complicates the analysis because suitability is generally evaluated at the time of the recommendation, yet the proximity to retirement meant that life disruptions were foreseeable in a general sense. The high upfront costs raise best-interest questions about whether cheaper alternatives existed, but the 5.8% stated distribution was competitive for income-oriented products at the time.

### Borderline Factors

- 16.7% illiquid allocation falls in a contested range - above conservative thresholds but within limits many firms permit
- Four-year window before retirement versus seven-year hold period creates a time horizon mismatch that could be viewed as moderate or significant depending on interpretation
- Substantial remaining liquid reserves (\$1.65 million) after the investment arguably provided adequate cushion
- 11.5% upfront costs raise questions about whether comparable income could have been achieved through lower-cost liquid alternatives
- Client's professional familiarity with medical real estate sector cuts in favor of informed consent
- Job loss was unforeseeable, but proximity to retirement made financial disruptions a general risk that arguably should have been weighted
- Signed acknowledgment of illiquidity and documented rationale support procedural compliance but do not necessarily satisfy substantive standards
- The REIT's suspension of share repurchases was an industry-wide phenomenon, not specific to this fund, complicating foreseeability analysis

### Likely Outcome

A regulator would likely issue a cautionary letter or seek a modest settlement rather than pursue a full enforcement action. The quantitative case is close enough that the advisor has defensible arguments, but the combination of approaching retirement, the seven-year lockup extending well past the retirement date, and the high upfront costs would concern most examiners. The unforeseen job loss would likely not be held against the advisor in isolation, but it underscores the liquidity risk that was already present. A panel or arbitrator might find a partial violation - concluding that while some illiquid exposure was acceptable, the specific allocation size or product selection could have been more conservative - and award partial damages, likely limited to the upfront cost differential and any losses attributable to the inability to redeem.

**Borderline Scenario 152**

*Topic: lack\_of\_diversification | Standard: Under FINRA Rule 2111, the customer-specific suitability obligation requires the advisor to*

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**Fact Pattern**

David Chen, age 44, is a software engineering director at a publicly traded cybersecurity company, earning a base salary of \$210,000 plus annual restricted stock unit (RSU) grants averaging \$180,000 in value. Over eight years with the company, David accumulated approximately \$1.4 million in vested company stock. His total investable assets outside the company stock were approximately \$620,000, held in a 401(k) plan invested in a target-date fund and a taxable brokerage account with \$180,000 in a diversified index fund. In early 2021, David opened an advisory account with financial advisor Theresa Quinlan. His new account form listed his total net worth at \$2.6 million (including \$500,000 in home equity), his risk tolerance as 'growth-oriented,' and his investment objective as 'long-term capital appreciation.' During their initial planning meetings, Quinlan recommended that David sell a significant portion of his company stock and diversify into a broader portfolio. David pushed back firmly, telling Quinlan in emails that he believed the cybersecurity sector was poised for massive growth over the next decade, that he had deep insider knowledge of his company's product pipeline (though he clarified he had no material nonpublic information), and that selling would trigger approximately \$280,000 in capital gains taxes. After two follow-up conversations in which Quinlan reiterated her diversification recommendation, David instructed her to retain \$1.1 million in company stock (representing roughly 53% of his total investable assets) and invest only the remaining \$300,000 of company stock proceeds plus his \$180,000 taxable account into a diversified growth portfolio. Quinlan documented each conversation, noted David's rationale, and marked her file with 'client declined diversification recommendation - see correspondence.' She invested the \$480,000 in a well-diversified growth allocation. Over the following 18 months, David's company stock declined 62% amid a broad tech selloff, reducing the \$1.1 million position to approximately \$418,000. David's total portfolio dropped from roughly \$2.1 million (excluding home equity and 401(k)) to approximately \$898,000. David filed a complaint alleging that Quinlan should have been more forceful in requiring diversification or should have refused to maintain the concentrated position.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Quinlan violated applicable standards: A 53% concentration in a single equity - particularly the client's own employer - represents an extraordinarily undiversified position that exposes the client to both investment risk and correlated employment risk (if the company struggles, David could lose both his stock value and his job simultaneously). Some regulators and arbitration panels have held that an advisor managing an account has an ongoing duty to ensure the overall portfolio is suitable, and that merely documenting a client's refusal to diversify may not be sufficient - particularly when the advisor has discretionary or advisory authority over the broader account. By agreeing to manage the account with the concentrated position intact, Quinlan arguably ratified the unsuitable allocation. The tax argument, while understandable, is a common rationalization that does not override fundamental diversification principles; Quinlan could have recommended staged sales, charitable giving strategies, exchange funds, or hedging strategies like protective puts or collars to reduce concentration without triggering the full tax burden. The fact that Quinlan only recommended diversification and did not explore or present these alternatives could

be viewed as a failure to exercise adequate care.

Arguments that Quinlan acted appropriately: Quinlan made a clear, documented diversification recommendation on multiple occasions. David was a sophisticated, high-income professional who made an informed, deliberate decision to retain concentration based on his own assessment of the sector and a legitimate tax concern. The \$280,000 potential tax liability was a real and material consideration that reasonably influenced the allocation decision. Quinlan did not have discretionary authority over the company stock - it was held in David's name and his decision to retain it was his autonomous choice. She diversified the assets David did allocate to her management. Advisors generally cannot force clients to follow recommendations, and refusing to serve a client who declines advice would be paternalistic and potentially a breach of the client relationship. David's 'growth-oriented' risk tolerance and long time horizon (20+ years to retirement) are consistent with accepting some degree of concentrated equity risk. The stock's decline was part of a broad market correction, not a company-specific failure that should have been foreseeable.

The critical question is whether Quinlan's duty extended beyond recommending diversification to either (a) refusing to maintain the advisory relationship with the concentrated position, (b) presenting specific tax-efficient alternatives to outright sale, or (c) implementing periodic check-ins with escalating urgency as the position grew or shrank relative to the portfolio.

### Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of client autonomy and advisor duty. The advisor did the textbook procedural steps - recommended diversification multiple times, documented the client's refusal, and noted the rationale. However, the substantive question of whether an advisor who continues to manage an account with a known 53% single-stock concentration has implicitly endorsed that allocation is hotly debated. The client's sophistication, the legitimate tax concern, and the growth-oriented risk profile all support the advisor's position. But the magnitude of the concentration, the correlated employment risk, and the failure to explore tax-efficient diversification alternatives (rather than just recommending outright sale) create a substantive argument that the advisor's care fell short. Arbitration panels have gone both ways on nearly identical fact patterns.

### Borderline Factors

- 53% concentration in a single employer stock is extreme but the client explicitly directed it after being informed of the risks
- Advisor documented multiple diversification recommendations and client's refusal - strong procedural compliance
- Legitimate \$280,000 tax liability created a real financial barrier to diversification that was not addressed through alternative strategies
- Advisor did not explore or present tax-efficient diversification alternatives (exchange funds, systematic sales, hedging, charitable strategies)
- Client was a sophisticated high-income technology professional with self-described sector expertise
- Correlated employment risk (same employer for income and concentrated stock) amplifies the danger beyond ordinary single-stock concentration
- Growth-oriented risk tolerance and 20-year time horizon provide some support for accepting equity volatility

- Advisor managed the diversified portion appropriately, raising the question of whether her responsibility extended to assets the client refused to reallocate
- Stock decline was part of a broad market sector correction, not a company-specific event, complicating the causation and foreseeability analysis

### Likely Outcome

A regulatory examiner or arbitration panel would likely find this case to be a close call but would probably not impose significant sanctions or full damages on the advisor. The documented recommendations and client refusals would carry substantial weight. However, a panel might find a partial failure in the advisor's duty of care based on the absence of any discussion or presentation of tax-efficient diversification alternatives - a finding that the advisor's recommendation was too narrow (sell or don't sell) rather than exploring the full range of options available to address the concentration. This could result in a finding of shared responsibility, with damages potentially limited to the cost of implementing a hedging strategy that was never offered, rather than the full portfolio losses. Some panels might dismiss entirely based on the client's informed refusal.

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## Borderline Scenario 153

*Topic: bond\_duration\_mismatch | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the client's needs, objectives, and financial situation.*

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### Fact Pattern

Margaret Hollis, age 68, retired in January 2022 with a \$1.4 million portfolio. She told her advisor, Craig Brennan, that she needed to generate reliable income to cover living expenses of roughly \$4,500 per month and that she planned to begin drawing from the portfolio within 2-3 years once her husband's pension payments ceased upon his anticipated passing (he was in hospice care with late-stage cancer). She described herself as 'moderately conservative' and said she did not want to take on significant risk. Her account forms listed her investment objective as 'income' and her time horizon as '5-10 years,' which Brennan selected because he believed Margaret, in good health herself, needed the portfolio to last through her remaining life expectancy of roughly 20 years. Between February and June 2022, Brennan moved approximately 70% of the portfolio - about \$980,000 - into long-duration investment-grade corporate bonds and Treasury bonds with maturities ranging from 15 to 25 years. The weighted average duration of the bond portfolio was approximately 14.2 years. Brennan's reasoning was that locking in yields of 3.5%-4.2% at the time would secure Margaret's income needs for the long term and that she would hold the bonds to maturity, making interim price fluctuations irrelevant. He documented in his notes that Margaret agreed she was a 'buy and hold' investor. By October 2022, rising interest rates had caused the portfolio's mark-to-market value to decline by approximately \$185,000, or about 19% on the bond allocation. Margaret's husband passed away in November 2022, and she needed to begin withdrawals immediately - earlier than the 2-3 year timeline she originally discussed. She liquidated approximately \$220,000 in bonds at a realized loss of \$41,000 to cover expenses and medical bills. Margaret complained that Brennan should have kept a larger portion of the portfolio in shorter-duration bonds or a bond ladder given her near-term income needs. Brennan countered that the bonds were all investment-grade, the yields met her income requirements, the interest payments were unaffected by rate changes, and that the early liquidation was driven by an unforeseeable acceleration in her husband's death. He also noted that Margaret had been informed about interest rate risk in general terms during their meetings.



### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Brennan violated his obligations: Margaret clearly communicated a near-term income need (2-3 years), and a moderately conservative risk profile. Placing 70% of the portfolio in bonds with 15-25 year maturities and a 14.2-year weighted average duration created substantial interest rate risk that was mismatched with her stated timeline. Even if she intended to hold to maturity, a prudent advisor should have anticipated the possibility that a client with a husband in hospice might face accelerated liquidity needs - this was not an unforeseeable 'black swan' event but a reasonably probable contingency. A bond ladder or barbell strategy with significant short-duration allocations would have better served her stated objectives. The \$41,000 realized loss was a direct and predictable consequence of duration mismatch. Under FINRA Rule 2111 and Regulation Best Interest, the advisor must consider the customer's investment profile holistically, including reasonably foreseeable liquidity needs. The time horizon discrepancy - Margaret said 2-3 years but Brennan selected 5-10 years on the form - suggests Brennan substituted his own judgment for the client's stated needs. Arguments that Brennan acted appropriately: The bonds were all investment-grade, consistent with a conservative income objective. The yields of 3.5%-4.2% would have fully met Margaret's \$4,500/month income need through coupon payments without requiring principal liquidation if held as planned. Brennan's reasoning about Margaret's 20-year life expectancy was sound - shorter-duration bonds would have required reinvestment at potentially lower rates, creating reinvestment risk. He documented her agreement to a buy-and-hold approach. The early liquidation was driven by an acceleration of the husband's passing, which Brennan could argue was not a certainty at the time of investment. The 30% not allocated to long bonds presumably provided some liquidity cushion. Interest rate risk in a hold-to-maturity strategy is fundamentally different from speculative risk, and all coupon payments were received as expected.

### Why Borderline

This case sits in genuine gray territory because the advisor had a defensible long-term rationale for the duration positioning, and the bonds were appropriate in credit quality and income generation. However, the client's circumstances - a husband in hospice, stated near-term withdrawal needs - arguably demanded more duration awareness and liquidity planning. The core tension is between optimizing for long-term income (which favored longer duration) and managing for reasonably foreseeable near-term contingencies (which favored shorter duration or a laddered approach). The time horizon discrepancy on the account form adds complexity, as does the question of whether a husband's imminent death from terminal illness constitutes a 'foreseeable' liquidity event.

### Borderline Factors

- Client stated 2-3 year withdrawal timeline but advisor selected 5-10 year time horizon based on life expectancy analysis
- Husband in hospice made accelerated liquidity needs reasonably foreseeable, not truly unforeseeable
- Bonds were all investment-grade and coupon payments met stated income needs - the strategy worked as designed absent early liquidation
- 70% concentration in long-duration bonds is aggressive for duration but conservative for credit quality
- Hold-to-maturity strategy eliminates realized interest rate losses only if the client can actually hold to maturity

- Advisor documented client's buy-and-hold agreement but may not have adequately stress-tested liquidity scenarios
- Only \$41,000 in realized losses on a \$1.4 million portfolio - arguably modest harm

### Likely Outcome

A regulator would likely find this a borderline violation, with the outcome hinging on the adequacy of Brennan's liquidity planning given known circumstances. The fact that Margaret's husband was already in hospice at the time of the investment decisions makes the accelerated withdrawal timeline reasonably foreseeable rather than speculative. A FINRA arbitration panel would likely find partial liability - the advisor should have maintained a larger short-duration allocation as a liquidity reserve given the known contingency. However, sanctions would likely be moderate (possible restitution of the \$41,000 realized loss, a letter of caution or small fine) rather than severe, given that the underlying credit quality was appropriate and the strategy was not facially unreasonable.

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## Borderline Scenario 154

*Topic: reverse\_churning | Standard: Regulation Best Interest (Reg BI), adopted under Section 15(l) of the Securities Exchange Act, n*

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### Fact Pattern

David Okafor, age 45, a software engineer earning \$210,000 per year, opened a fee-based advisory account with advisor Lisa Cheng in March 2021. The account was funded with \$620,000 in savings and rollover IRA assets. The advisory fee was 1.15% annually, charged quarterly, totaling approximately \$7,130 per year. During the initial consultation, David told Lisa he was a long-term investor focused on retirement in 20 years, preferred a 'set it and forget it' approach, and did not want to be bothered with frequent trading decisions. Lisa constructed a diversified portfolio of 12 low-cost index ETFs and two actively managed bond funds, with a total weighted expense ratio of 0.18%. After the initial construction trades in March-April 2021, Lisa made only minor rebalancing trades: she rebalanced once in September 2021, once in March 2022 after the equity drawdown, and made a small tax-loss harvesting trade in December 2022. In total, over the 24-month period from March 2021 through February 2023, there were 11 trades in the account. Lisa provided quarterly portfolio reviews via video call (8 total over the period), responded to 6 emails from David asking about market conditions, and proactively reached out twice during the 2022 market volatility to discuss whether David wanted to make changes (he declined both times). David's portfolio returned approximately 2.3% over the 24-month period, compared to a blended benchmark return of 1.8%, so performance was slightly above benchmark. Had David been in a commission-based brokerage account, the total commissions on the 11 trades would have been approximately \$385 (assuming standard online brokerage commission rates). Instead, David paid approximately \$14,260 in advisory fees over the same period. A compliance review flagged the account for potential reverse churning - collecting ongoing advisory fees disproportionate to the level of trading activity. Lisa argued that the value she provided was holistic financial advice, behavioral coaching during market downturns, ongoing monitoring, and portfolio construction expertise, not merely trade execution.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Lisa violated her obligations: The quantitative disparity is stark - David paid \$14,260 in advisory fees for services that would have cost \$385 in a commission-based account, a ratio of roughly 37:1. Only 11 trades over 24 months suggests the account was essentially dormant from a transaction standpoint, and a fee-based structure primarily benefited the advisor through predictable revenue rather than the client through superior service. A reasonable cost-benefit analysis would suggest that a buy-and-hold investor using low-cost index ETFs could achieve nearly identical results in a self-directed or commission-based account at a fraction of the cost. The advisory fee of 1.15% on a portfolio of ETFs averaging 0.18% in expenses means the total cost drag was 1.33% annually - meaningful over a 20-year retirement accumulation horizon. Under best interest principles, advisors must consider the cost of the recommendation, including the account type, and should recommend commission-based accounts when the client's anticipated trading frequency and service needs do not justify ongoing fees. Arguments that Lisa acted appropriately: David explicitly requested a 'set it and forget it' approach and did not want to make frequent trading decisions - a fee-based advisory relationship with professional management is precisely designed for this type of client. Lisa provided meaningful services beyond trade execution: portfolio construction across 14 positions, quarterly reviews, proactive outreach during volatile markets, tax-loss harvesting, and behavioral coaching that kept David invested during the 2022 drawdown. The portfolio outperformed its benchmark by 50 basis points, suggesting Lisa's management added value. Fee-based accounts provide aligned incentives - the advisor is not incentivized to trade excessively. The 1.15% fee is within the range of standard advisory fees and was clearly disclosed. Furthermore, reducing advisor value to trade count fundamentally misunderstands the advisory relationship. David was informed of and agreed to the fee structure, and the account type matched his stated preference for delegated, ongoing management.

### Why Borderline

This scenario represents the genuine tension in the reverse churning debate. The quantitative cost comparison overwhelmingly favors a commission-based account, but the qualitative value of ongoing advice, behavioral coaching, and portfolio management is difficult to quantify. The client specifically requested the type of low-maintenance, professionally managed relationship that fee-based accounts provide, and the portfolio outperformed its benchmark. The question of whether 1.15% annually is 'too much' for the services provided is inherently subjective and depends on whether one values advisory services beyond trade execution. Reasonable practitioners and regulators disagree sharply on whether low trading activity alone is sufficient evidence that a fee-based account was inappropriate.

### Borderline Factors

- 37:1 cost ratio between advisory fees and hypothetical commissions creates strong quantitative evidence of potential harm
- Client explicitly requested delegated, hands-off management - the exact service model a fee-based account provides
- Only 11 trades in 24 months, but advisor provided 8 quarterly reviews, 6 email responses, and 2 proactive outreach contacts
- Portfolio outperformed blended benchmark by approximately 50 basis points, suggesting active management added some value
- 1.15% advisory fee is within industry norms but is high for a passive ETF portfolio
- Tax-loss harvesting and behavioral coaching during 2022 volatility are legitimate value-added services

difficult to quantify

- Over a 20-year horizon, the cumulative fee difference could amount to \$150,000+ in foregone compounding
- Client was fully informed of and consented to the fee structure

### Likely Outcome

A regulator would likely decline to pursue this as a violation, though it might result in enhanced scrutiny or a recommendation to document the services provided more thoroughly. The key factors favoring Lisa are: the client's explicit preference for delegated management, the provision of tangible services beyond trade execution, portfolio outperformance, an advisory fee within industry norms, and full fee disclosure. However, a regulator conducting a sweep examination might flag the account for further review and require Lisa to document her account-type recommendation rationale more thoroughly, particularly the analysis of whether a commission-based account would have been more cost-effective. If this arose in a customer complaint context rather than a routine exam, and especially if performance had been negative, the outcome might tilt toward a finding of violation.

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## Borderline Scenario 155

*Topic: failure\_to\_know\_customer | Standard: FINRA Rule 2111 (Suitability), including the customer-specific suitability obligation requ*

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### Fact Pattern

Marcus Holloway, a 58-year-old financial advisor at a mid-size brokerage, opened an account for Patricia Deng, a 44-year-old software engineer earning \$215,000 annually with approximately \$1.2 million in total investable assets. During the account opening process in March 2022, Holloway conducted a 35-minute phone conversation with Deng, during which she described herself as having 'some experience' with investing, mentioned she had a 401(k) through her employer that she'd been contributing to for 15 years, and said she wanted to 'grow her wealth aggressively' for early retirement, targeting age 55. Holloway filled out the new account form listing her risk tolerance as 'aggressive,' her investment experience as 'moderate,' her time horizon as '10+ years,' and her liquid net worth as \$800,000. However, Holloway did not ask Deng about her existing portfolio allocation in the 401(k), which held approximately \$620,000 heavily concentrated in technology sector funds. He also did not inquire about her outstanding liabilities - Deng had \$340,000 remaining on her mortgage and \$45,000 in student loans. He did not ask about any dependents; Deng had two children, ages 8 and 12, for whom she was planning to fund college education. Based on the information he gathered, Holloway recommended a portfolio heavily weighted toward growth equities (75%), including significant positions in emerging market ETFs and small-cap growth funds, with the remaining 25% in corporate bonds. Over the next 14 months, the portfolio declined approximately 18%, losing roughly \$70,000 of the \$390,000 Deng had deposited. Deng filed a complaint alleging that Holloway never asked enough questions to truly understand her financial picture and that the recommendations were too aggressive given her actual overall situation. Holloway's firm's records show the new account form was completed, the risk tolerance questionnaire was signed by Deng, and Deng had verbally confirmed the aggressive growth strategy in a recorded call. Holloway contends that Deng presented herself as a knowledgeable investor who explicitly wanted aggressive growth and that she never volunteered information about her debts or children despite having the opportunity to do so.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case presents tension between the advisor's duty to make reasonable efforts to understand a client's full financial picture and the client's own representations and omissions. On one hand, Holloway did conduct an intake conversation, completed the required account documentation, obtained a signed risk tolerance questionnaire, and had a recorded call in which Deng confirmed the aggressive strategy. Deng is a sophisticated professional earning over \$200,000 with stated experience in investing. Under FINRA Rule 2111 (Suitability) and its three component obligations - reasonable-basis, customer-specific, and quantitative suitability - the advisor must make reasonable efforts to ascertain the customer's investment profile, which includes age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other information the customer discloses. Regulation Best Interest under the Securities Exchange Act of 1934, Rule 15l-1, imposes a Care Obligation requiring advisors to exercise reasonable diligence, care, and skill in understanding the customer's investment profile. The critical question is whether Holloway's failure to ask about existing portfolio holdings, outstanding debts, and dependents constitutes a failure to exercise 'reasonable diligence.' FINRA guidance in Regulatory Notice 12-25 indicates that the duty to know the customer extends to making affirmative inquiries and not merely accepting what the customer volunteers. The fact that Deng had \$385,000 in outstanding liabilities and two children approaching college age could materially alter the suitability analysis - her actual liquidity needs and risk capacity may have been significantly different from what the account form reflected. On the other hand, advisors are not required to independently verify all customer information, and customers bear some responsibility for providing accurate and complete information. Deng signed the forms, confirmed the strategy, and never mentioned her debts or children. The 18% loss, while significant, occurred during a period of broad market decline in 2022 when aggressive growth portfolios commonly experienced similar drawdowns, suggesting the loss may reflect market conditions rather than unsuitable recommendations.

### Why Borderline

This is genuinely ambiguous because the advisor did conduct an intake process and obtain the client's explicit consent to the aggressive strategy, but the intake was arguably incomplete in ways that could have materially changed the recommendations. The client bears some responsibility for not volunteering information, but the advisor also has an affirmative duty to ask reasonable questions. The resulting portfolio - 75% growth equities for a 44-year-old with a 10+ year horizon - is not facially unreasonable for someone with the profile as documented, but it might be unsuitable if the full financial picture including debts, dependents, and existing concentrated holdings were known.

### Borderline Factors

- Advisor conducted a 35-minute intake call but failed to ask about existing holdings, liabilities, and dependents
- Client signed risk tolerance questionnaire and verbally confirmed aggressive strategy on recorded call
- Client is a high-earning professional who described herself as having investing experience
- Undisclosed liabilities of \$385,000 and two children needing college funding materially affect risk capacity
- Existing 401(k) concentration in technology sector means total portfolio was even more aggressive than the advisor's recommendations alone would suggest

- 18% portfolio decline occurred during a broad market downturn affecting similar portfolios
- The question of how far an advisor must probe versus relying on client representations is genuinely debatable

### Likely Outcome

A regulator would likely find a technical violation of the know-your-customer obligation but might impose only modest sanctions. The failure to ask about existing holdings, debts, and dependents represents an incomplete customer profile that falls below the standard of reasonable diligence. However, the mitigating factors - client's sophistication, signed documentation, verbal confirmation, and market conditions explaining much of the loss - would likely result in a cautionary action, a fine on the lower end, or a requirement for enhanced supervisory procedures rather than severe disciplinary action. An arbitration panel might split the difference, finding partial liability and awarding a fraction of the claimed losses.

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## Borderline Scenario 156

*Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, cu*

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### Fact Pattern

Rebecca Stanton, a registered representative at a small broker-dealer based in Tampa, Florida, recommended shares in three micro-cap companies - trading at \$0.85, \$1.20, and \$0.45 per share respectively on the OTC Markets - to her client, David Munroe, a 51-year-old retired firefighter with a pension providing \$62,000 annually and a brokerage account containing approximately \$280,000, which represented the bulk of his non-pension liquid savings. Munroe had opened his account in 2019 and had previously invested in a mix of blue-chip stocks, index funds, and some individual mid-cap positions. His account form listed his risk tolerance as 'moderate to aggressive,' his investment objective as 'growth,' and his experience level as 'good - 10+ years of self-directed investing.' In conversations documented through Stanton's contemporaneous notes, Munroe had expressed frustration with the returns on his existing portfolio and told Stanton he wanted to 'find some higher-upside plays' and was 'willing to take some risk for bigger gains.' Stanton recommended allocating approximately \$35,000 total across the three micro-cap positions - roughly 12.5% of his portfolio. She provided Munroe with research she had compiled on each company: one was a biotech firm in Phase 2 clinical trials, another was an early-stage lithium mining company, and the third was a small cybersecurity firm that had recently won a government contract. All three companies had audited financials available through OTC Markets, though two had been public for less than three years. Stanton disclosed to Munroe that these were speculative investments, that the stocks were thinly traded with wide bid-ask spreads, and that he could lose the entire \$35,000. Munroe signed a penny stock risk disclosure document and confirmed his understanding in writing. Over the following eight months, the biotech stock dropped to \$0.12 after a failed trial, the lithium company traded sideways, and the cybersecurity firm rose to \$2.80. Net across all three positions, Munroe lost approximately \$14,000 (a 40% loss on the \$35,000 allocated). Munroe filed a complaint stating that these speculative stocks were inappropriate for a retiree relying on savings to supplement a fixed pension and that Stanton should never have recommended penny stocks to someone in his situation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?



### Analysis

This case involves the intersection of penny stock suitability requirements and a client whose documented profile includes elements supporting both sides. Under FINRA Rule 2111, recommendations must be suitable based on the customer's investment profile. Penny stock transactions carry heightened suitability concerns due to the speculative nature, limited liquidity, and potential for significant loss, as recognized in SEC Rule 15c-9, which requires specific penny stock disclosures and suitability determinations for stocks trading below \$5 per share on OTC markets. Arguments that Stanton violated suitability: Munroe is a 51-year-old retiree whose \$280,000 brokerage account represents substantially all of his liquid savings beyond his pension. A retiree in this position has limited ability to recover from speculative losses, and the pension - while providing a stable base - does not make speculative investing appropriate per se. Many regulators and arbitration panels have found penny stock recommendations unsuitable for retirees regardless of stated risk tolerance, reasoning that the documented risk tolerance may not reflect the client's actual capacity to bear loss. The 12.5% allocation to highly speculative, thinly traded securities is a significant concentration in the riskiest possible asset class. Arguments that Stanton acted appropriately: The allocation was limited to 12.5% of the portfolio - a meaningful but minority position that left 87.5% in more conservative holdings. Munroe had documented investment experience of over 10 years, had a moderate-to-aggressive risk tolerance, explicitly sought higher-upside investments, and was informed of and acknowledged the risks in writing by signing the penny stock disclosure. Stanton conducted her own research, selected companies with available audited financials, and provided that research to Munroe. The client's pension provides a floor of \$62,000 annually in guaranteed income, meaning the brokerage account is supplemental rather than his sole source of retirement income. Stanton's position sizing suggests she was attempting to manage risk while accommodating the client's expressed desire for growth. The fact that one of the three positions tripled in value suggests the recommendations were not random or uninformed speculation.

### Why Borderline

The genuine ambiguity arises because the client's profile sends conflicting signals about the appropriateness of speculative investments. He is a retiree dependent on savings, which typically argues against penny stocks, but he has a stable pension providing baseline income, documented experience, an aggressive risk tolerance, and explicitly requested higher-risk opportunities. The position sizing at 12.5% of the portfolio is in the gray zone - large enough to cause meaningful harm but small enough to constitute a satellite allocation rather than a core position. The advisor took meaningful steps to disclose risks and document consent, but the question of whether penny stocks are ever suitable for a retiree with limited liquid wealth remains genuinely contested among practitioners and regulators.

### Borderline Factors

- Client is a retiree but has a stable \$62,000 annual pension providing baseline income independent of the brokerage account
- Allocation of 12.5% to penny stocks is significant but not dominant - falls in a gray zone between acceptable satellite exposure and excessive speculation
- Client had 10+ years of self-directed investing experience and a documented moderate-to-aggressive risk tolerance
- Client explicitly requested higher-upside investments and was documented as willing to accept risk
- Advisor provided company-specific research and selected stocks with audited financials, not blind speculation

- Full penny stock risk disclosures were provided and signed by the client
- The \$280,000 account represents the bulk of the client's liquid savings outside the pension, limiting his ability to recover losses
- Two of three companies had been public for less than three years, indicating higher uncertainty
- Net 40% loss on the penny stock allocation represents about 5% of total portfolio value

### Likely Outcome

This is a close case that could go either way depending on the forum. A FINRA arbitration panel would likely view the combination of retirement status and penny stock recommendations with skepticism, but the limited allocation, thorough disclosure, client's documented experience and expressed preferences, and the pension providing income security could lead to a finding of no violation or at most a reduced damages award. A regulator conducting an examination might flag the transactions for heightened scrutiny under penny stock suitability requirements but could ultimately conclude that the advisor's process - research, disclosure, appropriate sizing, and documentation - was sufficient given this particular client's profile. The most likely outcome is that the complaint is either dismissed or settled for a modest amount reflecting the genuinely mixed facts, with the advisor possibly receiving a cautionary letter about penny stock recommendations to retirees.

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## Borderline Scenario 157

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and*

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### Fact Pattern

Margaret Holloway, age 62, retired from a career in corporate accounting in March 2022 with a \$1.4 million rollover IRA and \$320,000 in a taxable brokerage account. She completed an account application indicating moderate risk tolerance, an investment time horizon of 10-15 years, a primary objective of income with moderate growth, and annual income needs of approximately \$55,000 from her portfolio to supplement a \$28,000 annual pension. She listed her investment experience as 'extensive' in stocks and bonds and 'moderate' in options and alternatives. Her advisor, Craig Dalton, recommended she allocate \$280,000 (approximately 16% of her total portfolio) across four structured notes tied to the S&P 500 with maturities ranging from 5 to 7 years. The notes offered a 9.2% annual coupon with a 30% downside barrier - meaning she would receive full principal back plus coupons unless the S&P 500 declined more than 30% from the reference level at maturity. Dalton explained the barrier protection, the coupon payments, and the fact that the notes were unsecured obligations of two major investment banks. Margaret signed a structured product disclosure document acknowledging limited liquidity, credit risk of the issuer, and the possibility of losing principal. Dalton's commission on the four notes totaled approximately \$11,200, which was higher than what he would have earned on a diversified bond portfolio yielding approximately 5.5% that would have generated similar but lower income. Margaret's remaining portfolio was allocated to a mix of dividend-paying equities (40%), investment-grade bonds (30%), and a money market fund (14%). Nine months later, Margaret called Dalton requesting \$85,000 for unexpected home repairs. Because the structured notes had no secondary market and the issuer's buyback program offered only 92 cents on the dollar, she was forced to liquidate equity positions at a loss during a market downturn to raise the cash. She filed a complaint alleging the structured notes were unsuitable because they locked up too much of her capital given her age and income needs, and that Dalton was motivated by the higher commission. Dalton

responded that the 16% allocation was reasonable, that Margaret had acknowledged the liquidity constraints in writing, that the 9.2% coupon materially exceeded available bond yields and served her income objective, and that the unexpected home repair need could not have been anticipated.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dalton violated applicable standards: The client was a 62-year-old retiree relying on her portfolio for living expenses, which generally counsels toward higher liquidity. Structured notes are complex, illiquid instruments, and a 16% allocation to products with 5-7 year lockups may be excessive for someone in the distribution phase of retirement. The commission differential (\$11,200 vs. approximately \$5,000-\$6,000 on a comparable bond allocation) suggests a potential conflict of interest that should have been weighed more carefully. The client's 'moderate' experience in alternatives may not translate to genuine understanding of structured product risks, particularly issuer credit risk and the embedded derivative components. Under a best interest framework, the advisor should have considered whether a less costly, more liquid alternative could have achieved a similar income result. Arguments that Dalton acted appropriately: A 16% allocation is not an outsized concentration by industry norms, especially when 84% of the portfolio remained in liquid assets. The 30% barrier provided meaningful downside protection, and the 9.2% coupon substantially exceeded bond market yields at the time, directly serving the client's stated income objective. Margaret's background in corporate accounting and self-reported extensive investment experience suggest she was capable of understanding the product. She signed detailed disclosures. The liquidity crunch arose from an unforeseeable event - \$85,000 in emergency home repairs - and the remaining liquid portfolio could have covered the expense without loss had equity markets not simultaneously declined. Under FINRA Rule 2111 (suitability) and Regulation Best Interest's care obligation, the advisor must have a reasonable basis to believe the recommendation is suitable considering the customer's investment profile. The structured notes aligned with her income objective and risk tolerance, and the allocation percentage left ample liquidity for foreseeable needs.

### Why Borderline

This case sits in genuine gray territory because the allocation percentage (16%) is not extreme, the product's risk-return profile objectively matched the client's stated objectives, and the client had relevant financial sophistication. However, the liquidity constraints of structured notes are particularly consequential for retirees drawing income, and the commission differential introduces a conflict that clouds the analysis. The harm materialized only because of an unforeseeable event combined with simultaneous market losses - making it unclear whether the recommendation was flawed at inception or merely unlucky in hindsight.

### Borderline Factors

- 16% allocation to illiquid products is moderate but arguably elevated for a retiree dependent on portfolio income
- Client had corporate accounting background and self-reported moderate alternatives experience, but structured product complexity may exceed that experience level
- Commission differential existed but was not dramatic in absolute terms (\$11,200 vs. ~\$5,500)
- Client signed detailed disclosure documents acknowledging liquidity and credit risks
- The liquidity shortfall was triggered by an unforeseeable emergency, not predictable spending needs
- The 9.2% coupon with 30% barrier was a genuinely competitive income solution relative to available

alternatives

- Remaining 84% of portfolio was in liquid instruments that could have met the emergency absent simultaneous market decline

### Likely Outcome

A regulator would likely issue a cautionary letter or pursue a modest settlement rather than a full enforcement action. The allocation was not egregious, and the client's sophistication and signed disclosures weigh in the advisor's favor. However, regulators may find that the advisor should have stress-tested the portfolio for liquidity needs more conservatively given the client's retiree status, and the commission differential - while not dispositive - tilts the analysis slightly against the advisor. A panel might award partial damages reflecting the liquidation losses but not the full structured note allocation.

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## Borderline Scenario 158

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three component obligations (reasonable-basis, cu*

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### Fact Pattern

David Rosen, age 49, was a self-employed software consultant earning approximately \$310,000 annually with a net worth of \$2.1 million, including a \$780,000 brokerage account managed by his advisor, Sandra Fielding, at a full-service firm. Rosen's account documents indicated aggressive risk tolerance, a growth-oriented investment objective, and a long-term time horizon of 15+ years. He had 20 years of investing experience and actively followed financial markets, frequently emailing Fielding with trade ideas and market commentary. In January 2023, after extended discussions about the technology sector's outlook, Fielding recommended that Rosen allocate \$117,000 (15% of his brokerage account) to a 2x leveraged ETF tracking the Nasdaq-100 index. She explained that the product used derivatives to deliver twice the daily return of the underlying index and that the compounding effect meant long-term returns could deviate significantly - positively or negatively - from simply doubling the index's return over the same period. Rosen acknowledged understanding this and expressed a strong conviction that technology stocks would rally over the next 12-18 months. Fielding documented the conversation in her notes and sent a follow-up email summarizing the leveraged ETF's mechanics, including daily reset, compounding risk, higher expense ratios (0.95% vs. 0.20% for a standard Nasdaq-100 ETF), and the potential for accelerated losses. Rosen replied confirming his understanding. Over the following 11 months, the leveraged ETF gained approximately 47% as tech stocks rallied, and Rosen's position grew to roughly \$172,000, now representing approximately 19.5% of his portfolio. Fielding suggested trimming the position back to the original 15% target, but Rosen declined, wanting to let the position run. In February 2024, a sharp market correction caused the leveraged ETF to decline 38% over six weeks, reducing the position to approximately \$107,000 - below its original cost basis. Rosen filed a complaint alleging that Fielding should never have recommended a leveraged ETF for a holding period exceeding one day, that the 15% allocation was excessive for such a volatile product, and that she failed to proactively rebalance or implement a stop-loss when the position grew to nearly 20% of the account. Fielding responded that Rosen was a sophisticated, aggressive investor who actively participated in the decision, that 15% was a measured allocation for someone with his risk profile, that she documented the risks thoroughly, and that Rosen himself rejected her rebalancing recommendation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Fielding violated applicable standards: Leveraged ETFs are widely understood within the industry to be designed for short-term or single-day tactical use due to the daily reset mechanism and volatility drag over longer holding periods. Multiple industry notices have cautioned that these products are generally not suitable for buy-and-hold investors. Recommending an 11-month (or longer) hold of a 2x leveraged product could be viewed as inconsistent with the product's intended use. The 15% allocation, while not extreme in isolation, is significant when applied to a product that can lose value at twice the rate of the underlying index. Furthermore, when the position drifted to 19.5%, Fielding arguably had an ongoing duty to take more assertive steps than a suggestion - some regulators expect advisors to decline to service accounts where clients refuse risk-mitigating advice. Arguments that Fielding acted appropriately: Rosen was a 49-year-old, high-income, high-net-worth investor with aggressive risk tolerance, two decades of market experience, and a long time horizon. He actively generated trade ideas and was deeply engaged with his portfolio. Fielding provided thorough written disclosures about the leveraged ETF's mechanics, and Rosen confirmed understanding in writing. The initial 15% allocation was proportionate to his overall aggressive posture. When the position drifted, Fielding proactively recommended rebalancing, which Rosen refused - raising questions about whether subsequent losses are attributable to the advisor or the client's own decision. Importantly, even after the correction, Rosen's overall portfolio impact was manageable (a ~\$10,000 net loss on the position relative to total portfolio value of ~\$780,000). Under both suitability and best interest frameworks, an advisor's obligation considers the client's full investment profile, and Rosen's profile supported higher-risk allocations.

### Why Borderline

This case is genuinely ambiguous because it pits the well-documented industry consensus that leveraged ETFs are unsuitable for long-term holding against the specific facts of a sophisticated, aggressive client who actively participated in the investment decision and was thoroughly informed of the risks. The client's refusal to follow the advisor's rebalancing advice further complicates the causation analysis. Additionally, the position actually performed well for most of the holding period, and the ultimate loss relative to total portfolio size was modest - raising questions about whether the complaint reflects genuine harm or hindsight regret after a market correction.

### Borderline Factors

- Industry guidance generally cautions against long-term holding of leveraged ETFs, but the client's sophistication and active participation complicate the analysis
- 15% allocation is aggressive but not extreme for a client with documented aggressive risk tolerance and high net worth
- Advisor provided thorough written disclosure of daily reset mechanics, compounding risk, and elevated expenses, with client confirmation
- Advisor proactively recommended rebalancing when position drifted to 19.5%, but client refused
- Client had 20 years of investing experience and actively generated trade ideas, suggesting genuine understanding of risk
- Net loss relative to total portfolio was approximately \$10,000 (1.3% of total portfolio) - modest in absolute terms

- Holding period of 11 months significantly exceeded the product's designed daily use case
- Unclear whether the advisor had an obligation to override the client's refusal to rebalance or exit the position

### Likely Outcome

A regulator or arbitration panel would likely find in favor of the advisor, though not without scrutiny. The thorough documentation of risk disclosures, the client's written acknowledgment, his aggressive profile, his active participation in the decision, and - critically - his refusal of the advisor's rebalancing recommendation all weigh heavily in Fielding's favor. However, the panel may note that recommending a leveraged ETF for a multi-month hold required heightened justification and that Fielding's documentation practices, while good, should ideally have included a more formal escalation when Rosen rejected the rebalancing advice. A cautionary finding with no monetary damages is the most likely outcome.

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## Borderline Scenario 159

*Topic: alternative\_investments\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or inv*

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### Fact Pattern

Margaret Ellison, age 62, is a retired school principal with a \$1.4 million portfolio, a state pension providing \$68,000 annually, and Social Security benefits of \$2,400 per month. She completed an account opening form in March 2022 indicating a 'moderate' risk tolerance, a 15-year investment time horizon, a primary goal of 'growth with income,' and liquid net worth of \$1.4 million (her entire portfolio). She had no prior experience with alternative investments. Her advisor, Daniel Kwan, who had been working with her for three years, recommended she allocate \$210,000 (15% of her portfolio) into a non-traded real estate investment trust (REIT) focused on commercial medical office buildings. The REIT had a 7-year expected hold period, paid a 5.8% annual distribution, carried a front-end load of 6.5%, and had no secondary market for redemptions outside of a quarterly share repurchase program limited to 5% of outstanding shares per quarter (which the sponsor could suspend at its discretion). Kwan explained the illiquidity and the load in a meeting, and Margaret signed a detailed acknowledgment form confirming she understood the product's features, including the lock-up period and limited liquidity. Kwan's notes from the meeting state that Margaret expressed enthusiasm about the income stream and said her pension and Social Security covered all her living expenses, so she 'didn't need to touch' her investment portfolio. However, Margaret's account form also listed a secondary objective of maintaining 'access to funds for potential long-term care needs.' Her remaining \$1.19 million was diversified across a mix of index funds, investment-grade bonds, and money market instruments. Fourteen months later, the REIT suspended its share repurchase program due to heavy redemption demand across the industry, effectively making Margaret's \$210,000 fully illiquid for an indefinite period. Margaret filed a complaint alleging the investment was inappropriate for someone her age nearing potential long-term care needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kwan violated applicable standards: Margaret was 62, retired, and had explicitly listed



potential long-term care needs as a secondary objective. A 7-year illiquid product with no guaranteed redemption mechanism creates a material risk that funds would be unavailable precisely when she might need them most - during a health crisis in her late 60s or early 70s. The 6.5% front-end load significantly eroded initial value, and non-traded REITs are generally considered complex, high-risk products. Margaret had zero prior experience with alternatives, raising questions about whether she could truly appreciate the risks despite signing an acknowledgment. The concentration of 15% in a single illiquid vehicle for a retiree could be viewed as excessive. Arguments that Kwan acted appropriately: The 15% allocation is within many firms' guidelines for alternative investment concentration for moderate-risk investors. Margaret had substantial guaranteed income (\$68,000 pension plus \$28,800 Social Security = \$96,800/year) that fully covered living expenses, meaning her portfolio was genuinely surplus capital. Her 15-year time horizon exceeded the REIT's 7-year expected hold period. She retained \$1.19 million in liquid, diversified holdings - more than sufficient for long-term care contingencies. The 5.8% distribution rate served her stated income objective. Kwan documented the discussion, and Margaret signed a detailed acknowledgment. The suspension of the repurchase program was an unforeseeable market event, not a product design flaw that was inevitable.

### Why Borderline

This case sits in a genuine gray area because the allocation percentage (15%) is within common industry thresholds, the client had ample liquidity in the rest of her portfolio, and her guaranteed income eliminated reliance on the invested funds for daily needs. However, her age, lack of experience with alternatives, the stated concern about long-term care access, and the inherent structural illiquidity of non-traded REITs create a credible argument that the recommendation was unsuitable. Reasonable professionals could disagree about whether the long-term care notation on the account form should have been a disqualifying factor given the overall portfolio context.

### Borderline Factors

- 15% allocation is within many firms' alternative investment guidelines but represents a meaningful sum (\$210,000) in a single illiquid product for a retiree
- Client had substantial guaranteed income covering all living expenses, suggesting the portfolio was surplus capital
- Client's secondary objective of maintaining access for long-term care needs directly conflicts with a 7-year illiquid product
- Client had no prior alternative investment experience but signed a detailed acknowledgment after discussion
- Remaining portfolio (\$1.19 million liquid) arguably provided sufficient buffer for long-term care contingencies
- The 6.5% front-end load is high but standard for non-traded REITs, raising the question of whether the product category itself is appropriate rather than this specific recommendation
- The repurchase program suspension was an external market event that transformed limited liquidity into no liquidity

### Likely Outcome

A regulator would likely find this a close case but might decline to pursue formal action, instead issuing cautionary findings. The 15% allocation with \$1.19 million remaining in liquid assets, combined with documented disclosure and the client's surplus capital position, provides Kwan with a defensible argument.

However, a regulator could flag the tension between the long-term care objective and the illiquid product as a documentation failure - Kwan should have explicitly addressed in his notes why the REIT was appropriate despite that stated objective. If the firm's written supervisory procedures set a lower concentration limit for retirees or clients over 60, or if the firm's product-specific guidelines required higher liquid net worth thresholds, the outcome could shift toward a finding of violation. Most likely result: a letter of caution or heightened supervision requirement rather than a formal sanction.

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## Borderline Scenario 160

Topic: *failure\_to\_know\_customer* | Standard: *FINRA Rule 2090 (Know Your Customer) requires that broker-dealers use reasonable*

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### Fact Pattern

Robert and Linda Chao, both 55, opened a joint brokerage account in January 2023 with advisor Patricia Muñoz at a mid-size brokerage firm. On their new account form, they listed combined annual income of \$280,000, liquid net worth of \$900,000, total net worth of \$2.1 million (including their home and Robert's partial ownership stake in a family restaurant business valued at \$600,000), a 'growth' investment objective, a 'moderate to aggressive' risk tolerance, and 20+ years of investment experience. They indicated they were saving for retirement in approximately 10 years. Muñoz had two in-person meetings and several phone calls with the Chaos over their first three months as clients. During these conversations, Robert mentioned that the restaurant had been 'struggling since COVID' and that they had personally guaranteed a \$350,000 SBA loan for the business that still had \$220,000 outstanding. Linda mentioned in passing during a phone call that her employer had announced potential layoffs in her division, though she said she was 'probably safe.' Neither of these details was recorded on the account documentation or in Muñoz's CRM notes. Muñoz recommended an aggressive growth portfolio: 40% in individual technology and biotech stocks, 25% in a leveraged equity ETF, 20% in a growth-oriented mutual fund, and 15% in investment-grade corporate bonds. The portfolio had an estimated beta of approximately 1.6. Over the following nine months, the technology-heavy portfolio declined 28% due to a broad tech sector selloff, reducing the account value from \$900,000 to approximately \$648,000. The Chao's filed a complaint alleging that Muñoz failed to understand their true financial picture - specifically that their net worth was overstated because the restaurant was declining in value, that the SBA loan guarantee represented a significant contingent liability, and that Linda's potential job loss made aggressive investing reckless. Muñoz responded that she relied on the account form completed by the clients, that the Chao's described themselves as experienced and moderate-to-aggressive investors seeking growth, and that the portfolio matched their stated profile. Her firm's compliance department confirmed that the portfolio fell within acceptable parameters for the risk tolerance and objectives indicated on the signed account documentation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Muñoz failed in her duty to know her customer: The know-your-customer obligation extends beyond simply accepting what clients write on forms. Muñoz had actual knowledge of material facts - the struggling restaurant, the \$220,000 personal loan guarantee, and the potential layoff - that significantly

altered the Chaos' real financial picture. The restaurant's \$600,000 valuation was likely overstated given it was 'struggling since COVID,' meaning the Chaos' true net worth was materially lower. The \$220,000 SBA guarantee was a contingent liability that could become a cash demand, reducing effective liquid net worth. Linda's potential layoff could cut household income by roughly half. Taken together, these facts suggest the Chaos' actual risk capacity was much lower than their stated risk tolerance. An advisor who learns this information through normal client interactions has an obligation to incorporate it into her analysis, update account records, and potentially adjust recommendations. The failure to document these conversations compounds the problem, as it suggests Muñoz either ignored the information or failed to appreciate its significance. Arguments that Muñoz acted reasonably: The Chaos completed and signed an account form representing their financial situation and risk preferences. They are sophisticated - combined income of \$280,000, 20+ years of investment experience, and they self-selected 'moderate to aggressive' risk tolerance and 'growth' objectives. Robert's comment about the restaurant 'struggling' is ambiguous - many business owners describe operational challenges without meaning the business is failing. The SBA loan guarantee was an existing obligation when they opened the account, meaning the Chaos presumably factored it into their stated net worth and risk tolerance. Linda said she was 'probably safe' regarding layoffs, which is speculative rather than definitive. Advisors cannot be expected to override clients' own self-assessments based on casual, ambiguous remarks, especially when clients are experienced investors capable of evaluating their own financial condition. The portfolio's 1.6 beta is aggressive but not extreme for a moderate-to-aggressive growth investor with a 10-year horizon, and the 15% bond allocation provided some ballast.

### Why Borderline

This case is genuinely ambiguous because it turns on the scope of the 'know your customer' obligation when an advisor receives informal, verbal information that potentially contradicts or complicates the formal written account documentation. There is a real tension between an advisor's duty to rely on client representations (which clients signed and affirmed) and the duty to incorporate material information that the advisor actually learns during the relationship. The verbal disclosures were somewhat ambiguous - the restaurant was 'struggling' but not necessarily failing, the layoff was uncertain, and the clients themselves chose an aggressive profile despite presumably knowing their own situation. Reasonable practitioners disagree about how far an advisor must go to investigate or override a client's stated preferences when soft signals suggest the client may be overstating their risk capacity.

### Borderline Factors

- Advisor had actual verbal knowledge of potentially material adverse financial factors but clients' written representations told a different story
- The restaurant valuation (\$600,000) and SBA guarantee (\$220,000) are significant but their impact on the overall financial picture is debatable - even adjusting downward, the Chaos had substantial assets
- Robert's characterization of the restaurant as 'struggling' is ambiguous and does not necessarily mean the \$600,000 valuation was materially wrong
- Linda's layoff concern was speculative and she herself characterized it as unlikely
- Clients had 20+ years of investment experience and chose their own risk tolerance and objectives
- Failure to document the verbal disclosures in CRM or account records could be seen as either negligent record-keeping or as evidence the advisor did not take the information seriously
- Portfolio beta of 1.6 is aggressive but arguably consistent with 'moderate to aggressive' growth for a 10-year horizon

- The 28% loss was driven by broad market conditions (tech selloff) rather than unsuitable individual holdings

### Likely Outcome

A regulator would likely find that Muñoz had a duty to document the material information she received verbally and to assess whether it changed the suitability analysis, but the ultimate outcome would depend heavily on firm policies and the specific regulatory framework. Under a suitability standard, this might result in a finding of deficient documentation and a cautionary action rather than a full violation, because the Chaos' overall financial profile - even adjusted - could arguably support a growth-oriented portfolio. Under a best interest standard, the failure to incorporate known information into the recommendation analysis is more problematic and could result in a finding of violation of the care obligation. The most likely outcome is a supervisory deficiency finding against the firm for inadequate procedures requiring documentation of material client disclosures, and a potential individual finding against Muñoz for failure to update the customer profile, with a modest fine and enhanced supervision rather than suspension. A full-blown suitability violation finding is possible but not certain given the ambiguity of the verbal disclosures and the clients' own representations.

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## Borderline Scenario 161

Topic: *illiquid\_real\_estate\_investment* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable*

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### Fact Pattern

Margaret Kowalski, age 58, is a high school principal earning \$112,000 per year with a state pension that will pay approximately \$67,000 annually starting at age 62. She has a total liquid net worth of \$485,000, consisting of \$310,000 in a 403(b) retirement account, \$95,000 in a brokerage account, and \$80,000 in savings. She owns her home outright, valued at approximately \$340,000. Her advisor, Brian Novak, recommended she invest \$75,000 from her brokerage account into a non-traded real estate investment trust focused on medical office buildings. The REIT had a minimum seven-year holding period, paid a stated distribution of 6.2% annually, carried total upfront fees and commissions of 11.5%, and had no secondary market for shares. At the time of the recommendation, Margaret told Brian she was 'tired of earning nothing on her money' and wanted 'better income without the stock market rollercoaster.' She mentioned that she planned to retire at 62 but had no immediate need for the \$95,000 in the brokerage account, calling it her 'extra cushion.' Brian documented that Margaret had a moderate risk tolerance and a time horizon of 7-10 years. Margaret signed the subscription documents, including a page acknowledging the illiquid nature of the investment. Fourteen months later, Margaret's mother was diagnosed with dementia and required assisted living care costing \$6,800 per month. Margaret attempted to liquidate her REIT shares but was told no redemption program was available. She filed a complaint alleging Brian should never have placed nearly 80% of her non-retirement liquid assets into an investment she couldn't access. Brian's firm counters that the investment represented only about 9% of her total net worth including home equity and that Margaret clearly expressed a desire for income and a long time horizon, and that the pension would cover her basic retirement needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Brian violated applicable standards center on concentration risk within Margaret's liquid, non-retirement portfolio. The \$75,000 REIT investment represented approximately 79% of her brokerage account and nearly 43% of her total liquid assets outside retirement accounts (\$175,000 in brokerage plus savings). For a 58-year-old approaching retirement, tying up that proportion of accessible funds in a product with a seven-year lockup and no secondary market creates significant liquidity risk. The 11.5% upfront load also means Margaret immediately lost approximately \$8,625 in value, requiring years of distributions just to break even. A reasonable advisor should have anticipated that a client four years from retirement might face unexpected expenses - medical emergencies, family care needs, home repairs - that would require liquid reserves. Additionally, the stated 6.2% distribution may not have been fully covered by operating income, potentially constituting a return of capital, which Brian does not appear to have emphasized. On the other hand, Brian can argue the recommendation was reasonable when made. Margaret had a guaranteed pension covering her core retirement expenses, a \$310,000 retirement account she was continuing to fund, \$80,000 in cash savings for emergencies, and no debt on her home. The \$75,000 investment was roughly 9% of her total net worth (\$825,000 including home equity) - well within typical concentration thresholds. Margaret herself articulated a desire for income generation and volatility reduction, and the medical office REIT provided exactly that profile. Her stated 7-10 year horizon matched the product's lockup period. She signed detailed disclosures acknowledging illiquidity. The mother's health crisis was unforeseeable. Brian also left \$20,000 in the brokerage account and the full \$80,000 in savings untouched, suggesting he did preserve some liquidity buffer. Under FINRA Rule 2111, the quantitative suitability analysis considers the customer's investment profile holistically. Under Regulation Best Interest, the question is whether Brian considered reasonably available alternatives - such as a traded REIT or diversified bond fund - that could have provided similar income with greater liquidity, and whether the 11.5% commission created a conflict he failed to adequately address.

### Why Borderline

This case sits in genuine gray territory because the investment was defensible when viewed against Margaret's total net worth and pension-backed retirement security, but problematic when viewed against her accessible liquid assets. The concentration looks very different depending on whether you include home equity and pension present value in the denominator. The client's own stated preferences aligned with the product's characteristics, and she signed illiquidity disclosures. Yet a near-retiree putting 79% of non-retirement liquid funds into a seven-year lockup with 11.5% in fees raises legitimate questions about whether the advisor adequately stress-tested the recommendation against plausible life scenarios, even if the specific triggering event was unforeseeable.

### Borderline Factors

- Investment was only 9% of total net worth but 79% of non-retirement liquid assets - outcome depends heavily on which metric regulators emphasize
- Client had a guaranteed pension that reduced retirement income risk, making the illiquid investment more defensible than it would be for someone without guaranteed income
- Client explicitly expressed desire for income and volatility reduction, and the product matched those stated objectives
- Client signed detailed illiquidity disclosures and acknowledged the lockup period
- The 11.5% upfront fee load was high but not unusual for non-traded REITs at the time, raising questions about product-level versus recommendation-level suitability

- The triggering harm (mother's dementia) was unforeseeable, but the general need for liquidity near retirement was foreseeable
- Advisor preserved \$100,000 in liquid assets (\$80K savings + \$20K brokerage) - arguably a reasonable emergency reserve, arguably insufficient for a near-retiree
- No allegation that the REIT itself was fraudulent or poorly managed - the complaint is purely about suitability of an illiquid product for this client

### Likely Outcome

A regulator would likely find this a close case but lean toward a finding of a violation, primarily because the concentration of illiquid assets relative to the client's accessible liquid portfolio was excessive for someone four years from retirement. While the total net worth calculation is more favorable, regulators increasingly focus on liquidity-adjusted analysis rather than including illiquid home equity. The advisor would likely face a modest sanction - a fine in the range of \$10,000-\$25,000 and possibly restitution of the upfront fees - rather than a severe penalty, given the mitigating factors of client consent, documented preferences, and pension security. An arbitration panel might split the difference and award partial damages.

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## Borderline Scenario 162

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be consistent with the client's*

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### Fact Pattern

Gerald and Patricia Huffman, ages 71 and 68 respectively, retired from careers in manufacturing and nursing. Their combined income consists of \$3,400/month in Social Security and \$1,200/month from Gerald's small pension, totaling \$55,200 annually. They have \$620,000 in retirement savings - \$410,000 in Gerald's IRA and \$210,000 in Patricia's IRA - plus \$45,000 in a joint savings account. They have no mortgage but carry \$12,000 in credit card debt they are paying down. When they met with their new advisor, Dennis Park, they told him they needed to generate an additional \$1,800 per month (\$21,600 annually) from their portfolio to maintain their lifestyle, cover property taxes, insurance, and occasional travel. They described themselves as 'conservative' and said they 'can't afford to lose what we have.' Dennis constructed a portfolio allocating 55% to high-yield corporate bond funds (average yield 6.8%, average credit rating BB), 20% to preferred stock ETFs (yielding 5.9%), 15% to dividend-focused equity funds (yielding 3.8%), and 10% to an investment-grade short-term bond fund (yielding 3.2%). The blended portfolio yield was approximately 5.7%, generating roughly \$35,340 annually on the \$620,000 - significantly exceeding the Huffmans' stated \$21,600 income need. Dennis explained to the Huffmans that the high-yield bonds 'pay more because the companies are smaller or going through changes, but you're spread across hundreds of them in the fund so the risk is managed.' The portfolio had a total weighted expense ratio of 0.72%. Over the next eighteen months, rising interest rates caused the portfolio to decline approximately 11.2% in value (roughly \$69,400), while continuing to generate income distributions. The Huffmans complained that they were told the portfolio was conservative and that losing nearly \$70,000 of irreplaceable retirement savings was unacceptable. Dennis argues that the portfolio was designed to meet their explicit income demand of \$21,600 per year and that achieving that level of income required accepting some credit and duration risk, that the income stream was never interrupted, and that the Huffmans understood they were not in Treasury bills.



### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case against Dennis rests on the tension between the Huffmans' self-described conservative risk tolerance and the actual risk characteristics of the portfolio he built. A 55% allocation to high-yield (junk) bonds for a retired couple in their late 60s and early 70s who said they 'can't afford to lose what we have' raises substantial suitability concerns. High-yield bonds carry meaningful credit risk and can experience equity-like drawdowns during economic stress. The BB average rating places the majority of the portfolio just below investment grade. Combined with 20% in preferred stocks - which are subordinate to bonds in the capital structure and highly sensitive to interest rate changes - the portfolio had approximately 75% exposure to instruments with significant credit or rate sensitivity. An 11.2% drawdown over 18 months, while painful, is actually moderate for this asset mix and could have been substantially worse in a recession. A more conservative portfolio - heavier in investment-grade bonds, CDs, or Treasury securities - would have experienced less volatility, though it would have generated less income. Dennis's defense has genuine merit, however. The Huffmans presented a concrete, non-negotiable income requirement of \$21,600 per year. With \$620,000 in assets, that represents a 3.5% withdrawal rate - achievable with a more conservative portfolio - but the Huffmans specifically asked for income generation, not total return with systematic withdrawals. A portfolio of investment-grade bonds and CDs yielding 2.5-3.5% at the time would have generated only \$15,500-\$21,700, barely meeting or falling short of the target with no margin of safety. Dennis could argue he was solving the problem the clients gave him, and that the only way to reliably generate \$21,600+ in income was to accept some credit spread. Furthermore, he used diversified funds rather than individual junk bonds, the expense ratio was reasonable, and the income distributions were never interrupted - the Huffmans received exactly the cash flow they requested. The 11.2% decline was a paper loss that would likely recover if held. He also exceeded their income target substantially (\$35,340 vs. \$21,600), which raises a separate question: could Dennis have met the \$21,600 target with a less aggressive allocation yielding perhaps 4.0-4.5%, splitting the difference with more investment-grade exposure? The fact that the portfolio yielded significantly more than needed suggests the allocation may not have been optimized for the minimum risk required to meet the stated objective.

### Why Borderline

This scenario is genuinely ambiguous because the advisor faced a real tension between two competing client directives - 'be conservative' and 'generate \$21,600/year in income.' At prevailing interest rates, fully honoring both instructions simultaneously was difficult. The advisor chose to prioritize the income mandate, which is defensible given that insufficient income could force the Huffmans to deplete principal anyway. However, the portfolio produced far more yield than necessary, suggesting the advisor could have met the income target with less risk. The 11.2% loss is painful but not catastrophic, and the income stream was maintained. Reasonable minds can differ on whether this portfolio was the minimum-risk solution to the clients' stated problem or an unnecessarily aggressive allocation for retirees who explicitly described themselves as conservative.

### Borderline Factors

- Clients gave contradictory signals - described themselves as 'conservative' who 'can't afford to lose' while simultaneously demanding a yield that required accepting meaningful credit risk
- The portfolio's blended yield of 5.7% significantly exceeded the 3.5% needed to meet the stated income

target, suggesting a less risky portfolio could have sufficed

- High-yield bonds comprised 55% of the portfolio for retirees in their 70s - aggressive by most standards, but used through diversified funds rather than individual issues
- The 11.2% loss, while significant in dollar terms for retirees, was moderate relative to the risk profile of the asset classes and did not interrupt income
- At prevailing rates, a purely investment-grade portfolio may have fallen short of the income target, creating a legitimate dilemma for the advisor
- The advisor provided some explanation of the higher-yield strategy but used language ('spread across hundreds') that may have minimized the credit risk
- The 0.72% expense ratio was reasonable and not indicative of self-dealing or excessive cost
- The Huffmans had only \$45,000 in liquid reserves outside the retirement accounts, making portfolio losses particularly impactful to their financial security

### Likely Outcome

A regulator or arbitration panel would likely find this a mixed result. The core recommendation to include some high-yield exposure to meet the income target would likely be deemed defensible given the clients' explicit income demands. However, the 55% concentration in high-yield bonds - producing yield far beyond what was needed - would likely be viewed as exceeding what was necessary, particularly when a 35-40% high-yield allocation blended with more investment-grade holdings could have met the \$21,600 target with less volatility. A panel would most likely award partial damages, perhaps 30-50% of the loss, reflecting shared responsibility between an advisor who over-allocated to high-yield and clients who imposed an income constraint that required accepting some credit risk. A fine or censure from a regulator is possible but not certain, and would likely be modest if imposed.

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## Borderline Scenario 163

*Topic: complex\_products\_unsophisticated\_investor | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reason*

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### Fact Pattern

Margaret Okonkwo, age 58, is a retired postal worker living in suburban Atlanta with an annual pension of \$42,000 and \$310,000 in savings accumulated over 30 years through a basic savings account and certificates of deposit. She has no college degree, has never owned stocks or bonds, and described her investment knowledge as 'very limited' on her new account form. Her stated goals were 'growing my money a little faster than the bank' and 'not losing what I've saved.' She checked 'moderate' on the risk tolerance questionnaire after her advisor, Derek Simmons, explained that moderate meant 'balanced between growth and safety.' Simmons recommended she invest \$185,000 - roughly 60% of her liquid savings - into a structured note linked to the S&P 500 with a 2-year maturity, offering 150% upside participation up to a 25% cap, with a 15% downside buffer. The remaining \$125,000 stayed in her CDs. Simmons spent approximately 90 minutes explaining the product, used visual diagrams, and had Margaret sign a 14-page disclosure document acknowledging the product's risks, including potential loss of principal beyond the buffer, lack of liquidity before maturity, and credit risk of the issuing bank (a major U.S. financial institution rated A+ at the time). Margaret's account records show she called Simmons twice in the following month asking him to re-explain how the downside buffer worked, suggesting she may not have fully understood it at purchase. However, at the 6-month mark, the note was performing well, and Margaret told Simmons in a

documented call that she was 'glad she did it.' The note ultimately matured with a 14.2% return, netting Margaret approximately \$26,270 in gains. A subsequent complaint was filed by Margaret's son, a financial analyst, who argued that his mother should never have been placed in a structured product she didn't understand, regardless of the outcome.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated his obligations: Margaret was a textbook unsophisticated investor - no prior securities experience, limited education in financial matters, and a conservative savings history consisting entirely of bank products. The structured note, while offering downside protection, is an inherently complex derivative product with embedded options, credit risk, liquidity constraints, and payoff structures that even experienced investors sometimes misunderstand. Her follow-up calls asking for re-explanation of the buffer strongly suggest she did not adequately understand the product at the time of purchase. The concentration of 60% of her liquid assets in a single illiquid instrument with a 2-year lockup raises questions, given her age and limited other liquid resources. A simpler product - such as a balanced mutual fund, a bond ladder, or even a high-yield savings account - could have met her stated goals of modest growth with capital preservation, without the complexity and liquidity risk. The 'moderate' risk tolerance selection may have been influenced by the advisor's framing rather than reflecting Margaret's true preferences, which appeared conservative based on her 30-year history of bank-only savings.

Arguments that Simmons acted appropriately: The structured note had a 15% downside buffer, meaning Margaret would not lose any principal unless the S&P 500 declined more than 15% - a meaningful protection feature aligned with her desire not to lose her savings. The 2-year maturity is relatively short for structured products. Simmons retained 40% of her assets in CDs, maintaining a liquidity cushion. He spent 90 minutes explaining the product, used visual aids, and obtained signed disclosures - exceeding typical documentation standards. The issuing bank had strong credit quality. Margaret's stated desire to earn more than bank rates required moving beyond traditional bank products, and the structured note offered equity-linked upside with a defined downside risk that was arguably more protective than a direct equity investment. The product performed well and delivered exactly the kind of outcome Margaret sought. Her after-the-fact satisfaction, documented in the recorded call, suggests the recommendation aligned with her actual preferences. The complaint was filed by her son, not Margaret herself, and the son's perspective as a financial analyst may impose a sophistication standard beyond what is required.

### Why Borderline

This case sits in a genuine gray zone because the product had meaningful protective features (15% buffer, short maturity, strong issuer credit) that aligned with Margaret's goals, and the advisor took substantial steps to educate and document. Yet the core tension is whether a complex derivative product can ever be suitable for an investor with zero securities experience and limited financial literacy, regardless of the product's features or the advisor's educational efforts. Reasonable professionals disagree on whether the protective features of this particular structured note made it functionally similar to a conservative investment, or whether its structural complexity made it categorically inappropriate for this client profile.

### Borderline Factors

- Client had zero prior securities experience but expressed desire for returns above bank rates, creating

tension between sophistication and goals

- The structured note included a 15% downside buffer, making it arguably more protective than direct equity exposure
- Advisor spent 90 minutes explaining and used visual aids, but client's follow-up calls suggest incomplete comprehension
- 60% of liquid assets in a single illiquid 2-year product for a 58-year-old retiree with no other investment accounts
- Risk tolerance questionnaire answer of 'moderate' may have been influenced by advisor framing versus 30-year history of bank-only savings
- Product ultimately performed well and client expressed documented satisfaction
- Complaint initiated by client's financially sophisticated son rather than client herself
- Simpler products existed that could have met client's stated goals without structural complexity

### Likely Outcome

A regulator would likely issue a cautionary finding or modest sanctions rather than a severe enforcement action. The advisor's documentation and educational efforts, combined with the product's protective features and successful outcome, would mitigate the case. However, regulators would likely emphasize that the client's demonstrable lack of comprehension (evidenced by the follow-up calls) should have prompted the advisor to reconsider the recommendation or explore simpler alternatives. The most probable outcome is a letter of caution, enhanced supervision requirements, or a requirement for the firm to strengthen its procedures around complex product sales to unsophisticated investors, rather than disgorgement or suspension.

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## Borderline Scenario 164

*Topic: annuity\_unnecessary\_switching | Standard: FINRA Rule 2330 specifically governs variable annuity transactions, including ex*

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### Fact Pattern

Robert Christiansen, age 64, had owned a variable annuity issued by Pacific Guardian Life since 2017 with an account value of \$287,000. The annuity had a guaranteed minimum income benefit (GMIB) rider that would activate at age 67, promising a minimum annual income of \$18,400 for life based on a 5.5% benefit base roll-up rate. The annual fees on the existing annuity totaled 3.15% (1.35% mortality and expense charge, 0.95% investment management fees across the subaccounts, and 0.85% for the GMIB rider). The surrender charge period had fully expired in March 2023. In June 2023, his advisor, Patricia Huang, recommended he exchange the Pacific Guardian annuity for a new variable annuity from National Horizon Insurance, which had total annual fees of 2.40% (1.10% M&E, 0.70% subaccount fees, and 0.60% for a guaranteed lifetime withdrawal benefit rider). The new annuity's GLWB rider offered a 5.0% withdrawal rate at age 67 applied to a benefit base with a 6.0% annual roll-up rate, which Patricia calculated would produce an estimated annual income of approximately \$20,100 at age 67 - roughly \$1,700 more per year than the existing GMIB. However, the new annuity imposed a 7-year surrender charge schedule starting at 7% and declining 1% annually. Robert signed an exchange disclosure form acknowledging the new surrender period. Patricia's notes from the meeting state that Robert had expressed frustration with his existing annuity's high fees and asked whether 'anything better' was available. Robert's other assets included \$190,000 in a 401(k), \$45,000 in a savings account, and a fully paid-off home valued at \$380,000. He

planned to retire at 67 and supplement Social Security (estimated at \$2,100/month) with annuity income. Patricia earned a \$9,500 commission on the new annuity sale. She had also been the original selling agent on the Pacific Guardian annuity in 2017, on which she earned a commission of approximately \$8,600. Robert filed a complaint eight months later after learning from another advisor that his old GMIB benefit base, which had been compounding at 5.5% since 2017, was worth approximately \$342,000 in guaranteed benefit base value - and that by surrendering, he permanently forfeited that accumulated benefit base, restarting at the \$287,000 transfer value in the new contract.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Huang violated her obligations: The exchange involved the forfeiture of an accumulated GMIB benefit base of approximately \$342,000, which represented six years of guaranteed compounding at 5.5%. This benefit base - not the account value - is what determines the guaranteed income, and its loss is a material and irreversible consequence that should have been prominently weighed. While the new annuity projected \$1,700 more in annual income at age 67, this projection relies on the new benefit base compounding at 6.0% for only about 3.5 years on a starting value of \$287,000, versus the old contract which had already accumulated to \$342,000 in benefit base value. A careful comparison would reveal that the old GMIB, continuing to compound at 5.5% for 3 more years, would reach approximately \$402,000 in benefit base - yielding a GMIB income of approximately \$22,100 at the 5.5% payout factor, which actually exceeds the new product's projected \$20,100. This suggests the exchange may have been economically disadvantageous even on its own projected terms, raising questions about the quality of Patricia's comparative analysis. The new 7-year surrender charge locks Robert into illiquidity during his critical pre-retirement and early retirement years (ages 64-71). Patricia also had a financial conflict, earning a \$9,500 commission - her second commission on essentially the same pool of assets within six years. The fee reduction of 0.75% annually saves approximately \$2,150 per year, which over 7 years totals about \$15,050 - roughly offset by the value of the forfeited benefit base compounding.

Arguments that Huang acted appropriately: Robert himself initiated the conversation about finding a better product, expressing dissatisfaction with high fees. The fee reduction from 3.15% to 2.40% is meaningful - a 24% reduction in annual costs that compounds over time and directly benefits account value growth. The old annuity's surrender period had expired, making it an appropriate time to evaluate alternatives. The new GLWB rider uses a higher roll-up rate (6.0% vs. 5.5%), and Patricia's projections showed higher income at retirement. The GLWB structure may also offer more flexibility than a GMIB, which typically requires annuitization to access guaranteed benefits. Patricia documented the exchange rationale and obtained Robert's signature on the exchange disclosure. The benefit base comparison requires assumptions about future compounding that may not have been the standard analysis framework at the time. Additionally, mortality and expense savings benefit the actual account value, which is inheritable, whereas the GMIB benefit base typically has no death benefit value.

### Why Borderline

This case is genuinely ambiguous because the exchange produced real, quantifiable benefits - lower annual fees and a product with a higher roll-up rate - while also causing real, quantifiable harm through forfeiture of an accumulated benefit base and imposition of new surrender charges. The critical question is

whether a reasonable advisor performing diligent analysis would have recognized that the accumulated benefit base in the old contract likely made the existing annuity economically superior, or whether the fee savings and higher roll-up rate in the new product reasonably appeared advantageous at the time. The client's own initiative in requesting alternatives complicates the analysis, as does the genuine complexity of comparing GMIB versus GLWB structures, which have materially different mechanics.

### Borderline Factors

- Client initiated the inquiry about switching, expressing dissatisfaction with existing fees
- Meaningful annual fee reduction of 0.75% (from 3.15% to 2.40%) that compounds over time
- Forfeited accumulated GMIB benefit base of ~\$342,000 that had compounded for 6 years, restarting at \$287,000
- Closer analysis suggests the old contract's income projection at 67 may have actually exceeded the new contract's projection
  - New 7-year surrender charge imposed during critical pre-retirement/early retirement window (ages 64-71)
- Advisor earned commissions on both the original sale and the replacement - \$18,100 total on the same assets
- GLWB vs. GMIB structural differences create legitimate analytical complexity in comparing products
- Exchange disclosure was signed but may not have clearly illustrated the benefit base forfeiture impact

### Likely Outcome

A regulator would most likely find a violation, but it would be a contested finding rather than a clear-cut case. The strongest factor weighing against the advisor is the apparent failure to conduct a thorough comparative analysis of the accumulated benefit base values - a deeper analysis likely would have shown the existing contract was economically superior for guaranteed income purposes. The dual commissions and new surrender charges compound the concern. However, the legitimate fee reduction, client-initiated inquiry, and genuine complexity of comparing rider structures would likely mitigate penalties. The probable outcome is a finding of violation with moderate sanctions - potentially including disgorgement of the \$9,500 commission, restitution to make the client whole (possibly facilitating a return to the original contract if feasible), and a fine, but likely not a suspension given the mitigating factors.

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## Borderline Scenario 165

*Topic: crypto\_assets\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for belie*

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### Fact Pattern

Margaret Hensley, age 58, is a public school administrator earning \$92,000 annually with a state pension that will pay approximately \$4,200 per month upon retirement at age 62. She has a \$340,000 portfolio consisting of \$210,000 in a traditional IRA (mostly index funds and bonds) and \$130,000 in a taxable brokerage account. In March 2023, she met with her financial advisor, Derek Rawlins, to discuss her retirement planning. She mentioned that several colleagues had been talking about cryptocurrency and that she felt like she was 'missing out on the gains.' She told Rawlins she had a moderate risk tolerance and her primary goal was a comfortable retirement in four years. Rawlins discussed the volatility and speculative nature of digital assets with her at length during two separate meetings, explaining that crypto had



experienced drawdowns exceeding 70% historically and that it generated no income. He documented both conversations in his notes. After these discussions, Margaret still expressed interest. Rawlins recommended she allocate \$19,500 - approximately 5.7% of her total portfolio - from her taxable brokerage account into a diversified crypto fund that held positions in Bitcoin (60%), Ethereum (30%), and a basket of mid-cap tokens (10%). The fund charged an annual management fee of 1.85%. Margaret signed an acknowledgment form stating she understood the speculative nature and volatility risk. By November 2023, the crypto fund had gained about 42%, and Margaret's allocation had grown to roughly \$27,700, now representing about 7.5% of her portfolio. She did not rebalance. In January 2024, a sharp market correction reduced the position to \$16,200. Margaret filed a complaint alleging the crypto recommendation was inappropriate given her age, retirement timeline, and moderate risk profile, and that the management fee was excessive compared to her other holdings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Rawlins violated his obligations: Margaret was 58 years old with a four-year retirement horizon, a moderate risk profile, and a primary goal of capital preservation for retirement. Cryptocurrency is among the most volatile asset classes, with historical drawdowns that could devastate a near-retiree's savings. Even a 5.7% allocation to speculative digital assets arguably conflicts with a moderate risk tolerance. The 1.85% management fee is substantially higher than her existing index fund and bond fees, which were likely in the 0.05%-0.40% range. Allowing a client nearing retirement to hold speculative assets in a taxable account, where realized gains would create tax consequences, could be seen as imprudent. The fact that the position drifted to 7.5% without a rebalancing recommendation may indicate insufficient ongoing monitoring.

Arguments that Rawlins acted appropriately: The advisor conducted two documented meetings specifically to discuss the risks of cryptocurrency, including historical drawdowns and the speculative nature. He limited the recommendation to 5.7% of total assets - a widely discussed 'satellite' allocation that many financial planning practitioners consider acceptable even for moderate-risk investors. Margaret has a state pension providing \$4,200/month, which serves as a significant guaranteed income floor, reducing her actual dependence on the investment portfolio for retirement income. The recommendation was for a diversified crypto fund rather than a single speculative token, demonstrating an effort to manage risk within the asset class. Margaret actively requested crypto exposure and signed an acknowledgment of the risks. Several major asset management firms have published research suggesting a 1%-5% portfolio allocation to digital assets can improve risk-adjusted returns. The allocation was placed in the taxable account, not the IRA, preserving the tax-advantaged retirement assets for more conservative holdings.

### Why Borderline

This case sits in a genuine gray area because the advisor took meaningful steps to limit risk - small allocation, diversified fund, thorough risk disclosure, documented conversations - while recommending an inherently speculative asset class to a near-retiree with a moderate risk profile. The client's pension income substantially changes the risk calculus, as she is not solely dependent on her portfolio, yet the product's volatility and fee structure create legitimate concerns. Reasonable practitioners disagree about whether any crypto allocation is appropriate for someone four years from retirement, even at small percentages with a

guaranteed income backstop.

### Borderline Factors

- Client was 58 with a four-year retirement horizon, suggesting conservative allocation, but had a pension providing substantial guaranteed income
- Allocation was limited to 5.7% of total assets, within the range many practitioners consider a reasonable satellite position
  - Advisor conducted and documented two separate risk-discussion meetings before making the recommendation
- Client actively requested crypto exposure and signed a risk acknowledgment, raising questions about client-directed vs. advisor-recommended
  - The 1.85% fund fee is high relative to client's other holdings but not unusual for crypto fund products
    - Position drifted to 7.5% without rebalancing, raising monitoring concerns but not necessarily a recommendation failure
  - The recommendation was for a diversified fund, not a single speculative token, showing risk mitigation effort
- Industry consensus on crypto suitability for near-retirees remains genuinely divided

### Likely Outcome

A regulator would likely scrutinize this case carefully but would most probably decline to find a clear violation. The documented risk disclosures, small allocation size, client's pension income floor, and the client's expressed desire for crypto exposure all weigh heavily in the advisor's favor. However, the regulator might issue a cautionary letter regarding the lack of a rebalancing recommendation once the position drifted to 7.5%, and might question whether the 1.85% fee was adequately justified relative to lower-cost alternatives. If the advisor lacked any documentation of the risk conversations, the outcome would likely shift toward a finding of violation.

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## Borderline Scenario 166

Topic: *complex\_products\_unsophisticated\_investor* | Standard: *Under FINRA Rule 2111, the suitability obligation includes three com*

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### Fact Pattern

Carlos Vega, age 44, is a long-haul truck driver earning approximately \$68,000 per year. He has a high school diploma, no formal financial education, and has been investing for about six years. His \$115,000 portfolio at Ridgeline Wealth Advisors consisted of a target-date retirement fund and two large-cap equity mutual funds. In September 2023, his advisor, Jenna Park, recommended he move \$25,000 from his target-date fund into a buffered exchange-traded fund (ETF) that provided 100% downside protection on the first 10% of losses in the S&P 500 over a 12-month outcome period, in exchange for capping his upside at 14.5%. The product resets annually and, if sold before the outcome period ends, the buffer may not fully apply. Park explained the product using the issuer's standard educational brochure and a 20-minute conversation. According to her notes, she described the buffer as 'protecting you from moderate drops in the market while still giving you solid upside potential.' She noted that Carlos said he was 'tired of worrying about market crashes' after experiencing anxiety during the 2022 downturn, during which his portfolio lost about 18%. Carlos's account documents listed his risk tolerance as 'moderate' and his investment objective

as 'growth with some protection.' Park did not use any visual diagrams, hypothetical payoff scenarios, or stress-test illustrations beyond the issuer brochure. She did not discuss what would happen if Carlos needed to sell mid-period or how the product's tax treatment differed from his existing holdings. Carlos signed the purchase authorization. In April 2024, Carlos needed \$12,000 for an unexpected truck engine repair and sold approximately half of his buffered ETF position seven months into the outcome period. At the time of sale, the S&P 500 had risen about 11%, but Carlos's realized return on the sold portion was only about 6.2% because the product's interim pricing reflected the remaining time value of the options embedded in the structure. Carlos filed a complaint alleging he did not understand the product, was never told about the consequences of early liquidation, and that the product was too complex for someone with his background.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Park violated her obligations: Buffered ETFs are structured products that use options overlays to create defined outcome profiles. They are significantly more complex than the target-date and plain-vanilla mutual funds Carlos had previously held. Carlos has a high school education, no financial training, and only six years of basic investment experience - a profile that raises serious questions about whether he could meaningfully understand the product's mechanics, particularly the outcome-period structure, interim pricing dynamics, and tax implications. Park's explanation was limited to a 20-minute conversation and a standard issuer brochure; she did not use payoff diagrams, hypothetical scenarios, or discuss early liquidation consequences. The failure to address liquidity risks is particularly concerning given that Carlos is a self-employed truck driver whose income and expenses can be unpredictable. The \$25,000 allocation represented nearly 22% of his portfolio, a significant concentration in a single complex product. The fact that Carlos lost meaningful upside by selling mid-period - receiving 6.2% when the index was up 11% - demonstrates exactly the kind of outcome risk that should have been clearly communicated.

Arguments that Park acted appropriately: The buffered ETF is an exchange-traded product with daily liquidity - it is not an illiquid structured note or a product with surrender charges. Carlos explicitly expressed anxiety about market losses and wanted 'growth with some protection,' which is precisely what a buffered ETF provides. His documented investment objective of 'growth with some protection' aligns well with the product's defined-outcome profile. Park did discuss the product's mechanics and provided the issuer's educational materials, which typically include descriptions of the buffer, cap, and outcome period. The 10% downside buffer directly addressed Carlos's stated concern about crashes, and the 14.5% cap still offered meaningful upside. Carlos is 44 years old with a 20+ year horizon to retirement, making the product's one-year outcome period a relatively small commitment within a longer investment timeline. The buffered ETF has lower overall risk than his existing equity holdings; the recommendation arguably reduced rather than increased his portfolio risk. Many buffered ETFs are specifically marketed as solutions for moderate-risk investors who want equity participation with downside mitigation. Carlos could not have foreseen needing emergency liquidity for a truck repair, and the advisor cannot be expected to anticipate every possible liquidity need.

### Why Borderline

This scenario is genuinely ambiguous because the product conceptually matched the client's stated goals

and risk tolerance - downside protection with equity upside - but the client's lack of sophistication raises real questions about whether he understood what he was buying. The advisor provided some education but arguably not enough for a complex defined-outcome product sold to someone without financial training. The early liquidation issue was foreseeable for a self-employed individual, yet the product itself is liquid (unlike many structured products), muddying the question of whether liquidity risk was adequately addressed. The complaint was triggered by an unforeseen event rather than a foreseeable product failure, adding another layer of ambiguity.

### Borderline Factors

- Client's education level (high school) and lack of financial training versus the complexity of a buffered/defined-outcome ETF
- The product conceptually matched the client's stated objective of 'growth with some protection' and his anxiety about market declines
- Advisor provided issuer educational materials and a verbal explanation but did not use visual payoff diagrams, hypothetical scenarios, or discuss early liquidation consequences
- 22% portfolio allocation to a single complex product is significant but not extreme
- The product is exchange-traded with daily liquidity, distinguishing it from illiquid structured notes, but interim pricing mechanics reduce the effectiveness of the buffer if sold early
- Client is self-employed with potentially variable expenses, raising foreseeable liquidity concerns the advisor did not address
- The early liquidation was prompted by an unforeseeable emergency, not a predictable cash need
- Industry debate exists about whether buffered ETFs should be classified as 'complex products' requiring enhanced suitability procedures

### Likely Outcome

A regulator would likely find this to be a close case but could issue a finding of a minor violation focused primarily on the inadequacy of the advisor's explanation rather than on the product selection itself. The product's alignment with Carlos's stated goals and risk tolerance provides a reasonable defense on the suitability of the recommendation. However, the failure to discuss early liquidation consequences for a self-employed client and the minimal educational effort for a relatively unsophisticated investor could be viewed as falling short of the care obligation. The most likely outcome is a negotiated settlement involving enhanced supervisory procedures at the firm for complex product recommendations to unsophisticated investors, rather than severe sanctions against the advisor personally.

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## Borderline Scenario 167

*Topic: private\_placements\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable*

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### Fact Pattern

Marcus Delaney, a financial advisor at a mid-sized independent broker-dealer, recommended a private placement offering in a commercial real estate development fund to his client, Dr. Priya Mehta, a 52-year-old orthopedic surgeon earning \$780,000 annually. Dr. Mehta had a liquid net worth of approximately \$3.2 million (excluding her primary residence and retirement accounts), with an additional \$1.8 million in qualified retirement plans. The private placement required a minimum \$250,000 investment

with a projected 7-year hold period and no secondary market for the interests. The offering documents disclosed a target annual return of 12-15% with distributions expected to begin in year three. Dr. Mehta's existing portfolio included \$1.4 million in diversified equities, \$600,000 in municipal bonds, \$400,000 in a publicly traded REIT, \$500,000 in money market and short-term CDs, and \$300,000 previously invested in two other private placements (a private credit fund and an energy infrastructure fund), both of which were performing in line with expectations. Dr. Mehta's account documents listed her investment objective as 'growth with moderate income,' her risk tolerance as 'moderate to aggressive,' and her time horizon as '10+ years.' She told Delaney she wanted to reduce her tax burden and build wealth for an eventual early retirement target of age 62. Delaney presented the opportunity during a scheduled portfolio review, provided the private placement memorandum, and discussed the illiquidity risks, development-stage risks, and the possibility of total loss. Dr. Mehta signed the subscription documents and a separate acknowledgment of the illiquid nature of the investment. After the investment, the private placement's post-investment concentration in illiquid alternatives rose to approximately 17% of her liquid investable assets. Eighteen months later, the development project experienced significant construction delays and cost overruns, and the fund manager issued a capital call for an additional \$50,000 per unit, which Dr. Mehta was contractually obligated to fund. Dr. Mehta complained that Delaney never adequately explained the possibility of capital calls beyond the initial investment and that the total exposure was more than she anticipated. Delaney's notes from the meeting reference discussing 'potential additional capital requirements as outlined in the PPM' but do not detail the specific dollar magnitude or likelihood. The PPM itself contained a section on capital calls on page 47 of a 93-page document, stating that additional contributions 'may be required' at the manager's discretion.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Delaney violated applicable standards: The total potential exposure (initial \$250,000 plus uncapped capital calls) was not clearly communicated in a way the client could meaningfully evaluate. While the PPM technically disclosed the capital call provision, burying material risk information in a dense document without highlighting it during the sales conversation may constitute an inadequate basis for the recommendation. The capital call effectively increased Dr. Mehta's illiquid concentration beyond what was discussed, and the advisor's notes are ambiguous about whether the magnitude was addressed. Additionally, the combination of three separate private placements - now totaling \$550,000 before the capital call - represents a meaningful concentration in illiquid, high-risk alternatives for a client with a 'moderate to aggressive' (not purely aggressive) risk profile. Arguments that Delaney acted appropriately: Dr. Mehta is a high-income, high-net-worth accredited investor with sophisticated financial capacity. The \$250,000 investment represented roughly 7.8% of her liquid net worth, and even with the capital call, total illiquid exposure at approximately 17-18% is within ranges commonly considered acceptable for investors in her wealth bracket. She had prior experience with private placements, demonstrating familiarity with the asset class. Delaney provided the PPM, discussed illiquidity and loss risks, obtained written acknowledgments, and his notes reference capital call discussions. The capital call provision was disclosed in the offering documents that the client signed and presumably reviewed. The investment aligned with her stated goals of tax-advantaged growth over a 10+ year horizon.

### Why Borderline

This case sits in a gray zone because the investment was facially suitable for Dr. Mehta's profile - she was wealthy, accredited, experienced with alternatives, and had growth-oriented goals. However, the adequacy of the capital call disclosure during the sales process is genuinely debatable. The advisor referenced it in his notes but without specificity, and the client's complaint focuses on an aspect of the risk that she claims was not made salient. Reasonable practitioners could disagree about whether providing a PPM with buried capital call language, combined with a general verbal reference, constitutes sufficient communication of a material risk that fundamentally changes the investment's cost profile.

### Borderline Factors

- Capital call risk was technically disclosed in the PPM but buried in a lengthy document and arguably not emphasized during the sales conversation
- Advisor's contemporaneous notes reference capital calls but lack specificity about potential magnitude
- Client's illiquid alternative concentration (~17%) is within debatable but not clearly excessive ranges for her net worth
- Client had prior private placement experience suggesting familiarity with alternative investment structures
- The 'moderate to aggressive' risk tolerance designation creates ambiguity about whether development-stage real estate private placements are appropriate
- Client's goals (tax reduction, long-term growth) align with the product type but not necessarily with the specific risk of uncapped capital calls
- Written acknowledgments were obtained but may not have specifically addressed capital call obligations

### Likely Outcome

A regulator would likely issue a cautionary action or negotiate a modest settlement rather than pursue a full enforcement action. The core suitability of the initial recommendation is defensible given the client's profile, but the inadequate documentation around capital call discussions creates regulatory risk. A regulator might focus on the firm's supervisory procedures for ensuring that key risk features of private placements - particularly open-ended capital commitments - are specifically addressed and documented during the sales process. A panel might find a technical violation related to disclosure adequacy but impose limited sanctions given the client's sophistication and overall portfolio context.

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## Borderline Scenario 168

*Topic: private\_placements\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on*

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### Fact Pattern

Janet Kowalski, age 67, retired from a career as a school district administrator with an annual pension of \$72,000 and Social Security income of \$28,000. She had total liquid savings of approximately \$910,000, consisting of \$480,000 in an IRA rolled over from her 403(b), \$230,000 in a taxable brokerage account, and \$200,000 in savings and CDs. Her financial advisor, Tom Ruiz, who had worked with Kowalski for nine years, recommended she invest \$150,000 from her taxable brokerage account into a private placement offering units in a portfolio of senior secured loans to middle-market companies. The fund targeted a 9% annual distribution, paid quarterly, with a three-year lockup period after which investors could request quarterly redemptions subject to the fund manager's approval and a 2% early redemption fee. The fund had



been operating for four years with a consistent distribution history and had never declined a redemption request. Kowalski's account profile listed her investment objective as 'income with capital preservation,' her risk tolerance as 'moderate,' and her time horizon as '5-10 years.' She had no prior experience with private placements but had previously invested in high-yield bond mutual funds and a non-traded REIT (purchased in 2016, which had since listed and she had sold at a modest gain). During the recommendation meeting, Ruiz explained that the fund invested in senior secured positions, which sit at the top of the capital structure, and emphasized the consistent distribution track record. He noted the three-year lockup and obtained Kowalski's signature on a letter acknowledging limited liquidity. Kowalski stated during the meeting - as reflected in Ruiz's notes - that she wanted 'better income than CDs are paying' and that she 'didn't need the money for at least five years' since her pension and Social Security covered her living expenses. The \$150,000 investment represented approximately 16.5% of her total liquid assets. Fourteen months after investing, Kowalski's husband was diagnosed with a serious illness requiring home health modifications and ongoing care expenses estimated at \$4,000-\$6,000 per month beyond insurance coverage. She requested a redemption from the fund but was informed she was within the lockup period and could not withdraw for another 22 months. Kowalski filed a complaint alleging the investment was inappropriate for a retiree who might need access to her funds.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ruiz violated applicable standards: Kowalski was a 67-year-old retiree with a finite pool of liquid savings. Allocating 16.5% of her liquid assets to an illiquid private placement with a three-year lockup creates meaningful liquidity risk for someone in the distribution phase of life, particularly one whose investment objective was 'income with capital preservation' - a profile that typically implies lower risk and higher liquidity needs. Private placements are generally considered speculative investments, and recommending one to a moderate-risk-tolerance retiree with no private placement experience raises questions about customer-specific suitability. The fact that unforeseen medical expenses materialized underscores the inherent liquidity risk that retirees face. Ruiz arguably should have anticipated that a 67-year-old client could face unexpected health-related expenses that would require access to capital. Arguments that Ruiz acted appropriately: The investment represented a minority position (16.5%) in Kowalski's liquid portfolio, and she retained approximately \$760,000 in accessible assets - more than sufficient to cover several years of unexpected expenses even without the private placement. Her pension and Social Security income of \$100,000 annually fully covered her stated living expenses, meaning the invested capital was genuinely surplus savings. The fund itself invested in senior secured loans (lower on the risk spectrum for alternative credit) and had a four-year track record of consistent distributions and approved redemptions. Kowalski had some alternative investment experience through the non-traded REIT. Ruiz disclosed the lockup period, obtained written acknowledgment, and his notes reflect Kowalski's own representation that she did not need the money for five years. The complaint was triggered by an unforeseeable life event - not by any inherent mismatch apparent at the time of the recommendation. Additionally, the fund was generating 9% income versus the approximately 1-2% available on CDs at the time, which directly served her stated income objective.

### Why Borderline

The case is genuinely ambiguous because the recommendation was facially reasonable at the time - a

moderate allocation to an income-generating, senior-secured-loan fund for a client with surplus savings, stable pension income, and a stated five-year-plus time horizon. However, the client's age, retirement status, moderate risk tolerance, and 'capital preservation' objective create a tension with any illiquid private placement allocation. The question of how much liquidity risk is appropriate for a retiree - even one with seemingly adequate reserves - is a matter of legitimate professional disagreement. The unforeseen medical event reveals the latent risk but also raises the question of whether suitability should be judged based on circumstances at the time of the recommendation or in light of reasonably foreseeable life events for a 67-year-old.

### Borderline Factors

- Client's age (67) and retirement status create inherent tension with illiquid investments, but pension and Social Security fully covered living expenses
- 16.5% illiquid allocation is debatable - not extreme but meaningful for a retiree's liquid portfolio
- Investment objective of 'income with capital preservation' is arguably inconsistent with private placement risk, but the fund's senior secured structure is at the conservative end of private placements
- Client had limited but non-zero alternative investment experience (prior non-traded REIT)
  - Client's own stated representation that funds were not needed for five years supports the recommendation at the time
- The triggering event (spouse's illness) was unforeseeable but the general risk of health emergencies in retirement is predictable for a 67-year-old client
- Three-year lockup is shorter than many private placement commitments but still restricts access during a vulnerable life stage
- Fund had a strong track record with no declined redemptions, suggesting lower practical liquidity risk post-lockup

### Likely Outcome

A regulator or arbitration panel would likely find this a close case and could go either way. The most probable outcome is a negotiated settlement or a finding of a marginal violation with modest damages. A panel might conclude that while the recommendation was not unreasonable given the client's full financial picture and stated timeline, the advisor should have been more conservative with illiquid allocations for a retirement-age client with a capital preservation objective. Alternatively, a panel sympathetic to the advisor's position could find that the recommendation was suitable at the time, the lockup was disclosed and acknowledged, and the medical emergency was an unforeseeable event that does not retroactively render the recommendation unsuitable. If a violation is found, damages would likely be limited to the cost of illiquidity (e.g., the redemption fee and any losses attributable to the forced holding period) rather than a full rescission.

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## Borderline Scenario 169

Topic: *illiquid\_investments* | Standard: *FINRA Rule 2111 (Suitability)* requires that a recommended investment be suitable based on

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### Fact Pattern

Margaret Ellison, age 58, had a net worth of approximately \$2.1 million, with \$1.4 million in liquid investment accounts and \$700,000 in home equity. She earned \$185,000 annually as a hospital

administrator and planned to retire at 65. In March 2022, her financial advisor, Dale Kowalski, recommended she invest \$280,000 (20% of her liquid portfolio) into a non-traded real estate investment trust focused on medical office buildings and outpatient surgical centers. The REIT had a 7-year lockup period with no early redemption feature and paid a projected 6.5% annual distribution, which was notably higher than the 3.8% yield on comparable publicly traded healthcare REITs at the time. Margaret signed all disclosure documents, including a bold-print acknowledgment that she understood the investment was illiquid and that she would not be able to access her principal until at least 2029, when she would be 65. Dale's notes from the meeting state that Margaret expressed a desire for 'steady income I can count on in retirement' and that she was 'comfortable not touching this money for seven years since I won't need it until I retire anyway.' However, Margaret also mentioned during the same meeting that she might need to help her daughter with a down payment on a house 'sometime in the next few years,' estimating the amount at \$50,000 to \$80,000. Dale did not document any discussion of how this potential need might interact with the illiquid investment. Margaret's remaining \$1.12 million in liquid assets was split between index funds, corporate bonds, and \$140,000 in a money market account. The non-traded REIT charged a 7% upfront commission to the advisor's firm, compared to a 1% commission on publicly traded REIT alternatives. By late 2023, the non-traded REIT had suspended distributions due to rising vacancies in its medical office portfolio, and Margaret filed a complaint alleging that the investment was unsuitable given her approaching retirement and potential near-term cash needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dale violated his obligations center on several points. First, the 7-year lockup period means Margaret's capital would be tied up until the exact year she planned to retire - precisely when she might need flexibility to manage her transition from employment income to portfolio income. Locking up 20% of liquid assets during the critical pre-retirement window raises concerns about whether the recommendation accounted for her full financial picture. Second, Margaret explicitly mentioned a potential near-term cash need of \$50,000 to \$80,000 for her daughter's home purchase, and Dale failed to document any analysis of whether the remaining liquid portfolio could comfortably absorb both that need and normal pre-retirement planning. Third, the 7% upfront commission creates a significant conflict of interest, especially when a publicly traded healthcare REIT could have provided similar sector exposure with daily liquidity at a fraction of the cost. The yield differential of roughly 2.7% annually may not have justified the illiquidity premium and higher fees. On the other hand, arguments supporting Dale include the fact that the \$280,000 investment represented only 20% of Margaret's liquid portfolio, leaving \$1.12 million in accessible assets - more than sufficient to cover the potential \$50,000-\$80,000 gift to her daughter and provide a substantial cushion for unexpected expenses. Margaret's \$185,000 annual salary would continue for another seven years, further reducing her dependence on portfolio liquidity. The investment's projected 6.5% yield aligned with her stated desire for reliable income in retirement, and the healthcare real estate sector was a reasonable thematic fit. Margaret was a sophisticated professional who signed detailed disclosures about the lockup period and illiquidity risks. Her time horizon to retirement exactly matched the lockup period, meaning the investment would become liquid precisely when she needed income. The subsequent suspension of distributions, while unfortunate, reflects market risk rather than a suitability deficiency at the time of recommendation.

### Why Borderline

This case sits in a gray zone because the allocation percentage (20% of liquid assets) is within the range that many firms' guidelines would permit for illiquid investments, and Margaret had ample remaining liquidity. However, the convergence of factors - approaching retirement, a mentioned but undocumented near-term cash need, the high upfront commission creating a conflict, and the availability of a liquid alternative offering similar exposure - collectively raises genuine questions about whether the recommendation truly served Margaret's interests or was shaped by the compensation differential.

### Borderline Factors

- 20% illiquid allocation is at the upper boundary of common firm guidelines but not clearly excessive for her net worth
- The 7-year lockup coincides precisely with her retirement date, creating both alignment (income when needed) and risk (no flexibility during the transition)
- Margaret's mentioned potential \$50K-\$80K cash need for her daughter was not formally analyzed but her remaining \$1.12M liquid portfolio likely could absorb it
- 7% upfront commission versus 1% on comparable liquid alternatives creates a material conflict but does not alone prove the recommendation was improper
- Margaret signed detailed disclosure documents and her stated time horizon matched the lockup period
- The distribution suspension was not foreseeable at the time of recommendation but highlights the additional risks of illiquid structures
- Margaret's ongoing \$185,000 salary provided a substantial income buffer during the lockup period

### Likely Outcome

A regulator would likely issue a cautionary finding or modest sanctions rather than a full enforcement action. The failure to document any analysis of the daughter's potential cash need, combined with the significant commission differential and availability of a liquid alternative, would draw scrutiny. However, the overall portfolio context - with over \$1.1 million remaining in liquid assets and seven years of salary ahead - makes it difficult to argue that Margaret was placed in genuine financial jeopardy by the recommendation. The most likely outcome is a finding of a documentation deficiency and possibly a requirement for the firm to review its conflict-of-interest procedures around non-traded REIT sales, with potential restitution of the excess commission differential but not necessarily rescission of the entire investment.

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## Borderline Scenario 170

Topic: *concentration\_risk* | Standard: *For registered investment advisers, the fiduciary duty under the Investment Advisers Act of 1940*

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### Fact Pattern

Robert and Christine Yun, ages 52 and 49, had a combined net worth of \$3.8 million. Robert was a senior software engineer at a publicly traded technology company, earning \$310,000 annually, with approximately \$1.2 million in company stock received through vesting restricted stock units over the past eight years. Christine worked as a freelance graphic designer earning \$65,000 annually. Their investment accounts totaled \$2.4 million, managed by financial advisor Priya Sandoval. In January 2023, Robert's company stock represented roughly \$1.2 million, or 50% of their investment portfolio. Priya recommended a diversification plan to reduce the company stock position to 30% of the portfolio over 18 months through

systematic sales and reinvestment into a diversified mix of domestic and international equity ETFs and intermediate-term bond funds. Robert and Christine agreed in principle but, after the first sale of \$120,000 in company stock in February 2023, Robert emailed Priya stating he wanted to pause further sales because the company had just announced a major AI product launch and he believed the stock would 'easily double within a year.' Priya responded by email advising that continued diversification was important and that predicting short-term stock movements was unreliable, but she ultimately acquiesced to Robert's request. She documented his instruction in her CRM notes. Over the next six months, the stock rose 35%, and Robert emailed Priya in August 2023 saying, 'See, I told you - let's hold for the full ride.' Priya again recommended resuming the diversification plan, noting by email that the position had now grown to represent approximately 55% of the portfolio. Robert declined again, and Priya documented his refusal. In November 2023, the company disclosed accounting irregularities, and the stock dropped 62% over three weeks. The Yuns' portfolio lost approximately \$740,000 in value. Robert and Christine filed a complaint alleging Priya should have been more forceful in insisting on diversification and that she allowed them to maintain a dangerously concentrated position that was inconsistent with their moderate risk profile and retirement goals.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Priya failed her obligations include the following. Despite the Yuns having a moderate risk tolerance and a retirement timeline of 13-16 years, a 50-55% concentration in a single stock exposed them to catastrophic, non-systematic risk that diversification could have mitigated. Priya designed an appropriate diversification plan but failed to execute it. While she documented Robert's refusals, some regulators and arbitration panels have held that an advisor has an ongoing duty to act in the client's interest, which may include more than a single email recommendation when a client is making a decision that materially endangers their financial plan. Priya could have escalated the matter to her compliance department, required the clients to sign a formal deviation acknowledgment, or set explicit portfolio concentration limits in the advisory agreement. The fact that she 'acquiesced' twice over eight months to a position she herself identified as problematic suggests she prioritized client retention over client protection. Moreover, as a fee-based advisor managing the full \$2.4 million portfolio, she had a financial incentive to retain the large stock position, which generated higher advisory fees than if the proceeds were reinvested in lower-priced ETFs. On the other side, Priya took several affirmative steps: she designed a sound diversification plan, executed the first tranche, twice explicitly recommended continuing the plan via written communication, and documented the client's informed refusal each time. An advisor cannot force a client to sell assets the client wishes to hold, and overriding a client's clear written instructions could itself constitute a violation. Robert was a sophisticated technology professional with deep knowledge of his company and the sector. The advisory agreement gave Robert discretion to reject specific recommendations. Priya's advice was consistently sound - the client simply chose not to follow it. Holding advisors liable for client decisions that contradict documented advice would create an unworkable standard. The accounting irregularity was a fraud event that no reasonable diversification timeline could have fully anticipated.

### Why Borderline

This case occupies a genuine gray area because the advisor gave correct advice, documented the client's refusal, but did not escalate or take stronger protective measures over an extended period during which the

concentration actually worsened. Reasonable practitioners disagree about how far an advisor's duty extends when a client actively resists a sound recommendation - is documentation of the refusal sufficient, or must the advisor do more, such as formal escalation, requiring signed waivers, or even considering termination of the relationship? The client's sophistication and explicit instructions cut in the advisor's favor, but the prolonged tolerance of a growing single-stock concentration in a moderate-risk retirement account cuts against her.

### Borderline Factors

- Priya recommended a sound diversification plan and began executing it before the client paused it
- She provided written advice to continue diversifying on two separate occasions and documented the client's refusals
- The concentration grew from 50% to 55% during the period she acquiesced, worsening the risk profile she had identified
- Robert was a sophisticated investor with specific knowledge of the company but this does not eliminate the advisor's duty to manage portfolio-level risk
- The advisory agreement did not include explicit concentration limits or mandatory escalation procedures for client refusals
- Priya had a financial incentive to maintain the larger portfolio value rather than sell down the stock position
- The ultimate loss was caused by an unforeseeable fraud event, not by normal market volatility
- Industry practice varies widely on how aggressively advisors must push back against client instructions that increase portfolio risk

### Likely Outcome

A regulator or arbitration panel would most likely find that Priya's conduct fell in a defensible but vulnerable position. She would likely avoid a finding of outright violation because she gave appropriate advice, documented refusals, and could not force the client to sell. However, a panel might find partial liability based on her failure to escalate, implement formal deviation documentation beyond CRM notes, or set contractual guardrails around concentration limits. A likely outcome is a negotiated settlement or a finding of shared responsibility, with damages reduced significantly (perhaps 25-40%) to reflect the client's contributory role in rejecting sound advice. A regulator might also use this case to require the firm to implement stronger policies around ongoing concentration monitoring and client override procedures.

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## Borderline Scenario 171

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: FINRA Rule 2330 (Suitability for Variable Annuity Transactions - often applied*

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### Fact Pattern

Margaret Chen, age 62, retired early from a school district in 2022 with a \$410,000 balance in her 403(b) plan and a separate \$185,000 traditional IRA. She also had \$120,000 in a taxable brokerage account and received a \$2,800/month pension. She met with advisor David Kowalski in March 2023, expressing concern about outliving her savings and wanting 'guaranteed income for life.' She told Kowalski she was in the 22% marginal tax bracket and expected to stay there through retirement. Kowalski recommended she roll her \$185,000 IRA into a fixed indexed annuity with a lifetime income rider, issued by a B++ rated carrier. The



annuity had a 7-year surrender period with declining charges starting at 7%, an annual fee of 1.15% for the base contract, and the income rider cost an additional 0.95% annually, bringing total annual costs to 2.10%. The income rider guaranteed a 5.5% annual rollup rate on a hypothetical benefit base for 7 years, after which Margaret could begin lifetime withdrawals at a 5.2% payout rate, projected to provide approximately \$1,430/month starting at age 69. Kowalski documented that Margaret wanted protected lifetime income beyond her pension and that the annuity addressed her longevity risk. He noted she had sufficient liquid assets in her 403(b) and taxable account to cover emergencies. Margaret's 403(b) was already tax-deferred, as was her IRA, so the annuity rollover placed tax-deferred money into another tax-deferred vehicle, adding no new tax benefit. However, Margaret had no other source of guaranteed lifetime income besides her pension. Kowalski received a 5.25% commission on the sale (\$9,712.50). A comparable immediate annuity from a higher-rated A+ carrier could have provided approximately \$1,050/month starting immediately with no annual fees and no surrender charges. Alternatively, a simple balanced fund portfolio historically returning 6-7% could have been drawn down at 4% to provide roughly \$617/month, though without guarantees. Margaret signed all disclosure documents and stated she understood the surrender charges. Fourteen months later, Margaret needed \$30,000 for an unexpected home repair and could not access the annuity funds without paying a \$12,600 surrender charge.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kowalski violated applicable standards: First, the core concern is the 'tax-deferred to tax-deferred' layering problem. Margaret's IRA was already tax-deferred, so placing it into a variable or fixed indexed annuity added no incremental tax advantage - one of the primary benefits of annuity wrappers. The additional annual costs of 2.10% effectively eroded returns that could have grown tax-deferred in the IRA at much lower cost through index funds or ETFs. Under FINRA Rule 2330 (Variable Annuity Suitability), an advisor recommending an exchange or rollover of existing tax-advantaged funds into an annuity must demonstrate that the transaction provides benefits beyond tax deferral that justify the additional costs. While Rule 2330 technically applies to variable annuities, the same analytical framework is often applied to fixed indexed annuities by regulators. Under Regulation Best Interest's care obligation, the advisor must evaluate reasonably available alternatives. Kowalski could have recommended an immediate annuity from a higher-rated carrier that would have provided guaranteed income sooner, at lower cost, and without surrender risk. The 5.25% commission creates a material conflict of interest that Kowalski was obligated to manage. The fact that Margaret needed funds 14 months later and faced a steep surrender penalty raises questions about whether Kowalski adequately assessed her liquidity needs. Arguments that Kowalski acted appropriately: Margaret specifically articulated a desire for guaranteed lifetime income, which is precisely what the income rider provides. Her pension of \$2,800/month, while helpful, may be insufficient for her full retirement needs, and the annuity directly addressed her stated longevity concern. Kowalski documented that Margaret had \$530,000 in other accessible assets (\$410,000 in the 403(b) plus \$120,000 taxable), meaning the \$185,000 annuity represented only about 22% of her total portfolio - a reasonable allocation to guaranteed income. The lifetime income rider offers a benefit that no simple investment portfolio can replicate: a guaranteed income stream regardless of market performance or how long Margaret lives. The rollup rate of 5.5% and eventual 5.2% payout rate are competitive for the product category. An immediate annuity would have provided income sooner but at a lower monthly amount (\$1,050 vs. \$1,430), and Margaret did not express an immediate need for the income. The deferred annuity's higher eventual payout

may better serve her long-term needs starting at age 69. Regarding the subsequent liquidity event, advisors cannot predict every future expense, and Kowalski reasonably assessed Margaret's other assets as sufficient for emergencies. The home repair need was unforeseeable.

### Why Borderline

This case sits in a genuine gray area because the annuity does serve a legitimate purpose - providing guaranteed lifetime income that Margaret specifically requested - but the tax-deferred-into-tax-deferred layering adds cost without tax benefit, and a less expensive product (immediate annuity or low-cost investment portfolio) could have partially addressed her needs. The advisor's commission creates an appearance of conflict, but the recommendation is not facially unreasonable given Margaret's stated goals. The liquidity event 14 months later is arguably unforeseeable but also highlights whether the advisor adequately stress-tested Margaret's liquidity situation before locking up \$185,000 for seven years.

### Borderline Factors

- Tax-deferred money rolled into another tax-deferred vehicle, adding cost without incremental tax benefit
- Client specifically requested guaranteed lifetime income, which the product delivers
- Total annual fees of 2.10% are above average but not egregious for an annuity with an income rider
- Client retained \$530,000 in other accessible assets, suggesting adequate liquidity at time of sale
- A less expensive immediate annuity from a higher-rated carrier was available as an alternative
- 5.25% commission creates conflict but is standard for the product type
- Subsequent liquidity need was arguably unforeseeable but highlights potential gaps in planning
- 7-year surrender period is lengthy but the client signed disclosures acknowledging it
- B++ carrier rating is adequate but not top-tier, adding modest credit risk

### Likely Outcome

A regulator would likely issue a cautionary finding or require enhanced supervision rather than impose severe sanctions. The fact that Margaret specifically requested guaranteed income and had substantial liquid assets outside the annuity makes this a defensible recommendation. However, the failure to adequately document why a deferred indexed annuity was preferable to an immediate annuity - particularly given the tax-deferred layering issue and higher costs - would draw scrutiny. If examined under Regulation BI, the advisor's failure to evaluate and document consideration of the less expensive immediate annuity alternative could constitute a care obligation deficiency. The most probable outcome is a deficiency letter with required corrective action on documentation practices, possibly with a modest fine in the \$5,000-\$15,000 range, but not a finding of fraud or willful misconduct.

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## Borderline Scenario 172

Topic: *market\_timing\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability - quantitative suitability component addressing excessive*

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### Fact Pattern

Robert Jankowski, age 54, was a senior mechanical engineer earning \$195,000 annually with a net worth of approximately \$1.4 million, including \$680,000 in a 401(k), a \$310,000 taxable brokerage account managed by advisor Lisa Ferraro, \$240,000 in home equity, and \$170,000 in a college savings plan for his youngest child. Between January and November 2023, Ferraro executed 47 trades in Jankowski's taxable

brokerage account, rotating primarily among sector ETFs (technology, energy, healthcare, financials) and broad market index ETFs. The account's annualized turnover ratio was approximately 4.2, and total trading costs including commissions and bid-ask spreads came to roughly \$11,400, representing about 3.7% of the average account value during the period. The account was a commission-based brokerage account, not a fee-based advisory account. Ferraro's stated strategy was 'tactical sector rotation,' which she described to Jankowski as a method of overweighting sectors she believed would outperform over 2-4 month periods based on macroeconomic indicators and earnings cycle analysis. Jankowski had indicated on his new account form that he had 'good' investment knowledge, a 'growth' objective, a 'moderate-to-aggressive' risk tolerance, and a 15+ year time horizon. He had previously managed his own portfolio at a discount brokerage and told Ferraro at their initial meeting that he 'wanted someone who would be more active than just buy-and-hold' because he felt passive investing left money on the table during sector dislocations. Ferraro sent Jankowski quarterly strategy summaries explaining her sector views and trade rationale, and he responded to several with comments like 'makes sense' and 'I agree on energy being overweight.' The account gained 14.8% during the period (net of all costs), compared to 17.2% for the S&P 500. Ferraro's trailing twelve-month performance across her 85 tactical rotation accounts averaged 13.1%, putting Jankowski's account in the upper quartile of her book. Jankowski did not complain about the trading activity until early 2024, when he reviewed his 1099 and realized he owed approximately \$18,500 in short-term capital gains taxes, significantly reducing his after-tax return to approximately 8.9%. He then filed a complaint alleging excessive trading and unsuitability. Ferraro earned approximately \$7,600 in commissions from Jankowski's account during the period. Her compliance department had flagged the account in August 2023 for elevated turnover but cleared it after Ferraro provided documentation of the client's stated preference for active management and the quarterly communications.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ferraro engaged in unsuitable excessive trading: A turnover ratio of 4.2 is elevated and approaches thresholds that regulators and arbitration panels have historically considered presumptively excessive. While there is no bright-line rule, FINRA arbitration panels have frequently found turnover ratios above 4-6 to be excessive depending on the account profile. The cost-to-equity ratio of 3.7% means the account needed to generate significant returns merely to break even against trading friction. When combined with the \$18,500 tax liability from short-term capital gains, the total drag on the account was approximately \$29,900, or roughly 9.6% of average account value. The after-tax return of 8.9% substantially underperformed the S&P 500's 17.2% return, and a simple buy-and-hold index strategy would have outperformed with virtually no tax consequences in a long-term capital gains framework. Ferraro's commission-based compensation structure created an inherent incentive to trade more frequently, and \$7,600 in commissions on a \$310,000 account is notable. Under Regulation BI's care obligation, the advisor must consider reasonably available alternatives, and a fee-based advisory account or a lower-turnover approach would have been less costly. The quantitative indicators - turnover, cost-to-equity, and tax impact - suggest the trading may have primarily benefited the advisor. Arguments that Ferraro's approach was suitable: Jankowski explicitly told Ferraro he wanted active management and was dissatisfied with passive investing. His account documentation reflected growth objectives with moderate-to-aggressive risk tolerance, consistent with a tactical rotation strategy. He had investment experience and had previously self-directed his own portfolio. He actively engaged with Ferraro's quarterly

strategy communications and expressed agreement with her sector positioning. This is not a case of an unsophisticated investor being churned without knowledge - Jankowski was an informed participant who endorsed the strategy in writing. The pre-tax return of 14.8% was positive and placed the account in the upper quartile of Ferraro's tactical accounts, suggesting the strategy was executed competently. The underperformance relative to the S&P 500 does not alone constitute unsuitability - active management frequently underperforms passive benchmarks in strong bull markets, and the strategy may provide downside protection in declining markets. The turnover ratio of 4.2, while elevated, is consistent with a legitimate tactical sector rotation strategy that contemplates holding periods of 2-4 months. Ferraro's compliance department reviewed and cleared the account. The tax consequences, while significant, were disclosed through standard trade confirmations and are an inherent feature of active management in taxable accounts - Jankowski's complaint arose only after seeing his tax bill, not from any disagreement with the strategy itself.

### Why Borderline

This scenario is genuinely ambiguous because it involves tension between quantitative excessive trading indicators (elevated turnover, meaningful cost drag, tax inefficiency, benchmark underperformance) and qualitative factors that support the advisor's approach (client's explicit preference for active management, documented engagement and agreement with trades, positive absolute returns, legitimate tactical strategy). The client's sophistication and expressed preferences cut strongly in the advisor's favor, but the commission-based structure and quantitative metrics cut against her. Reasonable practitioners disagree about whether a client's preference for active trading can override quantitative indicators of excessiveness, particularly when the client did not fully appreciate the tax consequences of the strategy in a taxable account.

### Borderline Factors

- Turnover ratio of 4.2 is elevated but falls in a contested zone - below the 6+ level often deemed presumptively excessive but above levels typically considered moderate
- Client explicitly requested active management and documented dissatisfaction with passive investing
- Pre-tax return of 14.8% was positive and above the advisor's book average, but after-tax return of 8.9% substantially underperformed a passive benchmark
- Commission-based account structure created inherent trading incentive, but client chose this structure
- Client actively reviewed and approved quarterly strategy updates with written responses
- Tax consequences of \$18,500 in short-term gains significantly eroded returns, raising the question of whether the advisor should have recommended a fee-based or tax-managed approach
- Compliance department flagged and then cleared the account after reviewing documentation
- Client's complaint was triggered by tax consequences, not by trading activity itself, suggesting the strategy's unsuitability was not apparent during execution
- 47 trades in 11 months is consistent with a 2-4 month tactical rotation holding period but generates substantial friction in a commission account

### Likely Outcome

A regulator or arbitration panel would likely find this to be a close case. The most probable outcome is a finding of partial liability or a negotiated settlement. While the client's expressed preference for active management and documented engagement provide strong defenses against a churning claim, a panel would likely find that the advisor had an obligation to discuss the tax inefficiency of executing a

high-turnover strategy in a commission-based taxable account and to consider whether a fee-based account or tax-managed approach would have been more appropriate. The after-tax underperformance compared to passive alternatives is significant. A regulator might issue a fine in the range of \$10,000-\$25,000 and require Ferraro to compensate Jankowski for the excess costs (trading costs plus incremental tax liability above what a comparable passive strategy would have generated), potentially in the range of \$20,000-\$30,000. However, an outright finding of churning is unlikely given the client's documented endorsement of the strategy.

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### Borderline Scenario 173

*Topic: alternative\_investments\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, a*

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#### Fact Pattern

Rebecca Torres, age 58, is a recently retired school principal with a \$1.4 million rollover IRA, a \$300,000 money market account, and a paid-off home valued at \$420,000. Her annual pension income is \$62,000, and she listed her investment objective as 'growth and income' with a 'moderate' risk tolerance on her new account paperwork. She noted an investment time horizon of 15+ years and described her investment experience as 'good' based on 20 years of managing her own 403(b) account, which had been invested in a mix of target-date funds and bond funds. In March 2022, her advisor, Kevin Marsh, recommended she allocate \$210,000 (15% of her total IRA) to a non-traded real estate investment trust (REIT) focused on commercial medical office buildings. The REIT had a minimum 7-year hold period, paid a 5.8% distribution yield, and carried upfront costs totaling 8.5% (including commissions and offering expenses). Kevin earned a \$12,600 commission on the transaction. Kevin explained to Rebecca that the medical office sector was 'recession-resistant,' that the distributions would supplement her pension, and that the illiquidity was manageable given her long time horizon and ample liquid reserves. Rebecca signed a disclosure acknowledgment indicating she understood the illiquid nature and long hold period. However, six months later, the REIT suspended distributions due to rising interest rates and declining commercial property valuations. Rebecca complained that she was never told distributions could be suspended and that she needed the income to cover healthcare costs not covered by her pension. Kevin's notes from the meeting state he discussed 'risks including potential loss of principal and distribution variability' but do not specifically document a discussion about distribution suspension. Rebecca had no prior experience with alternative investments or illiquid products, and her 403(b) history consisted entirely of publicly traded mutual funds.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Kevin violated his obligations: (1) Rebecca had zero prior experience with alternative investments, non-traded REITs, or illiquid products - her 'good' investment experience was limited to conventional mutual funds in a 403(b), which is materially different from understanding the complexities of non-traded REITs; (2) the 8.5% upfront cost structure significantly eroded her initial investment, meaning she would need to hold for years just to break even, and lower-cost publicly traded REITs could have provided similar real estate exposure with daily liquidity; (3) the distribution suspension undermines the

core rationale Kevin used to recommend the product - supplementing pension income - suggesting the risk/reward profile was not adequately matched to her stated need; (4) Kevin's documentation does not specifically address the possibility of distribution suspension, which is a critical risk for an income-dependent retiree; (5) the \$12,600 commission creates an inherent conflict that may have influenced the recommendation over lower-cost alternatives. Arguments that Kevin acted appropriately: (1) the \$210,000 allocation represented only 15% of her IRA and roughly 10% of her total investable assets (\$1.7 million), which is within common concentration guidelines for alternative investments; (2) Rebecca had \$300,000 in liquid money market funds plus her \$62,000 annual pension, giving her substantial liquidity and income outside this investment; (3) her 15+ year time horizon is well-suited to a 7-year hold period product; (4) her stated objective of 'growth and income' with moderate risk tolerance is not inconsistent with a commercial REIT allocation; (5) she signed a disclosure acknowledgment regarding illiquidity; (6) Kevin's notes reference discussing 'distribution variability,' which arguably encompasses the risk of suspension; (7) the distribution suspension was caused by an unprecedented rate environment, not a foreseeable product defect. Under FINRA's suitability framework (Rule 2111) and Reg BI's care obligation, the advisor must have a reasonable basis to believe the recommendation is suitable considering the customer's profile. The allocation percentage and liquidity cushion support suitability, but the complete lack of alternative investment experience and the income dependency create tension.

### Why Borderline

This scenario is genuinely ambiguous because the quantitative factors - allocation percentage, liquidity reserves, time horizon - all fall within commonly accepted ranges for alternative investment suitability. However, the qualitative factors - no alternative investment experience, reliance on income, high upfront costs versus available lower-cost alternatives, and incomplete documentation of distribution suspension risk - cut the other way. The fact that the distribution suspension was triggered by macroeconomic conditions rather than product fraud further complicates the analysis, as does Rebecca's signed disclosure. Reasonable regulators could disagree about whether a 15% allocation to an income-producing REIT for a moderate-risk investor with ample liquidity reserves crosses the line, particularly when the primary complaint stems from an unforeseeable market event.

### Borderline Factors

- 15% allocation is at the upper edge of commonly accepted alternative investment concentration thresholds but does not clearly exceed them
- Client had zero alternative investment experience despite self-rating as having 'good' investment knowledge
- Substantial liquid reserves (\$300K money market + \$62K annual pension) arguably offset the illiquidity risk
- 8.5% upfront costs are high but typical for non-traded REITs - the question is whether a lower-cost traded REIT should have been recommended instead
- Advisor's notes reference 'distribution variability' but do not specifically mention suspension risk
- Client signed illiquidity disclosure acknowledgment, suggesting informed consent
- Distribution suspension was caused by macroeconomic conditions, not product fraud or mismanagement
- \$12,600 commission creates conflict but does not alone establish a violation

### Likely Outcome

A regulator would likely issue a cautionary action or a modest fine rather than pursue a full enforcement



action. The allocation percentage and liquidity cushion are defensible, but the lack of alternative investment experience combined with incomplete documentation of distribution suspension risk - particularly for an income-reliant retiree - would likely be viewed as falling short of the advisor's obligation to fully understand the customer's profile and ensure the recommendation was in her best interest. The high upfront costs relative to available traded REIT alternatives would also draw scrutiny. A FINRA arbitration panel might award partial damages, likely the difference in cost between the non-traded REIT and a comparable traded REIT, plus some portion of lost distributions, but probably not full rescission.

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## Borderline Scenario 174

Topic: *variable\_annuity\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Variable Annuity Suitability)* app

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### Fact Pattern

David and Linda Chen, both age 64, met with their financial advisor, Patricia Novak, in January 2023 to discuss retirement income planning. David had recently been diagnosed with early-stage Parkinson's disease, though his symptoms were mild and his neurologist described his prognosis as 'slowly progressive over 10-15 years.' Their combined assets included \$780,000 in a joint brokerage account, David's \$410,000 traditional IRA, Linda's \$195,000 Roth IRA, and approximately \$85,000 in savings accounts. David would begin receiving Social Security of \$2,800/month at age 66, and Linda was already collecting \$1,900/month. They had no pension. Their annual living expenses were approximately \$78,000. On their account forms, they listed 'income' as their primary objective with a 'moderate-conservative' risk tolerance and a 10-year time horizon. Patricia recommended that David exchange \$340,000 from his traditional IRA - which was invested in a diversified portfolio of index funds with a blended expense ratio of 0.12% - into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The variable annuity had total annual expenses of 2.85% (1.30% mortality and expense charge, 0.95% GLWB rider fee, 0.60% weighted average subaccount expense ratio), a 7-year declining surrender charge schedule starting at 7%, and the GLWB guaranteed a 5.2% annual withdrawal rate for life regardless of market performance once David reached age 65. Patricia earned a 5% commission (\$17,000) on the sale. Patricia argued the GLWB provided irreplaceable downside protection and guaranteed lifetime income that index funds could not offer - particularly important given David's health condition and the possibility that Linda, who was in good health, might need income for 25+ years as a surviving spouse. She noted that the guaranteed 5.2% withdrawal rate on \$340,000 would provide \$17,680 annually, covering a meaningful portion of their income gap. The Chens also retained \$70,000 in David's IRA in index funds, Linda's full \$195,000 Roth IRA, the \$780,000 joint brokerage account, and \$85,000 in savings. Six months later, David's Parkinson's progressed faster than expected, and the Chens wanted to access the full annuity value to fund home modifications and a caregiver. They were told they would owe a 6% surrender charge (\$20,400) to liquidate.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Patricia violated her obligations: (1) David's Parkinson's diagnosis introduced a foreseeable need for liquidity to cover medical and care-related expenses, making a 7-year surrender charge period problematic; (2) the cost differential is substantial - moving from a 0.12% expense ratio to 2.85% represents

a 2.73% annual drag, meaning the Chens would need the guarantees to be worth approximately \$9,282 per year in value just to break even on costs; (3) reasonably available alternatives existed, including systematic withdrawals from the existing index fund portfolio, a fixed immediate annuity (which would have been cheaper and provided guaranteed income without surrender charges), or a laddered bond/CD portfolio; (4) the \$17,000 commission creates a significant conflict; (5) placing a variable annuity inside an already tax-deferred IRA provides no additional tax benefit, eliminating one of the traditional justifications for annuity ownership. Arguments that Patricia acted appropriately: (1) the GLWB rider provides genuine longevity protection - if David predeceases Linda, the guaranteed 5.2% withdrawal continues for Linda's lifetime regardless of market conditions, which could span 25+ years; (2) the \$340,000 annuity represents approximately 23% of their total investable assets (\$1,470,000), leaving 77% in liquid investments; (3) the Chens had \$780,000 in a joint brokerage account, \$195,000 in Linda's Roth IRA, and \$85,000 in savings - a total of \$1,060,000 in fully liquid assets - more than sufficient to cover unexpected medical costs; (4) their 10-year time horizon and income objective align with a lifetime income product; (5) the guaranteed income addresses sequence-of-returns risk in a way that index funds cannot, which is a legitimate concern for retirees beginning withdrawals; (6) David's diagnosis was described as 'slowly progressive over 10-15 years,' suggesting the surrender period would likely expire before significant care needs arose; (7) many variable annuities include nursing home or terminal illness surrender charge waivers (though the fact pattern does not specify whether this one did). The IRA-to-VA exchange issue is significant - FINRA has specifically flagged that recommending a variable annuity within a tax-qualified account requires demonstrating that the annuity's insurance features justify the additional costs, since the tax-deferral benefit is redundant.

### Why Borderline

This case sits in a genuine gray zone because the core recommendation - guaranteed lifetime income for a couple facing longevity risk where one spouse has a chronic progressive illness - addresses a real and significant financial planning need. The GLWB provides value that cannot be replicated by index funds alone. However, the high cost differential (2.73% annually), the surrender charge period in the context of a progressive neurological disease, the redundant tax deferral of placing a VA inside an IRA, and the availability of potentially lower-cost alternatives (such as a fixed immediate annuity) all create legitimate concerns. The fact that the Chens retained over \$1 million in liquid assets substantially mitigates the liquidity concern, but does not eliminate the question of whether the specific product was the best vehicle to achieve their income objective.

### Borderline Factors

- GLWB rider provides genuine longevity protection for the surviving spouse that index funds cannot replicate
- 2.85% total annual cost vs. 0.12% prior expense ratio represents a massive cost increase that must be justified by insurance features
- Variable annuity inside an already tax-deferred IRA eliminates the tax-deferral benefit, requiring justification based solely on insurance features
- David's Parkinson's diagnosis creates foreseeable future liquidity needs, but his prognosis was 10-15 years - longer than the 7-year surrender period
- Over \$1 million in liquid assets remained outside the annuity, providing substantial liquidity cushion
- Lower-cost alternatives (fixed immediate annuity, systematic withdrawal plan) could have achieved similar income objectives

- \$17,000 commission creates a conflict but does not alone establish a violation

- The 5.2% guaranteed withdrawal rate provides meaningful income certainty that addresses sequence-of-returns risk

### Likely Outcome

A regulator would likely find this a close case but would probably pursue some form of action, most likely focusing on the inadequate consideration of lower-cost alternatives and the failure to adequately account for David's medical condition in the liquidity analysis. The IRA-to-VA exchange without demonstrable insurance-feature justification beyond what cheaper products could provide would be the strongest basis for a finding. However, the substantial remaining liquid assets and the legitimate longevity protection rationale would likely result in a moderate sanction - perhaps a fine and restitution of the cost differential between the VA and a comparable fixed immediate annuity - rather than full rescission. An arbitration panel might award surrender charges plus the excess cost differential, but would be unlikely to find the entire recommendation unsuitable given the genuine income protection rationale and the clients' overall asset picture.

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## Borderline Scenario 175

Topic: *margin\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) requires that a recommended investment strategy involving margin*

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### Fact Pattern

Gerald Whitfield, age 58, was a senior operations manager at a manufacturing company earning \$165,000 annually with a net worth of approximately \$1.4 million, including his home equity of \$380,000 and a 401(k) worth \$520,000. He opened a brokerage account in March 2021 with \$285,000 in liquid savings, listing his investment objective as 'growth' and his risk tolerance as 'moderate to aggressive.' His stated time horizon was 7-10 years until retirement. His advisor, Dana Phelps, had worked with Gerald for three years and knew he had previously traded options in a self-directed account (though with mixed results). In June 2021, Dana recommended Gerald sign a margin agreement to leverage his portfolio during what she described as a favorable market environment for industrials and technology. Gerald agreed and signed the margin disclosure documents. Over the next eight months, Dana used margin to increase Gerald's exposure by roughly 40%, bringing his total invested position to approximately \$399,000 on his \$285,000 equity base. The margined positions were concentrated in mid-cap industrial stocks and two large-cap technology names - sectors Gerald said he understood from his professional background. During this period, Gerald received monthly statements clearly showing his margin balance, and he never objected. In February 2022, a market correction caused Gerald's portfolio to decline by 22%, triggering a margin call of \$38,000, which Gerald met by wiring funds from a savings account. A second margin call came in March 2022 for \$27,000, which Gerald also met but later said caused him significant financial stress. By May 2022, Gerald's total account value had recovered partially but was still down \$61,000 from his original investment, with \$19,000 of that attributable to margin interest charges. Gerald filed a complaint alleging the margin strategy was inappropriate given his age and proximity to retirement. Dana countered that Gerald had experience with sophisticated strategies, voluntarily signed margin documents, never objected to any statements, and that the 40% leverage ratio was conservative compared to the maximum 50% permitted. She also noted that the positions selected were blue-chip and mid-cap industrials consistent with Gerald's professional expertise, not speculative small-caps or penny stocks.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dana violated her obligations center on Gerald's age and retirement timeline. At 58 with a 7-10 year horizon, margin borrowing introduces sequence-of-returns risk precisely when capital preservation becomes increasingly important. The \$285,000 represented a substantial portion of Gerald's liquid net worth outside retirement accounts, meaning margin losses directly impacted his retirement readiness. The margin interest charges of \$19,000 over eight months represent a meaningful drag on returns that the strategy needed to overcome just to break even. Additionally, a 'moderate to aggressive' risk tolerance does not necessarily equate to a tolerance for leveraged exposure, and the advisor had an obligation to ensure Gerald understood the specific downside risks of margin, not merely obtain a signature on disclosure documents. On the other hand, arguments supporting Dana's position are substantial. Gerald was not unsophisticated - he had prior options trading experience, demonstrating familiarity with leveraged and derivative strategies. A 40% margin utilization rate is well below maximum limits and represents a measured approach to leverage. The positions chosen were in sectors Gerald professionally understood, not speculative instruments. Gerald received eight months of statements showing margin balances and never raised concerns until losses occurred. His voluntary satisfaction of two margin calls, rather than requesting the positions be liquidated, suggests ongoing acceptance of the strategy. His 'growth' objective and 'moderate to aggressive' risk tolerance, combined with a 7+ year horizon, provide a reasonable basis for concluding that some leverage was consistent with his stated profile.

### Why Borderline

This case sits in a genuine gray area because the customer profile sends conflicting signals. Gerald's age and proximity to retirement argue against margin, but his risk tolerance designation, growth objective, prior options experience, and sector expertise argue for it. The 40% leverage ratio was not extreme, and the positions were not speculative. The losses were primarily driven by broad market conditions rather than poor security selection. The customer's eight months of silence and voluntary margin call satisfaction complicate the claim that the strategy was unsuitable from inception. Reasonable practitioners could disagree about whether a 58-year-old with these specific characteristics should have been offered margin at all, or whether the customer's demonstrated sophistication and stated objectives made it a defensible recommendation.

### Borderline Factors

- Client was 58 years old and 7-10 years from retirement, but had prior options trading experience
- 40% margin utilization was moderate, not at maximum leverage limits
- Risk tolerance was listed as 'moderate to aggressive' with a 'growth' objective, which arguably supports some leverage
- Positions were in blue-chip and mid-cap industrials, not speculative securities
- Client received monthly statements for eight months showing margin balances without objection
- Client voluntarily met two margin calls rather than requesting liquidation or strategy change
- The \$285,000 was a large portion of liquid non-retirement assets, making margin losses more impactful
- \$19,000 in margin interest charges over eight months represented significant cost drag
- Losses were largely driven by broad market correction rather than inappropriate security selection

### Likely Outcome

A regulator would likely find this a close case but would probably issue a cautionary finding or modest sanctions rather than a full violation. The customer's sophistication, voluntary margin agreement, eight months without complaint, and voluntary satisfaction of margin calls significantly weaken the claim. However, the advisor may face criticism for not more thoroughly documenting a discussion about how margin specifically interacts with Gerald's retirement timeline and for not implementing stop-loss or de-leveraging triggers. A panel might award partial damages focused on the margin interest costs, finding that while the initial recommendation was arguably suitable, the ongoing maintenance of leveraged positions as Gerald aged closer to retirement without periodic reassessment fell short.

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## Borderline Scenario 176

*Topic: excessive\_churning | Standard: Churning claims are evaluated under FINRA Rule 2111 (Suitability) and, for accounts opened*

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### Fact Pattern

Patricia Sorensen, age 52, was a divorced real estate attorney earning approximately \$230,000 annually. She opened a discretionary brokerage account in January 2020 with \$410,000, designating her investment objectives as 'growth and income' with a 'moderate' risk tolerance and a 12-15 year investment horizon. Her advisor, Marcus Reilly, had been recommended by a colleague at Patricia's law firm. Over the 30-month period from January 2020 through June 2022, Marcus executed 127 trades in Patricia's account. The annualized turnover ratio for the account was approximately 4.2, and the cost-to-equity ratio was 11.8%. The account generated approximately \$48,400 in total commissions over the period. However, several contextual factors complicate the analysis. First, approximately 35 of the 127 trades were executed during the extreme market volatility of March-April 2020, when Marcus sold equity positions to move to defensive holdings and then gradually repositioned back into equities as markets stabilized - a strategy that actually preserved approximately \$55,000 in value compared to a buy-and-hold approach during the same period. Second, Patricia sent Marcus 14 emails during the 30-month period requesting he 'be more active' and 'take advantage of short-term opportunities,' and in one email she wrote, 'I don't want to just sit here - that's why I'm paying you.' Third, the account's gross return over the period was 18.7%, while a blended benchmark of 60% S&P 500 and 40% Bloomberg Aggregate Bond Index returned 21.4% over the same period. Net of commissions, Patricia's return was approximately 6.9%. Fourth, of the 127 trades, 89 were in individual equities and 38 were in fixed-income securities, including municipal bonds that Patricia requested because of her tax bracket. Marcus earned a higher commission on the bond trades than typical equity trades. Patricia filed a complaint after reviewing a fee analysis prepared by a new advisor, arguing the trading was excessive. Marcus's firm noted that the account was discretionary but pointed to Patricia's repeated requests for active management and her satisfaction with the account until she was shown the fee analysis.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a finding of excessive trading are quantitatively significant. A turnover ratio of 4.2 substantially exceeds the threshold of 6 annualized that many adjudicators consider presumptively

excessive - except that the widely-used threshold of 6 is often applied to equity-heavy accounts, and some authorities have found turnover ratios as low as 4 to be excessive depending on context. More critically, the cost-to-equity ratio of 11.8% means the account needed to earn nearly 12% annually just to break even after commissions, which is a very high hurdle for a 'moderate' risk tolerance, 'growth and income' account. The net return of 6.9% over 30 months significantly underperformed the blended benchmark return of 21.4%, with commissions consuming approximately two-thirds of the gross gains. The higher commissions on bond trades raise questions about whether the fixed-income trading was motivated by income generation for the advisor rather than portfolio necessity. On the other hand, several factors support Marcus's position. The account was discretionary, and Patricia actively encouraged frequent trading through 14 documented emails over 30 months. Her statement that 'I don't want to just sit here - that's why I'm paying you' is a clear expression of preference for active management. The 35 trades during the March-April 2020 COVID crash were arguably prudent defensive repositioning that preserved \$55,000 in portfolio value - and removing those trades reduces the turnover ratio to approximately 3.1, which is below commonly cited presumptive thresholds. Patricia is a sophisticated professional - a practicing attorney - who had access to and presumably reviewed trade confirmations and statements. She expressed no dissatisfaction until a competing advisor performed a fee analysis, suggesting the complaint may be driven by hindsight and competitive solicitation rather than genuine harm awareness. The gross return of 18.7% demonstrates that the trades were not randomly generated but reflected a strategy that produced meaningful gains before costs.

### Why Borderline

This scenario is genuinely ambiguous because the quantitative indicators of churning (turnover ratio of 4.2, cost-to-equity ratio of 11.8%) are elevated but not extreme, and the most commonly cited presumptive threshold for turnover (6.0) is not met. The cost-to-equity ratio is arguably excessive, but this metric is complicated by the client's own request for active management and the defensive trading during a historic market crash that demonstrably benefited the client. The client is a sophisticated professional who repeatedly encouraged the very trading pattern she later complained about. However, a client's encouragement of activity does not relieve an advisor of the obligation not to trade excessively, particularly in a discretionary account where the advisor controls execution. The underperformance relative to the benchmark is notable but not dramatic on a gross basis, and some underperformance is expected in an actively managed account. Reasonable adjudicators could view the same facts as either a moderately active strategy requested by a sophisticated client or as excessive trading that cost the client approximately \$48,400 in unnecessary commissions.

### Borderline Factors

- Annualized turnover ratio of 4.2 is elevated but below the commonly cited presumptive threshold of 6.0
- Cost-to-equity ratio of 11.8% is high and arguably excessive regardless of turnover
  - 35 of 127 trades were defensive repositioning during COVID crash that preserved approximately \$55,000
- Removing COVID-related trades reduces turnover ratio to approximately 3.1
- Client sent 14 emails over 30 months explicitly requesting more active trading
- Client is a practicing attorney, suggesting financial and contractual sophistication
- Gross return of 18.7% shows the strategy generated meaningful gains before costs
- Net return of 6.9% significantly underperformed the 21.4% blended benchmark
- Higher commissions on bond trades raise questions about advisor motivation



- Account was discretionary, placing greater responsibility on the advisor for trading decisions
- Client expressed no dissatisfaction until shown a fee analysis by a competing advisor

### Likely Outcome

A regulator or arbitration panel would likely find this a very close case. The most probable outcome is a partial finding - concluding that while some level of active trading was appropriate and even requested by the client, the overall volume and cost were excessive for a moderate-risk, growth-and-income account. The panel would likely give significant credit for the COVID-related defensive trades and for the client's documented encouragement of activity, reducing the measure of damages. A reasonable award might cover a portion of the commissions - perhaps \$20,000-\$28,000 - representing the difference between what the trading actually cost and what a reasonably active management approach would have cost, accounting for the client's preference for active management. A full finding of churning with complete disgorgement of commissions is less likely given the client's sophistication and documented preferences, but a finding of no violation at all is also unlikely given the 11.8% cost-to-equity ratio.

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## Borderline Scenario 177

Topic: *alternative\_investments\_unsuitable* | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or inv

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### Fact Pattern

Margaret Holloway, age 58, is a retired school administrator with a pension providing \$4,200/month and a \$620,000 investment portfolio that represents her entire liquid savings. She has no other income sources beyond Social Security, which she plans to claim at 66. Her risk tolerance questionnaire scored her as 'moderate,' and she told her advisor, Derek Fulton, that her primary goals were 'keeping up with inflation' and 'not running out of money in retirement.' She had previous investment experience limited to target-date mutual funds and a few blue-chip stocks held through a workplace plan. In March 2022, Fulton recommended she allocate \$93,000 (15% of her portfolio) to a non-traded real estate investment trust focused on commercial office and industrial properties, with a minimum 5-year holding period, no secondary market, quarterly redemption requests subject to board approval and a 5% redemption cap per quarter, and an estimated annual yield of 6.8%. The remaining 85% of her portfolio was split between diversified equity funds (50%), investment-grade bonds (25%), and a money market fund (10%). Fulton documented that the REIT allocation was intended to provide income diversification away from her pension and bond holdings, and to offer inflation protection through real estate exposure. He noted that Margaret had expressed frustration that her bond yields were too low and wanted 'something that pays better.' Margaret signed all disclosure documents, including a specific acknowledgment of the illiquidity features and risks. Fourteen months later, in May 2023, Margaret's roof was damaged in a storm, requiring \$38,000 in repairs. She submitted a redemption request to the REIT, which was partially fulfilled - she received \$11,600 after waiting 47 days, with the remainder queued for future quarters due to the redemption cap. She filed a complaint alleging the investment was unsuitable given her age and liquidity needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Fulton violated suitability: Margaret is a 58-year-old retiree whose \$620,000 portfolio represents her entire liquid net worth. Placing 15% of that portfolio into an illiquid, non-traded REIT with severe redemption restrictions materially reduced her ability to access funds in an emergency. Her risk questionnaire indicated moderate risk tolerance, and non-traded REITs carry risks - including valuation opacity, illiquidity, and concentration in a single asset class (commercial real estate) - that may exceed a moderate investor's appropriate exposure. She had no prior experience with alternative investments. The fact that she expressed frustration about low bond yields does not mean she understood or consented to the trade-off between yield and liquidity. Retirees without significant additional income streams or emergency reserves outside the portfolio are generally poor candidates for illiquid products. Arguments that Fulton acted appropriately: A 15% allocation to a non-traded REIT is within commonly accepted thresholds for alternative investment exposure for moderate-risk investors; many firms set concentration limits at 15-20% for such products. The remaining 85% of the portfolio (\$527,000) was in liquid investments - equities, bonds, and cash - providing substantial liquidity for foreseeable needs. Margaret's pension covers basic living expenses, reducing her dependence on portfolio withdrawals. The REIT's 6.8% yield directly addressed her stated goal of better income and inflation protection, and commercial real estate has historically served as an inflation hedge. Fulton documented his rationale and Margaret signed detailed risk disclosures acknowledging the illiquidity. The roof damage was an unforeseeable event, and no portfolio can perfectly anticipate every emergency. The partial redemption, combined with her liquid holdings, still gave her access to sufficient funds - the complaint arose from inconvenience and delay, not from actual financial harm.

### Why Borderline

This case sits in a genuine gray zone because the 15% allocation is at the upper boundary of what many firms and regulators consider acceptable for alternative investments, the client had a stable pension but limited overall wealth, and her stated desire for higher income could reasonably support or undermine the recommendation depending on how one weighs her sophistication and actual understanding versus her signed acknowledgments. The liquidity event (roof damage) was unforeseeable, and the portfolio's remaining liquid assets arguably provided adequate cushion, but the REIT's redemption restrictions proved problematic in practice.

### Borderline Factors

- 15% allocation is at the upper edge of accepted alternative investment concentration thresholds
- Client's pension provides stable baseline income, reducing but not eliminating liquidity concerns
- Client had no prior experience with alternative or illiquid investments
- Client expressed a desire for higher yield, which the REIT addressed
- Remaining 85% of portfolio was in liquid, diversified investments
- Client signed detailed disclosure documents acknowledging illiquidity risks
- Unforeseeable liquidity event triggered the complaint rather than systematic portfolio failure
- Non-traded REIT redemption restrictions proved materially problematic in practice
- Moderate risk tolerance score creates ambiguity about appropriateness of illiquid alternatives

### Likely Outcome

A regulator would likely scrutinize this case closely but may not find a clear-cut violation. The 15% allocation, while at the high end, is within industry norms, and the documentation of rationale and client acknowledgment of risks provides meaningful defense. However, given the client's age, limited investment

experience, and reliance on her portfolio as her sole liquid savings, a regulator might issue a cautionary finding or require enhanced supervisory procedures for similar future recommendations. If the firm's internal policies set a lower concentration limit for non-traded REITs for retirees (e.g., 10%), a violation finding becomes more likely. Without such a specific internal policy breach, the outcome would likely be a close call resolved in the advisor's favor, potentially with a negotiated settlement if pursued through arbitration.

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## Borderline Scenario 178

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI) imposes a Care Obligation requiring broker-dealers to ex*

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### Fact Pattern

Carlos and Diana Reyes, both 41 years old, are dual-income professionals earning a combined \$195,000 annually. They had \$275,000 in existing retirement accounts (401(k) plans) and opened a new brokerage account in January 2023 with \$140,000 in savings earmarked for their two children's college education (ages 9 and 12). Their advisor, Pamela Ingram, recommended allocating the \$140,000 across four Class A share mutual funds: a large-cap growth fund (\$45,000, 5.25% front-end load), an international equity fund (\$35,000, 5.50% front-end load), an intermediate-term bond fund (\$35,000, 3.75% front-end load), and a small-cap value fund (\$25,000, 5.75% front-end load). The total upfront sales charges amounted to approximately \$7,035. Ingram documented that she chose Class A shares because the Reyes family intended to make additional annual contributions of \$15,000-\$20,000 per year over the next several years, which would allow them to reach breakpoints reducing front-end loads on future purchases. She also noted that Class A shares had lower ongoing expense ratios (averaging 0.82%) compared to Class C shares (averaging 1.57%) offered by the same fund families, and that given the 6-9 year time horizon before the children would need the funds, the lower annual expenses would more than offset the upfront load over time. The same fund family offered institutional-class shares with no load and expense ratios averaging 0.45%, but those required a \$250,000 minimum per fund. There were also comparable no-load index funds available on Ingram's platform with expense ratios averaging 0.08%, though Ingram's firm paid her a higher commission grid on the load funds (approximately 3.5% payout on Class A shares versus a flat \$50 transaction fee on no-load funds). Ingram had recommended no-load index funds to some of her other clients in similar situations. The Reyes family did not ask about no-load alternatives and stated they wanted 'professional management' and were 'comfortable paying for quality.' Eight months later, Carlos read an article about index fund investing and filed a complaint alleging the load fund recommendations were excessive and driven by Ingram's compensation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ingram violated the client's best interest: The \$7,035 in upfront sales charges represents approximately 5% of the initial investment, creating an immediate drag on the college savings. Comparable no-load index funds were available on Ingram's own platform at a fraction of the cost (0.08% vs. 0.82% expense ratio), and over a 6-9 year time horizon, the cumulative cost difference is significant - potentially \$15,000-\$25,000 in total costs and foregone returns. The compensation differential is troubling: Ingram earned substantially more from the load fund recommendations than she would have from no-load

alternatives, creating a material conflict of interest. The fact that she recommended no-load funds to other similarly situated clients suggests she understood the no-load option was viable, raising questions about why she steered the Reyes family toward load funds. The breakpoint argument is forward-looking and speculative - there is no guarantee the family will make the projected additional contributions. Arguments that Ingram acted appropriately: Class A shares are a legitimate product choice, particularly for investors with multi-year time horizons and planned ongoing contributions. The breakpoint strategy is reasonable financial planning - if the Reyes family follows through on \$15,000-\$20,000 annual contributions, they will reach meaningful breakpoints within 2-3 years, reducing loads on subsequent investments. Over a 6-9 year horizon, Class A shares' lower annual expense ratios (0.82% vs. 1.57% for Class C) result in lower total cost of ownership compared to Class C shares. The clients explicitly expressed a preference for active professional management and willingness to pay for it, which index funds do not provide. The institutional shares were inaccessible due to minimum investment requirements. Ingram documented her rationale, including the breakpoint strategy and expense ratio comparison. Not every client is best served by index funds, and reasonable advisors can believe that actively managed funds in certain asset classes (international, small-cap value) may add value. The complaint was triggered by an article rather than actual financial harm.

### Why Borderline

This case is genuinely ambiguous because Class A shares are a defensible choice compared to Class C shares for the given time horizon, and the clients expressed preferences consistent with active management. However, the availability of dramatically cheaper no-load index funds on the same platform, combined with the significant compensation differential favoring load funds, creates a plausible argument that the recommendation was influenced by the advisor's financial interest. The key tension is between the client's expressed preferences and the advisor's obligation to consider reasonably available lower-cost alternatives - and whether the advisor's failure to present no-load options as a comparison constitutes a violation or merely a debatable judgment call.

### Borderline Factors

- Significant compensation differential between load funds and no-load alternatives available on the same platform
- Advisor recommended no-load funds to other clients in similar situations, suggesting awareness of viable alternatives
- Clients explicitly stated preference for 'professional management' and willingness to pay for quality
- Class A shares have lower ongoing expenses than Class C shares, making them reasonable for the 6-9 year horizon
- Breakpoint strategy is documented but depends on speculative future contributions
- \$7,035 in upfront charges is material but standard for Class A share investments of this size
- No-load index funds with 0.08% expense ratios were available on the same platform at dramatically lower cost
- Institutional share classes were unavailable due to minimum investment requirements
- 6-9 year time horizon is long enough that ongoing expense differences matter significantly
- Complaint was triggered by external information rather than realized financial harm

### Likely Outcome

Under current regulatory expectations, a regulator would likely find this case troubling but not necessarily a

clear violation. The strongest defense is the clients' expressed preference for active management and the documented breakpoint strategy. However, the failure to discuss or present no-load alternatives - especially given the substantial cost difference and the compensation conflict - could be viewed as a failure to adequately consider reasonably available alternatives. A regulator applying Reg BI's Care Obligation would likely focus on whether Ingram evaluated a reasonable range of alternatives and whether her documentation reflects genuine consideration of lower-cost options. The most probable outcome is a finding of inadequate consideration of alternatives, potentially resulting in a requirement to offer restitution of a portion of the sales charges or enhanced disclosure requirements, rather than a full-scale suitability violation finding. If the matter went to arbitration, a panel might split the difference and award partial damages.

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### Borderline Scenario 179

*Topic: failure\_to\_know\_customer | Standard: FINRA Rule 2111 (Suitability) requires that an advisor have a reasonable basis to believe*

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#### Fact Pattern

Maria Delgado, age 52, opened a brokerage account with advisor Keith Branson in March 2021. During the account opening process, Branson conducted a 25-minute phone call with Delgado and completed a new account form. Delgado listed her occupation as 'business owner' and her annual income as \$180,000, with a net worth of \$1.2 million excluding her primary residence. She checked 'moderate' for risk tolerance and stated her investment objective was 'growth and income.' Branson did not ask follow-up questions about the nature of her business, the composition of her net worth, or whether any of her wealth was tied up in her business. Delgado did not volunteer this information. Based on the completed form, Branson recommended a diversified portfolio consisting of 55% large-cap equities, 15% international equities, 10% small-cap equities, and 20% investment-grade bonds - a portfolio with an overall moderate-to-aggressive risk profile. Over the next 14 months, the portfolio declined approximately 18% during the 2022 market downturn. Delgado then contacted the firm's complaint department, revealing that \$950,000 of her \$1.2 million net worth was equity in her private catering business, that she had only about \$250,000 in liquid savings, and that the \$175,000 she invested with Branson represented 70% of her liquid assets. She said she had mentioned being a business owner but assumed Branson understood that most of her wealth was illiquid. Branson's notes from the onboarding call reference her income, net worth figure, and risk tolerance selection but contain no discussion of asset breakdown or liquidity needs. The firm's account opening procedures require advisors to 'gather sufficient information to understand the customer's financial situation' but do not include a specific checklist requiring breakdown of liquid versus illiquid assets. Other advisors at the same firm routinely ask about liquidity breakdown; some do not.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

The core question is whether Branson's information-gathering was adequate given the circumstances, and whether the resulting recommendation was suitable based on what he knew or should have known. Arguments that Branson violated his obligations: Branson had a duty to make reasonable efforts to understand Delgado's financial profile before making recommendations. A customer stating she is a

'business owner' is a significant signal that a substantial portion of net worth may be illiquid business equity. Industry best practices would call for follow-up questions about the composition of net worth, particularly the split between liquid and illiquid assets. Without understanding that \$175,000 represented 70% of Delgado's liquid savings, Branson could not meaningfully assess concentration risk or the client's true capacity for loss. An 80/20 equity-to-bond allocation, while facially consistent with 'moderate' risk tolerance, takes on a very different character when the invested amount represents the vast majority of a client's accessible wealth. FINRA Rule 2111 (suitability) and its supplementary materials emphasize that reasonable diligence requires the advisor to attempt to gather and analyze relevant customer information. Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill in developing the recommendation based on the customer's investment profile, which includes financial situation and liquidity needs. Arguments that Branson acted appropriately: Branson did conduct a substantive onboarding conversation. Delgado provided a net worth figure and selected a moderate risk tolerance. She did not disclose the illiquid nature of her net worth, and customers bear some responsibility for providing accurate and complete information. The portfolio Branson recommended was diversified across asset classes and consistent with the stated risk tolerance and investment objectives on the account form. An 80/20 portfolio is well within the range considered 'moderate' to 'moderate-aggressive' for someone with the stated income and net worth. Under FINRA's suitability framework, the advisor's obligation is 'reasonable diligence,' not perfection. The firm's own procedures did not require a specific liquidity breakdown checklist, suggesting the firm itself did not consider this a mandatory element of onboarding. The portfolio losses were attributable to broad market decline, not speculative or unsuitable investments.

### Why Borderline

This case sits in the gray zone because the advisor did gather basic financial information and made a recommendation facially consistent with the stated profile, yet missed a critical dimension - liquidity - that would have materially changed the risk assessment. The customer's occupation as a business owner was an amber flag that could have prompted further inquiry, but it is not an unambiguous red flag. Reasonable professionals disagree about how much probing is required when a client provides apparently complete information on a standard form. The resulting portfolio was not exotic or speculative; it was a mainstream diversified allocation. The harm materialized due to market conditions, not a product defect.

### Borderline Factors

- The customer voluntarily provided net worth and risk tolerance information that facially supported the recommendation
- The 'business owner' designation is an ambiguous signal - it could mean significant illiquid equity or could mean a highly liquid consulting practice
- The firm's own onboarding procedures did not specifically mandate a liquid-versus-illiquid asset breakdown
- The portfolio was diversified and aligned with stated objectives on paper
- The advisor documented a substantive onboarding conversation but omitted liquidity discussion
- 70% of liquid assets concentrated in one account is concerning, but the advisor arguably could not have known this without further inquiry
- Market losses, not product defects, caused the harm
- Industry practice is split - some advisors routinely ask about liquidity breakdown, others rely on stated net worth



### Likely Outcome

A regulator would most likely find a technical violation of the reasonable diligence requirement but treat it as a moderate-severity matter rather than a flagrant breach. The 'business owner' designation combined with a \$1.2 million net worth strongly implies the need for follow-up about asset composition. Regulators have increasingly emphasized that advisors cannot mechanically rely on form responses without exercising professional judgment. However, the mitigating factors - diversified mainstream portfolio, customer's own incomplete disclosure, firm procedures that didn't mandate the inquiry - would likely result in a cautionary letter, enhanced supervision requirement, or modest fine rather than a suspension. If litigated in arbitration, the customer might recover partial damages with a finding of shared responsibility.

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### Borderline Scenario 180

Topic: *illiquid\_real\_estate\_investment* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, and q*

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### Fact Pattern

Dr. James Okonkwo, age 61, a practicing orthopedic surgeon earning \$485,000 annually, had a total investable portfolio of approximately \$3.4 million spread across three advisory relationships. In September 2022, his advisor at Ridgeline Wealth Partners, Sandra Choi, recommended he invest \$340,000 (10% of his total portfolio) in a non-traded real estate investment trust focused on medical office buildings and outpatient surgical centers. The REIT had a minimum seven-year hold period, no active secondary market, distributions projected at 5.8% annually, and an upfront load of 6.5% including selling commissions and offering costs. Okonkwo told Choi he planned to retire at age 65, four years away, and wanted to begin drawing down his portfolio at that time. His other holdings were approximately 60% publicly traded equities, 25% fixed income, and 15% in cash and money market funds. Okonkwo already owned his medical practice building outright, valued at roughly \$1.8 million, which he planned to sell upon retirement. Choi's notes indicate she discussed the illiquidity of the REIT, the seven-year hold period, and the fact that the investment would extend beyond his planned retirement date. Okonkwo signed a subscription agreement acknowledging the illiquidity risks. Choi's rationale, documented in her recommendation memo, stated that the 5.8% distribution rate would provide income during retirement, that the medical office sector was 'recession-resistant,' that the 10% allocation was within accepted concentration guidelines, and that the investment provided tax-advantaged income through depreciation pass-throughs. She did not document any discussion of the client's existing real estate concentration through his practice building. Eighteen months later, the REIT suspended distributions due to rising interest rates impacting property valuations and refinancing costs. Okonkwo filed a complaint, arguing the investment was inappropriate given his retirement timeline and existing real estate exposure.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Choi violated her obligations: When Okonkwo's practice building (\$1.8 million) is considered alongside the REIT investment (\$340,000), his total real estate exposure was approximately \$2.14 million, or roughly 41% of his combined net worth (\$3.4 million investable + \$1.8 million building). This level of real estate concentration is significant, especially for someone four years from retirement. The seven-year hold

period meant the investment would not become liquid until Okonkwo was approximately 68 - three years into his planned retirement - precisely when he stated he would need portfolio liquidity. The 6.5% upfront load means the investment needed to return nearly 7% in its first year just to break even, creating immediate drag on retirement assets. Under Regulation Best Interest and FINRA suitability obligations, Choi was required to consider the customer's entire financial picture, including assets held elsewhere and existing concentrations. Her failure to document or apparently consider the practice building as real estate exposure suggests incomplete analysis. Additionally, non-traded REITs carry well-documented risks including valuation opacity, distribution sustainability concerns, and limited redemption options that are particularly problematic for investors approaching a liquidity event like retirement. Arguments that Choi acted appropriately: The \$340,000 investment represented exactly 10% of Okonkwo's investable portfolio - a commonly accepted threshold for alternative or illiquid investments. His remaining \$3.06 million in liquid and semi-liquid assets was more than sufficient to fund early retirement distributions, especially combined with the anticipated \$1.8 million from selling his practice building. Choi documented that she discussed the illiquidity and hold period explicitly, and Okonkwo signed acknowledgments. The practice building is arguably a different asset class consideration - it's an operating business asset that would be sold upon retirement, not a passive real estate investment held alongside the REIT. A sophisticated, high-earning medical professional with \$3.4 million in investable assets has the financial capacity to absorb a 10% illiquid allocation. The 5.8% distribution yield (before suspension) was attractive relative to fixed-income alternatives available in 2022 and provided a reasonable income component for the retirement portfolio. The distribution suspension was caused by macroeconomic factors that were not reasonably foreseeable at the time of recommendation. Medical office REITs were widely considered defensive real estate investments in 2022.

### Why Borderline

This scenario occupies genuine gray territory because the 10% allocation to a single illiquid product is within commonly cited concentration guidelines, and the advisor did disclose and document the key risks. However, the analysis becomes more complicated when the client's existing real estate holdings, approaching retirement date, and the mismatch between the hold period and liquidity needs are factored in. Reasonable practitioners disagree about whether an operating business property that will be sold should be counted as 'real estate concentration' for portfolio purposes. The advisor's documentation was partially thorough (she discussed illiquidity) but partially deficient (she did not address existing real estate exposure). The high upfront costs and subsequent distribution suspension create an outcome that looks bad in hindsight but may not have been unreasonable at the time of recommendation.

### Borderline Factors

- 10% allocation to a single illiquid investment is at the boundary of commonly accepted concentration thresholds
- Seven-year hold period extends three years beyond the client's stated retirement date, creating a liquidity mismatch
- The advisor documented discussions of illiquidity risks and obtained signed acknowledgments
- Existing real estate exposure through the practice building creates a total concentration question, but the building is an operating business asset planned for sale
- The client is a high-income sophisticated professional, suggesting greater capacity for illiquid investments
- 6.5% upfront load is high but within the range seen in non-traded REIT offerings

- Distribution suspension was caused by market conditions not clearly foreseeable at time of investment
- Advisor documented investment rationale but omitted analysis of overall real estate concentration
- Remaining liquid assets (\$3.06 million) appear sufficient for retirement needs even without the REIT investment

### Likely Outcome

A regulator would likely view this as a close case. The strongest argument against the advisor is the failure to document consideration of the client's overall real estate exposure and the tension between the seven-year hold period and the four-year retirement timeline. However, the 10% allocation, the client's substantial remaining liquid assets, the documented risk disclosures, and the client's sophistication all cut in the advisor's favor. A regulator would most likely issue a finding of a minor violation centered on inadequate documentation of the holistic suitability analysis - specifically the failure to address existing real estate concentration and the hold-period/retirement-timeline mismatch - rather than finding the recommendation itself was clearly unsuitable. The penalty would likely be modest: a fine in the range of \$5,000-\$25,000 and a requirement for enhanced supervisory procedures around illiquid product recommendations for near-retirement clients. In arbitration, the panel might award partial damages reflecting the upfront costs and lost liquidity, potentially in the range of \$50,000-\$100,000, rather than full rescission.

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## Borderline Scenario 181

*Topic: concentration\_risk | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the custom*

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### Fact Pattern

Margaret Kowalski, age 58, was a recently retired schoolteacher with a \$620,000 IRA rollover from her pension buyout and a separate \$180,000 savings account at a local bank. She had no other retirement income aside from Social Security, which she planned to begin collecting at age 66. She described herself as a moderate investor on her new account paperwork and indicated a primary goal of 'income and growth to last through retirement.' Her advisor, Daniel Prescott, age 41 with 15 years of experience, initially constructed a diversified portfolio in March 2021 consisting of broad equity index funds (40%), investment-grade bond funds (35%), a real estate investment trust fund (15%), and a money market fund (10%). Over the following 18 months, as interest rates began rising and bond prices fell, Margaret called Daniel multiple times expressing frustration with losses in her bond allocation. In September 2022, Daniel recommended shifting a significant portion of the portfolio into individual dividend-paying utility stocks, arguing they would provide the income she wanted with less interest rate sensitivity than bonds. By December 2022, the portfolio held 52% in seven individual utility company stocks, 25% in the original equity index funds, 13% in the REIT fund, and 10% in money market. Daniel documented in his notes that Margaret was 'enthusiastic about the utility stock strategy' and 'wanted steady dividend income above all else.' Margaret's account generated approximately \$19,500 in annual dividend income from the utility stocks. In mid-2023, one of the utility companies, representing 11% of the total portfolio, announced an unexpected dividend cut and its stock price fell 28%. Margaret's total portfolio value dropped to approximately \$545,000. She filed a complaint alleging Daniel concentrated her retirement savings irresponsibly in a single sector.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Daniel violated his obligations: Margaret was a 58-year-old retiree whose \$620,000 IRA represented the bulk of her retirement assets. Concentrating 52% of a retirement portfolio in seven individual stocks within a single sector (utilities) exposes her to significant sector-specific and individual company risk. A moderate-risk investor with no other meaningful retirement income source beyond future Social Security should arguably have greater diversification. The shift from a well-diversified portfolio to a sector-concentrated one was dramatic, and the advisor bears responsibility for recommending this strategy regardless of client enthusiasm. Even though utilities are traditionally considered defensive, holding only seven individual stocks in one sector creates idiosyncratic risk that a broad fund would mitigate. The 11% position in a single utility stock is itself a notable concentration. Arguments that Daniel acted appropriately: The initial portfolio was well-diversified and suitable. The shift occurred in response to genuine client dissatisfaction with bond losses during a historically rapid rate-hiking cycle. Utility stocks are traditionally among the most conservative equity sectors, known for stable dividends and lower volatility. The 52% utility allocation was spread across seven companies, providing some intra-sector diversification. The strategy successfully generated approximately \$19,500 in annual income (roughly 3.1% yield on the portfolio), which aligned with Margaret's stated primary goal of income generation. Daniel documented the client's enthusiasm and preference. The remaining 48% of the portfolio was still diversified across equity index funds, REITs, and money market. Margaret actively pushed for changes and was not a passive participant. A single company's dividend cut is an unforeseeable event that does not retroactively make the recommendation unsuitable at the time it was made.

### Why Borderline

This case sits in a genuine gray area because the concentration arose partly from legitimate client demand and the advisor's responsive attempt to address real losses in the original allocation. Utility stocks are widely considered conservative, income-producing investments suitable for retirees, and the advisor maintained diversification in the remaining 48% of assets. However, a 52% allocation to a single sector composed of individual stocks in a retiree's primary retirement account is objectively concentrated, and the advisor's professional judgment should serve as a check on client enthusiasm rather than simply accommodating it. Reasonable practitioners could disagree about whether 52% in a defensive sector crosses the line when the client's income needs and expressed preferences are considered.

### Borderline Factors

- 52% sector concentration is significant but in a traditionally defensive, income-producing sector
- Client actively requested changes and expressed dissatisfaction with the prior diversified approach
- Advisor documented client enthusiasm and rationale for the strategy shift
- Portfolio still maintained 48% in diversified non-utility holdings
- Client was a retiree with limited alternative income sources, increasing the stakes of concentration risk
- Seven individual stocks provide some but limited intra-sector diversification compared to a utility sector

### ETF

- The single-stock 11% position represents a notable individual security concentration
- The income generation objective was meaningfully achieved by the strategy
- Losses were driven by an idiosyncratic company event rather than a broad sector collapse

### Likely Outcome

A regulator would likely issue a cautionary finding or modest sanctions rather than a severe penalty. The advisor would probably be criticized for failing to recommend a utility sector ETF or fund instead of individual stocks, and for allowing a single position to reach 11% of the portfolio without implementing concentration limits. However, the documented client preferences, the defensive nature of the sector, the income-generation rationale, and the remaining diversification would likely mitigate the finding. A settlement involving partial restitution for losses attributable to the single concentrated position that experienced the dividend cut is the most probable resolution.

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### Borderline Scenario 182

*Topic: concentration\_risk | Standard: FINRA Rule 2111 requires a reasonable basis for recommendations considering the customer's*

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#### Fact Pattern

James and Patricia Huang, both age 49, were dual-income professionals - he was a software engineering director earning \$285,000 annually, and she was a hospital administrator earning \$195,000. Together they had accumulated approximately \$1.9 million in various retirement accounts, held \$340,000 in a joint taxable brokerage account, owned their home worth \$750,000 with a \$210,000 mortgage, and maintained a \$95,000 emergency fund. In January 2022, James received a large restricted stock unit (RSU) vesting of \$420,000 in his employer's stock (a major technology company). After taxes, approximately \$290,000 in company shares was deposited into his brokerage account. Their financial advisor, Rachel Thornton, recommended holding the shares rather than immediately selling and diversifying. Rachel noted that the stock had a strong earnings trajectory, the couple's overall net worth was substantial enough to absorb volatility, the position represented approximately 9.2% of their total net worth (approximately \$3.15 million excluding their home), and that selling immediately would trigger significant short-term capital gains taxes. She recommended revisiting the position in 12 months to potentially sell at long-term capital gains rates. She also noted the couple already held broad index funds in their retirement accounts. Over the next 14 months, the tech stock declined 38%, reducing the position value to approximately \$180,000 - a loss of roughly \$110,000 from the post-tax value. The Huangs filed a complaint alleging Rachel should have recommended immediate diversification rather than holding a concentrated employer stock position, noting that James already had ongoing RSU grants and salary tied to the same company, amplifying his exposure.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Rachel violated her obligations: The Huangs' total exposure to James's employer extended well beyond the \$290,000 stock position. His salary (\$285,000), future RSU grants, unvested equity, and potential severance were all tied to the same company. This 'human capital concentration' meant the household's true economic exposure to one company was far greater than the 9.2% figure Rachel cited. A holistic analysis should have factored in this correlated risk - if the company declined, James could face stock losses, reduced future compensation, and potential job loss simultaneously. Best practices in financial planning widely recognize that holding concentrated employer stock compounds existing employment risk. The advisor had a responsibility to weigh this total exposure rather than narrowly analyzing the stock position in isolation. Additionally, a 14-month hold recommendation with no stop-loss

strategy, hedging collar, or phased liquidation plan left the position entirely exposed to downside risk. Arguments that Rachel acted appropriately: At 9.2% of total net worth (excluding their home), the position was not an extreme concentration by conventional standards. The couple was relatively young (49), had high dual income, substantial diversified retirement assets (\$1.9 million), an emergency fund, and significant home equity - all providing substantial financial cushion. The tax optimization rationale was economically sound: holding for 12 months to convert short-term gains to long-term gains could save roughly \$30,000-\$50,000 in taxes depending on their bracket. The recommendation to revisit in 12 months showed a planned approach rather than indefinite holding. Rachel's awareness of their diversified retirement accounts demonstrated she considered the broader portfolio. The stock was in a major, liquid technology company - not a speculative small-cap. The subsequent 38% decline was not reasonably foreseeable at the time of the recommendation.

### Why Borderline

This scenario is genuinely ambiguous because the advisor's tax-optimization rationale was economically reasonable and the nominal portfolio concentration percentage (9.2%) was moderate. However, the failure to account for human capital concentration - salary, future RSUs, and career risk all tied to the same employer - represents a meaningful analytical gap that sophisticated advisors are increasingly expected to address. The question of whether holding employer stock for tax efficiency constitutes a suitable recommendation when the client's total economic exposure to that employer is far higher than the stock position alone is an area where reasonable professionals disagree. The couple's strong overall financial position and diversified retirement accounts cut against a finding of unsuitability, while the lack of any risk-mitigation strategy (collars, phased selling, stop-losses) during a 14-month hold cuts in favor of a violation.

### Borderline Factors

- Nominal concentration of 9.2% of net worth is moderate, but total economic exposure to the employer (salary, future RSUs, career risk) was substantially higher
  - Tax optimization rationale for holding 12 months was economically sound and could save \$30,000-\$50,000
  - Couple had substantial diversified assets (\$1.9M in retirement, \$95K emergency fund, home equity) providing significant financial cushion
  - No hedging strategy, phased liquidation plan, or downside protection was implemented during the hold period
  - Both spouses had high incomes, reducing dependency on the stock position for retirement security
  - The stock was in a major, liquid technology company rather than a speculative or illiquid holding
  - The advisor planned to revisit in 12 months rather than recommending an indefinite hold
  - Human capital concentration analysis is considered best practice but its regulatory requirement is debated
  - The 38% decline was a market event that was not specifically foreseeable at the time of the recommendation

### Likely Outcome

A regulator would likely find this to be a close call and could go either way depending on the specific regulatory body and the emphasis placed on human capital concentration analysis. The most probable outcome is a finding of insufficient analysis rather than outright unsuitability - the advisor would be criticized



for failing to document a comprehensive risk assessment that accounted for the client's total employer exposure and for failing to recommend any risk-mitigation measures during the holding period. However, given the clients' strong overall financial position, the reasonable tax rationale, and the moderate nominal concentration percentage, a severe sanction is unlikely. A letter of caution or requirement for enhanced supervisory procedures is the most probable regulatory response, with any arbitration claim likely resulting in a modest settlement rather than a full damages award.

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### Borderline Scenario 183

Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability), including customer-specific, reasonable-basis, and quant

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#### Fact Pattern

David Morel, a registered representative at a mid-sized broker-dealer in Tampa, Florida, recommended penny stocks to his client, Theresa Yun, a 52-year-old software engineer earning \$185,000 annually with a net worth of approximately \$1.4 million (excluding her primary residence). Yun had been investing for over 15 years, primarily in index funds, large-cap equities, and investment-grade bonds. In early 2023, during a quarterly review, Yun told Morel she wanted to 'take a shot at something with more upside' and asked about speculative opportunities. She mentioned she had been reading online forums about micro-cap stocks and wanted to allocate some money to 'higher-risk, higher-reward' plays. Morel discussed the risks of penny stocks, including illiquidity, limited disclosure requirements, vulnerability to manipulation, and the possibility of total loss. Yun signed an enhanced risk disclosure form specific to penny stocks. Over the next four months, Morel recommended five different penny stocks - all traded on the OTC Pink Sheets, priced between \$0.12 and \$0.87 per share - totaling \$72,000 in purchases, which represented approximately 5.1% of her total investment portfolio. Three of the five companies had audited financial statements, while two did not. One of the companies with no audited financials was a pre-revenue biotech startup. Within eight months, two of the five positions lost over 80% of their value (including the pre-revenue biotech), one was roughly flat, and two had gained between 15% and 40%. Yun's net loss across all five positions was approximately \$19,500. Yun did not complain at the time of purchase and actively confirmed each trade via email. However, her new account form listed her investment objective as 'growth' (not 'speculative'), and her risk tolerance was marked as 'moderate to aggressive.' Yun later filed a complaint stating that Morel should never have recommended penny stocks to someone whose documented profile did not include a speculative objective, and that the OTC Pink Sheet stocks without audited financials were categorically inappropriate for a retail investor like her.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Morel violated his obligations: Yun's new account form listed her investment objective as 'growth' - not 'speculative' - and her risk tolerance was 'moderate to aggressive,' not 'aggressive' or 'speculative.' Penny stocks, particularly those traded on the OTC Pink Sheets without audited financial statements, are generally considered among the highest-risk securities available and are typically suitable only for investors with explicitly speculative objectives and high risk tolerance. FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable based on the customer's investment

profile, including stated objectives and risk tolerance. FINRA's heightened suitability standards for penny stocks - reflected in Notice to Members 05-59 and long-standing enforcement practice - suggest that recommending unaudited OTC securities to a client whose documents don't reflect speculative intent is problematic. Additionally, two of the five companies lacked audited financials, making due diligence nearly impossible. Under Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence to understand the risks of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. The pre-revenue biotech with no audited financials arguably fails this test. Arguments that Morel acted appropriately: Yun was an experienced investor with 15 years of market participation, a high income, and a substantial net worth. She specifically and proactively requested speculative exposure after reading about micro-cap stocks. The allocation was modest - 5.1% of her total portfolio - which is within the range that many practitioners consider reasonable for a satellite speculative allocation. Morel provided risk disclosures, Yun signed an enhanced risk disclosure form, and she confirmed each trade individually via email. The customer-specific and reasonable-basis suitability prongs may be satisfied when a knowledgeable investor affirmatively seeks out speculative exposure at a small portfolio percentage. The fact that the account form wasn't updated to reflect 'speculative' may be an administrative oversight rather than evidence that the trades were unsuitable. Three of the five companies had audited financials, showing some diligence was applied. The net loss of \$19,500 (roughly 1.4% of her portfolio) was well within the range of acceptable risk for a high-net-worth growth investor experimenting with a small speculative sleeve.

### Why Borderline

This case sits in a genuine gray area because the client's documented investment profile (growth / moderate-to-aggressive) technically does not support penny stock recommendations, yet the client verbally and in writing expressed a clear desire for speculative exposure, had the financial capacity to absorb the risk, and the allocation was small relative to her total portfolio. Regulators often focus heavily on the documented profile, while practitioners may argue that the totality of circumstances - including the client's sophistication, affirmative requests, and proportionality - should govern. The inclusion of two unaudited OTC companies adds regulatory risk, but the overall allocation discipline and documented consent cut against a finding of violation.

### Borderline Factors

- Client's documented investment objective was 'growth,' not 'speculative,' creating a mismatch with penny stock recommendations
- Client proactively and repeatedly requested speculative exposure, demonstrating informed consent
- Allocation represented only 5.1% of total portfolio, arguably a reasonable satellite position
- Two of five penny stocks had no audited financial statements, heightening risk concerns
- Client signed enhanced risk disclosures and confirmed each trade individually via email
- Client had 15 years of investing experience and a \$1.4 million net worth, suggesting capacity to bear losses
- New account form was never updated to reflect the client's stated desire for speculative investments
- Net losses were approximately 1.4% of total portfolio - financially immaterial to the client's overall position

### Likely Outcome

A regulator would likely issue a cautionary action or a fine with mitigating factors rather than a severe

sanction. The failure to update the account documentation to reflect speculative intent is a procedural deficiency that regulators take seriously, and recommending unaudited OTC Pink Sheet stocks adds weight to the violation side. However, the modest allocation size, the client's financial sophistication, the clear documented consent, and the client's own initiation of the speculative strategy would likely be treated as significant mitigating factors. The most probable result is a finding of a technical suitability violation based on the documentation mismatch, with reduced sanctions due to the mitigating circumstances. The advisor might face a small fine and a requirement for enhanced supervisory procedures.

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## Borderline Scenario 184

Topic: *reverse\_churning* | Standard: *Regulation Best Interest (Reg BI) under Rule 15l-1 of the Securities Exchange Act of 1934, spec*

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### Fact Pattern

Angela Simmons, a financial advisor at a large wealth management firm in Chicago, transitioned her client, Robert Kwan, a 67-year-old retired manufacturing executive, from a commission-based brokerage account to a fee-based advisory account in March 2022. Kwan had a portfolio valued at approximately \$2.3 million, and the advisory account charged an annual wrap fee of 1.15% (\$26,450 per year). At the time of the conversion, Simmons told Kwan that the fee-based structure would better align their interests, provide ongoing portfolio monitoring, and give him access to financial planning services including retirement income projections, tax-loss harvesting analysis, and estate planning coordination. In the 24 months following the conversion (March 2022 through February 2024), Simmons executed a total of 11 trades in Kwan's account - four rebalancing trades in the first quarter, three tax-loss harvesting trades in December 2022, and four additional rebalancing trades spread across 2023. The portfolio consisted of 60% equity index ETFs, 30% bond ETFs, and 10% in a diversified alternatives fund. The total commissions that would have been charged on those 11 trades in a brokerage account, based on the firm's standard commission schedule, would have been approximately \$2,200 over the two-year period. Under the advisory account, Kwan paid approximately \$52,900 in fees over the same period. Simmons did hold three annual review meetings with Kwan (one in-person, two virtual), provided two updated retirement income projection reports, coordinated once with Kwan's estate attorney regarding beneficiary designations, and sent quarterly portfolio performance summaries. Kwan's portfolio returned approximately 9.2% annualized during this period, modestly trailing the blended benchmark return of 10.1% (attributable primarily to the fee drag). Kwan's son, a CPA, reviewed the account statements in early 2024 and filed a complaint alleging that Simmons had placed Kwan in an expensive fee-based account that generated minimal trading activity, effectively charging \$52,900 for services that would have cost \$2,200 in commissions, and that the advisory account served Simmons' financial interest rather than Kwan's.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Simmons violated her obligations: The core allegation of reverse churning rests on the dramatic cost disparity - \$52,900 in advisory fees versus an estimated \$2,200 in commissions for the same trading activity over two years. Under Regulation Best Interest's Care Obligation, a broker-dealer must consider reasonably available alternatives when making a recommendation, including the recommendation

of an account type. If the client's needs could have been met through a commission-based account at a fraction of the cost, the fee-based recommendation may not have been in Kwan's best interest. The 11 trades over 24 months suggest a relatively static, buy-and-hold portfolio that does not inherently require continuous advisory oversight. The portfolio consisted primarily of passive index ETFs and bond ETFs, which arguably do not require active management or ongoing advisory expertise to maintain. The 24:1 cost ratio between the advisory fee and hypothetical commissions is a stark data point that regulators may find persuasive. Under the Investment Advisers Act fiduciary standard (if Simmons acted in an advisory capacity), there is an affirmative duty to ensure fees are reasonable in light of services actually provided. Arguments that Simmons acted appropriately: The value of a fee-based advisory relationship cannot be measured solely by trade count. Simmons provided ongoing portfolio monitoring, three annual reviews, two detailed retirement income projections, coordination with Kwan's estate attorney, quarterly performance reports, and tax-loss harvesting analysis. These services have real value that a commission-based transactional relationship does not typically include. The rebalancing and tax-loss harvesting strategies, while generating few trades, required judgment and monitoring throughout the year. For a 67-year-old retiree with \$2.3 million, comprehensive financial planning - including retirement distribution strategy, tax optimization, and estate coordination - is arguably more important than trade execution, and a fee-based account is the standard vehicle for delivering holistic advice. The 1.15% annual fee is within industry norms for a full-service advisory account of this size. Kwan consented to the advisory agreement, which clearly disclosed the fee structure. The portfolio returned 9.2% annualized, and the 90 basis point underperformance versus the benchmark is not unusual and is partly explained by advisory fees, which the client agreed to pay. Importantly, comparing advisory fees only to hypothetical commissions ignores the value of the planning services and ongoing fiduciary monitoring that the advisory structure provides.

### Why Borderline

This is a genuine gray area because reverse churning cases hinge on whether the value of advisory services justifies the fees charged, and reasonable people can disagree about how to quantify the value of financial planning, monitoring, and coordination services versus pure trade execution. The cost disparity is dramatic on its face, but the advisor did provide meaningful non-trading services that would not have been available in a commission account. The 1.15% fee is within industry norms, and the portfolio structure (passive ETFs) is defensible as appropriate for a retiree - the question is whether such a portfolio needs to be in an advisory wrapper at all. Regulators have increasingly scrutinized account-type recommendations, but there is no bright-line rule establishing when a fee-based account becomes inappropriate based on trading frequency alone.

### Borderline Factors

- Advisory fees (\$52,900) were approximately 24 times what commissions would have been (\$2,200) for the same trades over 24 months
- Advisor provided meaningful non-trading services: retirement projections, estate planning coordination, tax-loss harvesting analysis, and quarterly reviews
- Portfolio was primarily passive index ETFs and bond ETFs, which arguably require minimal active advisory oversight
- Annual fee of 1.15% is within the range of industry-standard advisory fees for accounts of this size
- Only 11 trades were executed over 24 months, suggesting a buy-and-hold approach more typical of brokerage accounts
- Client was a 67-year-old retiree for whom comprehensive financial planning (distribution strategy, tax

planning, estate coordination) has genuine ongoing value

- Client signed the advisory agreement with full fee disclosure and did not complain until his son reviewed the statements two years later

- The fee-based recommendation was made at the point of account conversion, which is itself a recommendation subject to best interest analysis

### Likely Outcome

A regulator would likely investigate but would face difficulty establishing a clear-cut violation. The dramatic cost disparity creates a compelling narrative, but the advisor's documented delivery of financial planning services, the industry-standard fee level, and the client's signed consent would serve as meaningful defenses. A regulator might focus on whether the advisor conducted and documented a cost-benefit analysis at the time of the account conversion recommendation. If no such analysis was documented, the regulator might find a technical violation of the obligation to consider reasonably available alternatives, resulting in a moderate fine and required remedial measures (such as mandatory account-type suitability reviews). If the advisor can demonstrate a documented rationale for why the advisory account better served Kwan's holistic needs, the complaint would more likely be dismissed or resolved with no formal action beyond enhanced supervisory requirements.

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## Borderline Scenario 185

*Topic: high\_fees\_unsuitable | Standard: SEC Regulation Best Interest (Reg BI), particularly the Care Obligation under Rule 15l-1(a)*

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### Fact Pattern

Margaret Hollis, age 62, a recently retired school principal with a \$680,000 rollover IRA, met with advisor Kevin Driscoll in March 2023. Margaret described herself as moderately conservative, wanting income to supplement her pension of \$4,200/month, and expressed anxiety about outliving her savings. She told Kevin she had 'no interest in watching the market every day' and wanted a 'set it and forget it' approach. Kevin recommended she invest her entire IRA into a suite of actively managed mutual funds from three fund families, with a blended expense ratio of 1.42% annually. The funds were invested across large-cap value (30%), intermediate-term bonds (40%), balanced/allocation funds (20%), and international dividend equity (10%). Each fund carried either a front-end load of 3.75% or a level load with a 12b-1 fee of 0.75%. At the same time, comparable index-based and ETF portfolios with nearly identical asset allocations were available through Kevin's broker-dealer platform at a blended expense ratio of approximately 0.18% with no sales loads. Over the first 18 months, Margaret paid approximately \$14,500 in total fees and loads, compared to an estimated \$1,850 she would have paid in the lower-cost alternatives. However, Kevin's chosen funds had 10-year track records that, in three of the four categories, had modestly outperformed their benchmark indices by 0.3% to 0.7% annually after fees. Kevin had access to both types of products on his platform. He documented that Margaret wanted 'professional management' and 'proven track records' and noted she said she didn't want to 'go cheap and regret it.' Margaret's account new-client questionnaire listed her investment knowledge as 'limited' and her prior experience as 'savings accounts and CDs only.' Kevin received approximately \$9,100 in commissions from the initial transactions, compared to roughly \$0 in upfront commissions had he used the ETF/index alternatives (though he would have received a smaller ongoing advisory fee of 0.25% on the platform's fee-based option).

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Kevin violated his obligations: The cost differential is substantial - Margaret paid roughly \$12,650 more over 18 months than she would have with readily available lower-cost alternatives on the same platform. For a moderately conservative 62-year-old retiree concerned about outliving her savings, every dollar saved in fees directly extends portfolio longevity. Margaret's limited investment knowledge and CD-only background suggest she was not in a position to meaningfully evaluate whether active management justified its cost premium. Kevin's significantly higher personal compensation from the load funds creates a problematic incentive structure. The 'set it and forget it' preference arguably points toward passive indexing rather than active management. Under Regulation Best Interest's care obligation, the advisor must consider reasonably available alternatives, and cost is a key factor when the investment strategy and risk profile are otherwise equivalent. Arguments that Kevin acted appropriately: The funds selected had genuine long-term outperformance records in most categories, and a reasonable advisor could believe that proven active managers add value, particularly in categories like value and international dividend equity where active management has historically shown stronger relative performance. Margaret's own words - wanting 'professional management,' 'proven track records,' and not wanting to 'go cheap' - suggest she expressed a preference for active funds, and Kevin documented these preferences. The overall asset allocation was entirely appropriate for her risk profile and income needs. A 1.42% blended expense ratio, while above index-fund levels, is within the mainstream range for actively managed funds and is not egregiously high. Furthermore, Kevin was operating in a commission-based brokerage model, and the platform's fee-based alternative at 0.25% ongoing plus fund expenses would also generate advisor compensation, just structured differently. The total cost difference over a full market cycle might narrow if the active funds continue to outperform.

**Why Borderline**

This case sits in the gray zone because the funds recommended were substantively appropriate in terms of asset allocation, risk level, and investment objectives - the dispute is purely about cost. The active funds had legitimate track records of modest outperformance, making the higher-fee recommendation not facially unreasonable. Margaret's own documented statements could be read as informed preference or as a financially unsophisticated client echoing her advisor's sales framing. The cost gap is meaningful but not extreme by industry standards, and reasonable practitioners disagree about whether past active-management outperformance justifies the fee premium going forward.

**Borderline Factors**

- Funds recommended were substantively suitable in terms of asset allocation and risk profile for the client
- Active funds had documented 10-year track records of modest outperformance after fees in most categories
- Client made statements that could be interpreted as expressing a preference for active management
- Client had very limited investment knowledge, raising questions about how informed her stated preferences truly were
- Cost differential of approximately \$12,650 over 18 months is significant for a retiree concerned about portfolio longevity
- Advisor's compensation was roughly \$9,100 higher under the recommended approach versus available



alternatives

- Lower-cost alternatives with nearly identical allocations were available on the same platform
- 1.42% blended expense ratio is within mainstream industry range but well above available passive alternatives

### Likely Outcome

A regulator would likely find this a close case but would probably issue a cautionary action or require enhanced justification rather than pursue a full enforcement action. Under Reg BI's care obligation, the failure to meaningfully consider and document why the higher-cost funds were preferable to substantially identical lower-cost alternatives for a cost-sensitive retiree with limited knowledge is problematic. However, the documented client preferences, appropriate asset allocation, and legitimate fund performance records would mitigate against a finding of clear violation. A regulator might require the broker-dealer to enhance its product-comparison documentation requirements rather than sanction the individual advisor.

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## Borderline Scenario 186

*Topic: overconcentration\_single\_stock | Standard: FINRA Rule 2111 (Suitability), including the customer-specific suitability obligation*

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### Fact Pattern

David Nakamura, age 47, a senior software engineer at a publicly traded cloud computing company, had a total liquid net worth of approximately \$2.1 million in April 2022. Of that amount, roughly \$870,000 (41%) was already held in his employer's stock through vested stock options and RSUs in a personal brokerage account. David approached advisor Rachel Simmons at a wirehouse firm to manage his remaining \$1.23 million, which was held across an IRA (\$620,000), a taxable brokerage account (\$410,000), and cash savings (\$200,000). David told Rachel he was 'extremely bullish' on his employer, believed the stock was undervalued compared to peers, and wanted to use a portion of his advisory assets to purchase additional shares. Rachel prepared a financial plan showing a recommended allocation: 60% equities, 30% bonds, 10% alternatives. Within the equity sleeve, she recommended allocating 15% of the advisory portfolio (approximately \$184,500) to additional purchases of his employer's stock, bringing his total single-stock concentration from 41% to approximately 46% of total liquid net worth. Rachel documented three separate conversations in which she discussed concentration risk with David, including running Monte Carlo simulations showing how a 50% decline in his employer's stock would impact his retirement timeline. She also documented that David rejected her initial suggestion to hedge his existing position through a collar strategy, saying he 'didn't want to cap his upside.' Rachel noted that she reduced his requested allocation - David originally asked to put 30% of the advisory assets into his employer's stock, which would have pushed concentration above 55%. She presented the 15% allocation as a compromise. David signed a concentration risk acknowledgment form. The employer's stock subsequently declined 38% over the following 14 months amid a broader tech sector downturn, reducing David's total portfolio value by approximately \$490,000 more than a diversified portfolio would have experienced. David filed a complaint alleging Rachel should never have allowed any additional purchases given his already-concentrated position.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Rachel violated her obligations: David was already dangerously concentrated at 41% in a single stock before Rachel's involvement. Any competent advisor should recognize that adding to an already-concentrated position increases systematic risk in a way that is difficult to justify under prudent investment management principles. Increasing concentration from 41% to 46% moves further in the wrong direction. The fact that David wanted even more concentration does not relieve the advisor of her independent obligation to ensure recommendations are suitable. Rachel had a duty not merely to accommodate the client's wishes but to exercise professional judgment. A 46% concentration in a single tech stock for a 47-year-old still 15-20 years from retirement represents a meaningful risk to retirement security. Arguments that Rachel acted appropriately: Rachel demonstrated extensive due diligence - she documented three conversations about concentration risk, ran Monte Carlo simulations illustrating downside scenarios, recommended hedging strategies (which David rejected), and successfully negotiated David's requested allocation down from 30% to 15% of advisory assets. She obtained a signed concentration risk acknowledgment. David was a sophisticated investor - a senior engineer at the company with deep knowledge of its business, earning well above average income, and with no near-term liquidity needs. The additional purchase represented only 15% of the managed assets, and the overall advisory portfolio was otherwise well-diversified across equities, bonds, and alternatives. Rachel cannot control the pre-existing concentrated position that David held outside her management, and she arguably improved his overall situation by diversifying the majority of his remaining assets while accommodating a reasonable portion of his conviction. Total concentration of 46% is high but not unprecedented for corporate insiders with long time horizons.

### Why Borderline

This case is genuinely ambiguous because it pits the advisor's duty to make suitable recommendations against a sophisticated client's informed, documented desire to maintain and modestly increase a concentrated position. Rachel took extensive mitigation steps - documenting risk discussions, running simulations, proposing hedging, reducing the requested allocation, and obtaining written acknowledgment - yet she still recommended adding to an already-concentrated position rather than recommending against any additional purchases. Reasonable practitioners disagree about whether an advisor's obligation requires refusing to add to concentration even when the client insists, particularly when the client has relevant expertise and the advisor has documented the risks thoroughly.

### Borderline Factors

- Client was already 41% concentrated before the advisor relationship began, and advisor did not create the initial concentration
- Advisor recommended increasing concentration only modestly from 41% to 46%, not a dramatic escalation
- Client was a sophisticated tech industry professional with direct knowledge of the company
- Advisor extensively documented risk discussions, ran downside simulations, and proposed hedging alternatives
- Client rejected hedging and explicitly requested even greater concentration (30% of managed assets)
- Advisor successfully negotiated the allocation down from 30% to 15% of managed assets
- Signed concentration risk acknowledgment was obtained
- Client had no near-term liquidity needs and a 15-20 year investment horizon
- The remaining 85% of managed assets was appropriately diversified

- A 46% single-stock concentration still represents material risk to long-term financial security

### Likely Outcome

A regulator would likely decline to pursue a full enforcement action but might use this case to issue guidance about concentration limits and advisor obligations when clients hold pre-existing concentrated positions. The extensive documentation, risk mitigation efforts, client sophistication, and the fact that Rachel reduced the client's requested allocation all weigh heavily in her favor. However, a FINRA arbitration panel could go either way - panels have historically been sympathetic to concentration claims even with documentation, particularly when losses are substantial. The most likely arbitration outcome would be a modest damages award (perhaps 20-30% of excess losses) reflecting shared responsibility, or a finding in the advisor's favor based on the strength of the documentation.

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## Borderline Scenario 187

Topic: illiquid\_investments | Standard: FINRA Rule 2111 (Suitability) requires that a recommended investment be suitable based on

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### Fact Pattern

Margaret Holden, age 58, was a recently retired school administrator with a \$1.2 million rollover IRA and a separate \$350,000 brokerage account. She told her advisor, Kevin Pratt, that she wanted income-producing investments to supplement her state pension of \$4,200/month, and she noted that she didn't plan to touch the IRA for at least seven years when she would begin required distributions. Her risk tolerance questionnaire came back 'moderate,' and she listed her investment objective as 'income with moderate growth.' In March 2021, Pratt recommended she allocate \$240,000 (20% of the IRA) into a non-traded real estate investment trust (REIT) focused on commercial medical office buildings. The product had a minimum seven-year holding period, paid a stated distribution rate of 6.5%, charged upfront offering costs of approximately 8.5%, and had no secondary market for shares. Pratt explained the illiquidity and lock-up period verbally and Margaret signed the subscription documents, which also disclosed these features prominently. Margaret's remaining IRA assets were allocated to a diversified mix of bond funds, dividend-paying equity ETFs, and a small allocation to Treasury securities. Her \$350,000 brokerage account remained fully liquid in blue-chip stocks and money market funds. Over the next two years, the non-traded REIT paid distributions as expected, and Margaret did not express dissatisfaction. In late 2023, Margaret's husband was diagnosed with a serious illness, and she attempted to liquidate her REIT position to cover anticipated medical costs. She was unable to do so and filed a complaint alleging Pratt should never have placed her in an illiquid product. Pratt responded that at the time of the recommendation, Margaret had ample liquidity elsewhere, the product matched her stated time horizon and income needs, and the allocation represented a reasonable portion of her overall portfolio.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Pratt violated his obligations: Margaret was 58 and approaching the phase of life where unexpected health or financial needs become more likely. Placing 20% of her primary retirement account into a product with no liquidity for seven years and 8.5% upfront costs is an inherently aggressive allocation

for someone whose stated goal was income and moderate growth-not speculative appreciation. The 8.5% in upfront costs means Margaret effectively lost \$20,400 immediately, requiring years of distributions just to break even. A more liquid REIT or dividend-paying equity portfolio could have generated comparable income without the lock-up risk. The inability to access funds during a family health crisis demonstrates the real-world consequences of illiquidity recommendations for retirees. Arguments that Pratt acted appropriately: The 20% allocation to the non-traded REIT was within commonly accepted concentration limits for alternative investments. Margaret had \$350,000 in fully liquid assets in a separate brokerage account plus \$960,000 in liquid IRA holdings, giving her substantial reserves for emergencies. Her stated time horizon of seven-plus years before touching the IRA aligned perfectly with the REIT's holding period. The 6.5% distribution rate was attractive relative to bond yields available in 2021 and directly served her income objective. Margaret signed detailed disclosures and was informed of the illiquidity. The complaint arose from an unforeseeable life event-her husband's illness-not from any mismatch apparent at the time of the recommendation. Under FINRA Rule 2111, the recommendation must be suitable at the time it is made, and at that time, Margaret's financial profile supported the allocation. Under Regulation Best Interest, the advisor must consider reasonably available alternatives, but the non-traded REIT's income characteristics and time-horizon match arguably made it a reasonable choice among alternatives, particularly given the low-yield environment in early 2021.

### Why Borderline

This case sits in a genuine gray area because the allocation percentage (20%) is at the upper boundary of what many firms and regulators consider acceptable for illiquid alternatives, the client's overall liquidity position was strong at the time, the product characteristics matched her stated objectives and timeline, but the client was a retiree entering a life stage where liquidity needs are inherently unpredictable. The complaint is driven by a change in circumstances that was not foreseeable, raising the fundamental question of whether suitability analysis must account for unknowable future emergencies or only the client's profile at the time of the recommendation.

### Borderline Factors

- 20% concentration in a single illiquid product is at the high end of acceptable thresholds but not clearly excessive
- Client had substantial liquid assets outside the illiquid investment at the time of recommendation
- The seven-year lock-up matched the client's stated seven-year time horizon before required distributions
- 8.5% upfront costs are high but standard for non-traded REITs and were disclosed
- Client was a retiree, a population for whom regulators scrutinize illiquid recommendations more carefully
- The triggering event (husband's illness) was unforeseeable at the time of the recommendation
- Comparable liquid REIT alternatives existed that could have provided similar income with daily liquidity
- Client signed detailed subscription documents acknowledging illiquidity risks

### Likely Outcome

A regulator would likely find this to be a close case but might decline to pursue a formal action, instead issuing cautionary guidance or requiring enhanced supervision. The allocation was at the boundary of acceptable practice, and the existence of ample liquid reserves, proper disclosures, and alignment with stated objectives at the time of the recommendation would likely tip the balance in the advisor's favor. However, if the firm's internal policies limited non-traded REIT allocations to 15% of a retirement account, a violation finding would be more likely. A FINRA arbitration panel might split the difference with a partial

damages award, acknowledging both the advisor's reasonable basis and the heightened duty of care owed to retirees.

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## Borderline Scenario 188

Topic: *excessive\_load\_funds* | Standard: *Regulation Best Interest (Reg BI), SEC Rule 15l-1, requires broker-dealers to act in the ret*

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### Fact Pattern

David Chen, age 44, was a software engineer earning \$195,000 per year with approximately \$480,000 in investable assets, no debt other than a mortgage, and two children ages 8 and 11. In January 2022, he opened an advisory relationship with Sandra Weeks at a dually registered broker-dealer and investment advisory firm. Chen told Weeks he wanted long-term growth for retirement and college savings, had a 'moderately aggressive' risk tolerance, and said he preferred a 'hands-off' approach where his advisor made decisions. Over the following six months, Weeks invested Chen's assets across five Class A mutual funds: a large-cap growth fund (5.25% front-end load, 0.82% expense ratio, \$140,000), a mid-cap value fund (5.50% front-end load, 0.95% expense ratio, \$95,000), an international equity fund (5.75% front-end load, 1.12% expense ratio, \$85,000), a balanced fund (4.50% front-end load, 0.78% expense ratio, \$80,000), and a municipal bond fund (3.75% front-end load, 0.68% expense ratio, \$80,000). The total front-end loads paid were approximately \$24,360. Weeks' firm offered both commission-based brokerage accounts and fee-based advisory accounts charging 1.0% annually. The firm's product shelf also included comparable institutional-class and no-load index funds with expense ratios between 0.04% and 0.25%. Weeks placed all investments in the commission-based brokerage account. She documented in her notes that Chen said he did not anticipate making frequent changes to his portfolio and preferred to 'set it and forget it,' which she interpreted as favoring a one-time commission structure over ongoing advisory fees. She also applied available breakpoint discounts by combining household assets through a letter of intent, reducing the loads on two of the five funds by approximately 0.25% each. Chen did not complain for over a year. In mid-2023, Chen attended a financial literacy seminar at his employer and learned about index fund investing. He reviewed his account statements, calculated the total loads and ongoing expense ratios he was paying, and filed a complaint alleging Weeks had placed him in excessively expensive funds when cheaper alternatives were available and that the commission-based account was chosen to benefit her rather than him.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Weeks violated her obligations: The total upfront cost of approximately \$24,360 represents roughly 5.1% of Chen's entire investable assets—money that is immediately lost to fees rather than invested. Comparable index funds or institutional-class funds on the firm's own shelf could have achieved similar diversification and long-term growth objectives at a fraction of the cost. Over a 20-year horizon, the difference in expense ratios alone (roughly 0.50-0.85% annually) could compound to tens of thousands of dollars in lost returns. The choice of a commission-based account over a fee-based account deserves scrutiny: at 1.0% annually on \$480,000, the advisory fee would be \$4,800 per year; it would take approximately five years for cumulative advisory fees to exceed the upfront load charges, and during that

time Chen would have benefited from lower ongoing expense ratios in institutional-class funds. For a 44-year-old with a 20+ year time horizon, the fee-based account with low-cost funds would almost certainly have been less expensive overall. Weeks' financial incentive to choose the commission structure (immediate compensation of roughly \$24,360 versus a share of \$4,800/year in advisory fees) raises conflict-of-interest concerns. Arguments that Weeks acted appropriately: Chen explicitly stated he wanted a hands-off, buy-and-hold approach, which is the classic use case for Class A shares with front-end loads-the investor pays upfront and then holds for years at relatively lower ongoing costs compared to Class C shares or wrap accounts with annual fees. If Chen truly held these positions for 10+ years, the one-time load structure could be comparable to or even cheaper than a 1.0% annual advisory fee, especially since the advisory fee applies to a growing asset base while the load is a one-time fixed cost. Weeks applied available breakpoint discounts, demonstrating cost consciousness. The funds selected were from well-known fund families with established track records, not obscure or proprietary products, and the asset allocation across five different funds reflected reasonable diversification. The fact that cheaper alternatives exist does not automatically mean a more expensive product is unsuitable-active management may provide value in certain market environments, and Chen's moderately aggressive profile may benefit from active manager selection in international and mid-cap spaces. Weeks documented her rationale for the account type choice based on the client's stated preferences.

### Why Borderline

This scenario is genuinely ambiguous because the traditional suitability framework did not require advisors to recommend the cheapest available product-only one that was suitable given the client's profile. The newer best interest standard requires consideration of costs and reasonably available alternatives, but it does not mandate the lowest-cost option either. The account-type decision (commission vs. fee-based) involves legitimate trade-offs depending on holding period and portfolio activity, and Weeks' rationale-that a buy-and-hold investor benefits from a one-time commission rather than perpetual advisory fees-has genuine economic merit over certain time horizons. The case turns on whether the magnitude of the cost difference is large enough to make the recommendation unreasonable, or whether the advisor's documented rationale and the client's stated preferences provide sufficient justification.

### Borderline Factors

- Total front-end loads of ~\$24,360 are substantial but standard Class A pricing, not above-market
- Comparable no-load and low-cost index funds were available on the same firm's platform
- Client's buy-and-hold stated preference provides legitimate economic justification for front-load shares over annual advisory fees
- Commission-based account created higher immediate advisor compensation than the fee-based alternative
- Advisor documented rationale for account type selection based on client's stated investment approach
- Breakpoint discounts were applied, showing some cost sensitivity
- Over a 20+ year horizon, the cost comparison between load funds and a 1.0% annual advisory fee becomes genuinely close
- Active vs. passive fund debate means the higher-cost funds are not automatically inferior products
- Client did not express cost sensitivity or request low-cost options during onboarding

### Likely Outcome

A regulator examining this case under the best interest standard would likely scrutinize the account-type



recommendation closely and could find a technical violation based on insufficient consideration of the fee-based account with lower-cost funds as a reasonably available alternative, particularly given the 20+ year time horizon where compounding expense ratio differences would significantly erode returns. However, the documented rationale, the legitimate economic argument for load shares in a buy-and-hold context, and the application of breakpoint discounts would serve as meaningful mitigating factors. The most probable outcome would be a supervisory or compliance finding requiring enhanced documentation of the cost-comparison analysis rather than a significant monetary sanction. In arbitration, a panel might award partial damages reflecting the excess costs over what a comparable low-cost portfolio would have charged, reduced by a finding of comparative responsibility given Chen's failure to ask about fees for over a year.

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### Borderline Scenario 189

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) - particularly the customer-specific obligation*

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#### Fact Pattern

Margaret Thornton, a 68-year-old retired school librarian, opened an account with financial advisor David Reeves in March 2022. Her new account form listed her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' her annual income as \$42,000 from Social Security and a small pension, liquid net worth of \$310,000, and total net worth of \$485,000 (including her home). She told Reeves she wanted her portfolio to 'keep up with inflation' and expressed frustration that her bank CDs were paying almost nothing while grocery prices were rising sharply. Reeves documented in his notes that Margaret said she was 'open to new ideas' and 'didn't want to just sit there losing money to inflation.' In April 2022, Reeves recommended allocating 18% of her liquid portfolio - approximately \$55,800 - into a diversified commodities fund that invested in futures contracts for oil, natural gas, agricultural products, and precious metals. The fund had a 5-year annualized return of 14.2% but also experienced a maximum drawdown of 31% during that period, carried an expense ratio of 1.15%, and was classified by its prospectus as 'speculative' with 'significant volatility risk.' Reeves explained to Margaret that commodities had historically served as an inflation hedge and that this allocation could protect her purchasing power. He placed the remaining 82% of her portfolio in investment-grade bond funds (50%), a balanced equity-income fund (22%), and money market funds (10%). Over the next 14 months, the commodities fund lost 19.4%, reducing that portion to approximately \$44,960 - a loss of about \$10,840. Margaret filed a complaint alleging the commodities fund was wholly inappropriate for someone with her conservative profile. Reeves countered that the allocation was a measured response to her explicit concern about inflation erosion, that 18% was a modest allocation, and that the overall portfolio was still overwhelmingly conservative, with 82% in traditional conservative-to-moderate holdings. He also noted that he had offered to rebalance in November 2022 when the fund was down 11%, but Margaret declined, saying she wanted to 'wait for it to come back.'

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Reeves violated his obligations: Margaret's account documentation clearly listed her risk tolerance as conservative and her objective as income with capital preservation. A commodities futures

fund classified as 'speculative' by its own prospectus is facially inconsistent with a conservative profile. Under FINRA Rule 2111 (Suitability), the customer-specific obligation requires that a recommendation be consistent with the customer's investment profile, including stated risk tolerance and objectives. Under Regulation Best Interest, the care obligation requires the advisor to exercise reasonable diligence and skill to understand the risks and rewards of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest given their profile. A speculative product for a 68-year-old retiree with limited income and moderate savings raises red flags. The \$10,840 loss represents roughly 3.5% of her liquid net worth and over 25% of her annual income. Arguments that Reeves acted appropriately: Suitability and best interest analysis should consider the recommendation in the context of the overall portfolio, not in isolation. FINRA Rule 2111.05(a) explicitly acknowledges that an investment strategy involving a speculative security may be suitable if it represents a small allocation within a broader portfolio aligned with the customer's profile. Here, 82% of the portfolio was invested conservatively. The 18% commodities allocation served a specific, documented purpose - inflation hedging - that directly addressed the client's expressed concern. Reeves documented her statements about wanting to combat inflation and being open to new ideas. The recommendation was not a speculative growth play but a strategic allocation to address a real economic risk (inflation was running at 8%+ in early 2022). Furthermore, Margaret declined Reeves's offer to rebalance when losses were more modest, suggesting she understood and accepted the risk to some degree. The overall portfolio construction remained predominantly conservative.

### Why Borderline

This is genuinely ambiguous because the product itself is classified as speculative, which conflicts with the client's stated conservative profile, but the allocation size was modest and served a rational portfolio construction purpose (inflation hedging) that directly addressed the client's articulated concern. The tension between a client's stated risk tolerance category and their specific expressed needs creates a gray zone. Reasonable regulators could disagree on whether the product label ('speculative') should be disqualifying regardless of allocation size, or whether the holistic portfolio approach and documented client concern justify the recommendation.

### Borderline Factors

- Product prospectus self-classifies as 'speculative' but allocation was only 18% of the portfolio
- Client's stated risk tolerance was 'conservative' but she explicitly expressed concern about inflation erosion and openness to new ideas
- Commodities as an inflation hedge is a recognized portfolio strategy with academic support, not mere speculation
- Overall portfolio was 82% conservative-to-moderate holdings
- Client declined advisor's offer to rebalance at a smaller loss, suggesting acceptance of the strategy
- Client's age (68) and limited income suggest vulnerability, but loss was manageable relative to total assets
- Advisor documented client's inflation concerns and openness to new strategies
- The 31% maximum drawdown potential in the fund was substantial for a retiree's assets

### Likely Outcome

A regulator would likely issue a cautionary letter or seek a modest settlement rather than pursue a full enforcement action. The strongest factor in Reeves's favor is the holistic portfolio construction and his

documentation of the client's inflation concerns. However, regulators may emphasize that the speculative classification of the product should have been a disqualifying factor for a conservative client regardless of allocation percentage, particularly given her age and income constraints. The case would most likely result in a finding of a technical suitability concern with mitigating factors, potentially leading to a small fine or restitution of a portion of losses rather than significant sanctions.

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## Borderline Scenario 190

Topic: *variable\_annuity\_unsuitable* | Standard: *FINRA Rule 2330 (Members' Responsibilities Regarding Deferred Variable Annuities)*

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### Fact Pattern

Robert and Linda Chen, both age 57, met with financial advisor Patricia Navarro in January 2023 to discuss retirement planning. Robert earned \$145,000 as an engineering manager, and Linda earned \$78,000 as a dental hygienist. Their combined liquid investment assets totaled \$680,000, held mostly in a mix of index funds and individual stocks in taxable brokerage accounts. They also had a combined \$520,000 in their respective employer 401(k) plans. They had no existing annuities. Both planned to retire at age 65. During their meetings, the Chens expressed anxiety about 'running out of money in retirement' and said they had watched Linda's mother struggle financially after her father's pension-less death. They told Navarro they wanted 'guaranteed income they can't outlive' but also wanted 'growth potential so we don't fall behind.' Navarro recommended they move \$280,000 - approximately 41% of their liquid assets - from their taxable brokerage accounts into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product offered a guaranteed annual withdrawal rate of 5% beginning at age 65, a selection of 45 sub-account investment options, and a death benefit. The total annual costs were: mortality and expense charges of 1.30%, administrative fees of 0.15%, GLWB rider fee of 1.05%, and average sub-account expenses of 0.72%, totaling approximately 3.22% annually. The surrender period was 7 years with a declining surrender charge starting at 7% in year one. The Chens' existing index fund portfolio had a weighted average expense ratio of 0.08%. Navarro earned a 5.5% commission (\$15,400) on the sale. She documented that she had discussed lower-cost alternatives including a systematic withdrawal strategy from their existing portfolio and an immediate fixed annuity, but that the Chens preferred the combination of market participation with a guaranteed income floor. Eight months later, Robert was unexpectedly laid off during a corporate restructuring. The Chens needed access to \$45,000 for living expenses. They could access the variable annuity's 10% free annual withdrawal (\$28,000) without penalty, but the remaining \$17,000 would have incurred a 6.5% surrender charge of \$1,105. They withdrew from their remaining liquid assets instead but filed a complaint arguing the annuity was unsuitable because the high costs and illiquidity were inappropriate, and the advisor was motivated by the large commission.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Navarro violated her obligations: The variable annuity's all-in cost of 3.22% annually is dramatically higher than the 0.08% the clients were paying in their index fund portfolio - a cost differential of 3.14% per year, amounting to roughly \$8,792 annually on \$280,000. Over the 7-year surrender period alone, the excess cost would total approximately \$61,544 in additional fees, significantly eroding the value

of the guarantee. Under FINRA Rule 2330 (Variable Annuities), before recommending a variable annuity, a registered representative must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or a death benefit. However, the Chens purchased this in a taxable account - they received no incremental tax-deferral benefit since variable annuity gains are taxed as ordinary income upon withdrawal rather than at lower capital gains rates. The 7-year surrender period with declining charges reduced the liquidity of a significant portion of their liquid assets. The \$15,400 commission creates an apparent conflict of interest. Under Regulation Best Interest's Care Obligation, Navarro was required to consider reasonably available alternatives - the Chens could have achieved guaranteed income through a lower-cost single premium immediate annuity at age 65, or a fixed indexed annuity with lower fees, or even a deferred income annuity purchased now for significantly less cost. Arguments that Navarro acted appropriately: The Chens had \$1.2 million in total investable assets (\$680,000 liquid plus \$520,000 in 401(k)s), so the \$280,000 annuity represented about 23% of total investable assets - not an excessive concentration. After the annuity purchase, they still retained \$400,000 in liquid assets plus their 401(k) balances, providing substantial liquidity. The GLWB rider directly addressed their stated primary concern: guaranteed income they cannot outlive with growth potential. A systematic withdrawal strategy from an index fund portfolio provides no downside guarantee - if markets declined 40% near their retirement date, their withdrawal plan could be devastated. The variable annuity's guarantee explicitly protects against this sequence-of-returns risk. Navarro documented that she discussed alternatives including a fixed annuity and systematic withdrawal, and the clients chose the variable annuity because it offered both guarantees and market upside. The emotional driver - watching Linda's mother suffer financial hardship - was a legitimate factor in the recommendation. The clients were 8 years from retirement, and the 7-year surrender period would expire roughly when they planned to begin withdrawals. The unexpected layoff was unforeseeable, and the clients had sufficient other liquid assets to handle the emergency without touching the annuity.

### Why Borderline

This scenario sits in a genuine gray zone because the variable annuity addresses the clients' documented primary concern (guaranteed lifetime income with growth potential) and the allocation left substantial remaining liquidity, but the cost differential is dramatic and the tax inefficiency of a variable annuity in a taxable account is well-recognized. The commission is large but not outside industry norms for variable annuities. The critical question is whether lower-cost alternatives could have achieved substantially the same outcome - and reasonable practitioners disagree on the value of GLWB guarantees relative to their cost, particularly for clients with significant emotional anxiety about outliving their money.

### Borderline Factors

- All-in annual cost of 3.22% versus 0.08% for existing portfolio - a 40x cost increase on the allocated portion
- Variable annuity placed in a taxable account eliminates the tax-deferral benefit and creates tax inefficiency
- GLWB rider directly addresses the clients' primary stated concern about guaranteed lifetime income with growth
- Clients retained \$400,000 in liquid assets plus \$520,000 in 401(k)s after the purchase - substantial remaining liquidity
- \$15,400 commission creates conflict of interest but is standard for variable annuity sales
- Advisor documented discussion of lower-cost alternatives and client preference for the variable annuity

- 7-year surrender period aligned roughly with clients' 8-year retirement horizon
- Unexpected job loss was not foreseeable and clients could cover the emergency from other assets
  - Lower-cost alternatives (SPIA, fixed indexed annuity, deferred income annuity) could have provided similar guarantees
- Emotional factor of Linda's mother's financial hardship provides legitimate behavioral finance justification

### Likely Outcome

A regulator would likely scrutinize this recommendation closely, particularly the placement of a variable annuity in a taxable account and the significant cost differential. However, given the documented client concerns, the discussion of alternatives, the alignment of the surrender period with the retirement timeline, and the substantial remaining liquidity, this would likely result in a negotiated settlement or enhanced supervision rather than severe sanctions. FINRA arbitration panels have been split on similar cases. The advisor's strongest defense is the documented suitability analysis and the clients' emotional need for a guarantee, while the strongest argument against is the availability of lower-cost products that could have provided similar guarantees without the tax drag and high fees. A panel might order partial restitution of the commission or excess costs rather than full rescission.

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## Borderline Scenario 191

*Topic: reverse\_churning | Standard: Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest*

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### Fact Pattern

Gerald Whitmore, age 58, a semi-retired engineer with a \$1.4 million portfolio, transitioned from a commission-based brokerage account to a fee-based advisory account in March 2021 at the recommendation of his advisor, Patricia Dunn. The advisory account charged an annual wrap fee of 1.25% (\$17,500 per year). Prior to the switch, Gerald had been paying commissions averaging roughly \$4,200 per year over the preceding three years, during which Patricia executed approximately 12-15 trades annually - mostly modest rebalancing of a diversified mix of index ETFs and a handful of individual blue-chip stocks. Patricia explained to Gerald that the fee-based account would provide ongoing portfolio monitoring, quarterly reviews, a comprehensive financial plan, and access to proprietary research. Gerald signed all disclosures and the advisory agreement. Over the next 30 months (through September 2023), Patricia conducted only 8 total trades in the account - all minor rebalancing adjustments. She did hold four quarterly review meetings each year, during which she discussed Gerald's retirement timeline, updated his financial plan projections, and reviewed asset allocation. Gerald's portfolio grew from \$1.4 million to approximately \$1.58 million during this period, roughly tracking the broader market. Gerald's son, a CPA, later reviewed the account and calculated that Gerald paid approximately \$43,750 in advisory fees over the 30 months, whereas commission-based trading at the prior pace would have cost roughly \$10,500. Gerald's son filed a complaint alleging that Patricia parked the account in a fee-based structure to collect fees while providing minimal active management. Patricia countered that the value of ongoing advice, holistic financial planning, tax-loss harvesting analysis (even when no harvesting was executed), and continuous monitoring justified the fee, and that Gerald had specifically requested a 'hands-off, buy-and-hold approach' at the time of the transition.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The core issue is whether the fee-based advisory account was appropriate given Gerald's actual trading activity and service needs. Arguments favoring a violation: The cost differential is significant - Gerald paid roughly four times more in the fee-based account than he would have under the prior commission structure. Over 30 months, only 8 trades were executed, suggesting the account functioned essentially as a buy-and-hold portfolio that did not require continuous advisory oversight. The low trading frequency is precisely the pattern that raises reverse churning concerns, where an advisor collects ongoing fees for accounts that generate little or no trading activity. A reasonable person could conclude that a commission-based structure was more cost-effective and better aligned with Gerald's passive investment approach. Arguments against a violation: Fee-based advisory relationships are not solely about trade execution. Patricia provided quarterly reviews, updated financial planning, ongoing portfolio monitoring, and access to research - services that have independent value beyond trade frequency. Gerald explicitly requested a buy-and-hold strategy, and the low number of trades may reflect disciplined adherence to that preference rather than neglect. The portfolio grew in line with the market, suggesting the allocation was sound. Additionally, Gerald received and signed disclosures about the fee structure. The financial planning component - retirement projections, tax analysis - has real value that is difficult to quantify purely by trade count. The 1.25% fee, while above what commission costs would have been, is within the range of standard advisory fees and is not egregiously high for a \$1.4 million account receiving comprehensive services.

### Why Borderline

This is a genuine gray area because the definition of 'value' in an advisory relationship extends beyond trade execution, yet the cost differential is substantial and hard to ignore. Reasonable regulators could disagree about whether quarterly reviews and financial planning justify a \$33,000+ cost premium over 30 months compared to a commission alternative. The client's own stated preference for passive management complicates the analysis - it simultaneously justifies low trading activity and raises questions about why a fee-based structure was necessary.

### Borderline Factors

- The cost differential between fee-based and commission-based is roughly 4:1 over 30 months, which is significant but not extreme
- Patricia did provide documented advisory services including quarterly reviews and updated financial plans
- Gerald himself requested a buy-and-hold approach, making low trade frequency consistent with his wishes
- The 1.25% annual fee is within the mainstream range for advisory accounts of this size
- Only 8 trades over 30 months creates a strong appearance of account inactivity
- Portfolio performance was in line with benchmarks, suggesting no harm from the investment strategy itself
- The client signed disclosures about fee structure but may not have fully appreciated the long-term cost comparison
- Tax-loss harvesting analysis was performed but never resulted in actual trades, raising questions about the substance of advisory services



### Likely Outcome

A regulator would likely investigate but may not bring a formal action. The availability of documented advisory services (quarterly reviews, financial planning updates, monitoring) provides a credible defense, though the regulator might issue a cautionary letter or require the firm to enhance its account-type review process. If the regulator determined that Patricia had no reasonable basis for recommending the fee-based account given the predictably low trading activity, a finding of violation is possible but would likely result in modest remedial measures such as fee reimbursement for the cost differential rather than severe sanctions.

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## Borderline Scenario 192

*Topic: market\_timing\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe*

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### Fact Pattern

Dana Kowalski, age 44, a dual-income household earner with her spouse, had a combined household income of \$310,000 and investable assets of approximately \$820,000 across retirement and taxable accounts. In January 2023, Dana's financial advisor, Marcus Reeves, recommended shifting 40% of her taxable brokerage account (\$164,000) from a diversified equity index fund position into a tactical allocation strategy. Marcus explained that he believed the market was poised for a significant correction in the first half of 2023, citing elevated valuations and anticipated Federal Reserve rate increases. The tactical strategy involved moving the \$164,000 into short-term Treasury bills and money market positions, with the plan to reinvest in equities once the anticipated correction materialized. Dana's investment questionnaire, completed in November 2022, indicated a 'moderately aggressive' risk tolerance, a 20+ year time horizon to retirement, and a stated goal of long-term capital appreciation. However, in several email exchanges, Dana expressed anxiety about potential market losses, writing in December 2022: 'I really don't want to see another 2022 - I lost sleep over those drops.' Marcus documented in his notes that Dana had verbally agreed she was 'comfortable waiting on the sidelines for a few months.' By September 2023, the S&P 500 had risen approximately 17% from January levels. Marcus had not reinvested the funds, as his market outlook remained cautious. Dana's \$164,000 sat in Treasury bills earning roughly 5%, generating approximately \$6,150 in interest, while the equivalent equity position would have appreciated to roughly \$191,880 - a missed opportunity of approximately \$21,730 in gains. In October 2023, Marcus recommended reinvesting into equities, but Dana had already filed a complaint, arguing that the market-timing move was inappropriate for her long-term profile and that Marcus had let his own market views override her documented investment objectives. Marcus contended that the tactical move was a prudent risk-management response to a client expressing genuine distress about volatility, and that the position in Treasury bills was not speculative but rather a conservative temporary allocation that still generated positive returns.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments favoring a violation: Dana's documented investment profile - moderately aggressive risk tolerance, 20+ year time horizon, long-term capital appreciation goal - strongly supports maintaining equity

exposure. Market timing is widely regarded as unreliable, and shifting 40% of a taxable account to cash equivalents based on a subjective market outlook is inconsistent with a long-term growth strategy. Marcus effectively imposed his own macro-economic view on the client's portfolio, and the failure to reinvest for nine months compounded the misalignment. The opportunity cost was material - approximately \$21,730 in foregone gains. Additionally, academic research and industry consensus overwhelmingly suggest that tactical market-timing decisions underperform buy-and-hold strategies over long horizons, making the recommendation questionable on its face for a client with Dana's profile. Arguments against a violation: Dana's own contemporaneous communications expressed genuine anxiety about market losses and a desire to avoid a repeat of 2022's drawdowns. A reasonable advisor could interpret these statements as a real-time modification of the client's risk tolerance. The tactical shift was not into speculative instruments but into the safest available assets (Treasury bills), which generated a positive 5% return. The allocation was intended to be temporary, and Marcus documented Dana's verbal agreement. It is also worth noting that the decision looked imprudent only in hindsight - in January 2023, many credible market forecasters anticipated further declines. Moving 40% (not 100%) to cash equivalents could be viewed as a measured response rather than an extreme market-timing bet. The advisor did not profit additionally from the reallocation (no commissions on T-bill purchases in the account structure), reducing any inference of self-dealing.

### Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of documented long-term investment objectives and real-time client communications expressing short-term risk aversion. The advisor had some basis for the tactical shift (client's emotional distress, his own market analysis) but the move conflicted with the client's formal profile and long-term goals. The outcome - missing a significant rally - makes the decision look worse in hindsight, but the reasonableness of the recommendation must be judged at the time it was made. Reasonable practitioners could disagree about whether responding to a client's expressed anxiety by temporarily reducing equity exposure constitutes prudent advice or inappropriate market timing.

### Borderline Factors

- Client's formal investment questionnaire indicated moderately aggressive risk tolerance and 20+ year horizon, favoring equity exposure
- Client's contemporaneous emails expressed genuine anxiety about market losses, arguably modifying stated risk tolerance in real time
- The tactical shift was into Treasury bills (not speculative instruments), generating a positive 5% return
- Only 40% of the taxable account was shifted, not the entire portfolio
- The advisor had a documented rationale (market valuation concerns, Fed policy) that was shared by many market commentators at the time
- Nine months elapsed without reinvestment, suggesting the 'temporary' allocation drifted into a prolonged market-timing bet
- Opportunity cost of approximately \$21,730 is material but the client suffered no actual loss of principal
- No evidence of self-dealing or additional compensation from the reallocation
- The advisor documented the client's verbal agreement but did not update the formal investment questionnaire

### Likely Outcome

A regulator would likely view this as a close case but might lean toward finding a violation based on the failure to reinvest within a reasonable timeframe and the inconsistency with the client's documented long-term objectives. The initial tactical shift has a defensible basis given the client's expressed anxiety, but holding the position for nine months without a clear trigger for reinvestment transforms a reasonable short-term risk-management decision into a prolonged market-timing strategy that conflicts with the client's stated goals. The likely outcome would be a finding of a minor violation with remedial measures - potentially requiring the advisor to compensate for a portion of the opportunity cost, enhance documentation practices, and undergo additional training on aligning tactical decisions with client investment policy statements.

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### Borderline Scenario 193

*Topic: mutual\_fund\_switching\_churning | Standard: FINRA Rule 2111 (Suitability), including its quantitative suitability component req*

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#### Fact Pattern

Rebecca Thornton, a financial advisor at a mid-size brokerage firm, managed accounts for Gerald and Doris McKenna, a retired couple ages 71 and 68, with a combined portfolio of approximately \$620,000 in mutual fund holdings. The McKennas' stated investment objectives were income generation and capital preservation, with a moderate risk tolerance. Between January 2021 and December 2023, Thornton executed 14 switches among large-cap equity mutual funds across the McKennas' accounts. The switches moved assets from one fund family's large-cap blend fund (expense ratio 0.72%) to a competing fund family's large-cap growth fund (expense ratio 0.68%), then six months later to a large-cap value fund at a third fund family (expense ratio 0.75%), and so on through similar rotations. Each switch involved Class A shares with front-end loads averaging 4.25%, generating approximately \$36,890 in total sales charges over the three-year period. The annualized turnover rate across the accounts was approximately 1.8. Thornton documented that each switch was motivated by a shift in her firm's model portfolio recommendations, which did rotate among fund families based on trailing performance and forward-looking sector analysis provided by the firm's research department. The firm's internal model portfolio did in fact change its large-cap allocation recommendations roughly every 5-7 months during this period. The net performance of the McKennas' portfolio over the three years, after all loads and expenses, was a gain of approximately 11.2%, compared to a benchmark return of approximately 26.4% for a blended large-cap index over the same period. However, several of the individual funds Thornton selected did outperform their specific category peers during the holding periods. The McKennas did not complain during the period and signed acknowledgment forms for each transaction. Gerald McKenna later stated he trusted Thornton's judgment and 'figured she knew what she was doing with the market changes.' Thornton's commission income from the McKenna accounts was approximately \$18,400 over the period, representing about 7% of her total production. Thornton had also offered the McKennas a fee-based advisory account charging 1.1% annually at the start of the relationship, but they declined, saying they preferred 'not paying a fee every year when we might not make any changes.'

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments supporting a violation: The quantitative evidence is concerning. A turnover rate of 1.8 in a

retiree income-and-preservation account is elevated, though not at the extreme levels (typically 4-6+) that regulators have found to constitute clear churning. The cumulative front-end loads of \$36,890 on a \$620,000 portfolio represent a significant drag - approximately 5.95% of the portfolio consumed by sales charges alone over three years. The 15.2 percentage point underperformance relative to a blended benchmark strongly suggests the switching activity destroyed value. Under FINRA Rule 2111 (Suitability) and its quantitative suitability component, an advisor who exercises de facto control must ensure that the overall pattern of trading is suitable. Under Regulation Best Interest's care obligation, each recommendation must be in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The pattern of rotating among substantially similar large-cap funds generating repeated front-end loads raises a strong inference of excessive trading motivated by commission generation. Arguments against a violation: The turnover rate of 1.8, while elevated, falls below thresholds that have historically been considered presumptive evidence of churning (often cited as 2.0 or higher for equity accounts, though no bright-line rule exists). Each individual switch was supported by the firm's model portfolio changes - a documented, research-driven rationale that was not fabricated. Several of the selected funds did outperform category peers during their respective holding periods, suggesting some investment merit to the selections. The McKennas were offered a fee-based account and affirmatively chose the commission-based structure. They signed acknowledgment forms for each trade and did not object. The benchmark comparison may be misleading because the McKennas' moderate risk tolerance and income objectives meant they were not solely invested in equities. Thornton's commissions from these accounts were not a disproportionate share of her total production, weakening the inference of churning motivation. Additionally, Thornton did not exercise formal discretionary authority - each trade required client approval.

### Why Borderline

This case sits in the gray zone because the quantitative indicators (turnover rate, cost-to-equity ratio, benchmark underperformance) are elevated but do not reach the levels typically associated with clear-cut churning. The advisor had a facially legitimate, documented rationale for each switch tied to the firm's own model portfolio changes. The clients chose a commission-based structure over a fee-based alternative and approved each transaction. However, the cumulative economic impact on retired clients with preservation objectives was substantial, and the pattern of switching among substantially similar fund categories raises questions about whether the individual trade rationales masked a broader pattern of excessive activity. The de facto control question is also ambiguous - the clients trusted Thornton's judgment but technically approved each trade.

### Borderline Factors

- Turnover rate of 1.8 is elevated but below the 2.0+ threshold often cited in enforcement precedent
- Each switch had documented support from firm model portfolio recommendations
- Cumulative front-end loads of nearly 6% of portfolio value over three years caused significant drag
  - Clients were retired with income and preservation objectives, making any elevated trading more concerning
- Clients affirmatively chose commission-based over fee-based account structure
- Individual fund selections showed some peer outperformance during holding periods
  - 15.2% benchmark underperformance suggests value destruction but benchmark selection may be imperfect
- Clients signed acknowledgments for each trade but degree of de facto control is ambiguous
- Advisor's commission income from these accounts was not disproportionate to total production

**Likely Outcome**

A regulator would likely pursue this as a marginal case, potentially resulting in a settlement or cautionary action rather than a full enforcement proceeding. The quantitative metrics, while not extreme, combined with the client profile (retirees seeking preservation and income) and the pattern of switching among substantially similar funds, would likely be viewed as a pattern that at minimum warranted supervisory intervention. Under Regulation BI, a regulator could argue that the advisor failed to consider the cumulative cost impact of the switching pattern and prioritized commission generation. However, the documented rationale and the clients' voluntary choice of account type would provide meaningful defenses. The most likely outcome would be heightened supervision, possible disgorgement of a portion of commissions, and a letter of caution or minor fine rather than a bar or suspension.

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**Borderline Scenario 194**

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: Regulation Best Interest (Reg BI) Care Obligation requiring consideration of c*

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**Fact Pattern**

Marcus Whitfield, a dually registered financial advisor operating through both a broker-dealer and a registered investment advisory firm, recommended that his client Priya Nagarajan, age 52, purchase a variable annuity with a guaranteed minimum income benefit rider for \$185,000. The funds came from Nagarajan's traditional IRA rollover from a previous employer's 401(k) plan. Nagarajan earned approximately \$145,000 per year as a hospital administrator, had approximately \$410,000 in other retirement savings (a current employer 401(k) and a Roth IRA), owned her home with \$120,000 remaining on her mortgage, and had no dependents. She described herself as moderately conservative and expressed significant anxiety about outliving her retirement savings, a concern she raised repeatedly during planning meetings after watching her mother struggle financially in her late 80s. The variable annuity carried total annual expenses of 2.85% (including a 1.40% mortality and expense charge, 0.65% administrative fees, and 0.80% for the guaranteed income rider), had a 7-year surrender charge schedule starting at 7% and declining annually, and offered a guaranteed income base that would grow at 5% simple interest annually until activation, guaranteeing a minimum lifetime income stream regardless of market performance. Comparable low-cost index mutual funds available through the same IRA custodian carried expense ratios of 0.04% to 0.15%. Whitfield earned a commission of approximately \$10,175 (5.5% of the premium) on the sale. In his planning notes, Whitfield documented Nagarajan's longevity concerns extensively and noted that the guaranteed income rider would provide a 'floor' of retirement income that traditional investments could not replicate. He also documented that he discussed lower-cost alternatives including index funds and target-date funds, and that Nagarajan expressed a strong preference for guaranteed income. Nagarajan's projected Social Security benefit at age 67 was approximately \$2,800 per month. She had no pension. Whitfield did not recommend annuitizing the full retirement portfolio - the \$185,000 represented approximately 31% of her total retirement assets. A financial planning analysis prepared by Whitfield's firm showed that under Monte Carlo simulations, Nagarajan's retirement portfolio without the annuity had approximately a 78% probability of lasting to age 95, while the guaranteed income rider effectively raised the floor outcome to ensure she would not exhaust all income even in worst-case scenarios. At the time of the recommendation, several insurance companies offered similar variable annuities with guaranteed income riders at total costs ranging from 2.40% to 3.30%, placing this product in

the middle of the available range.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The most prominent concern is the tax-inefficiency argument. Since the funds were already in a traditional IRA, they already received tax-deferred treatment. Placing a variable annuity - which provides its own tax deferral - inside a tax-deferred IRA provides no incremental tax benefit, yet the client bears the significantly higher cost structure of the annuity (2.85% total annual expenses versus 0.04%-0.15% for index funds). Over a 15-year accumulation period before retirement, the cost differential could amount to over \$70,000 in foregone growth on \$185,000. The 7-year surrender schedule also imposes liquidity constraints on IRA assets that would otherwise be freely transferable. The advisor's \$10,175 commission creates a financial incentive that could be seen as influencing the recommendation. Under a best interest standard, the advisor should have considered whether lower-cost alternatives could meet the client's needs. Arguments against a violation: The annuity was not recommended primarily for tax deferral - it was recommended for the guaranteed income rider, which is a fundamentally different product feature that cannot be replicated by index funds or other traditional investments. The client had a documented, genuine, and deeply personal fear of outliving her assets, driven by watching her mother's financial struggles. The Monte Carlo analysis showed a meaningful probability (22%) that her portfolio could be exhausted before age 95 without guaranteed income protection. The annuity addressed a specific planning need - longevity risk insurance - that traditional investments cannot provide. Whitfield allocated only 31% of retirement assets to the annuity, leaving the majority in lower-cost vehicles, which suggests a thoughtful asset allocation strategy rather than an attempt to maximize commissions. He documented discussions of alternatives and the client's stated preference. The product was mid-range in cost among comparable offerings. While the tax deferral of the annuity is redundant inside an IRA, the guarantee feature is not, and regulators have generally acknowledged that annuities within IRAs can be appropriate when purchased primarily for insurance features rather than tax benefits.

### Why Borderline

This scenario presents a genuine tension between two legitimate analytical frameworks. On one hand, the redundant tax deferral and high cost structure relative to simple index fund alternatives within the same IRA creates a strong prima facie case that the recommendation was not cost-efficient. On the other hand, the guaranteed income rider provides a fundamentally different economic benefit - longevity insurance - that cannot be obtained through low-cost index funds at any price. The client's longevity anxiety was genuine and documented, the allocation was partial rather than total, and the advisor documented consideration of alternatives. Reasonable practitioners and regulators disagree about whether the insurance value of guaranteed income riders justifies the cost premium when the tax-deferral wrapper is redundant, particularly when the client has a documented need that the guarantee addresses.

### Borderline Factors

- Variable annuity placed inside an already tax-deferred IRA, providing redundant tax deferral
- Total annuity expenses of 2.85% versus 0.04%-0.15% for available index fund alternatives
- Guaranteed income rider addresses a specific, documented client concern about longevity risk that traditional investments cannot replicate
- Client had a deeply personal motivation for guaranteed income based on family experience



- Only 31% of total retirement assets allocated to the annuity, leaving majority in lower-cost vehicles
- 7-year surrender charge schedule imposes meaningful liquidity constraints on IRA assets
- Advisor earned \$10,175 commission creating potential conflict of interest
- Monte Carlo analysis showed 22% probability of portfolio exhaustion without the guarantee
- Advisor documented discussion of lower-cost alternatives and client's stated preference for guarantees
- Product was mid-range in cost among comparable variable annuities with income riders

### Likely Outcome

A regulator would likely view this as a close case that could go either way depending on the specific regulatory posture and the quality of the advisor's documentation. The strongest defense is the well-documented longevity concern, the partial allocation approach, and the fact that the guarantee feature provides genuine economic value beyond tax deferral. The strongest argument for a violation is the significant cost differential and redundant tax treatment. Under current regulatory expectations, a regulator would likely not bring a formal enforcement action if the documentation adequately shows the advisor considered and discussed lower-cost alternatives, explained the cost differential, and the client made an informed decision prioritizing the guarantee. However, if the documentation were thin or the advisor failed to clearly explain the cost impact of the redundant tax wrapper, the outcome could shift toward a finding of violation. Most likely result: no formal action but possible examination finding recommending enhanced disclosure practices around annuities in qualified accounts.

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## Borderline Scenario 195

Topic: *annuity\_unnecessary\_switching* | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction be suitable

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### Fact Pattern

Margaret Delano, age 62, retired schoolteacher with a \$480,000 portfolio, held a variable annuity she had purchased in 2018 through a different advisor. The annuity had a guaranteed minimum income benefit rider, a 1.45% mortality and expense charge, a 0.35% administrative fee, and underlying subaccount expenses averaging 0.82%, for a total all-in cost of approximately 2.62% annually. The surrender period was set to expire in April 2024, with a remaining surrender charge of 4% if liquidated early. In September 2023, her new advisor, Ryan Kessler, recommended she surrender the existing annuity and purchase a new variable annuity from a different carrier. The new annuity had a mortality and expense charge of 1.15%, an administrative fee of 0.20%, and underlying subaccount expenses averaging 0.68%, bringing the total all-in cost to approximately 2.03% annually. The new annuity also included a guaranteed minimum income benefit rider but with a 5.5% rollup rate compared to the old annuity's 5.0% rollup rate. However, the new annuity came with a fresh seven-year surrender period and a new surrender charge schedule starting at 7% in year one. Kessler documented in his notes that Mrs. Delano expressed frustration with her old annuity's performance and wanted better growth potential for retirement income starting at age 67. He also noted that the new annuity offered access to a broader set of subaccount investment options, including several index-tracking portfolios not available in the old product. Mrs. Delano paid a surrender charge of approximately \$8,640 (4% of the \$216,000 annuity value) to exit the old contract. Kessler earned a 5.2% commission on the new annuity purchase, totaling approximately \$10,795. Mrs. Delano's other assets included \$180,000 in a 403(b) retirement account and \$84,000 in a savings account. She had no debt, modest living expenses of approximately \$3,200 per month covered by her pension and Social Security,

and listed her risk tolerance as moderate. She indicated she did not anticipate needing to access the annuity funds for at least five years. Kessler did not present a side-by-side comparison of the old and new annuity benefits in writing but stated during a recorded phone call that he walked her through the differences verbally. The old annuity's accumulation value had grown at an average of 4.1% annually net of fees since purchase, while the new annuity's underlying subaccounts had a five-year historical return averaging 5.8% net of fees, though past performance was not guaranteed.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kessler violated applicable standards: The switch imposed a \$8,640 surrender charge on a 62-year-old retiree and reset her surrender period from 7 months remaining to a fresh seven years, significantly reducing her liquidity until age 69. The commission of \$10,795 raises questions about whether the advisor's financial incentive drove the recommendation. The absence of a written side-by-side comparison, despite the complexity of comparing two variable annuities with different riders, fee structures, and surrender schedules, suggests the client may not have been fully informed. The cost differential of roughly 0.59% annually in lower fees on the new annuity would take approximately 3.5 years just to recoup the \$8,640 surrender charge, and longer when factoring in the lost time value of money. Additionally, the old annuity's surrender period was only seven months from expiring, meaning she could have waited and then evaluated options without penalty. Arguments that Kessler acted appropriately: The new annuity's total cost was meaningfully lower (2.03% vs. 2.62%), which over a projected 20+ year holding period could save Mrs. Delano tens of thousands of dollars. The 0.5% higher rollup rate on the income rider could materially increase her guaranteed income stream starting at age 67. Mrs. Delano had adequate liquidity through her savings and pension, did not anticipate needing annuity funds for five years, and the new surrender period would largely overlap with her stated time horizon. The client herself expressed dissatisfaction and wanted better growth options. The broader subaccount menu provided genuine investment flexibility. Kessler did discuss the differences verbally, as evidenced by the recorded call, even if no written comparison was provided. The historical performance differential of 1.7% annually, while not guaranteed, suggested reasonable grounds for optimism about better growth in the new product.

### Why Borderline

This case sits in a genuine gray zone because the switch produced real, quantifiable benefits-lower ongoing fees, a higher income rollup rate, and broader investment options-but also imposed real, quantifiable costs-a \$8,640 surrender penalty, a fresh seven-year lockup, and a significant commission to the advisor. The client was only seven months away from the old surrender period expiring, which makes the timing of the switch particularly questionable, yet the cumulative long-term fee savings and enhanced income rider could rationally justify not waiting. Reasonable practitioners could disagree about whether the net economic benefit to the client justified the transaction costs and renewed illiquidity.

### Borderline Factors

- Surrender charge of \$8,640 paid when old annuity was only 7 months from surrender-free status
- New annuity had meaningfully lower all-in annual costs (2.03% vs. 2.62%)
- Fresh 7-year surrender period imposed on a 62-year-old retiree
- Higher rollup rate on income rider (5.5% vs. 5.0%) provides tangible future benefit
- Advisor earned \$10,795 commission creating potential conflict of interest

- Client had adequate liquidity and did not need annuity funds for 5+ years
- No written side-by-side comparison provided despite verbal discussion
- Client initiated dissatisfaction with old product and requested alternatives
- Breakeven on surrender charge versus fee savings is approximately 3.5 years

### Likely Outcome

A regulator would likely scrutinize this transaction closely and could issue a cautionary action or require enhanced documentation, but a formal finding of violation is uncertain. The timing-switching just seven months before the old surrender period expired-is the most damaging fact. A regulator might conclude that a reasonable advisor would have waited seven months to avoid the \$8,640 penalty and then evaluated the switch, and the failure to do so suggests the advisor's commission interest influenced the timing. However, the genuine long-term economic benefits of the new product and the client's expressed preferences create enough of a defense that this could go either way. Most likely outcome: a letter of caution or a finding with modest sanctions, rather than a severe penalty, with the resolution heavily dependent on how persuasive the advisor's documentation and recorded call are regarding the client's informed consent and the rationale for not waiting.

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## Borderline Scenario 196

Topic: *options\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) applies to options recommendations and requires reasonable-ba*

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### Fact Pattern

David Okonkwo, age 44, a software engineering manager earning \$195,000 per year, opened a brokerage account with advisor Christine Farrell in January 2023. He had a net worth of approximately \$1.1 million, including \$620,000 in retirement accounts, a \$340,000 home with \$180,000 remaining on the mortgage, \$95,000 in a joint taxable brokerage account with his wife, and \$45,000 in cash savings. On his new account application, he listed his investment objective as 'growth with income,' his risk tolerance as 'moderate to aggressive,' and his investment experience as 'good' for stocks and mutual funds but 'limited' for options. He indicated a five-year investment time horizon for the account. In their initial meetings, Okonkwo told Farrell he wanted to generate additional income from his stock portfolio and was curious about options strategies he had read about online. Farrell recommended and received approval for Level 3 options trading on the account, which permitted covered calls, cash-secured puts, long calls, long puts, and spreads, but not naked options. Over the first six months, Farrell helped Okonkwo execute a series of covered call strategies on his existing stock holdings, generating approximately \$8,400 in premium income. In July 2023, Farrell recommended Okonkwo begin selling cash-secured puts on three technology stocks he expressed interest in owning-stocks he already held in his retirement accounts. She explained that if the puts were assigned, he would acquire the shares at a discount to current prices, and if not, he would keep the premium. Between July and November 2023, Okonkwo sold cash-secured puts on these three stocks, collecting \$12,600 in premiums. However, in October 2023, one of the stocks dropped 28% following an earnings miss, and Okonkwo was assigned, requiring him to purchase 500 shares at the strike price for a total outlay of \$47,500. The stock's market value at assignment was approximately \$34,200, resulting in an immediate unrealized loss of \$13,300, partially offset by the \$3,800 in premiums he had collected on that particular position. Net of premiums, his unrealized loss was approximately \$9,500. During this period, the cash-secured put positions required Okonkwo to maintain between \$40,000 and \$65,000 in cash reserves

in his brokerage account, which reduced his available cash savings. His total account, which started at \$95,000, was valued at approximately \$102,700 by November 2023, reflecting the premium income earned on successful trades offset by the unrealized loss. Okonkwo filed a complaint in December 2023, alleging that Farrell pushed him into options strategies that were too risky for his experience level and that she failed to adequately explain the downside risks of cash-secured puts, particularly the possibility of being forced to buy a stock at well above market price during a downturn. Farrell's records show she sent Okonkwo the brokerage firm's standard options risk disclosure document, which he signed, and that she discussed the mechanics of covered calls and cash-secured puts in two separate phone calls, each lasting approximately 25 minutes. Her CRM notes from those calls reference explaining 'assignment risk' and 'maximum loss scenarios.' Okonkwo had previously traded stocks actively in his retirement accounts, executing approximately 30-40 trades per year, and had a finance minor from his undergraduate education.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Farrell violated applicable standards: Okonkwo self-identified as having 'limited' options experience on his account application, and within six months, the advisor had him selling cash-secured puts—a strategy that, while defined-risk, can require substantial capital outlay and result in significant losses when stocks decline sharply. The progression from covered calls (a conservative income strategy) to cash-secured puts happened relatively quickly, and one could argue Okonkwo was not given adequate time to develop proficiency. The cash-secured puts tied up \$40,000 to \$65,000 in cash reserves, which was a substantial portion of his liquid non-retirement assets and reduced his financial cushion. The \$9,500 net unrealized loss, while not catastrophic, represented a meaningful hit to a moderate-to-aggressive investor who stated his objective was 'growth with income,' not speculative trading. A regulator could argue that Farrell should have started more conservatively and kept positions smaller relative to his liquid net worth. Arguments that Farrell acted appropriately: Cash-secured puts are generally considered a conservative to moderate options strategy—the risk profile is functionally identical to placing a limit buy order on a stock the investor already wants to own, with the added benefit of collecting premium income. Okonkwo was not approved for naked options or speculative strategies; Level 3 approval was appropriate for the strategies employed. He had expressed specific interest in options income strategies, had an active trading background with 30-40 stock trades annually, held a finance minor, signed the options risk disclosure, and was investing in stocks he already owned in other accounts. The covered call phase served as a reasonable on-ramp before progressing to cash-secured puts. His 'moderate to aggressive' risk tolerance and five-year time horizon are consistent with the strategies used. The overall account was still profitable (\$102,700 vs. \$95,000 starting value), and the unrealized loss on one position was well within normal stock market risk that Okonkwo was already accepting in his retirement accounts. Farrell documented her risk discussions, and Okonkwo's complaint may reflect outcome disappointment rather than genuine unsuitability.

### Why Borderline

This case is genuinely ambiguous because cash-secured puts occupy a gray area in options risk classification—they are mathematically equivalent to stock ownership risk but are psychologically and mechanistically different, especially for someone with limited options experience. The advisor followed a reasonable progression (covered calls first, then cash-secured puts), provided disclosures, and

documented risk discussions, but the client did self-identify as having limited options knowledge. The loss, while painful, was not outsized relative to the account or the client's overall net worth, and the strategy was consistent with the client's stated interest in income generation and willingness to own the underlying stocks. Reasonable practitioners could disagree on whether the pace of strategy escalation was appropriate for someone learning options.

### Borderline Factors

- Client self-identified as having 'limited' options experience on account application
- Cash-secured puts are widely considered conservative-to-moderate options strategies
- Advisor followed a graduated approach: covered calls first, then cash-secured puts
- Client had active stock trading background (30-40 trades/year) and finance education
- Cash reserves tied up in put positions (\$40,000-\$65,000) were a significant portion of liquid assets
- Client specifically requested information about options income strategies
- Standard risk disclosures were signed and verbal risk discussions were documented
- Overall account was still net positive despite the unrealized loss on one position
- Assignment risk materialized on a stock the client already owned in other accounts
- Progression from covered calls to cash-secured puts occurred within approximately 6 months

### Likely Outcome

A regulator would likely decline to bring a formal action in this case, though they might examine Farrell's documentation closely. The strategies employed (covered calls and cash-secured puts) are among the most conservative options strategies and were within the approved account level. The client's background-active stock trader, finance education, stated interest in options, moderate-to-aggressive risk tolerance-supports the recommendation's suitability. The advisor documented risk discussions and followed a graduated approach. The loss was modest relative to the client's overall financial picture. However, the regulator might issue informal guidance to the firm about ensuring more robust options education processes for clients who self-identify as having limited experience, particularly before progressing to new strategy types. If the regulator did pursue this, it would most likely focus on whether the pace of strategy escalation was appropriate and whether the verbal risk discussions were sufficiently thorough, but the weight of evidence favors the advisor.

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## Borderline Scenario 197

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or*

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### Fact Pattern

Margaret Olsen, age 71, retired schoolteacher, opened a brokerage account in March 2021 with advisor Derek Huang. Her account documents listed her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' her annual income as \$42,000 from pension and Social Security, liquid net worth of \$310,000, and total net worth of \$520,000 including her home. She told Derek during their initial meeting that she wanted 'something a little better than CDs' because interest rates were so low and she was frustrated earning nearly nothing on her savings. Derek recommended a portfolio that was 60% investment-grade bond funds, 20% dividend-paying blue-chip equity ETFs, and 20% in a high-yield bond fund with a portfolio yield of approximately 6.2% that invested in BB and B-rated corporate debt. The

high-yield fund had experienced a 12% drawdown during the March 2020 COVID selloff but recovered within five months. Margaret's \$62,000 position in the high-yield fund represented roughly 20% of her liquid assets and approximately 12% of her total net worth. Derek explained that the fund paid a higher yield because the underlying bonds carried more credit risk, and Margaret signed a written acknowledgment that she understood the fund invested in below-investment-grade debt. Over the next 18 months, the fund paid consistent monthly distributions totaling approximately \$3,800 in income. However, when interest rates rose sharply in 2022, the fund's NAV declined 14.3%, resulting in an unrealized loss of approximately \$8,870 on the position. Margaret filed a complaint alleging that speculative, high-yield 'junk bonds' were inappropriate for a 71-year-old conservative investor focused on capital preservation. Derek's firm responded that the allocation was modest, the client was informed of the risks, the fund was diversified across hundreds of issuers, and the income generated aligned with Margaret's stated frustration about low CD rates and her desire for better income.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Margaret's account documents clearly stated 'conservative' risk tolerance and 'capital preservation' as an objective. High-yield bonds are commonly classified as speculative-grade debt, and a 14% drawdown is inconsistent with capital preservation. At age 71 with limited income and moderate liquid assets, Margaret had limited ability to recover from losses and a shorter investment horizon. Regulators have historically viewed speculative instruments in conservative accounts with suspicion, regardless of allocation size. The fact that the client expressed frustration about low rates does not transform her risk profile-advisors are expected to manage expectations, not chase yield to satisfy emotional preferences. Under FINRA Rule 2111 (suitability) and its three components-reasonable-basis, customer-specific, and quantitative suitability-a speculative holding in a conservative account raises customer-specific suitability concerns. Under Regulation Best Interest, the care obligation requires the advisor to consider reasonably available alternatives that might achieve the client's income objective with less risk, such as short-duration investment-grade bond funds or Treasury inflation-protected securities.

Arguments against a violation: The 20% allocation to high-yield bonds was a measured, minority position within an otherwise conservative portfolio. The overall portfolio was 80% investment-grade, and the blended risk profile could reasonably be characterized as moderate-conservative rather than speculative. High-yield bond funds are widely held by income-oriented retirees and are not exotic or illiquid-they trade daily and provide diversification across hundreds of issuers. The advisor obtained written acknowledgment of the credit risk. Margaret's own words-wanting 'something better than CDs'-indicated a willingness to accept some incremental risk for income, and the fund delivered on that objective with \$3,800 in distributions. The 14% decline, while painful, occurred during an unprecedented rate-hiking cycle that affected virtually all fixed-income investments, including investment-grade bonds. The advisor could argue the recommendation had a reasonable basis given the client's expressed needs and that the overall portfolio construction reflected a thoughtful balance between income generation and preservation.

### Why Borderline

This case is genuinely ambiguous because the speculative instrument (high-yield bonds) was used in a limited, diversified allocation within an otherwise conservative portfolio, and the client herself expressed a



desire for enhanced income. The tension between a client's documented conservative risk tolerance and her verbal request for better returns than CDs creates a legitimate gray area. A 20% allocation to high-yield bonds is neither a trivially small satellite position nor a reckless concentration. The written risk acknowledgment adds a layer of informed consent, but does not necessarily cure a suitability problem if the recommendation itself was unsuitable. Reasonable practitioners disagree about whether high-yield bond funds qualify as 'speculative' when used in modest allocations within diversified portfolios.

### Borderline Factors

- Client's documented risk tolerance was 'conservative' with capital preservation objective, yet she verbally expressed desire for higher income than CDs
- High-yield bonds are technically speculative-grade but the fund was diversified across hundreds of issuers and traded daily
- The 20% allocation is a moderate position-neither negligible nor dominant
- Written acknowledgment of credit risk was obtained but may not cure an underlying suitability issue
- The loss was driven primarily by interest rate risk (systematic) rather than credit defaults specific to junk bonds
- The fund generated meaningful income (\$3,800) consistent with the client's stated income objective
- Client's age (71) and limited income create vulnerability but her liquid net worth of \$310,000 provided some cushion
- The overall portfolio blended risk profile could be characterized as moderate-conservative

### Likely Outcome

A regulator would likely find this to be a close case but would probably not pursue a formal enforcement action, instead possibly issuing a cautionary letter or requiring enhanced supervision. The modest allocation, written disclosure, diversified nature of the fund, and the client's own expressed desire for enhanced income make it difficult to prove a clear violation. However, in an arbitration setting, a panel might award partial damages, finding that a 10-15% allocation would have been more appropriate for this client profile. The outcome would heavily depend on how much weight is given to Margaret's verbal statements about wanting better returns versus her written conservative profile.

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## Borderline Scenario 198

Topic: *private\_placements\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* applies, including all three obligations: *reasonable-b*

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### Fact Pattern

Dr. Steven and Linda Park, ages 54 and 52, had a combined household income of approximately \$485,000 from Steven's orthopedic surgery practice and Linda's position as a hospital administrator. Their liquid investment portfolio totaled approximately \$1.8 million, they had \$650,000 in retirement accounts, owned their home valued at \$1.1 million with a \$280,000 mortgage, and had two children, ages 16 and 14, with 529 college savings plans totaling \$190,000. Their advisor, Rachel Dominguez, had managed their accounts for six years. In September 2021, Rachel recommended the Parks invest \$200,000 in a private placement offering from a real estate development company that was building a mixed-use commercial and residential complex in a mid-sized Southeastern city. The offering memorandum projected a 9-11% annual return over a five-year hold period, with distributions beginning in year two after construction completion.

The minimum investment was \$100,000, and the investment was illiquid with no secondary market-investors could not redeem before the projected five-year term absent a liquidity event. The offering was limited to accredited investors. The Parks clearly qualified as accredited investors based on both income and net worth thresholds. Rachel disclosed the illiquidity, the development risk, the five-year lockup, and the possibility of total loss. The Parks had previously invested \$150,000 in a different private real estate fund through Rachel in 2018 that was performing at a 7.5% annual return and nearing its anticipated exit. Including the new \$200,000 investment, approximately 19.4% of the Parks' liquid portfolio would be in private placements. The Parks had no immediate liquidity needs, carried modest debt, and had stable dual-income employment. However, they had listed 'growth with moderate risk' as their investment objective and had noted on their account application that they might need access to funds within 3-5 years for potential college expenses beyond what the 529 plans covered and a possible kitchen renovation. By mid-2023, the real estate development experienced significant construction cost overruns and delays. The developer suspended projected distributions indefinitely and informed investors that the project completion timeline had extended by 18-24 months. The Parks' \$200,000 investment was marked down by the fund administrator to approximately \$145,000. The Parks complained that Rachel should not have recommended an illiquid five-year investment when they had indicated potential near-term liquidity needs, and that nearly 20% of their liquid assets in private placements was excessive for moderate-risk investors.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The Parks explicitly noted potential liquidity needs within 3-5 years on their account application, creating a direct conflict with a five-year illiquid lockup investment. A private placement in a development-stage real estate project carries substantial risk-construction delays, cost overruns, and market shifts are well-known hazards-which arguably exceeds 'moderate risk.' Having 19.4% of liquid assets in illiquid private placements could be considered an unsuitable concentration for moderate-risk investors, particularly when the holdings cannot be liquidated to meet emerging needs. The projected 9-11% return, while attractive, reflects the elevated risk, and the development-stage nature of this particular offering (as opposed to a stabilized cash-flowing property) places it on the higher end of the real estate risk spectrum. Under both suitability and best interest frameworks, the advisor must consider the customer's entire financial situation, including anticipated liquidity needs. The fact that the Parks might need funds in the same timeframe as the investment's lockup period is a red flag that Rachel arguably should have weighed more heavily.

Arguments against a violation: The Parks were sophisticated, high-income accredited investors with \$1.8 million in liquid assets, stable dual incomes approaching half a million dollars annually, and modest debt. The \$200,000 investment represented 11.1% of their liquid portfolio (or 19.4% combined with their prior private placement), leaving over \$1.4 million in liquid assets-more than sufficient to cover college expenses and a renovation. Their noted 3-5 year liquidity needs were described as potential, not definite, and were partially addressed by \$190,000 in 529 plans. The Parks had prior experience with private placements, so this was not a novel asset class for them, and their existing private placement was performing well. Rachel made full disclosure of illiquidity, risk of loss, and the five-year lockup. A 'growth with moderate risk' objective is not the same as 'conservative'-it contemplates acceptance of some volatility and illiquidity in pursuit of higher returns. Many financial planning models recommend that high-net-worth investors allocate

15-25% to alternative investments for diversification and enhanced returns. The losses were caused by macro-level construction cost inflation that affected the entire industry, not by a fundamentally flawed recommendation.

### Why Borderline

This scenario presents genuine ambiguity because the Parks had characteristics pointing in both directions: they were affluent accredited investors with prior private placement experience and ample remaining liquidity, but they also had a moderate risk tolerance and flagged potential near-term liquidity needs that overlapped with the investment's lockup period. The 19.4% allocation to illiquid private placements is within the range that many wealth management firms consider reasonable for affluent clients but is at or near the upper boundary of what would be appropriate for moderate-risk investors. The development-stage nature of the real estate project adds risk beyond what a stabilized real estate fund would present, but the projected returns compensated for that risk. Reasonable professionals could disagree on whether the advisor adequately weighted the stated liquidity needs against the clients' overall financial strength.

### Borderline Factors

- Clients explicitly noted potential 3-5 year liquidity needs on account documents, overlapping with the investment's lockup period
- The 19.4% illiquid allocation is within common industry ranges for affluent clients but aggressive for stated moderate risk tolerance
- Parks had prior private placement experience with a well-performing existing investment
- Remaining liquid assets of \$1.4+ million were substantial relative to anticipated near-term needs
- Development-stage real estate carries meaningfully more risk than stabilized property investments
- Clients were clearly accredited investors with high income and professional sophistication
- The stated liquidity needs were described as 'potential' rather than definite and were partially addressed by existing 529 plans
- Full risk disclosure was provided including illiquidity, lockup, and possibility of total loss
- Losses stemmed from industry-wide construction cost escalation rather than idiosyncratic fraud or mismanagement

### Likely Outcome

A regulator would likely view this as a close but defensible recommendation, though the outcome could vary significantly depending on the forum. In a FINRA arbitration, a panel might find a partial violation given the tension between the noted liquidity needs and the illiquid investment, potentially awarding reduced damages. In a regulatory examination, examiners would scrutinize the documentation of the suitability analysis and whether Rachel performed a reasonable investigation of the offering (reasonable-basis suitability). If Rachel's notes showed she specifically considered and addressed the liquidity concern—for example, by documenting that the Parks' remaining liquid assets far exceeded their potential needs—a regulator would likely not bring an action. Without such documentation, the case becomes significantly more problematic. The most probable outcome is a finding of inadequate documentation rather than a clear substantive violation.

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## Borderline Scenario 199

Topic: structured\_products\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis to

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**Fact Pattern**

Martin Reeves, a financial advisor at a mid-size broker-dealer in Houston, recommended a series of structured notes to his client, Dolores Fuentes, a 61-year-old semi-retired CPA who had recently sold her accounting practice for \$2.1 million. Fuentes told Reeves she wanted moderate growth with some downside protection, as she planned to fully retire at 65 and rely on investment income plus Social Security. Her total liquid net worth was approximately \$3.4 million, and she had no significant debts. Her risk tolerance on intake forms was marked 'moderate,' and she indicated an investment time horizon of '5-10 years.' Reeves recommended she allocate \$680,000 - roughly 20% of her liquid portfolio - across four different structured notes issued by two major investment banks. The notes were 5-year maturity products linked to the S&P 500, offering 10% downside buffers (meaning the first 10% of index decline would be absorbed) and capped upside returns of 28%-34% over the full term (roughly 5.1%-6.1% annualized). The notes were not principal-protected beyond the 10% buffer, meaning losses beyond 10% would be borne fully by the investor. The notes carried no coupon payments during the term and were highly illiquid, with no guaranteed secondary market. Reeves earned a 2.5% commission on each note, totaling approximately \$17,000 across the four purchases, compared to his typical 1% commission on mutual fund or ETF transactions. Fuentes signed all disclosure documents, including a structured product risk disclosure that noted the illiquidity, credit risk of the issuing banks, and the capped return structure. Two years later, Fuentes experienced an unexpected health event requiring \$200,000 in medical expenses not covered by insurance. She attempted to sell two of the structured notes but could only find a buyer willing to purchase them at a 14% discount to their indicative value, resulting in an estimated \$47,600 loss on the early liquidation. Fuentes filed a complaint alleging the products were unsuitable given her age, approaching retirement, and need for accessible funds. Reeves countered that at the time of the recommendation, Fuentes had over \$2.7 million in other liquid assets, the structured notes matched her moderate risk tolerance with their downside buffers, and the 5-year horizon aligned with her stated investment timeframe. He also noted that Fuentes, as a CPA, had significant financial sophistication and had asked him specifically about products offering some downside protection after experiencing losses in the 2020 market downturn.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Reeves violated his obligations: The structured notes were illiquid instruments sold to a 61-year-old client approaching full retirement, creating a foreseeable risk that she might need access to those funds before the 5-year maturity. The 2.5% commission was significantly higher than comparable alternatives (index funds with buffers, or defined-outcome ETFs that provide similar downside protection with daily liquidity and much lower costs), suggesting a possible conflict of interest in the product selection. The \$680,000 allocation, while only 20% of her liquid portfolio, represented a meaningful concentration in complex, illiquid products for someone nearing retirement. Additionally, structured notes carry issuer credit risk, adding a layer of risk beyond market exposure that simpler alternatives would not. The capped upside of roughly 5.1%-6.1% annualized may not have been sufficiently superior to simpler fixed-income or balanced approaches to justify the illiquidity and complexity. Arguments that Reeves acted appropriately: At the time of the recommendation, Fuentes had \$2.7 million in other liquid assets - more than sufficient to handle reasonably foreseeable expenses, including medical emergencies. The 20% allocation to structured notes was not an outsized concentration, and the products' 10% downside buffers directly addressed her

stated desire for downside protection after her experience in 2020. The 5-year maturity aligned precisely with her stated investment horizon. Fuentes was a CPA with substantial financial sophistication, not a financially naive retiree, and she signed detailed risk disclosures. The loss she incurred was due to an unforeseeable medical emergency requiring early liquidation - not a flaw in the original recommendation. Many financial professionals consider a 20% allocation to structured notes reasonable for a moderate-risk investor with a multi-year horizon. The commission differential, while notable, is standard for structured products in the industry and was disclosed.

### Why Borderline

This case sits in a genuine gray area because the product characteristics (downside buffer, moderate risk, 5-year term) reasonably matched the client's stated profile, and the allocation was not extreme relative to her total wealth. However, the availability of more liquid alternatives with similar economic exposure (e.g., defined-outcome ETFs) at lower cost raises legitimate questions about whether the specific product selection served the client's best interest or the advisor's compensation interest. The unforeseen medical event complicates the analysis because it was not reasonably predictable, yet the client's age and approaching retirement arguably called for greater liquidity preservation. Reasonable professionals could disagree on whether 20% in illiquid structured notes for a 61-year-old is prudent planning or an unsuitable recommendation.

### Borderline Factors

- Client was 61 with a 4-year runway to full retirement - old enough to raise age-suitability concerns but young enough that a 5-year product arguably fit her timeline
- 20% allocation to structured notes is at the upper boundary of what many firms consider acceptable but not clearly excessive
- Commission of 2.5% versus 1% on alternatives creates a conflict but is within industry norms for structured products
- Client had significant financial sophistication as a CPA and specifically requested downside protection products
- More liquid alternatives (defined-outcome ETFs) existed that could have provided similar exposure at lower cost with daily liquidity
- Remaining \$2.7 million in liquid assets provided a substantial cushion, but the medical emergency demonstrated that retirement-age clients face unpredictable liquidity needs
- Loss was triggered by an unforeseeable event (medical emergency) rather than a flaw in the product's investment thesis
- All disclosures were provided and signed

### Likely Outcome

A regulator would likely find this to be a borderline case that could go either way depending on the specific forum. A FINRA arbitration panel might find in Reeves' favor, reasoning that the 20% allocation was reasonable given Fuentes' total wealth, sophistication, stated objectives, and the product's alignment with her risk profile and time horizon, and that the loss stemmed from an unforeseeable event. However, a more investor-protective panel or regulator might focus on the availability of cheaper, more liquid alternatives that achieved nearly identical economic exposure, the heightened commission, and the client's proximity to retirement to conclude that the specific product selection did not serve her best interest. The most likely outcome is a split decision or a modest settlement - perhaps 40-50% of the liquidation losses - reflecting

the genuine ambiguity.

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## Borderline Scenario 200

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the*

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### Fact Pattern

Grace Tanaka, age 73, a retired elementary school teacher in Portland, Oregon, had a total investment portfolio of approximately \$840,000, consisting mostly of Treasury bonds, CDs, and a small allocation to a conservative balanced mutual fund. Her annual income from Social Security and a state teacher's pension totaled \$52,000, and she had modest living expenses of approximately \$3,800 per month. Tanaka had been a client of advisor Kevin Hargrove for nine years. In early 2022, Tanaka told Hargrove she was frustrated that her CD yields were below 1% and that inflation was eroding her purchasing power. She asked him to help her generate more income from her portfolio without 'gambling with the stock market.' Hargrove recommended reallocating \$420,000 - half her portfolio - from CDs and short-term Treasuries into a combination of investments: \$210,000 into a high-yield corporate bond fund with an average yield of 6.2% and an average credit rating of BB (below investment grade), \$130,000 into a closed-end fund investing in senior secured loans yielding 7.8% that traded at a 4% discount to NAV, and \$80,000 into a preferred stock fund yielding 5.9% with significant interest rate sensitivity. The combined allocation would generate approximately \$27,400 in annual income, compared to approximately \$3,400 from the CDs and short-term Treasuries it replaced - a dramatic increase. Over the next 18 months, interest rates rose sharply. The preferred stock fund lost 18% of its value, the high-yield bond fund declined 9%, and the closed-end loan fund's discount to NAV widened to 12%, resulting in a price decline of approximately 11% despite continued income distributions. Tanaka's portfolio lost roughly \$52,000 in market value across these three positions, though she had received approximately \$34,000 in income distributions during that period, resulting in a net loss of about \$18,000. Tanaka complained that Hargrove had put her retirement savings at inappropriate risk. Hargrove pointed out that Tanaka specifically asked for higher income, that her pension and Social Security covered her basic expenses, that the remaining \$420,000 stayed in safe Treasury and CD holdings, that the net loss after income was modest relative to her total portfolio, and that Tanaka had reviewed and approved a revised investment policy statement noting the shift to 'moderate income with higher yield emphasis' before the trades were executed. Tanaka's new client update form, completed in January 2022, listed her risk tolerance as 'conservative' but her investment objective as 'current income.' Hargrove did not change the risk tolerance designation before making the recommendations.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Hargrove violated his obligations: A 73-year-old retired teacher with a 'conservative' risk tolerance designation should not have half her portfolio moved into below-investment-grade bonds, leveraged closed-end funds, and interest-rate-sensitive preferred stocks. These are materially riskier than the CDs and Treasuries they replaced. The fact that Hargrove did not update the risk tolerance designation from 'conservative' before executing the trades creates a documentary inconsistency - the recommendations arguably exceeded the client's stated risk parameters. High-yield bonds rated BB carry



meaningful default risk, and the closed-end loan fund's use of leverage and tendency for discount widening in volatile markets adds complexity and risk that a conservative 73-year-old may not fully appreciate. The \$52,000 paper loss represented over 6% of her total portfolio - significant for a retiree with limited ability to recover from losses. Moreover, intermediate solutions existed: investment-grade corporate bonds, short-duration bond funds, or Treasury I-bonds could have improved yield over CDs without venturing into high-yield territory. Arguments that Hargrove acted appropriately: Tanaka's Social Security and pension fully covered her monthly expenses (\$52,000 annual income vs. \$45,600 annual expenses), meaning she did not depend on the portfolio for essential living costs. This gave her meaningful capacity for investment risk even if her tolerance was conservative. The recommendation moved only half her portfolio, leaving \$420,000 in safe assets - effectively a barbell strategy. The client explicitly requested higher income and specifically asked Hargrove to address the problem of sub-1% CD yields during a period of high inflation, which was itself eroding her purchasing power. Failing to act could have also harmed the client through inflation erosion. The net loss after income distributions was approximately \$18,000 - roughly 2.1% of her total portfolio - a modest outcome. Tanaka signed an updated investment policy statement acknowledging the shift in strategy. The high-yield bond fund, while below investment grade, was a diversified fund (not individual junk bonds), and the closed-end loan fund invested in senior secured loans, which sit at the top of the capital structure. Each product had income-oriented characteristics consistent with her stated objective of current income.

### Why Borderline

This scenario presents a genuine tension between two legitimate perspectives on suitability for income-seeking retirees. On one hand, a 73-year-old conservative investor arguably should not have 50% of her portfolio in below-investment-grade and interest-rate-sensitive instruments. On the other hand, the client explicitly requested higher income, had her basic expenses covered by guaranteed sources, retained half her portfolio in safe assets, and the actual harm after accounting for income was modest. The inconsistency between the unchanged 'conservative' risk tolerance and the moderate-income strategy adds a documentation issue but doesn't definitively resolve whether the recommendation itself was unsuitable - since risk tolerance and investment objectives can legitimately create tension that advisors must navigate. Reasonable professionals would genuinely disagree about whether this crossed the line.

### Borderline Factors

- Client's documented risk tolerance ('conservative') was not updated despite a meaningful strategy shift toward higher-yielding, higher-risk instruments
- Client explicitly and proactively requested higher income, creating a documented client-driven impetus for the change
  - 50% reallocation is a substantial portfolio shift but 50% remained in safe assets, creating a barbell structure
  - High-yield bond fund rated BB is below investment grade but was a diversified fund, not concentrated individual bonds
  - Closed-end loan fund invested in senior secured (top-of-capital-structure) loans but used leverage and had discount/premium volatility
- Client's pension and Social Security fully covered living expenses, giving her risk capacity that exceeded her stated risk tolerance
- Net loss after income distributions was approximately 2.1% of total portfolio - modest in absolute terms but the gross loss of \$52,000 was more alarming

- Less risky alternatives (investment-grade corporates, TIPS, I-bonds) could have improved yield without venturing into high-yield territory
- Inflation was genuinely eroding the client's purchasing power, creating a real cost to inaction
- Client reviewed and signed an updated investment policy statement before trades were executed

### Likely Outcome

A regulator or arbitration panel would likely view this as a close case. The documentation inconsistency - leaving the risk tolerance as 'conservative' while implementing a moderate-to-aggressive income strategy - is a procedural weakness that could tip the outcome against the advisor. However, the totality of circumstances (client-initiated request, adequate guaranteed income, retained safe assets, signed IPS, modest net loss) provides substantial defense. The most likely outcome is that a panel finds the advisor committed a technical or documentation violation but does not find the recommendations themselves to be fundamentally unsuitable, potentially resulting in a small damages award reflecting the difference in cost or risk between the recommended products and more conservative income alternatives that could have partially addressed the client's yield concerns. A settlement in the range of \$15,000-\$25,000 (roughly the net loss plus some costs) would be a probable resolution.

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## Borderline Scenario 201

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability)* requires that a recommended transaction or investment

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### Fact Pattern

Margaret Ostrowski, age 58, is a semi-retired marketing consultant who earns approximately \$95,000 per year from part-time contract work. She has a net worth of \$1.4 million, with \$820,000 in her brokerage account and \$580,000 in home equity. She told her financial advisor, Derek Huang, that her primary goal was to 'grow her retirement savings aggressively over the next five years' before she planned to fully retire at 63. She checked 'aggressive growth' on her new account form and indicated a 'high' risk tolerance, noting she had been investing for over 20 years and previously held individual tech stocks during the 2000s dot-com era. In March 2023, Derek recommended she allocate \$164,000 - roughly 20% of her brokerage portfolio - into a 2x leveraged S&P 500 ETF. He explained verbally that the product used leverage to amplify daily returns and that it was 'not a buy-and-hold product in the traditional sense,' but he did not provide a written explanation of volatility decay, compounding risk, or the mechanics of daily rebalancing. Margaret signed a general risk disclosure form that mentioned leveraged products carry 'additional risk.' Over the following 14 months, the position gained approximately 31%, outperforming the S&P 500's roughly 18% gain over the same period. Margaret did not rebalance or sell during this time. In June 2024, a market correction caused the leveraged ETF to drop 22% in three weeks, erasing most of her gains and bringing the position to roughly \$139,000 - a net loss of about \$25,000 from her original investment. Margaret filed a complaint alleging that Derek never should have recommended a leveraged product to someone approaching retirement, and that she did not understand how the product could lose money even if the underlying index recovered. Derek contends that the allocation was limited to 20% of her portfolio, that the remaining 80% was in diversified index funds and bonds, that Margaret specifically requested aggressive growth, and that he verbally explained the product was short-term oriented. Internal notes from Derek's CRM show he logged a discussion about 'leveraged ETF mechanics and risks' on the day of the recommendation, but no details about what was specifically discussed. Margaret's account statements

show she logged into her online brokerage portal an average of three times per week and never contacted Derek to ask questions about the position during the 14 months she held it.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated his obligations: Leveraged ETFs are widely understood in the industry to be short-term tactical instruments unsuitable for buy-and-hold investors, particularly those nearing retirement. Margaret was 58 and five years from full retirement, meaning significant losses would be difficult to recover from. Derek's verbal explanation appears to have been insufficient - Margaret's complaint demonstrates she did not understand volatility decay or the risk of loss even during a market recovery, suggesting the disclosure was inadequate. The fact that she held the position for 14 months without any intervention or rebalancing recommendation from Derek suggests he failed to monitor a position that, by its nature, demands active oversight. A general risk disclosure form is arguably insufficient for a complex leveraged product. The 20% allocation, while not the majority of her portfolio, still represented \$164,000 - a meaningful sum for someone approaching retirement.

Arguments that Derek acted appropriately: Margaret self-identified as an aggressive growth investor with high risk tolerance and over 20 years of experience, including concentrated tech stock positions. The 20% allocation was a deliberate, limited portion of a broader diversified portfolio. Derek did provide a verbal explanation and logged it in his CRM, and Margaret signed a risk disclosure. The position actually performed well for over a year, and the loss was triggered by a market correction - a systemic risk event, not a product flaw. Margaret actively monitored her account multiple times per week and never raised concerns, suggesting a level of engagement and implicit acceptance. Her stated goal of aggressive growth over five years is not inherently incompatible with tactical use of leveraged products as a portfolio sleeve. The net loss of \$25,000 on a \$1.4 million net worth, while unwelcome, is not catastrophic.

### Why Borderline

This case sits in a genuine gray zone because the client's documented risk profile, experience, and stated objectives arguably support an aggressive allocation, yet leveraged ETFs are widely flagged as problematic for retail investors and especially those nearing retirement. The limited allocation percentage and verbal risk discussion provide some defense, but the lack of detailed written disclosure, the absence of a monitoring or rebalancing plan, and the 14-month holding period cut against the advisor. The fact that the product initially performed well and the client actively monitored her account without complaint complicates a straightforward finding of unsuitability.

### Borderline Factors

- Client self-selected aggressive growth objective and high risk tolerance with 20+ years of investing experience
- Leveraged ETF allocation was limited to 20% of the total brokerage portfolio with the remainder conservatively diversified
- Advisor provided verbal but not detailed written explanation of leveraged ETF mechanics including volatility decay
- Client held the leveraged ETF for 14 months without rebalancing - far exceeding typical recommended holding periods - with no advisor-initiated review

- Client actively monitored her account multiple times weekly and never raised questions about the position
- Client was 58 years old and five years from planned full retirement, raising time-horizon concerns
- The net dollar loss of \$25,000 was modest relative to total net worth but meaningful relative to the position itself
- CRM notes confirm a risk discussion occurred but lack specificity about what was actually communicated

### Likely Outcome

A regulator would likely issue a cautionary action or modest fine rather than a severe sanction. The limited allocation, the client's stated risk tolerance and experience, and the logged (if vague) risk discussion provide meaningful defenses. However, most regulators would find fault with the absence of a written, product-specific risk disclosure for a leveraged ETF, and the failure to implement or recommend any monitoring or exit strategy for a product that demands active management. The most probable outcome is a finding of a supervisory or disclosure deficiency with a requirement for enhanced procedures, possibly accompanied by a modest monetary penalty, rather than a full suitability violation resulting in disgorgement or restitution.

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## Borderline Scenario 202

*Topic: inappropriate\_risk\_profile | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the client's*

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### Fact Pattern

Carlos and Elena Medina, both age 44, opened a joint brokerage account with financial advisor Priya Shankar in January 2022. Carlos is a civil engineer earning \$140,000 per year, and Elena is a pediatric nurse earning \$88,000 per year, giving them a combined household income of \$228,000. They have a net worth of approximately \$1.1 million, including \$410,000 in the new brokerage account, \$350,000 in employer-sponsored 401(k) plans, \$240,000 in home equity, and \$100,000 in emergency savings. They have two children, ages 10 and 13. During the account opening process, Priya conducted an in-person risk assessment meeting lasting approximately 45 minutes. The Medinas told Priya they wanted to 'build long-term wealth' and that they were 'comfortable with market ups and downs' as long as they didn't need the money for at least 15 years. They mentioned they had successfully held through the March 2020 COVID crash without selling. However, Elena also mentioned that she would feel 'very nervous' if their portfolio dropped more than 25% and that college funding for both children in 7-10 years was an important secondary goal. On the risk tolerance questionnaire, the Medinas scored 74 out of 100, which the firm's system classified as 'moderately aggressive.' Priya, exercising her professional judgment, overrode the system classification and assigned the account a 'growth' profile - one notch higher - which permitted up to 85% equity allocation and included allowances for alternative investments, emerging markets, and small-cap stocks. Priya noted in the file that she elevated the risk profile because the Medinas had stable dual incomes, a long time horizon for the primary goal, substantial 401(k) assets outside the account, and a demonstrated behavioral track record of holding through volatility. She did not document Elena's comment about feeling nervous at a 25% drawdown or the college funding goal. Priya then allocated the \$410,000 portfolio as follows: 40% U.S. large-cap equity index funds, 20% international developed market equities, 12% emerging market equities, 8% small-cap value fund, 10% high-yield corporate bond fund, and 10% a real estate investment trust. In 2022, the portfolio declined approximately 19%. In early 2023, the Medinas

called Priya expressing concern and asked whether they should move to something safer. Priya reassured them that market downturns were normal and encouraged them to stay the course. By the end of 2023, the portfolio had recovered to approximately \$425,000. In mid-2024, emerging market and small-cap positions experienced sharp declines during a global trade disruption, and the portfolio fell to approximately \$358,000 - a 13% loss from the original investment and a drawdown of roughly 16% from the 2023 high. The Medinas filed a complaint alleging that Priya inflated their risk profile beyond what the questionnaire indicated, ignored Elena's stated discomfort with large losses, failed to account for the college funding timeline, and placed them in overly volatile asset classes. Priya responds that the questionnaire is a starting point and not determinative, that her professional judgment and documented rationale justified the override, that the Medinas' overall financial picture supported a growth orientation, and that the portfolio's current loss of 13% from cost basis is within normal market fluctuation for a growth portfolio.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Priya violated her obligations: The firm's risk assessment system placed the Medinas at 'moderately aggressive' based on their own responses, and Priya unilaterally elevated the profile to 'growth' - a more aggressive classification. While professional judgment overrides are permitted, the failure to document Elena's explicit statement about discomfort with 25% drawdowns is a significant omission, as it suggests Priya may have selectively considered information that supported a higher-risk allocation while ignoring contradictory data. The college funding need in 7-10 years represents a medium-term goal with a defined timeline, and the portfolio contained no dedicated allocation or sub-account for this purpose. A 12% emerging markets allocation and 8% small-cap allocation, combined with a 10% high-yield bond allocation, produced a portfolio with materially higher volatility than what a 'moderately aggressive' classification would typically permit. The current 13% unrealized loss, while not extreme, is compounded by the fact that the Medinas are now potentially 3-6 years from needing college funds with no segregated assets for that purpose.

Arguments that Priya acted appropriately: Risk questionnaires are widely understood to be imperfect tools, and advisors are expected to exercise professional judgment in interpreting results alongside the full client picture. Priya documented her rationale for the override - dual stable incomes, long primary time horizon, external retirement assets, and demonstrated behavioral resilience during the 2020 crash. The one-notch elevation from 'moderately aggressive' to 'growth' is not a dramatic departure. The portfolio is diversified across multiple asset classes and geographies, and an 80/20 or similar equity-heavy allocation is standard for 44-year-old investors with 15+ year time horizons. The 13% loss from cost basis over a 2.5-year period during which two significant market disruptions occurred is arguably within the expected range for a growth portfolio. The Medinas' 401(k) assets (\$350,000) and emergency fund (\$100,000) provide substantial buffers, and the college funding goal could potentially be addressed through other accounts or future savings. Elena's comment about nervousness at 25% drawdowns was never actually breached - the portfolio's maximum drawdown was approximately 19% from cost basis.

### Why Borderline

This case is genuinely ambiguous because the advisor had a documented, facially reasonable basis for overriding the questionnaire result, and the override was only one level. The clients had financial

characteristics that could support either a moderately aggressive or growth classification. However, the selective documentation - recording factors supporting the upgrade while omitting the client's expressed drawdown anxiety and a concrete medium-term financial goal - creates a troubling pattern that suggests the advisor may have been fitting the profile to a desired portfolio rather than fitting the portfolio to the client. The fact that the 25% drawdown threshold Elena mentioned was never actually breached, and that the current loss is within plausible growth-portfolio parameters, further complicates the analysis.

### Borderline Factors

- The risk profile override was only one notch above the questionnaire result, not a dramatic departure
- Advisor documented affirmative reasons for the override but failed to document the client's expressed drawdown anxiety and college funding goal
- The college funding need in 7-10 years introduces a medium-term time horizon that arguably conflicts with a pure growth allocation
- The clients had substantial external assets (401k, emergency fund) that arguably reduce the need for conservatism in the brokerage account
- The maximum actual portfolio drawdown (19%) never reached the 25% threshold Elena specifically mentioned as causing nervousness
- The current 13% unrealized loss from cost basis is within a range that could be characterized as either normal market fluctuation or evidence of excessive risk
- The clients demonstrated actual holding behavior through the 2020 crash, providing behavioral evidence supporting higher risk tolerance
- No separate allocation or time-segmented strategy was established for the college funding goal despite it being mentioned during onboarding

### Likely Outcome

A regulator would most likely find a partial deficiency rather than a clear-cut violation. The risk profile override itself would likely survive scrutiny given the documented rationale and the modest degree of elevation. However, the failure to document Elena's drawdown sensitivity and the college funding goal - both of which are material elements of the customer's investment profile - would likely be cited as a documentation and possibly a care deficiency. The most probable outcome is a requirement for enhanced documentation procedures, possible supervisory findings against the firm for failing to have adequate controls around profile overrides, and potentially a modest fine. Full restitution would be unlikely given the modest loss amount, the clients' overall financial resilience, and the fact that the portfolio's performance was within a range attributable to normal market risk rather than a manifestly unsuitable strategy.

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## Borderline Scenario 203

*Topic: complex\_products\_unsophisticated\_investor | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer*

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### Fact Pattern

Margaret Dawson, age 58, is a retired postal worker living in suburban Ohio with a pension of \$3,200 per month and \$410,000 in retirement savings held in a traditional IRA. She has a high school diploma and no formal investment education. Her stated goals on her new account form were 'safe growth to supplement retirement income' with a moderate risk tolerance. She had previously held only certificates of deposit and a



single S&P 500 index fund through her employer's retirement plan. In March 2022, her advisor, Kevin Brandt, recommended she allocate \$120,000 (approximately 29% of her portfolio) into a structured note linked to the performance of a basket of three large-cap technology stocks, with a two-year maturity and principal protection of 90% - meaning she could lose up to 10% of principal if the underlying stocks declined more than 30%. The note offered an enhanced coupon of 8.2% annually, paid quarterly, compared to the roughly 4.1% she was earning on CDs at the time. Before making the recommendation, Brandt spent two meetings totaling approximately 90 minutes explaining how the structured note worked, including the downside risk, the credit risk of the issuing bank (a major global institution rated A+ by credit agencies), and the fact that the note would be illiquid until maturity with no secondary market. Margaret signed a detailed disclosure acknowledgment form and a separate risk acknowledgment specific to structured products, both of which she initialed on every page. Brandt's notes from the meetings reflect that Margaret asked several questions, including 'what happens if one of the tech companies goes bankrupt?' and 'can I get my money out early if I need it?' - to which Brandt responded that bankruptcy of an underlying stock could trigger losses and that early liquidation was not guaranteed and could result in significant loss. Margaret received her first three quarterly coupon payments totaling approximately \$2,460 each, which she described as 'wonderful.' In late 2022, the technology sector declined sharply, and although the structured note had not yet breached its 30% barrier, the mark-to-market value of the note dropped to approximately \$98,000, causing Margaret significant anxiety. She called Brandt multiple times expressing concern and ultimately filed a complaint alleging that the product was too complex for her to understand and that she never should have been placed in it. The note ultimately matured in March 2024 with no barrier breach, and Margaret received her full \$120,000 principal back plus all remaining coupon payments, earning a total return of approximately \$19,680 over two years.

### **Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

### **Analysis**

Arguments that Brandt violated applicable standards: Margaret was an unsophisticated investor with no experience in complex structured products. Her background - a retired postal worker with a high school education who had only owned CDs and an index fund - suggests she may not have truly understood the mechanics of a structured note linked to a basket of tech stocks, regardless of the disclosures she signed. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile. The quantitative suitability and customer-specific suitability components both raise concerns. Under Regulation Best Interest (Reg BI), the Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives. A 29% allocation to a single structured note for a retirement-income-focused client could be seen as excessive concentration in a complex product. The SEC has repeatedly noted that structured notes carry risks - including credit risk, market risk, and liquidity risk - that may be difficult for retail investors to evaluate. FINRA Regulatory Notices 12-03 and 09-31 specifically address heightened supervision and suitability concerns for complex products sold to retail investors. Arguments that Brandt acted appropriately: The allocation was approximately 29% of the portfolio - meaningful but not dominant, leaving 71% in presumably more conservative holdings. The structured note offered 90% principal protection, meaning maximum downside was 10% of the invested amount (\$12,000) - a defined and limited risk. The 8.2% coupon was roughly double the prevailing CD rate, providing meaningful income enhancement aligned with Margaret's

income-supplementation goal. Brandt conducted two in-person meetings specifically to explain the product, and his contemporaneous notes reflect substantive Q&A. Margaret signed granular disclosure and risk acknowledgment forms. She asked relevant questions (about bankruptcy and early liquidation) that suggest she was engaged in the process and grasped core risk concepts. The issuing bank's A+ credit rating mitigated credit risk concerns. Most importantly, the investment performed as intended - Margaret received all coupon payments and full principal, earning nearly \$20,000 over two years with no loss. The moderate risk tolerance designation on her account form is consistent with accepting some degree of downside risk in exchange for enhanced income.

### Why Borderline

This case sits in a genuine gray area because the product had significant complexity that arguably exceeded Margaret's sophistication level, yet the advisor took meaningful and documented steps to educate her, the product had built-in principal protection features that limited downside, the allocation was not overwhelmingly concentrated, and the investment ultimately performed exactly as designed. The complaint appears driven by interim mark-to-market anxiety rather than actual harm. Reasonable regulators could disagree about whether disclosure and education can cure the fundamental mismatch between a structured note and an unsophisticated retiree, or whether the principal protection feature and limited allocation size made this a reasonable income-enhancement strategy within her moderate risk tolerance.

### Borderline Factors

- Client had no prior experience with any complex investment products
- Advisor conducted extensive documented education sessions with substantive Q&A
- Client signed detailed product-specific and general risk disclosures
- 90% principal protection feature significantly limited downside risk compared to unprotected structured notes
- 29% allocation is meaningful but not extreme concentration
- Product's enhanced yield directly served client's stated income-supplementation goal
- Client's moderate risk tolerance designation arguably accommodates some complex product exposure
- Investment matured with full principal return and all coupon payments - no actual financial harm
- Complaint was triggered by interim mark-to-market decline, not realized losses
- Client asked pointed risk questions suggesting at least partial comprehension of key risks

### Likely Outcome

A regulator would most likely decline to pursue a formal enforcement action but might issue a cautionary letter or require enhanced supervisory procedures. The absence of financial harm (the note paid out fully), the documented education effort, and the principal protection feature weigh heavily in Brandt's favor. However, in an arbitration setting, a panel might award limited damages or find a minor suitability issue based on the complexity mismatch, particularly if the panel focuses on the client's profile rather than the outcome. Most likely, this case settles for a nuisance value or is dismissed, with the firm potentially tightening its approval process for structured notes sold to unsophisticated investors.

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## Borderline Scenario 204

Topic: *complex\_products\_unsophisticated\_investor* | Standard: *FINRA Rule 2111 (Suitability) - customer-specific and reasonable-ba*

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**Fact Pattern**

Roberto Garza, age 44, is a long-haul truck driver earning approximately \$72,000 annually. He has a GED, no college education, and describes his investment experience as 'basically zero - I just had a savings account until my uncle died.' In September 2023, Roberto inherited \$285,000 from his uncle's estate. He opened a brokerage account with advisor Diane Whitfield at a regional broker-dealer and indicated on his account application that his objectives were 'growth' with a 'moderately aggressive' risk tolerance and a time horizon of '15-20 years until retirement.' He told Whitfield he didn't need the money anytime soon and wanted it to 'really grow' so he could retire at 60. Over three meetings in September and October 2023, Whitfield recommended a diversified portfolio that included \$55,000 (approximately 19%) allocated across three different leveraged and inverse exchange-traded funds (ETFs): \$20,000 in a 2x leveraged S&P 500 ETF, \$20,000 in a 3x leveraged semiconductor sector ETF, and \$15,000 in an inverse 1x Treasury bond ETF as a hedge against rising interest rates. The remaining \$230,000 was allocated to a mix of blue-chip stock index funds, a mid-cap growth fund, and an investment-grade bond fund. Whitfield explained to Roberto that the leveraged ETFs amplify daily returns and that their long-term performance can deviate significantly from the underlying index due to daily rebalancing and compounding effects. She also explained that the inverse Treasury ETF was designed to profit when bond prices fall but would lose money when bond prices rise. Roberto signed a leveraged/inverse ETF-specific disclosure form that stated in bold text: 'These products are designed for short-term trading and may not be suitable for buy-and-hold investors. Daily compounding of returns can cause significant deviation from expected performance over periods longer than one day.' Whitfield's internal notes state: 'Client understands leveraged products reset daily and are designed for tactical use. Plan is to monitor positions monthly and rebalance or exit if thesis changes. Client agrees to check in monthly.' For the first four months, Roberto attended monthly calls as planned, and the leveraged S&P position gained roughly 18% while the semiconductor ETF gained approximately 31%. However, in February 2024, Roberto began missing scheduled calls, citing his trucking schedule. Between February and June 2024, four months passed without any portfolio review. During that period, the semiconductor sector experienced significant volatility, and the 3x leveraged semiconductor ETF lost approximately 42% of its value due to compounding decay during a period of high-volatility sideways movement in the underlying index, reducing the \$20,000 position to approximately \$11,600. The leveraged S&P ETF held relatively steady, and the inverse Treasury ETF lost about 12%. In total, the leveraged/inverse sleeve declined from \$55,000 to approximately \$43,100 - a loss of about \$11,900. The overall portfolio, including the conventional positions, was down approximately 1.8% over the same period. Roberto filed a complaint in July 2024 alleging the leveraged and inverse ETFs were inappropriate for someone with his background and that Whitfield should never have put an inexperienced truck driver in products 'designed for Wall Street day traders.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Whitfield violated applicable standards: Under FINRA Rule 2111 and Reg BI's Care Obligation, advisors must ensure recommendations are consistent with the customer's investment profile, including their level of financial sophistication. Roberto had virtually no investment experience and a GED-level education. Leveraged and inverse ETFs are widely recognized as complex products unsuitable for unsophisticated buy-and-hold investors. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs 'are typically not suitable for retail investors who plan to hold them for longer

than one trading session, particularly in volatile markets.' The fact that the positions were held for months - not days or weeks - arguably violates the product's intended use case and the disclosure Roberto himself signed. Additionally, once Roberto stopped attending monthly calls, Whitfield had an obligation under her own stated monitoring plan to take more proactive steps, potentially including liquidating the tactical positions when the agreed-upon oversight mechanism broke down. The 3x leveraged semiconductor ETF - an extremely volatile, concentrated, triple-leveraged product - is particularly difficult to justify for a first-time investor. Arguments that Whitfield acted appropriately: The leveraged/inverse allocation represented only 19% of the total portfolio, with 81% in conventional, well-diversified investments. The overall portfolio lost only 1.8% during the period in question - a modest drawdown consistent with moderately aggressive positioning. Roberto explicitly stated he wanted aggressive growth and had a 15-20 year time horizon. The 2x leveraged S&P 500 ETF is among the most liquid and widely held leveraged products and can be a reasonable tactical tool. Whitfield designed an explicit monitoring and rebalancing framework with monthly calls, which Roberto initially followed but then abandoned due to his own scheduling issues. She documented her education efforts and rationale. The total loss in the leveraged sleeve was approximately \$11,900, or about 4.2% of the total portfolio - not a catastrophic outcome. Whitfield could argue that Roberto's failure to maintain the agreed-upon communication schedule contributed materially to the holding-period issue, and that she attempted to reach him. The inverse Treasury ETF served a legitimate hedging purpose within the portfolio context.

### Why Borderline

This scenario is genuinely ambiguous because the advisor implemented a thoughtful overall portfolio with a small tactical sleeve of complex products, created a monitoring framework appropriate for the products' characteristics, and the client's own disengagement contributed to the holding-period problem. However, the fundamental question remains whether leveraged and inverse ETFs - products with explicit disclosures warning against long-term holding - should ever be recommended to a first-time investor with no financial education, regardless of how small the allocation or how robust the monitoring plan. Reasonable practitioners disagree about whether adequate process and education can bridge the sophistication gap for these specific products.

### Borderline Factors

- Client had essentially zero prior investment experience
- Client's stated objectives (aggressive growth, 15-20 year horizon) are inherently at tension with products designed for short-term tactical use
- Leveraged/inverse ETF allocation was limited to 19% of total portfolio
- Overall portfolio performance was only modestly negative (-1.8%) despite leveraged sleeve losses
- Advisor established and initially maintained a monthly monitoring protocol appropriate for leveraged products
- Client's own failure to maintain scheduled check-ins contributed to extended holding period
- Client signed product-specific disclosures warning against buy-and-hold strategies
- 3x leveraged semiconductor ETF is substantially more aggressive and volatile than 2x broad index products
- Advisor documented education and rationale in contemporaneous notes
- Losses were concentrated in the most volatile position during a period of high-volatility sideways movement - exactly the scenario leveraged ETF disclosures warn about

### Likely Outcome

A regulator would likely view this as a case warranting scrutiny but not necessarily a clear-cut violation. The most probable outcome is a negotiated settlement or supervisory action rather than a full enforcement proceeding. A FINRA arbitration panel might find partial liability - acknowledging that while the overall portfolio was reasonable and the advisor established appropriate monitoring, the recommendation of a 3x leveraged semiconductor ETF to a novice investor pushes past the line, even with disclosures and education. The panel might award damages limited to the losses on the 3x semiconductor position (approximately \$8,400) while declining to find liability on the 2x S&P or inverse Treasury positions. The firm would likely face enhanced supervisory requirements around leveraged product approvals for low-experience clients.

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### Borderline Scenario 205

*Topic: overconcentration\_single\_stock | Standard: FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on*

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### Fact Pattern

Margaret Chen, age 58, had a \$1.2 million portfolio managed by her advisor, David Ruiz, at a regional brokerage firm. Margaret was a retired pharmaceutical industry executive who had accumulated approximately 340,000 shares of PharmaCo Inc. through stock options and company stock purchase plans over her 25-year career. At the time she began working with Ruiz in March 2021, PharmaCo represented about 52% of her total portfolio. Margaret's new account form listed her risk tolerance as 'moderate,' her investment objective as 'growth and income,' her time horizon as '10+ years,' and her annual income from a pension and Social Security as \$78,000. During their initial meetings, Ruiz recommended that Margaret systematically sell down her PharmaCo position to no more than 20% of the portfolio and reinvest the proceeds into a diversified mix of equity mutual funds and bond ETFs. Margaret resisted, telling Ruiz in documented emails that she had 'deep conviction' in the company's pipeline of drugs under development, believed the stock was 'significantly undervalued,' and wanted to hold until at least two key FDA approvals expected in late 2022. Ruiz documented her pushback in his CRM notes and reiterated his diversification recommendation in writing twice more - once in June 2021 and again in September 2021 - each time Margaret declined. In October 2021, PharmaCo's stock price rose 18%, and Margaret emailed Ruiz saying 'See, I told you so - let's hold steady.' Ruiz did not escalate the matter to his branch manager or compliance department. By March 2022, PharmaCo represented 58% of Margaret's portfolio due to appreciation. In July 2022, one of the two anticipated drugs failed its Phase III trial, and PharmaCo's stock dropped 41% over three weeks. Margaret's portfolio fell from \$1.45 million to approximately \$940,000. She filed a complaint alleging Ruiz failed to protect her from foreseeable concentration risk and should have been more forceful in insisting she diversify or, at minimum, implement protective hedging strategies like purchasing put options.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Ruiz violated his obligations: Margaret's moderate risk tolerance and growth-and-income objective were fundamentally inconsistent with having nearly 60% of her portfolio in a single pharmaceutical

stock, an inherently volatile sector dependent on binary FDA outcomes. A 58-year-old retiree relying partly on her portfolio for long-term financial security should not have been permitted to maintain such extreme concentration. Ruiz arguably had a duty not merely to recommend diversification but to take more aggressive steps - such as escalating to compliance, proposing hedging strategies like protective puts or collars, or even declining to service the account if the client refused reasonable advice. The fact that concentration actually increased from 52% to 58% on his watch, without any protective measures, could suggest a failure to act in her best interest. Additionally, Ruiz never discussed options-based hedging strategies that could have allowed Margaret to maintain upside exposure while limiting catastrophic downside - a middle-ground solution that might have satisfied both parties.

Arguments that Ruiz acted appropriately: Ruiz made three documented written recommendations to diversify, each time clearly articulating the risks of concentration. Margaret was a sophisticated former pharmaceutical executive who understood the industry, the specific company, and the drug pipeline better than most retail investors. She made an informed, autonomous decision to retain her position based on her own professional expertise and conviction. Ruiz respected her autonomy as a client, which is a legitimate consideration. The concentration existed before the advisory relationship began - it was legacy stock from employment, not a position Ruiz built. Ruiz did not purchase additional PharmaCo shares; the increase in concentration was due to market appreciation. Forcing a client to sell a position she explicitly and repeatedly refused to sell raises its own ethical and practical concerns. Furthermore, Margaret's \$78,000 annual pension and Social Security income provided a meaningful income floor independent of the portfolio, somewhat reducing the urgency of diversification.

### Why Borderline

This case sits in a genuine gray zone because the advisor did what many practitioners would consider reasonable - documenting repeated diversification recommendations that the client explicitly rejected - yet the client's overall risk profile arguably demanded more assertive action. The client's sophistication cuts both ways: it supports informed consent but also raises the question of whether the advisor used her expertise as a reason to be passive. The lack of any hedging discussion is a significant gap, but hedging was not specifically requested and involves additional costs and complexity. Reasonable practitioners disagree about how far an advisor must go when a client repeatedly refuses sound advice, particularly regarding pre-existing concentrated positions the advisor did not create.

### Borderline Factors

- Advisor made three documented written recommendations to diversify that the client explicitly rejected
- Client was a former pharmaceutical executive with deep industry knowledge and arguably superior understanding of the specific company
- Concentration was a pre-existing legacy position from employment, not advisor-constructed
- Advisor never discussed intermediate protective strategies like put options or collars
- Concentration actually increased during the advisory relationship from 52% to 58%
- Client's moderate risk tolerance and growth-and-income objective were inconsistent with single-stock concentration in a volatile sector
- Client had \$78,000 in annual pension and Social Security income providing a partial safety net
- Advisor did not escalate to compliance or branch management despite ongoing refusal of core advice
  - The risk that materialized (binary FDA trial outcome) was foreseeable and characteristic of pharmaceutical stock concentration



### Likely Outcome

A regulator would likely find this a close case but may issue a cautionary action or minor sanction rather than a full violation finding. The documented recommendations to diversify significantly protect Ruiz, but the failure to discuss hedging alternatives and the failure to escalate the matter to compliance when the client persistently refused advice that was central to her risk profile are weak points. A panel might conclude that Ruiz's obligation extended beyond passive recommendation to active risk mitigation, particularly as concentration worsened. However, given the client's sophistication, informed refusal, and independent income, a full suitability violation finding is not certain. A likely outcome is a settlement with modest damages or a letter of caution, with the regulator emphasizing that advisors should document escalation procedures and present alternative risk-mitigation strategies when clients refuse primary recommendations.

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### Borderline Scenario 206

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 requires that recommendations be suitable for the customer*

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### Fact Pattern

Harold and Patricia Novak, ages 71 and 68 respectively, were retired public school teachers with a combined pension income of \$96,000 annually and a \$680,000 investment portfolio held with advisor Karen Whitfield at a national wirehouse. Their account documentation listed their risk tolerance as 'conservative,' their investment objectives as 'capital preservation and income,' and their time horizon as '5-7 years.' In January 2023, during a routine portfolio review, Karen noted that the Novaks' portfolio was yielding approximately 2.8% annually, generating about \$19,000 per year in investment income. The Novaks expressed frustration that their investment income had not kept pace with inflation, which was running above 6% at the time, and specifically told Karen they wanted to 'do better on income without taking crazy risks.' Karen recommended reallocating 15% of the portfolio (\$102,000) from investment-grade bond funds into a diversified high-yield bond ETF (average credit rating BB, yielding approximately 7.2%) and another 10% (\$68,000) into a closed-end fund focused on covered call strategies on large-cap equities, which was yielding approximately 9.5% through a combination of option premiums and dividends but had historically exhibited volatility roughly 1.4 times that of the S&P 500. Karen explained in her recommendation memo that the combined reallocation would increase the portfolio's income from approximately \$19,000 to roughly \$30,500 annually, meaningfully improving the Novaks' inflation-adjusted income. She noted the increased credit risk in the high-yield ETF and the equity-like volatility in the covered call fund but framed both as 'moderate income-enhancing strategies appropriate for a portion of a conservative portfolio.' The Novaks signed the recommendation acknowledgment. Over the following eight months, the high-yield ETF declined 4.2% in value while continuing to pay its distributions. The covered call fund declined 11.8% in price (though total return including distributions was negative 3.1%). In total, the Novaks' portfolio experienced a \$14,200 unrealized loss attributable to these two positions, partially offset by \$8,900 in additional income above what the prior allocation would have generated. The Novaks filed a complaint alleging the investments were speculative and inconsistent with their conservative profile.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Whitfield violated her obligations: The Novaks were retired, in their late 60s and early 70s, with a conservative risk tolerance and capital preservation objectives. Allocating 25% of a conservative retiree portfolio to below-investment-grade bonds and a volatile equity-linked options strategy is arguably inconsistent with a conservative mandate. High-yield bonds carry meaningful default risk, particularly during economic downturns, and a covered call closed-end fund with 1.4x S&P volatility is fundamentally an equity product, not an income product. The 11.8% price decline in the covered call fund in just eight months illustrates the equity risk embedded in this supposedly 'income' strategy. For clients whose primary objective was capital preservation, subjecting a quarter of their assets to these risks may cross the line, regardless of the income enhancement. The fact that the Novaks said they didn't want 'crazy risks' could be interpreted as an explicit instruction to stay within conservative boundaries. Furthermore, the net result - \$14,200 in losses partially offset by \$8,900 in extra income - meant the Novaks were worse off in absolute terms after eight months.

Arguments that Whitfield acted appropriately: The Novaks explicitly asked for higher income, creating a genuine tension between their stated objectives (capital preservation) and their expressed need (more income to combat inflation). Whitfield attempted to balance these competing demands by allocating only a limited portion (25%) of the portfolio to modestly higher-yielding instruments while keeping 75% in conservative holdings. High-yield bond ETFs rated BB are the highest tier of non-investment-grade debt and represent a well-recognized income enhancement tool used routinely in moderate and even moderately conservative portfolios. A diversified high-yield ETF is fundamentally different from speculative individual junk bonds. The covered call strategy, while volatile, is designed specifically to generate income and actually reduces downside risk compared to holding equities outright because the option premium provides a partial buffer. Whitfield documented her rationale, explained the risks, and the Novaks signed the acknowledgment. The losses were unrealized, occurred during a volatile market period, and the positions were performing their intended function of generating enhanced income. If Whitfield had done nothing, the Novaks' purchasing power would have continued to erode, which is itself a risk to conservative retirees.

### Why Borderline

This scenario is genuinely ambiguous because the clients presented conflicting signals - a conservative risk tolerance paired with an explicit demand for meaningfully higher income during a high-inflation environment. Any advisor facing this situation must choose between respecting the stated risk tolerance literally (and watching the client's purchasing power erode) or making reasonable accommodations to address expressed needs (and accepting some additional risk). The 25% allocation is substantial enough to matter but limited enough to be defensible as a 'satellite' strategy around a conservative core. The specific products chosen - a diversified high-yield ETF and a covered call fund - are not exotic or speculative by industry standards, yet they clearly involve risks beyond what pure capital preservation implies. The short evaluation period (eight months) makes the loss figures potentially misleading in either direction.

### Borderline Factors

- Clients expressed conflicting objectives: conservative risk tolerance but explicit request for higher income
- 25% allocation to higher-risk instruments - significant but not dominant portion of portfolio
- High-yield ETF rated BB is the highest quality tier of non-investment-grade debt, not deeply speculative
- Covered call fund has equity-like volatility (1.4x S&P) despite being marketed as an income strategy
- Advisor documented rationale and obtained client acknowledgment of risks

- Net result after eight months was negative (\$14,200 loss minus \$8,900 extra income = \$5,300 net loss)
- Doing nothing would have allowed continued inflation erosion of purchasing power - also a risk to conservative retirees
- Clients' \$96,000 pension income provides substantial baseline financial security independent of portfolio
- Short evaluation period may not reflect the long-term performance characteristics of the chosen strategies
- Covered call strategy inherently reduces downside vs. pure equity but increases volatility vs. bonds

### Likely Outcome

A regulator or arbitration panel would likely view this as a close call that could go either way depending on how much weight is given to the clients' expressed desire for more income versus their documented conservative risk tolerance. The most probable outcome is a finding of partial liability or a negotiated settlement. A panel might conclude that the high-yield ETF allocation was reasonable but that the covered call fund - with its equity-like volatility - pushed the overall allocation beyond what was appropriate for a conservative retiree portfolio. Alternatively, a panel sympathetic to the advisor's dilemma might find no violation, noting the limited allocation, the documented consent, and the legitimate need to address inflation risk. Damages, if awarded, would likely be modest and limited to the covered call fund losses, potentially offset by the enhanced income received.

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## Borderline Scenario 207

*Topic: structured\_products\_unsuitable | Standard: FINRA Rule 2111 (Suitability), including the reasonable-basis, customer-specific,*

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### Fact Pattern

Margaret Dawson, age 62, retired from her career as a hospital administrator in March 2022 with a \$1.4 million IRA rollover and a separate \$300,000 taxable brokerage account. Her new account forms indicated a moderate risk tolerance, a 15-year investment time horizon, income generation as her primary objective, and growth as a secondary objective. She listed her annual income as \$48,000 from Social Security and a small pension, with monthly living expenses of approximately \$3,800. She had no other liquid savings outside these accounts. Her prior investment experience included mutual funds and CDs over a 20-year period, but she had never invested in structured products or alternatives. Her advisor, Kevin Phelps, who had 18 years of experience and held relevant securities licenses, recommended she allocate \$280,000 - roughly 16.5% of her total portfolio - across three different market-linked structured notes issued by two major investment banks with A+ credit ratings. The first note, for \$100,000, was a 5-year principal-protected note linked to the S&P 500, offering 100% downside protection with capped upside of 28% over the term (roughly 5% annualized). The second note, for \$100,000, was a 3-year autocallable note linked to a basket of three large-cap tech stocks, paying a 9.2% annual contingent coupon as long as none of the underlying stocks fell below 70% of their initial price, with a 30% downside barrier at maturity. The third note, for \$80,000, was a 6-year income note linked to the Russell 2000 index, paying a fixed 6.5% annual coupon with principal at risk if the index fell more than 40% from its starting level. Phelps documented in his notes that Dawson wanted to supplement her pension and Social Security income, was concerned about a potential market downturn, and preferred products with some form of downside cushion rather than direct equity exposure. He noted she understood the products would be illiquid and that she could lose principal on two of the three notes in severe market scenarios. Dawson signed acknowledgment forms for each note.

The remaining 83.5% of her portfolio was invested in a diversified mix of investment-grade bond funds (40%), large-cap equity index funds (30%), and a money market fund (13.5%). Fourteen months later, one of the three underlying tech stocks in the autocallable note had declined 38%, breaching the 70% coupon barrier, so Dawson stopped receiving the contingent coupon payments she had been relying on. She filed a complaint stating she was never told the coupon payments could stop and that she didn't understand the complexity of these instruments, and that \$280,000 in structured notes was too much for someone in her situation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Phelps violated applicable standards: Dawson was a 62-year-old retiree with no prior structured product experience, relying on her portfolio to supplement a modest fixed income. Structured notes are complex instruments with embedded derivatives, issuer credit risk, limited liquidity, and conditional return features that can be difficult for unsophisticated investors to fully grasp. The autocallable note in particular had a contingent coupon tied to the worst-performing stock in a three-stock basket, introducing concentrated single-name risk that is qualitatively different from the diversified investing Dawson had done previously. Allocating \$280,000 to illiquid, complex products for a retiree with no other liquid savings outside these accounts raises concentration and liquidity concerns. If Dawson was counting on the coupon income from the autocallable note to meet living expenses, the conditional nature of that income stream was arguably inappropriate for someone in a distribution phase. Under FINRA Rule 2111 and its supplementary materials on complex products, firms have heightened obligations to ensure customers understand the risks and features of structured products. Under Regulation Best Interest, the care obligation requires the advisor to consider reasonably available alternatives - simpler income-generating strategies like dividend-paying equity funds or a bond ladder might have provided comparable income with greater transparency and liquidity. Dawson's claim that she didn't understand the coupon could stop suggests a potential disclosure failure, though signed acknowledgment forms cut against this. Arguments that Phelps acted appropriately: The 16.5% allocation to structured products was a minority position within a well-diversified portfolio. The principal-protected note provided full downside protection, directly addressing Dawson's concern about market downturns. The income note had a 40% barrier, offering substantial cushion. Even the autocallable note had a 30% barrier - these were not speculative instruments but products designed for conservative-to-moderate investors seeking income with defined risk parameters. Phelps documented the rationale connecting each product to Dawson's stated objectives. Two major investment banks with A+ ratings issued the notes, minimizing issuer credit risk. The 15-year time horizon accommodated the longest note's 6-year maturity. The remaining portfolio maintained ample liquidity in money market and bond funds. Phelps's notes indicate he discussed illiquidity and potential principal loss. Dawson signed product-specific acknowledgments. The fact that one product's coupon was interrupted due to a significant single-stock decline doesn't retroactively make the recommendation unsuitable - the risk was disclosed and within the parameters of Dawson's moderate risk profile.

### Why Borderline

This case sits in genuine gray territory because the structured notes were not speculative or excessively risky instruments - they included meaningful downside protection features and were a minority allocation within a diversified portfolio. The advisor documented a reasonable rationale connecting the products to the

client's income needs and risk concerns. However, Dawson's lack of prior structured product experience, her reliance on portfolio income for living expenses, the complexity and illiquidity of the instruments, and the conditional nature of the autocallable coupon - which she may not have fully understood despite signing acknowledgments - create legitimate questions about whether these products truly served her best interest versus simpler alternatives.

### Borderline Factors

- 16.5% allocation to structured notes is meaningful but not an extreme concentration
- Client had no prior experience with structured products or derivatives
- Two of three notes had substantial but not complete downside protection; one was principal-protected
- Client was a retiree relying on portfolio income for living expenses, making conditional coupon payments potentially problematic
- Advisor documented rationale and obtained signed acknowledgments, but signed forms don't necessarily prove genuine understanding
  - Simpler alternatives (bond ladders, dividend funds) existed but may not have offered the same risk-return profile client desired
- The remaining 83.5% of the portfolio was conservatively and broadly diversified
- 15-year time horizon accommodated the note maturities, but liquidity needs could arise unexpectedly
- Issuer credit risk was mitigated by A+ rated banks but was still a non-trivial risk factor for a retiree

### Likely Outcome

A regulator would likely find this a close case but may lean toward a finding of a violation, particularly regarding the autocallable note. While the overall portfolio construction was reasonable and the advisor's documentation was solid, the conditional coupon feature of the autocallable note - where income depended on three individual stock performances - was arguably mismatched with a retiree's need for reliable income. A regulator applying Regulation BI's care obligation would likely focus on whether the advisor adequately considered simpler, more transparent alternatives that could have met Dawson's income needs without the complexity and conditionality. The principal-protected note and the income note with a 40% barrier would likely survive scrutiny. The most probable outcome would be a negotiated settlement or a finding limited to the autocallable note, with modest damages, rather than a sweeping finding that the entire structured note allocation was unsuitable.

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## Borderline Scenario 208

*Topic: high\_fees\_unsuitable | Standard: For broker-dealers: Regulation Best Interest (Reg BI) under SEC Rule 15l-1, specifically the*

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### Fact Pattern

Dr. Samuel Okafor, age 45, a practicing orthopedic surgeon earning approximately \$620,000 annually, opened a discretionary advisory account in January 2021 with \$2.1 million in investable assets. He told his advisor, Rachel Stein, that he had very limited time to manage his own finances due to his surgical practice, that he wanted long-term growth for eventual retirement around age 65, and that he was comfortable with moderate-to-aggressive risk. He also stated he valued personalized attention, tax-loss harvesting, and quarterly in-person portfolio reviews. Stein, a credentialed advisor with a CFP designation and 22 years of experience, placed Okafor in her firm's Premier Wealth Management program, which charged a wrap fee of

1.85% annually on assets under management. This fee covered investment management, trading costs, financial planning, tax optimization strategies, and unlimited access to Stein and her team. Within the account, Stein built a customized portfolio of 42 individual stocks, 15 individual municipal bonds selected for Okafor's state tax situation, and a small allocation to two actively managed alternative funds (a real estate interval fund and a private credit fund) that carried their own internal expense ratios of 1.65% and 1.90% respectively, bringing the blended all-in cost for the alternative sleeve to approximately 3.60% annually. The alternatives comprised 12% of the total portfolio. The remaining 88% was subject only to the 1.85% wrap fee. Stein conducted quarterly in-person reviews as promised, performed tax-loss harvesting that generated approximately \$38,000 in documented tax savings in the first year, coordinated with Okafor's CPA on estimated tax payments, and provided a comprehensive retirement projection updated semi-annually. Over the 30-month period from account opening through June 2023, the overall portfolio returned 14.2% net of all fees, modestly underperforming a blended benchmark of 60% S&P 500 / 30% Bloomberg Aggregate Bond / 10% MSCI REIT index, which returned 16.8% over the same period. A competing advisor later told Okafor he could get substantially similar services through a robo-advisor hybrid platform charging 0.35% plus low-cost ETFs with average expense ratios of 0.06%, or through a traditional advisor charging 1.00% with institutional share class mutual funds. Okafor filed a complaint alleging the 1.85% wrap fee was excessive and that the layered fees on the alternative investments made the overall cost structure unreasonable, costing him tens of thousands of dollars in unnecessary fees over the relationship.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Stein violated applicable standards: The 1.85% wrap fee is at the higher end of the industry range for advisory accounts, and when combined with the internal expenses of the alternative funds, the blended all-in cost for the alternative portion reached approximately 3.60% annually - a significant drag on returns. Over a 20-year retirement horizon, the cumulative impact of even a 0.85% fee differential (compared to a 1.00% traditional advisor) on \$2.1 million is substantial - potentially hundreds of thousands of dollars. Under the care obligation of Regulation Best Interest and the fiduciary duty applicable to investment advisers, advisors must consider costs as a factor and cannot recommend a more expensive product or service without a reasonable basis to believe the additional cost is justified by additional value. Lower-cost alternatives - including robo-advisor hybrid platforms and traditional advisors using institutional share class index funds - were readily available and could have provided broadly similar asset allocation outcomes. The portfolio's 2.6 percentage point underperformance versus a simple blended benchmark over 30 months suggests the active management and higher fees did not add measurable alpha. The alternative funds added a layer of complexity, illiquidity (interval fund), and additional cost that may not have been necessary for a client whose primary objectives were long-term growth and eventual retirement. Arguments that Stein acted appropriately: The 1.85% wrap fee, while above average, is within the range of fees charged by full-service advisors providing comprehensive wealth management. The fee covered not just portfolio management but financial planning, tax optimization, CPA coordination, and unlimited access - services a robo-advisor or lower-cost platform typically does not provide at the same level. Stein delivered documented, tangible value: \$38,000 in first-year tax savings from tax-loss harvesting alone substantially offset the fee differential compared to lower-cost alternatives. The customized municipal bond portfolio was tailored to Okafor's specific state tax situation, something template-based platforms generally cannot replicate. Quarterly in-person reviews and semi-annual retirement projections represent genuine advisory



services that justify premium pricing. Okafor explicitly stated he valued personalized attention and had no time for self-directed management. A 30-month comparison period is relatively short and may not capture the full value of active management, particularly tax-alpha, which compounds over time. The alternative allocation was only 12% of the portfolio and was selected for diversification into real assets and private credit - asset classes not easily accessible through low-cost ETFs. Okafor signed the advisory agreement disclosing all fees, including the wrap fee and the internal expenses of the alternative funds.

### Why Borderline

This scenario is genuinely ambiguous because the fee level, while high, is not outside the realm of what full-service advisors charge for comprehensive wealth management. The advisor delivered real, documented value through tax-loss harvesting, tax-optimized bond selection, and personalized planning that partially offset the fee premium. At the same time, the portfolio modestly underperformed a simple benchmark, the alternative fund fees created meaningful cost layering, and lower-cost alternatives were available that could have delivered broadly similar results. The core tension is whether the additional services and customization justify the incremental cost, or whether the advisor had an obligation to steer the client toward a less expensive arrangement even if the client hadn't asked for one.

### Borderline Factors

- 1.85% wrap fee is high but within the range for full-service comprehensive wealth management
- Layered fees on the 12% alternative allocation brought all-in costs to approximately 3.60% for that sleeve
- Advisor delivered tangible, documented tax savings (\$38,000 in year one) that partially offset the fee premium
- Customized municipal bond portfolio and CPA coordination represent genuine value-added services not available from robo-advisors
- Portfolio modestly underperformed a simple blended benchmark by 2.6% over 30 months, but short-term performance comparisons are imperfect
- Client explicitly valued personalized service and stated he lacked time for self-directed investing
- Lower-cost alternatives existed but may not have provided equivalent tax optimization, planning, or access to alternative asset classes
- Client signed fee disclosures and advisory agreement, suggesting informed consent
- The competing advisor's comparison may not have been apples-to-apples given different service levels

### Likely Outcome

A regulator would likely find this to be a close case but would probably not find a clear violation, particularly if the advisor's firm had robust fee disclosure and the advisor could demonstrate the additional services provided. The \$38,000 in documented tax savings in year one alone goes a long way toward justifying the fee differential over a lower-cost alternative. However, a regulator might scrutinize the alternative fund allocation more closely, questioning whether the layered fees (approaching 3.60% all-in) were justified for a relatively small sleeve of the portfolio and whether lower-cost alternatives to the interval fund and private credit fund were reasonably available. The most likely outcome would be a finding of no violation on the wrap fee itself, with possible criticism or a risk-alert-level comment regarding the cost layering on the alternative investments. If any monetary relief were awarded, it would likely be limited to the excess fees on the alternative sleeve rather than a wholesale fee refund.

## Borderline Scenario 209

Topic: *excessive\_churning* | Standard: *FINRA Rule 2111 (Suitability)*, including the quantitative suitability component which addresses

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### Fact Pattern

Gerald Whitmore, age 58, is a retired airline executive with a \$1.4 million brokerage account at Ridgeline Securities. He receives a pension of \$7,200/month and has an additional \$600,000 in a separate retirement account he does not actively trade. Gerald told his advisor, Danielle Strauss, that he wanted to 'stay active in the market' and 'generate income while capturing some growth.' He signed account documents indicating moderate risk tolerance and a 7-10 year investment horizon. Over a 22-month period from January 2022 through October 2023, Strauss executed 137 trades in the account, primarily in large-cap equities, preferred stocks, and a handful of sector ETFs. The annualized turnover ratio for the account was approximately 4.8, and the cost-to-equity ratio was roughly 9.2%. The account generated approximately \$128,000 in total commissions and fees during this period. The account's net performance after costs was a loss of approximately \$41,000, while the S&P 500 gained roughly 6% over the same period. However, several contextual factors complicate the picture: Gerald called Danielle on average three to four times per week, frequently suggesting specific trades based on market news he followed closely. Danielle's phone logs and email records show Gerald initiated approximately 40% of the trades himself, and he approved every trade in writing or verbally before execution. Gerald occasionally pushed back on Danielle's suggestions to hold positions longer, telling her in one email, 'I'd rather take the quick profit and redeploy - sitting on positions makes me nervous.' Gerald also attended two in-person portfolio review meetings where the trading activity and commission totals were discussed; he signed acknowledgment forms at both meetings. Danielle did suggest on at least three documented occasions that Gerald consider a fee-based advisory account given his trading frequency, but Gerald declined each time, saying he preferred the flexibility of paying per trade. Gerald filed a complaint 14 months after the period in question, after his adult daughter reviewed his account statements and expressed concern about the commission totals.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Strauss violated her obligations: The quantitative metrics are concerning. A turnover ratio of 4.8 and a cost-to-equity ratio of 9.2% are above the thresholds that many regulators and arbitration panels consider presumptively excessive. FINRA Rule 2111 and Regulation Best Interest both require that recommendations be in the customer's best interest, and a pattern of trading that generates \$128,000 in commissions while the account loses \$41,000 raises serious red flags. Under FINRA's quantitative suitability obligation, an advisor who exercises de facto control over an account - even if the client technically approves each trade - can be found to have churned the account. Strauss, as the securities professional, had superior knowledge about cost structures and the cumulative drag of frequent trading. The fact that Gerald is a retiree on a fixed income with a moderate risk tolerance strengthens the argument that this level of trading was inconsistent with his stated objectives. The underperformance relative to the S&P 500 by roughly 47 percentage points (including the lost gains plus actual losses) is stark. Arguments that Strauss did not violate her obligations: Gerald was a sophisticated former executive who actively participated in trading decisions, initiated 40% of the trades himself, pushed back when Strauss recommended holding positions longer, and explicitly rejected her repeated suggestions to switch to a

fee-based account. These facts undercut the argument that Strauss exercised de facto control - a prerequisite for a churning finding in a non-discretionary account. Gerald's own stated preference for short-term trading and his discomfort with holding positions suggest the turnover rate, while high, was at least partially client-driven. The fact that Strauss documented her suggestions for a fee-based account demonstrates awareness of the issue and good-faith attempts to mitigate it. Gerald signed acknowledgment forms after reviewing trading activity and commission totals at two portfolio review meetings, suggesting informed consent. His complaint came only after a family member raised concerns, not from his own dissatisfaction during the trading period. Under the SEC's Regulation Best Interest framework, the key question is whether each recommendation at the time it was made served the customer's best interest - and where the customer is actively driving many decisions, the analysis becomes more nuanced.

### Why Borderline

This case sits at the intersection of high quantitative metrics that typically trigger churning findings and strong evidence of client-driven trading activity with informed consent. The turnover ratio and cost-to-equity ratio exceed common presumptive thresholds, but the client's active participation, trade initiation, rejection of alternatives, and documented acknowledgment of costs all significantly complicate a straightforward churning finding. Reasonable regulators could disagree about whether Strauss exercised sufficient de facto control to support a churning claim, or whether Gerald's sophistication and active involvement effectively shifted responsibility to him.

### Borderline Factors

- Turnover ratio of 4.8 and cost-to-equity ratio of 9.2% exceed common presumptive thresholds for excessive trading
- Client initiated approximately 40% of trades himself and contacted the advisor 3-4 times per week
- Client explicitly and repeatedly rejected advisor's documented suggestions to switch to a fee-based account
- Client signed acknowledgment forms at portfolio reviews where commission totals were discussed
- Account was non-discretionary with client approval for every trade
- Client's own stated preference was for short-term trading and discomfort holding positions
- Client is a retired executive - sophisticated but also on fixed income with moderate risk tolerance
- Complaint was initiated by family member, not by client's own contemporaneous dissatisfaction
- Net underperformance relative to benchmark was substantial at roughly 47 percentage points

### Likely Outcome

A regulator would likely investigate thoroughly and could go either way. The quantitative evidence creates a strong presumption of excessive trading, but the unusually robust evidence of client participation and informed consent would likely lead to either a reduced sanction, a negotiated settlement, or a dismissal depending on the forum. In a FINRA arbitration, the panel would probably find some liability but significantly reduce damages given the client's active role. A regulator might issue a cautionary action or a fine but would struggle to prove de facto control given the documentation of client-driven activity.

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## Borderline Scenario 210

Topic: *reverse\_churning* | Standard: *Regulation Best Interest (Reg BI) under the Securities Exchange Act, particularly the Care Obligation*

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**Fact Pattern**

Priya Nandakumar, age 44, is a physician earning approximately \$420,000 annually. In March 2021, she transferred a \$780,000 portfolio from a commission-based brokerage account to a fee-based advisory account managed by her new advisor, Tom Pellegrino, at Clearwater Wealth Partners. The advisory account charges an annual asset-based fee of 1.25%, amounting to approximately \$9,750 per year. Pellegrino conducted an initial financial planning session, developed an investment policy statement, and constructed a diversified portfolio of index funds and a small allocation to municipal bonds. Over the next 30 months through September 2023, Pellegrino made a total of 11 trades in the account - the initial portfolio construction (6 trades), two rebalancing events (4 trades), and one tax-loss harvesting trade. He met with Priya twice per year for portfolio reviews, provided quarterly written performance reports, and was available by phone and email for ad hoc questions, which Priya used approximately 8-10 times per year for questions about tax planning, her employer's deferred compensation plan, and whether to refinance her mortgage. During this 30-month period, Priya paid approximately \$24,375 in advisory fees. If the same portfolio had been held in a commission-based account with the same trades, the total commissions would have been approximately \$1,100. However, the portfolio gained approximately 14.2% net of fees during this period, modestly outperforming its blended benchmark by about 0.5%. Priya's previous commission-based account had charged her roughly \$6,800 annually due to her tendency to call her prior advisor frequently and make trades based on market anxiety - a pattern Pellegrino specifically addressed by designing a low-turnover strategy and coaching Priya on disciplined investing. Priya did not complain; rather, the issue was flagged during a routine internal compliance review at Clearwater that examined accounts with fewer than 6 trades per year to assess whether fee-based accounts were appropriate.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Pellegrino violated his obligations: The raw cost comparison is striking - Priya paid approximately \$24,375 in advisory fees over 30 months for an account that saw only 11 trades, when those same trades would have cost roughly \$1,100 in a commission-based structure. This 22:1 cost differential raises the question of whether the fee-based account served the client's best interest or primarily served the advisor's interest in receiving predictable, recurring revenue. Under applicable standards, an advisor recommending a fee-based account must have a reasonable basis to believe that the account type itself is appropriate given the anticipated level of trading activity and services. If the advisor knew from the outset that the strategy would involve minimal trading, placing the client in a fee-based account that charges over \$9,000 more annually than a commission-based alternative could be seen as a violation. Arguments that Pellegrino did not violate his obligations: The analysis of value provided goes well beyond trade execution. Pellegrino provided comprehensive financial planning, an investment policy statement, behavioral coaching that changed Priya's previously costly pattern of anxiety-driven trading, semi-annual reviews, quarterly reports, and ad hoc consultations on tax planning, deferred compensation, and mortgage decisions. The holistic advisory relationship delivered measurable value: the portfolio outperformed its benchmark, and Priya's previous commission-based costs of \$6,800/year (driven by her own behavioral tendencies) were not dramatically lower than the \$9,750 advisory fee when the full scope of services is considered. The behavioral coaching alone - preventing Priya from making reactive trades that had historically cost her more - represents significant economic value that is difficult to quantify in a simple cost comparison. Moreover, the 1.25% fee is within the normal range for advisory accounts of this size, the client consented to the fee

schedule, and Priya expressed no dissatisfaction. The strategy was well-constructed, diversified, and tax-efficient.

### Why Borderline

This scenario captures the genuine tension in reverse churning analysis: a pure cost-per-trade comparison makes the fee-based account appear unjustifiable, but the broader advisory value - financial planning, behavioral coaching, ongoing consultations on non-investment matters, and documented performance - suggests the client received meaningful services beyond trade execution. Reasonable practitioners disagree about how to weigh the cost differential against intangible advisory services, and regulators have not established bright-line rules for when low trading activity renders a fee-based account inappropriate.

### Borderline Factors

- Advisory fees over 30 months (\$24,375) were approximately 22 times what commission-based trading costs would have been (\$1,100)
- Only 11 trades executed in 30 months, well below typical thresholds for justifying fee-based pricing
- Advisor provided substantial non-trade services: financial planning, behavioral coaching, tax planning guidance, deferred compensation advice, mortgage consultation
- Client's prior commission-based costs were \$6,800/year due to anxiety-driven trading that the new advisor's approach eliminated
- Portfolio outperformed its blended benchmark by 0.5% net of fees
- Fee rate of 1.25% is within industry norms for accounts of this size
- Client did not complain and appeared satisfied with the relationship
- Issue was flagged by internal compliance, not by client or external regulator
- Behavioral coaching arguably saved the client significant money by preventing reactive trading

### Likely Outcome

A regulator would likely find this to be a close call but ultimately not pursue an enforcement action, provided Pellegrino can document the scope of advisory services provided beyond trade execution. The compliance review would likely result in internal documentation requirements - specifically, a written justification for the fee-based account that details the financial planning, behavioral coaching, and ongoing consultations. A regulator might use this as an examination finding requiring improved documentation practices rather than a violation. However, if the advisor could not substantiate the advisory services beyond trading, the cost differential alone could support a finding that the account type recommendation was not in the client's best interest.

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## Borderline Scenario 211

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: Under FINRA Rule 2111 (Suitability), the quantitative suitability component re*

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### Fact Pattern

Margaret Holloway, age 64, retired two years ago from a career as a school librarian. She has \$410,000 in a traditional IRA rollover from her employer's 403(b) plan, a \$185,000 taxable brokerage account, \$62,000 in savings, and will begin collecting Social Security at 67. Her annual expenses are approximately \$48,000, and she has no dependents. She described herself as a conservative investor who wanted steady income

and was worried about 'running out of money.' In March 2023, her advisor, Daniel Fisk, recommended she use \$280,000 from her traditional IRA to purchase a fixed indexed annuity with a guaranteed lifetime withdrawal benefit rider. The annuity had a 7-year surrender period with declining surrender charges starting at 7%, a 1.15% annual spread charge, and the rider cost an additional 0.95% annually. The guaranteed withdrawal rate was 5.2% starting at age 67. Daniel documented that Margaret was primarily concerned about longevity risk and wanted a guaranteed income floor beyond Social Security. He showed her projections comparing the annuity's guaranteed withdrawals to a systematic withdrawal from a bond portfolio, emphasizing the annuity's downside protection. Margaret signed all disclosures and acknowledged the surrender period. However, several factors complicate the picture: the annuity was purchased inside her existing IRA, which already provided tax deferral, so the annuity's tax-deferral feature added no incremental benefit. Margaret's existing IRA was invested in a low-cost balanced fund with a 0.22% expense ratio. Additionally, Margaret mentioned in a recorded call three weeks before the purchase that she was 'a little nervous about locking up that much money' but Daniel reassured her that the withdrawal benefit rider would provide liquidity through guaranteed annual withdrawals. A competing advisor later told Margaret she could have achieved similar income using a bond ladder and a smaller annuity allocation of \$100,000-\$150,000, preserving more liquidity. Daniel earned a 5.4% commission on the annuity sale, totaling \$15,120, compared to the approximately \$700 in annual advisory fees he would have earned managing the IRA assets.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Daniel violated his obligations center on several points. First, placing a tax-deferred annuity inside a tax-deferred IRA eliminated the primary tax benefit that typically justifies an annuity's higher costs, meaning the recommendation had to stand on its non-tax features alone. The total annual cost of roughly 2.1% (spread plus rider) compared to 0.22% for her existing fund represents a nearly tenfold increase in expenses. Second, the \$280,000 allocation represented 68% of her IRA and 43% of her total liquid assets, locked behind a 7-year surrender schedule, for a 64-year-old retiree with no other significant income source until Social Security begins. Third, Daniel's commission of \$15,120 dwarfed what he would have earned managing the account, creating a significant financial incentive that a regulator might view as a motivating factor. Fourth, Margaret herself expressed nervousness about locking up the money, and Daniel's response arguably minimized the liquidity constraint rather than fully exploring her concern. On the other hand, the recommendation has defensible features. The guaranteed lifetime withdrawal benefit directly addressed Margaret's stated primary concern - longevity risk. A fixed indexed annuity with a lifetime income rider is a recognized and commonly recommended product for conservative retirees seeking income certainty. The 5.2% guaranteed withdrawal rate starting at 67 would provide approximately \$14,560 annually in predictable income regardless of market conditions, supplementing her Social Security. Daniel documented the rationale and Margaret acknowledged the surrender terms. The annuity's downside protection feature (no loss of principal due to market declines) aligns with her conservative risk profile. While the tax-deferral redundancy is a valid criticism, industry guidance has acknowledged that annuities inside IRAs can still be appropriate when the insurance features - not tax deferral - are the primary reason for the recommendation. A bond ladder alternative, while potentially viable, does not provide the same longevity insurance guarantee. The question is whether the size of the allocation was excessive given her overall situation and whether a smaller annuity purchase could have met her needs with less liquidity sacrifice.



### Why Borderline

This case sits in a genuine gray area because the product itself is not inherently inappropriate for a conservative retiree worried about longevity risk - guaranteed income products are widely considered suitable for this demographic. The controversy centers on three intertwined issues: the redundancy of tax deferral inside an IRA (which removes one justification but not all), the size of the allocation relative to her total assets and liquidity needs, and the commission differential that could suggest self-interested motivation. Reasonable practitioners disagree about whether a 68% IRA allocation to an annuity crosses the line or falls within acceptable planning judgment. The client's own stated goals genuinely align with the product's features, but a smaller allocation might have achieved similar protection with better liquidity.

### Borderline Factors

- Tax-deferred annuity placed inside an already tax-deferred IRA, eliminating incremental tax benefit
- Total annual product costs of approximately 2.1% versus 0.22% for the existing investment
- Allocation of 68% of IRA assets and 43% of total liquid assets to a product with a 7-year surrender period
- Client's stated primary concern about longevity risk directly aligned with the product's guaranteed income feature
  - Client expressed nervousness about locking up funds but still signed all disclosures after advisor's explanation
  - Commission of \$15,120 versus approximately \$700 in annual advisory fees creates significant compensation conflict
  - A smaller annuity allocation (\$100K-\$150K) could arguably have met the same goals with better liquidity preservation
  - Industry recognition that annuities in IRAs can be justified by insurance features beyond tax deferral
  - Client is 64 with no dependents and moderate expenses - longevity risk is a legitimate concern

### Likely Outcome

A regulator would likely find a partial violation, focusing not on the product type itself but on the excessive allocation size. The recommendation of a fixed indexed annuity with a lifetime withdrawal benefit to a conservative 64-year-old concerned about longevity risk is defensible in principle. However, allocating \$280,000 - 68% of her IRA - when a smaller allocation of \$100,000-\$150,000 could have addressed her income needs while preserving significantly more liquidity, combined with the substantially higher commission earned, would likely be viewed as placing the advisor's interests above the client's. A regulator would probably require restitution of excess surrender charges if Margaret needed to liquidate, disgorgement of a portion of the commission, and potentially a fine. The advisor would likely receive a suspension of 30-60 days rather than a bar, given that the product category was defensible even if the sizing was not.

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## Borderline Scenario 212

Topic: *complex\_products\_unsophisticated\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires reasonable-basis suitability (u*

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### Fact Pattern

Roberto Medina, age 52, works as a warehouse supervisor earning \$74,000 annually. He has \$165,000 in a brokerage account, \$40,000 in a company 401(k), and about \$18,000 in checking and savings. He

completed high school but has no college education. He has been investing for about six years, mostly in a target-date fund in his 401(k) and a handful of blue-chip stocks in his brokerage account that a prior advisor selected. Roberto told his new advisor, Shannon Garrett, that he wanted to 'get better returns' because he felt behind on retirement savings and had read online that 'the market always goes up if you stay in long enough.' He said he was willing to take more risk to catch up. Shannon recommended that Roberto invest \$55,000 of his brokerage account - roughly one-third - into a structured product: a 3-year market-linked note tied to the S&P 500 with a 1.3x upside participation rate (capped at 39% total return over 3 years), full downside exposure below a 15% barrier, and no coupon payments. The note was issued by a major investment bank with an A credit rating. Shannon spent approximately 45 minutes explaining the product during an in-person meeting, using diagrams showing payoff scenarios at various S&P 500 levels. She explained that if the index fell more than 15%, Roberto would lose dollar-for-dollar beyond that point, and that the note could not be easily sold before maturity. Roberto asked several questions, including 'So the worst that happens is I lose 15%?' - to which Shannon corrected him, explaining that losses could be much greater, and drew an additional diagram showing a scenario where the index dropped 40% and Roberto would lose 25% of his investment. Roberto signed the product-specific risk disclosure, a general structured product disclosure document, and a letter acknowledging he understood the product's features. Shannon's notes from the meeting state: 'Client understands payoff structure, barrier risk, and illiquidity. Client wants enhanced upside participation to accelerate retirement savings.' Six months after the purchase, the S&P 500 declined 22%, and the note's indicative value dropped to approximately \$36,850 from the original \$55,000 investment. Roberto complained that he did not truly understand how much he could lose and that the product was too complicated for someone like him. He also noted that Shannon earned a 2.1% sales credit (\$1,155) on the note versus approximately 1% on a mutual fund alternative. Shannon maintained she spent significant time educating Roberto, corrected his misunderstanding in real time, and that the 1.3x participation rate directly addressed his goal of enhanced returns with a meaningful downside buffer. She also pointed out that \$55,000 represented only one-third of his brokerage account and that his remaining investments were conservative.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation focus on the mismatch between Roberto's sophistication level and the product's complexity. Roberto has a high school education, six years of basic investment experience limited to target-date funds and blue-chip stocks, and no prior exposure to structured products, derivatives, or barrier-based payoff structures. His misunderstanding during the meeting ('So the worst that happens is I lose 15%?') demonstrates that even after Shannon's initial explanation, he did not grasp the fundamental risk of the product. While Shannon corrected him, a regulator could argue that this moment should have been a red flag indicating the product was too complex for this client, rather than something to be corrected and moved past. Structured notes with barrier features involve embedded options, issuer credit risk, and illiquidity that are qualitatively different from anything Roberto had previously owned. His stated rationale - that 'the market always goes up if you stay in long enough' - suggests a simplistic understanding of market risk that is inconsistent with someone who genuinely comprehends a product with full downside exposure below a barrier. The compensation differential, while modest, also tilted in Shannon's favor. On the other hand, Shannon's defense has substantial merit. She dedicated meaningful time to education, used visual aids, caught and corrected Roberto's misunderstanding in real time (which actually demonstrates diligent

client communication rather than negligence), obtained proper acknowledgments, and documented the interaction. The product itself was not exotic by industry standards - it was a straightforward barrier note from a creditworthy issuer with a 3-year term. The allocation was conservative at one-third of the brokerage account, leaving two-thirds in simpler investments. Roberto explicitly stated he wanted higher returns and was willing to take more risk. The 1.3x participation rate with a 15% barrier provided a meaningful cushion and directly aligned with his desire for enhanced upside. The product would have been highly suitable if the S&P 500 had been flat or positive over three years. Roberto's complaint came only after losses materialized, raising the question of whether this is genuine misunderstanding or hindsight regret. Courts and regulators have generally held that an investor's signature on risk disclosures, combined with documented education efforts, can demonstrate adequate informed consent even for less sophisticated investors.

### Why Borderline

This case genuinely divides reasonable practitioners because it involves a tension between two legitimate principles: (1) complex products should generally be reserved for investors with the sophistication to understand them, and (2) less sophisticated investors are not categorically barred from complex products if the advisor provides adequate education and the product fits the client's goals and risk tolerance. Shannon did more than the minimum - she spent significant time, used diagrams, caught a misunderstanding, corrected it, and documented everything. Yet Roberto's question revealing fundamental confusion about the downside risk suggests that 45 minutes of education may not have been enough to bridge the knowledge gap. The product's payoff structure requires understanding concepts like barriers, participation rates, and caps that are not intuitive to someone whose experience is limited to buy-and-hold stock investing. The allocation size (one-third) is moderate enough to be defensible but large enough to cause meaningful harm.

### Borderline Factors

- Client has limited education (high school) and only basic investment experience with simple products
- Client's mid-meeting question revealed fundamental misunderstanding of the product's downside risk
- Advisor corrected the misunderstanding in real time, documented the correction, and obtained signed disclosures
- Advisor spent 45 minutes with visual aids - more than perfunctory but possibly insufficient for this client's level
- Structured barrier note is moderately complex but not the most exotic structured product available
- Allocation of one-third of brokerage account is significant but not an overwhelming concentration
- Client's stated goal of enhanced returns and willingness to accept more risk aligned with the product's features
- Client's belief that 'the market always goes up' suggests a simplistic understanding inconsistent with barrier product risk
- Complaint was filed only after losses materialized, raising the possibility of hindsight bias
- Modest compensation differential (2.1% vs. 1%) creates a conflict but is not dramatically outsized

### Likely Outcome

A regulator would likely view this as a close case and the outcome would depend heavily on the specific regulatory body and the quality of Shannon's documentation. A FINRA arbitration panel might split, but would likely find in favor of the advisor by a narrow margin, emphasizing the documented education effort, real-time correction of misunderstanding, signed disclosures, moderate allocation size, and alignment with

the client's stated goals. However, a more investor-protection-oriented panel or a state regulator might find a violation based on the fundamental sophistication mismatch and the mid-meeting confusion as evidence that informed consent was not truly achieved. If a violation were found, damages would likely be limited to the difference between the note's performance and a reasonable alternative investment, minus what would have been lost in a comparable equity allocation during the same period. Shannon would likely receive a cautionary letter or a small fine rather than a suspension, with guidance to exercise greater caution when recommending structured products to investors without prior derivative or structured product experience.

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### Borderline Scenario 213

*Topic: mutual\_fund\_switching\_churning | Standard: FINRA Rule 2111 (Suitability), specifically the reasonable-basis and customer-sp*

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#### Fact Pattern

Rebecca Thornton, age 58, had been a client of advisor Marcus Delgado at a regional broker-dealer since 2014. Over the years, Rebecca accumulated approximately \$420,000 across four mutual fund positions - two large-cap growth funds, one balanced fund, and one international equity fund - all held in Class A shares with front-end loads that had already been paid. Her investment objective on file was 'growth with moderate risk,' and her time horizon was listed as 7-10 years, consistent with her planned retirement at age 65-67. In March 2022, Marcus recommended Rebecca switch from her existing large-cap growth fund (Fund A, expense ratio 0.72%, 3-year annualized return of 14.2%) into a different large-cap growth fund (Fund B, expense ratio 0.68%, 3-year annualized return of 15.8%) offered by a different fund family. The switch triggered a new 5.25% front-end load on the \$185,000 position, costing Rebecca \$9,712.50 in new sales charges. Marcus earned a commission of approximately \$7,400 on the transaction. Seven months later, in October 2022, Marcus recommended she also switch her balanced fund (\$110,000) from the existing position (expense ratio 0.81%, 3-year return 8.1%) into a new balanced fund (expense ratio 0.74%, 3-year return 9.4%), again incurring a 4.75% front-end load costing \$5,225 and generating approximately \$4,180 in commissions for Marcus. Rebecca signed switch letters for both transactions acknowledging the new sales charges. Marcus documented in his notes that Fund B had a stronger management team following a recent portfolio manager change at Fund A's fund family, and that the new balanced fund offered better downside protection based on its Sharpe ratio over multiple periods. The prior Fund A had indeed experienced a portfolio manager departure in January 2022, and the new manager had less than two years of lead management experience. The Sharpe ratio difference between the old and new balanced funds was 0.12 over three years. Rebecca's account did not experience any other switches in the 18 months before or after these two transactions. Rebecca's total cost for both switches was \$14,937.50, and to break even on just the load differential, she would need the new funds to outperform the old ones by roughly 3.5% cumulatively over her holding period to recover the switching costs.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Marcus violated applicable standards: The two switches generated nearly \$15,000 in new front-end loads on positions where loads had already been paid, creating a significant cost hurdle that the new funds would need to overcome just to break even. The performance and expense ratio differences

between the old and new funds were relatively modest - 1.6% annualized return difference for the growth fund and 1.3% for the balanced fund - and past performance is not indicative of future results, meaning there was no guarantee the new funds would continue outperforming. The commission income of approximately \$11,580 across both trades raises questions about whether Marcus was motivated by compensation rather than client benefit. A portfolio manager change at the old fund family, while a legitimate concern, is a common occurrence and does not automatically justify incurring significant new transaction costs. The Sharpe ratio difference of 0.12 on the balanced fund switch is a marginal improvement that may not justify a 4.75% load. Under FINRA Rule 2111 and the suitability framework, mutual fund switching has long been an area of heightened scrutiny, and FINRA's mutual fund switch analysis specifically requires advisors to demonstrate that the benefits of the new fund materially outweigh the costs of the switch. Under Regulation Best Interest, the care obligation requires the advisor to consider reasonably available alternatives, and keeping the existing funds - which were performing adequately - was a zero-cost alternative. Arguments that Marcus acted appropriately: The switches were not frequent or systematic - only two transactions over a seven-month period with no pattern of churning. Marcus documented legitimate qualitative reasons for each switch, including a material change in portfolio management at the old growth fund and superior risk-adjusted returns at the new balanced fund. The new funds had lower expense ratios in both cases, meaning over a long enough holding period (Rebecca had 7-10 years), the ongoing expense savings could partially offset the front-end load costs. Specifically, the 0.04% annual expense savings on \$185,000 saves roughly \$74/year, and the 0.07% savings on \$110,000 saves roughly \$77/year, totaling about \$151 annually. The new growth fund's stronger 3-year track record combined with the destabilizing manager departure at the old fund provided a reasonable basis for concern. Rebecca signed switch disclosure letters, indicating she was informed of the costs. Marcus's overall account management showed restraint - no other switches in an 18-month window before or after.

### Why Borderline

This case sits in a genuine gray zone because the advisor had documented, facially legitimate reasons for each switch - a portfolio manager departure and superior risk-adjusted performance metrics - yet the magnitude of the switching costs (\$14,937.50) relative to the incremental expected benefit is questionable. The fact that there were only two switches undermines a churning theory, but mutual fund switch cases do not require the same volume as traditional churning cases. Reasonable practitioners could disagree about whether a 1.3-1.6% historical return advantage and slightly lower expense ratios justify incurring new front-end loads of 4.75-5.25%, especially when past performance provides no guarantee of future results.

### Borderline Factors

- Only two switches over seven months - low frequency undermines churning narrative but mutual fund switch standards are different from traditional churning
- Documented qualitative rationale (manager departure, Sharpe ratio) that is facially reasonable but arguably insufficient to overcome the cost hurdle
- New funds had modestly lower expense ratios, providing some long-term cost benefit that partially offsets the front-end loads
- Break-even analysis requires approximately 3.5% cumulative outperformance, which is uncertain but not impossible over a 7-10 year horizon
- Client signed switch letters acknowledging costs, but informed consent does not eliminate the advisor's independent obligation
- Commission income of \$11,580 creates a conflict of interest but does not by itself prove the

recommendation was improper

- Portfolio manager change at old fund is a legitimate investment concern that many advisors would flag

### Likely Outcome

A regulator would likely find a violation, but it would be a close case. FINRA has historically taken a skeptical view of mutual fund switches that generate significant new sales charges, particularly when the old funds were performing adequately. The approximately \$15,000 in new loads relative to the modest performance and expense ratio differentials would likely be deemed insufficient to justify the switches. However, the documented rationale and low frequency of switching could result in a lesser sanction - perhaps a Letter of Acceptance, Waiver and Consent with a modest fine and disgorgement of the excess commissions rather than a suspension. If Marcus could demonstrate that the new funds actually did outperform over the subsequent period, that would weaken the enforcement case but not eliminate it, since suitability is judged at the time of the recommendation.

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## Borderline Scenario 214

*Topic: high\_fees\_unsuitable | Standard: Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, specifically the*

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### Fact Pattern

Gerald and Diane Kowalski, both age 66 and recently retired, met with advisor Priya Nair in January 2023 to discuss managing their combined retirement savings of \$1.15 million, which consisted of \$680,000 in traditional IRAs, \$290,000 in a joint taxable brokerage account, and \$180,000 in bank CDs maturing within six months. Gerald had a pension providing \$3,800/month and they received combined Social Security of \$4,200/month, giving them \$8,000/month in guaranteed income against monthly expenses they estimated at \$6,500. Their stated objectives were capital preservation with modest growth to keep pace with inflation, and they indicated they might need to draw \$20,000-\$30,000 annually from the portfolio for travel and home maintenance. They described themselves as 'conservative' investors who 'lost sleep' during the 2008 financial crisis. Priya recommended placing the full \$1.15 million into a fee-based advisory account charging 1.35% annually (\$15,525/year), allocated as follows: 30% in a proprietary multi-asset income fund offered by her firm's affiliated asset manager (expense ratio 0.95%), 25% in an actively managed intermediate-term bond fund (expense ratio 0.62%), 20% in a dividend-focused equity fund (expense ratio 0.78%), 15% in a real estate investment trust fund (expense ratio 0.88%), and 10% in a managed futures/alternatives fund (expense ratio 1.42%). The all-in cost to the Kowalskis - advisory fee plus weighted average fund expenses - came to approximately 2.23% annually, or roughly \$25,645 per year on the full portfolio. Priya's firm did not offer a lower-cost passive or index-based option within its advisory platform, though clients could choose a brokerage-only account and purchase ETFs or index funds independently with no advisory fee. Priya explained to the Kowalskis that the actively managed approach would provide better downside protection and income generation than a passive strategy, and she produced a backtest showing that her recommended allocation would have experienced a maximum drawdown of 18% during 2008-2009 versus 37% for a standard 60/40 index portfolio. She also noted that the 30% proprietary fund allocation qualified the Kowalskis for a fee reduction on that portion, effectively lowering the advisory fee on that sleeve to 1.10%. The proprietary fund had a 4-star Morningstar rating and had outperformed its category average by 0.4% annually over five years after fees. The managed futures allocation, while carrying the highest expense ratio, had a -0.15 correlation to equities, providing genuine



diversification benefit. However, a portfolio of comparable low-cost ETFs and index funds could have been constructed with an all-in cost of approximately 0.25-0.40%, saving the Kowalskis between \$21,000 and \$22,800 annually. Over a 20-year retirement horizon, this fee differential could compound to \$400,000-\$500,000 in lost wealth, depending on market returns.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Priya violated applicable standards: The total annual cost of 2.23% (\$25,645) on a \$1.15 million conservative portfolio is substantial, particularly for retirees whose primary objective is capital preservation with inflation protection. At a conservative 5-6% expected nominal return for this allocation, fees consume 37-45% of expected gross returns, dramatically reducing the portfolio's ability to meet its stated purpose. The Kowalskis' straightforward needs - modest growth, income supplementation, downside protection - could arguably be met with a low-cost portfolio of index funds or ETFs at a fraction of the cost. The fee differential of \$21,000-\$22,800 annually is staggering over a multi-decade retirement. The 30% allocation to the firm's proprietary fund raises conflict-of-interest concerns, as the firm collects both the advisory fee and the fund-level management fee. The managed futures allocation at 1.42% expense ratio for a 10% position (\$11,500) costs approximately \$1,633 annually for a small diversification benefit that could potentially be achieved through lower-cost alternatives. Under the care obligation of Reg BI, advisors must consider costs as a factor and evaluate reasonably available alternatives, and a low-cost passive alternative was technically available through the brokerage-only channel. Arguments that Priya acted appropriately: The Kowalskis specifically expressed anxiety about market downturns and wanted downside protection, which is more difficult to achieve through passive indexing alone. The recommended allocation was genuinely conservative and designed to address their stated objectives. The backtest showing significantly lower drawdowns during 2008-2009 (18% vs. 37%) is directly responsive to their expressed concern about losing sleep during market turmoil, and a purely passive approach would not have provided active downside management. The proprietary fund had a strong track record and above-average Morningstar rating, suggesting it delivered value despite higher fees. The managed futures allocation provided legitimate negative correlation to equities, which is a sophisticated diversification tool that passive ETFs alone cannot easily replicate. The 1.35% advisory fee, while not cheap, includes ongoing portfolio management, rebalancing, tax-loss harvesting in the taxable account, and personal financial planning - services that have real value for retirees who do not want to manage their own investments. The Kowalskis were not forced into the advisory account - a brokerage-only option existed - and they chose the managed approach. Additionally, simply comparing to a hypothetical low-cost portfolio ignores that the Kowalskis may not have had the knowledge, temperament, or inclination to construct and maintain a self-directed portfolio, and might have panic-sold during a downturn without an advisor's guidance.

### Why Borderline

This scenario is genuinely ambiguous because the high fees are undeniable but the services and investment approach are arguably tailored to the clients' specific psychological needs and risk profile. The advisor's recommended portfolio was not unsuitable in terms of asset allocation or risk level - it was conservative and designed for retirees who feared market downturns. The gray area is whether the cost of achieving that objective through actively managed funds and advisory fees was reasonable compared to lower-cost alternatives that might have achieved similar results. Reasonable practitioners disagree about

whether the value of active management, behavioral coaching, and downside protection strategies justifies a 2%+ annual cost drag, particularly for clients who may genuinely benefit from having a professional advisor prevent them from making costly emotional decisions.

### Borderline Factors

- All-in cost of 2.23% is high but not egregiously outside industry norms for full-service advisory accounts with active management
- Clients' specific behavioral concerns (lost sleep in 2008) arguably justify a higher-cost approach focused on downside protection that passive strategies may not provide
- Proprietary fund allocation creates conflicts of interest but the fund had a legitimate track record and above-average rating
- A low-cost alternative existed (brokerage-only account) but would have required the clients to manage investments themselves, which may be unrealistic for their profile
- Fee differential compounds dramatically over retirement (\$400,000-\$500,000) but this comparison assumes the clients would have stayed invested through downturns without an advisor
- Managed futures allocation provides genuine non-correlated diversification that is difficult to replicate cheaply, but 10% allocation may not justify the cost
- The advisory fee includes bundled services (rebalancing, tax management, planning) that have independent value but are difficult to quantify precisely
- Clients' guaranteed income of \$8,000/month exceeds expenses of \$6,500/month, reducing urgency of portfolio cost optimization but not eliminating it

### Likely Outcome

A regulator would likely view this as a close case that turns on the specific facts of the advisory relationship and documentation. Under Reg BI, the advisor's obligation includes considering costs and reasonably available alternatives, and the failure to offer or meaningfully discuss a lower-cost alternative within the same firm is problematic. However, if Priya documented the clients' strong preference for downside protection, their behavioral tendencies, and the specific value proposition of the active management approach, the case becomes harder to prosecute. A regulator might issue a deficiency finding or cautionary letter regarding the conflict of interest from the proprietary fund and the lack of documented consideration of lower-cost alternatives, but would likely stop short of finding a clear violation if the asset allocation itself was suitable and the clients were informed of the fee structure. If examined in the context of a broader sweep of the firm's practices and it appeared that all clients were being placed in the same high-cost model regardless of individual needs, the outcome would tilt toward a violation.

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## Borderline Scenario 215

Topic: *high\_fees\_unsuitable* | Standard: Under Regulation Best Interest (Reg BI), the Care Obligation requires broker-dealers to ex

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### Fact Pattern

Margaret Voss, age 62, a recently retired school principal with a pension of \$4,800/month and a \$720,000 rollover IRA, met with financial advisor Derek Tan in March 2022. Margaret told Derek she wanted steady income supplementation, moderate growth to keep pace with inflation, and preservation of capital for her eventual long-term care needs. She described herself as a 'moderate' investor on the risk questionnaire

and indicated a 15-20 year time horizon. Derek recommended allocating the entire \$720,000 IRA into a portfolio of actively managed mutual funds across six asset classes: large-cap growth, large-cap value, international developed, emerging markets, investment-grade bonds, and high-yield bonds. The weighted average expense ratio of the portfolio was 1.18%, resulting in approximately \$8,496 in annual fund-level expenses. Derek's firm also charged a 1.25% annual advisory fee, bringing the total all-in cost to approximately 2.43% per year, or roughly \$17,500 annually. Lower-cost index fund alternatives in the same asset classes were available through Derek's firm with a weighted average expense ratio of approximately 0.09%, which would have reduced total all-in costs to approximately 1.34% per year, saving Margaret roughly \$7,850 annually. Derek documented that he selected the active funds based on their historical outperformance over 10-year trailing periods, the fact that four of the six funds had Morningstar 4- or 5-star ratings, and his belief that active management would provide better downside protection during market corrections - something he felt was important given Margaret's capital preservation goals. Over the next 18 months, the portfolio returned 6.2% net of all fees, while a comparable index-based portfolio would have returned approximately 7.1% net of fees over the same period. Margaret filed a complaint alleging that Derek put her in unnecessarily expensive funds to generate higher revenue for his firm, noting that the active funds did not outperform their benchmarks on a net-of-fee basis during the period she held them.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The 1.18% weighted average expense ratio was meaningfully higher than the 0.09% available through index alternatives on Derek's own platform, creating a cost drag of approximately \$7,850 per year on a \$720,000 account. For a 62-year-old retiree drawing on this account for income supplementation and long-term care planning, every dollar lost to fees has compounding consequences. Over a 15-year horizon, the fee differential could amount to \$130,000 or more in lost wealth, depending on returns. The active funds did not outperform on a net-of-fee basis during the 18-month period, undermining Derek's stated rationale. A reasonable advisor prioritizing Margaret's interests would have strongly considered the lower-cost alternatives, especially given the well-documented difficulty of active managers consistently beating their benchmarks over long periods. The fact that the higher-fee funds generated more revenue for Derek's firm raises a conflict of interest that, at minimum, should have been weighed against the client's cost sensitivity as a retiree on a fixed income.

Arguments against a violation: A 1.18% expense ratio, while higher than index alternatives, is within the mainstream range for actively managed mutual funds and is not per se unreasonable. Derek documented a legitimate investment thesis: the funds had strong 10-year track records and high Morningstar ratings, and he believed active management would provide better downside protection - a genuine concern for a retiree with capital preservation goals. An 18-month performance comparison is too short to evaluate whether active management adds value; the funds' 10-year records supported the selection. The total all-in cost of 2.43% is on the higher side but not extraordinary for a full-service advisory relationship with active fund selection. Margaret's risk questionnaire and stated goals - moderate risk with inflation protection and downside mitigation - are arguably better served by active strategies than by passive index tracking, which offers no downside management. Derek's asset allocation across six distinct classes was appropriate and diversified. The portfolio did generate a positive 6.2% net return, and the 0.9% shortfall versus an index alternative over 18 months is within normal active-management variance.

### Why Borderline

This case sits in a genuine gray area because the fee differential is meaningful but not extreme, and the advisor had a documented, non-frivolous rationale for selecting active funds. The expense ratio was within industry norms for active management, and the performance shortfall occurred over a relatively short period. Reasonable practitioners could disagree about whether a 1.09% expense ratio premium over index funds is justified by the potential for downside protection and active management alpha, especially for a retiree with capital preservation needs. The case is further complicated by the fact that past performance data (10-year track records, Morningstar ratings) supported the selection at the time it was made, even though the funds underperformed during the complaint period.

### Borderline Factors

- The 1.18% average expense ratio is within the normal range for active funds but significantly higher than available index alternatives on the same platform
- Derek documented a plausible investment rationale tied to the client's stated capital preservation goals
- The 18-month performance comparison is arguably too short to evaluate the active management thesis
- The total all-in cost of 2.43% is high for a retiree's IRA but not unprecedented in full-service advisory
- Four of six funds had Morningstar 4- or 5-star ratings and strong 10-year track records at the time of selection
- Margaret's pension provides a stable income floor, reducing but not eliminating the urgency of cost minimization
- The fee differential compounds significantly over a 15-20 year horizon for a retiree

### Likely Outcome

A regulator would likely scrutinize this case closely but might not find a clear-cut violation. The most probable outcome is a deficiency letter or cautionary action rather than a full enforcement proceeding. Regulators would likely note that while the advisor had a documented rationale, the failure to adequately consider and document why lower-cost alternatives were rejected - particularly for a cost-sensitive retiree - represents a deficiency in the advisor's process. If the firm had no documented comparison of active versus passive alternatives or cost-benefit analysis, the case becomes stronger for the complainant. If such documentation exists, the advisor's position is more defensible.

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## Borderline Scenario 216

*Topic: reverse\_churning | Standard: Under Regulation Best Interest (Reg BI), the Care Obligation requires that a broker-dealer evaluate*

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### Fact Pattern

Paul Reinhardt, age 55, a small business owner with a net worth of approximately \$3.2 million and investment assets of \$1.4 million, transferred his brokerage account to advisor Camille Ortega in January 2021. Camille recommended that Paul move from a commission-based brokerage account to a fee-based advisory account charging 1.10% annually on assets under management. Paul's previous brokerage account had generated an average of \$4,200 per year in commissions over the prior three years, reflecting a relatively buy-and-hold strategy in a mix of blue-chip stocks and broad market ETFs. Under the new fee-based arrangement, Paul would pay approximately \$15,400 per year on his \$1.4 million portfolio. Camille explained that the fee-based account would give Paul access to ongoing portfolio monitoring,

quarterly rebalancing, annual financial planning reviews, and tax-loss harvesting services. She also noted that the fee-based structure would eliminate potential conflicts around commission-driven trading. Over the next two and a half years, Camille conducted quarterly rebalancing as promised, held four annual planning meetings (two of which included detailed retirement projections and one that included estate planning coordination with Paul's attorney), executed tax-loss harvesting that generated approximately \$18,000 in harvested losses over the period, and made two tactical allocation shifts - one in response to rising interest rates and another to reduce technology sector concentration. The total trades in the account over the 30-month period numbered 47, most of which were small rebalancing transactions. Paul's total fees over 30 months were approximately \$40,250. Had he remained in the commission-based account with similar trading activity, his estimated commissions would have been approximately \$12,500 over the same period. Paul filed a complaint alleging that Camille moved him into the more expensive fee-based account primarily to increase her compensation, and that the advisory services provided did not justify the \$27,750 fee premium he paid over what a commission arrangement would have cost.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The fee differential is substantial - Paul paid roughly 3.2 times more in the advisory account than he would have in a commission-based account over the same period. His investment style was predominantly buy-and-hold, and his prior trading history demonstrated low activity, making a commission-based arrangement the more cost-effective option. The 47 trades over 30 months were largely routine rebalancing that many commission-based accounts could accomplish at lower total cost. An advisor recommending a fee-based account should reasonably anticipate whether the services provided will justify the higher ongoing cost, particularly for a client with a low-activity investment profile. The annual fee of \$15,400 is a significant recurring expense that compounds over time; over a 10-year period, the cumulative fee premium could exceed \$90,000 compared to a commission arrangement. This resembles the classic 'reverse churning' concern: placing a buy-and-hold client in a fee-based account where the advisor collects ongoing fees without providing commensurate active management or advisory value.

Arguments against a violation: Camille provided genuine, documented advisory services beyond trade execution: quarterly rebalancing, four substantive planning meetings including retirement projections and estate coordination, tax-loss harvesting that generated \$18,000 in harvested losses (which, depending on Paul's tax bracket, could have saved him \$4,000-\$7,000 in taxes), and two tactical allocation shifts. The value of ongoing financial planning, particularly for a 55-year-old business owner approaching retirement with complex financial needs, is difficult to quantify purely in terms of trade commissions. The tax-loss harvesting alone partially offset the fee premium. The 1.10% advisory fee is below the industry average of approximately 1.0-1.25% for accounts of this size and is competitive. Paul's situation - a business owner with \$3.2 million in net worth, nearing retirement - arguably benefits more from comprehensive advisory services than from a transactional brokerage relationship. The elimination of commission conflicts and alignment of Camille's incentives with Paul's portfolio growth is a legitimate structural benefit. Furthermore, the two tactical shifts during a volatile interest-rate environment may have added value that is difficult to measure in a short-term comparison.

### Why Borderline

This case is genuinely ambiguous because the cost comparison clearly favors the commission-based account, but the advisory services Camille provided were real, documented, and arguably valuable - particularly the tax-loss harvesting and financial planning components. The central question is whether those services justified a \$27,750 premium over 30 months for a client whose core investment approach was buy-and-hold. Reasonable people can disagree about how to value comprehensive financial planning, tax optimization, and ongoing monitoring relative to their cost. The case also raises the difficult question of whether 'reverse churning' requires a near-total absence of advisory activity, or whether it can exist even when some services are provided but are insufficient to justify the fee differential.

### Borderline Factors

- Paul's prior low trading activity (\$4,200/year in commissions) strongly suggests a commission-based account would have been cheaper
- Camille provided documented, substantive advisory services including tax-loss harvesting, financial planning, and tactical allocation shifts
- The \$18,000 in harvested tax losses provided tangible financial value that partially offsets the fee premium
- The 1.10% advisory fee is within industry norms and not unusually high for the account size
- Paul's profile as a 55-year-old business owner approaching retirement suggests complex planning needs beyond simple trade execution
- The fee premium of approximately \$27,750 over 30 months is significant but must be weighed against the full suite of services provided
- 47 trades over 30 months were mostly small rebalancing transactions that do not suggest active management justifying the fee level
- The comparison period of 30 months may be too short to fully evaluate the value of a comprehensive advisory relationship

### Likely Outcome

A regulator would likely find this to be a close case but would probably not pursue a formal enforcement action, provided Camille adequately disclosed the fee structure and documented the services she would provide at the time of the account conversion. Regulators would focus heavily on whether Camille conducted a reasonable analysis of account-type suitability at the time she recommended the conversion and whether she disclosed the expected cost difference. If she performed and documented a cost-benefit analysis showing the anticipated advisory services and their value relative to the fee, the recommendation would likely be deemed reasonable. If no such analysis was performed, regulators might issue a deficiency finding or require remedial action, particularly given the clear cost disparity for a historically low-activity client.

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## Borderline Scenario 217

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific*

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### Fact Pattern

Margaret Holloway, age 62, retired schoolteacher, met with her financial advisor David Crane in March



2022. Her investment questionnaire, completed at account opening in 2019, indicated a 'conservative' risk tolerance with a primary objective of 'income and capital preservation.' Her portfolio at the time was approximately \$410,000, consisting mostly of Treasury bonds, CDs, and a diversified bond fund. Her pension provided \$3,200/month, and she had Social Security of \$1,900/month starting the following year. She had no debt, owned her home outright, and had a separate emergency fund of \$35,000 in a savings account. During the March meeting, Margaret expressed frustration that her portfolio was generating only about 2.8% annually and said she was 'falling behind inflation' and wanted to 'do something about it.' Crane documented this conversation in his notes. He recommended she allocate \$61,500 - approximately 15% of her portfolio - into a diversified emerging markets equity fund with a five-year annualized return of 11.2% but a standard deviation of 19.4%, and \$41,000 - approximately 10% - into a high-yield corporate bond fund rated BB on average. The remaining 75% stayed in her existing conservative holdings. Margaret signed the recommendation acknowledgment form. Over the next 14 months, the emerging markets fund declined 22%, losing approximately \$13,500, while the high-yield bond fund lost about 6%, or roughly \$2,460. Margaret filed a complaint alleging the investments were too speculative for her profile. Crane's notes from the March meeting state: 'Client expressed strong desire to increase yield. Discussed inflation risk to purchasing power. Client understood equities carry more risk. Recommended modest tilt - majority of portfolio remains conservative. Client agreed.' Margaret disputes the characterization, saying she wanted 'a little more income, not to gamble with my retirement savings.' Two other advisors at the same firm reviewed the recommendation at the time and found it reasonable given the inflationary environment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that a violation occurred: Margaret's documented risk tolerance was 'conservative' with an objective of 'income and capital preservation.' An emerging markets equity fund with a standard deviation of 19.4% is objectively a speculative investment. Her investment questionnaire was never formally updated to reflect any change in risk tolerance, meaning the official profile on file still read 'conservative.' A 15% allocation to an aggressive equity category for a 62-year-old retired client on a fixed income is arguably inconsistent with that documented profile. The losses of nearly \$16,000 represent approximately 3.9% of her total portfolio, which, while not catastrophic, is meaningful for a retiree.

Arguments that no violation occurred: The advisor responded to the client's own expressed concern about inflation eroding her purchasing power - a legitimate financial planning concern, especially in 2022 when inflation was running above 8%. The 25% reallocation to higher-risk/higher-yield assets while keeping 75% in conservative holdings represents a measured response, not a wholesale shift in strategy. The high-yield bond fund, while below investment grade, is a fixed-income product that generates income consistent with the client's stated desire. Even the emerging markets allocation at 15% falls within ranges that many target-date funds designed for near-retirees include for growth. The advisor documented the conversation, the client signed the acknowledgment, and two colleagues independently reviewed and approved the recommendation. Under a reasonable-basis and customer-specific analysis, an advisor could justifiably conclude that some inflation protection was needed and that a modest tilt was appropriate.

### Why Borderline

This case sits in the gray area because the client's documented risk profile clearly says 'conservative,' but

the client herself initiated a request for higher returns and acknowledged the inflation problem. The 25% shift is not extreme, but the specific vehicles chosen - particularly emerging markets equities - are hard to characterize as conservative or even moderate. Reasonable practitioners would disagree about whether the advisor should have updated the risk questionnaire first, whether the specific fund selections were appropriate even if some reallocation was warranted, and whether the client's verbal request to 'do something about inflation' constitutes sufficient basis to deviate from a written conservative profile.

### Borderline Factors

- Client's written risk profile said 'conservative' but client verbally requested higher returns
- Risk questionnaire was never formally updated despite changed investment direction
- 75% of portfolio remained in conservative holdings - the shift was partial, not total
- Emerging markets equity has speculative characteristics but was limited to 15% of portfolio
- Advisor documented the conversation and obtained client acknowledgment
- Two peer advisors independently reviewed and approved the recommendation
- Client's guaranteed income from pension and Social Security covered basic expenses, arguably allowing some portfolio risk
- Inflation environment in 2022 created a genuine financial planning rationale for the recommendation
- Losses were real but modest relative to total portfolio value

### Likely Outcome

A regulator would likely issue a cautionary letter or require enhanced supervision rather than impose a full sanction. The failure to formally update the risk questionnaire is a procedural weakness, and the choice of an emerging markets fund for a conservative 62-year-old retiree raises legitimate concerns. However, the documentation of the client's request, the peer review, the modest allocation percentage, and the sound financial rationale (inflation protection) would likely prevent a finding of a clear violation. A panel might require Crane to update client profiles contemporaneously when investment direction changes and might recommend partial restitution on the emerging markets fund losses, but a full suitability violation finding is unlikely given the totality of circumstances.

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## Borderline Scenario 218

Topic: *excessive\_load\_funds* | Standard: *FINRA Rule 2111 (Suitability) and its cost-related factors require advisors to consider costs*

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### Fact Pattern

Robert and Diane Kashani, both age 48, had a combined household income of \$195,000 and accumulated savings of approximately \$520,000 across taxable brokerage accounts and IRAs. In January 2023, they engaged advisor Patricia Sung to help consolidate their holdings and develop a long-term retirement plan. They told Sung they planned to retire around age 65 and wanted 'solid, diversified growth' with a moderate risk tolerance. Over three months, Sung recommended reallocating their portfolio into six mutual funds, all from the same fund family. Each fund carried a front-end sales charge of 5.25%. The total invested across all six funds was \$480,000, generating approximately \$25,200 in upfront sales charges. The Kashanis were at the \$500,000 breakpoint threshold for the fund family, which would have reduced the sales charge to 4.00% - saving approximately \$6,000 - had the full \$520,000 been invested. Sung invested the remaining \$40,000 in a money market fund at the couple's request as a short-term reserve. The six funds themselves

were well-regarded: a large-cap value fund (Morningstar 4-star, 0.72% expense ratio), an S&P 500 index fund (4-star, 0.45%), an international developed markets fund (3-star, 0.89%), a mid-cap growth fund (4-star, 0.81%), a balanced fund (4-star, 0.68%), and a bond index fund (3-star, 0.41%). Average expense ratios across the portfolio weighted out to approximately 0.69%. Comparable no-load or low-load share classes existed for similar strategies at other fund families with expense ratios averaging 0.55%, though not from the same fund family and not available on Sung's firm's platform without a separate advisory fee arrangement that would have charged 1.0% annually. Sung's compensation was entirely commission-based through the front-end loads; she received no ongoing advisory fee. Sung did not discuss lower-cost share classes, exchange-traded fund alternatives, or the breakpoint opportunity with the Kashanis. When the Kashanis later learned about breakpoints and no-load alternatives from a friend, they filed a complaint. Sung's firm confirmed that the same fund family's Class A shares at the lower breakpoint were available and that two of the six funds also had institutional share classes with no loads, available to accounts above \$100,000. However, the firm noted that its platform did not offer many competing no-load fund families without enrolling in the advisory fee program.

### **Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

### **Analysis**

Arguments that a violation occurred: The most clear-cut issue is the breakpoint failure. With \$480,000 invested in one fund family, the Kashanis were only \$20,000 short of the \$500,000 breakpoint. The \$40,000 held in money market could have been partially redirected - or a letter of intent could have been signed - to capture the reduced load. Failing to disclose or apply available breakpoints is a well-established violation. Beyond breakpoints, \$25,200 in upfront charges on a \$480,000 investment is substantial - representing approximately 5.25% that must be overcome before any positive return accrues. The advisor did not discuss lower-cost alternatives such as ETFs or no-load funds, which were available through a different arrangement at the firm. Additionally, institutional share classes were available for two of the six funds and were not offered. The advisor's commission-based compensation created an incentive to recommend load funds over lower-cost alternatives.

Arguments that no violation occurred: The underlying fund selections were strong - diversified, well-rated, and had reasonable expense ratios for actively managed mutual funds. The 0.69% average expense ratio is within industry norms. Front-end load funds are not inherently unsuitable; they may actually be cheaper over long holding periods compared to ongoing advisory fees. Had the Kashanis enrolled in the 1.0% annual advisory fee program to access no-load funds, they would have paid approximately \$4,800-\$5,200 per year in perpetuity - over a 17-year holding period to retirement, that totals over \$81,000 in fees versus the one-time \$25,200 load. The advisor's platform constraints limited access to no-load alternatives without the advisory fee wrapper. The asset allocation was appropriate for moderate-risk investors with a 17-year time horizon. Sung may have genuinely believed the load fund arrangement was the most cost-effective path for long-term buy-and-hold investors on her platform.

### **Why Borderline**

The breakpoint failure is the strongest element of a potential violation, but standing alone it may be treated as a correctable error rather than a suitability violation. The broader question of whether load funds were inappropriate is genuinely ambiguous: the one-time load is expensive upfront but potentially cheaper than

the available alternative (ongoing advisory fees) over the Kashanis' 17-year time horizon. The funds themselves were quality selections with a suitable asset allocation. The case turns on whether the advisor had an obligation to present the full cost comparison including the advisory fee alternative, whether the platform constraints excuse the failure to recommend lower-cost options, and whether the commission incentive taints what might otherwise be a defensible long-term cost analysis.

### Borderline Factors

- Breakpoint discount was available but not applied - the clearest potential violation
- Letter of intent option could have captured the lower load but was never discussed
- Institutional share classes existed for two funds but were not utilized
- Front-end loads totaling \$25,200 are substantial but may be cheaper than the 1.0% annual advisory fee alternative over 17 years
- The underlying fund selections were high-quality with appropriate diversification and risk level
- Advisor's commission-based compensation creates a conflict but does not automatically make the recommendation unsuitable
- Platform limitations restricted access to no-load alternatives without an advisory fee wrapper
- Advisor failed to discuss any cost alternatives or present a fee comparison
- Weighted average expense ratio of 0.69% is reasonable for actively managed funds though higher than passive alternatives

### Likely Outcome

A regulator would most likely find a violation with respect to the breakpoint failure, as this is a well-recognized area of enforcement focus and the facts are relatively clear - the Kashanis could have easily qualified for the \$500,000 breakpoint. The firm would likely be required to provide restitution of approximately \$6,000 in excess sales charges. On the broader question of whether load funds were unsuitable, the outcome is less certain. A regulator might note the failure to discuss cost alternatives as a disclosure deficiency but would likely stop short of finding the overall recommendation unsuitable given the quality of the funds, the appropriate asset allocation, and the plausible long-term cost argument versus the advisory fee alternative. The advisor would likely receive a fine and enhanced supervision requirements, with possible additional restitution for the two funds where institutional share classes were available but not used.

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## Borderline Scenario 219

*Topic: reverse\_churning | Standard: FINRA Rule 2111 (Suitability) requires that recommendations, including account-type recommen*

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### Fact Pattern

Margaret Dalton, age 61, retired schoolteacher with a \$780,000 portfolio, was moved from a commission-based brokerage account to a fee-based advisory account by her advisor, Kevin Pratt, in March 2021. The advisory account charged a 1.15% annual asset-based fee, which amounted to approximately \$8,970 per year. Prior to the transition, Margaret's commission-based account had generated roughly \$2,800 in total commissions over the preceding 12 months across six trades - three purchases of blue-chip dividend stocks and three reinvestments of bond fund distributions. Kevin explained to Margaret during the transition meeting that the fee-based account would give her access to quarterly

portfolio reviews, a financial planning tool, and the ability to call him anytime with questions. He prepared a brief comparison showing that commission costs could rise if she decided to become more active in retirement, and noted that the fee-based account would provide 'peace of mind' with no surprise transaction charges. Margaret signed the advisory agreement and the account was transitioned. Over the next 30 months (through September 2023), Kevin executed a total of nine trades in the account - four rebalancing transactions, three dividend reinvestments, and two substitutions of bond funds for similar bond funds with slightly lower expense ratios. He conducted five quarterly reviews with Margaret (missing three scheduled reviews during 2022 due to staffing shortages at his office). Margaret's portfolio returned approximately 7.2% annualized during this period, roughly in line with a blended benchmark of 60% equities and 40% bonds. The total advisory fees collected over the 30 months were approximately \$22,900. If Margaret had remained in the commission-based account with the same trading activity, she would have paid roughly \$5,100 in commissions. Margaret has not complained and has expressed satisfaction in written survey responses, noting she values having 'someone watching over things.' Kevin's branch manager approved the account conversion after reviewing a suitability form that noted Margaret's moderate risk tolerance, income-oriented objectives, and desire for ongoing professional guidance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The core question is whether the transition from a commission-based account to a fee-based advisory account was appropriate given the actual level of trading and services rendered. Arguments that Kevin violated his obligations: The fee differential is substantial - Margaret paid roughly \$22,900 in advisory fees over 30 months versus an estimated \$5,100 in commissions for the same activity, a difference of approximately \$17,800 or a 349% increase in costs. The low trading frequency (nine trades in 30 months, several of which were routine reinvestments) suggests the account was effectively a buy-and-hold portfolio that did not benefit meaningfully from the fee-based structure. Kevin also missed three of the expected quarterly reviews, undermining the argument that the higher fees were justified by ongoing advisory services. Under FINRA's guidance regarding reverse churning and the account-type recommendations, an advisor must have a reasonable basis for recommending a fee-based account over a commission-based account. The cost-benefit analysis here is unfavorable on its face. Arguments that Kevin acted appropriately: Margaret is a retiree entering a phase of life where financial needs can change rapidly (healthcare costs, required minimum distributions beginning soon, potential long-term care needs). The fee-based account provides a framework for ongoing monitoring and advice without transaction-cost barriers, which could be valuable even if not heavily utilized in the first 30 months. Kevin did conduct five quarterly reviews and made two proactive bond fund substitutions that lowered Margaret's ongoing fund expenses. Margaret herself has expressed satisfaction and values the advisory relationship. The 1.15% fee, while higher than the commission alternative for this level of activity, is within the range of standard industry fees for accounts of this size. The branch manager also reviewed and approved the conversion. Furthermore, the comparison is somewhat retrospective - at the time of the recommendation, Kevin may have reasonably anticipated more active management needs as Margaret navigated early retirement.

### Why Borderline

This case sits in genuine gray territory because the cost differential, while significant in percentage terms, is not extreme in absolute dollar terms for a \$780,000 portfolio, and the advisory fee rate itself (1.15%) is

within industry norms. The client is satisfied and has not been harmed in terms of investment performance. The advisor did provide some services beyond mere trade execution, though less than promised. The key tension is between a retrospective cost analysis that clearly favors the commission model and a forward-looking rationale that a fee-based relationship was reasonable for a newly retired client whose needs might evolve. Reasonable practitioners could disagree about whether the advisory services provided and anticipated were sufficient to justify the cost difference.

### Borderline Factors

- Fee-based costs were roughly 4.5 times higher than commission costs would have been for the same activity level
- Trading frequency was low (9 trades over 30 months) but not negligible, and included some proactive advisory decisions
- Advisor missed 3 of approximately 10 expected quarterly reviews, partially undermining the service justification
- Client is a recent retiree whose financial planning needs could reasonably be expected to increase
- Client expressed written satisfaction with the arrangement and values ongoing access to advice
- The 1.15% advisory fee is within the standard industry range and was disclosed
- Branch manager reviewed and approved the account conversion at inception
- Forward-looking rationale at the time of conversion may have been reasonable even if retrospective analysis is unfavorable

### Likely Outcome

A regulator would likely issue a cautionary finding or require enhanced documentation rather than pursue a full enforcement action. The cost disparity is notable and the missed quarterly reviews weaken the advisor's justification, but the client's satisfaction, the reasonable fee rate, the branch manager approval, and the legitimate forward-looking rationale for a retiree make this a weak enforcement case. The regulator might require the firm to implement better ongoing review processes for fee-based account suitability and to document the services actually delivered. A modest disgorgement of the fee differential for the quarters where reviews were missed (approximately \$2,700) is possible through an informal resolution.

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## Borderline Scenario 220

Topic: *complex\_products\_unsophisticated\_investor* | Standard: *Under Regulation Best Interest's Care Obligation, the broker-dealer r*

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### Fact Pattern

Roberto Fuentes, age 54, is a long-haul truck driver earning approximately \$68,000 per year. He has a high school diploma and no formal financial training. In January 2022, Roberto inherited \$215,000 from his late mother and deposited it into an account with advisor Stacey Ling at a regional broker-dealer. Roberto told Stacey he wanted 'good income without taking crazy risks' and that he planned to use the money to supplement his retirement in about 10 years. He checked 'moderate' on his risk tolerance questionnaire and listed his investment experience as 'some - I had a small 401(k) for a few years.' Stacey recommended allocating \$130,000 (approximately 60% of the portfolio) into a structured note linked to the S&P 500 with a 2-year maturity, offering a 9.2% annual coupon contingent on the index not declining more than 30% from its starting level. If the index fell more than 30%, Roberto would receive less than his principal back, with



losses calculated on a 1-for-1 basis from the starting level. The remaining \$85,000 was placed in a diversified portfolio of investment-grade bond funds. Stacey spent approximately 45 minutes explaining the structured note, using diagrams to show the payoff scenarios. Roberto signed a product-specific disclosure form acknowledging the risks, including a section he initialed stating he understood he could lose principal. Stacey documented in her notes that Roberto 'understood the downside barrier concept and was comfortable with the risk-reward tradeoff.' The structured note carried an embedded sales concession of 2%, or \$2,600, compared to approximately \$650 Roberto would have paid in commissions for a comparable allocation to equity index funds. By December 2022, the S&P 500 had declined approximately 19% from the note's strike date. Roberto called Stacey in a panic, worried he would lose his money. Stacey reassured him the barrier had not been breached. The note ultimately matured in January 2024 with the S&P 500 above its starting level, and Roberto received his full principal plus the 9.2% annual coupons totaling approximately \$23,920. Despite the positive outcome, Roberto later told a friend he 'never really understood what he bought' and that the December 2022 experience was 'terrifying.' The friend, who works in banking compliance, encouraged Roberto to file a complaint.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Stacey violated her obligations: Structured notes are widely recognized as complex products with embedded derivatives, credit risk (issuer default risk), liquidity constraints (generally illiquid before maturity), and opaque pricing. Roberto is a truck driver with minimal investment experience and no background that would suggest familiarity with derivative-linked products, barrier options, or issuer credit risk. Allocating 60% of his only liquid savings to a single structured product represents significant concentration risk in a complex instrument. The embedded sales concession of 2% was roughly four times the cost of a simpler alternative, raising questions about whether the recommendation was influenced by compensation. Roberto's stated objective - income without crazy risk over a 10-year horizon - could have been met with a diversified portfolio of dividend-paying stocks and investment-grade bonds, products he would more readily understand. The fact that Roberto later admitted he 'never really understood' the product suggests the 45-minute explanation may not have been sufficient to achieve genuine informed consent. Arguments that Stacey acted appropriately: The structured note was not inherently unsuitable for a moderate-risk investor seeking income. A 30% downside barrier on the S&P 500 provided substantial protection - the index has declined more than 30% over a rolling 2-year period only a handful of times in modern history. The 9.2% coupon was significantly higher than what Roberto could have obtained from bonds or dividend stocks, directly serving his income objective. Stacey did spend meaningful time explaining the product, used visual aids, and documented Roberto's understanding. Roberto signed product-specific disclosures and initialed the risk acknowledgment. The remaining 40% was conservatively invested in bond funds, providing diversification and liquidity. The product ultimately performed as intended, delivering the promised income and returning full principal. Roberto's after-the-fact claim of confusion is common with any investment that experiences interim volatility and may not reflect his actual understanding at the time of purchase. The 2-year maturity was well within his 10-year time horizon, and the product's defined maturity actually reduced certain risks compared to open-ended equity exposure.

### Why Borderline

This scenario is genuinely ambiguous because the structured note, while complex, had features that

aligned with Roberto's stated objectives - high income with a meaningful downside buffer. The advisor made documented efforts to explain the product. The concentration (60% in one product) is concerning but not extreme for a two-product portfolio, and the note's risk profile (protected down to a 30% decline) was arguably consistent with moderate risk tolerance. The key tension is between the product's objective suitability for the client's financial goals and the question of whether a client with Roberto's limited education and investment experience can meaningfully understand and consent to a derivative-linked product regardless of how much time the advisor spends explaining it. Reasonable people disagree about where the line falls between protecting unsophisticated investors and respecting their right to access products that serve their financial needs.

### Borderline Factors

- Client has minimal investment experience and no formal financial education, but the product's risk-reward profile objectively matched his stated goals
- 60% concentration in a single structured note is high but the remaining 40% was conservatively invested
- Advisor documented a 45-minute explanation with visual aids, but client later claimed he never really understood the product
- Client signed and initialed product-specific risk disclosures, suggesting at least procedural informed consent
- Embedded sales concession was approximately 4 times the cost of simpler alternatives, creating a compensation conflict
- The 30% downside barrier provided meaningful principal protection, making this less risky than a direct equity investment
- The product performed as designed and the client received full principal plus \$23,920 in coupons
- Client's panic during a 19% market decline suggests he may not have truly understood or been comfortable with the risk, despite documentation
- Simpler products could have met the client's objectives, though likely with lower income generation

### Likely Outcome

A regulator would likely investigate but would face difficulty establishing a clear violation. The documentation of the explanation, signed disclosures, and the product's alignment with stated objectives provide meaningful defenses. However, the concentration level, cost differential, and client profile would raise serious concerns. The most probable outcome is a negotiated settlement involving partial disgorgement of the excess compensation (\$1,950 difference between the structured note concession and the cost of simpler alternatives) and enhanced supervisory requirements for the advisor when recommending complex products to inexperienced clients. A full-blown enforcement action is unlikely given the positive outcome and documentation, but the regulator would use the case to reinforce expectations around complex product recommendations to retail investors with limited experience.

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## Borderline Scenario 221

*Topic: tax\_deferred\_unnecessary\_annuity | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis*

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### Fact Pattern

Margaret Ellington, age 62, retired from a career as a high school principal with a state pension of \$58,000

per year and Social Security benefits she planned to begin collecting at 66. In March 2022, she met with financial advisor Derek Chalmers after inheriting \$340,000 from her late sister. Margaret told Derek she wanted the money to 'grow safely' and provide supplemental income starting in about four to five years when she planned to do more traveling. She expressed strong concerns about market downturns after watching her late sister lose money in 2008. Margaret already had \$185,000 in a traditional IRA invested in a balanced mutual fund, and she held \$42,000 in a savings account. She had no debt, owned her home outright, and had no dependents. Derek recommended she place \$275,000 of the inheritance into a fixed indexed annuity with a seven-year surrender period, offering a guaranteed minimum interest rate of 1.75% and participation in the S&P 500 index with a 6.5% annual cap. The annuity included an optional income rider (costing 0.95% annually) that would guarantee lifetime withdrawals of 5.2% of the benefit base starting at age 67. The annuity was held in a non-qualified account. Derek explained the tax-deferred growth feature as a key benefit, noting that Margaret wouldn't owe taxes on gains until she began withdrawals. Margaret's combined federal and state marginal tax rate was 18%. Her IRA already provided \$185,000 in tax-deferred savings, and her pension and eventual Social Security would consume most of her standard deduction. Derek earned a 5.5% commission (\$15,125) on the annuity sale. An alternative portfolio of short-term bond funds and CDs, which Derek briefly mentioned but didn't strongly recommend, would have yielded approximately 3.8%-4.2% at that time with no surrender penalties and lower total costs. Margaret signed all paperwork, including a disclosure showing the surrender schedule and fee structure. Six months later, she wanted to access \$40,000 for an unexpected home repair and discovered she would face a 7% surrender charge (\$2,800) to withdraw beyond the 10% free withdrawal allowance.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated his obligations: The tax-deferral benefit - a primary selling point - provided minimal value to Margaret given her relatively low 18% marginal tax rate, existing IRA tax-deferral capacity, and the fact that annuity withdrawals are taxed as ordinary income rather than at potentially lower capital gains rates. A non-qualified bond fund or CD ladder would have achieved comparable or better after-tax returns without the seven-year surrender period. The \$275,000 allocation represented approximately 48% of her total liquid assets, creating a significant illiquidity problem for a retiree. The income rider's 0.95% annual fee substantially reduced net returns, and the 6.5% cap on index participation limited upside. Derek's 5.5% commission creates an inference that the recommendation was influenced by compensation rather than client need. The surrender charge incident demonstrated a foreseeable liquidity problem that should have been addressed in planning. Arguments that Derek acted appropriately: Margaret explicitly stated she wanted safe growth and wouldn't need income for four to five years, aligning with the annuity's structure. Her fear of market losses was genuine and deeply held, and the fixed indexed annuity provided downside protection with a guaranteed minimum - features not available in bond funds, which carry interest rate risk. The guaranteed lifetime income rider addressed longevity risk, which is a legitimate concern for a 62-year-old woman with potentially 25+ years of retirement. Derek did mention alternatives, and Margaret chose the annuity after reviewing disclosures. She retained \$65,000 in the inheritance plus \$42,000 in savings for liquidity. The home repair was truly unexpected, and no advisor can predict every contingency. The product did match her stated risk tolerance and time horizon for the bulk of the funds.

### Why Borderline

This case sits in a genuine gray area because the annuity was not wholly inappropriate - it addressed real concerns Margaret had about market risk and lifetime income - but the tax-deferral benefit in a non-qualified account was of questionable incremental value given her tax bracket and existing IRA. The illiquidity created by committing 48% of liquid assets to a seven-year surrender product is concerning but not extreme, especially since she retained meaningful liquid reserves. The commission was high but within industry norms for fixed indexed annuities. The core question is whether 'not the best option' equates to 'unsuitable' or a failure to act in the client's best interest, particularly when the client's own stated preferences pointed toward principal protection.

### Borderline Factors

- Tax-deferred growth in a non-qualified account provided limited benefit at an 18% marginal tax rate, but was not zero value - it still avoided annual taxation on gains during the accumulation period
- The 48% illiquid allocation was aggressive but Margaret retained \$107,000 in liquid assets and had steady pension income covering living expenses
- The 5.5% commission is high but standard for fixed indexed annuities, making it difficult to prove compensation was the driving factor
- Margaret's strong stated preference for principal protection and fear of market losses genuinely aligned with the product's features
- The income rider addressed longevity risk but its 0.95% annual cost may have been excessive relative to the guaranteed benefit for someone with a pension
- Derek mentioned but did not strongly present lower-cost alternatives that may have achieved similar outcomes
- The surrender charge issue materialized due to an unforeseeable event, but prudent planning should account for emergency liquidity needs

### Likely Outcome

A regulator would likely view this as a borderline violation warranting supervisory or enforcement attention but not necessarily a clear-cut case. Under a best interest standard, the weak tax-deferral rationale, high commission, large illiquid allocation for a retiree, and failure to more robustly present lower-cost alternatives that better matched Margaret's actual needs would likely tip the analysis toward a finding that the recommendation was not in her best interest. However, under an older suitability framework, the product's alignment with her stated risk tolerance and time horizon might result in no violation. The most probable regulatory outcome would be a cautionary action - such as a letter of caution, enhanced supervision, or a modest fine - rather than severe sanctions, with possible restitution of the surrender charge and a portion of the excess fees.

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## Borderline Scenario 222

*Topic: high\_fees\_unsuitable | Standard: Under Regulation Best Interest (Reg BI), promulgated under Section 15(l) of the Securities B*

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### Fact Pattern

Raymond and Celeste Park, both 45, were dual-income professionals - he an engineering manager earning \$165,000 and she a pharmacist earning \$128,000. In January 2023, they consolidated \$620,000 from various old 401(k) accounts and a small inheritance into a single advisory account with financial advisor

Nadia Kowalski at a regional wealth management firm. The Parks told Nadia they wanted long-term growth for retirement (target age 65), college funding for their two children (ages 10 and 13), and 'professional management because we don't have time to watch our investments.' They described themselves as moderate-to-aggressive investors comfortable with market fluctuations. Nadia placed the Parks in a model portfolio consisting of 14 actively managed mutual funds spanning domestic equity, international equity, fixed income, and alternative strategies. The portfolio's weighted average expense ratio was 1.12%, and the Parks paid a 1.25% annual advisory fee on top of that, bringing total annual costs to approximately 2.37% (\$14,694 on the initial balance). Nadia's firm offered a lower-cost model portfolio using index ETFs with a weighted average expense ratio of 0.09%, which combined with a reduced advisory fee of 0.85% for that model would have totaled approximately 0.94% annually (\$5,828). Nadia did not present the index-based model to the Parks. She believed the actively managed funds she selected had strong track records and that the international and alternative allocations benefited from active management. Over the following 18 months, the actively managed portfolio returned 14.2% gross (approximately 10.6% net of all fees), while the firm's index model returned 15.8% gross (approximately 14.4% net of all fees) over the same period. The Parks were generally satisfied with their returns and did not complain until a friend who was a CPA reviewed their statements and pointed out the fee differential. The Parks then calculated that over a 20-year period, assuming identical 8% gross returns, the fee difference would compound to approximately \$285,000 in lost wealth. Nadia had documented in her notes that she believed active management added value in certain asset classes and that the Parks' desire for 'professional management' supported a fully active approach. She had completed the firm's product selection form, which required her to justify active over passive choices, and she cited the funds' Morningstar ratings, manager tenure, and downside capture ratios.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Nadia violated her obligations: The total cost differential of 1.43% annually (\$8,866 per year on the initial balance) is substantial and compounds dramatically over the Parks' 20-year time horizon. Academic literature overwhelmingly shows that the majority of actively managed funds underperform their benchmark indices after fees over long periods, and the 18-month results in this case confirmed that pattern. Nadia had a readily available lower-cost alternative at her own firm that she never presented to the Parks, which raises serious questions about whether she fulfilled any obligation to consider reasonably available alternatives. The Parks' stated goals - long-term retirement growth and college funding - are precisely the kinds of objectives best served by low-cost, diversified index investing. Her higher-fee recommendation generated approximately \$7,750 in annual advisory fees versus \$5,270 under the index model, creating a compensation-related conflict. Arguments that Nadia acted appropriately: A 2.37% all-in cost, while above average, is not extraordinary in the advisory industry, and the portfolio was well-diversified across 14 funds with legitimate asset allocation rationale. Active management does have defensible applications in certain asset classes - international small-cap, emerging markets, and alternative strategies - where market inefficiencies may allow skilled managers to add value. Nadia documented her rationale and selected funds with strong track records and favorable risk-adjusted metrics. The Parks specifically requested 'professional management,' which could reasonably be interpreted as wanting actively managed, curated portfolios rather than passive index tracking. The 18-month underperformance is a short sample that doesn't conclusively prove the recommendation was flawed. The Parks were

comfortable with the arrangement and satisfied with 10.6% net returns until an outside party raised the fee issue. The portfolio was suitable for their risk tolerance, time horizon, and financial goals regardless of the fee level.

### Why Borderline

This is a genuine gray area because the portfolio was fundamentally suitable - appropriate asset allocation, proper diversification, aligned with the clients' risk tolerance and time horizon. The question is whether 'suitable but expensive' crosses the line into a violation. The fee differential is significant but not extreme by historical industry standards, and the advisor had a documented rationale for active management that is not frivolous. The fact that the firm offered a lower-cost alternative that Nadia never mentioned is the strongest factor cutting against her, but there is no bright-line rule establishing that advisors must always recommend the cheapest available option. The Parks' own expressed desire for 'professional management' introduces ambiguity about what they were seeking.

### Borderline Factors

- Total annual fees of 2.37% are above average but within the range historically seen in the advisory industry, making it difficult to call them per se unreasonable
- The firm's own lower-cost alternative was never presented, but advisors generally have discretion to recommend products they believe are superior
- Active management has a defensible rationale in certain asset classes (international, alternatives) even if the evidence favors passive for domestic large-cap equities
- The Parks' request for 'professional management' is ambiguous - it could mean active management or simply wanting an advisor to handle decisions
- The 18-month performance comparison is too short to be conclusive, but the fee drag is mathematically certain over any time period
- Nadia documented her rationale with specific fund metrics, showing she engaged in a selection process rather than defaulting to high-fee products
- The compounding impact of the fee differential over 20 years (~\$285,000) is enormous, but this analysis assumes identical gross returns, which active management proponents would dispute
- The advisory fee differential (1.25% vs 0.85%) means Nadia and her firm earned more from the active model, creating a compensation conflict

### Likely Outcome

Under a best interest standard, a regulator would likely find this to be a close case but would probably conclude that Nadia's failure to present or meaningfully consider the firm's own lower-cost model portfolio - which was reasonably available and arguably better suited to the Parks' straightforward long-term growth objectives - fell short of the obligation to evaluate reasonably available alternatives. However, the existence of documented rationale for active management and the portfolio's fundamental suitability would mitigate the severity of the finding. The likely outcome would be a finding of a technical violation of the care obligation component, resulting in enhanced supervision, required fee disclosure improvements, and possibly partial restitution of the excess fees rather than severe sanctions. Under the older suitability standard alone, regulators would likely find no violation, as the portfolio matched the clients' investment profile.



**Borderline Scenario 223**

Topic: *inappropriate\_risk\_profile* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on reas*

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**Fact Pattern**

Margaret Dunleavy, age 71, retired school principal with a \$1.4 million portfolio and a \$52,000 annual pension plus Social Security of \$2,800/month, opened an advisory account with broker James Okafor in March 2021. During her initial risk profiling questionnaire, Margaret checked 'moderate growth' as her investment objective and indicated a time horizon of '10+ years,' noting she wanted to leave a substantial inheritance to her three grandchildren's education funds. She also wrote in the margins of the form that she 'didn't want to lose sleep over the market.' Okafor documented her risk tolerance as 'moderate-aggressive' in the system, noting in his CRM that the client's pension and Social Security fully covered her living expenses of approximately \$4,800/month, meaning the \$1.4 million portfolio was essentially surplus capital earmarked for legacy planning. He allocated 62% to equities (including 18% in small-cap growth funds and 8% in emerging market ETFs), 28% to investment-grade bonds, and 10% to alternatives including a real estate investment trust. When markets declined sharply in early 2022, the portfolio dropped approximately 19%, losing roughly \$266,000 in value. Margaret called Okafor in distress in March 2022, and he reminded her of her long time horizon and legacy goals, encouraging her to stay the course. She did not liquidate positions. By December 2023, the portfolio had recovered to approximately \$1.52 million, surpassing its original value. Margaret's daughter subsequently filed a complaint alleging the portfolio was far too aggressive for a 71-year-old retiree, citing her mother's age and the handwritten note about not wanting to lose sleep. Okafor's firm produced notes from two annual review meetings where Margaret confirmed she was comfortable with the allocation and reiterated her inheritance goals. Margaret herself has told the firm's compliance department she is 'happy with where things ended up but was very scared during the downturn.'

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

The case presents a genuine tension between age-based risk conventions and individualized financial circumstances. Arguments that Okafor violated his obligations: Margaret was 71 years old, and a 62% equity allocation with significant small-cap and emerging market exposure is aggressive by most age-based heuristics. Her handwritten note expressing a desire not to 'lose sleep' suggests a psychological risk tolerance lower than 'moderate-aggressive.' The 19% drawdown caused documented emotional distress, indicating a mismatch between portfolio volatility and her actual comfort level. Coding her as 'moderate-aggressive' when she self-identified as 'moderate growth' could be seen as an upward manipulation of the risk profile to justify a more aggressive allocation and potentially higher fees. Arguments that Okafor acted appropriately: The entire \$1.4 million portfolio was surplus to Margaret's living needs, which were fully covered by pension and Social Security income. For legacy-focused capital with a 10+ year time horizon, a 62% equity allocation is within mainstream financial planning guidance. The bond and alternatives allocation provided meaningful ballast. Margaret confirmed the allocation at two annual reviews, and the portfolio ultimately outperformed its benchmarks. Under FINRA Rule 2111 and Reg BI's care obligation, suitability must be assessed based on the customer's complete financial profile, not age alone. The 'moderate growth' vs. 'moderate-aggressive' distinction is arguably semantic when the

underlying facts - surplus capital, long time horizon, legacy objective - support the allocation. The handwritten note is ambiguous: it could mean she wanted low volatility, or simply that she didn't want reckless speculation. The fact that she stayed invested through the downturn and ultimately benefited complicates any damages claim.

### Why Borderline

This scenario sits in the gray zone because the advisor's allocation is defensible when viewed through the lens of total financial picture and stated legacy objectives, but arguably inappropriate when viewed through the lens of the client's age, her own handwritten expression of risk aversion, and her documented emotional distress during the downturn. The ultimate positive outcome doesn't retroactively validate suitability, but it does complicate any enforcement action. Reasonable practitioners disagree sharply about whether a 71-year-old's surplus assets should be treated differently from her core retirement assets for risk profiling purposes.

### Borderline Factors

- Client's self-described 'moderate growth' objective was coded as 'moderate-aggressive' by advisor - a subtle but potentially meaningful upgrade
  - Handwritten note about not wanting to 'lose sleep' conflicts with the aggressive allocation but is ambiguous in meaning
- Client's age of 71 suggests conservatism under traditional heuristics, but surplus capital and legacy time horizon argue otherwise
- Portfolio fully recovered and exceeded original value, complicating damages analysis
- Client confirmed allocation at two annual reviews but expressed distress during drawdown
- 18% small-cap and 8% emerging markets are on the aggressive end even for moderate-aggressive profiles
- Pension and Social Security fully covering living expenses makes the portfolio functionally different from core retirement savings
- Complaint filed by daughter, not client, and client expressed mixed feelings

### Likely Outcome

A regulator would likely issue a cautionary letter or require enhanced supervisory procedures but stop short of a formal violation finding. The individualized financial analysis supporting the allocation is strong - surplus capital, long time horizon, confirmed at reviews - but the discrepancy between the client's self-described risk tolerance and the coded profile, combined with the aggressive sub-allocations for a septuagenarian, would draw scrutiny. An arbitration panel would likely deny significant damages given the portfolio recovery but might award a small amount for the emotional distress period if the panel found the risk profile was improperly elevated.

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## Borderline Scenario 224

*Topic: reverse\_churning | Standard: Regulation Best Interest (Reg BI), 17 CFR § 240.15l-1, requires broker-dealers to act in the ret*

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### Fact Pattern

David Reinhardt, age 58, a senior engineer at a defense contractor earning \$195,000 annually, transferred

his \$780,000 brokerage account to a fee-based advisory account managed by advisor Carla Simmons in January 2020. The advisory account charged an annual wrap fee of 1.25% (\$9,750/year). Prior to the transfer, Reinhardt's brokerage account had seen relatively modest trading activity: approximately 12-15 trades per year, mostly consisting of quarterly rebalancing of his index fund positions and occasional purchases of individual blue-chip stocks. Simmons recommended the advisory account transition, telling Reinhardt he would benefit from 'ongoing portfolio monitoring, quarterly rebalancing, tax-loss harvesting, and access to institutional share classes with lower expense ratios.' Over the next three years (2020-2022), the advisory account averaged approximately 10 trades per year, primarily consisting of quarterly rebalancing. Simmons conducted semi-annual portfolio reviews in person, provided a written annual financial plan update each January, executed tax-loss harvesting trades in Q4 of 2020 and 2022 (generating approximately \$14,000 and \$9,500 in harvested losses respectively), and transitioned Reinhardt's holdings to institutional share classes that saved approximately 15 basis points in fund expense ratios across the portfolio. Over three years, Reinhardt paid \$30,420 in advisory fees. Had he remained in the brokerage account paying per-trade commissions of \$25 per trade, his total trading costs would have been approximately \$750 over the same period. However, the higher-expense-ratio retail share classes in the brokerage account would have cost approximately \$3,510 more over three years, and the tax-loss harvesting generated estimated tax savings of approximately \$5,875 (at a combined federal and state rate of 25%). Reinhardt never complained about the fees and stated at each review meeting that he valued having 'someone watching over things.' In 2023, a compliance audit flagged the account for low trading activity relative to the advisory fee charged.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

This scenario involves the classic reverse churning analysis: whether a client was placed in a fee-based account that charged ongoing asset-based fees when the client's actual trading activity would have resulted in lower costs in a commission-based account. Arguments that Simmons violated her obligations: The raw cost comparison is stark - \$30,420 in advisory fees versus approximately \$750 in commissions over three years, a roughly 40:1 cost differential on direct trading costs alone. The trading activity in the advisory account (10 trades/year) was actually lower than in the brokerage account (12-15 trades/year), suggesting the fee-based structure did not facilitate more active management. The quarterly rebalancing and modest stock purchases could have been executed in a brokerage account at minimal cost. The account transition appears to have primarily benefited the advisor through a predictable revenue stream. Arguments that Simmons acted appropriately: The cost analysis must account for the full value proposition, not just trading commissions. The institutional share class savings (\$3,510), tax-loss harvesting benefits (\$5,875), semi-annual reviews, annual financial plan updates, and ongoing monitoring collectively provided approximately \$9,385 in quantifiable value over three years, reducing the net incremental cost to approximately \$20,285 - still significant but less extreme. Moreover, the ongoing monitoring and advisory relationship provided non-quantifiable benefits including behavioral coaching (Reinhardt stayed invested through the March 2020 crash and 2022 downturn), access to planning expertise, and peace of mind the client explicitly valued. The 1.25% fee is within industry norms for full-service advisory accounts. Reinhardt was an informed, high-earning professional who understood and accepted the fee structure.

### Why Borderline

This scenario occupies genuine gray territory because the net cost differential, after accounting for quantifiable savings from institutional shares and tax-loss harvesting, is meaningful but not extreme. The advisor provided real services beyond trade execution - financial planning, tax optimization, behavioral support through volatile markets - but the question is whether those services justified the incremental cost. Reasonable practitioners disagree about whether qualitative advisory services like 'ongoing monitoring' and 'peace of mind' constitute sufficient value to justify fee-based accounts with low trading activity, and regulators have struggled to establish bright-line thresholds for reverse churning.

### Borderline Factors

- Net incremental cost of approximately \$20,285 over three years after accounting for institutional share class savings and tax-loss harvesting benefits - meaningful but not extreme for a \$780,000 portfolio
- Advisor provided genuine services beyond trade execution: semi-annual reviews, annual financial plans, tax-loss harvesting, institutional share class access
- Tax-loss harvesting generated \$5,875 in estimated tax savings that would not have occurred in the brokerage account
- Trading activity actually decreased after moving to the advisory account, contradicting the narrative that fee-based accounts enable more active management
- Client explicitly stated he valued ongoing monitoring and never objected to fees
- 1.25% annual fee is within industry norms but results in significant absolute dollars on a \$780,000 portfolio
- Client is a sophisticated high-earner capable of understanding fee structures
- Behavioral coaching through 2020 and 2022 market turmoil provided real but unquantifiable value
- Compliance audit flagged the account internally, suggesting the firm's own systems identified potential concerns

### Likely Outcome

A regulator would most likely require enhanced documentation of the value proposition but not find a clear-cut violation, provided Simmons can demonstrate the services promised at account opening were actually delivered. The quantifiable savings partially offset the fee differential, and the documented delivery of planning services, tax optimization, and the client's informed consent weigh against a finding of reverse churning. However, the regulator might require the firm to conduct a retrospective account-type review and could mandate that Simmons provide Reinhardt with a cost comparison analysis. If the advisor cannot document the value of ongoing services beyond what the trading record shows, the case becomes significantly stronger for a violation finding. An arbitration panel would likely find the account type recommendation was borderline but defensible given the totality of services.

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## Borderline Scenario 225

*Topic: junk\_bonds\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) applies to the brokerage account context, requiring*

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### Fact Pattern

Margaret Ellison, age 64, retired in March 2022 after 31 years as a school librarian. She rolled over her \$410,000 pension lump sum into an IRA account with advisor Kevin Draper at a mid-sized brokerage firm. During her onboarding meeting, Margaret stated her primary goal was 'generating income to supplement

Social Security without losing my nest egg.' She checked 'moderate-conservative' on her risk tolerance questionnaire and wrote in the margins that she 'couldn't afford to lose more than 10% in a bad year.' Her annual living expenses were approximately \$38,000, of which Social Security covered \$22,000, leaving a \$16,000 annual gap. Kevin recommended allocating 18% of her portfolio - roughly \$73,800 - to a diversified basket of seven different high-yield corporate bond funds with an average credit rating of BB and an average yield of 7.2%. The remaining 82% was placed in investment-grade bond funds (45%), a short-term Treasury fund (20%), a balanced equity-income fund (12%), and a money market account (5%). Kevin documented in his notes that the high-yield allocation was intended to boost Margaret's portfolio income from approximately 3.8% to 4.6%, which would generate roughly \$18,860 annually - enough to cover her income gap with a small cushion. He noted that the high-yield funds were spread across different sectors (energy, healthcare, telecommunications, consumer staples, industrials, financials, and utilities) to mitigate concentration risk. Over the next 14 months, the high-yield portion of the portfolio declined 11.3% in value due to credit spread widening, while the rest of the portfolio remained relatively stable, resulting in an overall portfolio loss of approximately 2.8%. Margaret filed a complaint in July 2023, stating she never understood that 'junk bonds' carried significant risk and that Kevin had described them only as 'higher-yielding corporate bonds that pay more income.' Kevin maintains he explained the credit risk verbally and that his written proposal included Morningstar fact sheets for each fund that clearly labeled them as 'high yield' with risk ratings. Margaret's daughter, who attended one of the meetings, recalls Kevin saying the bonds were 'a step below investment grade but well-diversified' but does not recall any discussion of potential loss scenarios.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Kevin violated his obligations: Margaret was a recently retired conservative investor who explicitly stated she could not afford to lose more than 10% in a bad year and wanted to preserve her nest egg. Allocating 18% of a conservative retiree's portfolio to junk bonds - securities rated below investment grade with historically elevated default and volatility risk - could be seen as inconsistent with her stated risk tolerance and investment objectives. The fact that Margaret claims she did not understand these were 'junk bonds' suggests a potential disclosure failure. A 'moderate-conservative' risk profile typically contemplates minimal exposure to below-investment-grade fixed income, and some firms' internal guidelines cap high-yield allocations for conservative investors at 5-10%. The 11.3% decline in the high-yield sleeve, though within normal ranges for such securities, validates the concern that this exposure was too aggressive.

Arguments that Kevin acted appropriately: The 18% high-yield allocation, while material, was part of a broader portfolio that was overwhelmingly conservative (65% in investment-grade bonds and Treasuries, 5% in money market). The overall portfolio lost only 2.8%, well within Margaret's stated 10% loss tolerance. The high-yield allocation was diversified across seven funds spanning different sectors, demonstrating thoughtful risk management. The income math was sound - without the high-yield allocation, the portfolio would have generated only about \$15,580 annually, leaving Margaret approximately \$420 short of her income needs, potentially forcing her to invade principal. Kevin's recommendation directly addressed her stated primary goal of income generation. The Morningstar materials provided to Margaret clearly identified the funds as high yield, and the daughter's recollection confirms some level of risk discussion. Under

FINRA's quantitative suitability framework, the allocation was reasonable relative to the overall portfolio context. Margaret's 'moderate-conservative' designation is not synonymous with 'ultra-conservative,' and some high-yield exposure is commonly found in moderate-conservative model portfolios at major firms.

### Why Borderline

This is genuinely ambiguous because the high-yield allocation simultaneously served the client's explicitly stated income need (which was her primary objective) while arguably conflicting with her explicitly stated risk tolerance and capital preservation goal. The 18% allocation sits in a gray zone - it's not a trivial 5% satellite position, but it's also not an outsized bet. The overall portfolio performed within the client's loss parameters, which suggests the total portfolio construction was sound, but the component-level volatility in the high-yield sleeve was uncomfortable. The disclosure question is a classic he-said-she-said, with partial corroboration from the daughter that some risk discussion occurred but may have been inadequate.

### Borderline Factors

- 18% high-yield allocation falls between clearly acceptable (5-10%) and clearly excessive (30%+) ranges for a moderate-conservative retiree
- Client's primary goal (income) directly conflicted with her secondary goal (capital preservation), and the advisor had to balance both
- Overall portfolio loss of 2.8% was well within the client's stated 10% maximum loss tolerance
- Without the high-yield allocation, the portfolio would have failed to meet the client's income needs
- Risk disclosure is disputed - written materials were provided but verbal explanation may have been insufficient
- The high-yield allocation was well-diversified across seven sector-specific funds rather than concentrated
- Client's self-selected 'moderate-conservative' label permits some interpretation regarding appropriate high-yield exposure
- The daughter partially corroborates risk discussion but recalls no loss scenario analysis

### Likely Outcome

A regulator would likely find this to be a close call but would probably not sustain a violation, or if proceeding, would result in a reduced award in arbitration. The total portfolio construction was defensible, the income rationale was well-documented, and the overall loss remained within the client's stated parameters. However, the advisor might receive a cautionary letter or be required to enhance disclosure practices. In a FINRA arbitration, the panel might award partial damages - perhaps the difference between the high-yield losses and what a lower high-yield allocation (say 10%) would have produced - acknowledging that some high-yield exposure was justified but 18% may have been modestly aggressive. The disclosure ambiguity is the advisor's biggest vulnerability.

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## Borderline Scenario 226

Topic: *alternative\_investments\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) and its three-component test (reasonable basis,*

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### Fact Pattern

Dr. Richard and Sandra Yoo, ages 52 and 49 respectively, had a combined household income of approximately \$485,000 - Richard was a partner in a radiology practice and Sandra was a pharmaceutical



sales director. Their liquid investment portfolio totaled approximately \$1.85 million, held across brokerage and advisory accounts with advisor Danielle Foss. They also owned their home (estimated value \$780,000, mortgage balance \$210,000), had \$620,000 in Richard's 401(k), and maintained a \$95,000 emergency fund. In September 2021, Danielle recommended that the Yoos invest \$275,000 (approximately 14.9% of their liquid portfolio) in a non-traded real estate investment trust focused on commercial office and mixed-use properties, with a stated target return of 6-8% annually. The REIT had a minimum seven-year hold period, no secondary market, early redemption limited to 5% of outstanding shares per quarter (subject to board discretion), and an upfront load of 5.75% plus ongoing management and performance fees totaling approximately 2.1% annually. Danielle also recommended \$150,000 (8.1%) in a private credit interval fund with quarterly liquidity limited to 5% of net assets, charging 1.85% in management fees plus a 15% incentive fee on returns above a 5% hurdle rate. Combined, these two alternative investments represented approximately 23% of the Yoos' liquid portfolio. The Yoos' investment policy statement, updated six months earlier, listed their objectives as 'long-term growth with moderate risk tolerance' and noted a planned liquidity event in 2028-2029 when they intended to purchase a vacation property for approximately \$400,000-\$500,000. Danielle documented that she discussed the illiquidity constraints and fee structures with both clients over two meetings, and both signed detailed subscription agreements with risk disclosures. She noted that their strong income, substantial 401(k), home equity, and emergency fund provided ample liquidity outside these investments. The non-traded REIT subsequently suspended its share repurchase program in March 2023 amid office market turmoil, and its estimated net asset value was marked down 22% by December 2023. The interval fund continued to make quarterly distributions but declined approximately 8% in NAV. The Yoos complained in January 2024 that the \$425,000 combined investment had lost significant value and that they could not access the capital they would need for their planned vacation property purchase in 2028-2029.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Danielle violated her obligations: The Yoos had an explicitly documented liquidity need in 2028-2029 for a \$400,000-\$500,000 vacation property purchase. Placing \$275,000 in a non-traded REIT with a seven-year minimum hold period (maturing approximately 2028) created a direct conflict with this planned liquidity event. The combined 23% allocation to illiquid alternatives is on the higher end for clients with moderate risk tolerance and a known medium-term liquidity need. The fee structure was expensive - the 5.75% front-end load on the REIT alone consumed nearly \$15,813 in day-one value, and the combined annual fees (2.1% on the REIT, 1.85% plus incentive fees on the interval fund) significantly eroded net returns. Many firms cap alternative investment allocations for non-institutional clients at 15-20% of liquid assets, and the 23% figure exceeds some of these internal thresholds. The REIT's suspension of redemptions - while not foreseeable with certainty - is a well-known risk of non-traded REITs that should have been weighed more heavily given the Yoos' timeline. The concentration in commercial office properties, a sector already showing stress pre-pandemic, added sector-specific risk.

Arguments that Danielle acted appropriately: The Yoos were high-income, high-net-worth clients with \$1.85 million in liquid assets, \$620,000 in a 401(k), \$570,000 in home equity, and \$95,000 in emergency reserves - total net worth approaching \$3.1 million. Even if the alternative investments became completely illiquid, the remaining \$1.425 million in liquid portfolio assets plus the 401(k) and other resources would be more

than sufficient to fund the \$400,000-\$500,000 vacation home purchase. The 23% alternatives allocation, while significant, left 77% in liquid investments. Their moderate risk tolerance and long-term growth objectives are consistent with some alternatives exposure, which is commonly recommended for investors at their wealth level for diversification and yield enhancement. Danielle conducted two meetings specifically discussing risks and liquidity constraints, and both clients signed detailed subscription documents. The target returns of 6-8% (REIT) and the income from the interval fund were reasonable for their growth objectives. The REIT's subsequent NAV decline was driven by an unprecedented office market dislocation that could not have been precisely predicted at the time of investment. The seven-year hold period would technically expire before or around the Yoos' 2028-2029 target window, suggesting Danielle may have considered the timeline.

### Why Borderline

This scenario is genuinely ambiguous because the Yoos had the financial profile (high income, substantial total assets, long time horizon) that typically qualifies clients for alternative investments, yet they also had a specific, documented medium-term liquidity need that the alternatives allocation could potentially impair. The 23% allocation is not extreme for their wealth level but pushes against common firm guidelines. The advisor documented her process and obtained informed consent, but the question is whether documented consent is sufficient when the investment characteristics create a structural tension with stated financial plans. The fact that the remaining liquid portfolio could still fund the vacation home purchase significantly weakens the suitability complaint, but the practical reality is that the Yoos' financial flexibility was meaningfully reduced by illiquid investments losing value at exactly the wrong time.

### Borderline Factors

- 23% alternatives allocation is above some firm caps (15-20%) but within ranges many firms permit for high-net-worth clients
- Documented liquidity need in 2028-2029 creates tension with seven-year lockup, but remaining liquid assets (\$1.425M) could cover the planned purchase
- High combined fees (5.75% load plus 2.1% annual on REIT; 1.85% plus incentive fee on interval fund) but not unusual for the alternative investment category
- Clients had the income and net worth profile that many firms require for alternative investment eligibility
- Advisor conducted and documented multiple meetings discussing risks and obtained signed subscription agreements
- Office REIT sector concentration introduced specific risk that materialized, but was not obviously foreseeable at the time
- The REIT's hold period roughly aligned with the Yoos' liquidity timeline, suggesting possible - if optimistic - planning
- Suspension of share repurchase program is a known risk of non-traded REITs but was not guaranteed to occur

### Likely Outcome

A regulator or arbitration panel would likely view this as a close case. The strongest argument against the advisor is the documented 2028-2029 liquidity need combined with the REIT's seven-year lockup and subsequent redemption suspension. However, the Yoos' substantial remaining liquid assets and high net worth significantly mitigate the harm argument. A likely outcome is a partial finding - the arbitration panel might determine that the non-traded REIT allocation was marginally excessive given the liquidity timeline.

(perhaps finding that \$150,000-\$175,000 would have been appropriate rather than \$275,000) and award damages on the excess portion, while finding the interval fund allocation defensible. A regulator might issue supervisory findings regarding the firm's alternative investment concentration limits rather than a full enforcement action against the advisor individually. The documented disclosure process helps the advisor substantially.

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## Borderline Scenario 227

Topic: illiquid\_investments | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment strategy

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### Fact Pattern

Margaret Dalton, age 58, had been a client of financial advisor Craig Wesson for six years. She was a practicing orthodontist earning \$410,000 annually, with a net worth of approximately \$3.2 million. Her investment portfolio totaled \$1.85 million, held across a brokerage account and an IRA. In March 2023, Margaret told Craig she was planning to retire at age 63 and wanted her portfolio to generate reliable income in retirement. She also mentioned that she and her husband were considering purchasing a vacation home in the next 2-3 years, estimating a budget of \$350,000-\$450,000 for the purchase. Her account documents listed her risk tolerance as 'moderate' and her investment time horizon as '5-10 years.' Over the following four months, Craig recommended that Margaret invest \$370,000 - approximately 20% of her portfolio - into two non-traded real estate investment trusts (REITs). The first, a healthcare-focused REIT, received \$210,000 and had a stated minimum hold period of five years with limited quarterly redemption windows capped at 2% of outstanding shares. The second, a diversified commercial REIT, received \$160,000 and carried a seven-year lockup period with no early redemption provisions. Both products carried upfront fees of approximately 8.5% and projected annual distributions of 6.2%-6.8%. Craig's firm received selling commissions and dealer-manager fees totaling roughly \$31,000 from these two investments. Margaret signed all disclosure documents, including specific acknowledgments about the illiquid nature of both products and the lockup periods. Craig documented in his notes that the non-traded REITs offered 'inflation-protected income suitable for a five-year pre-retirement accumulation phase' and that Margaret's high income and remaining liquid portfolio of \$1.48 million provided 'more than sufficient liquidity for near-term needs including the vacation home.' Margaret's remaining portfolio was allocated to a mix of index funds, investment-grade bonds, and approximately \$120,000 in cash equivalents. In early 2024, Margaret's husband was diagnosed with a serious illness, and Margaret sought to liquidate the REIT positions to cover anticipated medical expenses and the possibility of early retirement. She was unable to access the funds in the seven-year lockup REIT at all, and her quarterly redemption request for the healthcare REIT was only partially fulfilled at approximately 92 cents on the dollar due to the 2% quarterly cap. Margaret filed a complaint alleging that Craig put her in investments that were too illiquid given her upcoming retirement, potential home purchase, and general life-stage needs.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Craig violated his obligations: The client had two clearly stated near-to-medium-term liquidity needs - a vacation home purchase within 2-3 years and retirement within 5 years. Placing 20% of

the portfolio into products with 5-7 year lockups directly conflicted with these stated objectives. The seven-year lockup REIT in particular would not mature until after Margaret's planned retirement date, and the capital would be entirely inaccessible during the home-purchase window. The 8.5% upfront fees meant Margaret immediately lost roughly \$31,450 in value, which is a significant drag on returns that the advisor had a financial incentive to recommend due to the commissions his firm received. The concentration of \$370,000 in illiquid products, when combined with the \$350,000-\$450,000 home purchase budget, would have left Margaret with limited flexibility in her liquid portfolio. A 58-year-old pre-retiree with known near-term capital needs is arguably not an appropriate candidate for substantial illiquid allocations.

Arguments that Craig acted appropriately: A 20% allocation to illiquid alternatives is within ranges commonly considered acceptable by industry practitioners, particularly for a high-net-worth client with strong ongoing income. After the REIT investments, Margaret retained approximately \$1.48 million in liquid assets - more than enough to cover the vacation home purchase and maintain a diversified portfolio. Her stated time horizon of 5-10 years was consistent with the REIT hold periods, and the 6.2%-6.8% projected distributions aligned with her goal of generating retirement income. Craig documented his rationale contemporaneously, and Margaret signed detailed disclosures acknowledging the illiquidity. The subsequent medical emergency was an unforeseeable life event that does not retroactively render a recommendation unsuitable. Many financial planning frameworks endorse allocating a portion of a high-income client's portfolio to illiquid alternatives for diversification and income generation. The healthcare REIT did offer quarterly liquidity windows, showing some consideration of flexibility.

### Why Borderline

This case sits in a genuine gray area because the illiquid allocation was a meaningful but not extreme percentage of the portfolio, the client had sufficient remaining liquid assets to cover her stated near-term needs, and she signed detailed disclosures. However, the seven-year lockup REIT arguably exceeded her time horizon, the advisor's compensation created a conflict, and the combined effect of both illiquid positions and the home purchase plan left less margin for error than the advisor's notes suggested. Reasonable practitioners could disagree about whether 20% illiquidity was excessive for this client's specific profile, particularly given that the lockup periods extended through or beyond her planned retirement.

### Borderline Factors

- 20% illiquid allocation falls within commonly accepted ranges for high-net-worth clients but pushes the boundary for a pre-retiree with stated near-term liquidity needs
- Seven-year lockup period on the second REIT extends beyond the client's planned retirement date
- Client retained \$1.48 million in liquid assets, arguably sufficient for the vacation home and other needs
- 8.5% upfront fees and \$31,000 in commissions create a compensation conflict but are standard for non-traded REITs
- Client signed detailed illiquidity disclosures and acknowledgments
- Advisor documented contemporaneous rationale for the recommendation
- Subsequent medical emergency was unforeseeable and changed the client's liquidity needs dramatically
- The vacation home purchase timeline (2-3 years) overlapped with the minimum hold periods of both products

### Likely Outcome

A regulator would likely find a partial violation focused primarily on the seven-year lockup REIT. While the overall 20% illiquid allocation might be defensible in isolation, the seven-year lockup product specifically conflicted with the client's five-year retirement timeline and her stated home purchase plans. The healthcare REIT with quarterly redemption windows is more defensible. The regulator would likely view the advisor's documented rationale as insufficient to justify the specific product selection, particularly the no-redemption REIT, even though the client's remaining liquid assets were substantial. The result would likely be a finding of unsuitability as to the \$160,000 seven-year lockup REIT, with potential restitution of losses and commissions on that product, and a possible cautionary finding but no separate damages award on the healthcare REIT.

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### Borderline Scenario 228

Topic: `crypto_assets_unsuitable` | Standard: FINRA Rule 2111 (Suitability) requires that recommended investments be suitable base

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#### Fact Pattern

David Kowalski, age 44, was a software engineering manager earning \$195,000 per year with a net worth of approximately \$1.1 million, including a \$420,000 brokerage account managed by his advisor, Heather Moreno. David had been Heather's client since 2019. His investment profile listed his risk tolerance as 'moderately aggressive,' his time horizon as '10-15 years,' and his investment objective as 'growth.' David had experience investing in individual equities, ETFs, and options, and Heather's notes from various meetings described him as 'technologically savvy and interested in emerging asset classes.' In September 2022, after several conversations in which David expressed enthusiasm about blockchain technology and asked Heather about cryptocurrency exposure, Heather recommended that David allocate \$63,000 - approximately 15% of his brokerage portfolio - to a combination of cryptocurrency-related investments. Specifically, she recommended \$25,000 into a publicly traded Bitcoin spot fund (which at the time was structured as a grantor trust trading at a persistent premium to net asset value of about 18%), \$20,000 into a blockchain technology equity ETF holding shares of companies involved in crypto mining, exchanges, and infrastructure, and \$18,000 into a recently launched token-linked structured note issued by a major bank with a two-year maturity that provided leveraged exposure (1.5x) to Ethereum's price, with principal at risk if Ethereum declined more than 30% from the purchase date. The structured note carried an annual fee of 1.8% and the grantor trust had an expense ratio of 2.0%. The blockchain equity ETF had an expense ratio of 0.75%. Heather documented that the allocation was 'responsive to client interest in digital assets, diversified across three different product structures to manage concentration risk, and sized appropriately as a satellite position within a growth-oriented portfolio.' She also noted that David had approximately \$85,000 in an emergency fund held separately and \$290,000 in his employer's 401(k) plan. Over the following 14 months, Bitcoin and Ethereum prices declined significantly, and David's three crypto-related positions lost a combined \$29,800, or approximately 47% of the initial investment. The grantor trust's premium to NAV also collapsed, contributing additional losses beyond the underlying asset decline. David filed a complaint asserting that Heather steered him into high-cost, speculative investments that were inappropriate for his retirement savings, pointing specifically to the leveraged structured note and the grantor trust's persistent premium as hidden risks that were not adequately explained.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Heather violated her obligations: The three products selected each carried specific risks that arguably exceeded what a 'moderately aggressive' growth investor should bear. The grantor trust was trading at an 18% premium to its underlying Bitcoin holdings, meaning David effectively overpaid for the exposure - a cost that was in addition to the 2.0% annual expense ratio. The leveraged structured note introduced 1.5x exposure to Ethereum with full principal loss possible if Ethereum fell more than 30%, a threshold that was well within normal cryptocurrency volatility ranges. The combination of leverage, principal risk, and a 1.8% fee made this a particularly complex and risky product. A regulator could argue that even if 15% crypto allocation was acceptable in theory, the specific product selection was not in the client's best interest when simpler, lower-cost, and less risky alternatives existed. The total cost drag across the three positions was significant, and Heather had an obligation to consider less expensive alternatives. Furthermore, the brokerage account appeared to be a primary retirement savings vehicle alongside the 401(k), heightening the significance of losses.

Arguments that Heather acted appropriately: David was a 44-year-old technology professional with a moderately aggressive risk tolerance, a 10-15 year time horizon, and demonstrated interest and knowledge in blockchain and cryptocurrency. He specifically asked about crypto exposure on multiple occasions. Heather responded to client-driven demand by constructing a diversified three-product approach rather than concentrating in a single highly volatile cryptocurrency. The 15% allocation is within ranges that many industry commentators consider reasonable for a satellite position in a growth-oriented portfolio. David maintained substantial assets outside this allocation - \$290,000 in a 401(k) and \$85,000 in emergency savings - meaning the crypto allocation represented roughly 5.6% of his total net worth. The blockchain equity ETF was a conventional, regulated product with reasonable costs. Heather documented her rationale and the client's expressed interest. Cryptocurrency as an asset class, while volatile, is increasingly mainstream, and a technologically sophisticated client's expressed preference for exposure carries weight. The subsequent losses reflected broad market declines, not product defects.

### Why Borderline

This case is genuinely ambiguous because the advisor was responding to clear client interest from a sophisticated and risk-tolerant investor, and the overall allocation size (15% of one account, ~5.6% of total net worth) is within defensible ranges. However, the specific product selection - particularly the leveraged structured note and the premium-to-NAV grantor trust - introduced layers of cost and complexity that arguably went beyond providing reasonable crypto exposure. A simple Bitcoin ETF or direct crypto purchase might have achieved the client's goals with lower costs and less structural risk. The question becomes whether the advisor's product selection duties required choosing simpler, less expensive alternatives even when the client wanted crypto exposure and the overall allocation percentage was reasonable.

### Borderline Factors

- Client repeatedly expressed interest in cryptocurrency and had relevant technological sophistication
- 15% of brokerage account but only ~5.6% of total net worth was allocated to crypto-related products
- Moderately aggressive risk tolerance and 10-15 year horizon support some speculative allocation
- Grantor trust trading at 18% premium to NAV effectively meant client overpaid for Bitcoin exposure
- Leveraged structured note with 1.5x Ethereum exposure and 30% principal-loss threshold was complex and risky



- Combined expense ratios and fees across the three products were significantly higher than simpler alternatives
- Blockchain equity ETF was a straightforward, lower-cost product that is harder to criticize
- Advisor documented rationale and diversified across three product types rather than concentrating in one
- Losses of 47% were severe but largely reflected broad crypto market declines during the period
- Simpler and cheaper alternatives existed to achieve the same crypto exposure the client wanted

### Likely Outcome

A regulator would likely find a partial violation with respect to the leveraged structured note and potentially the grantor trust, but not the blockchain equity ETF. The structured note's 1.5x leverage and principal-at-risk feature, combined with cryptocurrency's known extreme volatility, created an outsized risk profile that exceeded what was warranted even for a moderately aggressive client. The grantor trust's 18% premium to NAV and 2.0% expense ratio represented a cost that a reasonable advisor should have flagged as a significant disadvantage compared to alternatives. The regulator would likely credit the advisor for responding to documented client interest and for the overall allocation sizing, but find that the duty to recommend specific suitable products was not met for two of the three positions. The likely outcome would be restitution of excess losses attributable to the premium collapse on the grantor trust and the leverage effect on the structured note, plus disgorgement of any differential compensation earned on these products versus cheaper alternatives.

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## Borderline Scenario 229

*Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommendation be suitable based on rea*

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### Fact Pattern

Marcus Devereaux, a registered representative at a mid-sized broker-dealer in Atlanta, began working with client Theresa Langford in January 2022. Langford, age 52, was a recently retired school principal with a \$410,000 rollover IRA and \$85,000 in a taxable brokerage account. Her new account form listed her risk tolerance as 'moderate to aggressive,' her investment objective as 'growth,' her annual income as \$48,000 (pension), and her liquid net worth as \$520,000. Langford told Devereaux during their first meeting that she wanted to 'make my money work harder than a savings account ever could' and expressed frustration that her previous advisor had kept her almost entirely in bond funds. She mentioned she had been reading investing blogs and was interested in 'getting in early on the next big thing.' During February and March 2022, Devereaux recommended Langford allocate \$38,000 of her taxable brokerage account - roughly 7.7% of her total investable assets - across four penny stocks trading between \$0.45 and \$2.10 per share, all in the biotechnology sector. Devereaux provided Langford with research reports from a third-party firm that rated each company as 'speculative buy,' and he verbally explained that these were high-risk, illiquid securities that could lose most or all of their value. Langford signed risk disclosure documents for each trade. By September 2022, two of the four positions had lost approximately 80% of their value, one was roughly flat, and one had gained 45%. The net loss across all four positions was approximately \$18,200. Langford filed a complaint alleging the investments were inappropriate for someone nearing retirement who depended on her portfolio for supplemental income. Devereaux countered that the allocation was small relative to her total portfolio, that her risk tolerance supported some speculative positions, that she had expressed clear interest in early-stage companies, and that the remainder of her accounts were invested in

diversified index funds and investment-grade bonds. He also noted that Langford had previous experience owning individual equities, including some small-cap stocks, in a prior account at another firm, though those had been in the \$5-\$15 per share range and were listed on major exchanges.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: Penny stocks are among the riskiest securities available, and Langford was a 52-year-old retiree whose pension income of \$48,000 annually suggests she may need her portfolio for supplemental retirement income over potentially 30+ years. The concentration of all four penny stock positions in a single speculative sector (biotech) compounded the risk. Her prior experience with individual equities involved small-cap stocks on major exchanges, which are materially different from penny stocks in terms of liquidity, regulatory oversight, and volatility. The 'moderate to aggressive' risk tolerance designation arguably does not encompass penny stock speculation, and the fact that she was recently retired suggests a need for capital preservation that conflicts with sub-\$3 speculative securities. Arguments against a violation: The \$38,000 allocation represented only 7.7% of Langford's total investable assets - a relatively modest satellite position within what was otherwise a conservative, diversified portfolio. Langford explicitly expressed a desire for higher growth, dissatisfaction with overly conservative prior management, and interest in early-stage companies. Her risk tolerance was self-reported as 'moderate to aggressive,' and she had some prior equity experience. Devereaux provided third-party research, made verbal risk disclosures, and obtained signed risk acknowledgment documents. The overall portfolio construction - with the vast majority in index funds and investment-grade bonds - suggests the advisor was attempting to balance her desire for upside with appropriate risk management. Reasonable minds could differ on whether a small penny stock allocation within an otherwise sound portfolio crosses the line from aggressive-but-suitable to unsuitable.

### Why Borderline

The core tension is between the inherently speculative nature of penny stocks - which many firms restrict or prohibit for retail retirement-oriented clients - and the relatively small portfolio allocation, the client's expressed preferences, signed disclosures, and an otherwise well-diversified portfolio. The client's profile sends mixed signals: she is a retiree (suggesting conservation needs) but self-identified as moderate-to-aggressive with growth objectives and actively sought riskier investments. The 7.7% allocation is small enough to be defensible as a speculative sleeve, yet penny stocks are qualitatively different from other aggressive investments due to their illiquidity, susceptibility to manipulation, and limited disclosure requirements.

### Borderline Factors

- Penny stock allocation was only 7.7% of total investable assets within an otherwise diversified portfolio
- Client self-reported moderate-to-aggressive risk tolerance and explicitly sought higher-growth, early-stage investments
- Client was a recent retiree at age 52 with modest pension income, suggesting potential future need for portfolio withdrawals
- All four penny stocks were concentrated in a single speculative sector (biotech), amplifying sector-specific risk
- Client's prior equity experience was with small-cap stocks on major exchanges, not true penny stocks

- Advisor provided third-party research and obtained signed risk disclosure documents for each trade
- Client expressed clear dissatisfaction with her prior advisor's conservative approach

### Likely Outcome

A regulator would likely find this a close call but would probably not pursue a full enforcement action, instead potentially issuing a cautionary letter or requiring enhanced supervisory procedures. The small allocation relative to total assets, signed disclosures, client-expressed preferences, and the otherwise suitable portfolio construction provide meaningful defenses. However, in an arbitration setting, a panel might award partial damages, recognizing that penny stocks represent a qualitatively different risk category that required stronger justification given the client's retirement status. The sector concentration across all four positions could be viewed as an aggravating factor. The most likely resolution would be a modest settlement or a split arbitration award.

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## Borderline Scenario 230

*Topic: excessive\_churning | Standard: FINRA Rule 2111 (Suitability) includes a quantitative suitability component that prohibits exce*

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### Fact Pattern

Denise Yamamoto, a 61-year-old semi-retired commercial real estate appraiser in Phoenix, Arizona, maintained a non-discretionary brokerage account with advisor Craig Billings at a regional broker-dealer. Yamamoto opened the account in March 2021 with \$620,000, listing her investment objectives as 'growth and income' and her risk tolerance as 'moderate.' She earned approximately \$75,000 annually from part-time consulting work and had an additional \$800,000 in retirement accounts held elsewhere. Between March 2021 and March 2023, Billings executed 87 trades in the account, resulting in an annualized turnover rate of 4.1 and a cost-to-equity ratio of approximately 11.8%. The account generated roughly \$73,200 in total commissions and fees over the two-year period. However, several contextual factors complicate the analysis. Yamamoto was knowledgeable about financial markets; she held a Series 7 license earlier in her career (lapsed in 2009) and regularly read financial publications. She frequently called Billings to discuss market conditions and on at least 22 occasions initiated trade ideas herself, several of which Billings discouraged but ultimately executed at her insistence. Email records show Yamamoto requesting more active management, writing in June 2021: 'I don't want to just sit here in index funds while the market moves - I want you actively positioning us.' In August 2022, she wrote: 'I know we've been trading a lot but I'm comfortable with the activity level.' Billings sent quarterly account summaries showing all commissions charged, and Yamamoto acknowledged reviewing them. On the other hand, roughly 40 of the 87 trades involved selling positions held for fewer than 30 days, often rotating between similar large-cap equities in the same sector - for example, selling one pharmaceutical stock only to buy another pharmaceutical stock days later with no clear strategic rationale documented. The account's overall return after fees was approximately -2.3% over the two-year period, while a blended benchmark of 60% S&P 500 and 40% Bloomberg Aggregate Bond Index returned approximately +4.7% during the same timeframe, representing a 7% underperformance gap. Yamamoto filed a complaint after reviewing a consolidated performance report prepared by her accountant in April 2023.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments supporting a violation: The quantitative metrics are significant. An annualized turnover rate of 4.1 exceeds the threshold of 6 that is often considered presumptive churning, but even turnover rates between 2 and 6 have been found excessive depending on the customer's profile. The cost-to-equity ratio of 11.8% means the account needed to generate nearly 12% annual returns just to break even after costs - an unreasonable hurdle for a moderate-risk growth and income portfolio. The 7% underperformance relative to a suitable benchmark suggests the trading activity was not generating value. Approximately 40 trades involved short-term rotations between similar securities with no documented rationale, which is a hallmark of churning behavior. Billings had de facto control over many trading decisions, and the commission structure created a clear incentive to trade. Yamamoto's moderate risk tolerance and growth-and-income objective are inconsistent with this level of trading activity. Arguments against a violation: Yamamoto was a sophisticated investor with a lapsed Series 7 license, regularly engaged in investment discussions, initiated approximately 25% of the trades herself, and explicitly requested active management in documented communications. She acknowledged comfort with the activity level in writing and received quarterly commission disclosures that she reviewed. The account was non-discretionary, meaning Billings needed her approval for every trade. Her financial situation was not precarious - she had \$800,000 in additional retirement assets and \$75,000 in annual income, meaning this account was not her sole financial lifeline. While the turnover rate is elevated, it falls below the level courts have treated as presumptively excessive, and the client's own behavior contributed materially to the trading frequency. The sophistication defense, combined with documented client-initiated trades and written acknowledgment of the activity level, substantially complicates any churning claim.

### Why Borderline

This scenario sits in the gray zone because the quantitative indicators (4.1 turnover ratio, 11.8% cost-to-equity ratio) are elevated but not at levels that create an irrebuttable presumption of churning. The client's unusual sophistication - a former Series 7 holder who actively participated in trading decisions and documented her preference for active management - significantly muddies the control element typically required for churning claims. Yet the pattern of short-term rotations between functionally similar securities, the significant underperformance, and the commission-driven incentive structure suggest the activity may not have served the client's stated moderate growth-and-income objectives regardless of her sophistication. The case turns on whether a sophisticated client's active participation and documented consent can justify trading levels that would clearly be excessive for a typical retail investor with the same stated objectives.

### Borderline Factors

- Turnover rate of 4.1 is elevated but below the 6.0 threshold often cited as presumptively excessive
- Cost-to-equity ratio of 11.8% is high and suggests the account needed substantial returns just to break even
- Client held a lapsed Series 7 license and was demonstrably knowledgeable about markets and trading
- Client initiated approximately 25% of trades and documented her desire for active management in emails
- Client acknowledged in writing that she was comfortable with the activity level
  - Approximately 40 of 87 trades involved short-term rotations between similar securities with no documented strategic rationale
- Account underperformed a suitable benchmark by approximately 7% over two years
- Account was non-discretionary, requiring client approval for each trade
- Client had substantial additional retirement assets (\$800,000) reducing dependency on this account

- Quarterly commission summaries were provided and acknowledged by client

### Likely Outcome

A regulator or arbitration panel would likely find this to be a genuinely contested case. The most probable outcome is a finding of partial liability or a negotiated settlement. While the quantitative metrics support a churning finding and the pattern of similar-security rotations is difficult to justify, the client's documented sophistication, active participation, and written endorsement of the trading level significantly weaken the claim. A panel might find that Billings should have exercised greater professional judgment and pushed back harder against excessive trading even when the client encouraged it, particularly given her stated moderate risk tolerance. A likely arbitration result would be an award of partial damages - perhaps 40-60% of the total commissions - reflecting shared responsibility. A regulator might pursue a supervisory action against the firm for failing to flag the account's activity metrics rather than a direct enforcement action against the advisor.

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## Borderline Scenario 231

*Topic: reverse\_churning | Standard: FINRA Rule 2111 (Suitability), including the account-type suitability component; Regulation Bes*

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### Fact Pattern

Margaret Holloway, age 58, a semi-retired school principal with \$1.2 million in retirement savings, transitioned her account from a commission-based brokerage arrangement to a fee-based advisory account with her longtime advisor, David Kessler, in March 2021. The advisory account charged an annual wrap fee of 1.25% on assets under management, or roughly \$15,000 per year. Kessler explained that the fee-based model would provide ongoing portfolio monitoring, quarterly rebalancing, and access to his financial planning team. Holloway agreed to the transition, noting in her signed account documents that she wanted 'steady management with someone watching things' as she approached full retirement. Over the next 30 months-from March 2021 through August 2023-Kessler executed a total of 11 trades in the account: four rebalancing transactions in late 2021, three modest allocation shifts in mid-2022 to reduce equity exposure as Holloway neared her planned retirement date, and four bond purchases in early 2023 to build a fixed-income ladder. The account's annualized return over this period was approximately 6.8%, slightly outperforming a blended benchmark of 60/40 equities and bonds by about 40 basis points. Had Holloway remained in a commission-based account, her total trading costs for the same 11 trades would have been approximately \$2,200 in commissions, compared to the roughly \$37,500 in wrap fees she actually paid over the 30-month period. Kessler's firm did provide Holloway with access to a proprietary retirement income planning tool, two in-person annual reviews, and Kessler personally called her during the 2022 market correction to discuss her comfort level and recommend reducing her equity allocation. Holloway's account documents listed her investment objective as 'income with moderate growth,' her risk tolerance as 'moderate,' and her time horizon as '5-10 years.' Holloway later filed a complaint alleging that Kessler parked her money and collected fees without providing meaningful active management, effectively costing her over \$35,000 in unnecessary advisory fees. Kessler responded that the advisory relationship encompassed far more than just trade execution-including planning services, monitoring, behavioral coaching during volatile markets, and strategic rebalancing-and that the low trading frequency reflected a deliberate, disciplined buy-and-hold approach consistent with Holloway's conservative pre-retirement profile.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

The core issue is whether placing Holloway in a fee-based advisory account was appropriate given the relatively low level of trading activity that followed. Arguments that Kessler violated his obligations: The cost disparity is stark-\$37,500 in wrap fees versus an estimated \$2,200 in commissions for identical trades represents a roughly 17:1 cost ratio. Under FINRA Rule 2111 and its supplementary materials, as well as Regulation Best Interest's care obligation under Exchange Act Rule 15l-1, an advisor must have a reasonable basis to believe that a recommended account type is in the customer's best interest. FINRA Regulatory Notice 03-68 specifically warned about reverse churning, where advisors place clients in fee-based accounts and then engage in minimal trading, effectively collecting ongoing fees for little or no service. The low turnover rate (approximately 0.3 annualized) and minimal number of trades could suggest the account type was not cost-justified. Arguments that Kessler acted appropriately: The analysis cannot be reduced to a simple trade-count comparison. The advisory relationship provided documented value beyond trade execution: retirement income planning tools, proactive outreach during market volatility, strategic rebalancing, and quarterly monitoring. Holloway herself stated she wanted 'someone watching things,' suggesting she valued the ongoing relationship and monitoring component. The account outperformed its benchmark, which undercuts any claim of harm. The low trading frequency was arguably the right approach for a moderate-risk pre-retiree-frequent trading would have been a separate red flag. Under the SEC's interpretation of Reg BI and the DOL's fiduciary guidance for retirement accounts, the value of advisory services extends beyond transaction execution to encompass holistic planning. The 1.25% fee is within the normal range for full-service advisory accounts. Additionally, FINRA has acknowledged that fee-based accounts can be appropriate for buy-and-hold investors when meaningful advisory services are actually delivered.

**Why Borderline**

This case sits in the gray zone because both the cost comparison and the service-value argument have genuine merit. The cost differential is significant enough to raise legitimate concern, but the documented advisory services-planning tools, behavioral coaching during a real market correction, strategic allocation shifts-are exactly the types of non-transactional value that fee-based accounts are designed to provide. The client's own stated preference for ongoing monitoring arguably supports the account type recommendation, yet a reasonable regulator could conclude that the magnitude of the cost disparity means the advisor should have recognized that a commission-based arrangement would have served the client better. The fact that Holloway's moderate, pre-retirement profile naturally called for infrequent trading cuts both ways: it justified the low activity level but simultaneously undermined the rationale for paying ongoing advisory fees.

**Borderline Factors**

- The 17:1 cost ratio between wrap fees and hypothetical commissions is significant but the account outperformed its benchmark
- Client expressly stated she wanted ongoing monitoring and 'someone watching things,' suggesting informed preference for advisory relationship
- Only 11 trades over 30 months, but each trade was purposeful and tied to a documented strategic rationale (rebalancing, de-risking, income ladder)
- Advisor provided demonstrable non-transactional services including proactive outreach during 2022



correction and retirement planning tools

- The 1.25% fee is within industry norms for full-service advisory accounts, not an outlier
- Client's conservative pre-retirement profile naturally calls for a buy-and-hold strategy, making low activity both appropriate and potentially cost-unjustified for a wrap account
- No evidence of intent to 'park' assets-advisor appears to have been genuinely engaged, just not executing many trades

### Likely Outcome

A regulator would most likely investigate but ultimately decline to bring a formal action, or resolve the matter with a cautionary letter or minor supervisory finding. The documented advisory services, the client's stated preference for ongoing monitoring, and the account's positive performance would likely be viewed as mitigating factors. However, the firm might be required to enhance its account-type review procedures and demonstrate more robust cost-benefit analysis at the point of account conversion. If the matter went to arbitration, a panel might award partial damages reflecting the fee differential for the periods with the least advisory activity, but a full disgorgement of fees would be unlikely given the services actually provided.

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## Borderline Scenario 232

*Topic: junk\_bonds\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability), including reasonable-basis, customer-specific, a*

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### Fact Pattern

Richard and Elaine Yamamoto, both 67 years old and fully retired, had a combined portfolio of \$850,000 managed by their advisor, Cynthia Reeves, at a regional broker-dealer. Their account documents, updated in January 2022, listed their investment objectives as 'current income and capital preservation,' their risk tolerance as 'conservative,' and their annual income need from the portfolio as approximately \$38,000 to supplement Social Security and a small pension. They had no other significant liquid assets. In February 2022, Reeves recommended that the Yamamotos allocate approximately \$127,500-15% of their portfolio-to a diversified high-yield bond fund, the Meridian High Yield Income Fund, which invested primarily in bonds rated BB and B by major credit rating agencies, with a small allocation (under 10% of the fund) to CCC-rated issuances. The fund had a 7-year track record showing an average annual return of 5.8%, a yield of approximately 5.4%, and a maximum drawdown during the March 2020 COVID selloff of 12.3%, after which it fully recovered within five months. The fund's expense ratio was 0.72%. Reeves documented her rationale in an internal memo, explaining that the Yamamotos needed income yield that investment-grade bonds could not provide in the prevailing low-rate environment, that the fund's diversification across over 400 issuers mitigated individual default risk, and that the 15% allocation was a measured position within an otherwise conservative portfolio that held 50% in investment-grade bonds, 20% in dividend-paying large-cap equities, and 15% in Treasury securities. Reeves also noted that the Yamamotos' \$38,000 annual income need represented a 4.5% withdrawal rate, which was difficult to sustain with an all-investment-grade portfolio yielding under 3% at the time. Over the next 12 months, the fund lost approximately 11.2% of its value as rising interest rates and widening credit spreads hit the high-yield market. The Yamamotos' position declined from \$127,500 to approximately \$113,200, a loss of roughly \$14,300. Meanwhile, the investment-grade portion of their portfolio also declined, though more modestly. The Yamamotos complained that a conservative, retired couple should never have been placed in junk bonds, and that the loss jeopardized their ability to meet living expenses. Reeves countered that a

15% allocation to a well-diversified high-yield fund was a standard income-generation tool for retirees, that the losses were part of a broad fixed-income selloff affecting all bond categories, and that the alternative—an all-investment-grade portfolio—would have generated insufficient income to meet their stated needs, potentially forcing them to liquidate principal at a faster rate.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Reeves violated her obligations: The Yamamotos' documented profile—conservative risk tolerance, capital preservation objective, full retirement with no other liquid assets—is the archetype of a client for whom below-investment-grade securities raise red flags. Under FINRA Rule 2111, the advisor must ensure that a recommendation is suitable based on the customer's investment profile, including risk tolerance and financial situation. FINRA has repeatedly cautioned that high-yield bonds carry equity-like risks including significant credit and default risk, and Regulatory Notice 12-03 emphasizes heightened scrutiny for recommendations to elderly or retired customers. The 12.3% maximum drawdown history of the fund, combined with the Yamamotos' reliance on the portfolio for living expenses and absence of other liquid reserves, suggests that even a 15% allocation to a volatile asset class was inconsistent with capital preservation. The \$14,300 loss, while not catastrophic in isolation, represented roughly four and a half months of the couple's supplemental income need. Under Reg BI's care obligation, Reeves was required to consider reasonably available alternatives—such as a slightly higher allocation to investment-grade corporates, TIPS, or a modest reduction in income expectations—rather than reaching for yield through sub-investment-grade credit. Arguments that Reeves acted appropriately: The recommendation must be evaluated in context, not in isolation. A 15% allocation to a diversified high-yield fund with over 400 issuers—predominantly BB and B rated, which are the highest-quality tiers of the high-yield spectrum—is materially different from purchasing individual junk bonds or a fund concentrated in distressed debt. Numerous major financial planning frameworks, including those used by Vanguard, Morningstar, and leading retirement research, include modest high-yield allocations in conservative retirement portfolios specifically because the income need is real and must be addressed. Reeves documented a legitimate portfolio construction rationale: the Yamamotos' 4.5% withdrawal rate required yield that investment-grade bonds simply could not provide at prevailing rates without significantly faster principal depletion. The loss experienced was driven by the same interest rate environment that also caused investment-grade bonds to decline—2022 was the worst year for broad bond indices in decades—so the losses were not unique to the high-yield allocation. The remaining 85% of the portfolio was conservatively positioned in investment-grade bonds, Treasuries, and blue-chip dividend stocks. Additionally, Reeves's internal memo demonstrates a thoughtful, documented decision-making process rather than a cavalier recommendation.

### Why Borderline

This scenario is genuinely ambiguous because it pits two legitimate principles against each other. On one hand, the client's conservative profile and capital preservation objective create a strong presumption against sub-investment-grade securities. On the other hand, financial planning reality demands that retirees with meaningful income needs and limited assets must generate sufficient yield, and a modest allocation to a diversified high-yield fund is widely accepted practice among credible financial planners. The 15% allocation is small enough to be defensible but large enough to have caused real dollar losses for a couple with no financial cushion. The fact that the losses were driven by an unprecedented broad bond market

selloff rather than credit-specific events further complicates the analysis, as does Reeves's documented rationale addressing the genuine income gap problem.

### Borderline Factors

- Client profile explicitly states 'conservative' risk tolerance and 'capital preservation' objective, creating tension with any sub-investment-grade allocation
- The 15% allocation is modest and falls within ranges commonly recommended by mainstream financial planning methodologies for income-oriented retirees
- The fund was well-diversified across 400+ issuers and concentrated in the higher-quality tiers (BB/B) of the high-yield spectrum, not distressed debt
- The Yamamotos' 4.5% withdrawal rate created a genuine income problem that investment-grade bonds alone could not solve at prevailing rates
- Losses of \$14,300 were meaningful relative to the couple's annual income need but were driven by broad market conditions affecting all fixed income, not credit-specific events
- Advisor documented her rationale in an internal memo showing thoughtful portfolio construction analysis
- The Yamamotos had no other liquid assets, heightening the consequence of any portfolio losses
- An all-investment-grade alternative would have also experienced losses in 2022 and would have generated less income, potentially requiring faster principal liquidation

### Likely Outcome

A regulator would likely view this as a close case but probably would not bring a formal enforcement action, particularly given the documented rationale, the modest allocation size, the fund's diversification, and the broad market conditions that caused losses across all fixed-income categories. However, an arbitration panel might be more sympathetic to the Yamamotos, especially given their age, conservative stated objectives, and lack of financial cushion. The most likely resolution in arbitration would be a partial award-perhaps 30-50% of the losses-reflecting a finding that while the recommendation was not unreasonable, the advisor should have been more cautious given the clients' specific vulnerability. A regulator might issue a cautionary finding regarding the firm's supervisory procedures for recommending high-yield products to conservative elderly clients.

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## Borderline Scenario 233

Topic: penny\_stocks\_unsuitable | Standard: FINRA Rule 2111 (Suitability) - including reasonable-basis, customer-specific, and quan

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### Fact Pattern

Margaret Hollis, age 58, is a retired school administrator with a \$620,000 portfolio consisting primarily of municipal bonds, blue-chip dividend stocks, and a small allocation to a balanced mutual fund. Her account documents list her risk tolerance as 'moderate,' her investment objective as 'income with moderate growth,' and her time horizon as '10-15 years.' She has no prior experience with penny stocks or microcap securities. In January 2023, her financial advisor, Derek Nolan, recommended she invest \$18,500 - roughly 3% of her portfolio - into shares of a penny stock trading at \$0.82 per share. The company, GreenVolt Micro Inc., was a small battery technology startup that had recently been featured in several mainstream financial publications as a potential acquisition target by a major electric vehicle manufacturer. Nolan explained to Hollis that the position was speculative but that the risk-reward profile was favorable given the acquisition

rumors and that limiting the position to 3% of her portfolio would contain the downside. He documented the conversation in a detailed email to Hollis, noting the speculative nature of the investment and that she could lose the entire \$18,500. Hollis replied by email saying she understood the risks and was 'excited about the opportunity' and authorized the purchase. Over the following four months, the stock rose to \$2.10, and Hollis's position was worth approximately \$47,000. Nolan recommended she sell half the position to lock in gains, which she did, realizing approximately \$23,500 in proceeds. In August 2023, the acquisition rumors faded, and the stock dropped to \$0.35. Hollis's remaining shares were worth approximately \$7,900. She filed a complaint alleging that Nolan never should have recommended a penny stock to a conservative retiree and that the recommendation was fundamentally unsuitable regardless of position size. Nolan countered that the position was carefully sized, well-documented, that Hollis gave informed consent, and that the partial profit-taking demonstrated prudent management of the speculative position.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Nolan violated suitability requirements center on the fundamental mismatch between the client's profile and the nature of penny stocks. Hollis was a 58-year-old retiree with moderate risk tolerance, an income-oriented investment objective, and zero experience with speculative microcap securities. Penny stocks are among the most speculative and volatile securities available, carrying extreme risks including illiquidity, limited public information, and susceptibility to manipulation. Under FINRA Rule 2111(a), a recommended transaction must be suitable based on the customer's investment profile, which includes risk tolerance, financial situation, investment experience, and stated objectives. A reasonable argument exists that no allocation to a penny stock - regardless of size - is suitable for a client with these characteristics. The penny stock suitability rules under Section 15(h) of the Securities Exchange Act and SEC Rule 15g-9 impose heightened obligations for penny stock recommendations, including specific written disclosures and suitability determinations. Additionally, under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), the advisor must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks and rewards. On the other hand, Nolan has several strong defenses. The 3% position size is well within commonly accepted thresholds for satellite or speculative positions even in moderate portfolios. Many financial planning frameworks acknowledge that moderate-risk investors can tolerate small speculative allocations. Nolan documented the risks thoroughly, obtained written acknowledgment, and the client expressed enthusiasm. He also demonstrated active management by recommending a partial sale at a profit, which is evidence of ongoing diligence. The fact that Hollis ultimately recovered more than her initial investment on the sold portion further complicates the harm analysis. Under the quantitative suitability component of Rule 2111, the overall portfolio was not overconcentrated in speculative positions. Some arbitration panels have recognized that small speculative positions within diversified portfolios can be suitable even for conservative investors when properly disclosed.

### Why Borderline

This case sits in a genuine gray zone because it pits two legitimate analytical frameworks against each other. Under a 'product-level' suitability analysis, a penny stock is categorically unsuitable for a moderate-risk retiree with no speculative experience. Under a 'portfolio-level' suitability analysis, a 3% speculative allocation within an otherwise conservative portfolio may be entirely reasonable and within the

client's capacity for loss. The thorough documentation, informed consent, and active risk management (partial profit-taking) cut strongly in the advisor's favor, while the client's complete lack of experience with this asset class and her stated income-oriented objectives cut against. Reasonable regulators could disagree about whether position sizing and documentation can cure the fundamental product-profile mismatch.

### Borderline Factors

- The 3% allocation is small relative to the total portfolio, but the security itself is among the most speculative available
- Client's stated risk tolerance is 'moderate' - not conservative, but not aggressive either - creating ambiguity about the outer bounds of permissible recommendations
- Thorough written documentation and client acknowledgment of risks
- Client had zero prior experience with penny stocks or microcap securities
- Advisor actively managed the position by recommending partial profit-taking
- The client expressed genuine enthusiasm and authorized the trade willingly
- The net financial outcome is mixed - partial gains were realized, but the remaining position suffered significant loss
- Investment objective of 'income with moderate growth' does not explicitly exclude speculative positions

### Likely Outcome

A regulator would likely issue a cautionary letter or impose a minor sanction rather than pursue a full enforcement action. The small position size, thorough documentation, and active risk management are strong mitigating factors that would give many arbitration panels and regulators pause. However, the complete absence of any prior speculative experience and the nature of penny stocks could lead a panel to find a technical suitability violation with minimal or no damages, particularly since the client recovered a significant portion of her investment through the partial sale. The outcome would likely depend heavily on the specific arbitration panel's or examiner's philosophy regarding product-level versus portfolio-level suitability analysis.

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## Borderline Scenario 234

*Topic: speculative\_for\_conservative\_investor | Standard: FINRA Rule 2111 (Suitability) - reasonable-basis, customer-specific, and q*

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### Fact Pattern

Walter Briggs, age 71, is a retired machinist living on a fixed income consisting of Social Security (\$2,400/month) and a small pension (\$1,100/month). His total liquid net worth is approximately \$340,000, held in an IRA that constitutes essentially his entire retirement savings beyond Social Security and pension. His account application, completed in March 2022, lists his risk tolerance as 'conservative,' his investment objective as 'capital preservation and income,' and his investment experience as 'limited - mostly CDs and savings bonds.' His advisor, Pamela Chen, had managed his account for three years. In April 2022, as interest rates were rising and bond prices were falling, Chen recommended that Briggs reallocate 25% of his IRA (\$85,000) from intermediate-term bond funds into a diversified portfolio of high-yield corporate bond ETFs (average credit rating BB) and a covered call ETF that generates income by writing options on an S&P 500 index position. Chen's rationale, documented in her meeting notes, was that Briggs's existing

intermediate-term bond funds were losing value as rates rose, that high-yield bonds would provide higher income with shorter effective duration, and that the covered call ETF would generate monthly income while providing some equity market participation with reduced volatility compared to direct equity ownership. She noted that Briggs needed higher income to cover rising costs of living and that his pension and Social Security provided a stable income floor. Briggs agreed to the reallocation. Over the next 12 months, the high-yield bond ETFs lost approximately 6% in value (roughly \$3,000 on the \$50,000 allocation) while generating about \$3,200 in income, and the covered call ETF gained approximately 4% in total return including distributions on the \$35,000 allocation. By comparison, his former intermediate-term bond funds lost approximately 9% over the same period. Briggs's daughter, who holds his power of attorney, later complained that her father should never have been moved into high-yield 'junk' bonds and an options-based strategy given his conservative profile and advanced age, and that he did not fully understand what covered call strategies entail. Chen responded that the recommendations actually reduced portfolio losses compared to the prior allocation, generated needed income, and were appropriate given the rising rate environment.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case for a violation rests on the straightforward mismatch between Briggs's conservative profile and the speculative characteristics of the recommended products. At 71, with limited investment knowledge, a conservative risk tolerance, a capital preservation objective, and an IRA representing virtually all liquid savings, Briggs is a textbook conservative investor. High-yield corporate bonds carry meaningful credit risk and are often classified as speculative-grade securities. A covered call ETF, while income-generating, involves options strategies that add complexity and may not be well understood by an investor whose experience is limited to CDs and savings bonds. Under FINRA Rule 2111's customer-specific suitability obligation, recommendations must align with the customer's investment profile. Under Regulation Best Interest's Care Obligation, the advisor must consider reasonably available alternatives. A regulator could argue that investment-grade short-duration bond funds or Treasury securities would have addressed the rising rate concern without introducing credit risk or options complexity. The 25% allocation to these products is not trivial - it represents a meaningful portion of Briggs's only liquid retirement asset. The daughter's allegation that Briggs didn't understand covered calls is significant, as it raises questions about whether informed consent was truly obtained from a client with limited experience. However, Chen has substantial defenses. The recommendations were made in a specific market context where the client's existing holdings were actively losing value. The high-yield bond allocation, while below investment grade, was diversified through ETFs rather than concentrated in individual issues, which mitigates credit risk. The covered call ETF is widely regarded as a lower-volatility income strategy - it is not naked options writing or leveraged speculation. The empirical outcome supports Chen's judgment: Briggs's portfolio performed better than it would have under the prior allocation, losing less in the high-yield bonds while generating more income, and gaining in the covered call ETF. Chen documented her rationale contemporaneously. The allocation represented only 25% of the portfolio, leaving 75% in presumably more conservative holdings. Under FINRA's reasonable-basis suitability component, an advisor must have a reasonable basis for believing the recommendation is suitable, and the economic logic here - reducing duration risk and increasing income in a rising rate environment - is sound and well-recognized. Furthermore, Briggs's pension and Social Security provide approximately \$3,500/month in guaranteed income, which creates an



income floor that arguably allows for slightly more risk-taking in his investment portfolio than his stated 'conservative' tolerance might suggest in isolation.

### Why Borderline

This scenario is genuinely ambiguous because the advisor's recommendations, while involving products typically considered inappropriate for conservative investors, were made in response to a legitimate and documented market concern (rising rates eroding the client's existing conservative holdings), were diversified through ETFs rather than individual speculative positions, and empirically outperformed the prior allocation. The tension between the client's stated conservative profile and the economic rationality of the advisor's tactical adjustment creates a real gray area. Reasonable practitioners disagree about whether a covered call ETF is a 'conservative income strategy' or an 'options-based speculative product,' and whether BB-rated high-yield bond ETFs are unsuitable for conservative investors or simply a reasonable duration-management tool. The daughter's complaint about the father's comprehension adds a dimension that is difficult to resolve without deeper factual investigation.

### Borderline Factors

- Client's stated risk tolerance is conservative and investment experience is very limited, but his guaranteed income floor from pension and Social Security may support a slightly higher risk capacity
- High-yield bonds are rated below investment grade (BB average) but were held through diversified ETFs, not individual speculative issues
- Covered call ETFs are marketed as income and reduced-volatility strategies, but they involve options - a product class typically associated with sophistication
- The 25% allocation is significant for a client whose IRA is his only liquid savings, but 75% remained in conservative holdings
- The advisor documented her rationale and the market context (rising rates) that motivated the recommendation
- The portfolio actually outperformed the prior conservative allocation over the relevant period
- The complaint was filed by the client's daughter, not the client himself, raising questions about the client's own satisfaction with the strategy
- The question of whether Briggs truly understood covered call strategies is a factual dispute that cuts to the heart of informed consent

### Likely Outcome

A regulator would likely find this to be a close case that could go either way depending on the weight given to the advisor's documented rationale versus the client's conservative profile. On balance, a regulator might decline to pursue a formal enforcement action but could require enhanced supervisory procedures. An arbitration panel might find a technical suitability concern with the covered call ETF recommendation given Briggs's limited experience, but would likely award minimal or no damages given the favorable comparative performance. If the regulator focuses on process (documentation, rationale, client communication), Chen fares well. If the focus is on the categorical mismatch between product complexity and client sophistication, the outcome is less favorable. The 25% allocation size is likely the pivotal factor - it's large enough to matter but not so large as to be egregious.

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## Borderline Scenario 235

Topic: illiquid\_real\_estate\_investment | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment

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### Fact Pattern

Margaret Hollis, age 61, is a recently retired high school principal with a \$1.2 million retirement portfolio, a \$340,000 state pension annuity providing \$2,800/month in guaranteed income, and a fully paid-off home valued at approximately \$425,000. Her monthly expenses are roughly \$4,100 per month, meaning her pension covers about 68% of her living costs. She told her financial advisor, Ryan Dorsey, that she wanted to generate additional income to cover the gap without drawing down her portfolio too aggressively. She also mentioned that she had no plans to move or make large purchases in the near term and described herself as a 'patient investor.' She completed a new-account form indicating moderate risk tolerance, a 15-to-20-year investment horizon, and income generation as her primary objective. In March 2022, Dorsey recommended she invest \$180,000 - approximately 15% of her liquid portfolio - into a non-traded real estate investment trust (REIT) focused on a diversified portfolio of medical office buildings and senior living facilities. The REIT paid a 6.2% annualized distribution yield, had a minimum seven-year hold period before any anticipated liquidity event, and carried upfront fees of approximately 8.5% (including selling commissions, dealer manager fees, and offering costs). Dorsey explained the illiquidity, the fee structure, and the lack of a public market for shares. Margaret signed all disclosure documents acknowledging these risks. Dorsey noted in his file that the investment aligned with her income needs and long-term horizon, and that her pension and remaining \$1.02 million in liquid assets provided sufficient cushion. Over the next 18 months, the REIT performed as expected, paying regular distributions. However, in late 2023, Margaret's husband was diagnosed with early-onset dementia, creating unexpected caregiving costs of approximately \$3,500/month. Margaret contacted Dorsey requesting to liquidate her REIT position. She was informed that no redemption program was currently available and that early exit, if possible through a secondary market, would likely result in a 20-30% loss on her invested capital. Margaret filed a complaint alleging the illiquid investment was inappropriate for someone her age who was already in retirement.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Dorsey violated applicable standards: Margaret was 61 and already retired at the time of the recommendation, placing her in a demographic category where regulators historically scrutinize illiquid investments more carefully. A seven-year minimum hold period would extend to age 68 at minimum, during which time health or life events - exactly like the one that occurred - become statistically more likely. The 8.5% upfront fee load is significantly higher than publicly traded REIT alternatives or REIT mutual funds, which could have generated comparable income at lower cost and with daily liquidity. Regulators have increasingly questioned whether non-traded REITs with high front-end loads serve clients' best interests when comparable liquid alternatives exist. Additionally, while 15% of her liquid portfolio is not extreme concentration, locking up \$180,000 for a retiree whose pension only partially covers expenses creates a meaningful risk if unexpected costs arise. The fact that unforeseen circumstances materialized does not eliminate the obligation to plan for reasonably foreseeable contingencies - and for a 61-year-old retiree, health-related expenses are foreseeable. Arguments that Dorsey acted appropriately: At the time of the recommendation, Margaret had substantial liquidity remaining (\$1.02 million), a reliable pension covering most expenses, no debt, and a stated long-term horizon. The 15% allocation to a non-traded REIT for a moderate-risk investor seeking income is within ranges many practitioners consider reasonable. Dorsey

provided full disclosure of fees, illiquidity, and risks, and Margaret acknowledged these in writing. Her stated investment profile - patient investor, 15-20 year horizon, income-focused - aligned well with the product's characteristics. The husband's dementia diagnosis was an unforeseeable life event that changed her circumstances after the recommendation was made. Advisors cannot be held responsible for recommending products that become unsuitable only due to subsequent unforeseen events. The medical office and senior living focus of the REIT was a reasonable sector choice for income stability. Dorsey also documented his rationale contemporaneously.

### Why Borderline

This case sits in genuine gray territory because the recommendation was facially reasonable given Margaret's financial profile at the time - she had ample remaining liquidity, reliable pension income, and a long time horizon. However, the combination of her age, retired status, the high fee load compared to liquid alternatives, and the inherent unpredictability of health events in one's 60s creates a legitimate question about whether the advisor adequately accounted for contingency needs. Reasonable practitioners disagree about appropriate non-traded REIT allocations for recent retirees, and regulators have shown inconsistent enforcement thresholds for this exact scenario.

### Borderline Factors

- Client was 61 and already retired, increasing likelihood of health-related liquidity needs, but had a 15-20 year stated horizon
- 15% allocation to illiquid product is moderate but not extreme - below common 20% thresholds some firms impose
- 8.5% upfront fees are high relative to publicly traded REIT alternatives that could generate similar income
- Remaining \$1.02 million in liquid assets and pension income provided substantial cushion at the time
- Full written disclosure of illiquidity and fees was provided and acknowledged
  - The triggering event (spouse's dementia) was not reasonably foreseeable at the time of the recommendation
- Income generation objective aligned with the product's distribution yield
- Advisor documented rationale contemporaneously in client file

### Likely Outcome

A regulator would likely find this a close call but may lean toward no violation, with possible criticism of the advisor's practices. The documentation, disclosure, remaining liquidity, and alignment with stated objectives at the time of the recommendation provide a reasonable defense. However, some arbitration panels might award partial damages, particularly emphasizing the fee differential between the non-traded REIT and liquid alternatives and the advisor's compensation incentive. If the firm had heightened internal suitability thresholds for non-traded REITs and retirees - such as age-based concentration limits - and Dorsey complied with them, that would further support the advisor. If the firm lacked such policies, a regulator might view the firm's supervisory framework as deficient even if the individual recommendation was within a zone of reasonableness.

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## Borderline Scenario 236

Topic: *private\_placements\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) encompasses three obligations: reasonable-basis*

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**Fact Pattern**

Dr. Kevin Osei, age 44, is a board-certified orthopedic surgeon earning approximately \$680,000 per year with a net worth of roughly \$3.8 million, including \$1.4 million in retirement accounts, \$900,000 in taxable brokerage accounts, \$600,000 in equity in his medical practice, a \$550,000 home (with \$280,000 mortgage remaining), and approximately \$350,000 in cash and money market accounts. He has been a client of financial advisor Laura Brennan for three years. Over that period, Brennan helped him build a diversified portfolio of index funds, individual bonds, and some actively managed funds. In September 2021, Brennan presented Dr. Osei with a private placement offering in a technology-focused venture capital fund structured as a limited partnership. The fund targeted early-stage healthcare technology companies and had a minimum investment of \$200,000, a projected five-to-seven-year hold period, no guaranteed distributions, and total fees of approximately 2% annual management fee plus 20% carried interest on profits above an 8% hurdle rate. The offering memorandum disclosed significant risks including total loss of capital, extreme illiquidity, no secondary market, concentration in a narrow technology sector, and reliance on the general partner's expertise. Dr. Osei qualified as an accredited investor based on both income and net worth thresholds. Brennan recommended a \$200,000 investment - representing approximately 5.3% of his total net worth and roughly 8.7% of his liquid investable assets (excluding retirement accounts, practice equity, and home equity). During their meeting, Dr. Osei expressed enthusiasm about the healthcare technology focus, saying he 'saw these technologies firsthand in his practice' and believed 'this space is going to explode.' Brennan's notes reflect that she discussed the risks, the illiquidity, and the possibility of total loss. She also noted that the investment would provide portfolio diversification into venture capital, an asset class he had no exposure to, and potential for outsized returns appropriate for a high-earning professional still in his peak earning years with a long investment horizon. Dr. Osei had no prior experience investing in private placements or venture capital. His account documents listed his risk tolerance as 'moderate-to-aggressive' and his investment experience as 'extensive' in stocks and bonds but 'none' in alternative investments. By mid-2023, the fund's two largest portfolio companies had failed, and the fund reported a 55% decline in estimated net asset value. Dr. Osei filed a complaint claiming the investment was inappropriate given his lack of experience with alternatives and that Brennan should have steered him toward more conventional growth investments.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Brennan violated applicable standards: Dr. Osei had zero experience with private placements, venture capital, or alternative investments of any kind. His documented investment experience was limited to stocks and bonds. Recommending a complex, illiquid limited partnership interest to a client with no alternative investment experience raises concerns about the 'customer-specific' and 'reasonable-basis' prongs of suitability analysis. The total fee structure (2% management fee plus 20% carry) is substantially higher than conventional growth-oriented investments. While accredited investor status permits participation, it does not establish suitability - qualifying financially is not the same as the investment being appropriate. Brennan had an obligation to ensure the client understood the qualitative differences between private venture capital and public equity investing, including J-curve dynamics, capital call risk, valuation uncertainty, and the fundamentally different risk-return profile. The client's enthusiasm about healthcare technology may have reflected sector familiarity, not investment sophistication. Some regulators have taken the position that a client's professional knowledge of an industry does not equate to

understanding the financial risks of venture capital investing in that industry. Arguments that Brennan acted appropriately: Dr. Osei is a high-income professional in his mid-40s with decades of earning potential ahead, a strong net worth, and diversified existing holdings. The \$200,000 allocation represented only 5.3% of total net worth and under 9% of liquid assets - a modest allocation to a single alternative investment. His risk tolerance was documented as moderate-to-aggressive, and he had a long time horizon. The healthcare technology focus leveraged his professional insight, and adding venture capital exposure introduced genuine diversification benefit to a portfolio that was entirely in traditional assets. Brennan disclosed all material risks, documented the discussion, and the client signed comprehensive offering documents. The fact that the investment lost value does not retroactively make it unsuitable - venture capital inherently carries binary outcome risk, which is precisely why the allocation was sized conservatively. Many financial planning frameworks recommend 5-10% alternative allocations for high-net-worth clients, and this fell at the low end. Every investor has a first alternative investment at some point; lack of prior experience alone should not preclude participation when the investor is sophisticated in other respects, the allocation is modest, and the risks are fully disclosed.

### Why Borderline

The core tension is between the client's financial capacity to absorb the risk (strong income, diversified assets, long horizon, modest allocation size) and his complete lack of experience with the type of investment being recommended. Reasonable professionals disagree about whether a financially capable client's first venture into alternatives should be flagged as unsuitable simply because it's novel to them, particularly when the position size is conservative and disclosure was thorough. The 55% loss is significant but not inconsistent with expected venture capital outcomes, making the hindsight question especially salient. Additionally, the client's own enthusiasm and professional knowledge of the sector complicates the narrative of an unsophisticated investor being led astray.

### Borderline Factors

- Client had zero prior experience with alternative investments or private placements despite extensive stock/bond experience
- Allocation was conservatively sized at 5.3% of net worth and 8.7% of liquid assets
- Client was a high-income earner in peak years with long investment horizon and capacity to absorb total loss
- Client expressed enthusiastic interest and had professional domain expertise in the fund's target sector
- Accredited investor qualification was clearly met but does not alone establish suitability
- Fee structure (2/20) is high relative to conventional alternatives but standard for venture capital
- Comprehensive risk disclosure was provided and documented by the advisor
- 55% loss is severe but within expected variance for early-stage venture capital
- Client's documented risk tolerance was moderate-to-aggressive, supporting some alternative exposure
- No prior alternative investment experience was explicitly noted on account documents, creating a paper trail that cuts both ways

### Likely Outcome

A regulator would likely view this as a defensible recommendation, though not without scrutiny. The conservative sizing, thorough disclosure, alignment with the client's risk tolerance and financial capacity, and documentation of the rationale provide Brennan with strong defenses. However, the complete absence of alternative investment experience, combined with the inherent complexity of private placement limited

partnerships, could lead a regulator or arbitration panel to question whether Brennan satisfied her obligation to ensure reasonable-basis suitability - i.e., whether she had sufficient grounds to believe that a client with no alternative investment experience could understand the unique risks of venture capital. The most likely outcome is that the complaint is either dismissed or resolved with a modest settlement, with the advisor receiving a cautionary letter about enhanced due diligence when introducing clients to entirely new asset classes for the first time. If the firm had specific policies requiring heightened review for clients' first alternative investments, and those were not followed, the outcome could shift toward a finding of supervisory failure.

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### Borderline Scenario 237

*Topic: margin\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment strategy*

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#### Fact Pattern

Gerald Whitfield, age 58, was a semi-retired engineering consultant who earned approximately \$120,000 per year from intermittent contract work. He had a brokerage account with \$485,000 in equities, a separate 401(k) worth \$610,000, and owned his home outright valued at \$390,000. His stated investment objective was 'growth with moderate risk,' and he indicated on his new account form that he had 'extensive' investment experience, having traded stocks actively for over 20 years, including previous use of margin in accounts at two other firms. In March 2022, his advisor, Dana Kirkland, recommended that Gerald open a margin account and use approximately \$145,000 in margin (roughly 30% of his portfolio equity) to purchase shares in three large-cap technology companies - Microsoft, Apple, and Alphabet - during a market pullback. Kirkland explained that the margin interest rate was 7.5%, but that the expected dividend yields and capital appreciation from buying quality names 'on sale' would likely exceed the borrowing costs. Gerald agreed and signed the margin agreement, which included standard risk disclosures about margin calls and forced liquidation. Over the next four months, the positions declined an additional 18%, and Gerald received two margin calls totaling \$52,000. He liquidated other holdings at a loss to meet the calls. By December 2022, the tech stocks had recovered significantly and Gerald's overall portfolio - including the margined positions - was up 6% from the pre-margin starting point, net of all interest costs and losses from forced sales. However, Gerald filed a complaint in January 2023, alleging that the margin strategy caused him severe anxiety during the drawdown, that Kirkland never adequately explained the real-world impact of margin calls on someone approaching full retirement within five years, and that he felt pressured to agree because Kirkland framed it as a 'once-in-a-decade opportunity.' Kirkland maintained that Gerald was a sophisticated investor who had used margin before, that the leverage ratio was conservative, that the positions were in blue-chip names, and that the strategy ultimately proved profitable.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that the advisor violated applicable standards: Gerald was 58 years old and within five years of planned full retirement, a life stage where preservation of capital and reduction of volatility are typically prioritized. Margin amplifies both gains and losses, and the 30% leverage ratio, while not extreme, introduced meaningful downside risk including the possibility of forced liquidation - which actually occurred.



The margin calls required Gerald to sell other holdings at a loss, crystalizing damage to his portfolio during a downturn. His stated objective of 'growth with moderate risk' arguably does not encompass leveraged equity strategies, which most practitioners would classify as above-moderate risk. The psychological distress and the forced selling during a drawdown are precisely the harms that suitability analysis is designed to prevent. Furthermore, framing the recommendation as a 'once-in-a-decade opportunity' could be seen as creating urgency that undermined Gerald's ability to deliberate carefully. Arguments that the advisor acted appropriately: Gerald had 'extensive' investment experience over 20 years, including documented prior use of margin at other firms, making him a sophisticated investor who understood leverage mechanics. The 30% margin-to-equity ratio is conservative by industry standards, where many firms allow up to 50%. The positions were in three of the largest, most liquid companies in the world - not speculative or illiquid securities. Gerald signed a margin agreement with standard risk disclosures. His total net worth exceeded \$1.4 million, giving him substantial resources beyond the brokerage account to weather volatility. Most critically, the strategy was ultimately profitable, with the portfolio finishing the year up 6% net of all costs. The advisor's recommendation, viewed ex ante, involved buying high-quality equities at depressed prices with moderate leverage - a strategy many experienced investors would find reasonable.

### Why Borderline

This case sits in a genuine gray area because the client profile sends mixed signals: his age and proximity to retirement suggest conservatism, but his extensive experience with margin and documented comfort with active trading suggest sophistication. The leverage ratio was moderate, the securities were blue-chip, and the outcome was positive - yet the interim margin calls caused real financial harm (forced sales at losses) and significant distress. Reasonable practitioners could disagree about whether 'growth with moderate risk' encompasses a conservative margin strategy in high-quality names, especially for someone who has used margin before. The ultimate profitability doesn't retroactively validate suitability, but it does weaken the damages argument and suggests the underlying thesis was sound.

### Borderline Factors

- Client was experienced with margin at prior firms, suggesting informed consent
- 30% margin-to-equity ratio is conservative relative to maximum allowable leverage
- All three positions were in mega-cap, highly liquid blue-chip stocks
- Client was 58 and planning full retirement within five years, suggesting lower risk tolerance
- Stated objective of 'growth with moderate risk' is ambiguous regarding leverage
- Margin calls forced liquidation of other holdings at a loss during the drawdown
- Strategy was ultimately profitable net of all costs by year-end
- Advisor's 'once-in-a-decade' framing could be seen as either honest conviction or undue pressure
- Client's total net worth of \$1.4M provided substantial cushion beyond the margin account

### Likely Outcome

A regulator would likely find this a close case but would probably decline to pursue formal action, issuing at most an informal cautionary letter. The combination of the client's documented prior margin experience, the conservative leverage ratio, the blue-chip nature of the securities, the signed margin disclosures, and the ultimately positive outcome would make it difficult to sustain a finding of unsuitability. However, the regulator might note that the advisor should have more thoroughly documented a discussion of how margin calls could specifically impact the client's retirement timeline and should have stress-tested the portfolio under adverse scenarios before recommending leverage to a near-retiree.

**Borderline Scenario 238**

*Topic: lack\_of\_diversification | Standard: Under Regulation Best Interest (17 CFR § 240.15l-1), the Care Obligation requires brokers*

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**Fact Pattern**

Priya Anand, age 44, was a senior software engineer at Amazon earning \$340,000 per year in base salary plus approximately \$200,000 annually in restricted stock units (RSUs) that vested quarterly. By September 2023, she had accumulated approximately \$1.8 million in Amazon stock - about \$900,000 in her company equity compensation account and another \$900,000 in vested shares she had transferred to a brokerage account managed by her advisor, Colin Brewer, over the previous three years. Her other assets included \$280,000 in a diversified 401(k) plan and \$95,000 in a savings account. Her total net worth was approximately \$2.175 million. Starting in early 2022, Brewer repeatedly recommended that Priya sell a significant portion of her Amazon shares and diversify into a mix of index funds, international equities, and fixed income. He documented these recommendations in emails and meeting notes on at least four occasions - February 2022, June 2022, January 2023, and May 2023. Each time, Priya declined, stating that she 'believed in the company long-term,' that she received favorable tax treatment by holding shares over a year, and that Amazon was 'going to \$250 a share.' Brewer noted her refusals in his files. However, Brewer continued to manage the overall account, executing occasional trades in the non-Amazon portion (about \$50,000 in other positions), collecting advisory fees on the full \$900,000 account value, and providing quarterly performance reviews that showed the concentrated position. He never escalated the issue to his compliance department, never required Priya to sign a specific concentration risk acknowledgment, and never suggested she consult a tax advisor about systematic diversification strategies like charitable remainder trusts or exchange funds that might address her tax concerns. In late 2023, Amazon stock declined 22% over a three-month period before partially recovering. Priya filed a complaint alleging that Brewer should have done more to protect her from concentration risk, and that continuing to collect fees on an account he knew was dangerously undiversified amounted to an endorsement of her strategy.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that the advisor violated applicable standards: Brewer managed Priya's account and collected advisory fees on the full \$900,000 value, which arguably created an ongoing duty to ensure the account was invested appropriately. Having approximately 83% of her investable brokerage assets - and roughly 75% of her total liquid net worth - in a single stock represents extreme concentration risk that most investment professionals would consider inappropriate regardless of the client's conviction. By continuing to manage the account and collect fees without escalating to compliance, requiring a written concentration risk acknowledgment, or exploring tax-efficient diversification alternatives, Brewer may have tacitly endorsed a portfolio structure he knew was unsuitable. The failure to suggest tax-efficient diversification vehicles is notable because Priya's primary objection was tax-related, and addressing that concern might have led to meaningful diversification. An advisor earning ongoing fees has a heightened duty compared to a broker executing one-time trades. Arguments that the advisor acted appropriately: Brewer made four documented attempts over 16 months to convince Priya to diversify, and she explicitly refused each time. A client has the right to reject professional advice, and Brewer respected her autonomy as a high-earning, financially

literate professional. He documented each refusal. The concentrated position was not the result of Brewer's recommendation - it arose from Priya's employment compensation, and she chose to transfer the shares into the account. Priya's overall financial profile was strong: she was 44, earning \$540,000 annually, and had \$375,000 in non-Amazon assets. Even a significant decline in Amazon stock would not threaten her financial security. Amazon is one of the world's most valuable and liquid companies, making concentration in it less risky than concentration in a small or mid-cap company. Brewer cannot force a client to sell.

### Why Borderline

This case is genuinely ambiguous because it sits at the intersection of advisor duty and client autonomy. The advisor clearly recognized the risk and recommended diversification multiple times, yet continued to manage the account and collect fees without taking additional protective steps. The client was sophisticated and explicitly refused the advice. Reasonable practitioners disagree about whether an advisor's duty extends to refusing to manage a concentrated account, escalating to compliance, or affirmatively offering alternative diversification strategies - or whether documenting repeated recommendations and client refusals is sufficient. The fact that the concentration arose from employment compensation rather than advisor recommendations complicates the analysis, as does Amazon's status as a mega-cap company with strong fundamentals.

### Borderline Factors

- Advisor documented four separate diversification recommendations that the client refused
- Client was a high-earning, financially sophisticated professional who articulated specific reasons for holding
- Advisor continued to collect advisory fees on the full concentrated account value
- Approximately 75% of client's total liquid net worth was in a single stock
- Concentration arose from employment compensation, not advisor recommendations
- Amazon is a mega-cap, highly liquid stock - not a speculative holding
- Advisor never escalated to compliance or required a written concentration acknowledgment
- Advisor failed to suggest tax-efficient diversification alternatives that addressed the client's specific tax objection
- Client's high income and other assets provided meaningful financial cushion
- The stock decline was temporary and partially recovered

### Likely Outcome

A regulator would most likely view this as a case warranting supervisory criticism but not a full enforcement action. The advisor's documented recommendations to diversify significantly mitigate liability, but the failure to escalate to compliance, obtain a specific written concentration risk acknowledgment, or explore tax-efficient alternatives when tax concerns were the stated barrier represents a gap in the advisor's process. The most probable outcome would be a requirement for the firm to enhance its supervisory procedures around concentrated positions in advisory accounts, possibly with a modest fine or censure for the firm's supervisory failures rather than a finding of personal violation against Brewer. A panel might find that Brewer's conduct fell slightly below the expected standard for a fee-based advisor managing a known concentrated position, but the well-documented client refusals would substantially limit any sanctions.

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## Borderline Scenario 239

Topic: *crypto\_assets\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) applies if the recommendation was made through a broker*

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### Fact Pattern

In March 2022, financial advisor Derek Huang recommended that his client, Patricia Norwood, age 58, allocate approximately 12% of her \$840,000 retirement portfolio to a basket of cryptocurrency-related investments. The allocation consisted of 7% in a publicly traded Bitcoin futures ETF and 5% in shares of two publicly traded companies whose primary business involved cryptocurrency mining and blockchain infrastructure. Patricia was a senior marketing executive earning \$195,000 annually, with an expected retirement date of 2031. Her risk tolerance questionnaire, completed in January 2022, scored her as 'moderately aggressive,' and she had indicated on her new account form that she had 'some' experience with speculative investments, having previously held positions in biotech stocks and leveraged ETFs. During their planning meeting, Patricia told Derek she was 'intrigued by crypto' and wanted 'meaningful exposure without going overboard.' She also stated she had a separate emergency fund of \$60,000 in a savings account and a fully paid-off home worth approximately \$425,000. Derek documented the conversation and noted that Patricia understood crypto-linked investments were volatile and that she could lose a substantial portion of the allocated funds. He also noted that the remaining 88% of her portfolio was invested in a diversified mix of index funds, investment-grade bonds, and dividend-paying equities. By December 2022, the cryptocurrency-linked portion of Patricia's portfolio had declined approximately 63%, losing roughly \$63,500. The broader portfolio declined about 14% during the same period. Patricia filed a complaint in February 2023, alleging that Derek should never have recommended cryptocurrency exposure for someone within nine years of retirement, and that the losses materially impacted her retirement timeline. Derek's firm's internal product committee had approved both the Bitcoin futures ETF and the publicly traded mining companies for use in client accounts, and the firm's guidelines permitted up to 15% allocation to 'alternative or speculative' asset classes for clients with moderately aggressive or aggressive risk profiles.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Derek violated his obligations: Patricia was 58 years old and within a decade of retirement, a period when conventional wisdom calls for de-risking and capital preservation rather than speculative allocations. A 12% allocation to highly volatile crypto-linked assets is arguably excessive for someone in the accumulation-to-decumulation transition phase, regardless of risk tolerance scores. The 63% decline in the crypto portion demonstrates the realized downside risk, and the \$63,500 loss meaningfully delays her retirement timeline. Some regulators would argue that a moderately aggressive risk tolerance does not automatically justify exposure to an asset class with extreme volatility characteristics fundamentally different from traditional equities. Under FINRA Rule 2111 and its three-part suitability framework - reasonable-basis, customer-specific, and quantitative suitability - the customer-specific prong requires the advisor to consider the client's age, time horizon, and retirement needs holistically. Regulation Best Interest under the Securities Exchange Act similarly requires that recommendations be in the customer's best interest at the time made, considering reasonably available alternatives. A regulator might argue that lower-cost, less volatile alternatives existed to achieve growth without this level of speculative risk. Arguments that Derek acted appropriately: The allocation was within the firm's approved guidelines (under the 15% cap), the products were vetted by the firm's product committee, and all were publicly traded, regulated investment vehicles - not direct holdings of unregistered tokens or coins. Patricia's own risk

questionnaire placed her as moderately aggressive, she had prior experience with speculative and volatile instruments, she explicitly requested meaningful crypto exposure, and Derek documented her understanding of the risks. The remaining 88% of the portfolio was prudently diversified. With nine years to retirement, a separate emergency fund, and substantial home equity, Patricia had a reasonable capacity to absorb losses in the speculative sleeve without jeopardizing her basic retirement security. The recommendation was made in the context of a complete financial picture, not in isolation. Furthermore, at the time of the recommendation in early 2022, numerous institutional investment strategists were publishing research supporting modest crypto allocation as a portfolio diversifier.

### Why Borderline

This case sits in genuine gray territory because the advisor followed documented procedures, stayed within firm guidelines, used regulated products rather than direct crypto holdings, and the client actively requested and acknowledged the risks. However, a 12% allocation to an asset class known for extreme volatility for a client approaching retirement age raises legitimate questions about whether the advisor exercised sufficient judgment beyond simply following the client's expressed preferences and firm-approved limits. The tension between client autonomy and advisor gatekeeping responsibility is at the heart of this dispute.

### Borderline Factors

- Client explicitly requested crypto exposure and acknowledged volatility risks in documented conversations
- 12% allocation was within firm-approved 15% limit for moderately aggressive clients, but close to the ceiling
- Products were publicly traded and regulated (ETF and public equities), not direct cryptocurrency holdings
- Client was 58 with a 9-year retirement horizon - not imminent retirement but in the transition zone
- Client had prior experience with speculative investments including leveraged ETFs and biotech
- Substantial non-portfolio assets (paid-off home, emergency fund) provided financial cushion
- 63% loss in the crypto sleeve was severe but the overall portfolio decline of ~14% was within normal market parameters
- Institutional research at the time supported modest crypto allocation, though 12% exceeds most published recommendations of 1-5%

### Likely Outcome

A regulator would likely find this a close call but would probably not pursue a formal enforcement action, instead possibly issuing a cautionary letter or requiring enhanced supervisory procedures. The documented client consent, use of approved products, compliance with firm guidelines, and the client's risk profile and financial cushion all weigh against a finding of violation. However, in an arbitration setting, Patricia might recover partial damages through a settlement, as an arbitration panel could view 12% as excessive for a near-retiree regardless of firm guidelines, particularly given that most institutional guidance at the time recommended crypto allocations of 1-5% even for aggressive investors.

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## Borderline Scenario 240

Topic: *alternative\_investments\_unsuitable* | Standard: FINRA Rule 2111 (Suitability) requires reasonable-basis, customer-specific, a

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**Fact Pattern**

In September 2021, financial advisor Monica Reeves recommended that her client, George and Linda Whitfield, both age 64, invest \$175,000 - approximately 18% of their \$960,000 joint investment portfolio - into a non-traded real estate investment trust (REIT) focused on commercial healthcare properties (medical office buildings, outpatient surgery centers, and senior living facilities). The REIT had a seven-year expected hold period before a liquidity event, paid a stated annual distribution of 6.2%, and carried upfront costs of approximately 8.5% including commissions, dealer manager fees, and organizational expenses. The Whitfields were both recently retired public school administrators receiving combined pension income of \$98,000 per year and Social Security benefits totaling \$42,000 annually, for a combined guaranteed annual income of \$140,000. Their annual living expenses were approximately \$115,000, leaving a surplus of \$25,000 from guaranteed income alone. They had no mortgage, \$45,000 in a money market account, and carried no consumer debt. Their risk tolerance was documented as 'moderate,' and their stated investment objective was 'income with moderate growth.' Monica explained that the non-traded REIT would provide tax-advantaged income that complemented their pension and Social Security, and that healthcare real estate was a defensive sector with demographic tailwinds from an aging population. She documented that she discussed the illiquidity, the long hold period, the lack of a public market for the shares, and the upfront fee load. The Whitfields signed the subscription documents and initialed a risk disclosure page. The firm's compliance department approved the transaction after verifying the Whitfields met the income and net worth thresholds established by the REIT's sponsor. In early 2023, the Whitfields' son suffered a serious medical emergency, and they sought to liquidate the REIT position to help with his care expenses. The REIT's share repurchase program, which was discretionary, had been suspended months earlier due to high redemption demand across the industry. The Whitfields were unable to access their \$175,000 investment and filed a complaint alleging that Monica should not have recommended an illiquid investment to retirees in their mid-60s.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Monica violated her obligations: The Whitfields were 64-year-old retirees, and a seven-year illiquidity lockup meant they would be 71 before any expected liquidity event - deep into the period when unexpected medical, long-term care, or family emergency expenses become statistically more likely. An 18% allocation to a single illiquid product is a substantial concentration for retirees. The 8.5% upfront cost load meant approximately \$14,875 was immediately consumed by fees, requiring years of distributions merely to break even, which raises questions about whether lower-cost liquid REIT alternatives could have provided comparable income and sector exposure. Under FINRA's suitability framework and Reg BI's Care Obligation, the advisor must consider the client's liquidity needs, time horizon, and reasonably foreseeable circumstances. A regulator might argue that even if the Whitfields had adequate current income, failing to maintain sufficient portfolio liquidity for a retired couple was a failure of customer-specific suitability analysis. Arguments that Monica acted appropriately: The Whitfields had \$140,000 in guaranteed annual income against \$115,000 in expenses, creating a \$25,000 annual surplus without touching their investment portfolio. They also maintained \$45,000 in liquid reserves and had no debt. The remaining 82% of their portfolio (\$785,000) was in liquid investments. Their income needs were fully covered by pensions and Social Security, meaning the investment portfolio functioned as a long-term wealth preservation and growth vehicle rather than a near-term income source. The 6.2% distribution rate exceeded what was available



from most investment-grade bond portfolios at the time, and healthcare real estate aligned with their moderate income-with-growth objective. Monica thoroughly disclosed the illiquidity risks and fee structure, obtained signed acknowledgments, and the transaction passed firm compliance review. The inability to liquidate was triggered by an unforeseeable family emergency combined with an industry-wide suspension of repurchase programs - events outside the advisor's reasonable prediction. The son's medical emergency, while sympathetic, does not retroactively transform a reasonable recommendation into an unsuitable one.

### Why Borderline

This case is genuinely ambiguous because the Whitfields' strong guaranteed income, lack of debt, and substantial liquid reserves created a plausible argument that they could afford illiquidity in a portion of their portfolio. However, the combination of their age, the long lockup period, the high upfront costs compared to liquid alternatives, and the concentration level in a single illiquid product creates legitimate concern that the recommendation did not adequately account for the full range of foreseeable risks facing retired investors. The materialization of a liquidity need that could not be met adds emotional weight but does not necessarily determine whether the recommendation was suitable at the time it was made.

### Borderline Factors

- Clients had \$140,000 in guaranteed income exceeding their \$115,000 annual expenses, reducing reliance on portfolio liquidity
- 18% allocation to a single illiquid product is meaningful but 82% of the portfolio remained liquid
  - Seven-year lockup period means clients would be 71 before expected liquidity - entering a higher-risk-of-need phase of life
  - 8.5% upfront cost load is substantial and raises questions about whether comparable liquid REIT alternatives were considered
- Advisor documented thorough risk disclosures including illiquidity, and clients signed acknowledgments
- The liquidity need arose from an unforeseeable family emergency, not a predictable personal expense
- Firm compliance approved the transaction and clients met the sponsor's suitability thresholds
- Healthcare REIT sector thesis was reasonable and aligned with stated income-with-growth objective
- Industry-wide suspension of share repurchase programs was a systemic event beyond the advisor's control

### Likely Outcome

A regulator would likely view this as a close case. The strong guaranteed income and documented disclosures provide significant protection for the advisor. However, in a FINRA arbitration, the Whitfields might receive a partial award - perhaps covering the upfront fees and a portion of damages - based on the argument that the high-cost illiquid product was not in their best interest when lower-cost liquid REIT alternatives existed. A regulator might not bring a formal enforcement action but could use this case to support broader guidance about concentration limits and illiquid alternatives for retirees. The outcome likely hinges on whether the panel focuses on the recommendation at the time it was made (where the case for the advisor is stronger) or on the foreseeable range of outcomes for retired clients (where the case for the Whitfields is stronger).

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## Borderline Scenario 241

### Fact Pattern

Margaret Dawson, age 64, retired elementary school teacher, met with her financial advisor Kevin Pratt in February 2023. Her account application listed her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' and her annual income as \$52,000 from a state pension. She had \$410,000 in total liquid assets, of which \$310,000 was in a traditional IRA rollover. She told Kevin she wanted steady income to supplement her pension and was nervous about losing money, but she also mentioned several times that she was 'frustrated' earning almost nothing on her CDs and money market accounts and wanted to 'do better than inflation.' During their second meeting, Kevin recommended allocating \$82,000 - roughly 20% of her total portfolio - into a diversified basket of high-yield corporate bond funds and preferred stock funds. The specific funds he selected carried average yields of 6.2% but invested in below-investment-grade issuers, and historically showed annual drawdowns of 8-15% during credit stress events. Kevin documented in his notes that Margaret understood these were not guaranteed instruments and that she specifically asked for 'something that pays more than a CD but isn't the stock market.' Over the next 14 months, the position generated approximately \$5,100 in income. However, during a brief credit market sell-off in October 2023, the holdings declined by about \$9,400 (roughly 11.5%) before recovering about half of that loss by January 2024. Margaret filed a complaint stating the investments were too risky for someone her age with a conservative profile. Kevin's firm responded that the allocation was a measured 20% sleeve specifically designed to generate income, that 80% of the portfolio remained in investment-grade bonds, Treasury funds, and money market instruments, and that Margaret had been fully informed and had expressly requested higher yields.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case against Kevin rests on the documented conservative risk tolerance and capital preservation objective. High-yield bonds and preferred stocks are generally considered speculative-grade instruments, and placing 20% of a retired 64-year-old's assets in such instruments appears inconsistent with a conservative profile. Under FINRA Rule 2111 (suitability) and Regulation Best Interest's care obligation, the advisor must have a reasonable basis for believing the recommendation is suitable given the customer's investment profile. A conservative investor seeking capital preservation is typically not the right candidate for below-investment-grade credit exposure that can experience double-digit drawdowns. The fact that Margaret experienced an 11.5% unrealized loss in that sleeve - nearly wiping out two years of income - illustrates the risk mismatch. Additionally, under Reg BI's care obligation (17 CFR 240.15l-1), Kevin was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile including risk tolerance and age.

However, the case for Kevin is also substantial. The allocation was limited to 20% of the total portfolio, with 80% in conservative vehicles, making the overall portfolio risk profile arguably still conservative. High-yield bond funds, while below investment grade, are distinct from equity speculation - they are income-producing instruments, which aligns with Margaret's stated income objective. Margaret expressly complained about low CD yields and asked for higher-yielding alternatives, which Kevin documented. The funds were diversified (not concentrated in a single issuer), and the 6.2% yield directly addressed her stated frustration.

FINRA's suitability framework considers the overall portfolio context (quantitative suitability) and customer-specific factors including stated preferences. Kevin could argue this was a reasonable balancing of Margaret's competing desires: capital preservation and meaningful income. The temporary drawdown of 11.5% in a 20% sleeve translates to roughly a 2.3% impact on the total portfolio - arguably within tolerance for even a conservative investor.

### Why Borderline

This scenario is genuinely ambiguous because the customer's documented profile (conservative/capital preservation) conflicts with her expressed verbal frustration and explicit request for higher yields. The advisor attempted to balance these competing signals with a limited allocation, but used instruments that are categorically speculative-grade. Reasonable regulators could disagree about whether a 20% allocation to high-yield income funds constitutes a violation when the overall portfolio remains conservative and the client specifically requested higher income. The temporary loss was meaningful in the sleeve but modest in the full portfolio context.

### Borderline Factors

- Customer's written risk tolerance (conservative) conflicts with her verbal requests for higher returns than CDs
- 20% allocation to speculative-grade instruments is limited but non-trivial for a retiree
- High-yield bonds are income-producing instruments, partially aligning with her income objective, even though they carry speculative credit risk
  - The overall portfolio remained approximately 80% conservative, making the aggregate risk profile arguably still appropriate
  - The 11.5% drawdown in the sleeve was temporary and partially recovered, but still exceeded what many conservative investors would tolerate
  - Advisor documented the client's request for higher yield and her understanding of the risks
  - Client's age (64) and sole reliance on pension plus investment income increases vulnerability but does not categorically preclude all higher-yield instruments

### Likely Outcome

A regulator would likely find this to be a close call but would probably not pursue a formal enforcement action, particularly given the limited allocation size, the documented client statements requesting higher yields, the income-producing nature of the instruments, and the overall conservative portfolio construction. However, the regulator might issue a cautionary letter or require enhanced documentation practices, noting that the advisor should have considered updating the customer's written risk profile to reflect her actual preferences, or alternatively, should have more clearly documented why speculative-grade instruments were consistent with the conservative written profile. An arbitration panel could go either way depending on how much weight they give to the written profile versus the documented verbal requests.

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## Borderline Scenario 242

Topic: *leveraged\_etf\_unsuitable* | Standard: *FINRA Rule 2111 (Suitability) - customer-specific suitability analysis; Regulation Best In*

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### Fact Pattern

Thomas Rinaldi, age 57, a self-employed electrician, had a brokerage account with \$275,000 in assets managed by advisor Susan Chao. Thomas's account documents listed his risk tolerance as 'moderate to aggressive,' his investment experience as '15+ years,' and his investment objective as 'growth.' He had previously held individual tech stocks, sector ETFs, and options in prior accounts, and told Susan he was comfortable with volatility and understood that aggressive growth strategies could result in significant short-term losses. In April 2023, Susan recommended that Thomas allocate \$55,000 (20% of his portfolio) to a 2x leveraged S&P 500 ETF as a tactical position to capture what she believed would be a second-half market rally. She told Thomas the position was intended to be held for 3 to 6 months, not indefinitely, and documented this in her notes. She also explained that leveraged ETFs experience daily compounding effects that can cause returns to diverge from the underlying index over longer periods. Thomas agreed and purchased the position. Over the next five months, the S&P 500 returned approximately 8%, and Thomas's leveraged ETF position gained roughly 14.5% - less than the theoretical 16% due to volatility decay but still a meaningful gain. In September 2023, Susan recommended Thomas sell the position and realize profits, which he did. In November 2023, Thomas repurchased the same leveraged ETF on his own initiative without consulting Susan, investing \$70,000 this time. He held it through a choppy period from November 2023 through March 2024, during which the S&P 500 was roughly flat but experienced significant daily swings. Due to volatility decay, Thomas's position lost approximately \$6,800 (9.7%) despite the index being nearly unchanged. Thomas filed a complaint blaming Susan for introducing him to leveraged ETFs, claiming the initial recommendation was unsuitable for a 57-year-old approaching retirement and that it led to his subsequent unsupervised loss.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Under FINRA Rule 2111 and Regulation Best Interest, the analysis centers on whether Susan's initial April 2023 recommendation of the leveraged ETF was suitable and in Thomas's best interest given his profile. Arguments that Susan violated her obligations include: (1) Leveraged ETFs have been the subject of extensive regulatory warnings, including FINRA Regulatory Notice 09-31, which specifically cautions that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session; (2) Thomas was 57, only 8-10 years from typical retirement age, and a 2x leveraged equity position amplifies downside risk during a critical accumulation phase; (3) Even a 3-6 month holding period significantly exceeds the single-day reset period, exposing the investor to compounding risk that could produce losses even in a flat or mildly positive market.

Arguments in Susan's defense include: (1) Thomas had a moderate-to-aggressive risk tolerance, 15+ years of investment experience including options trading, and a growth objective - he was not a novice conservative investor; (2) The 20% allocation was a defined tactical position, not a core holding, and Susan set a clear time horizon and exit strategy; (3) Susan explained the daily compounding mechanism and documented the explanation; (4) Susan recommended selling after 5 months at a profit, and Thomas followed that advice - the initial recommendation resulted in a successful outcome; (5) The subsequent loss occurred on Thomas's unsupervised repurchase at a larger size, without Susan's involvement or recommendation. Susan cannot reasonably be held responsible for a self-directed trade she did not recommend. Under FINRA Rule 2111, the suitability obligation attaches to recommendations, not to unsolicited customer trades.

Regarding the initial recommendation specifically, while regulatory guidance has expressed skepticism about leveraged ETFs for retail investors, it has not categorically prohibited them. The question is whether, for this specific customer with his documented profile, experience, and risk tolerance, a time-limited tactical allocation to a 2x leveraged ETF constituted a reasonable recommendation.

### Why Borderline

This is genuinely ambiguous because the advisor's initial recommendation of a leveraged ETF technically conflicts with broad regulatory skepticism about these products for retail investors, but the specific customer profile (experienced, moderate-to-aggressive, growth-oriented) and the advisor's careful framing (limited allocation, defined time horizon, documented risk explanation, timely exit recommendation) make it arguable that the recommendation was reasonable for this particular client. The subsequent loss that triggered the complaint was entirely self-directed and not the advisor's recommendation, creating a causation gap. Reasonable regulators could disagree about whether introducing a retail client to leveraged ETFs - even a sophisticated one - crosses the line.

### Borderline Factors

- Leveraged ETFs carry well-known regulatory skepticism for retail investors, but are not categorically prohibited
- Customer's profile (moderate-to-aggressive risk tolerance, 15+ years experience, options background, growth objective) is stronger than the typical unsuitable-leverage complainant
- 20% allocation was significant but not dominant, and was framed as tactical with a defined exit
- Advisor documented the compounding risk explanation and the intended holding period
- The initial recommended trade was profitable and exited on the advisor's recommendation
- The loss that triggered the complaint resulted from the customer's unsupervised, unsolicited repurchase at a larger allocation
- Customer's age (57) raises concerns about leveraged exposure near retirement, but his documented profile was not conservative
- The 3-6 month intended holding period exceeded the single-day design of leveraged ETFs but was still relatively short-term and tactical

### Likely Outcome

A regulator would likely scrutinize the initial recommendation closely but would probably not bring a formal enforcement action, primarily because: (1) the customer's documented profile supported moderate-to-aggressive growth strategies; (2) the advisor's documentation of risk disclosures and tactical framing was thorough; (3) the recommended position was profitable and exited appropriately; and (4) the actual financial harm resulted from an unsolicited customer trade. However, the regulator might use this as an opportunity to remind the firm that leveraged ETFs require enhanced suitability review and that firms should consider whether their supervisory procedures adequately flag repeat purchases of leveraged products. An arbitration panel would likely find in the advisor's favor on the initial recommendation and dismiss the claim regarding the self-directed repurchase, though a panel sympathetic to the 'gateway' argument - that the advisor introduced the client to a dangerous product - could potentially award limited damages.

**Borderline Scenario 243**

*Topic: high\_fees\_unsuitable | Standard: Regulation Best Interest (17 CFR § 240.15l-1), specifically the Care Obligation (requiring co*

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**Fact Pattern**

Margaret Chen, age 58, retired early from a mid-level corporate position in 2021 with a \$1.2 million rollover IRA and \$180,000 in a taxable brokerage account. She told her advisor, David Kowalski, that she wanted steady income to supplement a small pension of \$1,400/month and Social Security benefits she planned to claim at 62. She described herself as 'moderately conservative' and said she wanted to avoid anything too complicated. She had no prior investment experience beyond her employer's 401(k), where she had been in a target-date fund. Kowalski recommended a portfolio consisting of seven different actively managed mutual funds across domestic equity, international equity, and fixed income categories, all from the same fund family. The weighted average expense ratio across the portfolio was 1.38%, with front-end loads averaging 4.2% across the equity funds. The fixed income funds carried expense ratios of 0.95% and 1.05%. Kowalski's firm had a revenue-sharing arrangement with this fund family, and Kowalski received an additional 15 basis points in trail commissions. Kowalski disclosed the fee structure in writing and Margaret signed the disclosure documents. Over the next two years, the portfolio returned approximately 6.1% annualized before fees and approximately 4.6% after fees, which lagged a blended benchmark of comparable index funds (which would have cost approximately 0.08% on average) by roughly 1.3% per year after adjusting for the loads amortized over a five-year holding period. However, Kowalski argued that Margaret valued personal guidance, that he met with her quarterly to review allocations and reassure her during market dips in 2022, and that she never would have stayed invested through the downturn without his active coaching. He also noted that lower-cost alternatives at his firm had minimum account sizes of \$500,000 per fund and would have required Margaret to self-direct, which she was uncomfortable doing. Margaret's daughter, a CPA, later reviewed the account and filed a complaint alleging that Margaret paid approximately \$78,000 in total fees and loads over two years that were unnecessary when cheaper, substantially similar products were available in the market.

**Question**

Did the financial advisor violate the suitability or best interest of the customer requirements?

**Analysis**

Arguments that Kowalski violated his obligations: The total cost drag on Margaret's retirement assets was substantial - roughly \$78,000 over two years on a portfolio of approximately \$1.38 million, including front-end loads and elevated ongoing expense ratios. Lower-cost index fund alternatives with substantially similar risk/return profiles were widely available and would have saved Margaret significant money over her expected 25-30 year retirement horizon. The compounding effect of the 1.3% annual cost differential could reduce Margaret's portfolio value by hundreds of thousands of dollars over her lifetime. The fund family's revenue-sharing arrangement and trail commissions created an obvious financial incentive for Kowalski to recommend these particular products over cheaper alternatives. Under Regulation Best Interest, a broker-dealer must consider reasonably available alternatives and cannot place their financial interest ahead of the customer's. The Care Obligation under Reg BI (17 CFR § 240.15l-1) requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering costs as one factor. FINRA Rule 2111 (Suitability) also requires that recommendations be suitable considering the customer's investment profile. FINRA has emphasized that cost is a relevant factor in suitability analysis, particularly



where substantially similar lower-cost alternatives exist. The Conflict of Interest Obligation under Reg BI requires disclosure and mitigation of conflicts, and while Kowalski disclosed the fees, mere disclosure may not be sufficient if the conflict was not adequately mitigated.

Arguments that Kowalski acted appropriately: The portfolio's asset allocation was reasonable for Margaret's age, risk tolerance, and income needs. The products themselves were not inherently unsuitable - actively managed funds from established fund families are mainstream investment vehicles held by millions of investors. Kowalski provided meaningful ongoing advisory services including quarterly reviews and behavioral coaching that arguably prevented Margaret from panic-selling during the 2022 market downturn, which could have cost her far more than the fee differential. The advisor disclosed all fees in writing and Margaret signed acknowledgments. Kowalski also argues that cheaper alternatives at his firm required self-direction, which Margaret explicitly said she was uncomfortable with. The 1.38% average expense ratio, while above index fund levels, is not egregiously outside the range of actively managed fund fees. Under FINRA's suitability framework, cost is one factor among many, and there is no absolute prohibition on recommending higher-cost products when other factors support the recommendation. Additionally, the portfolio did generate positive real returns and provided the income Margaret needed.

### Why Borderline

This case sits in a genuine gray zone because the fees, while meaningfully higher than the cheapest available alternatives, are not extreme outliers for actively managed mutual funds - they fall within the range of what millions of retail investors pay. The advisor provided real, documented value through behavioral coaching and personalized guidance that arguably justified some cost premium. However, the cumulative dollar impact over a retiree's remaining lifetime is very significant, and the revenue-sharing arrangement creates a clear conflict. The key tension is between the quantitative cost analysis (which clearly favors index funds) and the qualitative service value (which is real but difficult to measure). Reasonable regulators could disagree about how much weight to give to the intangible advisory relationship versus the measurable fee differential.

### Borderline Factors

- Expense ratios are high but within the range of mainstream actively managed funds, not exotic or fringe products
- Revenue-sharing and trail commissions create a clear conflict, but fees were disclosed in writing and acknowledged by the client
- Advisor provided documented, meaningful behavioral coaching that may have prevented costly panic-selling in 2022
- Client explicitly stated discomfort with self-directed investing, which was the pathway to cheaper options at the firm
- Cumulative fee impact over a 25-30 year retirement is very large (\$78,000 over just two years), making cost a material factor
- Lower-cost substantially similar alternatives were widely available in the broader market, even if not easily accessible at the advisor's specific firm
- Client had no investment sophistication to independently evaluate whether the fee premium was justified
- Portfolio allocation and risk level were appropriate for the client's stated objectives

### Likely Outcome

A regulator would likely issue a cautionary action or modest fine rather than a severe sanction. Under Reg BI's Care Obligation, FINRA and the SEC have signaled that cost must be considered when recommending among reasonably available alternatives, and a 1.3% annual cost differential with a conflicted compensation arrangement is difficult to justify purely on the basis of quarterly meetings and behavioral coaching. However, the fact that the products were mainstream, the allocation was appropriate, the fees were disclosed, and the advisor provided tangible services would likely mitigate the severity of any finding. The most probable outcome is a finding of a technical violation with moderate remedial measures - potentially requiring fee rebates or enhanced disclosure - rather than a career-ending enforcement action.

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### Borderline Scenario 244

Topic: illiquid\_investments | Standard: Regulation Best Interest (17 CFR § 240.15l-1), including the Care Obligation (consideration of

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#### Fact Pattern

Robert and Denise Alvarez, both age 51, had a combined household income of \$310,000 and a net worth of approximately \$2.8 million, including \$1.1 million in retirement accounts, a \$650,000 home with \$180,000 remaining on the mortgage, \$420,000 in taxable investment accounts, and \$630,000 in cash and money market funds. They had no children and planned to retire at age 60. Their advisor, Nicole Tran, recommended they invest \$340,000 - approximately 12% of their total net worth and roughly 54% of their cash holdings - into a non-traded real estate investment trust (REIT) focused on commercial medical office buildings. The REIT had a minimum seven-year holding period before any liquidity event was anticipated, offered a projected annual distribution of 6.5%, and carried upfront costs of approximately 11% (including selling commissions, dealer manager fees, and organizational costs). The Alvarazes had previously expressed frustration with stock market volatility and said they wanted 'something more stable that throws off income.' Robert had a background in commercial real estate leasing and said he understood the asset class well. Both signed detailed risk disclosures that explicitly described the illiquid nature of the investment, the possibility of distributions being funded from offering proceeds rather than operating income, and the possibility that they might not recover their full principal. Nicole allocated the remaining \$290,000 of their cash to a short-term bond ladder for near-term liquidity needs. Six months after the investment, Denise was diagnosed with a chronic illness requiring ongoing treatment, and the couple attempted to liquidate their REIT position to cover anticipated medical expenses and a possible early retirement. The REIT's share repurchase program, which was discretionary and limited to 5% of outstanding shares annually, was fully subscribed and their redemption request was denied. They were able to sell a small portion on a secondary market at approximately 72 cents on the dollar. They filed a complaint alleging that Nicole should never have placed such a large portion of their liquid assets into a product they couldn't access.

#### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

#### Analysis

Arguments that Tran violated her obligations: Placing \$340,000 - more than half of the couple's liquid cash - into a non-traded REIT with a seven-year lockup materially impaired their ability to respond to life changes. While they had other assets, the retirement accounts would carry tax penalties and the home equity

required selling or borrowing. The 11% upfront cost meant the Alvarezs were immediately underwater by approximately \$37,400 on day one, creating a significant hurdle rate before the investment could break even. Non-traded REITs have been the subject of extensive regulatory scrutiny, and many state securities regulators impose concentration limits (often 10% of net worth or liquid net worth) for these products. At approximately 12% of total net worth, the allocation was near or above typical concentration thresholds. Under FINRA Rule 2111 and its supplementary guidance, an advisor must consider a customer's liquidity needs, time horizon, and overall financial situation. The Alvarezs were nine years from planned retirement, meaning a seven-year lockup consumed most of their pre-retirement window, and any unforeseen expense - which materialized - would leave them scrambling. The Care Obligation under Reg BI also requires evaluation of costs relative to alternatives; the 11% load is substantially higher than publicly traded REITs or REIT ETFs that could have provided similar real estate exposure with daily liquidity and expense ratios below 0.50%.

Arguments that Tran acted appropriately: The Alvarezs had a total net worth of \$2.8 million, making \$340,000 approximately 12% of their net worth - a meaningful but not extreme allocation. They retained \$290,000 in short-term bonds for near-term liquidity, \$420,000 in taxable investments, and \$1.1 million in retirement accounts. Their income was \$310,000 annually, providing ongoing cash flow. Robert had specific expertise in commercial real estate and expressed comfort with the asset class. Both clients explicitly sought stable income and expressed dissatisfaction with market volatility - a non-traded REIT's lack of daily pricing and mark-to-market volatility directly addressed this stated preference. The 6.5% projected distribution was attractive relative to alternatives available in 2021-2022 interest rate environments. The clients signed comprehensive risk disclosures explicitly describing the illiquidity, the nature of the share repurchase program, and the risk of principal loss. Denise's illness was an unforeseeable event that occurred after the recommendation, and advisors cannot be expected to anticipate every possible medical emergency. Nicole maintained appropriate diversification across multiple asset classes and retained meaningful liquid reserves. Many regulatory frameworks and industry guidelines permit non-traded REIT allocations up to 10-15% of net worth for accredited or qualified investors, and the Alvarezs met those thresholds.

### Why Borderline

This scenario is genuinely ambiguous because the allocation, while large relative to the clients' cash position, was within commonly accepted concentration guidelines relative to total net worth. The clients had relevant knowledge of the asset class, expressed preferences that the product addressed, signed detailed risk disclosures, and retained other liquid and semi-liquid assets. The medical emergency was unforeseeable. However, the concentration of over half of liquid cash in a seven-year lockup for clients nine years from retirement created meaningful fragility in their financial plan, and the 11% upfront costs were extraordinarily high compared to liquid alternatives offering similar real estate exposure. The question turns on whether the advisor adequately weighed the clients' overall liquidity profile and life-stage risks against their stated preferences and risk tolerance, and whether the high upfront costs were justified given available alternatives.

### Borderline Factors

- Allocation was approximately 12% of net worth (near but not clearly above typical concentration limits) but represented 54% of liquid cash
- Clients retained \$290,000 in liquid bonds plus \$420,000 in taxable accounts and \$310,000 annual

income

- Robert had meaningful professional knowledge of commercial real estate as an asset class
- Both clients signed detailed risk disclosures specifically addressing illiquidity and principal risk
- The 11% upfront cost was dramatically higher than publicly traded REIT alternatives offering similar exposure

exposure

- Seven-year lockup consumed most of the couple's nine-year pre-retirement window
- The medical emergency was genuinely unforeseeable at the time of the recommendation
- Non-traded REITs directly addressed the clients' stated preference for stability and income without stock market volatility

market volatility

- The share repurchase program's discretionary nature and 5% annual cap made it an unreliable liquidity backstop

- State-level concentration guidelines for non-traded REITs vary, and some would permit this allocation while others would restrict it

### Likely Outcome

A regulator would likely find this a close case and could go either way depending on the jurisdiction and the specific examiner. The most probable outcome is a finding of a minor or technical violation focused on inadequate consideration of the clients' liquidity needs relative to their life stage and the concentration of liquid assets in a single illiquid product, rather than a finding that non-traded REITs were categorically unsuitable. The 11% upfront cost would receive scrutiny under Reg BI's cost consideration requirements, and the advisor may be found to have insufficiently evaluated lower-cost liquid alternatives. However, the comprehensive disclosures, the clients' sophistication, and the retained liquid reserves would mitigate sanctions. A likely resolution would involve enhanced supervision requirements, possible partial restitution of the upfront costs, and a requirement to document liquidity analysis more thoroughly, rather than a suspension or bar.

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## Borderline Scenario 245

*Topic: market\_timing\_unsuitable | Standard: FINRA Rule 2111 (Suitability) requires that a recommended transaction or investment s*

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### Fact Pattern

Rebecca Thornton, a 58-year-old marketing executive earning \$185,000 annually, opened a brokerage account in January 2021 with \$340,000 in rollover IRA funds. She told her advisor, Marcus Webb, that she wanted 'growth with some protection' and planned to retire at 65. Her risk tolerance questionnaire came back as 'moderate,' and she indicated a 7-year investment horizon. Webb initially placed her in a diversified portfolio of equity and bond mutual funds. However, starting in March 2021, Webb began executing a series of exchanges between equity mutual funds and money market funds, attempting to move into equities during perceived dips and shift to cash during anticipated downturns. Over the next 18 months, Webb executed 23 round-trip exchanges across four different fund families. Thornton's account incurred approximately \$6,800 in short-term redemption fees and \$2,100 in exchange fees, totaling roughly \$8,900 in transaction-related costs. The account's net return over the 18-month period was approximately 8.2%, while a static balanced portfolio benchmark (60/40 equity/bond) returned approximately 10.1% over the same period. Webb documented in his notes that he believed rising inflation and Federal Reserve policy shifts created 'windows of opportunity' for tactical reallocation, and that moving to cash during volatile

periods would protect Thornton's retirement capital. Thornton signed acknowledgment forms for each exchange and, in two separate emails, expressed appreciation for Webb's 'active management' and said she was 'glad someone is watching the markets for me.' She never complained about fees or performance until a friend who is a CPA reviewed her statements in September 2022 and pointed out the cumulative costs and underperformance. Thornton then filed a complaint alleging the frequent trading was unsuitable for her moderate risk profile and retirement timeline.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Webb violated his obligations: The 23 round-trip exchanges over 18 months in a retirement account for a moderate-risk investor with a 7-year horizon suggest a pattern of market timing that is widely regarded as unlikely to produce consistent benefits for retail investors. The strategy resulted in \$8,900 in unnecessary costs and underperformed a simple buy-and-hold balanced benchmark by nearly 2 percentage points. Market timing through mutual fund exchanges is particularly problematic because fund redemption fees are specifically designed to discourage such activity, signaling that even the fund companies viewed this behavior as harmful to long-term investors. The client's moderate risk tolerance and retirement-focused objective did not call for tactical trading; a diversified buy-and-hold approach would have been more consistent with her stated goals. The cumulative drag of fees and missed market participation days eroded retirement savings that Thornton cannot easily replace at age 58.

Arguments that Webb acted appropriately: The 18-month period in question (2021-2022) was marked by genuine macroeconomic uncertainty, including inflation spikes, interest rate uncertainty, and significant equity market volatility. Webb documented a rational investment thesis for each reallocation. The account still generated a positive 8.2% return, meaning Thornton did not suffer absolute losses. Thornton herself expressed satisfaction with the active approach in contemporaneous emails, suggesting informed consent to a tactical strategy. The underperformance of 1.9% relative to the benchmark, while meaningful, is within a range that could be attributed to normal variance in any actively managed strategy. Webb's approach could be characterized as risk management rather than market timing - moving to cash during perceived high-risk periods is consistent with protecting a moderate-risk investor's capital near retirement. The total fees of \$8,900 on a \$340,000 account represent approximately 2.6% over 18 months, which, while not negligible, is not dramatically out of line with the cost of some actively managed strategies.

### Why Borderline

This scenario sits in a genuine gray area because the line between legitimate tactical reallocation and harmful market timing is not bright. The advisor had a documented rationale, the client expressed contemporaneous approval, and the account generated positive returns. However, the frequency of exchanges, cumulative costs, and underperformance relative to a simple benchmark suggest the activity may not have been in the client's best interest. Reasonable practitioners could disagree about whether 23 exchanges in 18 months crosses the line from active management into unsuitable market timing, particularly given the volatile market environment during that period.

### Borderline Factors

- 23 round-trip exchanges in 18 months - high frequency but not extreme compared to classic churning cases

- Account underperformed benchmark by 1.9% - meaningful but within a range where active strategies sometimes lag
- Client signed all exchange acknowledgments and sent two emails expressing satisfaction with the approach
- Total fees of \$8,900 (2.6% of account) - significant but arguable whether excessive for an active strategy
- Advisor documented market-based rationale for each exchange rather than trading without explanation
- Moderate-risk retirement investor profile arguably supports capital preservation moves but not frequent tactical trading
- The 2021-2022 market environment provided genuine reasons for concern about volatility and inflation
- Positive absolute returns of 8.2% complicate a harm argument despite relative underperformance

### Likely Outcome

A regulator would likely issue a cautionary action or modest sanctions rather than pursue a full enforcement case. The frequency of exchanges and cumulative cost drag would concern regulators, as market timing through mutual fund exchanges in retirement accounts is a pattern that has historically drawn scrutiny. However, the documented rationale, client consent, positive absolute returns, and genuinely volatile market conditions would mitigate the case. A panel or arbitrator might find that the activity was quantitatively unsuitable based on cost-to-equity ratios and the turnover rate, but the damages award would likely be limited to the difference between actual performance and the benchmark (approximately \$6,460) plus excess fees, rather than a full disgorgement. The outcome could hinge on whether the decision-maker views the emails as genuine informed consent or as a client who trusted her advisor and didn't understand what was happening.

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## Borderline Scenario 246

Topic: *unsuitable\_income\_investor* | Standard: *FINRA Rule 2111 (Suitability) requires that recommended investment strategies be s*

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### Fact Pattern

Gerald and Patricia Novak, both 71 years old, retired from careers in education and relied on Social Security (\$4,200/month combined), a small state pension (\$1,600/month), and investment income to cover their monthly expenses of approximately \$7,800. They had a combined liquid net worth of approximately \$620,000, held in two IRA accounts managed by their advisor, Daniel Prescott, whom they had worked with for nine years. In April 2022, the Novaks told Prescott they were concerned about inflation eroding their purchasing power and asked if there was anything he could do to 'boost the income a little' from their portfolio. At the time, their portfolio was allocated approximately 30% in Treasury bonds, 25% in investment-grade corporate bond funds, 20% in dividend-paying blue-chip equities, 15% in a REIT fund, and 10% in cash equivalents, generating roughly \$2,200/month in income. Prescott recommended reallocating the portfolio to increase yield: he reduced the Treasury allocation to 10%, eliminated the cash position, increased the REIT fund to 25%, added a 15% allocation to a high-yield (junk) bond fund with an average credit rating of BB, and introduced a 10% position in a business development company (BDC) that paid a 10.8% dividend but had limited secondary market liquidity with typical bid-ask spreads of 3-5%. The remaining 40% stayed in investment-grade corporate bonds and blue-chip dividend stocks. After the reallocation, the portfolio's projected monthly income increased to approximately \$3,100, addressing the Novaks' stated concern. Prescott disclosed that the high-yield bonds carried greater default risk and that



the BDC had limited liquidity, and the Novaks signed updated investment policy statements reflecting a 'moderate-to-moderately aggressive' risk tolerance, changed from their prior 'moderate-to-conservative' designation. Over the next 12 months, the high-yield bond fund declined 11%, the BDC's share price dropped 18% (though it continued paying dividends), and the increased REIT allocation lost 14% as interest rates rose sharply. The total portfolio value fell to approximately \$529,000, a decline of roughly \$91,000 (14.7%), while the prior allocation would have lost approximately \$34,000 (5.5%) over the same period. The monthly income did increase as projected, reaching approximately \$2,950/month on average. The Novaks filed a complaint alleging the reallocation was unsuitable because they could not afford to lose principal at their age and income level, and that Prescott prioritized yield over capital preservation.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Prescott violated his obligations: The Novaks were 71-year-old retirees with a \$2,000/month income gap between their fixed income sources and expenses, making them heavily dependent on their investment portfolio for both income and long-term financial security. At their age and with no employment income to replenish losses, capital preservation should have been a primary consideration. Introducing a 15% junk bond allocation and a 10% illiquid BDC position into a retirees' IRA portfolio significantly increased both credit risk and liquidity risk. The BDC's 3-5% bid-ask spread meant that in a stress scenario, the Novaks could face substantial losses simply trying to liquidate the position. Eliminating the cash buffer entirely left no cushion for unexpected expenses or market dislocations. The risk tolerance upgrade from 'moderate-to-conservative' to 'moderate-to-moderately aggressive' for 71-year-old retirees raises questions about whether the change reflected a genuine reassessment or was engineered to justify the reallocation. The additional \$900/month in income came at the cost of \$91,000 in principal - meaning the incremental income would take roughly 8.4 years to offset the excess losses compared to the prior portfolio, by which time the Novaks would be nearly 80.

Arguments that Prescott acted appropriately: The Novaks themselves initiated the conversation about increasing income, expressing a specific concern about inflation. Prescott was responding to a client-directed objective, not pushing product. The reallocation was not reckless: 40% of the portfolio remained in investment-grade bonds and blue-chip dividend stocks, providing a substantial conservative anchor. The high-yield allocation of 15% and BDC position of 10% together represented 25% of the portfolio in higher-risk income instruments - a meaningful but not extreme tilt. The 2022-2023 period was one of the worst environments for fixed-income and rate-sensitive assets in decades; the prior conservative portfolio would also have experienced losses. Prescott disclosed the risks of both the high-yield fund and the BDC, and the Novaks signed updated documentation reflecting their agreement to the new approach. The income objective was met, with monthly distributions increasing by approximately \$750-900, directly addressing the clients' stated concern. Many financial planning frameworks support the concept of a 'barbell' approach for retirees, combining safer assets with some higher-yielding positions to combat inflation and longevity risk.

### Why Borderline

This case is genuinely ambiguous because the advisor was responding to a legitimate client concern (inflation eroding income), used a mix of strategies rather than concentrating entirely in risky assets,

disclosed material risks, and obtained updated documentation. However, the magnitude of the risk increase for elderly clients dependent on their portfolio, the elimination of the cash buffer, the introduction of an illiquid investment, and the risk tolerance upgrade all raise legitimate questions about whether the advisor prioritized addressing the income request over the broader duty to protect clients who may not fully appreciate downside scenarios. The fact that markets were historically adverse in 2022 makes it harder to evaluate whether the strategy was fundamentally flawed or simply caught in a bad cycle.

### Borderline Factors

- Clients specifically requested higher income due to inflation concerns - advisor was responding to a stated need, not generating commissions
- Risk tolerance was formally upgraded from moderate-to-conservative to moderate-to-moderately aggressive for 71-year-old retirees - may reflect client wishes or may be self-serving documentation
- 25% of portfolio allocated to higher-risk instruments (junk bonds + BDC) - meaningful but not a wholesale transformation
- 40% of portfolio remained in conservative investment-grade bonds and blue-chip dividend stocks
- Cash position was entirely eliminated, removing a liquidity buffer for retirees with ongoing income needs
- BDC position had 3-5% bid-ask spreads creating liquidity risk for clients who may need to access funds
- The 2022-2023 interest rate environment caused unusual losses across nearly all fixed-income and rate-sensitive sectors
- Income objective was successfully met with distributions increasing approximately \$750-900/month
- Portfolio underperformed the prior allocation by approximately \$57,000 - significant for retirees but partially attributable to extreme market conditions
- Risks were disclosed and documentation was signed, though the sophistication of retired educators in evaluating BDC liquidity risk is questionable

### Likely Outcome

A regulator or arbitration panel would likely find this a close case but would probably conclude that the reallocation, while responsive to the clients' request, went somewhat further than necessary and introduced risks inconsistent with the Novaks' overall financial picture. The elimination of the cash buffer and the introduction of the illiquid BDC are the most problematic elements. However, the clients' explicit request for more income, the disclosure of risks, and the retention of 40% in conservative assets would prevent this from being treated as an egregious violation. A likely outcome would be a finding of partial liability with damages calculated as the difference in performance between the actual portfolio and a more moderate income-enhancement approach (e.g., one that kept some cash, avoided the illiquid BDC, and limited high-yield exposure to 10%). This might result in damages in the range of \$30,000-\$50,000 rather than full recovery of the \$91,000 decline. Alternatively, a panel might find no violation, reasoning that the advisor reasonably addressed a client-initiated request and that the losses were primarily attributable to unprecedented market conditions.

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## Borderline Scenario 247

Topic: variable\_annuity\_unsuitable | Standard: Under FINRA Rule 2111 (Suitability), the advisor must have a reasonable basis for re

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### Fact Pattern

Margaret Ostrowski, age 58, met with her financial advisor, Daniel Kline, in March 2022 to discuss retirement planning. Margaret had recently inherited \$340,000 from her late sister and wanted to ensure she would have reliable income when she planned to retire at age 65. She had an existing portfolio of approximately \$280,000 in mutual funds and a 401(k) with her employer worth \$195,000. Her annual household income was \$112,000, and she described her risk tolerance as 'moderate' on her new account paperwork. She indicated she wanted growth but also wanted to protect against 'running out of money in retirement.' She mentioned she had no immediate liquidity needs beyond her emergency fund of \$40,000 in a savings account. Daniel recommended she invest \$290,000 of the inheritance into a variable annuity with a guaranteed minimum income benefit (GMIB) rider. The product had total annual fees of 3.15% - consisting of a 1.30% mortality and expense charge, a 0.95% GMIB rider fee, and underlying fund expenses averaging 0.90%. The annuity carried a 7-year surrender period with a declining surrender charge starting at 7%. Daniel explained that the GMIB rider would guarantee a minimum income stream starting at age 65 regardless of market performance, and that the underlying sub-accounts offered equity exposure for growth potential. Margaret signed all disclosures acknowledging the fees and surrender period. Daniel's commission on the sale was approximately \$17,400 (6% of premium). A lower-cost variable annuity from a competing carrier was available with total fees of 2.25% and a 5-year surrender period, though its GMIB rider had a slightly lower guaranteed payout rate (5.0% vs. 5.5% on the recommended product). Daniel was aware of the competing product but did not present it to Margaret. Notably, Margaret had expressed interest in possibly using some of the inheritance to help her daughter with a home down payment 'in a few years,' though she did not list this as a formal financial goal on her planning documents. Daniel's firm had a revenue-sharing arrangement with the annuity provider he recommended, though the firm also had similar arrangements with several other annuity carriers including the lower-cost competitor.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Daniel violated his obligations: The 3.15% total annual fee is high even by variable annuity standards, and a materially cheaper alternative existed with similar features. The fee differential of approximately 0.90% annually on \$290,000 amounts to roughly \$2,610 per year in additional costs, compounding over time. Over the 7-year surrender period alone, this could amount to over \$20,000 in excess fees. Daniel did not present the lower-cost alternative, which undermines the notion that he was acting in Margaret's best interest. The 6% commission and the firm's revenue-sharing arrangement create a clear financial incentive to recommend the more expensive product. Additionally, Margaret mentioned a possible need for liquidity within a few years to help her daughter, and the 7-year surrender period could trap her in the product if that need materializes. Allocating \$290,000 of a \$340,000 inheritance (85%) into a single illiquid product also raises concentration concerns. Arguments that Daniel acted appropriately: Margaret's stated primary goal - guaranteed retirement income and protection against outliving her assets - aligns squarely with the purpose of a variable annuity with a GMIB rider. The recommended product's GMIB payout rate of 5.5% vs. 5.0% for the cheaper alternative means approximately \$1,450 more in guaranteed annual income at retirement, which partially offsets the higher fees, especially over a long distribution period. Margaret was 58 and planning to retire at 65, giving her exactly the 7-year horizon matching the surrender period. She signed all fee disclosures. Her mention of possibly helping her daughter was informal and not documented as a financial goal, and she had \$40,000 in emergency savings plus \$280,000 in liquid mutual funds and a \$195,000 401(k) - ample liquidity outside the annuity. The product-type

recommendation (variable annuity with income guarantee) was sound for her profile; the dispute is really about product selection within the category, which involves judgment calls about the value of higher guaranteed income versus lower fees.

### Why Borderline

This case is genuinely ambiguous because the core recommendation - a variable annuity with an income guarantee for a 58-year-old focused on retirement income security - is fundamentally sound. The gray area centers on whether recommending a higher-cost product within that category, when a cheaper alternative existed, crosses the line from a defensible professional judgment (higher guaranteed payout rate has real value) into a self-interested recommendation driven by higher compensation. The informal mention of a future liquidity need adds complexity but is mitigated by her substantial liquid assets elsewhere. Reasonable practitioners could disagree about whether the 0.5% higher GMIB rate justifies approximately 0.90% in additional annual fees.

### Borderline Factors

- Total fees of 3.15% are high but not extreme for a VA with living benefit riders
- A lower-cost alternative existed but had a meaningfully lower guaranteed income rate
- The advisor earned a substantial commission but commissions are standard for annuity sales
- The client's informal mention of possible liquidity needs was not formalized as a planning goal
- The client had substantial liquid assets outside the annuity (\$280K mutual funds, \$195K 401(k), \$40K savings)
- The 7-year surrender period matched the client's 7-year horizon to retirement
- The advisor failed to present the competing product for comparison
- Revenue-sharing existed but was not exclusive to the recommended carrier
- 85% of the inheritance was concentrated in one illiquid product

### Likely Outcome

A regulator would likely issue a cautionary finding or seek a modest settlement rather than pursue a major enforcement action. The failure to present the lower-cost alternative is the most problematic element, particularly under a best interest framework. However, the defensible rationale (higher guaranteed income rate) and the overall suitability of the product type for the client's profile would likely prevent a finding of a clear-cut violation. A regulator might require enhanced supervisory procedures and possibly disgorgement of the excess commission differential. If evaluated under a pure suitability standard, Daniel would more likely prevail; under a best interest standard, the failure to consider and present the lower-cost alternative becomes more damaging.

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## Borderline Scenario 248

*Topic: excessive\_churning | Standard: Under FINRA Rule 2111 (Suitability), quantitative suitability requires that the total series of re*

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### Fact Pattern

Robert Whitfield, 52, a small business owner earning approximately \$225,000 annually, opened a non-discretionary brokerage account in January 2021 with advisor Patricia Engel. Robert deposited \$410,000 and stated his goals were 'aggressive growth' with a 10-to-15-year time horizon before

retirement. He checked the 'speculative' risk tolerance box on his account application and told Patricia he enjoyed following the markets and was comfortable with short-term trading. Over the 24-month period from January 2021 through December 2022, Patricia executed 87 trades in the account. The account had an annualized turnover rate of 4.2 and a cost-to-equity ratio of 11.8%. The account generated \$48,500 in total commissions for Patricia over this period. The account's net performance after all costs was a loss of 6.3%, while a comparable aggressive-growth benchmark index declined 8.1% during the same period - meaning the account actually outperformed its benchmark by 1.8 percentage points on a net basis. Robert approved each trade before execution, typically via phone or text, and Patricia's records show she provided a brief rationale for each trade. Of the 87 trades, approximately 30 involved selling positions held for less than 60 days and reinvesting in similar-sector equities (e.g., selling one semiconductor stock to buy another, or rotating among biotech names). However, roughly 25 trades were responses to earnings reports or material news events, and another 15 were stop-loss triggered sales that Robert had specifically requested as part of his risk management approach. Robert never complained during the two-year period and in fact sent Patricia an email in September 2022 saying, 'I appreciate how actively you're managing things - keep it up.' Robert's complaint was filed in April 2023, three months after he transferred his account to a fee-based advisory platform at a different firm, where his new advisor suggested the prior trading had been excessive. Robert's total liquid net worth outside this account was approximately \$600,000 in retirement accounts and \$150,000 in savings.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Arguments that Patricia engaged in excessive trading: The annualized turnover rate of 4.2 and cost-to-equity ratio of 11.8% both exceed the thresholds that regulators have historically considered presumptive evidence of churning. A turnover rate above 6 is generally considered conclusive evidence, while rates between 2 and 6 create a rebuttable presumption of excessive trading. A cost-to-equity ratio above 8-10% is similarly concerning because it means the account must generate returns exceeding that percentage just to break even, which is an unreasonably high hurdle. The \$48,500 in commissions on a \$410,000 account over 24 months represents significant friction costs. Approximately 30 trades involved short-duration holds with reinvestment in similar-sector stocks, suggesting in-and-out trading that primarily generated commissions without materially changing the portfolio's risk/return profile. The non-discretionary nature of the account does not automatically insulate the advisor if she exercised de facto control over trading decisions. Arguments that Patricia did not engage in excessive trading: The account outperformed its aggressive-growth benchmark by 1.8 percentage points net of all costs, which undercuts the core harm theory - the trading activity, while frequent, actually produced better results than a passive approach would have during the same period. Robert specifically chose 'speculative' risk tolerance and expressed enthusiasm for active trading. His unsolicited email praising the active management approach suggests genuine, informed consent to the trading strategy. Approximately 40 of the 87 trades (the earnings-driven and stop-loss trades) had clear, event-driven rationales that distinguish them from pattern churning. Robert approved every trade individually in a non-discretionary account, and the evidence shows he received rationales for each. His complaint arose only after a competing advisor with a financial incentive to move assets suggested there was a problem. Robert's overall financial profile (\$410K in the account, \$600K in retirement funds, \$150K in savings, \$225K income) shows this was risk capital he could afford to trade actively.

### Why Borderline

This scenario sits in genuine gray territory because the quantitative metrics (turnover rate of 4.2, cost-to-equity of 11.8%) cross traditional presumptive thresholds for excessive trading, but virtually every qualitative factor cuts in the advisor's favor: the account outperformed its benchmark net of costs, the client explicitly requested aggressive and speculative management, the client praised the trading frequency in writing, each trade was individually approved with a stated rationale, and a significant portion of trades had clear event-driven justifications. The tension between the quantitative red flags and the qualitative evidence of client sophistication, consent, and positive outcomes makes this a case where reasonable regulators could reach opposite conclusions.

### Borderline Factors

- Turnover rate of 4.2 exceeds the commonly cited threshold of 2.0 but falls well below the 6.0 conclusive presumption level
- Cost-to-equity ratio of 11.8% exceeds typical thresholds but must be weighed against speculative account objectives
- Account outperformed its benchmark net of all costs by 1.8 percentage points
- Client selected 'speculative' risk tolerance and verbally expressed enthusiasm for active trading
- Client sent an unsolicited email endorsing the active trading approach
- Every trade was individually approved in a non-discretionary account
- Approximately 40 of 87 trades had clear event-driven rationales (earnings, stop-losses)
- Approximately 30 trades involved short-duration sector rotation that could suggest commission-motivated trading
- Complaint originated only after a competing advisor suggested the activity was excessive
- Client's overall financial position was strong enough to support speculative trading
- The commission structure inherently incentivized trading frequency

### Likely Outcome

A regulator would likely investigate closely given the quantitative metrics but would face significant difficulty sustaining an excessive trading charge. The combination of benchmark outperformance, the client's documented speculative objectives, written endorsement of the trading strategy, individual trade approvals, and event-driven rationales for many trades creates substantial defenses. A regulator might seek a negotiated resolution involving partial restitution or enhanced supervision rather than pursuing a formal adjudication, recognizing that the quantitative case is strong but the qualitative defense is equally compelling. If the case went to a hearing panel, the outcome would likely depend on how much weight the adjudicator gives to quantitative presumptions versus qualitative evidence - a genuinely close call that could go either way.

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## Borderline Scenario 249

Topic: *bond\_duration\_mismatch* | Standard: *FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the*

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### Fact Pattern

Margaret Ellison, age 68, retired in March 2022 with a \$1.4 million portfolio. She told her financial advisor, Brian Knowles, that she needed predictable income to cover approximately \$4,200 per month in living



expenses starting in 2023, and that she planned to use the bond portion of her portfolio as her primary income source for the next 7-10 years, after which she expected to begin drawing on Social Security and a small pension. She described herself as 'moderately conservative' and said she did not want to 'gamble' with her retirement money. Her account application listed her risk tolerance as 'moderate' and her investment time horizon as '10+ years.' In April 2022, Knowles allocated \$900,000 of her portfolio - roughly 64% - into bonds. Of that \$900,000, approximately \$585,000 (65% of the bond allocation) was placed into long-duration Treasury bonds and investment-grade corporate bonds with maturities ranging from 18 to 27 years, carrying an average effective duration of approximately 14.2 years. The remaining \$315,000 was placed into intermediate-term bond funds with durations of 4-6 years. Knowles documented in his notes that the long-duration bonds were selected because they offered yields of 3.1% to 3.6% at the time of purchase, which were significantly higher than the 1.8% to 2.4% available on shorter-duration bonds, and that the higher coupon income would better meet Mrs. Ellison's monthly cash flow needs without requiring principal drawdowns. He also noted that if rates declined, the long-duration bonds would appreciate in value, providing potential total return upside. However, between April 2022 and October 2023, the Federal Reserve raised interest rates aggressively. The long-duration bond positions lost approximately 22% of their market value, resulting in unrealized losses of roughly \$128,700. The intermediate-term positions lost about 7%, or approximately \$22,050. Mrs. Ellison's total bond portfolio declined from \$900,000 to approximately \$749,250. Although the bonds continued to pay their stated coupon income - generating approximately \$2,500 per month from the combined holdings - Mrs. Ellison became alarmed at the paper losses and filed a complaint stating that Knowles had placed her in bonds that were far too risky for a retiree who needed stable principal value. Knowles responded that he had explained the interest rate risk at the time of purchase, that the bonds would pay back at full par value at maturity, that the income stream was uninterrupted, and that Mrs. Ellison's 10+ year time horizon meant she could hold the long bonds to maturity or near-maturity without realizing losses. He also pointed out that shorter-duration bonds would have generated only about \$1,600 per month in coupon income, which would have forced Mrs. Ellison to sell principal earlier than planned, potentially creating a different kind of risk. Mrs. Ellison acknowledged in a recorded phone call from May 2022 that Knowles had told her 'these longer bonds could fluctuate more in value but would pay better income,' though she said she did not fully understand what that meant in practical terms.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

The case presents a genuine tension between two competing risks that advisors must balance for income-dependent retirees: interest rate risk (duration risk) and income shortfall risk. Arguments that Knowles violated his obligations include: (1) A 14.2-year average duration on 65% of the bond allocation is aggressive for a 68-year-old retiree who explicitly said she did not want to 'gamble' with her retirement funds and described herself as moderately conservative; (2) the concentration in long-duration bonds exposed the client to significant mark-to-market losses that could force suboptimal decisions if her circumstances changed and she needed liquidity; (3) industry conventions generally suggest that bond duration should approximate the investor's time horizon - her 7-10 year income need horizon was substantially shorter than the 18-27 year maturities selected; (4) there were intermediate alternatives (e.g., bonds maturing in 7-12 years) that could have better matched her stated horizon while still providing improved yield over short-duration options. Arguments that Knowles acted reasonably include: (1) the

higher coupon income directly served Mrs. Ellison's stated primary goal of generating monthly cash flow, and the \$2,500/month from the portfolio was materially closer to her \$4,200 need than the \$1,600 shorter-duration bonds would have produced; (2) Knowles documented a rational investment thesis and disclosed interest rate risk, which Mrs. Ellison acknowledged; (3) the bonds were investment-grade Treasuries and corporates, not speculative instruments; (4) the 10+ year time horizon on her account application supports the argument that she could hold bonds to maturity; (5) unrealized losses on bonds held to maturity are economically different from realized losses - the income stream was uninterrupted; (6) under FINRA Rule 2111 and Reg BI's care obligation, the recommendation must be suitable considering the customer's overall profile, and Knowles can argue the income optimization rationale was reasonable given her stated needs. The duration mismatch is significant but not extreme enough to constitute a clear violation, particularly given the documented income rationale and risk disclosure.

### Why Borderline

This case sits in a gray area because the advisor made a defensible tradeoff between two real risks - inadequate income versus interest rate sensitivity - but arguably over-weighted one side of the equation. The client's own statements cut both ways: she wanted safety (suggesting shorter duration) but also needed income (supporting longer duration). The 10+ year time horizon notation provides some cover, but a 14.2-year duration still meaningfully exceeds even that horizon. Reasonable practitioners disagree about how much duration risk is appropriate for retirees, and the fact that the bonds were high-quality and continued paying income as promised complicates the harm analysis.

### Borderline Factors

- Client's stated 7-10 year income horizon versus 18-27 year bond maturities creates a meaningful but not extreme mismatch
- Account application listed 10+ year investment horizon, partially supporting the longer duration selection
- Higher coupon income directly served the client's primary stated objective of monthly cash flow
  - Client acknowledged being told about potential price fluctuation, though claimed incomplete understanding
- Bonds were investment-grade, not speculative - the risk was duration, not credit quality
- Unrealized losses versus realized losses distinction - income stream continued uninterrupted
- Intermediate-duration alternatives existed that could have partially served both objectives
  - Client self-described as 'moderately conservative' and averse to 'gambling,' which is ambiguous regarding duration risk specifically
- Advisor documented rationale at time of purchase rather than constructing justification after the fact

### Likely Outcome

A regulator would likely find this a borderline case but lean toward concluding that the concentration of 65% of the bond allocation in very long-duration instruments was not fully consistent with the client's conservative self-description and 7-10 year income horizon, even accounting for the income optimization rationale. However, given the documented disclosure, the investment-grade quality of the bonds, the uninterrupted income stream, and the client's acknowledgment of risk, any sanction would likely be modest - perhaps a letter of caution or a requirement for enhanced supervisory review - rather than a significant fine or disgorgement. A panel might also find no violation if persuaded by the income shortfall argument and the hold-to-maturity logic. The outcome would likely depend heavily on whether the arbitration panel or examiner views the 14.2-year duration as a reasonable professional judgment call or an imprudent

overreach.

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## Borderline Scenario 250

Topic: *excessive\_churning* | Standard: *FINRA Rule 2111 (Suitability) encompasses quantitative suitability, which prohibits excessive*

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### Fact Pattern

David Okonkwo, age 52, opened a brokerage account in January 2021 with \$320,000 in savings from the sale of a rental property. He told his advisor, Lisa Cheng, that he wanted to 'grow the money aggressively' over the next 8-10 years before retirement and that he was comfortable with 'significant risk' because he had a separate 401(k) worth approximately \$480,000 and owned his home outright. His account documents listed his risk tolerance as 'aggressive,' his investment experience as 'extensive' (he had traded individual stocks periodically for 15 years), and his annual income as \$145,000. Cheng managed the account on a commission basis. Over the 24-month period from January 2021 through December 2022, the account executed 127 round-trip trades - primarily in large-cap equities, leveraged ETFs, and sector-specific ETFs. The account had an annualized turnover rate of 4.8 and a cost-to-equity ratio of approximately 11.2%. Total commissions and transaction costs over the period were approximately \$71,700. The account's gross returns during this period were approximately \$38,400 (roughly 12% over two years), but after commissions and costs, the net return was approximately negative \$33,300, representing a net loss of about 10.4% on the original investment. Cheng documented that Okonkwo frequently called her with trade ideas based on financial news he consumed daily, and she estimated that roughly 40% of the trades were initiated at his direct request. Internal compliance records show 14 emails from Okonkwo over the two-year period suggesting specific trades or asking Cheng to 'get me into' or 'get me out of' particular positions based on earnings reports or market events. However, the remaining approximately 60% of trades were initiated by Cheng, who would call Okonkwo with recommendations that he would typically approve within the same phone call. Okonkwo reviewed monthly account statements and did not complain about trading activity until February 2023, when he realized his account had declined to approximately \$286,700 despite what he perceived as an active bull market. He then filed a complaint alleging excessive trading. Cheng's supervisor conducted a review in mid-2022 and flagged the account's turnover ratio as 'elevated' but took no corrective action after Cheng explained that the client was aggressive and actively involved in trading decisions. Cheng earned approximately \$43,000 in personal commissions from the account over the two-year period, representing roughly 18% of her total compensation during that time. She maintained that every individual trade was consistent with Okonkwo's aggressive profile and that the high turnover reflected his own preferences and active engagement rather than churning.

### Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

### Analysis

Churning analysis traditionally involves three elements: (1) excessive trading activity, (2) the advisor exercised control over the account, and (3) the advisor acted with intent to generate commissions (scienter). On excessive trading: The annualized turnover rate of 4.8 exceeds the traditional threshold of 6 used as a presumptive indicator by some regulators, though it falls below it - however, many regulators and arbitration panels have found turnover rates of 4-6 to be excessive depending on the account's stated

objectives. The cost-to-equity ratio of 11.2% is significant: it means the account needed to generate returns exceeding 11.2% annually just to break even after costs. Courts and arbitration panels have generally viewed cost-to-equity ratios above 8-12% as indicative of excessive trading. This figure falls squarely in the contested zone. On control: This is where the case becomes most ambiguous. Cheng did not have formal discretionary authority, and Okonkwo approved each trade. However, de facto control can be established where the advisor initiates the majority of trades and the client routinely ratifies recommendations without independent analysis. Here, approximately 60% of trades were advisor-initiated and typically approved in the same phone call, which suggests significant advisor influence. But the 14 documented emails showing client-initiated trade ideas and Okonkwo's 15 years of trading experience cut against a finding of de facto control. On scienter: Cheng earned \$43,000 in commissions (18% of her compensation) from this single account, which creates an inference of self-interest but is not conclusive. Her documentation of a rationale and the client's aggressive profile provides some defense. The fact that each individual trade may have been suitable does not preclude a churning finding - the pattern and volume of trading can be excessive even if individual trades are appropriate. Okonkwo's failure to complain for two years despite receiving monthly statements weighs against his claim but does not defeat it, as sophistication does not absolve the advisor of responsibility for excessive trading patterns. Under Reg BI's quantitative component of the care obligation, the pattern of trading and its costs relative to returns would be scrutinized even absent formal discretion.

### Why Borderline

The case is genuinely ambiguous because the quantitative indicators (turnover rate of 4.8, cost-to-equity of 11.2%) fall in the gray zone rather than clearly above established thresholds. The control element is complicated by the client's active participation - he was not a passive, unsophisticated investor rubber-stamping recommendations but rather an engaged, self-described aggressive trader who independently initiated a meaningful percentage of trades. The client's aggressive risk tolerance, extensive experience, and two-year silence despite receiving regular statements all provide credible defenses. Yet the net result - the client lost money in a generally rising market almost entirely due to transaction costs - is the classic hallmark of churning. Reasonable regulators could disagree about whether this represents an advisor exploiting a commission structure or a client getting exactly the active trading approach he requested.

### Borderline Factors

- Annualized turnover rate of 4.8 falls in the contested zone - above some thresholds but below others used as presumptive indicators
- Cost-to-equity ratio of 11.2% is at the boundary of what panels have found excessive (8-12% range)
- Client initiated approximately 40% of trades himself, documented via email correspondence
- Client had 15 years of individual stock trading experience and self-selected aggressive risk tolerance
- No formal discretionary authority - client approved each trade individually
- However, 60% of trades were advisor-initiated and approved rapidly in same phone call, suggesting de facto influence
- Client reviewed monthly statements for two years without objecting to trading frequency or costs
- Gross returns were positive (12%) but commissions consumed all gains and then some, resulting in 10.4% net loss
- Supervisor flagged elevated turnover but accepted advisor's explanation without corrective action
- Advisor's personal commission income from this account (18% of total compensation) suggests potential

conflict but is not dispositive

- Leveraged and sector ETFs are consistent with aggressive profile but also generate higher commission opportunities

### **Likely Outcome**

A regulator or arbitration panel would likely view this as a close case. The quantitative indicators are in the borderline range, and the control element is genuinely contested given the client's active participation. However, the fact that the account lost money almost entirely due to transaction costs - turning a 12% gross gain into a 10.4% net loss - is a powerful fact that panels tend to weigh heavily. The supervisor's failure to act after flagging the account could be viewed as a supervisory deficiency. The most likely outcome is a finding of a violation, but with mitigated damages reflecting the client's contributory role. A panel might hold Cheng liable for churning on the advisor-initiated trades (roughly 60% of the activity) while accounting for Okonkwo's own trading requests as a factor reducing damages. Alternatively, a more advisor-friendly panel could find that the combination of the client's aggressive profile, active participation, and failure to object for two years defeats the churning claim. The outcome is genuinely uncertain and would likely depend on the specific panel's views on de facto control in the context of an active, experienced client.